Drafting and Negotiating Commercial Contracts

Fifth Edition

Mark Anderson
Victor Warner

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Preface

The first edition of this book was published 25 years ago. Its aim, then as now, was to provide a practical guide for contract drafters on a range of legal and commercial subjects.

The first edition had six substantive chapters and there are now 11. The first edition ran to 160 pages (plus extracts from legislation), and the current edition runs to 454 pages. Now that most legislation and case law is available online from a UK Government website, it is no longer useful to include extracts in textbooks.

The fifth edition includes a new chapter on terminating an agreement. This may require as much care as drafting the agreement. For example, if a party believes the other is in breach, it will need to carry out a fact-finding exercise to find out what has occurred during the life of the agreement, and compare this with the relevant obligations in the agreement. It may need to consider other provisions of the agreement, including those dealing with waiver, entire agreement, termination and notices, as well as underlying law (eg on waiver and variation by conduct). Any notice of breach or termination will need to be carefully drafted, correctly addressed as per the notices clause, and take account of any time periods stated in the termination and notices clauses. The aim of this new chapter is to set out the main issues that the contract drafter will usually need to consider.

Developments in the law

The first edition appeared just before publication of the judgments of the House of Lords in *Investors' Compensation Scheme Ltd v West Bromwich Building Society*. The five principles elaborated in that case have had a profound effect on the way the courts interpret commercial contracts. Even more significant has been the trilogy of Supreme Court decisions in *Rainy Sky SA v Kookmin Bank*, *Arnold v Britton* and *Wood v Capita Insurance Services Ltd*. These judgments are cited in many of the recent cases on the interpretation of commercial contracts. However, the five principles from the *Investors* case, as the judgment itself acknowledges, are no more than a summation or reformulation of principles drawn from earlier case law (some of which are discussed in the first edition of this book).

These judgments can be viewed as part of a trend towards a more liberal approach to interpreting contracts, particularly in the area of liability clauses. Several generations ago, the courts intervened more in deciding that liability clauses were not enforceable. Often, they did this by finding technical flaws

in the drafting, which led to drafters using increasingly legalistic wording in liability clauses, to try to remedy the supposed defects in conventional drafting that the courts had found.

The need for this intervention has gradually reduced. The Unfair Contract Terms Act 1977 introduced controls over what could be included in both business and consumer contracts. More recently, EU-derived legislation has provided more extensive protection for consumer contracts, most recently in the Consumer Rights Act 2015.

Senior judges are now taking a more 'commercial' approach and are less inclined to reject limitation of liability clauses in business-to-business contracts on technical grounds, particularly where they consider the parties to be of similar bargaining power. However, there are limits to this approach. The English courts are still primarily focused on ascertaining the precise linguistic meaning of the words used in the contract, even if they use techniques sometimes to relax the rigour of this approach, such as those developed in the judgments mentioned above.

Practice developments

Since the publication of the first edition of this book, most documents in commercial contracts are drafted, commented on and exchanged electronically; but a noticeable trend over the last 25 years, is the flattening or reduction in the time available to prepare and review contracts.

A recent development is the way many agreements are signed, using signing technologies such as DocuSign or Adobe Sign.

Modern commercial contracts may be written in clearer English than they were 25 years ago (on the whole), but the complexity of individual clauses and the length of contracts has increased. The increased pressures to get the deal done and reduce the number of steps and people involved only make it harder to achieve a well-drafted and logically coherent contract. There are no quick fixes to this issue – other than the training of contract drafters, and the development of well-drafted templates, procedures and policies (as suggested in Chapter 4).

We would like to thank the following from Anderson Law for their assistance with proof-reading (Christina Turner, Genny Armstrong and Joshua Billingham) and research (Stefano Incarbone), and Claire Banyard for her work in editing this book. Any errors that remain are the sole responsibility of the authors.

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Chapter 1

Legal formalities for a binding contract

Key points

- All but the simplest agreement should be:
  - in writing; and
  - signed by, or on behalf of, all the parties to the agreement.
- There are no special requirements as to the format of most written commercial agreements made 'under hand'.
- For agreements made by a company, the simplest method of signing the agreement is normally for an authorised representative to do so 'on behalf of' the company.
- If there are doubts over whether the parties are providing consideration (something of value), consider executing the agreement as a deed. If the agreement is made as a deed, comply with the formalities for executing a deed.
- Do not date agreements and deeds prior to signature; if a deed is not to take effect immediately on signature, make this clear in the text of the deed (that it is not 'delivered' on signature or is delivered subject to conditions).
- If the agreement has an informal format, or is described as a Heads of Agreement (or similar), consider including wording as to whether it is to be legally binding. If not to be legally binding, at a minimum, state that it is 'subject to contract'.
- Consider or take legal advice on whether the agreement meets all the requirements for a legally-binding contract, particularly in relation to the basic contract law issues listed later in this chapter.
- If the signature page of the agreement is circulated, or signed, before the provisions of the agreement are finalised, obtain the agreement of all the parties and document that agreement. For transactions involving land or for an agreement which the parties are to sign as a deed never circulate the signature page (whether before or after signature) separately to the other pages.

1.1 Introduction

Before discussing the usual structure and wording of a commercial agreement (see Chapter 2), this chapter deals with:

(1) some of the formal legal requirements for creating a legally-binding contract; and

(2) common situations when it is necessary to use writing for, or to comply with particular formalities concerning, contracts (and other documents normally encountered in commercial situations).

The points made here are for contracts made under English law. The requirements for contracts made under other countries' laws can be significantly different (and are beyond the scope of this book).

The requirements to make or enter into a contract under English law are fairly lax. For most commercial contracts there are no particular formalities, such as:

- that it needs to be in writing;
- that all the provisions of the contract are expressed in one document;
- whether it is necessary to use any particular words;
- who (on behalf of an organisation) can validly agree to enter into the contract;
- whether signatures are required;

and so on.

English courts look to the intention behind the actions of the parties at the time they are carried out as being determinative of whether the parties have entered a contract, rather than whether any of the above are absent or present.

This chapter deals with the following matters:

- What makes (and does not make) a contract
    - o A checklist of items that are necessary for creating a binding contract
    - o A checklist of items that makes a contract invalid (or void)
    - o A checklist of items which can make a contract (or contract provision) unenforceable
    - o Examples of when a contract will be or will not be found to exist
    - o Pre-contractual documents:
        - * Terminology
        - * Heads terms etc and other non-contractual terms and their meanings

        - Moving from non-contractual to contractual status without explicit agreement – the dangers
- Formal requirements
    - Must the contract be in writing?
    - When is it necessary to use a written document
    - Must the contract be signed?
    - No formalities for signing (most) contracts
    - When a contract is signed – how to do it
        - For individuals
        - For companies
        - For foreign companies
    - When it is necessary to use a deed
    - When it is an advantage to use a deed
    - When a contract is signed as a deed – how to do it
        - For individuals
        - For companies
        - For foreign companies
    - Signing and circulating in the electronic age – practical issues
        - Different ways it is possible to sign contracts
        - Problems where documents are circulated for signature
        - How to deal with contracts which are deeds or are the sale or disposition of an interest in land
        - How to deal with contracts which are not deeds (or for the sale or disposition of an interest in land

1.2 Checklists for legally binding contracts

This book is not a text on English contract law. Despite the relatively lax system of formalities for creating a contract, the fundamentals to form a valid contract are the same whether the parties use a written agreement which is signed, is not signed or where there is no written agreement at all[1]. The following checklists provide (in summary form) some of the contract law issues as to:

[1] Not signing a written agreement, or worse still not having a written agreement at all are never recommended where commercial contracts are concerned.

- what is necessary to form a contract;
- what will make a contract invalid or void;
- what situations lead or do not lead to the existence of a contract;

and which a contract drafter should take into account when preparing or negotiating an agreement. In appropriate cases, further research or obtaining specialist advice will be necessary on these topics[2].

1.2.1 Checklist for formation of the contract

For a legally binding contract to come into existence, it is necessary to establish objectively (rather than on the subjective intentions of the parties)[3] that the following elements must normally be present[4]:

- ***Intention to create legal relations***. There will normally be no problem finding such an intention in the case of a conventionally drafted written agreement between, and signed by, commercial parties[5]. Although an intention to create legal relations is an important element it is not enough to bring a contract into being, and among the other factors listed in this checklist key is that there is certainty of provisions (see further below). However, it is possible to make an assessment as to whether the parties have an intention to create legal relations from a document itself or the surrounding circumstances. Factors which can indicate such an intention include[6]:

[2] Where an in-depth understanding is necessary, see *Chitty on Contracts* (33rd edn, 2018, Sweet and Maxwell).

[3] See eg *RTS Flexible Systems Ltd v Molkerei Alois Müller GmbH & Co KG* [2010] UKSC 14, [45]: 'The general principles are not in doubt. Whether there is a binding contract between the parties and, if so, upon what terms depends upon what they have agreed. It depends not upon their subjective state of mind, but upon a consideration of what was communicated between them by words or conduct, and whether that leads objectively to a conclusion that they intended to create legal relations and had agreed upon all the terms which they regarded or the law requires as essential for the formation of legally binding relations. Even if certain terms of economic or other significance to the parties have not been finalised, an objective appraisal of their words and conduct may lead to the conclusion that they did not intend agreement of such terms to be a pre-condition to a concluded and legally binding agreement'. See also to the same effect *New Media Holding Company LLC v Kuznetsov* [2016] EWHC 360 (QB), [99].

[4] In addition to the requirements (when necessary) that: (i) certain contracts must in writing, or (ii) one or more of the parties must use the form of a deed.

[5] And it is likely that in the commercial or business context, that the burden will be on the party who wishes to deny that the parties intended to create legal relations between them, and it will be difficult for that to party to make that case: *Edwards v Skyways Ltd* [1964] 1 All ER 494, 500. See also *Attrill v Dresdner Kleinwort Ltd* [2013] EWCA Civ 394, [79] to [81]; *New Media Holding Company LLC v Kuznetsov* [2016] EWHC 360 (QB), [100].

[6] See eg *Dhanani v Crasnianski* [2011] EWHC 926 (Comm) at 76; *Barbudev v Eurocom Cable Management Bulgaria EOOD* [2012] EWCA Civ 548, [37].

- whether the document is signed by the parties;
- whether it was drafted by lawyers;
- whether the language of the document is 'the language of legal relations'[7];
- whether any obligations are stated in unqualified terms[8];
- whether the document contains the usual type of provisions found in a contract (such as provisions concerning law and jurisdiction or contracts (Rights of Third Parties) Act 1999)[9];
- where the parties clearly make part of the document legally binding[10];
- where the document in question forms part of a series of package of agreements or contracts all concerning the same subject matter.

- However:
  - where there is a less formal type of document (such as a 'heads of agreement', 'term sheet', 'comfort' letter, 'side letter');
  - where there is no single document amounting to a written agreement in the conventional sense; or
  - where there is no written agreement at all;

  the position can sometimes be less certain[11]. Much will depend on the context, so that the absence of or lack of 'conventional' documentation

[7] In *Barbudev v Eurocom Cable Management Bulgaria EOOD* [2012] EWCA Civ 548, [37] the court gave an example from the document which was in dispute of the type wording which is meant: 'In consideration for you agreeing to enter into' and in *New Media Holding Company LLC v Kuznetsov* [2016] EWHC 360 (QB), [74], [105], the court indicated as examples wording which stated that 'At any time following the date of this term sheet [X] has the right, upon his own discretion, to require the Company share redemption for the price of 333 333 …' and the number of times that the verb 'shall' appears in the provisions of the term sheet.

[8] *New Media Holding Company LLC v Kuznetsov* [2016] EWHC 360 (QB), [73], [105], where several provisions in a term sheet were stated in the obligatory or imperative, eg, 'to be valid, notice of redemption … shall be forwarded', '[the claimant] … shall transfer the Company share to [the defendant]', 'The Term Sheet shall be governed by English law and shall be subject to the exclusive jurisdiction of the courts in England'.

[9] But not all the 'normal' provisions seen in a binding contract need be present in the document itself. See *New Media Holding Company LLC v Kuznetsov* [2016] EWHC 360 (QB), [106] and fn 12 below.

[10] In *Barbudev v Eurocom Cable Management Bulgaria EOOD* [2012] EWCA Civ 548, [37] where the court held 'the parties clearly intended that the confidentiality agreement in the letter would be contractually enforceable between them, whatever might be the status of other parts of the letter.'

[11] See further the discussion of contractual and pre-contractual documents, later in this chapter at **1.3**.

may not be enough to negate an intention to create legal relations if the parties are experienced business people[12].

Suggestion: if in doubt, the parties should state specifically that they intend their agreement to be legally binding. Alternatively, if there is no definitive agreement signed by the parties, then one of the parties should

[12] *New Media Holding Company LLC v Kuznetsov* [2016] EWHC 360 (QB), [102]–[106] provides an interesting example as to how a judge was able to find that the parties intended to create legal relations. In this case G (who later assigned his rights to the claimant) and the defendant were investors and shareholders in a company. They were involved in a network of other contracts and companies in multiple jurisdictions. During their investment in the company, it became necessary for both parties to make loans to it. G was also unhappy with the management of the company. As a condition of G making a loan, he wished to have the right for the defendant to redeem G's shares in the company as well as G having certain corporate governance rights to protect G's position as a minority shareholder. Resulting from discussions between G and the defendant they signed a document labelled a 'Term Sheet'. At a later date G issued a notice (as provided for under the Term Sheet) requiring the defendant to redeem G's shares. This did not occur. The defendant advanced several arguments as to why the Term Sheet was not binding. These included: (i) the use of the label 'Term Sheet', (ii) that it described only the 'principal terms and conditions', (iii) that the preparation of the document was carried in an informal and casual way, (iv) that other shareholders (who had pre-emption rights) were not parties to the Term Sheet, (v) that G was not a registered shareholder of the company (the shares were held by a third party company) and he did not have the percentage of shares stated in the Term Sheet at the date it was signed and would not be able to immediately redeem the shares. The judge, taking an objective view, rejected all of these factors as leading to a conclusion that the parties did not intend to create a legal relationship. The judge accepted a Term Sheet 'is often used in a commercial context to describe a framework agreement or template to be used to develop a more detailed legal document' but 'there is no absolute rule that documents described as "term sheets" are framework documents and cannot be contractual'. The judge also noted that when G and the defendant reached agreement that the Term Sheet was drafted by their lawyers, that both of them were 'both experienced, sophisticated businessmen', that they both signed it, it contained 'clear, express terms', that 'the language used in the Term Sheet is consistent with a legally binding agreement and not merely a document that was aspirational'. Also '[an] objective appraisal of the words and conduct of these two experienced businessmen leads to the conclusion that they did not intend agreement of any additional terms to be a precondition to a legally binding agreement' and the 'Term Sheet also contains detailed provision for service of the notice of redemption, including emails and addresses, which would have served little or no practical function if the agreement was aspirational only'. Also, the law and jurisdiction clause applied to all of the Term Sheet so that '[it] is difficult to see what purpose such a clause was intended to serve absent an intention to create a legally binding agreement'. The parties had (through their corporate vehicles) existing contractual relationships as well as entering antecedent agreements which they acknowledged as legally binding. Although the Term Sheet indicated that no consideration moved from G (the defendant received nothing for granting G the right to redeem his shares), 'in the context of parties who had previously reached package agreements, part written, part oral, the absence of any reference to consideration is equally consistent with an intention that this was a package agreement, with the loan agreement reached orally, and anticipated to require separate further agreement'. The judge accepted G's evidence that the consideration for G entering into the Term Sheet was his promise to provide further funds and to forebear from pursuing any investigation into the management of the company. So what was intended, taking an objective view, was an intention to create legal relations.

make a definitive statement that the parties have entered a contract at a particular date[13].

- ***Capacity to enter into the contract.*** Contracts that certain types of persons enter are not enforceable, because they do not have the legal capacity to do so. The principal types of person are:

  - minors[14];
  - those suffering from a mental incapacity; and
  - drunks (with some exceptions, eg for 'necessaries'[15] such as food).

  In most commercial situations it is unlikely that a party will encounter these types of persons. A person or company entering a contract can normally assume that the other party (whether they are a person or company) has the capacity to enter into the contract. But in cases of doubt specialist advice should be obtained.

- ***Authority to represent a company or organisation.*** A separate issue to capacity is whether the person signing a contract *on behalf* of a company (or otherwise agreeing to enter into a contract) has the authority to do so. Where companies are incorporated or regulated by the Companies Act 2006 anyone who has express or implied authority to enter into a contract on behalf of the company can do so[16]. Accordingly, it will be difficult for a company to argue that a director or senior manager did not have authority to sign a contract on the company's behalf. A company can also itself enter into a contract[17].

  However, it is important to note that the default articles provided by the Companies Act 2006 give to the directors the authority to manage all the

[13] If the parties have conducted negotiations through emails and telephone calls, and the emails contain the main terms of what is agreed and then subsequently in a telephone call or video meeting the parties agree to enter into a contract, then one party can send a short email confirming that the parties have entered a contract. For example: 'Dear X, following our call this afternoon via [Zoom] this email confirms that we have now entered into a contract. The [main] are set out in [the trail emails below] *or* [in my email of [*date and time*] to you'.

[14] Persons under 18 years old: Family Law Reform Act 1969, s 1(1).

[15] The requirement for those suffering from a mental incapacity having to pay a reasonable amount for goods delivered to them is likely to be removed following the passing of the Mental Capacity Act 2005, s 67(1) and Sch 6, para 24. This provision removes the obligation on those suffering from a mental incapacity to pay for 'necessaries'. It has not yet been brought into force.

[16] Companies Act 2006, s 43(1)(b).

[17] Companies Act 2006, ss 40, 43(1)(a). How a company *itself* executes a document is set out in Companies Act 2006, s 44 (and s 46, if the document is a deed). See **1.8** below.

powers of a company (note, not a single director)[18], but they can delegate some or all of their powers[19].

However, to avoid situations where a company could act beyond its powers or a director beyond her/his authority, some protections are built into the Companies Act 2006 for persons who deal with a company. There is a limited protection 'in favour of a person dealing with a company in good faith' that any limitation in the company's articles of association will not affect the power of the directors to bind the company (or their power to authorise others to bind the company). This protection only applies where the person in whose favour it applies is a party to a transaction or other act to which the company is a party[20]. Also the validity of an action carried out by the company cannot 'be called into question on the ground of lack of capacity by reason of anything in the company's constitution'[21]. These provisions aim to prevent an act of the company or the powers of the directors being beyond the company's powers[22].

[18] Model Articles, art 3 (The Companies (Model Articles) Regulations 2008, SI 2008/3229, reg 2, Sch 1).

[19] Model Articles, art 5 although there is a duty on directors to keep record of a decision for 10 years from the date decided, art 8 (The Companies (Model Articles) Regulations 2008, SI 2008/3229, reg 2, Sch 1). Schedule 1 provides model articles for private companies limited by shares. The other schedules to these regulations provide default articles for other types of companies incorporated or registered under the Companies Act 2006: public companies and private companies limited by guarantee.

[20] Companies Act 2006, s 40.

[21] Companies Act 2006, s 39(1).

[22] These provisions have the intention to overcome the common-law (non-statutory) concept of 'ultra vires'. However, these statutory provisions apply only to companies formed or registered under the Companies Act 2006, s 1. For companies formed or registered under the Act but who are charities, Companies Act 2006, ss 39 and 40 only apply in favour of a person: (i) who at the time an act is done did not know that the company was a charity, or (ii) gave full consideration (money or money's worth) in relation to the act and did not know that the act was not permitted by the company's constitution or was beyond the powers of the directors (see Companies Act 2006, s 42). For example, a person who knows that the organisation is a charity, will not be able to rely on these statutory protections. Some charities are now substantial organisations entering into a variety of contracts (as well as some universities who are incorporated as private companies limited by guarantee). Persons can also obtain similar protection where they deal with industrial and provident societies registered under the Industrial and Provident Societies Act 1965 (ss 7A, 7B) and building societies who are registered under the Building Societies Act 1986 (Sch 2, paras 16 and 17). However, it appears that protection afforded by Companies Act 2006, ss 39 and 40 do not apply to non-UK companies. See the comments in *Credit Suisse International v Stichting Vestia Groep* [2014] EWHC 3103 (Comm) at [254] to [262]. For organisations not formed or registered by the Companies Act 2006 the common-law concept of 'ultra-vires' will continue to apply. In such cases it will be necessary for a person entering into a contract with such an organisation to consider that the organisation has the power to do so (and which will include companies not incorporated in the UK).

For particularly valuable or important contracts, or with companies or organisations which are not incorporated or regulated by the Companies Act 2006; legal advice should also be obtained on this issue[23].

Suggestion: If in doubt, carry out (some old-fashioned) checks on the other party. For example, if a party has not met or spoken with the other party, the first party could telephone the person representing the other party. Other steps include (one or more of the following):

- searching the Registrar of Companies' website (in the UK or the equivalent registry in another if the company is incorporated in that country);
- obtaining a report from a credit reference agency;
- requiring the company to provide a board resolution indicating that the company is willing to enter into the transaction and authorising a director or another person to sign contracts and other documents to effect the transaction.

- ***Consideration***. Both parties need to provide something of value (consideration) in a normal two-party agreement if the agreement is to be legally binding[24]. The 'something of value' can be a party doing something or not doing something (or the promise to do the thing or not doing it); that is it does not have to be the payment of a sum of money.

  Normally, there will be no problem finding such consideration where goods or services are provided in return for payment of a sum of money. To avoid any doubt as to whether a party is giving consideration, in some types of agreement (eg confidentiality agreements), a nominal amount (eg £1) is stated in the agreement. There are detailed rules on the types of consideration that are acceptable, for example, 'past consideration is no consideration'. Some other countries' laws do not require consideration, or their rules on consideration differ significantly from those under English law.

[23] With changes in technology, communications and methods of payment, many contracts which might have been signed in the past are no longer so (or there is no formal process of having one document to record what is agreed). For example, with the increasing sophistication of online purchase systems, it is entirely possible for even large purchases of standardised items to be bought online, with the online purchase system being able to calculate discounts for the quantity ordered or for the particular type of customer. The issue of whether the supplier is sure the person placing an order online is authorised to do so is lessened if payment has to be through the use of a credit card, PayPal, etc, because they will have received or able to obtain payment before supplying their product or service. Another area where technology has significantly changed how contracts are made is the use of emails. This flexible method permits easy exchange of written documentation (whether within the email or attached to it). However, with emails it is harder to know whether the person sending the email is the same as the name of the person who appears in the email, or whether they have the authority to enter into a contract on behalf of their company/organisation.

[24] If it is not clear that something of value is being provided by one or more of the parties then to make the agreement legally binding it is possible to sign it as a deed.

- ***Offer and acceptance***. Although there are exceptions, a contract will only come into existence when one party has offered to enter into a contract on specified terms and the other party has accepted that offer (by words or by conduct). A qualified acceptance (eg on slightly different terms to those offered), will generally be a counter offer, which in turn will need to be unconditionally accepted before the contract comes into existence[25]. These problems are usually avoided where both parties sign a written agreement.

  Suggestion: If you are 'accepting' another party's offer (or they are accepting your offer), consider whether the 'acceptance' is (only) an agreement on particular points or provisions. If this is the case, further negotiations may be necessary, or there may need to be an explicit exchange where the parties agree they have entered into a binding agreement[26]. Alternatively, if the acceptance is clear enough, there may be acceptance of an offer with the intention of entering into a binding contract.

- ***Complete agreement and certainty of provisions***. If only some of the important provisions are agreed (eg the price a party is to pay or when it will deliver goods or services under a contract) but not others the agreement may not be legally enforceable as it is missing an essential element. Sometimes an agreement may include clauses stating that the parties will agree certain provisions at a later date. These are usually 'agreements to agree'. They are not generally enforceable. A third category which may make an agreement not legally enforceable is if a

[25] For example, Party A offers to supply six goods at £1 each within 30 days (offer). The other side purports to accept the offer but says it wants the goods within 14 days (rejection and counter-offer). The importance of carefully analysing whether a party is accepting or rejecting an offer is illustrated in *Grant v Bragg* [2009] EWCA Civ 1228 (where there was an exchange of emails between two parties). The decision when the case first reached the courts was that the last email was the acceptance of the first email, but on appeal, the Court of Appeal found that the emails in between the first and last email contained a rejection of the offer. A related issue is the 'battle of the forms'. For example, Party A offers to sells goods, but subject to its terms and conditions. Party B accepts but in its written acceptance says its acceptance is subject to its terms and conditions. The traditional view is that the party that gets its terms and conditions in last is the party whose terms and conditions apply, and this view continues to be good law: see *Tekdata Intern Connections v Amphenol* [2009] EWCA Civ 1209, [2010] 2 All ER (Comm) 302.

[26] This point illustrates one of the advantages of a written agreement which sets out all the provisions and which is signed by both parties. With other methods, such as where there is an exchange of emails (where there is not a clear indication of what is accepted or rejected and which consists of a combination of negotiation points, discussion, proposals of provisions to include or amendments to them) it may be difficult to decide what has been offered, rejected and finally agreed. The case of *Grant v Bragg* [2009] EWCA Civ 1228 is an illustration of the problem of using email and how the courts can come to different points of view as to what has occurred and has been agreed.

provision is too vague or uncertain[27]. The modern approach of the courts to help the parties, in effect, to create a legally binding agreement even if not expressed ideally or fully[28]. To do so there will need to be some objective mechanism for determining what those provisions will be if the parties cannot agree or where the provision is vague or uncertain[29] using a standard of reasonableness[30].

The principal ways it is possible to establish the terms of a contract are:

- for a court to 'fill-in' the gaps such as by examining the past dealings of the parties, or what is the ordinary commercial standard for the

[27] See eg in *Scammell (G) and Nephew Ltd v Ouston* [1941]1 All ER 14 where there was an agreement for the purchase of a lorry, with part of the price being the part-exchange of an old lorry with 'the balance of purchase price can be had on hire-purchase terms over a period of 2 years'. This phrase was interpreted as too vague as there were 'numerous forms of hire-purchase transactions, and the multiplicity of terms and details which they involve' so that the plaintiffs were 'faced with what appears to…be a fatal alternative, – namely, either (i) this term of the alleged contract is quite uncertain as to its meaning, and prevents the existence of an enforceable contract, or (ii) the term leaves essential contractual provisions for further negotiation between the parties, with the same result'. See also *Durham Tees Valley Airport Ltd v BMI Baby Ltd* [2010] EWCA Civ 485; *Astor Management AG and another v Atalaya Mining plc and others* [2017] EWHC 425 (Comm).

[28] *Hillas & Co Ltd v Arcos Ltd* [1932] All ER Rep 494, 503; *Astor Management AG (formerly known as MRI Holding AG) v Atalaya Mining plc (formerly known as Emed Mining Public Ltd)* [2017] EWHC 425 (Comm), [64]: 'The role of the court in a commercial dispute is to give legal effect to what the parties have agreed, not to throw its hands in the air and refuse to do so because the parties have not made its task easy. To hold that a clause is too uncertain to be enforceable is a last resort…'.

[29] See eg *Blue v Ashley* [2017] EWHC 1928 (Comm). In this case the claimant sought a payment of £15 million pounds if the claimant could raise the share price of the defendant's company to £8.00 a share. The court held that there was no objective standard to determine the period by which the claimant would need to get the share price to £8, and it was 'a matter which could only be decided by express agreement by the parties themselves' and accordingly no contract was created as it lacked an essential term: '[The claimant failed] to prove that a particular period was agreed within which the share price had to reach £8. That gap is not one which the court can fill. There are many situations in which an agreement is silent about the time within which something must be done and the court can give content to it by implying a term that the obligation will be performed within a reasonable time. But that is only possible when a court can apply some yardstick of what is reasonable' [from 136]. There were other grounds which contributed to this finding, including the way discussions were held (in a pub over drinks, and that there was no written record of the negotiations).

[30] For example, in *Hillas & Co Ltd v Arcos Ltd* [1932] All ER Rep 494 the phrase 'fair specification' in a provision calling for supply of '2,000 standards of softwood goods of fair specification over the season 1930' was legally binding as the contract was made between persons closely involved in the timber trade so that it was possible to apply a standard of reasonableness and give an objective meaning (and determine the quality of the timber to be supplied) to the phrase 'fair specification'. Much will depend on the wording used (and the context in which it is used). There is a difference between the parties to an agreement agreeing that one party would pay a 'fair sum' or a 'fair share' for something but not stating anything more and the different situation where the party would pay a 'fair sum' or a 'fair share' for something but the agreement going on to state that the parties would determine what the meaning of 'fair' meant. In the first instance 'an agreement to pay a [fair sum or] fair share prescribed a purely objective standard or criterion. In the absence of agreement by the parties a court would be able to determine what that share should be by reference to this objective standard' (*Cable & Wireless plc v Valentine* [2005] EWCA Civ 806, [20]). In the latter situation there was 'no unqualified commitment to pay' (from [24]), and accordingly no objective way to get to the meaning of 'fair'.

meaning of the wording used by the parties, the practice in the industry of the parties or using legislation which provides default rules[31]; or

- that the terms will be settled by a third party[32].

However, a court will not generally write the parties' contract for them. So if the contract includes an agreement to agree or a provision which is simply too vague or uncertain, such wording may invalidate either the clause in which such a provision appears, or in the worst case could make the entire agreement unenforceable.

- ***Complying with specified formalities.*** If the parties have negotiated and agreed that a binding agreement will only come into being when a specified formality is observed, then if it is not followed there may be no binding contract at all[33]. For example, the parties state in their draft agreement that there will be a binding contract only if they sign the agreement, but the parties do not in fact sign any document)[34].

1.2.2 Checklist of what will make a contract invalid or void

In addition, the following elements must normally not be present.

- ***Unconscionable bargain, undue influence or duress.*** Commercial contracts are very rarely declared invalid by the courts on these grounds under English law. Neither is it the case that a party can get out of a contract

[31] On this later point, if a contract is silent on the amount a party has to pay for goods supplied by the other party, it may be possible to use the statutory code found in the Sale of Goods Act 1979, s 8(2), that where the parties have not determined the price the buyer must pay a reasonable price. There is a similar provision in the Supply of Goods and Services Act 1982, s 15(1) in connection with the supply of services. The latter Act also provides that if the time for when supplier will supply the services is not specified a term is implied that it will do so within a reasonable time.

[32] See eg *Miles-Martin Pen Co v Selsdon Fountain Pen Co Ltd, Ralf Selsdon and Rebecca Selsdon (No 2)* (1950) 67 RPC 64, CA. This case concerned an agreement to settle patent litigation. The agreement included provisions on certain important issues, eg payments, duration, etc, and stated that the remaining terms would be: 'in the normal terms of a patent licence. In the event of dispute the terms shall be referred to Counsel at the Patent Bar to be agreed by the [parties].' The Court of Appeal decided that this arbitration clause was legally enforceable.

[33] An example is *R (on the application of Mercury Tax Group) v HMRC* [2008] EWHC 2721 (Admin), [2008] All ER (D) 129 (Nov). In this case a person had to sign a number of documents, one of which stated it would be signed as a deed. There was no (legal) requirement that it needed signing as a deed. It was not signed as a deed (ie the requirement to create a deed was not complied with). The judge held that it was not a legally-binding document.

[34] However, in the event of a dispute, particularly where commercial parties are involved concerning a commercial contract, a court will look at the actions of the parties rather than what they have written or agreed to do. For example, in *Reveille Independent LLC v Anotech International UK Ltd* [2015] EWHC (Comm) 165, [2015] All ER (D) 237 (Mar) a short form agreement stated it was not binding on the claimant until both parties signed. One of the parties did not sign the contract, but the parties carried out the provisions of the short form agreement, and acceptance of the contract was held not to have occurred explicitly, but by conduct.

where any of these factors are present. For a contract negotiator or drafter, the ability to recognise these situations should not be entirely overlooked. Such recognition will need to take account of different types of duress:

- duress of the person, threatened or actual or constraint against a person;
- economic duress (sometimes known as duress of goods), where there is a form of illegitimate pressure which is more than commercial pressure (ie sufficient pressure so that the agreement would not have been made at all or on those terms).

It will only be in exceptional cases that an inequality of bargaining power between parties will entitle a party to avoid its contractual obligations, particularly if the contract is between commercial enterprises[35].

- ***Illegality of subject matter***. This element will not be relevant to most commercial contracts[36]. A few examples of the many categories of illegal agreements which are most relevant to commercial contracts and which are not enforceable as a matter of public policy, include agreements to commit a criminal act and agreements to oust the jurisdiction of the court[37], champerty (eg selling the right to litigate a personal claim[38]), lobbying and bribery[39], trading with an enemy, or a contract which involves doing something illegal in another country which is not an enemy.

1.2.3 Checklist of matters which might make the contract or particular provisions unenforceable

Typically, the following matters will not prevent the contract from coming into existence as such, but may make the contract (or some of its provisions), legally unenforceable:

- ***Anti-competitive terms***. Do the terms fit within an UK or EU block exemption regulation[40]? Is the agreement unenforceable for (common

[35] *Pao On v Lau Yiu Long* [1980] AC 614, PC, per Lord Scarman: 'In a contractual situation mere commercial pressure is not enough to constitute economic duress.' The exact scope and application of these concepts is hard to specify. Specialist advice should be sought before alleging that any form of duress or undue influence has occurred.

[36] Unless common law restraint of trade is included in this category; see the comments at **1.2.3** on anti-competitive agreements.

[37] With some exceptions, for example, as permitted by the Arbitration Act 1996.

[38] See eg *Farrar and another v Miller* [2022] EWCA Civ 295, [51] where it was held that a 'champertous agreement not sanctioned by the [Courts and Legal Services Act 1990] remains contrary to public policy and is therefore unenforceable'.

[39] *Lemenda Trading Co Ltd v African Middle East Petroleum Co Ltd* [1988] QB 448. Also criminal provisions under the Bribery Act 2010.

[40] Such as providing block exemption from Article 101 of the EU Treaty, such as the Technology Transfer Regulations, Regulation 316/2014/EC or the Exclusive Distribution Regulations, Regulation 1400/2002/EC.

law) restraint of trade? Have the parties carried out an evaluation as to whether competition law applies?

- ***Penalty clauses***. Under English law a penalty clause in a contract is normally unenforceable but a liquidated damages clause is enforceable. If the agreement states that the consequences of a particular breach of contract are that the party in breach must pay the other party a fixed sum, is that sum a 'genuine pre-estimate' of the loss which the innocent party will suffer as a result of the breach (and is it stated to be such in the agreement)? If so, it may be upheld as a legitimate liquidated damages clause; if not, it may be struck down as a penalty clause. A penalty clause will normally exist where the stipulated sum is extravagant and unconscionable in comparison with the greatest loss that could conceivably be proved to have followed from the breach and does not serve a legitimate interest of the party for whose benefit the clause exists[41].

  Suggestion: at the time of drafting a liquidated damages clause, obtain (documented) evidence as to how the 'genuine pre-estimate' is calculated or established, and keep this evidence on file in case of dispute.

- ***Frustration***. If the parties cannot perform the agreement for reasons outside the control of one or more of the parties, the contract may be frustrated, in which case the agreement will come to an end. A party or the parties may not wish this to occur, but there is no automatic provision in English law allowing performance to be suspended for the duration of the frustrating events, comparable to Continental laws of force majeure. Consequently, English law agreements commonly include a force majeure clause, inserted by the contract drafter, which allows the agreement to continue in this type of situation, with performance usually being suspended until the *force majeure* event is not present or operating[42].

- ***Mistake***. Occasionally, contracts are held to be void or unenforceable because of 'mistake', for example, if the parties entered into the

[41] The established principles regarding what constitutes a penalty clause were set out by Lord Dunedin in *Dunlop Pneumatic Tyre Co Ltd v New Garage and Motor Co Ltd* [1915] AC 79, HL. Following the case of *Cavendish Square Holding BV v El Makdessi, ParkingEye Ltd v Beavis* [2015] UKSC 67, the principles in the above case will continue to apply, at least for simple contract cases. The question of what is a penalty clause will depend on a number of factors including what legitimate interest is being served by the party who is imposing it and whether the sum being demanded is out of all proportion to that legitimate interest, or the amount sought is extravagant, exorbitant or unconscionable. However, this latter case did not provide a clear statement on the law concerning penalty clauses, as there were a series of divergent opinions by the judges. The way such a provision is described in a contract is unlikely to be determinative as to its nature and a court will look at the reality or substance of the clause.

[42] Typical events which are set out in a *force majeure* clause include riots, strikes, floods etc. The precise extent and situations will depend on the wording in the clause. See Clause 8.1 in Precedent 1 in Appendix for example wording.

contract on the basis of an assumption which turns out not to be true[43], or where there is a mistake as to the existence of the subject matter of the contract[44]. There are strict rules as to when this remedy is available. One of the categories of mistake is known by the Latin phrase *non est factum* (literally 'not my deed', but better understood as 'not my act'). In a very few cases it has been held that where a party is misled into signing a document essentially different from that which the party intended to sign, the document is void. Most of these cases involve fraud, and are a very limited exception to the general principle that a party is bound by his signature to a document, whether he reads or understands it, or not.

- ***Insolvency, bankruptcy, winding-up and death***. The winding-up or insolvency of a company, or the bankruptcy or death of an individual, may cause a contract to which that company or individual is a party to be unenforceable. Commercial contracts commonly include provisions which allow for termination of the contract on the insolvency of a corporate party[45]. Insolvency laws may override provisions in a contract, for example, allowing a liquidator of a company to terminate an agreement which imposes 'onerous' obligations on the company.

- ***Breach of conditions and essential terms***. The law in this area is complex; for drafting purposes it is important to be aware that if a provision is described as a 'condition', 'condition precedent' (or 'pre-condition'), or 'condition subsequent', or as being 'of the essence', or an 'essential term' of the contract, breach or failure to comply with that provision could lead to the contract either not coming into existence at all (as in the case of some conditions precedent), or making the agreement unenforceable, or terminable by the other party.

  Suggestion: Use the word 'provisions' in the text of the agreement, rather than 'terms' or 'conditions' to avoid an inappropriate meaning being inadvertently given by use of the word 'condition'; if certain provisions are intended to be 'conditions' in a formal sense, consider spelling out the consequences of breach of such provisions in the termination clause, to avoid uncertainty.

- ***Misrepresentation***. The classic example of a representation is the over-enthusiastic salesperson making statements about the product s/he is selling and which are then relied upon by the purchaser. Even where

[43] In *Bell v Lever Bros Ltd* [1932] AC 161 the House of Lords laid down the test for when mistake can result in a contract being set aside. The mistake must 'relate to something which both [contracting parties] must necessarily have accepted in their minds as an essential element of the subject matter'.

[44] In *Couturier v Hastie* (1856) 5 HL Cas 673, the parties contracted over a cargo of corn which both believed to be in transit from Salonica. However, the corn had deteriorated so much on the journey that the ship's master sold it before it deteriorated completely. This fact was unknown to both parties and the House of Lords set aside the contract on the ground that there was a failure of consideration.

[45] See Clause 7.2(2) in Precedent 1 in the Appendix for example wording.

the contract includes a statement by the purchaser acknowledging that the purchaser has not relied on any representations which are not set out in the contract, the seller may nevertheless be liable for certain types of misrepresentation. The purchaser may also be able to terminate the contract as a result of the misrepresentation, or the terms of the contract may be varied by a collateral contract or implied term reflecting the representation. The drafter may wish to identify what statements have been made and expressly incorporate them into the contract or cause them to be withdrawn prior to execution of the written agreement.

- ***Excluding liability for death or personal injury***. A party should never include a provision that excludes or limits its liability for personal injury or death resulting from its negligence[46].
- ***Expiry of limitation period or unreasonable delay***. Ultimately, contracts are enforceable, or not, by court action (or by arbitration/mediation). If a court action for breach of contract is brought more than six years after the cause of action accrued (in the case of contracts under hand, with some exceptions) or more than 12 years after the cause of action accrued (in the case of deeds), the action will be time-barred. A separate doctrine of laches allows the court to dismiss an action if there has been an unreasonable delay in bringing the action.
- ***Law and jurisdiction***. Is the agreement made under English law and subject to the jurisdiction of the English courts? If not, or if this is not clearly stated in the agreement, and there is any international element to the agreement (eg non-English parties or a place of execution or performance outside England), foreign laws or foreign court practices may mean that the agreement is not legally enforceable, even though the agreement is valid and enforceable under English law.

1.2.4 Examples of when a contract will be found

The following list provides a useful summary of when a contract will exist (and the points reflect some of the situations commercial parties are likely to find themselves in)[47]:

- ***Where no contract exists***: a contract is likely not to come into existence (on ground of uncertainty):
    - o if there is use of the phrase: 'to be agreed' in relation to an essential term; or

[46] Unfair Contract Terms Act 1977, s 2(1) for non-consumer contracts; Consumer Rights Act 2015, s 65 for consumer contracts.

[47] Drawn from *Mamidoil-Jetoil Greek Petroleum Co SA v Okta Crude Oil Refinery AD* [2001] EWCA Civ 406, [2001] 2 All ER (Comm) 193 at [69], dealing with situations in which such intentions can be found where commercial parties are involved.

- if there is no agreement on essential terms;

- ***The court assisting parties to carry out a contract***: the courts will imply terms (where it is necessary to do so) for the parties to carry out a contract, where:
  - there are pre-existing commercial dealings between parties; or
  - the parties are familiar with the trade/subject matter of the contract;
  - the contract in question is part of a series of package of agreements or contracts all concerning the same subject matter; or
  - the parties have acted in the belief that there is a binding contract.

- ***Where a contract exists but not everything that needs agreement is agreed***:
  - where there are future executory obligations which are labelled 'to be agreed' the contract may continue to exist;
  - where there is a contract which is for performance over a period and there are matters the parties wish to leave for adjustment as the contract is performed, the courts will help the parties to do so, and the proposition will in particular apply where a party either:
    - has had the advantage of some performance which reflects the parties' agreement on a long-term relationship; or
    - has had to make an investment based on that agreement;

- ***Implying terms***: The courts:
  - will act where there is an express stipulation for a reasonable or fair measure or price; or
  - will imply an obligation as to what is reasonable even in the absence of express language; or
  - will use (but not be limited by) the statutory provisions for implying a reasonable price or a reasonable time so that:
    - for the Sale of Goods Act 1979, s 8(2), if the price for goods is not fixed by the contract the buyer must pay a reasonable price;
    - for the Supply of Goods and Services Act 1982, s 15(1), if the price for services is not fixed by the contract or the course of dealings between the parties, the party contracting with the supplier is to pay a reasonable amount; and
    - for the Supply of Goods and Services Act 1982, s 14(1), if the time for carrying out services is not fixed by the contract, or is left to be fixed in a manner as set out in the contract or is as result of the course of dealing between the parties then the supplier will carry out the service within a reasonable time.

- ***The role of arbitration***: An arbitration clause may help a court to hold a contract as sufficiently certain (or rendered so), because:
    - the clause provides a commercial and contractual mechanism; and
    - with that mechanism being operated by experts in which the parties operate, and where the parties cannot agree, the experts can resolve the parties' dispute.

1.3 Pre-contractual documents

1.3.1 Introduction

Before entering into a main contractual agreement, the parties sometimes enter into two other types of agreement first, either before they commence negotiations, or during the course of their negotiations:

- *a confidentiality agreement*: This type of document has the purpose of indicating that some or all of the information that one or more of the parties provides is confidential and secret (and also, sometimes, that their discussions are confidential and secret);
- *a heads of agreement*: This type of agreement has several purposes, such as setting out the (outline) commercial provisions that the parties have negotiated or will negotiate. Sometimes some or all the provisions of this type of document are binding.

This section considers the second type of agreement, the heads of agreement.

1.3.2 Terminology

Before discussing the meaning of a 'heads of agreements', it is useful to discuss the meaning of the terms 'contract' and 'agreement'. In common legal usage these terms mean the same thing[48]. Most written contracts are described within their text as agreements (the opening line of a conventionally drafted commercial contract commonly begins 'This Agreement dated …').

Occasionally different terms are used. For example:

- intellectual property licences sometimes begin 'This Licence dated …'; or
- a document authorising another person to do something begins 'This Power of Attorney dated …'[49].

[48] A House of Lords (what would now be a Supreme Court) judge (Lord Diplock) once famously defined a contract as a bisynallagmatic agreement. This phrase caused many lawyers and judges to refer to their dictionaries. It turned out that 'bisynallagmatic' meant that the parties to the agreement entered into mutual obligations.

[49] Although neither of them need to be contractual documents.

The expression 'Memorandum of Agreement' was sometimes used in written agreements. It is less frequently encountered nowadays, and in any case, the phrase has an old-fashioned ring to it and its use is unnecessary.

Terms such as 'contract', 'agreement' and 'memorandum of agreement' are generally used to refer to a legally binding agreement.

1.3.3 Types of document

Sometimes commercial parties wish to sign a document which is not described as a 'contract' or 'agreement'. Instead, they call the document a 'Heads of Agreement', 'Letter of Intent' or some other name. Often such documents are created at the start of the parties' negotiations or at a particular point in their negotiations[50]. The terms most commonly in use are the following:

- Heads of Agreement;
- Heads of Terms;
- Term Sheet;
- Letter of Intent;
- Letter of Agreement or Letter Agreement;
- Memorandum of Understanding;
- Comfort Letter.

Some of these terms are used less consistently by commercial parties as to their purpose or whether the parties wish to enter into a binding agreement on some or all of the provisions contained in such a document.

1.3.3.1 Heads of agreement, heads of terms and term sheet

The expression 'Heads of Agreement' is generally used to describe the important commercial terms which parties negotiate, sometimes without the involvement of their lawyers. Typically, once the parties have signed or initialled the Heads of Agreement, the parties will negotiate a fuller, more detailed agreement incorporating the provisions of the Heads of Agreement. The expressions 'Heads of Terms' and 'Term Sheet' are often used in a similar way.

Sometimes the parties intend these documents to be legally binding; sometimes not. Often their intention is that they will negotiate a more detailed agreement after signing the Heads of Agreement. But such a document may be unclear

[50] Such as when they reach agreement on some points and wish to document on what they have agreed before moving onto other matters.

about what is to happen if the parties fail to reach agreement on the more detailed terms. Do the Heads of Agreement take effect as a final agreement or not? A further refinement sometimes encountered is that a document entitled 'Heads of Agreements' contains some provisions which are binding and some which are not. For example the Heads of Agreement may include provisions concerning obligations of confidentiality and for one or more of the parties to carry out some initial work while the parties are negotiating a more detailed agreement[51]. Much will depend on the wording the parties choose in which to express the points set out in the Heads of Agreement, even though there may be a common presumption that such a document is not legally binding[52].

1.3.3.2 Letter of intent

The expression 'Letter of Intent' is typically used in negotiations where one party wishes to give reassurance on some point to another party, but the first party does not wish to be legally bound by the reassurance it is giving. For example:

- a letter of intent might state that a party intends to continue commercial negotiations with the other party; or
- the first party involved in negotiations is a large company and the second party is seeking finance from a bank, another lender or a venture capitalist. The second party may request a letter of intent from the first party, which the second party will use to demonstrate that it has good prospects for its future generally or in relation to a specific transaction.

The distinction between a 'Letter of Intent' and a 'Heads of Terms' etc is in reality little more than the choice of words used by the contract drafter.

It is possible to distinguish a letter of intent from a formal parent company guarantee, as only the latter is a formal, legally binding agreement.

[51] If the parties, for example, are negotiating an agreement where one party will develop software for the other, the Heads of Agreement might include a binding provision concerning the preparatory work and development of a specification that the party who is the software developer will carry out. Making such provisions binding can be for several reasons, such as the timescale involved in completing the overall development is likely to be long and the parties do not wish to face delay once a full binding agreement is signed. Such provisions are more suitable for inclusion where there is a discrete task with a recognised end point (such as in this example, by the production of a report setting out the specification).

[52] *New Media Holding Company LLC v Kuznetsov* [2016] EWHC 360 (QB), [104] the judge in commenting on the phrase 'Term Sheet' noted that parties often use such a document as a framework agreement or template to allow the parties to generate and negotiate a fuller, more detailed agreement but '… there is no absolute rule that documents described as "Term Sheets" are framework documents and cannot be contractual. The nature of a particular agreement reached depends on its own particular wording and what was intended, viewed objectively'.

1.3.3.3 How to avoid ambiguity as to whether a Heads of Agreement is legally binding?

In all these cases to avoid ambiguity, the only way to be certain on whether a document is legally binding is to state explicitly in the document itself what is its status and what is to happen if the parties cannot reach agreement on a more detailed document. Where it is clear that the parties do not wish to enter into legal relations based on a document labelled 'Heads of Agreement' (or some other formulation):

- at a minimum the document should be headed 'subject to contract'[53]; or
- more specifically should state the document is not legally binding, such as:

> Subject to contract. This document (or any other document) or any negotiations are not intended to create a legally binding relationship between Party A and Party B. A contract will only come into existence when a written agreement is signed by Party A and Party B.

1.3.3.4 'Subject to contract'

The issue of whether a document which has the label 'subject to contract' is binding or non-binding is important. Normally it means that the parties:

- do not intend that the wording set out in their document is legally binding; and
- will not enter into legally-binding obligations until they execute a formal, written contract or comply with some formality (such as by signing a document containing the final version of what they have agreed).

[53] An illustration of the danger of not clearly stating the (non-)legal relationship of discussions and documents exchanged between parties is found in *DMA Financial Solutions Ltd v BaaN UK Ltd* [2000] All ER (D) 411. The use of the words 'subject to contract' should normally cover the document to which this phrase is applied, and subsequent documents and negotiations. However, there should not be anything in the conduct of the parties (whether expressly or by implication) to make any subsequent document or communication legally binding, see *Confetti Records (a firm) v Warner Music UK Ltd (t/a East West Records)* [2003] EWHC 1274 (Ch), [2003] All ER (D) 61 (Jun). See also *Rugby Group Ltd v ProForce Recruit Ltd* [2005] EWHC 70 (QB), [2005] All ER (D) 22 (Feb). In this case the following words were in a document: 'In addition to the normal terms and conditions that exist between Rugby Cement and Proforce, it is also agreed that, subject to contract, the following conditions will apply.' It was held (at [16]): 'In general, except in a very strong and exceptional case, the effect of [words such as 'subject to contract'] in an agreement is to prevent an executory contract from coming into existence because they are taken to mean that until a further contract has been executed neither party is to owe the other any contractual obligation. However, in this case, save for the alleged breach, the agreement cannot be regarded as being executory because after it was signed the parties did those things that the agreement contemplated that each should do for the benefit of the other'. Although the Court of Appeal later overturned the decision of the judge at first instance, this was on other grounds: see *Rugby Group Ltd v ProForce Recruit Ltd* [2006] EWCA Civ 69, [2006] All ER (D) 247 (Feb).

Once used, the phrase will normally extend to any negotiations between the parties and any subsequent documentation they generate or exchange[54]. But in itself the label fails to look at the bigger picture, that is the actions and intentions of the parties. The courts have repeatedly made it clear that what is important is not the labels that parties put on their documents or their actions, but rather to examine the reality of their relationship. Some of the possible variations as to what might occur if the parties do not enter into a final, signed agreement include:

- the parties agree a non-binding Heads of Agreement, which contains outline commercial provisions, then start performing some of them, but never enter into a final signed agreement; or
- a variation on the first point, subsequent to the non-binding Heads of Agreement, the parties produce different draft agreements, none of which are finalised, but the parties perform some of the provisions; or
- the parties enter into a binding Heads of Agreement which has a fixed duration but contains key terms and the parties perform some of them (beyond the fixed duration period) but never sign a final version of an agreement.

The dangers for the parties are that a court might find:

- there is no contract between parties at all (despite their subsequent conduct);
- there is a binding contract, but it does not contain anything negotiated and agreed subsequent to the Heads of Agreement;
- there is a binding contract, but the provisions are what was negotiated and agreed subsequent to the Heads of Agreement.

These are all possible outcomes (and are based on recent decisions of higher English courts)[55].

[54] *Generator Developments Ltd v Lidl UK GmbH* [2018] EWCA Civ 396, [79] provides a modern judicial state of its meaning: 'The meaning of that phrase is well-known. What it means is that (a) neither party intends to be bound either in law or in equity unless and until a formal contract is made; and (b) that each party reserves the right to withdraw until such time as a binding contract is made. It follows, therefore, that in negotiating on that basis [the parties] took the commercial risk that one or other of them might back out of the proposed transaction … the use of the "subject to contract" formula means that the parties are not committed either in law or in equity … In short, a "subject to contract" agreement is no agreement at all.'

[55] See *RTS Flexible Systems Ltd v Molkerei Alois Müller GmbH & Co KG* [2010] UKSC 14 (also see fn 3); *Investec Bank (UK) Ltd v Zulman* [2010] EWCA Civ 536; *Immingham Storage Co Ltd v Clear plc* [2011] EWCA Civ 89. The court will need to rake through all the documentation, establish what has occurred, and what people involved in the negotiations and performance have said and written, in order to reach a decision as to what were the objective intentions of the parties, and this might be very different to what one or all the parties thought were their intentions. These recent cases provide illustrations of how hard it is to determine what might be the result.

1.3.3.5 Comfort letter

A slightly different category of document is a 'comfort letter'. Their use normally occurs in a situation such as where there is a contract made by one party (which is a subsidiary of another (parent) company) and another party. Here the parent company writes to the other contracting party to provide reassurance that it intends to continue financing the activities of the subsidiary. Like the other expressions in this section a comfort letter does not have a fixed meaning, and the provider of the comfort letter can be a party itself (rather than a parent company)[56]. The use of a comfort letter is intended to have a similar legal effect to a letter of intent, that is it is normally not legally binding[57].

1.3.3.6 Letter agreement

Finally, the expression 'Letter Agreement' (or 'Letter of Agreement') usually means simply an agreement which is drafted in the form of a letter, and which takes effect when the recipient countersigns the letter (or, more usually, a second signed copy) and returns it to the sender. Typically, this format is used for short agreements and where a party wishes to adopt a 'friendly' format; letters are perceived as being more friendly than a contract drafted in conventional legal format. Again, it is recommended that the parties specifically state in the wording of the letter agreement what is its status[58].

[56] See eg *Etihad Airways PJSC v Flöther* [2019] EWHC 3107 (Comm), where the supplier of finance to the defendant company was itself the provider of the comfort letter.

[57] See eg *Etihad Airways PJSC v Flöther* [2019] EWHC 3107 (Comm), [102] where there was a presumption that a comfort letter was not contractually binding because it was subject to English law. (On appeal the Court of Appeal made the same assumption, [2021] EWCA Civ 1707, [13]). The case principally concerned whether the courts of England and Wales or Germany would have jurisdiction, but the status of the comfort letter (and whether it was legally binding) was considered. The parties entered into a Facility Agreement (for the claimant to provide finance to the defendant company) and at the same time the claimant signed a comfort letter. The comfort letter expressed an intention for the claimant to support the defendant so that the defendant could meet its financial obligations for a period of 18 months. It contained no law and jurisdiction clause. However, the Facility Agreement contained among the provisions concerning law and jurisdiction the following: 'This Agreement and all non-contractual obligations arising from or connected with it are governed by English law … The courts of England have exclusive jurisdiction to settle any disputes arising out of or in connection with this Agreement (including a dispute relating to non-contractual obligations arising from or in connection with this Agreement …'. Because of: (i) the width of the law and jurisdiction clause (and because it specified English law and the jurisdiction of the English courts), (ii) the comfort letter's closeness to the Facility Agreement, (iii) it being part of the 'package of agreements' with the Facility agreement, (iv) it not having a law and jurisdiction clause; and (v) the fact that the claimant had a good arguable case that the comfort letter did not create contractually binding obligations, among other factors, they all pointed out that any dispute in relation to the comfort letter would be subject to the jurisdiction clause of the Facility Agreement, although the latter did not specifically refer to the comfort letter.

[58] However, courts do not necessarily pay attention to the words used in a contract when the fact of the contract says something different. In *G Percy Trentham Ltd v Archital Luxfer Ltd* [1993] 1 Lloyd's Rep 25, the Court of Appeal held that a contract could be concluded by conduct, regardless of what was stated in words. Similarly, in *Immingham Storage Co Ltd v Clear plc* [2011] EWCA Civ 89, the court ignored a clause in the draft agreement that there would not be a binding contract unless parties signed the draft agreement.

1.4 Must the contract be in writing?

It is possible to make many types of contract which will be legally enforceable under English law without any written record or other formality. An example of such a contract is the purchase of items from a shop (such as food or clothes and such contracts are normally made orally or without any human interaction at all between the shopper and any employee of the shop (if a self-scan till is used)). This lack of formality does not mean that the transaction is not a legally binding contract – far from it. The same legal rules which make a contract for the purchase of an item from a shop legally binding apply also to commercial contracts of far greater value and importance.

The following are the main types of contract (or related documents) which are most relevant to commercial contracts, that must be in writing (and signed in some cases) for them to be legally binding[59]:

- contracts for the sale or other disposition of an interest in land[60];
- guarantees (ie guaranteeing performance of the obligations of another)[61];
- certain types of negotiable instrument (bills of exchange and cheques)[62];
- absolute assignment of any debt or other legal thing[63];
- certain types of consumer credit agreement[64];
- certain types of insurance contract[65];
- arbitration agreement (for the Arbitration Act 1996 to apply)[66];

[59] Statute of Frauds 1677, s 4, which requires the document to be in writing, or evidenced in writing, and signed. *See Golden Ocean Group Ltd v Salgaocar Mining Industries PVT Ltd* [2012] EWCA Civ 265, [1]–[6] which, in outline, sets out the reasons for the continual relevance of this statute.

[60] Under the Law of Property (Miscellaneous Provisions) Act 1989, s 2. The contract must be in writing and signed by or on behalf of each party to the contract.

[61] Statute of Frauds 1677, s 4: 'no action shall be brought … whereby to charge the defendant upon any special promise to answer for the debt default or miscarriage of another person … unless the agreement upon which such action shall be brought or some memorandum or note thereof shall be in writing and signed by the party to be charged therewith or some other person thereunto by him lawfully authorised' (edited to translate into modern English) (as amended). The Statute of Frauds does not apply to indemnities: *Yoeman Credit Ltd v Latter* [1961] 2 All ER 294 at 296.

[62] For example, bills (Bills of Exchange Act 1882, s 3(1)), cheques (ibid, s 73) and promissory notes (ibid, s 83).

[63] Law of Property Act 1925, s 136(1). The assignment must be absolute and not conditional, and express notice must be given to the debtor. Such an assignment can be made without consideration for it to be effective: *Harding v Harding* (1886) 17 QBD 442; *Re Westerton* [1919] 2 Ch 104. Subject to compliance with the formalities and conditions of this section, the assignee can pursue the debtor in the assignee's own name and without joining the assignor as a party to any action.

[64] See Consumer Credit Act 1974, in relation to loans, hire purchase agreements, mortgages, etc.

[65] For example, under the Marine Insurance Act 1906.

[66] Arbitration Act 1996, s 5.

- main terms of a contract of commercial agency[67]; and
- assignments of patents, trade marks, copyright and registered designs[68], and other intellectual property.

Many types of commercial contract do not fall within the above categories, and therefore do not need to be in writing for it to be legally binding. In the United States, it appears that a Statute of Frauds continues to provide that contracts over a certain value must be evidenced in writing[69]. Other countries require certain types of contract to be in writing and/or signed with particular formalities[70]. In practice, most significant commercial contracts (both domestic and international) are in writing; this will generally be essential to avoid uncertainty as to exactly what terms have been agreed.

1.5 Other requirements as to the form of the contract: advantages of deeds

There are two main types of contract:

- contracts which are simply signed by, or on behalf of, the contracting parties ('executed under hand')[71]; and
- contracts which are signed as deeds and comply with the other formalities of deeds ('executed as deeds').

In most cases the contracting parties are free to choose whether to execute their contract under hand or as a deed. The main practical advantages – or disadvantages, depending on one's view – of executing a contract as a deed are:

[67] Commercial Agents (Council Directive) Regulations 1993, SI 1993/3053, reg 3. The principal and the agent are each entitled to receive from the other a written document setting out the terms of the contract of agency between them (including any terms subsequently agreed). The party sending their document must sign it.

[68] Patents Act 1977, s 30(6); Trade Marks Act 1994, s 23(3); Copyright, Designs and Patents Act 1988, s 90(3); and Registered Designs Act 1949, s 15B(3) respectively. In each case, the assignment must be signed by the assignor (or on the assignor's behalf).

[69] See the Uniform Contract Code, 2–201: 'Formal Requirements; Statute of Frauds. (1) Except as otherwise provided in this section a contract for the sale of goods for the price of $500 or more is not enforceable by way of action or defense unless there is some writing sufficient to indicate that a contract for sale has been made between the parties and signed by the party against whom enforcement is sought or by his authorised agent or broker. A writing is not insufficient because it omits or incorrectly states a term agreed upon but the contract is not enforceable under this paragraph beyond the quantity of goods shown in such writing.' Some aspects of US commercial law appear to share a common origin with English commercial law, eg a Statute of Frauds, and a statutory implied term of merchantability in contracts for the sale of goods, even though the current expression of such laws diverges significantly from English law.

[70] Under French law, it is understood that certain types of contract affecting *ordre public* must also be in the French language and subject to the jurisdiction of the French courts.

[71] 'Signing' does not require the actual putting of pen to paper, but could be the typing of a name on an electronic version of an agreement, the use of a rubber stamp with a name and so on.

- ***No need for consideration.*** Contracts under hand are generally not legally enforceable if 'consideration' (something of value) does not pass to or from the parties to the contract[72]. Sometimes a nominal amount (eg £1) is inserted into the contract to ensure that the contract does not fail for want of consideration. However, in the commercial context, even if a specific sum is not mentioned, a court is still likely to find consideration where there is something of value provided or a forgone by a party[73].
- By contrast, ***contracts executed as deeds*** will generally be legally binding even though they lack any consideration (because no amount is stated in the contract, or there is nothing of value which is exchanged between the parties). Parties sometimes execute their contracts as deeds to avoid uncertainty concerning the existence of consideration or the consideration being of the right 'type'[74], particularly where there are doubts over whether:
  - consideration has passed from one party to the other[75];
  - the consideration is past consideration[76];
  - when a contract is amended whether all the parties are providing consideration[77];
  - there is nothing in the contract which is directly provided by one party to another in exchange for what the other party is providing, and it is only possible to infer consideration from a (complex) set of facts or other agreements or documents[78].

[72] Taking the example of the domestic supplies purchase mentioned earlier, the shop provides consideration in the form of the items it sells, and the purchaser provides consideration in the form of the price paid for those supplies. What needs to be provided is something of value (whether monetary or non-monetary), but what worth the something has is generally not relevant.

[73] See *New Media Holding Company LLC v Kuznetsov* [2016] EWHC 360 (QB), [106], [114], [119], [120] for an example where consideration did not pass from one party to another under the contractual document in dispute, but in the context of the relationship between the parties would be found in another agreement yet to be agreed. See also fn 12.

[74] *Johnsey Estates Ltd v Lewis Manley (Engineering) Ltd* (1987) 54 P & CR 296 at 284, CA. Glidewell LJ said that it was the existence of the consideration which is important and not the amount of the consideration.

[75] *Tweddle v Atkinson* (1861) 1 B & S 393. This covers the situation where Party A offers to provide goods or services to Party B, but Party B offers to pay Party C a sum of money.

[76] *Re McArdle* [1951] Ch 669. This covers the situation where Party A provides some services or goods to Party B, and then later after Party A has made her or his offer to provide the goods or services (or has in fact provided them) Party B then decides to pay a sum of money to Party A. A situation where there is no past consideration is where Party A offers to provide services or goods to Party B in return for a promise by Party B to pay for the services or goods.

[77] For example, the parties may amend a contract where a supplier of goods will supply more of the goods, but for the same price as in the original contract. In such a case there is nothing provided which is 'extra' over the original price by the payor. Making the amending document to the contract as a deed avoids any problems or argument over whether the payor has supplied consideration for the extra goods.

[78] See fn 73.

- ***Extended limitation period.*** Usually it is not possible to bring a case for breach of contract more than six years after the date on which the cause of action accrued. However, for contracts (and other documents) that are executed as deeds the limitation period is extended from six to twelve years[79].

1.5.1 Use of seals

It used to be necessary to use a seal to create a valid deed, but it is no longer a requirement for individuals and for most types of companies[80]. However, certain companies or organisations must continue to use a seal when executing a deed (eg corporate bodies which are not formed or regulated by the Companies Act 2006[81]). Examples of the types of organisations and persons subject to this requirement are a large number of 'public' bodies such as local authorities, certain government ministers (and their departments), the Information Commissioner, the British Museum, universities incorporated by Royal Charter, etc. How (and when) they have to use their seal is found in their constitutional documents (or Acts of Parliament)[82]. For example, for a university incorporated by Royal Charter, the requirement for a seal and its use will be set out in the Charter itself as well as in regulations concerning the management of the running of the university.

1.6 No formalities for execution of contracts under hand

There are no special requirements as to the form of a contract under hand – they are simply signed by each of the parties. There is no need for the witnessing of the signature. Where the contracting party is a company, a single authorised signatory commonly signs the agreement 'for and on behalf of the company'. Under English law it is also possible to execute a contract *by* a company itself, or *on behalf of* a company, in a number of different ways:

[79] Limitation Act 1980, s 5.

[80] Following the coming into effect of Law of Property (Miscellaneous Provisions) Act 1989, s 1(1)(b) (for individuals) and Companies Act 1985, s 43 (for companies formed or regulated by the Companies Act 2006).

[81] For more on this point, see Anderson and Warner *Execution of Documents – A Practical Guide* (3rd edn, 2015, Law Society).

[82] The default position is normally that one or more member(s) of the governing body must sign the document and/or the seal must be applied in their presence. In practice, particularly for larger organisations of this type, there are often policies in place where certain types of document are signed by a senior official or manager of the organisation and the seal does not need to be applied in the presence of the governing body. Unfortunately, each organisation's constitution/governing documents and policies should be checked for the precise procedure.

- ***By the company***. The contract may be executed by a company *itself*, by writing[83]:
  - under its common seal[84]; or
  - by:
    - two directors; or
    - a director and the company secretary; or
    - a director in the presence of a witness signing[85]; and
  - the contract being expressed to be executed by the company[86].
- ***On behalf of a company***. Alternatively, it is possible to execute the contract on behalf of a company, by any person acting under its authority, whether express or implied[87]. Other than for the most important contracts (or in a small company), this is the way contracts are usually executed by companies. In this way, a director of the contracting party is not required to sign. Particularly in the case of larger companies (where non-directors have authority to sign even important contracts on behalf of the company), by preference there is use of this method of executing contracts rather than having the contract signed by the company (as described above).

In addition, a contracting party may appoint someone to act as its agent to enter into contracts on its behalf. It is sometimes understood that where a contract is signed for another party, this refers to acting in an agency capacity. However, it would be unwise to rely on this assumption, and better to state specifically the nature of any agency relationship[88], hence the different usages of the terms 'by', 'for' and 'on behalf of'. There are practical examples of execution clauses in Chapter 2.

[83] Companies Act 2006, s 43(1)(a).

[84] Companies Act 2006, s 44(1). A company no longer needs to have a common seal: Companies Act 2006, s 45(1). The articles of association of a UK company will set out how to use a seal if a company chooses to do so – for example, see the model articles for private companies limited by shares, art 49 (in Companies (Model Articles) Regulations 2008, SI 2008/3229, Sch 1). Here the seal is applied and then the document is signed by a director (in the presence of a witness, who also signs), or two directors, or a director and the company secretary or someone authorised by the directors sign the document (art 49).

[85] Companies Act 2006, s 44(1), (2) and (3). A document is validly executed by a company if it is signed on behalf of the company by: (i) two authorised signatories; or (ii) a director in the presence of a witness. An authorised signatory is a director of the company, and, if the company has one, a company secretary.

[86] Companies Act 2006, s 44(4).

[87] Companies Act 2006, s 43(1)(b).

[88] In *Southern Water Authority v Carey* [1985] 2 All ER 1077 it was held that for someone to be regarded as acting as an agent, they must be at least within the contemplation of the main contractors at the time the document was signed. Thus for a 'third party' to have the authority to sign a contract as an agent of one of the main contractors there has to be something expressly conferring authority on that third party – a mere contemplation is not sufficient. The most obvious way to achieve this is in the document/contract itself.

Some additional permitted methods of execution of an English law contract by a foreign company are referred to later in this chapter, in the discussion of execution of deeds by a foreign company.

It is possible to contrast the relative lack of formality in executing an English law contract under hand with the position under the laws of other countries. For example, in some countries it is necessary for two representatives of a corporate party to sign the contract, or sometimes the parties need to sign before a notary.

1.7 Formalities for execution of deeds by individuals

In contrast to the signing of a contract under hand, the signing of a contract (or other type of document) as a deed must comply with the formal, legal requirements for execution of deeds under English law. There are different requirements[89] where execution of a document as a deed is by individuals, UK companies[90] and non-UK companies. These are summarised as follows.

For an individual to validly sign a deed they need to comply with certain formalities:

- The ***use of a seal is no longer required***. It is no longer necessary to use a seal where a deed is executed by an individual[91]. The traditional phrase 'signed, sealed and delivered' summarised the former legal requirements for execution of a deed by an individual[92].
- ***A document must state clearly that it is to be a deed***. It must be made clear on the face of the document that it is intended to be a deed by the person or parties making the deed[93].
- ***A document must be 'validly executed' as a deed***. It is possible for the document to be executed by:
    - the person, or a person authorised to execute it in the name, or on behalf of, that person; or
    - by one or more of those parties or a person authorised to execute it in the name, or on behalf of, one or more those parties[94].

[89] See the Law of Property (Miscellaneous Provisions) Act 1989, s 1 and the Companies Act 2006; and in the case of companies incorporated outside the UK, see Overseas Companies (Execution of Documents and Registration of Charges) Regulations 2009, SI 2009/1917.

[90] See definition in the Companies Act 2006, ss 1, 2, 3 and 1171.

[91] It has now been made clear by statute that the use of a seal alone will not make a document a deed: Law of Property (Miscellaneous Provisions) Act 1989, s 1(2A).

[92] Although it is common still to see documents from the US which state that an individual is using their seal.

[93] It is possible to do this in a number of ways, such as stating at the beginning of the document: 'this deed dated …' or at its end that it is being executed or signed as a deed.

[94] Law of Property (Miscellaneous Provisions) Act 1989, s 1(2)(b).

- ***Meaning of 'validly executed'.*** To be a deed the document must be signed either:
  - by the individual in the presence of a witness who attests the signature; or
  - (if the individual does not or cannot sign the document) by another person at the direction of the individual, and that other person must sign in the presence of the individual and also in the presence of two witnesses who must each attest the signature)[95].
- ***A document must be delivered.*** The document must be 'delivered as a deed'[96] by the individual or someone who is authorised to do so on their behalf (eg their solicitor). In practice, deeds are either stated to be (automatically) delivered upon signature, or the parties or their solicitors will agree a different date for delivery or specify conditions in order for a deed to be delivered. Commercial parties who are unfamiliar with this practice of agreeing the date of the document (and who have the draft document on their word processor) will sometimes type in the date of the contract prior to signature, and they may need to be discouraged from doing so. Sometimes deeds are signed by a party and then, by arrangement, held in escrow by the party's solicitor, so that the deed only takes effect when the solicitor states that the deed is released from escrow and delivered (usually when some condition has been met, for example, in a contract of sale, when the contract price reaches the bank account of the seller).

1.8 Formalities for execution of deeds by UK companies formed or regulated by the Companies Act 2006[97]

For a company to validly sign a deed it needs to comply with certain formalities:

- ***A document must clearly state that it is to be a deed.*** It must be made clear on the face of the document that it is intended to be a deed by the person or parties making the deed[98].

[95] Law of Property (Miscellaneous Provisions) Act 1989, s 1(3).

[96] Law of Property (Miscellaneous Provisions) Act 1989, s 1(3)(b).

[97] As to the definition of a UK company for these purposes, see the Companies Act 2006, ss 1, 2, 3 and 1171. It includes a public or private company limited by shares or guarantee. This section also covers the execution of a deed by limited liability partnerships (see Limited Liability Partnerships (Application of Companies Act 2006) Regulations 2009, SI 2009/1804), but references to two directors or a director and secretary are replaced by references to two members of the limited liability partnership executing a document.

This definition would not include a body incorporated by Royal Charter or statute (eg many UK universities, local authorities, some charities, NHS trusts and other public bodies). They must continue to execute deeds in the way specified in their constitutional documents or Act of Parliament (which will normally mean applying their common seals to deeds).

[98] Typically by words at the beginning of the contract stating 'this deed is made on _____ 202[ ] between:' and/or stating at the place where the parties sign that it is being executed or signed as a deed. See **2.12.2** for examples of signatures blocks where the parties are to make a deed

- ***Choice of use of a seal or signatures.*** A company has a choice as to whether or not to use the common seal of the company:
  - *Choosing to use the seal.* If a company has a common seal, it can choose to execute a deed by applying its common seal to the document. If it does, it will need to apply the seal in the way described in its articles of association. The current default position for a private limited company is:
    * that the seal is applied to a document[99]; then
    * a director (or the company secretary or someone authorised by the directors) signs the document in the presence of a witness[100].

    This was the traditional method of execution of deeds by a company.
  - *Choosing not to use the seal.* As was stated earlier, in relation to contracts under hand, it is no longer necessary for a company to have a common seal. A document:
    * signed by:
      - a director (in the presence of a witness); or
      - two directors; or
      - a director and a company secretary; and
    * stated to be executed *by* the company (ie by wording in the document which says this specifically),

    has the same effect as if it were executed under the common seal of the company[101].
- ***Presumption that a deed is delivered upon signature.*** A document which is executed by a company is presumed to be delivered upon its being executed, unless the contrary is proved[102].

[99] It does not appear that the seal itself needs to be applied in the presence of the director, etc who signs the document.

[100] See the Model articles for private companies limited by shares, art 49 (in Companies (Model Articles) Regulations 2008, SI 2008/3229, Sch 1).

[101] Companies Act 2006, s 44(2), (4).

[102] Companies Act 2006, ss 44(4), 46. A document executed as a deed is a different type of document to one executed under hand in several ways as set out in this chapter. But perhaps the concept of 'delivery' is the one which most people have difficulty understanding, and the implications of which are most difficult to grasp. This sometimes applies to lawyers who do not have a working knowledge of the law relating to deeds or do not deal with deeds regularly. Unless there is something in the document executed as a deed which clearly indicates that there is a specific condition which must be fulfilled, a company which signs the deed will be bound by it as soon as they sign it (ie it is delivered as soon as they sign, unless there is clear and strong evidence that it is not delivered on signature). And if the document signed as a deed is subject to a condition then a party to the document cannot recall or cancel their intention to be bound while they wait for the condition to be fulfilled (again unless there are clear words otherwise). See *Silver Queen Maritime Ltd v Persia Petroleum Services plc* [2010] EWHC 2867 (QB) for a recent illustration of this point. If a party wishes to have control of the period between signing a deed and its delivery, then the deed will need to include clear and specific wording which gives it the power to recall or cancel the deed at its discretion.

- ***Presumption in favour of purchaser.*** In favour of a purchaser, a document is deemed to have been duly executed by a company, if it purports to be signed by:
  - a director in the presence of a witness;
  - a director and a company secretary; or
  - two directors[103].

1.9 Formalities for execution of deeds and contracts under hand (made under English law) by foreign companies

In the case of companies incorporated outside the UK, the rules relating to UK companies are modified[104]:

- ***Execution of contracts in accordance with local legal requirements.*** Instead of executing a contract with a common seal, a foreign company may execute in any manner permitted by the laws of the territory in which the company is incorporated. The document should state that it is executed by the company. An individual who is authorised to act for the company may also execute the contract on behalf of a company, subject to local laws.
- ***Execution of deeds.*** Two authorised representatives of the foreign company may execute a deed in accordance with any local legal requirements.

1.10 Signing before the provisions of the agreement are finalised (or other situations when a signature page is signed separately from the rest of an agreement)

As noted above, it is not necessary for the parties to most types of contract to sign them[105]. Although the internet may have taken over via online ordering for routine day-to-day contracts made between commercial parties[106], documents which are signed with a real signature are still of importance even in some

[103] Companies Act 2006, s 44(5). A 'purchaser' means a purchaser in good faith for valuable consideration. Section 44(5) covers both deeds and other documents.
[104] See Overseas Companies (Execution of Documents and Registration of Charges) Regulations 2009, SI 2009/1917.
[105] See **1.2** above.
[106] Such as the ordering of business supplies (stationery, computer equipment etc).

contracts which are of a routine nature[107]. Where a 'real' signature is required, modern working practices have intruded and raise new issues.

A consequence of modern working practice is that it is now not common for parties (or their representatives) to meet together to sign a final version of an agreement. Sometimes the parties may never meet or they do not use lawyers (whether external or in-house) to help control the process before they enter into an agreement.

If the parties wish to enter into an agreement by signing it, then do they in fact do so by signing a final version of an agreement? Nowadays it is possible to sign an agreement in a number of ways, including:

- ***Option 1***: the parties (or their authorised representatives) meet and sign the contract in each other's presence (the traditional way of signing);
- ***Option 2***: the parties do not meet but each party prints out a copy of the final version of the agreement and signs it. Then each party sends a complete agreement with the signature page to the other (at least initially as a scanned copy) electronically[108];
- ***Option 3***: the parties do not meet but each party prints out a copy of the final version of the agreement and signs it. Then each party sends just the signature page to the other (at least initially as a scanned copy) electronically, and each party puts the signature page of the other party with their final version of the agreement;
- ***Option 4***: one or more of the parties prints out the signature page of a version of the agreement and signs it in advance of the provisions of the agreement being finalised, and they all send that signed signature page to one other party. When the parties have come to agreement then the party who has received all these signature pages attaches them to the final version of the agreement. This party then circulates a complete version of the agreement to the other parties (at least electronically);
- ***Option 5***: use of a signing app or technology such as DocuSign where a document is sent by email for review with spaces in the document for signing and dating, allowing the other parties to review on receipt of the email and sign online in a variety of ways, such as by typing a name, appending an electronic image of a signature or using a stylus or finger to sign on a tablet or with a trackpad.

[107] There are many reasons why this is so. For some commercial parties it is convention that agreements need a real signature; another reason is that a signature of a real person generally requires her or him to focus on the agreement that they are signing (or have it explained to them). From a lawyer's point of view, a real signature is much easier to test, as to whether or not it is genuine, than any form of electronic signature. For more on the latter point see Mason, *Electronic Signatures in Law* (4th edn, 2017, University of London School of Advanced Study Institute of Advanced Legal Studies).

[108] 'Electronically' in this section means by scanning the original paper document to a file and sending by email or uploading to a file-sharing site such as Dropbox or OneDrive.

Option 1 was the conventional way of signing agreements and this approach will normally cause no problems. Option 5 is perhaps now the most common way now to sign routine commercial contracts, and documents are sent by email and allow the receiver to review a document but not typically make changes. Option 2 has been until recently perhaps the most common way for signing agreements. Again this will not normally cause problems, as each party will send a complete (electronic) version to the other[109]. To make sure that all parties sign the same version of the agreement it is relatively simple to protect electronic documents (either to stop the extraction of, or changes to, the text or pages or to require a password to open the document at all)[110].

It is where one or all parties use Option 3 or Option 4 that problems arise when the signature page is attached to the final version of the agreement (whether or not the signature page is signed in advance of the provisions of the agreement being finalised). It is possible, to give a couple of examples, for a party (or its authorised representative):

- to sign the signature page and then to attach it to the provisions of the agreement which has completely or substantially different provisions than the version agreed by both parties; or
- to sign one (complete) agreement, and then for the other party to take the signature page from that complete agreement and use that signature page with another version of the agreement or even a completely different agreement.

Where either of these situations occurs there is usually no problem if the party who signs subsequently ratifies the changes made. If a party does so then the changes will normally be binding on that party[111]. Problems can occur, however, where a party subsequently alleges that what it has signed is not what was agreed.

[109] This is perhaps the manual, non-automated way provided by Option 5. The mechanics of this approach are also possible in several ways: one party prepares the final version of the agreement and then circulates it to the other parties for signature (perhaps with some time/date stamp or other reference). In this case it is clear that everyone is signing the same version. If each party is preparing their own final version then, deliberately or innocently, they may sign a different version. Even if the final version is supplied just for them to sign, unless the file is protected in some way, they could still make changes. These issues are examined further in Chapter 11 'Drafting, exchanging and protecting documents electronically'.

[110] The ability to create PDFs (and to password protect them) is now built into the operating systems of Mac computers or applications such as Microsoft Word. See Chapter 11 'Drafting, exchanging and protecting documents electronically'.

[111] See *Koenigsblatt v Sweet* [1923] 2 Ch 314, [1923] All ER Rep Ext 758.

Following a case[112] where there was consideration of some of these problems, the Law Society produced guidance on how certain types of documents should be signed and how they should be provided to other parties[113]. While it is only guidance, it does provide an indicative approach which a prudent party should follow (to minimise technical disputes on how or when or at what time a particular document was signed).

1.10.1 Documents which are deeds or are contracts for the sale or other disposition of an interest in land

Signing: Documents which are signed as deeds or contracts for the sale or other disposition of an interest in land ('land contracts') should never be signed other than as complete documents (ie the signature page should never be signed before or separately from the rest of the agreement).

Sending electronically: If deeds or land contracts are sent electronically, they should only be sent as complete documents. As a prudent step, the parties should state in writing (at least by an exchange of emails) that they are signing documents in this way and that providing the document electronically to each other is acceptable.

1.10.2 Documents which are contracts and are not signed as deeds

Signing: It is possible:

- ***Option A***: to sign an agreement as a complete document (the conventional and still the most usual way)[114]; or
- ***Option B:*** to have the signature page signed in advance of the provisions of the agreement being finalised; or

[112] *R (on the application of Mercury Tax Group v HMRC* [2008] EWHC 2721 (Admin), [2008] All ER (D) 129 (Nov). This judgment contained comments on how it was unacceptable to take the signature page of one agreement and apply it to another, as well as making changes to the agreement already signed. The judge may have been partly influenced by the fact that Mercury Tax Group had created a tax-avoidance scheme (which, at the time, was legal), whereby all that the clients of Mercury Tax Group had to do to take advantage of the scheme was to sign a series of documents. In itself it is not wrong for a party to make changes to an agreement after signature, where there is information which needs to be entered after signature, and those changes or additions were in the contemplation of the parties before signature. An example of this would be the sale of a house, where the completion date is often entered after the contract itself is signed (as the date is normally calculated as being a set number of days after the date the contract is signed).

[113] Law Society, *Execution of documents by virtual means*, 2016.

[114] A party can do this in a number of ways: (a) print out the whole agreement to paper, sign the signature page; then scan the whole document and email to the other party; (b) just print out the signature page, sign it, and then send it back together with the other pages of the agreement in one email.

- ***Option C***: to have the signature page signed but only after the final version of the agreement is agreed.

Sending electronically:

- ***Option A***: if the document is sent electronically as a complete document, there will normally be no issues as the receiving party will receive a complete document;
- ***Option C***: if the signature page only is sent by one party to the other (after a complete and final version of the agreement is signed by the first party), then receiving party is to attach the signature to a copy of the agreement; or
- ***Option B****:* if a party signs the signature page and does so in advance of the provisions of the agreement being agreed, then the signature page is attached to the final version of the agreement either by the party who signed that signature page in advance or by the party who receives the signature page.

The prudent approach where Option B or Option C occur is to proceed as follows:

(1) that all the parties should explicitly agree, in writing, that the attaching of a signature page to a copy of the agreement by one party is an acceptable method of signing the agreement;

(2) that the signature page for each party is sufficiently identified so that it is obvious that it belongs to 'its' agreement (eg having a header which states the title of the agreement and the names of the parties (eg 'Sale and Purchase Agreement between Party A and Party B'))[115];

(3) that where:

  - *Option C* above applies, the party who is to sign sees the whole agreement before they sign the signature page; and
  - *Option B* above applies, that the signature page is made available in good time to the person who is to sign it; and

(4) that the signed signature page is provided to a person who is authorised either to attach it to the final version of the document at the relevant time (or provide it to someone else (such as the other party or their lawyers)); and

(5) the person who has responsibility for attaching the signature page to the final version of the agreement obtains or receives confirmation in writing that s/he can attach the signature page to that final version of the agreement.

[115] And if the agreement has been through multiple drafts, perhaps include a version number as a header or footer.

The documentation evidencing the agreement of the parties to attach the signature page with the final version of the agreement should be kept with the agreement.

1.11 The use of electronic signatures[116]

The admissibility of a document signed with an electronic signature in legal proceedings is recognised in English law[117].

As regards the validity of an electronic signature, it is possible to use it to validly execute a document[118] because of the absence of any technological specific methods in the main legislative measures which deal with such matters as what constitutes 'writing' or 'signing'[119].

Rather than focusing on the technological method by which the writing or the signature is made, in effect any method of signing (including an electronic signature) will be valid as long it has the intention to authenticate the (electronic or other type of) document[120]. Such a non-prescriptive approach should accordingly extend to electronic signatures.

For example:

- ***Writing***: **1.4** above sets out various documents which must be in writing, and 'writing' is given a meaning under the Interpretation Act 1978 as including 'typing, printing, lithography, photography, and other modes of representation or reproducing words in a visible form'[121]. A document displayed on any electronic device is likely to come within the meaning of 'writing', as the document when displayed on a device's screen will be representing or reproducing the words contained in it in a visible form[122];

[116] This section does not consider the type of signatures encountered under Regulation (EU) No 910/2014 of the European Parliament and of the Council of 23 July 2014 on electronic identification and trust services for electronic transactions in the internal market and repealing Directive 1999/93/EC, although, following the UK's exit from the EU it is now part of UK law: European Union (Withdrawal) Act 2018, s 3(1) and Electronic Identification and Trust Services for Electronic Transactions (Amendment etc) (EU Exit) Regulations 2019, SI 2019/89.

[117] Electronic Communications Act 2000, s 7.

[118] Law Commission, *Electronic execution of documents*, Law Com No 386, HC 2624, 2019, 3.6.

[119] See Law Commission, *Electronic execution of documents*, Law Com No 386, HC 2624, 2019, 2.13 to 2.19 for a review of the law and commentary.

[120] *Goodman v J Eban Ltd* [1954] 1 QB 550, 557; *Bassano v Toft* [2014] EWHC 377 (QB), [42].

[121] Interpretation Act 1978, s 5, Sch 1.

[122] Although not directly addressed in *Golden Ocean Group Ltd v Salgaocar Mining Industries PVT Ltd* [2012] EWCA Civ 265, [32], [35] the court did not cast any doubt that an exchange of emails was sufficient to meet the requirement that they were 'writing' in order to satisfy provisions of the Statute of Frauds 1677 (such as for guarantees), see **1.4** above and fn 61.

- ***Signing***: that the various means of making an 'ordinary' electronic signature have been accepted by the courts[123] as being valid signatures, such as typing a name, the first name or the email address of a person[124]. These decisions are no more than a pragmatic extension of the meaning of a signature[125].

An electronic signature can include:

- the typing of the full name of a person;
- the typing of the first name or nickname of a person;
- a person incorporating (by pasting, or insertion from a file) an image which shows the normal, made by hand, signature of the person;
- where an app (such as DocuSign) or website etc requires a person to type their name to accept or agree to a contract;
- clicking a button such as 'I accept' on a website page at the place indicated for signature[126]; or
- a person using a stylus, their finger etc to write their name on the screen of an electronic device.

Given that there is a non-prescriptive view as to what constitutes writing and signing, a deed[127] could also be signed electronically (and also constitute, and

[123] And also various legislative measures, which require a document to be signed, do not state a technological method that the signer must use. For example, the Law of Property (Miscellaneous Provisions) Act 1989, s 1(3) states '(3) An instrument is validly executed as a deed by an individual if, and only if – (a) it is signed …' and s 1(4) states '(4) In subsections (2) and (3) above "sign", in relation to an instrument, includes – (a) … an individual signing the name of the person or party on whose behalf he executes the instrument; and (b) making one's mark on the instrument, and "signature" is to be construed accordingly'. These provisions do not state the technical method by which the signature or mark is to be made.

[124] See *Mehta v J Pereira Fernandes SA* [2006] EWHC 813 (Ch); *Orton v Collins* [2007] EWHC 803 (Ch); *Lindsay v O'Loughnane* [2010] EWHC 529 (QB); *Green (Liquidator of Stealth Construction Ltd) v Ireland* [2011] EWHC 1305 (Ch); *Golden Ocean Group Limited v Salgaocar Mining Industries PVT Ltd* [2012] EWCA Civ 265; *C&S Associates UK Ltd v Enterprise Insurance Com plc* [2015] EWHC 3757 (Comm). In the latter case the contract between the parties required that any amendment was not 'effective unless made in writing and signed by or on behalf of each of the Parties to this Agreement', with the judge stating [at 123] 'This introduces a degree of formality into any variation of the contract and ensures that the parties will not be bound by oral agreements or even by informal unsigned written documents. However, it does not go so far as to insist on manuscript signatures, paper documents, or that both parties' signatures must be on the same document. I see no reason as a matter of construction of [the clause] why documents in electronic form, in particular an exchange of emails, signed on behalf of both parties should not satisfy the requirements of the clause, provided of course that the other requirements of contract formation and variation such as an intention to be bound are also present'.

[125] For the (many) different methods of what constitutes a signature, see Anderson and Warner, *Execution of Documents* (3rd edn, 2015, Law Society), 15.5.

[126] *Bassano v Toft* [2014] EWHC 377 (QB), [44].

[127] Although having to comply with certain formalities (see **1.7**, **1.8** and **1.9** above).

remain entirely in, an electronic format)[128]. Where a deed is being witnessed (such as where an individual or one director is signing the document) then it is suggested a witness must see the person/director signing the deed using her/his electronic signature and must be aware that the person/director is signing a deed. The witness can add her/his own electronic signature or make the signature in the conventional manner on a print-out of the deed (which will contain the electronic signature).

While the use of an electronic signature might be valid for the signing of most classes of documents that commercial parties might encounter, the more practical issue is whether a document signed in that way will be acceptable to another party or for a particular use or outside of England and Wales.

A party may simply not wish, in an important transaction or where there is an important obligation being imposed on a party, a document to be signed electronically, although many agreements are now routinely signed via signing technology such as DocuSign without issue. Where a party does not wish for the parties to sign the agreement electronically this can be for a number of reasons, whether it be caution, or simply a 'not done here' approach.

Practically, a party who wishes to sign a document electronically may not wish to expend time and effort forcing another party to accept a contract.

Although it is now possible to file much of the documentation electronically which is needed for matters dealt with by Land Registry, HMRC or with the Registrar of Companies, there are still some documents it is not possible to file in such a way yet. Also, an electronically signed document may not be acceptable where[129]:

- the contract has a jurisdiction clause which permits a foreign court to have jurisdiction over the contract;

[128] This is certainly the view of the authors of the Law Society Practice Note: Execution of a document using an electronic signature, July 2016, as did the Law Commission (*Electronic execution of documents*, Law Com No 386, HC 2624, 2019, 5.19–5.20), where the focus is on whether it is possible to witness an electronic signature. The Law Commission suggested that for deeds signed (and witnessed) electronically then the parties should follow the same practice as in the Law Society Practice Note for deeds: '5.54 … When the party signs the document on an online system, they have the entire document before them. If the document is a deed, and the application of an electronic signature is witnessed and attested in the physical presence of the witness who then applies their own electronic signature, the signature and attestation will "form part of the same physical document". 5.55 Accordingly, the electronic document sent by the system, comprising the final version of the document signed by an electronic signature, will constitute an original signed document and will equate to the "same physical document" referred to in [*R (on the application of Mercury Tax Group) v HMRC* [2008] EWHC 2721 (Admin)]'.

[129] See eg Appendix 1 to HM Land Registry *Practice guide 82: electronic signatures accepted by HM Land Registry* for the type of documents it will accept with an electronic signature (and the type of electronic signature) (accessed in July 2022 from https://www.gov.uk/government/publications/electronic-signatures-accepted-by-hm-land-registry-pg82/practice-guide-82-electronic-signatures-accepted-by-hm-land-registry).

- a judgment of the English courts needs to be enforced in a foreign jurisdiction;
- a document needs notarisation and/or legalisation; or
- a document needs submission to a non-English governmental/regulatory registry.

1.12 Information that a party needs to include about itself in contractual and non-contractual documents

For the sake of completeness: a commercial organisation that engages in selling goods and/or services must provide information about themselves (and their goods and services) to potential and actual customers/clients.

But in a commercial contract there is little information that a party must provide about itself in order to create a binding contract – rather than what the other party would wish to know – ie sufficient information to know precisely with whom it is contracting).

The information a party must provide about itself (and what it provides) is a requirement under various laws. That information does not have to be in the contract itself in most cases, and a failure to do so will not normally provide the other party with any directly enforceable rights[130]. Normally, only the government, or one of its various agencies such as:

- the Registrar of Companies (if a party is formed or regulated by the Companies Act 2006);
- the Competitions and Markets Authority;
- a local authority trading standard department, etc

can take action.

[130] For example, for a company formed or regulated by the Companies Act 2006, the only item of information that must appear in all forms of documentation relating to the company is its registered name: Company, Limited Liability Partnership and Business (Names and Trading Disclosures) Regulations 2015, SI 2015/17, reg 24(1), (g). For other information (such as its registered number and address and the part of the UK in which it is incorporated), the type of documentation which contain such information is more limited and would not necessarily cover a commercial agreement, see reg 25.

Chapter 2

The structure and format of the contract

Key points

- ***Date of agreement***. Write (or type) the date on which the agreement is signed. If signed on different dates, write the date on which the last party signed.

  Where the parties are using lawyers, but the signing of the agreement takes place without the lawyers being present, conventionally the agreement is not dated until after signature. The date is inserted later by agreement between the parties or their lawyers.

- ***Commencement date***. If the date when the parties commence performing obligations under the agreement (commencement date of the agreement) is different to the date it is signed, the agreement should mention two dates: a commencement date (or effective date) as well as the date on which the agreement is signed. Do not confuse the two dates.

- ***Names and addresses***. State the full legal names, legal status and addresses of the parties at the head of the agreement. Place each party's details in a separate paragraph and number the parties (eg (1) Party A, (2) Party B).

  If there are more than two parties, and the parties 'share' any obligations, make it clear whether they are:

  o jointly; or

  o severally liable; or

  o both jointly and severally liable,

  for performance of those obligations.

- ***Recitals***. Recitals ('whereas' clauses) can help in explaining the background to the agreement; they are not compulsory. If the agreement contains recitals, do not include any obligations on the parties; these belong in the operative provisions part of the agreement.

- ***Linking wording.*** Appropriate wording should appear between the recitals and the operative provisions, for example, 'IT IS AGREED AS FOLLOWS', or 'THIS DEED WITNESSES AS FOLLOWS'.
- ***Operative provisions.*** There is no fixed order for operative provisions. Conventionally these:
  - o start with a definitions clause; then
  - o follow with any conditions precedent; then
  - o follow with the main commercial provisions; then
  - o follow with secondary commercial provisions, and lastly
  - o legal 'boilerplate'.

  It is better to group clauses together by subject matter, rather than have a long list of obligations on Party A followed by a long list of obligations on Party B. Headings can make the document easier to read.
- ***Schedules.*** It is possible to place these before or after the signatures. More importantly, make sure that the operative provisions of the agreement state whether the provisions of the schedules form part of the agreement.
- ***Signatures.*** Use the appropriate execution clauses and signature blocks, particularly where the agreement will be executed as a deed. Where there is use of a traditional format, where a person places her or his signature may well need explaining (or make this clear in the wording).
- ***Alternative formats.*** Alternative formats for an agreement are acceptable, subject to the caveats stated in this chapter.

2.1 Introduction

This chapter considers a conventional format and structure for an English law contract used by commercial parties. There is no legal requirement to draft or lay out contracts in the way described in this chapter, or any other way. Commercial contracts are sometimes put together in a completely unstructured way but the courts still hold them legally binding. Nevertheless there are advantages in adopting a conventional format, including:

- ***To give a logical framework to the contract document.*** In practice most well-drafted agreements follow a similar format, although alternative formats may also be logical;

- ***To give a familiar framework.*** When negotiating the provisions of an agreement it can save time and effort (and expense) to work with a draft agreement structured in a way which is familiar to the parties and their legal advisers. If an agreement becomes the subject of litigation, it may be necessary to persuade a court of its meaning and legal effect; some courts are more conservative than others and may need persuading as to the meaning (more than usually) of a document which has a very unusual structure or format.

All of this begs the question, what is meant by a 'conventional format'? What is now conventional in the third decade of the twenty-first century is very different from what was conventional at the end of the nineteenth century or earlier. What is conventional for a modern commercial contract in the UK is very different to the style of residential leases, many of the latter are still drafted in a very traditional way[1], let alone the style used in both many commercial and non-commercial contracts originating from the US.

This chapter recommends techniques for structuring contracts in a clear, logical way, whilst remaining within the boundaries of current conventions. Similar techniques are now used by many of the leading commercial law firms in England.

2.2 Main elements of a typical contract document

The main elements of a typical contract document are as follows. See Appendix for an example of a contract which follows the sequence of clauses described below.

- Status of the document (ie its date and version number, whether it is legally binding: eg 'draft' or 'subject to contract').
- Cover page (setting out the date of the agreement or draft, names of the parties and title of the agreement, and sometimes the firm of lawyers preparing the document)[2].
- Table of contents (setting out the main sections and headings and their page numbers)[3].

[1] Over the last few decades much effort has gone into drafting legal documents in clearer and simpler English. Much of the effort arose from what were the Unfair Terms in Consumer Contracts Regulations 1999 (based on an EU directive), the provisions of which are now found in the Consumer Rights Act 2015. Also, there are many continuing government and non-government initiatives (such as the Plain English Campaign, and the Crystal Mark scheme and Golden Bull awards). For documents intended for use only by commercial parties, many documents are now generally written in a clearer fashion or at least better formatted, although in the authors' experience many agreements are still not written in clear language.

[2] Only in longer contracts will there be use of a cover page (and a table of contents).

[3] It is possible to generate a table of contents automatically using a modern word processor (subject to the use of styles with the right codes contained within them to be able to do so).

- Title of the agreement (eg 'patent and know-how licence' or 'asset sale and purchase agreement').
- Date of agreement.
- Names, legal status and addresses of the parties.
- Recitals (sometimes referred to as 'whereas' clauses).
- Main provisions of the agreement (the operative provisions), including:
    - definitions;
    - conditions precedent (if any);
    - main commercial obligations (for example setting out the supply of goods/services, price and payment, compliance with specifications, delivery);
    - secondary commercial issues (for example risk, passing of property and retention of title, intellectual property, confidentiality, term (eg start and finish dates, length of contract) and termination (situations when termination is possible, eg for breach, insolvency etc), warranties, indemnities, liability).
- Miscellaneous 'boilerplate' clauses dealing with such matters as law and jurisdiction, notices, Contracts (Rights of Third Parties) Act 1999, entire agreement, interpretation, amendment, *force majeure*, no assignment, law and jurisdiction, etc.
- Schedules and/or appendices (these sometimes appear after the signatures in English contracts).
- Signatures.

The following paragraphs discuss in detail some legal and drafting issues relating to the above points, and give examples of some typical wording. These formal elements are distinguished from the substantive provisions of a commercial contract which are discussed in Chapter 4.

2.3 Title

The title is to indicate, in general terms, the type of agreement that the parties are entering into (eg 'Facilities Agreement', 'Collaboration Agreement', 'Patent and Know-How Licence', 'Consultancy Agreement'). By convention this is normally brief and will not include the names of the parties or reference number etc.

However, if a party enters into many agreements of the same type, then in—or more usually underneath—the main title there could be some further wording briefly to distinguish the particular agreement from others. For example:

- an owner of a portfolio of patents who regularly enters into a standard form patent licence might include the patent number under the main title, eg:

Example

PATENT LICENCE AGREEMENT

(Patent Number [ ])

- the parties enter into a series of agreements, such as a series of confidentiality agreements (because discussions progress beyond any stated expiry date), or amending agreements all amending the same agreement.

Examples

(a) FIRST AMENDING AGREEMENT

(b) SECOND AMENDING AGREEMENT

(c) FIRST AMENDING AGREEMENT

to the Patent Licence Agreement dated 1 September 2016

(d) SECOND AMENDING AGREEMENT

to the Patent Licence Agreement dated 1 September 2016

(e) FIRST CONFIDENTIALITY AGREEMENT (expiring 30 June 2011)

(f) SECOND CONFIDENTIALITY AGREEMENT (expiry 31 December 2011)

- a party is granting a large number of leases to different property but all the leases are drafted in the same way, so each lease could be headed 'lease' and then a following line with the registered title and/or the postal address.

Example

LEASE

Registered Property Number: [ ]. Address: [ ]

Such an approach can speed going through a large number of documents to help identify a particular one. The alternative method is to record the distinctive information in a recital.

2.4 Date of agreement

Examples:

Example 1

THIS AGREEMENT is made on _____ 202[ ] between:

Example 2

THIS AGREEMENT is made the day of 202[ ] between:

Example 3

This Agreement dated _____ is between:

Example 4

This Agreement dated as of _____ is made by, between and among:

Example 5

THIS AGREEMENT is made on _____ and takes effect from _____ ('Commencement Date') BETWEEN:

Set out above are five examples of wording which typically appear in the first line of a commercial contract. If the contract is to be made as a deed, the word DEED normally replaces the word AGREEMENT or if a licence then the word LICENCE replaces the word AGREEMENT. Example 1 and Example 2 are from contracts prepared by leading firms of English solicitors.

Example 3 is similar but in a simpler format. It is conventional to refer to the agreement throughout the document as 'this Agreement'.

Example 4 is from an agreement prepared by US lawyers. The main points to note in this example are the use of the phrases 'dated as of', and 'by, between and among'. 'As of' probably means 'with effect from'. It is recommended that 'as of' be avoided in English law contracts (see below). It is conventional in English agreements to use simply the word 'between' even where there are more than two parties, where grammatically the word 'among' would be more appropriate.

Example 5 starts in a similar fashion as Example 1 but it also goes on to indicate when the agreement begins operation (rather than, more conventionally, setting out the definition of Commencement Date in the definitions clause).

2.4.1 Which date should be inserted?

The date of the agreement is:

- the date on which it is signed (if signed by all of the parties on the same day);
- the date the last party signs (if the parties sign on different dates).

Conventionally, this date is not inserted until all the parties have signed the agreement and typically it is written by hand by the parties' lawyers (if lawyers are involved), who agree on the date to be inserted. There is nothing wrong with typing in the date before the parties sign, but if used there is an increased risk that the date might not be correct if the agreement is signed by one or more of the parties on another date.

If the agreement is signed in counterparts (see discussion of counterparts, below), it is dated when the counterparts are exchanged. If the anticipated date of signing is typed in prior to signature, there is a risk that the parties may sign on a different date. It is bad drafting practice to misstate the date of execution, and it may amount to a forgery[4].

These points assume that signing the agreement takes place in the traditional way, with a real signature. If the agreement is signed electronically (such as typing the name of the person who is signing on behalf of a party in the signature or through DocuSign), the same points as to dating the agreement after (electronic) signature still apply.

2.4.2 Reasons for dating an agreement

There are several reasons why contracts are dated.

One practical reason is to be able to refer to the agreement at a later date (as in 'the agreement between X and Y dated Z').

Another practical and evidential reason is that the date can be the date when the parties reached agreement to enter into a legally-binding contract.

Often an agreement will include provisions which take effect by reference to the date of the agreement, eg:

- where royalties are to be paid on each anniversary of the date of the agreement; or
- from when certain obligations are to commence or terminate; or
- to be used as the basis for calculation as to when the parties are to perform obligations (eg a party needs to make a payment 30 days after the date of the agreement); or

[4] See the Forgery and Counterfeiting Act 1981, s 9 which specifically mentions the misdating of contracts.

- the date of termination of the agreement is calculated by reference to the date of the agreement (eg the agreement is to terminate 364 days after the date of the agreement).

Where there are several contracts concerned with the same subject matter (eg if an agreement is amended on several occasions) it may be essential to know the order in which the amendments were made. Particularly, where the agreement is signed in counterparts and the parties' solicitors agree to date the versions in their possession, dating also acts as a formal acknowledgement that the agreement has come into existence.

2.4.3 What format to use for the date

When the date is inserted (whether in writing or typed), best practice is to do so in full; this will mean that the month part of the date is written as a word not as a numeral. The use of numerals can cause confusion or uncertainty given that some countries place the month first in dates written numerically (such as in the US and countries which follow US practice). For example, a date written numerically as 12.1.2023 will mean, in England and Wales, 12 January 2023, while in the United States it will mean December 1, 2023.

2.4.4 Not adding a date of agreement

From the authors' experience, parties to an agreement sometimes leave '**THIS AGREEMENT** is made on' at the top of the agreement without a date at all. Not adding the date could, in the event of a dispute, lead to (eg):

- doubts as to whether the parties entered into a contract at all (even if both have signed) in the worst case; or
- parties arguing as to when obligations were due to start or to be performed by; or
- disagreement about when it would be possible to terminate an agreement, etc.

For example, an agreement may:

- state that it renews on a date of the agreement; or
- contain a definition of 'commencement date' which is stated as being a particular number of days from the date of the agreement.

In the absence of a date being entered for the date of agreement, and where the parties cannot agree on that date, then there is increased scope for dispute, particular where a party wishes to get out of the agreement or not perform or be liable for an obligation under the agreement. It may 'recollect' a date which is favourable to its point of view.

2.4.5 Date of agreement and the effective date (or the commencement date)

Do not confuse the date of the agreement (the date the agreement is signed) with the date on which the agreement is stated to take effect (often called a 'commencement date', ie the date when the parties are due to start performing some or all of their obligations under the agreement). If they are different, then they may need distinguishing.

The usual way of distinguishing between the two is to include a definition of the commencement date and/or wording in the operative provisions of the agreement to state when the agreement comes into effect (ie when the parties start performing some or all of their obligations under the agreement).

It is best not to state the commencement date at the head of the agreement, to avoid confusion with the date of the agreement; if, however, the parties insist, it is possible to use the wording as set out in Example 5 at **2.4**. The alternative method is to include a specific definition for when performance of the contract will start and refer to that definition in the rest of the agreement as needed (see Appendix—Precedent 1—definition of 'Commencement Date' and Clause 3.1) for an example.

2.5 Names and addresses of the parties

Examples:

Example 1

(1) ABC LIMITED, a company incorporated in England and Wales [under company registration number 123456789, and] whose registered office [and principal place of business] is at ABC House, ABC Street, ABC City, AB12 C99 (the 'Company'); and

(2) ABC PLC, a company incorporated in England and Wales [under company number registration 987654321, and] whose registered office [and principal place of business is at ABC House], ABC Street, ABC City, AB12 C99 (the 'Guarantor');

(the Company and the Guarantor being referred to collectively below as the 'Group'); and

(3) DEF, INC., a Delaware corporation, whose principal place of business is at 99th floor, Business Towers, 15th 2nd Avenue, New York, NY12345, United States of America (the 'Consultant').

Example 2

This Agreement dated [ ] is made by and between DEF, Inc. ('DEF' which expression shall include its successors and assigns) a US corporation incorporated in the State of Delaware and having a place of business at 1234 San Antonio Boulevard, La

Jolla, California, and GHI Services Limited a company incorporated in England and Wales whose registered office is at Twenty-First Century Business Park, Greentown, Loamshire G1 2AG, United Kingdom, a wholly owned subsidiary of GHI Plc having the same registered office as GHI Services Limited ('GHI' which expression shall include its successors and assigns).

Example 1 is drafted in a conventional English style, whereas Example 2 includes some undesirable wording and formatting (although the layout is fairly conventional in US agreements), which is discussed further below. In particular, note the following:

- ***Numbering***. Numbering is useful to distinguish the parties from one another. In Example 2 it is not entirely clear whether GHI Plc:

  (a) is an entirely separate contracting party from GHI Services Limited; or

  (b) is to be treated as the same party as GHI Limited (perhaps it is intended that they should be jointly and severally liable for the obligations of 'GHI'); or

  (c) is not to be a party at all, and is named simply as part of a description of who is GHI Limited.

  Use of numbering and paragraphing makes these points clear. If the intention is that GHI Plc and GHI Services Limited should be treated as one party, it is possible to make this clear in the drafting of this section of the agreement by including them both under (2) in Example 1 above and adding words such as 'GHI Plc and GHI Services Limited being collectively referred to in this Agreement as GHI'.

  The agreement should separately address the question of their joint and/or several liability (see discussion of this topic below).

  Before numbering became conventional, phrases such as 'on the one part' and 'on the other part' or 'of the first part', 'of the second part', etc were placed after the parties' names, to distinguish them. It is best to avoid this antiquated practice.

- ***Names***. The parties clause should use the full (legal) names of the parties, including any part of the name which describes its legal status, such as 'Limited', 'Plc', 'llp', etc. 'Legal' will usually mean the name shown in an official registry (such as, for the UK, that maintained by the Registrar of Companies). To avoid uncertainty, the parties clause should state the number with which a company or limited liability partnership is registered. The name of the company or limited liability partnership may change (and even be swapped with that of another company), the number remains constant and therefore identifies with certainty the contracting party.

If it is not clear from the name of the party or the use of words such as 'Limited', etc, it is sometimes also helpful to indicate the status of the parties. For example, a company in the UK under the name of 'XYZ Limited' could be either a private limited company or a company limited by guarantee[5]. Also it is possible for an organisation to use a name without any indication of its legal status. For example, educational institutions can be incorporated in a number of ways, such as the London School of Economics and Political Science which is a company limited by guarantee but is allowed not to use 'Limited' in its name, while University College London is incorporated by Royal Charter (so there would be no form of words to add to its name to indicate its legal status, such as for companies).

In international contracts, the parties clause should state the country or state of incorporation. The purpose of including all this information is to be clear as to the identity (and status) of the entity which is entering into the contract.

- ***Addresses.***
  - *Companies.* In the case of a UK company (ie a 'limited', 'Plc', or 'limited by guarantee') or a limited liability partnership ('llp'), it is normal to state the registered office. For other bodies corporate (ie not formed or regulated by the Companies Act 2006, such as those formed by Royal Charter), a principal or main address can be used.
  - *Overseas companies.* With overseas companies, the principal place of business is more often stated.
  - *Individuals.* Where an individual is a party, the person's home address is normally stated.
  - *Unincorporated partnership.* For a partnership the home address of each of the partners is normally used.

    One of the reasons for stating the parties' addresses is that it is clear where to send notices under the agreement.

    Although the addresses are stated in the Parties Clause, there should normally also be a notices clause included in the agreement (see **5.11.1**) and this may cross-refer to the addresses set out at the head of the agreement. Technically, it is not necessary to state the parties' addresses at the head of the agreement, and in the contracts of some other countries the addresses are sometimes stated in the notices clause (such as in many US agreements).

[5] Some charitable organisations are established as companies limited by guarantee. They can apply not to use the word 'limited' in their name.

- ***Successors and assigns.*** It is not conventional in modern English contracts to include a reference to 'successors and assigns' in the names and addresses section of the contract, although this practice is occasionally encountered, particularly with contracts originating from the US (see Example 2 above, which includes such wording). Such wording is typically included to indicate that the party named in the party clause will include a third party who takes the place of that party, in situations where there is an assignment of the rights and obligations of the party or where there is a novation.

  Relatively few published English precedents for commercial contracts include such wording (although there may be an 'interpretation' clause in the main body of the agreement that has a similar effect). This practice is more commonly encountered in contracts drafted by overseas lawyers. Assignment of contracts is discussed in more detail in **5.11.4**.

- ***Requirement to include name and address of a party.*** In most commercial contracts in England and Wales there is no legal requirement to include any details about a party, with one important exception. For companies formed or regulated by the Companies Act 2006, the registered name of the company must appear in all 'documentation' that the company produces[6], which would cover contracts. The registered office, the part of the UK in which it is registered and its registered number need to appear in a more restricted range of documents (its business letters, order forms and websites)[7]. These are not necessarily or indeed often the same as a contractual document.

When deciding who are to be the parties to a contract, a number of legal questions need consideration; some of the more common questions are:

- ***Is it necessary to be a party in order to benefit from the contract?*** The general rule is that a person who intends to benefit under a contract needs naming as a party, in order for the person to bring an action to enforce it. There is one important exception, which allows a person (third party) who is not a party to benefit from the contract, because the parties intend the third party to do so (following the implementation of the Contracts (Rights of Third Parties) Act 1999)[8]. Although the 1999 Act provides an important exception to the principle of the privity of contract, the position under

[6] Company, Limited Liability Partnership and Business (Names and Trading Disclosures) Regulations 2015, SI 2015/17, reg 24. Companies must disclose their registered name in a range of documentation, which in addition to specific types of document (orders, letters), includes 'all other forms of its business correspondence and documentation'. This latter phrase appears to be a catch-all and therefore would appear to include a contractual document. The failure to disclose this is a criminal offence, reg 28 (ie not something which a party to a contract can do anything about).

[7] Company, Limited Liability Partnership and Business (Names and Trading Disclosures) Regulations 2015, reg 25. This information must be disclosed in both 'hard-copy' and electronic documentation (reg 29(c)).

[8] See **5.11.5** for a discussion of the Contracts (Rights of Third Parties) Act 1999.

English law contrasts with the position under the laws of some other countries, where the rules on privity of contract are not so strict.

- ***Defining the parties as including their group companies***. Where a company is part of a group of companies (whether as a parent or subsidiary), there is often a statement that references to that company include members of its group in agreements to which the company is a party. Depending on the wording used there can be uncertainty as to whether there is an intention for group companies to be parties to the agreement. In view of the privity of contract rules referred to above, group companies can only be parties to the contract if either:

  - they are named as parties and sign the contract; or
  - one of the group companies acts (and is empowered and stated in the contract to act) as their agent to sign the contract on behalf of each of them[9].

  The Contracts (Rights of Third Parties) Act 1999 does not in itself alter this position, but would allow group companies to enforce a contract term where the contract was entered into with the intention that they might enforce a term and states that they may do so, or a contract term purports to confer a benefit on them. The advantage of being a party would normally be that as a party the group companies would have greater and more encompassing rights than those specific benefits provided by the 1999 Act.

- ***Joint and several liability***. In a multi-party agreement, two or more parties may have obligations to another party[10].

  Examples: One example is an agreement between a customer and a supplier, to which the supplier's parent company is made a party in order to guarantee performance of the supplier's obligations. Another example is where a client is launching a new product and it wishes to promote the product and it needs various internet, design and print services, all of which one supplier is to provide. The supplier is divided into a number of companies, each of which provides a discrete part of the services, such as one company designs and implements websites, another provides print design, a third buys advertising space, a fourth carries public relations activities, and so on. A joint and several liability clause would ensure that:

[9] A discussion of other potential mechanisms, eg making one group company trustee for the others, is beyond the scope of this book. See further *Chitty on Contracts* (33rd edn, 2018, Sweet and Maxwell), Chapter 18.

[10] It appears that where two parties are simply stated as having the same obligation, the presumption appears to be they are jointly liable, and more explicit wording is needed to make the parties jointly and severally liable: See *Chitty on Contracts* (33rd edn, 2018, Sweet and Maxwell) 17-05, citing *White v Tyndall* (1888) 13 App Cas 263 in support of this proposition.

- all or any of the supplying companies would be liable for the failure to perform any of the services; or
- if one of the supplying companies goes into liquidation and the client has paid large sums to it, all or any one of the other supplying companies would not be able to avoid liability.

In such agreements it is important to be clear:

- which of the parties has rights or obligations under a particular clause of the contract; and
- if more than one party has such obligations, whether the obligations give rise to joint, several, or joint and several liabilities on the parties concerned. Simply naming someone as a party to the agreement, without specifying any obligations on that party, does not make that person liable. In the first example given above, clauses creating obligations on both the Company and Guarantor might refer to the Group having such obligations, whilst clauses imposing obligations on only one of them would refer to the Company or to the Guarantor, as appropriate.

Where the obligations are expressed to be on the Group, the question then arises whether such obligations are intended to give rise to joint and/or several liability on the part of the Company and Guarantor. To avoid doubt, this should be explicitly stated; commonly the other party to the agreement (ie the Consultant, in the above example) would prefer the liability to be joint and several for all the obligations. The following examples illustrate the differences between joint and several liability:

- *Several liability.* A and B undertake that they will each pay C £10. These are two separate undertakings, and C can sue each of them for £10.
- *Joint liability.* A and B undertake to pay C £10. There is a single undertaking binding on both A and B. Therefore, C should normally sue them together. If A pays the £10, C cannot sue B.
- *Joint and several liability.* A and B undertake to pay C £10. There are three undertakings (ie by A, by B and by A and B together).

The full implications of joint and several liabilities are discussed in the standard contract law books[11]. The best option is joint and several liability, which gives maximum flexibility to the party to whom the liability is owed when bringing

[11] For a detailed explanation of the law, see *Chitty on Contracts* (33rd edn, 2018, Sweet and Maxwell) Chapter 17 on Joint Obligations. For a summary of the law see Anderson and Warner *A–Z Guide to Boilerplate and Commercial Clauses* (4th edn, 2018, Bloomsbury Professional).

actions for breach of undertakings[12]. An example of a clause stating that certain parties are jointly and severally liable follows, and in turn is followed by an example of a clause under which the parties who have accepted such liability apportion it between them (perhaps in a separate agreement between those parties). In detailed agreements, the latter provision might be part of a more detailed clause describing the respective obligations of the parties:

References in this Agreement to an undertaking being given by the Group shall mean that each of the Company and the Guarantor jointly and severally accept liability for performance of the undertaking.

As between themselves, any liability which any one or more of the parties may bear under or pursuant to any Guarantee (including any legal costs incurred by or which any party is required to pay pursuant to or in connection with such liability) shall irrespective of whether they or any of them are liable as co-sureties or whether they are liable jointly and/or severally be borne by the parties in their respective Relevant Proportions (as defined below).

Where an undertaking is given (by one party) to two or more parties ('beneficiaries') separate issues arise. It seems that if the undertaking is given to the beneficiaries jointly, and only one of the beneficiaries has given consideration for the undertaking, the undertaking is enforceable, but if the undertaking is given to the beneficiaries severally, and some of the beneficiaries have not given consideration for the undertaking (and the undertaking is not given in a deed), the undertaking is not legally enforceable by those beneficiaries.

2.6 Recitals or background

Example

BACKGROUND

(a) X owns all right, title and interest in the Patents (as defined below).

[12] However, the implications of a party being jointly and severally liable need careful consideration, particularly if the parties are not part of the same group of companies. In *AIB Group (UK) plc (formerly Allied Irish Banks plc and AIB Finance Ltd) v Martin and another* [2001] UKHL 63 the defendants were in business together to buy and develop properties. They jointly and each of them separately borrowed money from the claimant. However (to simplify the facts), in their agreement with the bank they covenanted as follows: 'The Mortgagor hereby covenants with … the Bank … that it will on demand pay or discharge to the Bank …— (1) all sums of money which have been or are now or may hereafter at any time or from time to time be advanced to the Mortgagor by the Bank …', with the meaning of Mortgager being defined as 'If the expression "the Mortgagor" includes more than one person it shall be construed as referring to all and/or any one of those persons and the obligations of such persons hereunder shall be joint and several'. The majority opinion of the House of Lords held that each defendant would be liable for the other defendant's loans (see [39]–[41], [43]–[44]).

(b) X and Y entered into a patent licence agreement dated 1 March 2014 and following entering into a settlement agreement dated 1 March 2015 X and Y agreed that the licence granted under the Patents terminated on 1 March 2016.

(c) Y now wishes to acquire an exclusive, worldwide licence under the Patents and X is willing to grant such a licence to Y in accordance with the provisions of this Agreement.

2.6.1 Purpose of recitals

Recitals are normally used to explain the background to the agreement. For example, recitals are used:

- to describe the purpose of the agreement;
- to describe the negotiating history;
- to describe what the parties have done to prepare to enter into the agreement;
- to set out the relationship between the parties (and, if relevant, the relationship of other persons who are not parties but are involved with or connected to the parties, such as through other agreements);
- to describe the status of the agreement;
- to provide information on its relationship to other (linked) agreements, its nature and effect, and so on.

2.6.2 What not to include in the recitals

Recitals are not the place:

- to include obligations, or
- to make statements about the skills, capabilities, experience etc of a party.

It is bad drafting practice to include either of these in the recitals. Not least because a court may hold:

- an obligation as not legally binding (although sometimes obligations set out in recitals are held to be legally binding); or
- a statement about a skill, capability etc could amount to a pre-contract or contractual representation or a warranty.

There is long-established case authority on the legal status of wording that appears in recitals[13].

2.6.3 Are recitals needed at all?

The use of recitals is not obligatory. The parties should only include recitals if they will help to explain the background to the agreement. In some shorter agreements it may be appropriate to omit recitals altogether.

2.6.4 Wording to use, and not use, in a recital

Sometimes recitals use wording such as 'X *has agreed* to grant Y a licence under the Patents'. This is not recommended, unless what is meant is that the present agreement is made pursuant to another agreement. If this is what it meant then the recital should specifically state that, with details of the earlier agreement, including its date, name of the agreement, etc.

Example

A Party A and Party B entered into a Research and Development Agreement dated 1 January 2023 (the 'Research Agreement'). Under the Research Agreement the Parties agreed to enter into a licence agreement when the Results occurred (as defined in the Research Agreement) in a form substantially the same as this Licence Agreement.

B By a written notice from Party A to Party B dated 1 March 2023 Party A indicated that the Results had occurred.

C Party B is now willing to grant a licence under the Research IP (as defined in the Research Agreement) to Party A, and Party A is willing to take the licence, all in accordance with the provisions of this Licence Agreement.

In the example, if all that is meant is that X and Y *are willing* to sign the Licence Agreement (but have not yet done so) it is confusing to suggest that they have already reached agreement. Also this may lead to one party arguing that other terms, not stated in the present agreement, govern the contract between them.

[13] The courts are prepared to consider recitals when interpreting the provisions of the main body of the contract, but if these provisions are clear they will not be qualified by any wording in the recitals. A party may be prevented ('estopped' in legal jargon) from denying a statement made in the recitals if that statement is clear and is made by him rather than the other party. See, eg, *Re Moon, ex p Dawes* (1886) 17 QBD 275 at 286, CA. In *Square Mile Partnership Ltd v Fitzmaurice McCall Ltd* [2006] EWCA Civ 1690 the court observed that where a recital is included which explains what the parties did to prepare to enter into the agreement, then such recitals are useful in interpreting the provisions of the agreement, and in the current dominant approach to the interpretation of contracts by the courts, the recitals to a document can be part of the (factual) background that a court can use in interpreting the provisions of a contract (see *Dorchester Project Management Ltd v BNP Paribas Real Estate Advisory & Property Management UK Ltd* [2013] EWCA Civ 176; *AMEC Foster Wheeler Group Ltd v Morgan Sindall Professional Services Ltd* [2015] EWHC 2012 (TCC)).

Best practice is to limit the wording in a recital, so that::

- there are only statements of fact; or
- if the parties state anything other than a clear fact, to frame it or limit it with wording such as:
  - o they 'are willing to', or
  - o they 'are considering'; or
  - o they 'wish to'.

2.6.5 Layout and number of recitals

Some published precedents do not clearly distinguish between recitals and operative provisions. Instead they use a format where recitals are clause 1, definitions clause 2, and so on. This practice is not recommended. There should be clear labelling that there are recitals, followed by some wording which makes clear that they have come to an end and that operative provisions are about to begin. The conventional way of labelling the start of recitals is to begin them with an introductory word such as 'WHEREAS' or 'RECITALS' or even 'BACKGROUND'.

Where there is more than one recital in an agreement, the modern English drafting style is to list each recital in a separate paragraph, numbered A, B, C, etc. There is nothing to stop the use of different numbering (eg 1, 2, 3, etc), but it is better to avoid using the same numbering system as in the operative provisions, either on stylistic grounds or to avoid confusion in cross-references as to whether one is referring to a recital or an operative provision. The English style of numbering recitals contrasts with the practice in some jurisdictions of starting each new recital with the word 'WHEREAS' or not using numbering at all (such as in some US contracts).

2.6.6 Recitals and overseas practice

Agreements made under the laws of other European countries often have more detailed recitals than found in English law agreements. In some jurisdictions, certain types of relationship (eg between a distributor and his principal) are defined in the *Code Civil* or other laws, and a purpose of the recitals may be to identify which type of standard relationship the parties intend. Once identified the operative provisions of the contract are sometimes less detailed than in an English law agreement, because certain provisions are determined by the *Code Civil*.

Moreover, the distinction between recitals and operative provisions may be less clear cut under the laws of some other European countries. This is reflected in EU legislation (directives and regulations), which often include lengthy recitals, often longer than the substantive provisions of the directive or regulation concerned. Some of these are no more than the history that led to the passing of the piece of EU legislation and the goals that the EU wish

to achieve, but they can provide an explanation of the meaning of particular provisions in the directive or regulation[14]. These include very detailed recitals which have been held to be as legally binding as operative provisions.

2.7 Operative provisions—introductory wording

The main part of the agreement consists of the operative provisions (ie the obligations on the parties and related provisions). The detailed content of those provisions, and how they might be drafted, are discussed in Chapters 3–6. The operative provisions are conventionally introduced with wording such as the following. Where the agreement includes recitals, one of the following phrases might be used:

NOW, THEREFORE, IT IS HEREBY AGREED as follows:

IT IS AGREED AS FOLLOWS:

The authors are not aware of any reported decision where the words 'now', 'therefore' or 'hereby' have been considered as critical in this introductory wording. Generally, the word 'hereby' is unnecessary, and not used on stylistic grounds (see further Chapter 3). However, there may be advantages in using the word 'hereby' in certain limited situations[15]. Where recitals are not included, the following phrase is sometimes used:

WHEREBY IT IS AGREED as follows:

The differences between these versions are stylistic. Use of the word 'whereby' assumes that all of the introductory wording up to the start of clause 1 consists of a single sentence.

Agreements drafted in a traditional style by US lawyers often include more lengthy wording at this point, which seeks to address the issue of consideration (see Chapter 1). English law agreements do not normally use such wording[16]:

NOW, THEREFORE, in consideration of the foregoing and the mutual covenants and obligations hereinafter set forth and other good and valuable consideration, the receipt and adequacy of which the parties hereby acknowledge, and intending to be

[14] For a recent example, see Directive 2016/943 of the European Parliament and of the Council on the protection of undisclosed know-how and business information (trade secrets) against their unlawful acquisition, use and disclosure, where the meaning of 'commercial value' (which is a key component of a trade secret) is explained in a recital (14).

[15] See **6.5.9**.

[16] Such wording may not, in any case, be effective in the US in some cases, see Adams, *A Manual of Style for Contract Drafting* (4th edn, 2017, American Bar Association), sections 2.171–2.181.

legally bound, and otherwise to be bound by proper and reasonable conduct, the parties agree as follows:

Where the agreement is to be executed as a deed, the conventional (English) wording is:

THIS DEED WITNESSES AS FOLLOWS:

Where the deed does not include any recitals, the words 'THIS DEED' are sometimes omitted at this point, on the basis that they appear in the first line of the deed and do not need stating again. This is a matter of personal preference and style. Until a generation or two ago, the word 'witnesseth' was used, but even lawyers have now stopped using this archaic form.

2.8 Definitions

As a general principle, the drafter should use words consistently throughout an agreement[17]. Definitions of words are useful for a number of reasons, including:

[17] A recent illustration of a lack of consistency in the use of definitions is the case of *Hopkinson and others v Towergate Financial (Group) Ltd and other companies* [2018] EWCA Civ 2744. The case concerned only the interpretation of a clause concerning the time limits by which the claimant was to notify the defendants as to alleged breaches of warranties or a claim under an indemnity. This clause was not well drafted. The first problem related to when the claimant issued a notice (within the time limit) to make a claim under the indemnity. The defendants contested whether the notice was validly issued because it did not accord with part of the clause which included the following wording '(specifying the details and circumstances giving rise to the Claim or Claims and an estimate in good faith of the total amount of such Claim or Claims)'. The notice did not specify details. The problem here was the definition of Claim or Claims referred to warranties only and did not include a clam under the indemnity. The defendants believed because of the way the clause was drafted that the requirements in the quoted words should also apply to a claim under the indemnity. That was not the end of the drafting issues, as for example, the clause in question referred to the defined term 'Warrantors' but the separate clause setting out the indemnity referred to 'Vendors'. However, the Court of Appeal agreed with the first instance judge that it was only possible to use the definition of Claim in its defined sense.

The second problem concerned part of the clause stating 'in case of any Claim solely in relation to the Taxation Covenant'. The issue here was there was no defined term of 'Taxation Covenant'. At the hearing at first instance an assumption was made that the phrase in fact should read 'in case of any claim solely in relation to the Tax Covenant', the word 'claim' would be used in a non-defined meaning. There was a defined term of 'Tax Covenant'. The Court of Appeal rejected this and came to its own conclusion that the phrase should read 'in case of any Claim solely in relation to the Taxation Warranties' (which was a defined term). In effect there were three different views as to the correct wording of this phrase. The reasoning of the Court of Appeal is complex in arriving at its conclusion.

The fundamental problem was that the clause in question (as the Court of Appeal speculated) started life as a standard provision only dealing with making a claim regarding breaches of warranties within certain time limits and meeting certain requirements. However at some point a sub-clause was added to deal with claims under an indemnity but 'without working through the drafting consequences of this addition' (from [46]). The definition of Claim or Claims was not amended to cover indemnities or that the use of the definition of Warrantors in the clause did not fully accord with the wording in the provision concerning indemnities.

(1) to avoid repeating a long list of words, such as in the example definitions shown below; and

(2) to avoid ambiguity as to what is, or is not, meant when a particular word is used.

This is particularly important where the sense in which a word is used is other than its natural dictionary meaning, or where there are several dictionary meanings[18]. Definitions clauses should not include any obligations on the parties.

2.8.1 Location of definitions

It is conventional to place the definitions at the beginning of the operative provisions, usually as clause 1. The courts will read agreements 'as a whole'; therefore it is not necessary for definitions to appear first.

A written agreement is not like a computer program where it is necessary to define a term (a variable) before it is possible to use it in the computer program (and without the defined term the computer program will not work or work as intended).

Some agreements are drafted in a more 'commercial' way than others. Some clients hate wading through pages of definitions before they reach what they consider the 'meat' of the agreement. Also, they criticise their lawyers for drafting documents which are not 'user friendly'.

In such situations there is a temptation to place the definitions at the end of the agreement or in a schedule. Although there is occasional use of this approach (mostly with North American agreements), it is not yet conventional in most English agreements.

Sometimes at the end of the definitions there are some provisions on how to interpret some words or to indicate what is the status of certain parts of an agreement[19]. Examples of these include:

- of the former: that the meaning of 'person' includes both unincorporated and incorporated persons or that a reference to the singular includes the plural and vice-versa; and
- of the latter: that the schedules form part of the agreement or that headings are used for convenience but do not affect the interpretation of the agreement.

[18] For example, stating that a fact is true 'to my knowledge' can mean: (a) it is within my knowledge that this fact is true; or (b) as far as I am aware this fact is true, but my knowledge may be incomplete, so this fact may not be true. It is possible to avoid this problem which is sometimes encountered in warranty clauses by the use of different, less ambiguous words.

[19] See also **8.4.43** and the sample agreement in the Appendix.

It is, however, becoming increasingly common to place interpretation clauses at the end of the agreement with other 'boilerplate' provisions.

Sometimes definitions appear in individual clauses of the agreement. The English drafting convention is that this is acceptable if the defined term is only used in the clause in which it is defined. Otherwise, the definition should appear in the separate definitions clause and there can be a reference to the clause where the meaning of the defined term is set out. This approach allows all the defined words to be in one place so that it is possible to find all the definitions. For example:

'"Patents" has the meaning given in clause 3 below.'

2.8.2 Introductory wording

Definitions clauses commonly begin with words such as the following:

Examples

In this Agreement the following words shall have the following meanings:

In this Agreement the following words and phrases shall have the meanings set out below, unless the context requires otherwise:

The phrase 'unless the context requires otherwise' is reflected in the definitions sections of some UK statutes[20]. It is a kind of safety valve in case words are used in a different sense at some point in the agreement. Occasionally, introductory phrases such as those set out above are omitted altogether. Even if there is no use of such words, the court may be prepared to imply them into the contract, but stating them explicitly should give greater certainty[21]. However, using words such as 'unless the context requires otherwise' can introduce an element of uncertainty as to the meaning of the definitions, which a party may wish to exploit by stating that the meaning of any definition when used in a particular clause has a different meaning or when a particular situation arises.

Layout. The layout of definitions clauses is a matter of personal preference. An important objective is to make them easy to find and understand. Examples of two alternative approaches follow:

[20] For example, the Insolvency Act 1986, s 436 begins: 'In this Act, except in so far as the context otherwise requires ...'.

[21] See *Meux v Jacobs* (1875) LR 7 (HL) 481 at 493 per Lord Selbourne. *Oxonica Energy Ltd v Neuftec Ltd* [2009] EWCA Civ 668 is a recent illustration where the court was able to find that a definition had another meaning, although the words 'unless the context requires otherwise' were absent, while in *Hopkinson and others v Towergate Financial (Group) Ltd and other companies* [2018] EWCA Civ 2744, [35] the court did not take up the defendant's argument that a defined word should be used other than in its defined sense although the phrase 'where the context otherwise requires' was present despite the poor drafting of a clause.

- the first using columns (or using a table):

Patents	any and all patent applications and patents, and substitutions, extensions, reissues, renewals, divisions, continuations, continuations-in-part and foreign counterparts and including supplementary protection certificates, patent term restorations and similar instruments.
Patent Rights	shall mean all rights arising under any patents, patent applications, inventor's certificates and applications therefore, throughout the world, now or hereafter made or issued, and any substitutions, continuations, continuations-in-part, divisions, reissues, re-examinations, renewals, or extensions of the terms thereof.

- the second where the defined term runs on with the defined term as a series of paragraphs:

Patents any and all patent applications and patents, and substitutions, extensions, reissues, renewals, divisions, continuations, continuations-in-part and foreign counterparts and including supplementary protection certificates, patent term restorations and similar instruments.

'Patent Rights' shall mean all rights arising under any patents, patent applications, inventor's certificates and applications therefore, throughout the world, now or hereafter made or issued, and any substitutions, continuations, continuations-in-part, divisions, reissues, re-examinations, renewals, or extensions of the terms thereof.

2.8.3 Use of capital letters

It is conventional to capitalise the first letter of a defined word, both in the definitions clause and whenever the word appears in the agreement. This signals the fact that it is a defined term. A common US drafting practice is to place all defined terms in block capital letters, but this is not conventional in English agreements. An alternative approach is to format defined terms in bold where they appear in the agreement.

2.8.4 Order of definitions

Modern drafting practice is to place definitions in alphabetical order, particularly now that most modern processors allow for a collection of definitions to be kept together in a table. The use of a table allows for the entry of definitions in any order; and to automatically sort them alphabetically. Use of an alphabetical order makes it easier to find the definition. An alternative approach, which some contract drafters still favour, is to place the definitions in the order in which the defined words appear in the agreement. This

alternative approach is fine if there are only a small number of definitions (say three to five) and they all fit on one page, but any greater number may cause problems with trying to locate a particular definition.

2.9 Conditions precedent and subsequent

Conditions precedent (or pre-conditions) and conditions subsequent have both:

- technical aspects, in that they affect:
    - o *condition precedent*: the coming into existence of the agreement or some or all of its provisions, or
    - o *condition subsequent*: the continuation in force of the agreement at all, or that some or all of its provisions continue; and
- commercial aspects.

Concerning technical aspects a condition precedent is sometimes labelled a 'contingent condition precedent' to distinguish it from a 'promissory condition'[22]. For a contingent condition precedent there may be no contract until some specified event occurs (or there is no liability until the event occurs)[23], and typically where the bringing about or carrying out event is outside the control of a party or the parties (despite the amount of effort they may or have to use)[24]. For a promissory condition there will be a contract in

[22] The use of the phrases 'conditions precedent' and 'conditions subsequent' are convenient labels for a particular type of contractual provision. Calling a provision a 'condition precedent' or drafting a provision in 'conditional language' will not make a provision a condition precedent as the court will look, in effect, at the reality of the matter: 'Although clause 4 is couched in conditional language, in my view, it amounts to no more than this: it provides that if the tenants perform their part of the contract, then the landlords will perform their part of the contract; in other words, it is a recognition of the fact that the obligations of the parties are mutual and that the granting of the lease will, in fact, follow the completion of performance of the obligations of the tenants. That is not, in my judgment, a condition precedent to the contract at all, it is part of the terms of the contract. You may call it a condition if you please, but it does not make it a condition precedent to the existence of a contract, it merely indicates what is part of the terms of the bargain, just as in all contracts for sale the terms of the bargain are customarily described as conditions of sale': *Eastham v Leigh, London and Provincial Properties Ltd* [1971] Ch 871, 891. Also, it is not necessary to use the label 'condition precedent' for a court to interpret a clause as a condition precedent: *Eagle Star Insurance Co Ltd v J N Cresswell* [2004] EWCA Civ 602, [2004] 2 All ER (Comm) 244.

[23] *UR Power GmbH v Kuok Oils and Grains Pte Ltd* [2009] EWHC 1940 (Comm), [15]: 'In the case, therefore of a contingent condition precedent, a contract will not be binding until the specified event occurs. But in the case of a promissory condition precedent, the contract will be binding, albeit that the performance of an obligation by one party will be a condition precedent to the *liability* of the other. It is perhaps imprudent to be unduly dogmatic but the distinction between contingent and promissory conditions precedent may well turn on whether the agreement purports to impose on A … an obligation to bring about the stipulated event; if it does, the condition is or likely to be promissory; if not, the condition is or is likely to be contingent'.

[24] *Michaels v Harley House (Marylebone) Ltd* [2000] Ch 104, 116.

place but fulfilling a condition is within the power of the party on whom the obligation lies[25]. The distinction can be important, as the parties may wish to consider, commercially, whether they wish to be bound at all if there is a condition precedent and the extent to which they wish to be bound and what is to happen if it is not possible to fulfil the condition at all or within a certain timescale.

The following paragraphs describe some of the technical aspects of the different types of conditions precedent and subsequent and consider where such conditions should appear in the agreement.

Examples of conditions precedent and conditions subsequent follow. In Example 1 the effect of the condition is that the entire agreement does not come into effect. In Example 2 only certain provisions of the agreement do not come into effect. The clause is silent as to what obligations the other party is under, but the wording of the Example assumes that a contract is in place between the parties. Further provisions are likely to be necessary to spell what is to happen if the Patent Office refuse the granting of the Patent (such as whether the other party needs to (continue to) fulfil any of its obligations, the status of any payments made, termination, etc).

In Example 3 is a condition subsequent, which in effect is a termination clause. In Example 4, certain provisions of the agreement change their meaning on the occurrence of an event and then operate in a more restrictive fashion.

Example 1 (condition precedent)

This Agreement shall not come into effect until X shall have obtained Planning Consent for the Property. If X fails to obtain Planning Consent for the Property on or before 30 June 1990, this Agreement shall not come into effect and neither party shall have any obligations to the other hereunder.

Example 2 (condition precedent)

The obligations on X under clause 4 of this Agreement shall not come into effect until the day after the date on which X receives formal notification from the Patent Office that the Patent has been granted.

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[25] Ibid. Also in *UR Power GmbH v Kuok Oils and Grains Pte Ltd* [2009] EWHC 1940 (Comm), [14], provided a simple example of the distinction by quoting from what is now *Chitty on Contracts* (33rd edn) 2-158: '(1) It may refer to an occurrence which neither party undertakes to bring about. Where, for example, a contract requires A to work for B, and B to pay A £50, "if it rains tomorrow," the obligations of both parties are contingent on the happening of the specified event. This may therefore be described as a contingent condition. (2) It may refer to the performance by one party of his undertaking. Where, for example, A agrees to work for B at a weekly wage payable at the end of the week, the contract is immediately binding on both parties, but B is not liable to pay until A has performed his promise to work. Such performance is a condition of B's liability, and, as A has promised to render it, the condition may be described as promissory.'

Example 3 (condition subsequent)

If Planning Consent is refused, or if X fails to obtain Planning Consent for the Property by 30 June 2017:

(a) this Agreement shall terminate;

(b) any rights or obligations under this Agreement which have accrued prior to such date of termination shall remain effective; and

(c) clauses 1, 3 and 6 of this Agreement shall survive termination.

Example 4 (condition subsequent)

If the Licensee fails to pay the annual licence fee specified against any date set out in the table in Clause 4.3:

(a) the licence granted under Clause 2.1 shall convert into a non-exclusive licence; and

(b) the definition of Territory in Clause 1 shall have the following meaning: 'means the countries that are member states of the European Union at the Commencement Date'.

Logically a conditions precedent clause should appear at the beginning of the agreement or as part of a clause dealing with all aspects of commencement and termination of the contract. Conditions subsequent are more likely to appear in, or near, a termination clause. The main problems in the drafting of such clauses are:

- the clause fails to state clearly whether it is the entire agreement or only certain clauses which do not come into effect (or, in the case of conditions subsequent, cease to have effect) if the condition is not met;
- no time limit is put on the condition being met, which can lead to uncertainty;
- the condition is so vague that it is void for uncertainty[26];
- it is unclear whether either party has any obligation to try to ensure that the condition is met, and if so how extensive that obligation is[27].

[26] *Lee-Parker v Izett (No 2)* [1972] 2 All ER 800.

[27] Although such an obligation may be implied (*Kyprianou v Cyprus Textiles Ltd* [1958] 2 Lloyd's Rep 60), the extent of any implied term will be limited: see *C Czarnikow Ltd v Centrala Handlu Zagranicznego Rolimpex* [1979] AC 351.

2.10 Sequence of clauses

It is recommended that the main commercial issues appear early in the agreement. For example, in a simple contract to supply services (assuming Clause 1 sets out the definitions):

- Clause 2 describes the work to be done and who is to do it, such as:

The Consultant shall provide the Consultancy Services for the Purpose according to the Specification in consideration for the Client paying the Fee to the Consultant, subject to the provisions of this Agreement.

(with Consultancy Services, Purpose, Specification, Fee and Consultant all being defined terms appearing in Clause 1.);

- Clause 3 sets out the payment provisions;
- after these clauses other commercial provisions would appear, such as reporting requirements, warranties, confidentiality, liability and termination clauses.

Commencement provisions (including any conditions precedent) can appear either at the beginning of the agreement (after the definitions), or in the same clause as the termination provisions. Miscellaneous provisions, sometimes known as 'boilerplate', are normally placed at the end of the agreement. Examples of boilerplate include law and jurisdiction, notices, *force majeure*, no assignment and entire agreement clauses.

Modern drafting practice is for each clause to address a new topic, with the more important commercial topics at the beginning and the 'legal' provisions towards the end. This contrasts with the now much older convention of listing most or all of one party's obligations in one clause, and the other party's obligations in another clause. The most likely types of agreements where it is still possible to see such a drafting style would be those concerning leases.

2.11 Schedules

Sometimes parts of the contract are set out in one or more schedules, such as:

- a detailed description of the tasks that a party is to perform under an agreement; or
- a list of the materials a party will use in a work and materials contract; or
- a standard set of terms and conditions which do not change from agreement to agreement is put in a schedule; or
- a set of details which relate to a particular contract where one party trades on a standard set of terms and conditions and that party does not wish to

amend those terms and conditions. The schedule would include what the party is to supply, the price payable, delivery and packaging details, name and contact details of the other party, etc; or

- setting out detailed contractual provisions so as not to overburden the main part of the agreement. For example, an agreement might be between a maintenance company and a customer, and the maintenance company has detailed provisions about payment for the different types of maintenance it provides, descriptions of the different types of maintenance service it provides, what the customer has to do or supply for the maintenance company to provide maintenance (access to premises, security arrangements and so), etc. All of which could require lengthy sets of clauses in the agreement. Each of these could be more conveniently set out in separate schedules[28];
- a list of employees (and if relevant their qualifications, experience and job titles) who are to perform obligations under the contract;
- particularly sensitive information (such as financial, commercial or personal data) to allow for the disclosure of the main agreement to third parties[29].

The aim is typically to avoid placing excessive detail within the main part of an agreement, and hence affecting its structure or making it more difficult for a user of the agreement to focus on the main commercial provisions.

[28] If there is to be any overlap between the provisions of the main agreement and a schedule, there should be wording in the agreement which is to have precedence over the other. A related issue is, where there is more than one schedule and they contain overlapping or conflicting provisions, which schedule is to have precedence over the other?

[29] Organisations and companies may have to disclose confidential information to various governmental and regulatory authorities. This may be in order to fulfil a regulatory requirement, such as the organisation or company entering into a contract with a government(al) body. Putting sensitive information in a schedule can allow the disclosing organisation to fulfil its obligations while clearly demonstrating it has separated out truly sensitive information from the non-sensitive kind. Also, governmental and regulatory authorities are subject to the Freedom of Information Act 2000. As public bodies they are required (subject to available exceptions), when requested, to provide information that they hold, which can include agreements entered into with companies or organisations. Separating out information which is truly sensitive or commercial into a schedule may afford the public body (and the commercial organisation, when relevant) a better opportunity to argue that such information should have the benefit of one of the permitted exceptions to the 2000 Act. The importance of separating out confidential information from the body of the contract is particularly important in light of the Information Tribunal's decision in EA/2006/0014. In that case the tribunal decided that confidential information contained in a concluded agreement would not normally benefit from the exemption for confidential information under the Freedom of Information Act 2000, as it would not be obtained by the public body (one of the criteria under the Act relating to whether such confidential information is exempt from disclosure). The Information Tribunal held that such confidential information was to be regarded as no more than recording the mutual obligations of the parties to the agreement. However, confidential information which was not only recording the mutual obligations of the parties and which could be said to be obtained by the public authority might still be exempt under this confidential information exemption, and might also benefit from the commercial interests exemption.

Traditional English drafting practice is to place the schedules before the signatures. By contrast, US drafting practice places the schedules after the signatures. Either method is acceptable nowadays. Sometimes technical or commercial staff draft schedules that are 'tacked on' to the main agreement, prepared by the legal adviser. In this situation, it can be convenient to place the schedules after the signatures.

Schedules are typically numbered, for example, 'Schedule 1', 'Schedule 2', etc. The older practice of describing them as 'Schedule the First', 'Schedule the Second' is no longer common. Sometimes the Schedules are called Annexes, Annexures, Appendices, Attachments or other names. Some drafters make a distinction between:

- Schedules (which set out provisions affecting the parties' rights and obligations under the present agreement); and
- attachments (which are not part of the present agreement but have been included for some good reason, eg to show the format of a licence which the parties will sign if certain conditions are met).

This is a matter of personal preference. However it is important to identify clearly within the main part of the agreement the status of any documents attached to the main agreement; whether or not the provisions in such documents are to form part of the agreement.

2.12 Signing the agreement

In conventionally drafted commercial agreements there is typically wording:

- which signals that the parties are signing (or 'executing)' the agreement, often including information about the date and place signed. Also, the clause sometimes includes a statement about the capacity or authority of the person signing (ie that s/he is authorised to do so). These are conventionally called execution clauses[30]; and
- which provides spaces for (and the identities of) each party to sign, as well as any wording which needs including to comply with formalities for creating a legally binding document (such as deeds). These are conventionally called signature blocks[31].

Each is considered in turn, with example wording.

[30] Traditionally known as testimonium clauses.
[31] Traditionally known as attestation clauses.

2.12.1 Execution clauses

Examples for contracts under hand:

- ***Modern wording.*** **AGREED** by the parties through their authorised signatories
- ***Traditional wording.*** **AS WITNESS** the hands of the duly authorised representatives of the parties to this Agreement on the day and year first before written

Examples for deeds:

- ***Modern wording.*** **EXECUTED** as a deed by the parties on the date first above written
- ***Traditional wording.*** **IN WITNESS WHEREOF** the parties have executed this Deed on the day and year first above written

Commercial agreements often include an execution clause but this is not needed[32].

It may be important to use this formal language in some situations, particularly:

- for some types of documents (such as deeds and powers of attorney); and
- in some types of transaction such as those relating to real property (sale or purchases of land and buildings, leases, trusts etc).

There are other formal requirements for such documents, and this may lead the court to take a stricter view on the need to comply with drafting formalities. For contracts made under hand, where the form of the document is less important, the use of words such as 'as witness' are not necessary and are best avoided, on account of their archaic language.

In the first of the above examples, there is use of the words 'through their authorised signatories'. The use of these words is to focus the minds of the individuals signing the contract on whether they do, in fact, have authority to sign the contract (eg on behalf of a corporate party)[33]. If a person signing the contract does not in fact have actual authority to sign it, they may nevertheless have apparent authority, on which the other party to the contract can rely, such that the contract will be binding[34]. The words 'through their authorised signatories' will not affect the legal position.

[32] Reason for its inclusion: 'is not necessary to the validity of the instrument but is added merely to preserve the evidence of its due execution. For this reason, it may be of importance and, except in instruments relating to registered land, it should never in practice be omitted': *Encyclopaedia of Forms and Precedents*, vol 12(3), para 18, 1071.

[33] In some US agreements, next to the place where a person signs (eg on behalf of a company), the word 'by' is inserted to indicate clearly that the person is not signing in a personal capacity.

[34] See *Freeman and Lockyer (a firm) v Buckhurst Park Properties (Mangal Ltd)* [1964] 2 QB 480, CA.

2.12.2 Signature blocks

2.12.2.1 Examples in deeds

Examples:

Example 1 – for an individual

SIGNED [and DELIVERED] as a DEED by the
above-named [*name of individual*] in the presence
of: (signature of executing party)
[*Signature, name, address and description of attesting witness*]

Example 2 – for a company

EXECUTED [and DELIVERED] as a Deed by
[*name of company*] acting through [a director][35]
[two of its directors] [a directory and the company
secretary]
(signatures of director(s)) (or) (signatures of director and company secretary)

Example 3 – for an individual

SIGNED [and DELIVERED upon signature] as
a DEED by [*name of individual*] Witnessed by:
signature signature
description
address

Example 4 – for a company

SIGNED [and DELIVERED[36]] as a Deed by [*name of company*] acting through [a director][37] [two of its directors] [a director and the company secretary]

director's signature [director] [company secretary]'s signature

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[35] Where the default provisions of the Companies Act 2006, s 44 apply, if one director is signing then s/he needs to sign in the presence of a witness.

[36] This wording refers to the deed being 'delivered' to avoid uncertainty as to whether delivery is intended on signature or at some later date; clearly if delivery is to take place at a later date, different words should be used, eg a reference to the circumstances or date on which delivery will take place (eg on notification by the signatory's solicitor, following receipt of funds). See **1.7**, **1.8** and **1.9** for a discussion of the requirement for delivery of deeds.

[37] Where the default provisions of the Companies Act 2006, s 44 apply, if one director is signing then s/he needs to sign in the presence of a witness.

2.12.2.2 Examples in contracts under hand

Examples:

Example 5 – for an individual

SIGNED by [*name of person signing on behalf of company*] [as director] [duly authorised] for and on behalf of [*name of company*] (*signature of person signing*)

Example 6 – for a company

For, and on behalf of [name of company/individual]

signature

print name

job title

date

After the execution clauses appear the signature blocks. The above examples show a range of different styles for signatures by individuals and companies in contracts under hand and deeds. The traditional English style is to leave a space for signatures on the right-hand side of the page, as in Examples 1, 2 and 5. This seems easy enough once one is familiar with the convention. However, the commercial parties who actually sign the agreement will not always be aware of the convention, and may not know where to sign. This may not matter if the parties have their lawyers present when the agreement is signed. However, most of the time a party will sign a commercial contract without a lawyer being present, and then send the agreement to the other party for signature. If there is the intention to use traditional signature blocks such as in Examples 1, 2, and 5 then the provider of the document should also provide detailed instructions on how the parties should properly execute the agreement[38].

A common mistake occurs with signature blocks prepared as in Example 1 above. The drafter's intention is that the name of the signatory be printed immediately after the typed words 'SIGNED by:' and that the agreement be signed to the right of the brackets. What sometimes happens is that the

[38] Younger lawyers (who through their training have never come across such traditional execution blocks) and overseas lawyers may also need instructions, especially as nowadays more lawyers specialise earlier and may have limited exposure to different types of documents and formalities. Also, there are a large number of lawyers in the UK who qualified in other countries; they are likely to have similar limited exposure to a wide range of documents, practices and formalities.

signatory signs next to 'SIGNED by:' and does not print their name. Perhaps this does not matter, but it seems pointless having an elaborate layout for signatures if it is misunderstood by the person who has to use it. Examples 3, 4 and 6 above avoid this problem, which do not use the traditional layout.

Example 6 includes a space for inserting the date of signature. Some English lawyers regard this practice as inappropriate, since the date should be inserted in the first line of the agreement, and other dates are irrelevant or misleading. This is fine as long as the lawyers for a party are in control of the signing process and are able to insert a date. However, with some types of commercial contracts and with some parties:

- the parties do not involve their lawyers once final versions of the agreement are prepared; and
- the parties may omit to date the agreement (despite their lawyer's instructions).

If the agreement is not dated at the time the (last) party signs, it may be difficult to establish later exactly when it was executed. As a 'belt and braces' measure, therefore, the authors sometimes include a date line in the signature blocks. This practice is common in some other countries.

2.13 Clause numbering

The numbering of clauses is a matter of personal preference. Modern word-processing software applications include automatic numbering facilities which allow the drafter to choose different standard styles of numbering for clauses and sub-clauses, or create their own numbering style.

The traditional English drafting style often followed the practice of UK statutes. The hierarchy of clauses and sub-clauses used in statutes is demonstrated in the following excerpt from s 3 of the Freedom of Information Act 2000:

'3 PUBLIC AUTHORITIES

(1) In this Act "public authority" means—

(a) subject to section 4(4), any body which, any other person who, or the holder of any office which—

  (i) is listed in Schedule 1, or

  (ii) is designated by order under section 5, or

(b) a publicly owned company as defined by section 6.

(2) For the purposes of this Act, information is held by a public authority if—

(a) it is held by the authority, otherwise than on behalf of another person, or

(b) it is held by another person on behalf of the authority.'

Thus, the hierarchy of clauses follows the pattern 1(1)(a)(i). For further subdivisions, another distinctive letter can be used, for example: (A). Under this system, 1 is a clause, (1) is a sub-clause, and lower level subdivisions are referred to as paragraphs.

In contrast, under the numerical style of numbering commonly used in the US, the same clause (in a contract) would use numbers throughout.

A disadvantage of the traditional English style becomes apparent when a clause runs over a page or several pages of the agreement. It may be necessary to turn back (or scroll up) through several pages to find whether a sub-clause forms part of (for example) clause 4 or 5[39]. The user of the agreement may find this frustrating. The numerical style avoids this problem, because the numbering of a sub-clause includes all the numbers in the hierarchy, and it is immediately obvious which is the main clause of which the sub-clause under discussion forms part. For example, renumbering the above section from the Freedom of Information Act 2000 using the US system of numbering would result in:

'3 PUBLIC AUTHORITIES

3.1 In this Act "public authority" means—

3.1.1 subject to section 4(4), any body which, any other person who, or the holder of any office which—

3.1.1.1 is listed in Schedule 1, or

3.1.1.2 is designated by order under section 5, or

3.1.2 a publicly owned company as defined by section 6.

3.2 For the purposes of this Act, information is held by a public authority if—

3.2.1 it is held by the authority, otherwise than on behalf of another person, or

3.2.2 it is held by another person on behalf of the authority.'

It will be always clear to which clause the wording which carries over a page belongs.

A disadvantage of the numerical style is that the numbering can look inelegant, particularly if the drafter needs to go down to the fourth or fifth level in the hierarchy of clauses, for example, 4.3.1.2.1. Also some users find a string of numbers hard to interpret.

[39] This begs the question as to why the clause is so long that it runs over several pages, and whether having such a long clause is good drafting practice. If it is not possible to break a very long clause into several clauses, it is possible to use various advanced features of some word processing software, such as preventing blocks of text breaking over a page, manually inserting a page break before a clause starts, if the clause deals with distinct points, adding a heading in bold for each point, or adding an identifiable reference to a clause in the header of the page.

The authors' personal preference is a mixture of these two styles, which distinguishes between clauses (stand-alone provisions, which it is possible to read without referring back to an earlier clause) and paragraphs (which it is possible to understand when read in conjunction with an earlier main clause). In the following example, the words referring to VAT in paragraph (b) would be classed as a paragraph because they can only be understood if put together with the introductory wording 'All sums due under this Agreement'. This approach results in the following numbering in the above example:

---

4. PAYMENTS

…

4.3 All sums due under this Agreement:

…

(b) are exclusive of Value Added Tax which where applicable will be paid by Consultant to Company in addition; …

Finally, on the subject of clause numbering, it is conventional to refer to clauses in a contract, but sections or paragraphs in a schedule to the contract. This is done to avoid confusion over which provision is being referred to. In some countries, contracts are drafted with Articles and Sections (eg in the above example, Article 4, section 4.3), which is a style to be found in some international treaties.

2.14 Headings

To make the contract easier to read and understand, it is now common to use headings.

It is conventional to include a clause stating that the headings are to be disregarded when interpreting the meaning of provisions which appear beneath a heading (typically in an 'interpretation clause)[40]. The format of headings is a matter of personal preference. It is possible to integrate a heading into the numbering of the clause, for example:

---

4. PAYMENTS

4.1 Fixed amounts: In consideration for the Services, the Company shall pay to the Consultant the following amounts on the following dates:

(a) £100,000 (one hundred thousand pounds sterling) within 30 days of the date of this Agreement; and

[40] See also **2.8.1**. However, there is case law which indicates a court can use a heading to interpret the provision to which it relates: *Farstad Supply AS v Enviroco Ltd* [2011] 1 WLR 921.

(b) £100,000 (one hundred thousand pounds sterling) within 30 days of the first anniversary of the Commencement Date,

4.2 Royalty: In further consideration for the Services, the Consultant shall pay to the Company a royalty of 5% (five per cent) of the Net Sales Value of all Products sold by the Company during the period of 10 years from the Commencement Date.

Alternatively the heading can appear above the clause:

PAYMENTS

4 The payment provisions are:

4.1 Fixed amounts: In consideration for the Services, the Company shall pay to the Consultant the following amounts on the following dates:

(a) £100,000 (one hundred thousand pounds sterling) within 30 days of the date of this Agreement; and

(b) £100,000 (one hundred thousand pounds sterling) within 30 days of the first anniversary of the Commencement Date,

4.2 Royalty: In further consideration for the Services, the Consultant shall pay to the Company a royalty of 5% (five per cent) of the Net Sales Value of all Products sold by the Company during the period of 10 years from the Commencement Date.

Although the first type of heading is more common, headings which are independent of clauses can be useful at times. In Chapters 4 and 5 there is further discussion of the formatting of individual clauses for ease of reading, including the use of headings.

2.15 Engrossments (final version ready for signature) and counterparts

The old-fashioned term for the final versions of an agreement which is ready for signature, was often referred to by English lawyers as 'engrossments'[41]. In modern usage, it is the originals, and not the copies, which are the engrossments.

The authors' experience is that the majority of commercial clients and most UK commercial and foreign lawyers are not familiar with this term. Therefore, it is a type of English lawyers' jargon. In the absence of an alternative ('final copies' is misleading, and 'final versions for signature' is accurate although clumsy) it is, however, useful jargon, but only if it is understood by all the persons who will be involved with an agreement.

[41] This term has its origins in the medieval legal practice of preparing fair copies of important documents en gross (usually deeds).

The common practice with most commercial contracts is for one party (or their lawyer) to prepare one copy of the final version of the agreement (engrossment) for each party signing the contract if using the traditional practice of having them sign a document physically provided by that party. Where this is the practice then all the parties sign all the engrossments, thereby enabling each party to retain an original version of the contract.

These originals are sometimes inaccurately described as counterparts. Where a (two-party) agreement is signed in counterparts, each party signs one original and the parties then exchange those originals. Thus each party retains an original signed by the other party only. This practice is common in conveyancing transactions, such as leases.

However more common nowadays is the practice that documents are circulated electronically, again with one party usually being responsible for preparing the final version. In such cases, each party receives the document electronically, and in order to sign it has to print the document to paper, sign the signature block, and then either send the original document by post or scan at least the signature page and return the whole document or just the signature page to the other party electronically. There are dangers in returning the signature page by itself and this is something that in most cases a party should not do. They should normally return the whole agreement (so that there is no doubt as to what they have signed). The worst outcome of just returning a signature page is that the other party may claim that the signature page belongs to a different version of the agreement[42].

2.16 Alternative formats—letter agreements; terms in schedules

2.16.1 Letter agreements

Sometimes parties prefer to draft their contracts in the form of a letter from one party to the other. The other party accepts by countersigning and returning a copy of the letter[43].

A letter format can appear less formal and intimidating to the non-lawyer than a conventional agreement format, even though the content of the agreement is often the same as if it was set out in a conventional agreement format. All that has changed is that there has been some 'topping and tailing' of the agreement to make it into a letter. As was stated at the beginning of this chapter, whether the agreement is in conventional format, or in the form of a letter, or in any other format, is not legally significant; what matters is the

[42] This practice, consequences and suggested solution(s) are dealt with at **1.10**.
[43] There is often an extra signature block on the copy of the letter, for the other party to sign.

content of the document and whether parties have agreed to enter a legally-binding agreement.

2.16.2 Provisions set out in a schedule

Another practice which is sometimes encountered is to move all the 'boilerplate', definitions and standard provisions of the contract to one or more schedules, leaving the main part of the contract as a short document. Perhaps amounting to no more than one or two pages long, and setting out the names and addresses of the parties, describes the main provisions of the contract, incorporates the schedules into the contract by reference, and provides a space for each party to sign at the bottom of the first page (or second page). This format is particularly useful where a form (on one page) is used to capture all information which is unique to the particular contract, but the other provisions of the agreement do not change (ie are not subject to negotiation or change).

2.17 Obsolete drafting conventions

Knowing how agreements used to be drafted can provide a fuller understanding of how modern contracts are drafted. The now mainly obsolete methods included the following:

- ***Avoiding use of punctuation***. Traditionally, there were no full stops and commas in contracts. Typically, they were drafted as a single sentence running to several pages. Before the invention of typewriters, documents were often written by hand. If the document included punctuation, there was a danger that the insertion of a comma or full stop after the contract was signed could change its meaning. Nowadays, in the event of a dispute reaching the courts, a court may take account of punctuation as an aid to interpreting an agreement, but will only be able to do so if the meaning of the wording the parties have used in the agreement is not clear and obvious[44].
- ***Beginning each new paragraph with a word in block capitals***. The aim of this was designed to make clear where a new subject began. In modern drafting there is use of headings and different weights of font (such as bold, italic) and spacing. The continued use of block capitals is now mainly found in the preliminary sections of the agreement, as in 'THIS AGREEMENT dated …', 'WHEREAS …', and 'IT IS AGREED as follows'. The use of block capitals in these places is entirely optional and is a matter of personal drafting style.

[44] *Burchell v Raj Properties Ltd* [2013] UKUT 0443 (LC), [36].

This is different to the practice in US contracts where certain clauses are printed entirely in capitals and often in bold lettering. This appears to be because of some US legislation that requires certain types of statements to be conspicuous, although except in one or two cases, there appears to be no legal requirement to display statements in capitals[45].

- ***Using special engrossment paper***. Another practice which is no longer prevalent (at least in England) is to prepare final versions of agreements on special 'engrossment' paper, which often includes lines down the left and right hand margins, typically printed in red ink and is longer than A4 size paper[46]. The idea was that the document should be written in such a way that the words went right up to the margins, so that there was no space for extra words or letters to be inserted after the signature which might change the meaning of the document. This practice ultimately derives from when documents were written by hand.

In contracts drafted by US lawyers, another practice has developed, which is to state:

- 'REMAINDER OF THIS PAGE LEFT INTENTIONALLY BLANK' at the end of pages which are not completely filled with text. This sometimes happens because lengthy clauses are kept on a single page; or
- if there is a blank page, that the page is intentionally blank.

However, these practices are not common in English law agreements.

[45] For a discussion of this topic see Adams, *A Manual of Style for Contract Drafting* (4th edn, 2017, ABA), 16.23–16.36. Using capitals, it appears, does not necessarily mean that wording in them will be conspicuous. From the authors' point of view putting large amounts of text in block capitals is not an aid to reading them, particularly as the clauses which are formatted in this way are typically those dealing with issues of (limitations or exclusion of) liability, and often are those written in dense legal language.

[46] This practice is prevalent in some Commonwealth countries, particularly for traditional, non-commercial legal areas such as conveyances of land.

Chapter 3

Contract drafting techniques

Key points

The following points summarise the drafting techniques described in this chapter:

- use simple, direct language (preferably in the active, and not the passive, tense);
- use consistent language and defined terms (where needed);
- use a correct word order;
- make clear who has the obligation and to whom it is owed;
- use short sentences;
- use a logical sequence of clauses;
- use headings, numbering, punctuation, lists and other techniques to make the contract easier to understand; and
- use a sensible size of typeface and plenty of white space around text.

3.1 Introduction

This chapter considers some techniques for the drafting of contracts. These are not formal rules which it is necessary always to follow; rather they are suggestions to help the contract drafter to achieve the drafter's objectives. The main objectives when drafting a contract are likely to be the following.

3.1.1 Legal interpretation

One of the most important aims for the contract drafter is to try to ensure that if the parties are in dispute the court will interpret the contract in the way the drafter intends. Over the years, legal drafters have developed standard ways of expressing particular concepts, which will be readily understood by the court. For example, a contract might state that an event 'is deemed' to take place; this is understood by the courts and by most lawyers but sometimes causes

clients problems. Some words have taken on a particular legal meaning; for example,

- an obligation to use 'best endeavours' as distinct from 'reasonable endeavours', which focuses on the amount of effort a party is to use in performing some or all of its obligations; or
- a document which is labelled 'subject to contract' and when it is or is not effective to prevent a contract coming into being; or
- the nature and effect of a no 'assignment' or an 'entire agreement' clause which the courts have interpreted in several court cases[1].

The courts have also developed rules and general techniques for 'construing'[2] contracts. The drafter should therefore be aware of how other contract drafters and the courts use and understand words.

Almost irrespective of the rules and techniques used by the courts, perhaps the most important starting points in the current prevailing method for the interpretation of contracts are:

- the focus on the words used by the parties in their agreement; and
- that it will be difficult to persuade a court to depart from those words.

For example, if clear words are used by the contract drafter but:

- that wording results in the intention of a party not being expressed correctly; or
- the wording leads to a result which is not commercially sensible; or
- the wording leads to a party simply having entered into a bad deal;

then the parties may still be bound by the wording they have used[3]. This is, no doubt, grossly over simplifying this current approach of the courts, but the

[1] Over time, the courts have made different interpretations as to what the nature and effect of these words is.

[2] The word 'construe' is a classic example of an old-fashioned word used by lawyers. It is frequently used by judges in their judgments (for example, in one of the leading recent cases on how courts should interpret the provisions of a contract: *Arnold v Britton* [2015] UKSC 36, it appears several times). It is technically different from 'interpret', but in modern English the latter word would suffice, see the *Oxford English Dictionary* which gives, in a legal context, one of the definitions of 'construe' as 'To explain or interpret for legal purposes'. This definition is identified by the dictionary as an application of another definition of the word: 'To give the sense or meaning of; to expound, explain, interpret (language)'. Its use in a legal sense is explained in the judgment of Lindley LJ in *Chatenay v Brazilian Submarine Telegraph Co* [1891] 1 QB 79, CA: 'The expression "construction" as applied to a document, at all events as used by English lawyers, includes two things: first the meaning of the words; and secondly their legal effect, or the effect to be given to them', although in practice 'construction' and 'interpretation' are likely to have equivalent meanings: see *Cream Holdings Ltd v Davenport* [2008] EWCA Civ 1363.

[3] See *Wood v Capita Insurance Services Ltd* [2017] UKSC 24 and *Arnold v Britton* [2015] UKSC 36, and discussed in Chapter 6.

approach does place the emphasis on the contract drafter to draft a contract which clearly expresses the intention of the parties to the contract.

The interpretation of contracts by the courts is the subject of Chapter 6 of this book, whilst Chapter 8 considers words which have a particular legal meaning.

3.1.2 Intelligibility

Some traditional contract language includes (legal) jargon and old-fashioned language which is not part of everyday speech: for example, 'hereinafter', 'determine' (meaning terminate), and 'in the event that' (meaning 'if'). It may be necessary also to use some technical language which can be difficult to avoid (for example, where the subject matter of the contract concerns a technical matter). However, for the most part it is possible to write contracts in plain, modern English.

Litigation over contracts is relatively rare, and it may be just as important to the commercial client that the contract can be understood and used as a commercial document. It may be necessary to strike a balance between using technical language which will ensure that the contract is interpreted in a particular way by the court, and avoiding legal jargon which the commercial client does not understand at all or may not understand properly the implications of it.

The use of plain English is desirable in any contract; it may be essential when one of the parties to the contract is a consumer. Consumer legislation[4] requires contract terms to be 'transparent', that is they are expressed in 'plain and intelligible language' (and if in writing to be 'legible'), failing which particular terms in the contract or the whole contract may not be enforceable against the consumer.

This chapter will recommend some techniques for drafting contracts in plain English, using technical language where necessary to achieve a particular legal result, but avoiding unnecessary legalese, old-fashioned language and jargon. Some of these techniques are recommended for most types of business or official communication: to write directly and to the point, in a logical order, avoiding jargon where possible, and in such a way that the meaning is clear.

Other techniques for drafting contracts differ from those used in many types of communication: for example, the need for consistent use of words to express the same idea in different parts of the contract, avoiding ambiguity, sacrificing (if need be) elegance for the sake of certainty.

[4] And some terms need to be 'prominent' (those that specify the main subject matter of the contract, or concern 'the assessment is of the appropriateness of the price payable under the contract by comparison' with what is supplied. See Consumer Rights Act 2015, Part 2, ss 61–76 and Chapter 7 for more on this subject.

Most of us speak and write in a more colourful or complex way than is appropriate for the wording of a contract. A business letter, conversation or office memo may include some 'talking around' the main subject, softening of hard statements, commentary on the main subject, or references to opinions or feelings. This more informal way of communicating is even more likely to occur now that most people communicate via email, twitter feeds or text messages. These newer methods of communication, and the devices which allow them to be sent from anywhere, emphasise shortness (and the use of short-cut expressions).

For example, a common technique for softening statements which might offend or irritate is to make them indirect or passive, to write 'it is requested that X do (whatever)', or even more obliquely, 'it would be a good idea to do (whatever)'. A drafter should avoid such modes of expression when drafting a contract. Some people are uncomfortable with the directness of good contract drafting: such as 'I require that you perform (whatever) by (whenever)', or 'you shall do the following things, or else the following consequences will result', or even more directly 'you must do the following things, and if you do not do so you will face the following consequences'. For some, such a direct mode of expression can appear rude, threatening or untrusting. As one of the main purposes of contract wording is to set out clearly that what the parties are legally obliged to do is as they have promised, directness and precision are essential.

3.2 The topics this chapter covers

This chapter deals with the following main areas:

- use of language, including:
    - o use of plain, modern, direct English;
    - o consistent use of words;
    - o sentence structure and length;
    - o clause structure, including the sequence of clauses; and
    - o the use of headings, numbering and paragraphing.

The following topics will be discussed:

- stating obligations clearly—who, what, when;
- active and passive, indicative and subjunctive;
- avoiding jargon and archaic language:
    - o simplest form;
    - o plain, intelligible style for consumer contracts;

- definitions and consistent use of words;
- avoiding unnecessary words;
- sentence structure and length;
- word order and use of punctuation;
- conciseness and comprehensiveness;
- length of individual clauses;
- formatting, use of paragraphs and tabulation;
- type size and white space;
- use of headings;
- logical sequence of clauses;
- grouping of clauses;
- use of schedules.

3.3 Stating obligations clearly—who, what, when (and how)

Examples:

Example 1

X shall be paid the sum of £500 as consideration for its obligations under this Agreement.

Example 2

Y may only use the Confidential Information for the purposes of this Agreement.

Example 3

Y shall pay X the sum of £500 within 30 days of the date of this Agreement.

Example 4

Y shall not use the Confidential Information other than as shall be necessary for it to achieve the Permitted Purpose.

Example 5 (from a modern US software licence, using US spelling)

You may not copy, modify, sublicense, or distribute the Program except as expressly provided under this License. Any attempt otherwise to copy, modify, sublicense or distribute the Program is void, and will automatically terminate your rights under this License. However, parties who have received copies, or rights, from you under this License will not have their licenses terminated so long as such parties remain in full compliance.

Good contract wording is direct and unambiguous. Ideally, it should state each party's rights and obligations in such a way that there can be only one interpretation of the words used. The wording in Example 1 above has several deficiencies. It does not state:

- who is to pay X the sum of £500, nor
- when this sum is to be paid.

To address these points, consider Example 3. The wording in Example 3 states:

- who has the obligation ('Y shall pay');
- to whom the obligation is owed ('shall pay X');
- what the obligation is ('shall pay … the sum of £500'); and
- when Y must perform the obligation ('within 30 days of the date of this Agreement').

It is conventional to state the obligation with the emphatic word 'shall'. This does not mean that the obligation arises in the future. Unless otherwise stated, the obligation arises on signing the agreement. In plain English, you could say 'Y must pay X the sum of …' and this would avoid any suggestion that the obligation arises in the future; but this is not the conventional way to draft contracts.

Under traditional rules of English grammar, the word 'shall' can be used in either a future sense or an emphatic sense. The traditional rule is to say 'I shall', 'you will', 'he/she/it will', etc for the future sense, and to reverse this sequence when using the empathetic sense, that is 'I will', 'you shall', 'he/she/it shall'. Hence the use of the word 'shall' in contracts (ie 'Party A shall …'). It may or may not be appropriate to refer to the sum being consideration for X's obligations under the Agreement. In some cases, this will be obvious and not worth stating; in other cases, it is possible to add words such as:

> In consideration for X's obligations under this Agreement

at the beginning of the clause, so that Example 3 would now read:

> In consideration for X's obligations under this Agreement, Y shall pay X the sum of £500 within 30 days of the date of this Agreement.

In Example 2 the phrase 'for the purposes of this Agreement' may well be unclear. Unless those purposes have been clearly stated, the extent of Y's rights to use the Confidential Information will be uncertain. It is possible to avoid this problem by including a definition of, say, the 'Permitted Purpose' and using this defined term in the clause.

In Example 2 a further problem is that the phrase 'may only' is weak, and the clause could state more explicitly that Y is prohibited from using the Confidential Information for any other purpose (which, presumably, is the other party's intention). Although it might be implicit, it is better (from the other party's point of view) to make the obligation clear. An alternative form of words to address these points would be that of Example 4.

Another example of the use of the word 'may' in this sense is found in Example 5, taken from the GNU General Public License[5]. The clause clearly forbids the copying, etc of the licensed software except as the rest of the licence permits, which the second sentence of the quoted clause appears to indicate. The rest of the licence mainly consists of what it is possible (but not obligatory) to do under the licence and where the word 'may' is more appropriate. The clause in Example 5 is a clause of prohibition and the use of the word 'shall' as suggested above, is the more appropriate verb to use: 'You *shall* not copy, modify, sublicense, or distribute the Program except as expressly provided…' [emphasis added]. The other explanation for the choice of wording used in Example 5 is differing drafting styles, as the GNU General Public License (largely) originates in the US, where there is some difference is the use of the emphatic verb.

In some contexts the use of the word 'may' can have another purpose, particularly where a party is given the discretion to exercise a right, ie it can do so but does not have to do so. For example, giving a party the right to terminate an agreement if another party is in breach, or the right to terminate after a particular date, but not requiring it to do so, eg:

'Any of the parties may at any time after (date) terminate this agreement immediately by notice in writing to the other parties'.

In such circumstances, the use of the word 'may' is an appropriate choice.

In summary, contractual obligations should state clearly:

- who has the obligation;
- to whom it is owed;
- what exactly the obligation is; and

[5] GNU General Public License, version 2, available from https://www.gnu.org/licenses/old-licenses/gpl-2.0.html. This wording is not present in version 3 of GNU General Public License.

- when that obligation arises,
- who, what and when.

When relevant the contract drafter should also make it clear:

- where the obligation is to be performed (eg if there is an obligation to supply goods, are they to be supplied 'ex works'—made available at the supplier's factory—or delivered to the customer's address, or to some other location)?; and
- how the obligation is to be performed (eg is payment to be made by cheque, in cash, by letter of credit, or other method).

3.4 Active and passive

The purpose of using the active tense in commercial contracts is to clearly communicate what a party has to do or not do. Consider the following examples:

Example 1

X shall be paid the sum of £500 by Y within 30 days of the date of this Agreement.

Example 2

Y shall pay X the sum of £500 within 30 days of the date of this Agreement.

Both of these examples say the same thing, in effect. The only difference between them is that the first uses the passive form, and the second the active form, of the verb 'to pay'. The second version is more direct. Although both versions are clear and easy to understand, use of the passive can make the meaning unclear, particularly in long or complex sentences. There is also a danger, when using the passive form, of omitting to state who has the obligation. Although Example 1 is in the passive tense, the mistake of not stating who has the obligation has not been made, as the phrase 'by Y' is included. In general, the drafter should use the active rather than the passive form.

There are a limited number of situations which require the use of passive, such as:

- if it is not known who carries out or is the subject of an action;
- if there is no requirement to identify who is to do something.

For example, a payment clause might provide that:

> 'X shall pay the Royalties to Y within 60 days of the end of each quarter …'.

Related provisions which appear in the same payment clause can then use the passive, as it will be obvious from the context who is required to do them, for example,

> 'All sums due under this Agreement shall be made by the due date … and shall be paid in pounds sterling …'.

3.5 Indicative and subjunctive

Examples:

Example 1

Y should pay X the sum of £500 within 30 days of the date of this Agreement.

Example 2

Y shall pay X the sum of £500 within 30 days of the date of this Agreement.

Example 3

If A were to become insolvent, B would be entitled to terminate this Agreement.

Example 4

If A becomes insolvent, B will be entitled to [or, B may] terminate this Agreement.

A statement, such as Example 2, that Y shall pay a sum, uses the indicative sense of the verb 'to pay'. A statement, such as in Example 1, that Y should pay a sum, uses the subjunctive sense. The latter is ungrammatical, and should be avoided. If the words 'Y should pay' are used, an English court might interpret them simply as a polite way of stating the contractual obligation, or as a poor use of English, which in either case would not change the contractual meaning. However, they might be interpreted in a quite different way, as meaning that Y ought to pay the sum, but he does not have a contractual obligation to do so[6]. Similarly, the wording used in Example 4 is preferable to that used in Example 3. Although it could be argued that the wording of the third example is perfectly grammatical (and even preferable to the fourth in its use of English), nevertheless the wording of the fourth example is to be preferred as contractual wording, as it is more direct.

[6] One of the authors was involved in negotiations with a well-known international computer company some years ago, in which in-house lawyers from the computer company, based in the US, indicated that this was their intention when using the term 'should' in a contract clause.

3.6 Avoiding jargon and archaic language

Examples:

Example 1

In the event that there shall be a determination of this Agreement by the vendor, the purchaser shall be entitled to a reimbursement of all financial consideration given by him pursuant to clause 4 hereof.

Example 2

If the seller terminates this Agreement, the seller shall repay to the buyer all payments made by the buyer under clause 4 of this Agreement.

Example 2 means (almost) the same as the first but uses simpler and more modern language, in that:

- 'In the event that' is replaced by 'If';
- 'determination' is replaced by the less ambiguous 'termination';
- 'financial consideration' becomes 'payments';
- 'hereof' is replaced by the longer but less old-fashioned phrase 'of this Agreement', and might be dispensed with altogether[7];
- 'reimbursement' becomes 'repay' (or 'return' or 'reimburse' depending on the precise circumstances of the underlying agreement);
- 'pursuant to' is replaced by 'under';
- 'vendor' is replaced by 'seller';
- 'purchaser' is replaced by 'buyer'; and
- the more complex construction 'there shall be a determination of this Agreement by the vendor' is replaced by the simpler and more direct 'the seller terminates this Agreement'.

The result is a shorter sentence (25 words rather than 35), which is easier to understand.

3.6.1 Old fashioned words and jargon

A few examples of old-fashioned words or jargon which it is best to avoid or omit are listed below, together with suggested alternatives. There are

[7] Particularly if another clause is included stating that references in the Agreement to 'clauses' mean 'clauses of the Agreement'.

many other words, which are not listed here, which a contract drafter should also avoid. There may be situations in which the drafter decides that the old-fashioned word or phrase more accurately reflects the drafter's intended meaning (or reflects some specific legal meaning based on a court ruling) in which case it should be used. The use of such words should not be simply out of habit. The important point is to look critically at what you have drafted, to check that it is written in clear English and means what you intend.

Some examples of old fashioned words and jargon[8]:

Old fashioned word or phrase	**Suggested replacement**
Above mentioned	Above
Aforesaid	Omit altogether
By reason that	Because
Determine	Terminate or decide
Forthwith	Immediately
Furnish	Give, provide
Hereby	Omit altogether[9]
Herein	Omit altogether
Hereinafter	Below (or omit altogether)
Heretofore	Above (or omit altogether)
In as much as/In so far as	Since
In excess of	More than
In the event that	If
In lieu of	Instead of
In view of	Because
On the part of	By
Per annum	Per year, annually
Prior to	Before
Purchaser	Buyer
Pursuant to	Under
Qua	As such
Said (eg the said Party)	Omit altogether
Subsequent to	After

[8] See also the list of Latin words at **3.6.4** and a list of words at **7.6**, which although not strictly old fashioned or jargon are ones that the contract drafter should avoid in consumer contracts.

[9] But it can be useful where the intention is to signal that a matter is happening now rather than a future date. See fn 129, **6.5.9**.

Old fashioned word or phrase	Suggested replacement
Such	Omit altogether[10]
Thereof	Omit altogether
Under the provisions of	Under
Until such time as	Until
Vendor	Seller
Whence	From where
Whereas	Omit altogether[11]

3.6.2 'Acceptable' legal jargon

In commercial agreements, there is certain legal jargon which has a special meaning for lawyers but generally, there is no easy way to substitute shorthand alternatives. Where none of the parties to a contract is a consumer, there is normally no issue with their use. The main ones are listed here for convenience:

- assignment/assign;
- best endeavours, reasonable endeavours and all reasonable endeavours;
- completion (closing in the USA);
- consequential loss;
- covenant;
- entire agreement;
- (liquidated) damages;
- condition precedent/subsequent;
- force majeure;
- indemnity;
- joint and several liability;
- jurisdiction;

[10] The use of 'such' is often used together with a phrase or noun which together refer to something else mentioned elsewhere in the agreement. That is, it is a form of shorthand, avoiding the need to refer to a specific clause or repeating wording. However, sometimes what is being referred to is not clear, which is what occurred in *Rainy Sky SA v Kookmin Bank* [2010] EWCA Civ 582, [18]: 'The parties agree that the appeal raises a short point of construction. Do the words "all such sums due to you under the Contract" in para (3) of the bond refer back to "the pre-delivery instalments" at the beginning of that paragraph, as the judge found, or to the repayments or payments referred to in para (2) as the Bank contends?' Although the Supreme Court came to a different view to that of the Court of Appeal ([2011] UKSC 50). See 'Such' in **8.4.71**.

[11] Often used as an introductory word to a sentence or as a linking wording between one phrase or part of a sentence and another.

- know-how;
- material/substantial breach;
- novation;
- penalty;
- representations;
- retention/reservation of title;
- subject to contract;
- (time is) of the essence;
- warrant/warranty;
- without prejudice.

3.6.3 Using pairs of words when one will do

Lawyers sometimes use pairs of words. This is another type of unnecessary jargon unless the words mean something different from one another. An example with which most non-lawyers are familiar is the phrase 'last will and testament'. Other examples include:

- 'sell and convey';
- 'goods and chattels';
- 'fit and proper';
- 'free and clear';
- 'save and except'; and
- 'settle and compromise'.

The reasons for these particular paired phrases are historical, dating back to the years following the Norman Conquest. The Anglo-Saxon and Norman legal customs were to some extent merged into a single legal system. To avoid legal uncertainty, Anglo-Saxon and Norman legal terminology were used together—for example, will is Anglo-Saxon, whilst testament comes from the Norman French. It is sufficient to use the word will on its own nowadays. This practice became irrelevant for legal purposes a long time ago, but still persists in some legal terminology[12].

[12] The use of both Anglo-Saxon and Norman French names can be seen in other areas, eg the names for animals and food. The English names for meat—pork, beef, venison, mutton, veal—are French in origin and similar to the modern French names for both the meat and the animal, whilst the corresponding English names for the animals—pig, cow, deer, etc—are Anglo-Saxon in origin.

3.6.4 Use of Latin

Another type of legal jargon is the use of Latin words and phrases. Fortunately, the use of Latin phrases has mostly died out, particularly in the wording of contracts. Much of the recent drive to stamp out the use of Latin comes from the reforms to the civil litigation system in 1999 which replaced all Latin words with modern English, as well as the requirement of modern consumer law which requires the use of plain language in contracts[13].

In some situations, there may be a good reason for the inclusion of a phrase, for example, where saying the same thing in English would be clumsy or take many more words to say. The Latin words a contract drafter or a party is most likely to encounter nowadays are the following:

- *ab inito*, meaning from the start or the beginning;
- *bona fides*, meaning good faith, but often used to indicate a person's honesty or sincerity of intention;
- *de facto*, meaning 'in fact', and often used to indicate that a situation exists, or something is correct or true rather than being 'officially' recognised. For example, one party may have been providing services to another party and the other party paying for them, without the parties ever stating that there is a contract between them (or there is no documentary evidence to that effect);
- *et seq*, which is used to indicate that something that is mentioned on one page is also, eg, discussed, mentioned or dealt with on following pages;
- *mutatis mutandis*, with the necessary changes;
- *Quorum*, minimum of number of persons needed for a meeting or other to be valid to proceed[14];
- *Pari passu*; side by side, or at the same rate;
- *per*, meaning through or by;
- *per annum*, for each year;
- *per diem*, by the day;
- *per pro* (often reduced to pp), indicating that someone is signing on behalf of another;
- *pro rata*, proportional;

[13] Whose reach has extended far beyond matters such as the purchase of goods from a (physical or online) shop, to such matters as conveyances, leases, tenancy agreements; where an individual '"purchaser" or user of such thing is often classified as a consumer legally'.

[14] This word is used in the model articles of association of UK companies under the Companies Act 2006 (eg '11. Quorum for director's meetings'). A plain English version would undoubtedly take more words: (eg '11. The minimum number of directors that need to be present to hold directors' meetings').

- *per se*, meaning by itself or in itself;
- *pro forma*, meaning laying down or specifying a set form or procedure (usually applied to a specified or standard form of document that a person needs to use or complete);
- *post postscriptum* (usually reduced to pps), usually added with additional text after a document is signed (such as a letter);
- *sui generis*, meaning unique;
- *sui juris*, meaning of one's own right (ie an adult and legally able to manage one's own affairs);
- *ultra vires*, meaning beyond a person's or company's powers;
- *uberrimae fidei*, meaning of utmost good faith;
- *viz* (abbreviation of videlicet), meaning namely.

It is now best to avoid the use of any Latin[15].

3.6.5 Other jargon

There are many other types of jargon, which the contract drafter should also avoid in contracts unless the meaning is clear. For example, some of the terms used in the computer industry may have a meaning which ordinary persons use daily, and may be understood in different ways or have a variety of meanings when used by them. But when used by computer specialists they may have a specific, technical meaning. Also the meaning of a word or phrase may change following developments. A word such as:

- 'wireless' will be understood by most users of computers and mobile devices, but would be understood by a computer specialist as encompassing a number of different technologies, capabilities and standards/protocols;
- 'kilobyte' is perhaps commonly understood to mean 1,000 but in fact means 1,024.

For some agreements it is not possible to avoid the use of technical terms. Picking up on the examples immediately above, if a software developer is asked to develop software for a client, it may be necessary to specify the specific standards with which it needs to comply, or with which versions of a computer's operating system the software will work. Use of other than specific defined technical terms could lead to a dispute that the software has not met

[15] A Latin phrase which the authors find difficult to avoid is '*inter alia*'. This phrase is also used by non-lawyers, so perhaps is not truly legal jargon, but according to research quoted by the UK Government, 97% of persons surveyed would prefer the phrase 'among other things' (see https://www.gov.uk/guidance/content-design/writing-for-gov-uk, last accessed July 2022).

any criteria in a specification[16]. If the meaning of a technical term is disputed in court, the litigating parties may need to call expert witnesses as to the meaning of the term used. Therefore, it is best to avoid the use of any word which is not part of ordinary speech unless:

- its meaning is clear from the context; or
- it is defined in the agreement; or
- there is a reference to where it is possible to find a definition (eg an industry or trade body which sets out the technical meaning of a term).

A discussion of how the courts approach the task of interpreting words used in a contract appears in Chapter 6.

3.7 Simplest forms

In recent years much effort has gone into simplifying the language of 'official' legal documents, including making such language far more direct and understandable by non-lawyers. A good illustration of this approach was the original version of the Civil Procedure Rules[17] (CPR) on which the following examples are based:

Example 1

IT IS ORDERED THAT … the Defendant do forthwith disclose to the Plaintiff's Solicitors the full value of his assets within and without the jurisdiction of this Court identifying with full particularity the nature of all such assets and their whereabouts and whether the same be held in his own name or by nominees or otherwise on his behalf and the sums standing in such accounts such disclosure to be verified by affidavit to be made by the Defendant and to be served on the Plaintiff's Solicitors within 7 days of the service of this Order or notice thereof being given.

Example 2[18]

9 (1) Unless paragraph (2) applies, the Respondent must [immediately] [within hours of service of this order] and to the best of his ability inform the Applicant's solicitors of all his assets [in England and Wales] [worldwide] [exceeding £ in value] whether in his own name or not and whether solely or jointly owned, giving the value, location and details of all such assets.

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[16] For example, a client may want a developer to create an app to run on 'Microsoft Windows' – such a phrase can cover a number of different versions of the operating system – from Windows XP, Windows Vista to Windows 10 or 11 and running on different computer chips (Intel, Arm) or 32 or 64 bit.

[17] SI 1998/3132. Since their introduction their extent has increased substantially, and the quality of the drafting of newer rules and/or versions of existing rules has come in for criticism. Partly because of the increase in their bulk and the substantial litigation which has taken place regarding the meaning of some of the rules, one aim has not been realised: simplifying litigation for non-expert litigators (or the costs involved).

[18] CPR Practice Direction 25A, paragraph 6.1 and Annex A.

(2) If the provision of any of this information is likely to incriminate the Respondent, he may be entitled to refuse to provide it, but is recommended to take legal advice before refusing to provide the information. Wrongful refusal to provide the information is contempt of court and may render the Respondent liable to be imprisoned, fined or have his assets seized.

10 Within [ ] working days after being served with this order, the Respondent must swear and serve on the Applicant's solicitors an affidavit setting out the above information.

Example 1 is taken from an old court order (formerly known as a Mareva injunction and now known as a freezing order under the CPR). It was typical of the court order style before the introduction of the CPR—heavy and impressive, but difficult to understand, covering several issues in a single, very long sentence, and using some very old-fashioned language (eg 'without' used as the opposite of 'within', and 'with full particularity'—perhaps the closest in modern English would be 'giving full details'). Before the introduction of the CPR, the likely argument as to why such a way of expressing a document was used was that as long as the defendant had a lawyer, the lawyer could translate the order into simple English. But why should this be necessary? Why not write the order in simple English in the first place[19]?

Example 2 attempts to cover the same ground as Example 1, using more modern English, a more direct style, and breaking up the text into numbered paragraphs. Some parts of the second version could be criticised: for example, using the term 'serve' in place of the word 'deliver', as the word 'serve' is unlikely to mean much to a non-lawyer as well as use of the passive tense ('but is recommended to take legal advice'). However, the CPR comes with a glossary so that words like 'affidavit' and 'serve' are given definitions, much like a modern commercial agreement. For example, 'service' means 'Steps required by rules of court to bring documents used in court proceedings to a person's attention'.

3.8 Plain, intelligible style (particularly for consumer contracts)

This section of the chapter is headed 'plain, intelligible style' but many of the techniques described in other sections are also designed to help the

[19] It might, perhaps, be argued that the heavy old-fashioned style is an important aspect of the legal process—like the wearing of wigs and gowns, it is designed to intimidate the public into respecting the law. If such a view is held, it is, in the authors' view, misguided. In the twenty-first century, people do not respect attempts to overawe them with fustiness and legal impedimenta. However, following on from the previous footnote, using simple and straight forward language is not enough to make a document understandable or usable. The terms and conditions of banks are now often in plain English. But their extent, and how one part of them fits with another in relation to the services provided by the bank may still mean that the customer does not understand what is being said. Some software and online services providers also suffer from this problem, with terms and conditions running on for several thousand words.

drafter write in a plain, intelligible style. The techniques described in this section go one stage further than other techniques described elsewhere and are particularly relevant to the requirement, under the Consumer Rights Act 2015, that contracts with consumers be drafted 'transparently', that is there should be the use of plain and intelligible language and if in writing, it should be legible[20].

Example 1

This is a copy of your proposed credit agreement. It has been given to you now so that you may have at least a week to consider its terms before the actual agreement is sent to you for signature. You should read it carefully. If you do not understand it, you may need to seek professional advice. If you do not wish to go ahead with it, you need not do so.

Example 2

Contract creation and electronic contracting

The steps required to create the contract between you and us are as follows:

- You place the order for the product(s) you wish to buy from us on the Website by pressing or clicking on the confirm order button at the end of the checkout process. You will be guided through the process of placing an order by a series of simple instructions on the Website. By pressing or clicking on the confirm order button you are making an offer to buy the product(s) from us.
- We will send to you an order acknowledgement email detailing the products you have ordered. This is not an order confirmation or order acceptance and the acknowledgement email does not create a contract between you and us.
- Only when we send the product(s) from our warehouse and a confirmation email to you will we have accepted your offer. Only at this point will there be a binding contract between you and us.

Example 1 is of wording which certain types of consumer credit agreement under the Consumer Credit Act 1974 and subsidiary legislation must include; it is written in very plain, intelligible language. Example 2 sets out modern contract drafting aimed at consumers. This wording sets out, in clear language using short sentences, the sequence of events to order products from the supplier, clearly indicating that the consumer is only making an offer when it orders product(s) from the supplier, and specifying when a contract comes into being.

[20] See discussion of the Consumer Rights Act 2015 in Chapter 7. Although a contract for use with a consumer may satisfy the requirement to be written 'transparently', it still may not be enough to satisfy the requirements of the Consumer Rights Act 2015: a consumer needs to be put a position where they can make an informed choice, and transparency means more than clarity of expressing contractual provisions: CMA, *Unfair contract terms guidance – Guidance on the unfair terms provisions in the Consumer Rights Act 2015*, CMA37, July 2015, paras 2.44–2.50.

Contractual language, particularly between commercial parties, tends to be formal in tone, even where the worst excesses of jargon and complex sentence construction have been removed. It is possible to lighten the tone, and make the words more intelligible, using some or all of the following techniques although it may not always be appropriate to use these techniques.

- ***You and we/us***. Nowadays, many of the standard terms and conditions of supply provided by major consumer suppliers (eg utilities companies) refer to the customer as 'you'. This technique is not compulsory, but conditions of supply do become slightly easier to understand, and less intimidating, using this technique rather than terms such as 'Customer' and 'Supplier'. This technique is recommended for other types of contract with individuals, for example, employment or consultancy contracts. Also consider (although it can sound abrupt) using 'must' rather than 'shall', as in 'We must tell you …' rather than 'The Company shall notify the Customer …'. The use of the words 'you' and 'we' may be helpful in a consumer contract or where one of the contracting parties is an individual, but would often be out of place in a detailed agreement between commercial parties[21].

- ***Avoiding technical language and legal 'jargon'***. It is a difficult decision to take, whether to avoid all technical and legal language in an agreement. The current principal UK governmental body responsible for consumer matters, the Competition and Markets Authority, has expressed a strong preference that contracts with consumers do not contain legal jargon or wording[22]. The predecessor to the CMA had as its starting point on this issue that a consumer should be able to understand and deal with a contract without the benefit of legal advice[23]. Now, for the CMA, a consumer should be able to make an informed choice[24]. The aim is the same, that a consumer should be able to enter a contract knowing the terms and the effect of the terms without further assistance or information.

  In contacts for use with consumers the contract drafter should avoid language such as 'indemnity', 'consequential loss', 'time being of the essence', 'force majeure', 'all conditions and warranties are excluded', 'vicarious liability', 'mitigation' and 'this is without prejudice to your statutory rights'[25]. Where it is necessary to use 'legal' wording then the contract drafter should explain its meaning. Some phrases, for example 'service of notices', are probably best replaced with modern English

[21] See also **3.11**.

[22] See CMA, *Unfair contract terms guidance – Guidance on the unfair terms provisions in the Consumer Rights Act 2015*, CMA37, July 2015.

[23] This view was expressed by the now defunct Office of Fair Trading in Unfair Contract Terms, A bulletin issued by the Office of Fair Trading Issue No 3 March 1997, page 19, para 12.2.

[24] *Unfair contract terms guidance – Guidance on the unfair terms provisions in the Consumer Rights Act 2015*, CMA37, July 2015, paras 2.44–2.50.

[25] See Chapter 5 for more on this drafting issue.

(eg 'notify us in writing'), even if the technical meaning of a word like 'serve' is lost in the process[26].

- ***Keeping it simple***. Much of this chapter is concerned with using simple, straightforward language in contracts. This is particularly important in consumer contracts, where the consumer will generally not take legal advice on the terms of the contract, nor be expected to understand complex contractual language. In consumer contracts, not only the style, but also the content should be kept as simple as possible, if only to avoid having the terms declared unenforceable by a court[27]. This is not to imply that the content of contracts between commercial enterprises should be intentionally complex, but in practice commercial parties often require their contracts to be detailed and comprehensive. In some commercial contracts, and in many consumer contracts, it may be desirable to draft wording which is not comprehensive in the interests of making the contract understandable. Creating a short contract for use with consumers is not always possible, sometimes it needs to be long and detailed or to cover technical or complex matters. In such cases it will be necessary to use methods other than drafting techniques, such as the supplier providing a summary of the contract's provisions as well as allowing time for the consumer to consider the provisions[28].

- ***Provide explanations***. A distinctive feature of some consumer contracts is that more explanation is provided as to the meaning of certain terms. Also, for certain parts of the contract this can be simply done by highlighting provisions which are particularly significant (such as putting the provisions in bold), or through the use of more descriptive language of what is to happen. For example, a contract between commercial parties might state that goods are of satisfactory quality; but a contract with a consumer might spell out the meaning of satisfactory quality (such as stating, for example, the finish on a product has an easily-scratched surface). Descriptive wording in a consumer contract might include, for example, when describing when delivery will and will not take place, and what a delivery person will and will not do (ie not take goods other than to the ground floor), as opposed to a commercial contract where

[26] See the example above taken from the CPR where the word 'serve' is specifically defined in the glossary to the CPR.

[27] In addition, drafters who draft contracts where a consumer is a party should regularly consult the various documents issued by the CMA, as well the bulletins issued by the now-closed OFT. The bulletins provide specific examples of unacceptable wording. The guidance provides the CMA's views on unacceptable wording. For particular industries or service sectors (such as tenancy agreements, care home contracts, fitness club contracts, etc) the OFT issued specific guidance. Most of them have been formally adopted by the CMA. However, most were prepared many years ago, and may not reflect the view of the CMA going forward. See Consumer Protection: Guidance on the CMA's approach to use of its consumer powers, CMA7, March 2014, Annex B.

[28] See CMA, *Unfair contract terms guidance – Guidance on the unfair terms provisions in the Consumer Rights Act 2015*, CMA37, July 2015, 2.58, but as the CMA notes these techniques will not 'cure' a contractual term which is not drafted transparently.

a statement simply saying that delivery will take place at the customer's premises would suffice.

3.9 Definitions and consistent use of words[29]

Best practice is to use the same words to express the same ideas at different places in an agreement. If different words are used, a court is likely to assume that the parties intend a different meaning or, worse still (from the point of view of a least one of the parties) come to their own view as to the meaning. Thus if the contract refers:

- in one clause to 'the company and its subsidiaries'; and
- in another clause to 'the company, its subsidiaries and affiliates',

a court may assume (perhaps incorrectly) that the drafter or parties meant to exclude affiliates in the earlier clause[30]. In reality, the contract drafter may simply have 'copied and pasted' these clauses from different sources and failed to notice the inconsistency. Partly to avoid such risks, and partly to avoid repetitive use of long phrases, in such a situation it is preferable to use a word such as the 'Group' throughout, and to define the Group carefully at the outset.

The drafter should also avoid the use of 'elegant variations'. In non-legal writing it may be acceptable, and even desirable, to avoid repeating a word in a document, even where the same meaning is meant on each occasion. For example, a newspaper article, essay or even business emails between parties who know each other well (and adopt a less formal style of communication), might refer in one sentence to a 'contract', in the next to an 'agreement' and in the third sentence to 'our deal'. A contract is not the place for this type of literary technique and the contract drafter should always avoid it.

While the use of definitions can undoubtedly aid the process of making the wording in an agreement more consistent, their extensive use can interfere with readers' understanding of the meaning of individual clauses. For example here is a clause over-burdened with definitions:

The Client grants to the Contractor the right to Use the Client Software on the Equipment that is used in the Delivery of the Services for the performance of the Work in the Territory during the Term of this Agreement[31].

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[29] See also **2.8**.

[30] The same principle applies where the parties use a defined word (eg 'Sample' has a specific meaning (identified by the use of a capital letter) in parts of the agreement but in other places, the same word is used but not as a defined word.

[31] And some of these definitions are merely listings of further definitions which will need consulting.

Without consulting the definitions section the reader might get a general sense of what the clause means, but that is all. However, it will be necessary to do so as it will not be possible to determine the clause's full meaning without it[32]. In this example, they will need to look up nine or more definitions. There is a danger with the extensive use of definitions in a single sentence that the reader will not fully focus on the implications or consequences of the clause. Practically, the reader will have to turn back and forth from the clause they are reading to determine the meaning of each defined word, which can be irritating and cause loss of concentration. In some cases, where a definition is repeated only a few times, it may be appropriate not to use one at all, but rather to type out the full text that would have appeared in the definition, in each relevant clause.

There are several common types of definition, including the following.

3.9.1 Means

Examples:

Example 1

ABC LIMITED, a company incorporated in England and Wales whose registered office is at Twenty-first Century Business Park, Greentown, Loamshire G1 2AB (the 'Company').

Example 2

'Know-how' means all unpatented technical information developed in the laboratory relating to the Patents or the Materials.

A 'means' definition is the most common type of definition. The meaning of the defined term is set out in a phrase or sentence, and the boundaries of the definition are clear. Examples 1 and 2 are slight variations on this type of definition. In Example 1 the full name of a party to the contract is abbreviated by use of the defined term 'Company'. In Example 2, the definition explains what is meant by 'Know-how', and enables the drafter to set out the meaning only once in the agreement, rather than have to explain the meaning each time the term is used. The use of the words 'mean' or 'means' in a definition indicates that the entirety of the meaning of that definition is set out within

[32] Reading on a screen in such an instance can make the cross-referring to definitions less difficult with the right software. Some applications, such as Microsoft Word, allow one document to be split into two windows, so it possible to have, for example, the page with the definitions in one window, and another part of the document in the second window, with each window separately scrollable and editable. Some PDF applications also offer this functionality.

its wording[33]. Other wording in an agreement or elsewhere cannot usually be used to interpret or add to its meaning. However, it will depend on the particular wording used in the definition and in the context of the agreement. In Example 2 there are the defined words Patents and Materials which clearly extend the meaning of 'Know-how' beyond its wording, so for the meaning of Patents and Materials it will be necessary to look at their definitions in the definitions clause. However, to avoid any argument that the meaning of 'Know-how' should be only found within its wording[34] it is possible to state within its definition that the meaning of Patents and Materials are found elsewhere, such as in Example 3:

Example 3

'Know-how' means all unpatented technical information developed in the laboratory relating to the Patents or the Materials (whose meanings are defined in this Clause 1).

These types of definition may be contrasted with definitions which state that the meaning of a defined term includes or excludes items, as described below.

3.9.2 Includes

Examples:

Example 4

'Person' includes a partnership or corporation.

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[33] See *Singapore Airlines Ltd v Buck Consultants Ltd* [2011] EWCA Civ 1542, [19] where the court held 'Definitions in statutes and deeds can be exhaustive or non-exhaustive. Non-exhaustive definitions are usually prefaced by the word "include". More often, however, a definition is intended to be exhaustive and it will then generally begin with the word "mean" or "means". It is difficult to read a definition which begins with the word "means" as other than exhaustive.'

[34] Which was, essentially, the argument made by the claimant in *Singapore Airlines Ltd v Buck Consultants Ltd* concerning a definition of 'earnings' which read: '"Earnings" means for each Member the annual rate of his basic remuneration from the Employers.

For the purposes of calculating Earnings of an employee who is in receipt of fluctuating emoluments, the annual rate of any such emoluments to be included in his Earnings shall be taken as the average annual amount received over the last three years, or over such shorter period as he has been in receipt of such emoluments.

For the purposes of calculating Earnings of an employee paid on an hourly basis, remuneration in respect of any hours of work in excess of the Employer's standard working week for the time being in operation which is appropriate to the nature of such employee's employment will be ignored and the annual rate of his remuneration will be 52 times the weekly rate.'

A common sense reading of the second and third paragraphs is that they are for use in the first paragraph where an employee had fluctuating emoluments or was paid on an hourly basis. This was the view of the Court of Appeal (see [38]). However, to avoid an argument such as that of the claimant, a simple way to link the three paragraphs closely would be to start the first paragraph with the words 'Subject to the following two paragraphs'. However, in this case it needed litigation and proceedings in two courts to come to this view.

Example 5

'Know-how' includes without limitation any results, data, methods, techniques, drawings, DNA sequences and formulae and any commercial and marketing information relating to Products.

The definitions in Example 4 and 5 are particularly useful in a situation where there might be some doubt as to whether such items are included. In Example 4, 'person' might not be understood by non-lawyers as including 'legal persons' such as a company. The definition clarifies that partnerships and corporations are to be understood as persons for the purposes of the agreement. In Example 5 it is made clear that the meaning of 'Know-how' should be understood as including several types of technical information and also (surprisingly) commercial and marketing information. Such definitions do not, by themselves, set limits on how a defined term is to be understood, and are therefore less 'complete' than the type of definition discussed in the previous paragraph, which use the word 'means'.

Example 4 uses 'includes' while Example 5 uses 'includes without limitation'. The view of the English courts is that the word 'including' (or include) will enlarge or extend the meaning of the word or phrase that precedes it[35]. The phrase 'including without limitation' is intended to set beyond doubt that 'includes' is intended not to be restrictive, although strictly unnecessary. In effect 'includes' and 'including without limitation' have the same meaning.

3.9.3 Excludes

Examples:

Example 6

'Know-how' excludes any information developed by the Licensee under this Agreement.

Example 7

'Know-how' means all unpatented technical information and know-how developed in the Laboratory relating to the Patents or the Materials, including without limitation any results, data, methods, techniques, drawings, DNA sequences and formulae, but shall exclude any information developed by the Licensee under this Agreement.

Example 6 is self-explanatory. It may be important to exclude information developed by the Licensee, for example, if the Licensee has confidentiality obligations to the Licensor in relation to know-how (but should not have such

[35] *Stroud's Judicial Dictionary of Words and Phrases* (7th edn, Sweet & Maxwell), definitions of 'includes' and 'including'.

obligations in respect of information which the Licensee itself developed). Sometimes a definition will include all three types of definition, as in Example 7.

3.10 Avoiding unnecessary words

There are several types of unnecessary wording:

- ***Verbose phrasing.*** For example,
  - writing 'In the event that there is a reduction in the number of explosions' rather than 'If fewer explosions occur'; or
  - writing 'subject to the clauses hereinafter contained' rather than 'subject to clauses [ ]'.
- ***'Belt and braces' words.*** For example, writing 'the said company' (or, even worse, 'the aforesaid company') or 'such company' rather than 'the company', when it is perfectly clear from the context which company is being referred to (and even more so where company is a defined word). Occasionally, it is useful to write 'the said …' but in most cases it is unnecessary. Another example is 'termination or expiry', which is sometimes found in several places in a contract. This could be avoided either by referring to 'termination by expiry' in the clause dealing with expiry, so that it is clear that expiry is a type of termination, or better by defining termination as including termination by expiry.
- ***Clearly redundant words.*** For example, consider the following sentence:

Claims shall mean all claims and demands brought against the Policyholder by third parties (including without limitation any person injured by the Equipment, any personal representative of any such injured person, and any other person whomsoever).

It is clearly not necessary to use the phrase 'and any other person whomsoever' at the end of a phrase beginning 'including without limitation', since the point of the latter phrase is to make clear that what follow are merely examples.

The general point seems rather obvious—to avoid 'flabby' or unnecessary wording which does not add anything to the intended meaning. In practice, this is not always easy, particularly where the contract drafter is uncertain whether their choice of words covers all that they intend it to cover.

3.11 The use of pronouns (in non-consumer contracts)

In many contracts with consumers the parties are identified by the use of pronouns ('you', 'we', 'us'), instead of using the names of the parties or a defined term (such as the 'Customer' or the name of company).

In itself this is not a problem; but for commercial contracts, it can cause difficulties particularly with a pronoun such as 'we'. For example:

- 'we' can refer only to one party, eg, the party who is providing the goods or services under a contract, but could just as easily refer to both parties to a contract depending on the purpose of the particular clause. A blanket policy of just using 'we' without examining each clause may have unintended consequences;
- even if the intention is to refer to only one side of the contract (eg the side that provides the goods and services), it is unlikely to be suitable if there is more than one party on that side (such as a supplier of goods and a second supplier who is providing some services, or several members of a group of companies). The use of 'we' could refer to one or both suppliers, but then it would be necessary to identify the second by another word or pronoun; but there may not be a suitable pronoun available to distinguish it from the other supplier. This is likely to be particularly the case where different suppliers have different rights and obligations under the contract.

It is possible to partly overcome this issue by use of a definition at the beginning of the agreement, such as:

'In this Agreement 'we', 'us' and 'supplier' shall mean [name of the party]'.

However all of the above is dependent on a user of the agreement being aware of how the word 'we' is being used. The user may not start by reading the definitions section, or may go straight to a clause that is relevant or of interest to them or after reading many paragraphs simply not remember the specific meaning of 'we' and 'us'. The safest course to minimise confusion is to use either:

- the names of the parties (or a suitable contraction of the name); or
- the name which clearly reflects the role the party plays in the contract (such as 'Supplier', 'Developer', 'Builder', 'Consultant', 'Client', 'Customer' etc).

3.12 Numbers

Some agreements contain provisions where any figure is expressed in both words and figures such as:

The Company shall pay the Consultant one thousand, three hundred and ninety-five pounds sterling (£1,395.00) within 30 days of the date of this Agreement.

or

The Company shall pay the Consultant £1,132,395.00 (one million, one hundred and thirty-two thousand, three hundred and ninety-five pounds sterling) within 30 days of the date of this Agreement.

There is no legal requirement that is required or necessary to use such an approach in English contracts. The idea of expressing an amount twice is to provide an extra level of certainty that the amount is correctly stated, that is:

- on the basis that one amount is checked against another; or perhaps
- that typing figures is more likely to lead to error whereas it is much more laborious and requires more thought to write out numbers in words.

As far as the law is concerned, there is a presumption that where an amount is written in both formats, then it is the words that are assumed to be correct (on the assumption that it is easier to mis-type or write an amount as a figure[36]). But it is no more than a presumption.

However, having to type, let alone read, amounts and figures twice is time consuming and, in the case of higher amounts expressed in words, the number of words might be off putting and lead the reader to skip over the written version of the number and rely on just the figure.

3.13 Formulas and the like

Formulas appear in many contracts where any form of payment or calculated amount is stated. Formulas indicate how an amount is calculated and it is possible to express the method of calculation either in words or figures (using arithmetic or algebra). Whichever method is used, the order of the words or the order of the operators and parentheses can all make the difference in the calculated figure.

3.13.1 Formulas expressed mathematically

For calculations expressed mathematically it is important to understand some basic notation of mathematical conventions:

1 Where figures are added and multiplied in the same calculation, the multiplication is calculated first, for example:

$12 + 3 \times 12 = 48$

But a person who does not understand mathematical conventions might make the calculation starting from the left and end up with $12 + 3 = 15 \times 12 = 180$

[36] See eg *Re Hammond, Hammond v Treharne* [1938] 3 All ER 308.

2 Where figures are added and subtracted, then the calculation is done from left to right, for example:

12 + 3 – 15 + 12 = 12

3 Anything in parentheses is calculated first, for example:

(12 + 3) × 12 = 12 + 3 is first calculated and then result of this is multiplied by 12 to equal 180

The problem is that many users of an agreement may not understand the mathematical conventions used in the order of calculations.

3.13.2 Formulas expressed in words

Similarly, where words are used to express the calculation, and the order in which items are subtracted, added or multiplied can make a difference to the amounts payable. In some cases, the order in which the user of the agreement is to make the calculation may not be clear.

Take the following example:

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the Consultant shall pay to the Company a royalty of 50% of the Price of all Products sold by the Company, less the Expenses during the period of 10 years from the Commencement Date[37].

The word order can lead to a number of interpretations:

(for the purposes of this example Price = £20, Expenses = £8)

(1) first deduct Expenses from Price (£20 – £8 = £12) and then take 50% of £12 = £6; or

(2) first calculate the royalty from the Price (50% of £20 = £10) and then deduct the Expenses (£8) = £2.

In this simple example, the Consultant might have to pay three times the amount to the Company depending on when the Expenses are deducted.

There are other possible interpretations but either of these two views is permissible. The first will mean the consultant pays a much lower royalty than the second[38]. Other problems include the use of the definitions, all of which

[37] Similar wording to the ambiguous type of contract drafting used in the example came under consideration in *Chartbrook Ltd v Persimmon Homes Ltd* [2009] UKHL 38.

[38] Clause 4.2 in Precedent 1 in the Appendix provides an example of the type of clause under consideration, but not drafted in the poor way of this example and also with different definitions. In the precedent the definition of Net Sales Value (the equivalent of Price in the example used here) indicates clearly that it is net of various costs of sales, etc (the equivalent of Expenses) before the royalty percentage is applied.

the user of the clause will need to reference before it is possible to understand the meaning of the formula.

3.13.3 Formulas—suggestions

Other than the simplest calculation, particularly where more than two mathematical operators are in use, to avoid ambiguity and ensure precision[39] the parties should:

(1) use mathematical or algebraic notation rather than words[40];

(2) include an explanatory key with the mathematical or algebraic notation; and

(3) provide one or more worked examples.

[39] In *London Regional Transport v Wimpey Group Services Ltd* [1986] 2 EGLR 41 (decision appealed ([1988] Lexis Citation 1907), but dismissed) the parties entered an agreement for the defendant to build an extension to its premises, with the agreement including a draft lease to that extension which the parties would enter on completion of the building works. During negotiations the parties 'agreed upon an initial ground rent … and rent reviews at intervals of seven years during a term of 99 years … They also agreed that the new ground rent at each rent review date should be determined according to a simple formula which they stated verbally in correspondence but which can also be expressed as g1 = g + 30% (r1 – r)'. This was proposed by a surveyor (Formula A). However, this simple formula was not recorded in the agreement and draft lease: 'By a combination of tortuous language in the reddendum and an appendix to the draft lease, [the solicitor for the claimant] produced a formula which can be expressed as g1 = g + 30% (r1 – r) – p. This is the same as the [parties agreed] but with a final deduction of p, which represented the ground rent payable immediately before the rent review. The language used in the draft was, however, so complex that no one noticed that it differed from the surveyors' formula. It was approved by both solicitors and surveyors on both sides and the agreement was executed …' (Formula B). After completion of the building, the parties were ready to enter into the lease, but another solicitor for the claimant was not happy with the rent review wording in light of court decisions. That solicitor believed that his redrafted version of the rent review wording (Formula C) was the same as that of Formula B, as did the lawyer for the defendant (who approved the Formula C draft). However, in fact, it accorded with Formula A. The lease was executed using the Formula C wording. At the first rent review, the defendant noticed that the wording used in the executed lease (using Formula C) was less favourable to them than that in the agreement (using Formula B). The defendant sought rectification of the lease, the reasons for which are not relevant here, but failed. What is important is the number of lawyers involved, all of whom failed to understand the wording (or the difference in the wording and resulting effect) between Formulas A, B and C because of the way the original lawyer had decided to draft the rent review clause. (The quote from the judgment includes some very old-fashion legal jargon: 'reddendum', rarely seen outside the world of property law and leases and according to one definition means [That which is to be paid or rendered] The clause in a lease dealing with the payment of rent (q.v.) from Bird, *Osborn's Concise Law Dictionary* (12th edn, 2013, Sweet & Maxwell).)

[40] See the concluding words of the judge in *London Regional Transport v Wimpey Group Services Ltd* [1986] 2 EGLR 41, which although addressed to surveyors and conveyancers equally apply to those drafting commercial contracts and the parties themselves: 'Finally, I might be allowed to offer a word of advice to both surveyors and conveyancers. I doubt whether the mistakes which gave rise to this litigation would have happened if the surveyors' formula had been expressed algebraically instead of verbally, either in the original correspondence or the agreement. Rent formulae can often be expressed more simply and unambiguously in algebraic form and this case shows that a very modest degree of numeracy can save a great deal of money'.

The use of examples can serve two purposes[41]:

- they can serve as a check to the contract drafter to ensure they have expressed what the parties intend; and
- over the life of the agreement (or in the event of a dispute), the intentions of the parties at the time of the agreement will be easily understood.

A few examples may help in testing whether the mathematical or algebraic formula used expresses the intentions of the parties accurately, but may not be sufficient to test the financial or commercial consequences where payments or calculated amounts may run on for many years. The party who is liable to make the payment should ideally test the mathematical or algebraic formula (or if expressed in words, the words) in likely different factual situations themselves to see what the effect is over the life of the agreement[42].

[41] If the examples are included in the agreement (such as a schedule to the agreement) their status should be stated (as to whether they are part of the agreement). In *Sutton Housing Partnership Ltd v Rydon Maintenance Ltd* [2017] EWCA Civ 359 the issue was whether 'the figures set out for minimum acceptable performance [for carrying out maintenance work] in three tables headed "example" are contractually binding or merely illustrative' in a poorly drafted agreement containing 'curious contractual provisions'. The minimum acceptable performance figures were not present other than in the three tables headed 'example'. In interpreting the provisions of the contract and noting that the agreement was a commercial contract, the court in effect concluded that the minimum acceptable performance figures set out in the examples were contractual provisions (although some other figures in the examples were not—'performance figures'—which were hypothetical) and that they re-stated 'the contractual or the arithmetical consequences of [provisions in the agreement]' (from [1], [52], [54] and [58]).

[42] The importance of 'stress testing', as one writer puts it, proposed payments and calculated amounts cannot be overemphasised. Ideally the wording (or formulas) used in an agreement should not be left to the contract drafter but be critically examined and undergo 'stress testing' by the party or parties concerned. For example, in *Arnold v Britton* [2015] UKSC 36, a clause in a lease concerning the payment of service charge started with a payment of £90 in the first year, and which would lead to a potential payment of over £1,000,000 by the end of the lease (at the end of 99 years). The wording of the clause in one of its versions was: 'To pay to the Lessors without any deductions in addition to the said rent a proportionate part of the expenses and outgoings incurred by the Lessors in the repair maintenance renewal and the provision of services hereinafter set out the yearly sum of Ninety Pounds and value added tax (if any) for the first three years of the term hereby granted increasing thereafter by Ten Pounds per Hundred for every subsequent Three year period or part thereof.' In this case the clause was, at best, not clearly drafted as the second part of it (from the word 'hereinafter') does not logically follow on from the wording before it. The clause was interpreted by the court so that, in effect, the first part of the clause (ie to pay a proportionate part of the expenses) was to be subject to what followed in the remainder of the clause. Consequently, the financial effect of the clause on the lessees was profound. The lessees were not business people, and it seems unlikely that they would have spent time doing calculations, or if the lawyers for the lessees were conventional conveyancing solicitors neither would they (both are assumptions, as 'routine' conveyancing does not usually call for such analysis and testing of provisions).

3.14 Sentence structure and length

Short sentences are easier to understand than long sentences[43]. There is a long-established principle in official writing: 'only put one idea in each sentence'. This principle was almost certainly not devised by a lawyer. Contractual obligations are often complex, with many ifs and buts, and it may be necessary to cover several aspects of an obligation in one sentence, although this does not mean that it is always necessary to use long sentences. Consider Example 1:

Example 1

The Licensee undertakes at all times during the subsistence of this Agreement and thereafter to keep confidential (and to ensure that its officers and employees shall keep confidential) the terms of this Agreement and any and all confidential information which it may acquire in relation to the business or affairs of the Proprietor, save for any information which is publicly available or becomes publicly available through no act of the Licensee; provided that the Licensee shall be at liberty to disclose such terms and confidential information under a duty of confidence to its professional advisers and to others if and when required to do so by force of law.

The above clause is found in a published precedent. The word order is good—the main obligation appears first and is then qualified and embellished by further phrases. The language is fairly clear and covers, in a very concise way, most of the issues which are commonly addressed in a confidentiality clause. The main problem with the clause is that several ideas are crammed into a single, very long sentence which runs to 109 words. These ideas include the following:

(1) the obligations set out in the clause continue during the life of the agreement and after it comes to an end;

(2) the Licensee is required both to comply with the obligation and to take steps to ensure that its officers and employees do so;

(3) the Licensee is required to keep confidential both the terms of the agreement and any confidential information relating to the Proprietor's business;

(4) these confidentiality obligations do not apply to publicly-available information unless the Licensee caused the information to become publicly available;

[43] There are also government-backed codes concerning the length of sentences. For the UK, see eg the UK Attorney General's Office *Writing Style Guide* (https://assets.publishing.service.gov.uk/government/uploads/system/uploads/attachment_data/file/451510/AGO_Writing_Style_Guide.pdf, last accessed August 2022), Some foreign countries also have such codes, such as in the United States and certain Commonwealth countries.

(5) the Licensee may disclose information to his professional advisers if they are bound by a duty of confidence to keep the information confidential;

(6) the Licensee may disclose information if required to do so 'by force of law'[44].

Thus, the clause deals with at least six ideas in a long sentence of unbroken text. An alternative way of setting out the above clause, without any substantive redrafting of the words used[45], would be as in Example 2:

Example 2

1. Confidentiality

1.1 The Licensee shall keep confidential the terms of this Agreement and any and all confidential information which it may acquire in relation to the business or affairs of the Proprietor ('Confidential Information').

1.2 The obligations set out in clause 1.1 shall not apply to any information which is publicly available or becomes publicly available through no act of the Licensee.

1.3 The licensee shall be at liberty to disclose Confidential Information:

(a) under a duty of confidence to its professional advisers; and

(b) to others if and when required to do so by force of law.

1.4 The obligations set out in this clause 1 shall apply at all times during the subsistence of this Agreement and thereafter.

1.5 The licensee shall ensure that its officers and employees comply with the Licensee's obligations under this clause 1.

This version uses a few more words than the earlier version, but is far easier to understand. Each of the six main ideas appears in a separate sentence or (in the case of clause 1.3) separate paragraphs. Also, the clauses are numbered for additional ease of reading. Even if the numbering had been omitted, and the text had been put together as a single paragraph of five or six sentences, it would still be easier to understand than the original version.

Example 3 concerns a definition of 'confidential information' which is almost as lengthy of the previous example (here containing 97 words):

Example 3

For the purposes hereof, the term 'Confidential Information' shall mean any information which is disclosed by one Party (the Disclosing Party) to the other Party (the Receiving

[44] Whatever this means—would an instruction given by a constable be a requirement 'by force of law'? More typical wording for this type of exception would be 'by order of a court of competent jurisdiction'.

[45] This is not the appropriate place to comment on the substance of the obligations and whether it is necessary to include further obligations or exception. See Anderson and Warner, *Drafting Confidentiality Agreements* (4th edn, 2014, Law Society) for a detailed discussion of the terms of confidentiality agreements.

Party) hereunder, whether such information is or has been disclosed in writing, orally, visually, in the form of samples or models or otherwise, provided that such information, if written, is clearly and conspicuously marked as being confidential and, if oral, visual or in other non-written form, is designated as Confidential Information at the time of disclosure, and confirmed as such in writing within thirty (30) days of such disclosure.

This definition clearly indicates that any information comes within the remit of 'Confidential Information' and that which one party discloses to another but has the same problem as the previous example. It covers three distinct ideas within one very long sentence:

(1) its use commences with some old fashioned jargon ('For the purposes hereof');

(2) it states that the meaning of 'Confidential Information' is any information disclosed by one party to another;

(3) it indicates the methods by which such information can be disclosed to come within the meaning of the definition ('in writing, orally, visually, in the form of samples or models or otherwise');

(4) it states an additional requirement that if the information is written and if it is to count as Confidential Information that it is clearly and conspicuously marked as confidential; and

(5) it states additional requirements if the information is disclosed orally, visually or in some other non-written form if it is to count as 'Confidential Information'—that at the time of disclosure it is designated as confidential and that that designation is confirmed in writing within 30 days of a party disclosing that information.

An alternative way of presenting this definition without substantive redrafting would be to separate out the three main points of the definition as separate sentences. Doing so will more clearly bring home to the reader of the definition what is to happen if they disclose written information or information which is provided in a non-written form, as follows:

Example 4

"Confidential Information" shall mean any information which is disclosed by the Disclosing Party to the Receiving Party in writing, orally, visually, in the form of samples or models or otherwise, subject to the following conditions.

If the information is disclosed in writing it must be clearly and conspicuously marked as confidential.

If the information is disclosed in non-written form, it must be designated as Confidential Information at the time of disclosure, and confirmed as such in writing within thirty (30) days of such disclosure.

This version is shorter by 15 words and is easier to understand, even if the sentences were to run together in one paragraph. The only substantive difference is that the third paragraph uses only the phrase 'non-written form' instead of the original 'oral, visual or in other non-written form'.

3.15 Word order and use of punctuation

This section considers two related issues. First, a contract drafter should draft clauses in such a way that if a comma is inserted into a sentence the meaning of the sentence will not be changed. However, this is not always realistic. Punctuation such as:

- commas;
- semi-colons;
- dashes; and
- brackets (parentheses)

can be very useful to break up a sentence which covers several points, and reduce it to phrases of manageable length[46]. Indentation, paragraphing and numbering can also help[47].

Second, as a matter of general writing style, it is desirable to 'get to the point' early in a sentence, rather than leave the main part to the end of the sentence. In Example 1 the point of the clause—that a demand for payment may be made—is left to the end of the sentence (in italics). It is therefore necessary to read to the end of the sentence before discovering what the clause is about. Example 2 uses a different word order and also introduces some punctuation, formatting and other drafting techniques to make the clause easier to understand.

Examples:

Example 1

If the Borrower fails to make any monthly payment on the due date or if any information about the Borrower which the Borrower furnished to the Lender hereunder proves incomplete or inaccurate or if the loan is used for the repair or improvement of any building which is subsequently sold or destroyed or if the Borrower ceases to live in such building or if the Security is or becomes at any time unenforceable against the Borrower or the Borrower fails to observe or perform any of the terms of the Security or of any prior charge then *the Lender shall be entitled after the expiry of proper notice to demand immediate repayment of the unpaid balance of the loan together with all other sums then owing but unpaid*.

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[46] See also **2.17** concerning punctuation.
[47] See **3.18** and **3.19**.

Example 2

We may demand immediate repayment of the [entire] unpaid balance of the loan, and all other sums then owing to us, if [after expiry of proper notice][48]:

(a) you fail to make any monthly payment on the due date; or

(b) you have provided us with incomplete or inaccurate information about yourself; or

(c) the loan is used to pay for repairs or improvements to any building and the building is sold or destroyed, or you cease to live in the building; or

(d) the Security is or becomes unenforceable against you; or

(e) you do not comply with the terms of the Security, or the terms of any other Mortgage on the Property.

A further example of not getting to the point early in a sentence is in Example 3. This wording here has to be read from start to finish to establish the purpose of the clause: that if the Tenant notifies the Developer that there are material defects the Developer has to take action against the building contractors (and others). Besides the sentence length (90 words), there is:

- the use of old-fashioned words ('hereinafter');
- a complete lack of punctuation;
- unnecessary wording ('The Developer hereby agrees that');
- flabby phrasing ('subject to the clauses hereinafter contained', 'within six years from the date of 2nd March 2020', 'being notified to the Developer by the Tenant and are notified to the Developer', 'enforce such rights (if any)', 'as are reasonable in the circumstances'); and
- the use of the passive tense ('being notified to the Developer').

Example 4 changes the word order, introduces some punctuation and uses other drafting techniques (here with the use of adding two definitions) to make the clause substantially shorter and easier to understand.

Example 3

The Developer hereby agrees that *at the request and cost of the Tenant* and subject to the clauses hereinafter contained the Developer shall *in the case of any material defects being notified to the Developer* by the Tenant and are *notified to the Developer within six year*s from the date of 2nd March 2020 *enforce such rights* (if any) as it may have *against the building contractor and the members of the professional team and the sub-contractors* for and on behalf of the Tenant as are reasonable in the circumstances.

[48] This phrase was used by the contract drafter to take account of the requirements of the Consumer Credit Act 1974. Ideally, it should be made clear what the 'proper notice' period is, or the clause should cross-refer to the termination provisions, eg by adding words such as 'subject to clause X'.

Example 4

Subject to clause [ ], if the Tenant notifies the Developer of any material defects before the Expiry Date, the Developer shall, at the Tenant's request and cost, take reasonable steps to enforce its rights (if any) against the Building Team.[49]

Incorrect word order can sometimes change the meaning of a sentence; clearly the contract drafter should avoid this. For example:

Example 5

Being ignorant of the law, the barrister argued that his client should receive a light sentence.

Example 6

The barrister argued that his client, being ignorant of the law, should receive a light sentence.

Example 7

The barrister, being ignorant of the law, argued that his client should receive a light sentence.

Example 5 is ambiguous. As a test try asking a group of people what the first sentence means, and to whom the phrase 'being ignorant of the law' refers. Some people are likely to think it refers to the barrister, others will think it means the client (lawyers tend to assume it is the client). To avoid any ambiguity, the position of this phrase should be moved, as in Example 6 and Example 7, depending on the drafter's intention.

In this example, it is not difficult to find the correct word order. In more complex contract clauses it can be very difficult. A 'rule of thumb' is to move the ambiguous phrase as close as possible to the subject to which it relates. Thus, in the above example, the phrase 'being ignorant of the law' is moved next to the word 'client' or 'barrister', depending on which is being described as ignorant.

These examples demonstrate what Sir Ernest Gowers calls 'that mathematical arrangement of words which lawyers adopt to make their meaning unambiguous'[50].

[49] If this clause were for use with a consumer then the clause could be even shorter: 'If the building has material defects, tell me before 2 March 2023 and I will sue the builders'.

[50] Gowers and Gowers, *The Complete Plain Words* (2015, Penguin).

3.16 Conciseness and comprehensiveness

No contract drafter wants to forget provisions which might turn out to be important at a later date. There is therefore a tendency to make contracts longer rather than shorter. This tendency is fuelled by the use of standard contract precedents in many law firms; these documents often cover a wide range of unlikely eventualities. It is a brave contract drafter who decides to cut out provisions from a standard contract precedent which might prove to be important later, however peripheral these provisions might seem at the time of drafting the contract.

Competing with this pressure to be comprehensive is the desire to be concise and to avoid irrelevant wording. Sometimes, in trying to be comprehensive, it is possible to have the opposite effect. Consider the following alternative example *force majeure* clauses.

Example 1

Neither party shall have any liability to the other party for any delay or failure in performance of this Agreement resulting from circumstances beyond the reasonable control of that party, including without limitation labour disputes involving that party.

Example 2

Neither party shall have any liability to the other party for any delay or failure in performance of this Agreement resulting from war, acts of warfare, hostilities (whether war be declared or not), invasion, incursion by armed force, act of hostile army, nation or enemy, riot, uprising against constituted authority, civil commotion, disorder, rebellion, organised armed resistance to the government, insurrection, revolt, military or usurped power, civil war, acts which hinder the course of or stop, thwart, prevent, interrupt or breach the supply and/or provision of any material and/or power which is instrumental to the continuance of this Agreement, any hazardous, dangerous, perilous, unsafe chemical, substance, material or property, which renders liable or endangers the health and safety of either party or the general public, flood, fire, arson, storm, lightning, tempest, accident or other Acts of God, epidemic, explosion, earthquake, hijacking, sabotage, crime, cracking or fracturing of equipment, plant or property, landslip, nuclear radiation and/or accident, death, injury or illness of key personnel.

In Example 2, most of which is taken from a published precedent, the contract drafter has attempted to think of all force majeure events which might possibly arise. In most situations, a long list of events will be unnecessary, if these are merely examples of events beyond the reasonable control of a party. The long list may be counter-productive if an event occurs which is not mentioned in the list as a court may take the view that by listing the events so extensively, the parties did not intend any event not listed to be within the scope of the clause. However, with some types of contract there may be good reasons for having a list of events—for example, if work is to be performed in a country that is close to, or embroiled in, a civil war.

Example 1 takes a different (and much more concise) approach, referring to events beyond the reasonable control of the parties. Labour disputes are specifically mentioned, mainly to avoid any doubts as to whether they are beyond the control of the party affected by them[51].

3.17 Length of individual clauses

The now very old English drafting convention was that each clause should be limited to a single sentence. However, commercial agreements are now more sophisticated and detailed, this convention is followed less often as it tends to increase the overall length of the document. Nowadays a clause can often continue for several lines of text (rarely more than, say, ten lines unless the clause is broken up into numbered paragraphs) and perhaps for two or three sentences. It is not yet conventional to have very long clauses which extend for more than a page of unbroken text, as is sometimes seen in North American agreements.

An example of a lengthy clause, which deals with at least six different issues in a single sentence, is given in the discussion of sentence structure and length at **3.14**.

3.18 Layout, use of paragraphs and tabulation

The layout of a clause may greatly affect how easily it is understood, particularly if the ideas being expressed are complex. The section on word order, at **3.15**, included an example of a clause which could be made easier to understand by splitting a long sentence into numbered paragraphs. Set out below are further examples. Example 1 is written as one sentence containing 58 words (which is not an excessively long sentence) but with the different types of licence that the Licensor is granting set in the body of text (and unless the reader is paying close attention, they may not pick up that one of the licenses is non-exclusive). As the Licensor is granting licences to each of three distinct and different things (Patents, Materials and Know-how) Example 2 shows it is possible to lay out the three things on separate lines, which will allow the reader to focus more clearly on what is being licensed and the different types of licence that the Licensor is granting. Examples:

Example 1

The Licensor hereby grants the Licensee, subject to the terms of this Agreement, an exclusive, worldwide licence under the Patents and to use the Materials, with the rights to sub-license, and a non-exclusive, worldwide licence to use the Know-how, to

[51] There is further consideration of *force majeure* clauses at **5.11.2** and Anderson & Warner, *A-Z of Boilerplate and Commercial Clauses* (4th edn, 2017, Bloomsbury Professional).

develop, manufacture, have manufactured, market, use and sell Licensed Products and use the Licensed Property in any processes.

Example 2

The Licensor hereby grants the Licensee, subject to the terms of this Agreement, the following worldwide licences:

(a) an exclusive licence under the Patents, with the right to sub-license; and

(b) an exclusive licence to use the Materials, with the right to sub-license; and

(c) a non-exclusive licence to use the Know-how, without any right to sub-license;

to develop, manufacture, have manufactured, market, use and sell Licensed Products and use the Licensed Property in any processes.

Example 3 below provides a further example of how laying out a clause as a continuous sentence can affect understanding as to its meaning and effect. In this case, as drafted, it is not clear to which of the conditions to qualify for benefits the phrase 'in the course of your employment' applies:

Example 3

You can qualify for benefits under the policy if you are aged 55 years or younger and are unable to work and the policy also provides benefits in the event that you are blinded in one eye or both eyes or are injured in the course of your employment.

As can be seen this wording sets out different situations when a person might qualify for benefits. But as noted the wording is not clear whether it provides three different situations when it is possible to qualify ('you are aged 55 years or younger and are unable to work', 'you are blinded in one eye or both eyes' and 'are injured in the course of your employment') or just two. The principal difficulty here is in deciding whether the phrase 'in the course of your employment' relates just to 'are injured' or to 'you are blinded in one eye or both eyes'. One possible solution using the layout method adopted above, assuming that there are three different situations when a person may qualify for benefits, is set out in Example 4:

Example 4

You can qualify for benefits under the policy if:

(i) you are [both]:

  (a) aged 55 years or younger; and

  (b) unable to work; or

(ii) you are blinded in one or both eyes; or

(iii) you are injured in the course of your employment.

The alternative assumption is to assume there are two different situations when a person can qualify for a benefit: (1) they are over 55 and cannot work, or (2) they are working and either lose sight or are otherwise injured, as set out in Example 5:

Example 5

You can qualify for benefits under the policy if:

(i) you are:
  (a) aged 55 years or younger; and
  (b) unable to work; or

(ii) in the course of your employment you are:
  (a) blinded in one or both eyes; or
  (b) [otherwise] injured.

If the contract drafter adopts this method of drafting, then it can help clarify which of Examples 4 or 5 is intended.

3.19 Size of typeface, justification, line length, and use of white space

Going hand in hand with the layout of an agreement is how to format it by:

- the size of the type used;
- whether the type is justified;
- the line length chosen; and
- the amount of spacing between:
  - lines of a clause (line spacing);
  - headings and clauses; and
  - clauses (paragraph spacing).

These factors can all dramatically affect how readable the agreement is. Although this chapter concentrates on drafting techniques, the next step for the contract drafter after drafting an agreement is to read it to check what is drafted[52]. An agreement that is printed on paper or displayed on screen but uses a small typeface, or has a narrow line length and with justified text will be difficult to check, even though it uses the drafting techniques suggested in this chapter. Closely related is where a contract drafter is provided a draft agreement prepared by another party and they have to review it and make amendments. The other party may have formatted the draft agreement in a way

[52] Specific techniques for checking agreements are dealt with in Chapter 10.

which makes it difficult to read or involves extra steps. For example, if the other party has drafted the draft agreement using a small font size, the contract draft can use the word processing application's zoom function, but this may mean more time spent scrolling, or spending time reformatting the document and then changing the formatting back to the original after finishing the review.

Much of the appearance of a document can be controlled through the use of styles and other formatting features[53]. Nowadays most drafters will be typing directly into a word-processing application, and most reading and checking is done directly on the computer screen[54]. This is not always convenient or practical, particularly where definitions or other sections of the agreement need checking[55]. Also, many users of documents are not comfortable with reading documents on screen for extended periods. This will mean that documents still need to be printed onto paper.

3.20 Use of headings[56]

Headings can be a useful aid to finding clauses on a particular topic and for understanding the general subject area of the clause[57]. Where an agreement uses headings, it is conventional to include a clause along the following lines:

Headings used in this Agreement are for convenience only and shall not affect the interpretation of this Agreement.

It is possible to use headings for both clauses and sub-clauses if required. Appendix 1 contains an example of an agreement which uses headings at several levels of a clause.

3.21 Logical sequence of clauses[58]

As has already been mentioned, a logical sequence of clauses is:

- to start with the definitions;

[53] Including the use of automation features such as macros and programming tools built into modern word processors.

[54] The type size displayed is normally controlled by the zoom functionality. Other ways of improving the readability of text on screen is to change styles (which can control the spacing between paragraphs) or specific features of word processing programs such as Microsoft Word with its Full Screen Mode. One less well-known way is to use a feature built into the operating system—displaying text (and everything else) on the screen vertically (assuming that it is possible to swivel the monitor into a vertical rather than its normal horizontal).

[55] Although applications such as Microsoft Word now do offer a split view. See fn 32.

[56] See also **2.14**.

[57] And if there is use of the default heading styles of many word processing programs (such as Microsoft Word or LibreOffice/OpenOffice, Pages) it is possible automatically to generate a table of contents (with hyperlinking).

[58] Also see **2.2**.

- perhaps followed by any provisions dealing with the commencement of the agreement (such as a condition precedent);
- then followed by the main commercial provisions; and
- less important provisions (including 'boilerplate') might appear towards the end of the agreement.

The more traditional practice of having a long list of obligations upon one party, followed by a long list of obligations on the other party, each introduced by words such as 'The Company shall:' at the beginning of the list, is something that the contract drafter should, in general, avoid.

3.22 Grouping of clauses

We recommend the grouping of provisions dealing with the same general topic. For example, the clauses which state the amount of any payments a party will make should appear near to general payment provisions, such as those stating how quickly the party will pay invoices, whether VAT is included, and whether interest is payable if payment is made after the due date.

3.23 Use of schedules

Another method for the logical organisation of contract wording is the use of one or more schedules[59]. If the contract involves:

- ***detailed requirements for the performance of work (such as standards, timing, standards, etc)***, a schedule can contain the detailed description of that work, as well as any standards or acceptance criteria which the work must meet, a detailed timetable for completion of the work and the persons (and where relevant their skills and qualifications) who will carry out the work;
- ***detailed payment provisions***, a schedule can set out the detail of when payments are to be made, what amounts are payable, and any record keeping/reporting requirements.
- ***detailed lists of equipment, assets or property***, such as:
  - lists of patents which are the subject of a licence agreement; or
  - a list of assets, equipment, property, software licences etc subject to a business sale; or
  - a list of materials or equipment that one party will provide to allow the other party to carry out a research project.

Also if, after signature of the main agreement, there are other documents that one or more of the parties need to sign, then one or more schedules can set out the agreed form of these type of documents. For example,

[59] Also see **2.11**.

- on the sale of business assets (such as of land or registrable forms of intellectual property) it is often necessary to sign formal documents transferring ownership; or
- a consultancy agreement may require a consultant to provide regular reports of what they have done. The schedule can set out a standard form of report covering the type of matters the consultant's report should or must cover; or
- a licensee of intellectual property may need to account for the sales it makes in any particular period. A schedule can set out a standard form of report covering the type of matters the report should include (such as sales in particular territories, income received, method(s) for calculating royalties, amount of royalties etc).

If the schedule sets out any obligations on the parties, it is important to state in the main agreement whether the provisions of the schedule form part of the agreement, or else they may not be legally binding on the parties. Wording along the following lines is commonly included in the main agreement:

The provisions of [Schedule 1] *or* [the Schedules] to this Agreement shall form part of this Agreement as if set out here.

If there is any likelihood that the schedules may include obligations which overlap with the main agreement, then the main agreement should include a provision stating which has precedence over the other, such as:

> In the event of any conflict between the provisions of this agreement and the provisions of [Schedule 1] *or* [the Schedules] the provisions of this agreement shall prevail.

For example, a party may use a standard form of agreement for the contracts it enters into, and then agrees special terms and conditions for a particular deal but does not want to change the provisions of its main agreement.

3.24 The question of gender

A few sentences about the question of gender[60]. When commencing a formal or important letter or email to a firm of solicitors or company, the 'traditional' practice was to refer to men only, for example:

[60] For more information about this topic and some practical ways of avoiding the use of gender-specific wording, consult, eg, Michèle M Asprey, *Plain Language for Lawyers* (4th edn, 2010, The Federation Press); and the Interlaw, UK Office of the Parliamentary Counsel and the UK Government Legal Department *Guide to Gender-Neutral Drafting* (2019, https://www.interlawdiversityforum.org/guide-to-gender-neutral-drafting). See also Law Society Gazette *How to: use gender-neutral language* (accessed July 2022 from https://www.lawgazette.co.uk/features/how-to-use-gender-neutral-language/5070617.article).

- addressing a letter to an organisation with 'Dear Sirs'[61]; or
- referring to a person in an agreement by using 'his' or 'he' (eg 'The Consultant shall carry out the Work and he shall be responsible for performing to work to a satisfactory standard').

Such practices should have died out long ago, if for no other reason than that more than half the entrants to the legal profession in England are women (the same is, of course, true outside the legal profession). There is now also an increasing awareness that the question of gender may not simply be divided in to 'she' and 'he' categories. There are strong arguments based on socio-political grounds, that modern legal practice should also move with the times so that communications and other documents are expressed in a gender-neutral way. Also, there are strong practical reasons for adopting gender neutral terms in contract drafting: the contract drafter will have to check that the correct pronouns are used.

For some, the question of gender is a non-issue. But others do find it old-fashioned to receive correspondence or documents which refer to men only or contain any reference to gender at all[62]. This chapter is about contract drafting techniques and part of that technique is to not offend the receiver, particularly in situations where it is easy to avoid gender-specific wording. For example:

- Use a defined term: rather than using a gender-specific pronoun repeat the use of a defined term which refers to the person concerned. For example, in an agreement where an organisation is providing the services of a named consultant, the agreement can use a defined word for the particular consultant: 'If the Consultant is or becomes unavailable to work on the Project the Consultant shall inform the Client as soon as possible' rather than '… he (or she, as the case may be) shall inform the Client as soon as possible'.
- *Use a plural*: Instead of a gender specific pronoun use the plural of 'they' or 'their' as the context requires. Rather than 'If the Consultant is or becomes unavailable to work on the Project he (or she) shall inform the Client as soon as possible' use 'If the Consultant is or becomes unavailable to work on the Project they shall inform the Client as soon as possible'.
- *Use both genders*: Instead of the use of one gender use both, perhaps together with the neutral, such as 'he or she', 'he, she or it' or 'her or his',

[61] Unfortunately still particularly true in some inter-law firm correspondence. In the last edition of this volume there are, perhaps apocryphal, stories about letters sent to all women in law firms being addressed 'Dear Sirs'. But in 2021 one of the authors found this is a continuing reality, involving high-street lawyers who addressed their emails and letters with 'Dear Sirs'. This occurred where one party was represented by a partner and an associate solicitor who were both women and the other party had instructed a law firm whose entire staff were women (lawyers and non-lawyers)—and all were generations younger than the author.

[62] As some people do not (or do not wish to) identify themselves by a gender.

'her, his or its'[63]. Rather than 'If the Consultant is or becomes unavailable to work on the Project he (or she) shall inform the Client as soon as possible' use 'If the Consultant is or becomes unavailable to work on the Project he or she shall inform the Client as soon as possible'.

- *Use of 'you' and 'we'*: in an agreement with a consumer, use the word 'you' for the consumer and 'we' for the trader. In an agreement where the trader is to provide services: 'Once we and you have entered into a legally binding contract we will normally start providing the Services to you [at the Premises] [using the Materials] straight away or on a date agreed between us without further discussion with you.'[64]

[63] This is perhaps the least acceptable option, for the reason stated in the previous footnote.

[64] And with the words 'we' and 'you' being defined elsewhere in the agreement: '**We**, **us** or **our** refer to [*name of person or company providing the services*]' and '**You** or **your** refer to a reference to the person to whom we are providing our Services and who is required to pay for the Services we provide'. This example is drawn from the LexisNexis *Encyclopaedia of Forms and Precedents*, Vol 12(1)B, Precedent 49, [801]. See **3.8** above on plain, intelligible style for consumer contracts.

Chapter 4

Advanced drafting techniques

4.1 Introduction

The previous chapter focused on basic drafting techniques for contracts. This chapter focuses on some 'bigger picture' issues that the contract drafter might usefully consider outside of the specific words used and their legal effect. Given their nature, they do not provide 'answers', but indicate questions which often need consideration.

4.2 The role of the contract drafter

The contract drafter should have (or play) a larger role than simply preparing the wording; ideally their role should include helping their party achieve the best deal it can.

4.2.1 First role: contract drafting

The first role will usually encompass the following:

- creating a legally effective and binding agreement which clearly expresses the stated commercial intentions of the parties;
- using wording which is necessary to fulfil those intentions (including filling in gaps in draft agreements provided to the contract drafter);
- making certain (as far as it is possible to do so) that the wording used (or the commercial goals behind them) will accord with the way the courts have interpreted such wording in previous decisions;
- checking that the obligations that the parties are entering into are legally effective (eg avoiding wording which does not comply with the law, such as excluding liability for personal injury or death, or wording that is against competition law).

4.2.2 Second role: helping the client achieve their commercial objectives

The second part of a contract drafter's role focuses more on commercial points including:

- providing information on the implications for the parties if they enter an agreement on the proposed terms of the agreement;
- suggesting different ways of entering into the proposed deal, whether by:
    - using different wording which better expresses the intentions of the parties; or
    - suggesting a different type of agreement,
- guiding the parties away from deal structures which are not thought through, or which are too complex[1].

The second part of the role is sometimes essential to 'save' the parties from themselves. However, this role is most effective at an early stage; once a particular type of agreement is selected and the parties have carried out negotiations using it, it may be difficult (if not impossible) to get the parties to move away from it.

Whether a contract drafter is able to fulfil the second role is subject to:

- their position within an organisation (if they are an in-house lawyer); or
- what they are asked to do (if an external lawyer).

If they work in a fairly junior position, whatever their level of experience or skill, they may simply have no say in such matters. More senior staff (commercial negotiators, marketing or accounting personnel) may be in charge and they may see the role of the contract drafter as being to do no more than create the agreement by translating (to the limited extent necessary) the commercial/marketing/accounting language provided to them.

Where a party uses lawyers (whether in-house or external) they can often help with the second role, and this is where they can add the most value to a deal. The lawyer's past experiences of similar situations can enable them to help prevent a party from having to 're-invent the wheel'.

[1] This can cover situations where the parties have simply selected the wrong type of agreement (less likely to happen with experienced commercial parties), or in order to help the parties to clarify which agreements they need to enter into. Take the following example: the parties wish to exchange technical information, to allow one party to perform consultancy services, and then to allow for that party to manufacture a product using the intellectual property of the other. The parties may wish to enter into one agreement, but it might make better sense to separate out the different elements of the deal and have a separate agreement for each block of work, such as a confidentiality agreement for the technical discussions, a consultancy agreement for the services, a manufacturing agreement for the product manufacture and an intellectual property licence agreement for the licence. Such an approach may also help the parties to focus on the commercial priorities and objectives of each element, instead of mixing everything up together.

4.3 Using negotiating and drafting policies

Those regularly involved in negotiating agreements which cover the same subject area will understand what is acceptable commercially and the type of wording that is acceptable.

Typically, this will arise where a party is regularly entering the same type of agreement, covering the same subject matter.

4.3.1 Areas that a policy should cover

Where this occurs a party may wish to develop (written) policies on how a contract negotiator and/or drafter should deal with particular commercial issues. Such a policy may cover the following:

- commercial and legal areas in an agreement which are particularly problematic;
- the default commercial position of the party and acceptable and unacceptable variations;
- suggested wording to deal with each variation of the commercial position; and
- who at a party is to approve (or be consulted on) any variation or alternative wording.

The policy can include commercial positions and wording proposed or accepted in the past from other parties.

4.3.2 An example

For example, if a party is in the business of providing statistical consultancy services to clients its work product may be a report, typically provided at the end of the consultancy. The consultant's default position (as reflected in its terms and conditions) may be:

- the consultant owns the intellectual property in the reports it provides;
- the client only gets a licence to use the reports for its own internal use; and
- the consultant offers no warranties as to whether the report or its contents will achieve any result, etc.

The policy could then go on to deal with variations. For example, a common issue which often occurs where there is the provision of consultancy services is who is to own the intellectual property in the report the consultant produces. The following reasonably foreseeable different variations concerning ownership could be that a client:

- wishes to have the right to reproduce the report (such as having the right to incorporate the report in a publication of its own);
- wishes to own the intellectual property rights to the report (without the consultant having a licence to use it);
- wishes to own the intellectual property rights to the report (with the consultant having the right to use it, whether to produce further reports or more generally);
- wishes to own the intellectual property rights to some but not all parts of the report (eg excluding statistical techniques);
- owns the intellectual property to the report but not to any rights belonging to a third party[2].

4.3.3 Commercial advantages of having a policy

Where a party enters into a number of similar types of agreement, having an agreed position on commercial points which frequently arise can help to focus minds on what is (commercially) important to it, as well as speeding up the negotiating and agreeing of a contract.

For example, a company may have developed some new technology which it licenses to third parties for use in medical treatment. The company's contract policy may include such matters as the following:

- an upfront payment (which is non-refundable) on signing a licence agreement;
- a royalty based on the sales price of licensed products;
- permitting a variation in the royalty rate between 8% and 10%; and
- the contract is to be governed by English law and subject to the exclusive jurisdiction of the English courts.

The technology is at an earlier stage and will need a substantial amount of development by a licensee to turn it into a commercial product. Its safety and the likelihood of obtaining regulatory approval is unknown. The company requires an upfront payment because of the uncertainties as to whether any licensee will in fact make a product which will result in the payment of any royalties. Asking for an upfront payment is a way of making sure the company

[2] For example, if the reports contain statistical information or analysis, then the party may need to license from a third party statistical information or statistical tools which it needs in order to carry out the consultancy services and/or to produce the report. The party may not be able to (sub)-license such information or tools on particular terms.

achieves some income from its licensing activity. The policy might deal with such points as:

- a request from a potential licensee to not make an upfront payment is never acceptable. But a request to offset the upfront payment against royalties needs referring to a senior manager or director;
- a request from a licensee to make the law or jurisdiction other than England will need referring to a senior manager or director as well as the company's insurance broker. For example, if a licensee requests that the law or the jurisdiction is that of a state in the USA, then the potential damages or liability may be much higher than under English law and some insurance policies do not apply to contracts made under US laws.

A minor variation from the default position may require approval or involvement of less senior management, while a major variation may need the involvement of senior management to approve or consider the draft contract.

4.4 Agreements with a large number of parties

With agreements where there are a large number of parties, particularly if the parties are located in different countries, there are often issues such as:

- one or more parties does not provide comments on the draft agreement in a timely manner;
- parties ask for changes that conflict with the changes asked for by other parties;
- issues that were thought to be resolved are reopened in later rounds of negotiations;
- in trying to accommodate the requests of several parties, the drafting becomes verbose and complex.

The authors' view is that where there are several parties involved, it is often desirable for one party to the negotiations to exercise strong direction in managing the drafting and negotiation process. This lead role should include standing back from individual requests and advocating for clear, consistent drafting, as well as managing the process and timing of negotiations.

4.5 International negotiations

Where the parties involved come from different countries, there will often be issues concerning some or all of the following issues:

- differing drafting styles (ie a party in one country will express the performance of the obligation one way, whilst a party in another will do so differently)[3];
- the legal requirements and laws of each country may be different (eg as to the regulations on how a party operates[4]);
- although English is often the default language of business, and many international contracts are now drafted in English, legal and commercial issues may still need resolving including those which are unique to international agreements, such as:
    - under which country's law the contract is made and which country's courts will decide on disputes;
    - which language will determine the meaning of the provisions expressed in the contract (ie in some countries, although the parties can sign an agreement in English, to 'use' the agreement in a particular country it may be necessary to translate it into that country's language);
    - whether the agreement is of the type where it needs placing on a public register (and therefore that the parties agree a redacted version for such registration)[5];
    - the meaning of certain terms may not translate into the legal system of another country or may not have a direct equivalent or could be known under a different name[6].

[3] For example, a party based in a European country such as France or Germany etc may wish to express contractual obligations in a more general way, relying on their country's Civil Code to 'fill in the gaps', while an English party may wish to express obligations with more precision.

[4] For example, where the parties are negotiating an agency agreement, so that one party acts as the agent to another in a particular country. That country's government may require the party who is to be the agent to register with a regulatory authority or comply with other compliance procedures. The other party may not be aware of these conditions. In addition, such requirements may also mean that certain obligations with which the party granting the agency wishes the potential agent to comply are simply ineffective. An illustration of having to take account of local legal requirements is the case of *New Media Holding Company LLC v Kuznetsov* [2016] EWHC 360 (QB). The (UK) solicitors for the claimant issued a notice requiring the defendant to redeem shares held by the claimant in a Latvian company, pursuant to an agreement between the claimant and defendant (to simplify the facts of the case). The Latvian company's board of directors requested a power of attorney signed by the claimant authorising the issue of the notice. There was nothing in the agreement between the parties concerning the right to demand, or the obligation to provide, a power of attorney. The solicitors refused to provide the power of attorney stating that this was not a requirement under English law. However, the provision of a power of attorney was a requirement under Latvian law. The failure to provide the power of attorney was not fatal to the claimant's case (they succeeded, with the judge describing the failure as 'procedural'), but does illustrate that it is necessary to take account of the requirements of other country's legal systems.

[5] For example, in the US a party may have to file certain types of agreement with the Securities and Exchange Commission, which are then publicly available. Only a limited amount of redaction is permitted.

[6] For example, many agreements drafted in England contain a provision that prices stated are exclusive of VAT. In another country, there may be no such tax, but there may be a similar tax with another name (eg sales tax).

Consider the following grant of a licence of intellectual property[7]:

---

1 LICENCES

Subject to the provisions of this Agreement, ABC hereby grants to the Licensee:

(a) an exclusive licence under the Patents, in the Field and in the Territory, [with the right to sub-license, subject to Clause [ ]], to [research,] develop, manufacture, have manufactured, market, use and sell Licensed Products; and

(b) [a non-exclusive][an exclusive] licence to use the Know-how, in the Field and in the Territory, [with the right to sub-license, subject to Clause [ ],] to [research,] develop, manufacture, have manufactured, market, use and sell Licensed Products.

To consider some potential issues:

- if the licensor wishes to reserve the right to manufacture then the licence agreement may fall outside the protection afforded by the Technology Transfer Regulation[8];
- if the party granting an exclusive licence is based in Germany, then they may not consider it necessary to include any wording as to right to granting of sub-licences (if it wishes to do so) as, under German law, this is automatically permitted. Such an assumption would not normally be made in England;
- if the party granting an exclusive licence is based in the UK then the licensor is generally also precluded from working the licensed intellectual property. However if Dutch law applies or a party is based in Holland then whether this is permitted or not may need stating.

In addition to the points made above relating to the use of English, other more practical issues may arise such as:

- if the draft agreement begins as one based on English law, then concepts or legal terms (such as 'indemnity', 'term', 'warranty' etc) may not 'translate' exactly into the legal system in which the agreement is to operate[9]; local legal advice may be needed in the country whose law is to govern the contract; or
- more fundamentally, the level of understanding of English of a party in another country may mean that they fail to grasp the meaning of particular 'legal' words; or

[7] This clause is from Anderson (ed), *Drafting Agreements in the Biotechnology and Pharmaceutical Industries* (2013, Oxford University Press), Precedent 8e.

[8] Commission Regulation (EU) No 316/2014 of 21 March 2014 on the application of Article 101(3) of the Treaty on the Functioning of the European Union to categories of technology transfer agreements.

[9] In appropriate cases, it may be necessary to prepare a translation so that the correct legally effective meaning in the target language is chosen, preferably with a qualified translator skilled in translating legal documents.

- if a party in another country is preparing the first draft of the agreement, it may use the wrong template as a starting point, and therefore it may not contain the 'right' provisions[10].

4.6 The law in drafting and negotiating agreements

4.6.1 Knowledge of contract law

Above we outline the roles and involvement a contract drafter can have in the negotiating and drafting of an agreement. But beyond those the contract drafter should have a good knowledge of the main laws concerning contracts. In England and Wales, in the case of a business-to-business contract, these will be:

- the Sale of Goods Act 1979;
- the Supply of Goods and Services Act 1982;
- the Unfair Contract Terms Act 1979; and
- the Misrepresentation Act 1967[11].

Perhaps this is stating the obvious, but all of these statutes and the case law which have interpreted them can and do influence what it is permissible to include or not include in a contract—but in themselves they do not normally stop or prevent a deal going ahead.

4.6.2 Other laws

However, there are whole 'suites' of laws of which can directly impact how and whether a deal is possible or not. Commercial representatives of the parties, in addition to contract drafters, need to be aware of them—at least at a basic level concerning the issues involved.

Each industry or sector will have a suite of laws which have a particular application, but perhaps three of the most essential which sit in the background of many commercial agreements concern the following matters:

- confidentiality;

[10] For example, an Italian subsidiary of a US company that wishes to grant a distribution agreement to an English company but the US parent does not have a distribution agreement among its precedents. The subsidiary chooses what it considers the best alternative (say an intellectual property licence agreement) as a starting point. Such an agreement will not have any provisions that entitle the English company to distribute products.

[11] And if drafting contracts for use with consumers, the Consumer Rights Act 2015, The Consumer Contracts (Information, Cancellation and Additional Charges) Regulations 2013, SI 2013/3134 and the extensive guidance issued by the Competitions and Markets Authority. The contract drafter may need to be familiar with other legislation if the commercial party is operating in a particular field (eg the financial sector, food sector or a health sector).

- data protection;
- sale and other taxes.

To take the first as an example, confidentiality, it is an area much less fixed with 'black letter' law, at least in the UK, as it has developed mainly through case law[12]. Confidential information or know-how is often the lifeblood of many organisations and can provide them with a competitive edge. The contract drafter and their commercial colleagues should have a basic understanding of the law concerning the protection and use of confidential information[13].

In practical terms[14]:

- What information does a party have and is any of it confidential?
- Which parts of the confidential information that a party holds should it provide and when should it do so?
- How should a party document any provision of its confidential information?
- What uses can a receiving party make of confidential information it receives?

A failure by a party which is in possession of information:

- to recognise which part of that information is confidential; and
- to put in place adequate safeguards concerning its disclosure and use,

can scupper a deal completely or make that part of the information which is genuinely confidential worthless[15].

4.6.3 Policies, checklists and workflows

To refer again to the example of law of confidence, a policy (with a checklist) could deal with the following matters[16]:

[12] This position is not fundamentally changed despite the implementation into UK law of Directive (EU) 2016/943 of the European Parliament and of the Council of 8 June 2016 on the protection of undisclosed know-how and business information (trade secrets) against their unlawful acquisition, use and disclosure by The Trade Secrets (Enforcement, etc.) Regulations 2018, SI 2018/597 as the explanatory notes to the Regulations recognises where the protection introduced for trade secret by the EU Directive has been '… implemented in the United Kingdom by the principles of common law and equity relating to breach of confidence in confidential information'.

[13] Which if reduced to one sentence might be 'never disclose any confidential information other than under obligations of confidentiality'.

[14] This is not the appropriate place to set out the detail on the issues involved. For this see Anderson and Warner, *Drafting Confidentiality Agreements* (3rd edn, 2014, Law Society).

[15] And not just in relation to a particular deal but in relation to any future deals.

[16] Using the bullet list above at **4.6.2** above. This topic is considered in further details in Anderson and Warner, *Drafting Confidentiality Agreements* (3rd edn, 2014, Law Society), Chapter 5.

What information does a party have and is any of it confidential?

- Does the party hold confidential information?
- If yes:
    - Is it clearly identified?
    - Is it kept separate?
    - Where is it stored?
    - Who has access to it?
        - Named individuals only?
        - Persons holding a particular position?
- What security measures are in place?
    - Is the confidential information marked as confidential?
    - Are the files in which the confidential information is contained protected by encryption/password?
- If it is necessary to disclose the confidential information is there a summary to clearly identify the confidential information without revealing any of it?
- Is it possible to disclose part of the confidential information without disclosing all of it?

To whom at another party should a party disclose its confidential information?

- Who at the receiving party can have access to the confidential information?:
    - Anyone in the receiving party who needs access to it?
    - Only named individuals?
- If named individuals, should there be a confidentiality agreement entered directly into with them?
- Should affiliates or third parties of the receiving party have access to the confidential information?

Procedures for the access/provision of confidential information

- If parts of the confidential information a party holds are more confidential or valuable (eg trade secrets), should there be different procedures in place for accessing or providing it to another party?
- If there is an intention to provide any confidential information will it be necessary to seek approval from a manager or director?
- How should the provision of confidential information be documented, eg:
    - Only on written approval of a manager or director?

  - By noting in a log which confidential information is provided, when, on what terms and to whom?

- Should any disclosure or provision of confidential information be only where there is a signed confidentiality agreement:
  - As a separate confidentiality agreement (such as at pre-negotiation stage, during negotiations); or
  - Incorporated into the main commercial agreement.
- If the confidential information is to be disclosed other than via signed confidentiality agreements, are there documented procedures so that:
  - There are always statements in the confidential information declaring that it is confidential?;
  - Disclosure (such as by email) is accompanied by a statement that the informed being disclosed is:
    - Confidential;
    - Used only for a particular purpose;
- Should there be training (regularly) on the importance of protecting the confidentiality of the confidential information and the procedures which are needed to protect it?

What uses can a receiving party make of the confidential information it receives?

- Can the receiving party only use the confidential information for the purposes:
  - Of evaluating it, if the parties are at the negotiating stage?;
  - Of carrying out their obligations under the agreement?
- Should there be a restriction on anything else the receiving party can do with the confidential information, such as not to:
  - Investigate it further;
  - Replicate it in another form;
  - Combine it with other information or intellectual property;
  - Licence or commercialise it.

Chapter 5

Basic commercial/legal issues affecting contract drafting

5.1 Introduction

This chapter considers some of the issues which parties often need to address in a commercial contract, almost irrespective of the specific subject matter of the particular contract. For example, whatever type of contract it is important to know:

- which legal entities are to be the parties to the contract;
- how and when each party is to perform the subject matter of the contract;
- when and how a party is to pay;
- when the contract comes into effect and when it comes to an end;
- how, and the method(s) by which, the parties may or must communicate with each other; and
- (for international contracts) which country's:
    - law is to govern the contract; and
    - courts are to have jurisdiction over any dispute.

Commercial representatives of parties often regard some or all of these topics as legal issues but their lawyers regard them as being commercial issues. The truth is, both views are correct; they are fundamental commercial *and* legal issues and, either way, the contract drafter will need to address them in any contract they prepare. For example, a law and jurisdiction clause is typically the very last clause in an agreement, and often receives little consideration from the commercial representatives, but can affect the risk and costs that a party has to pay or the amount it receives or the profit it makes on the deal. An agreement subject to the law of a state in the USA may mean that a UK party is not able to obtain insurance at all or has to pay a higher premium. A jurisdiction clause which allows a dispute to be heard in another country may mean that any breach a UK party suffers may be unenforceable if that country's court system takes a lengthy period to reach a final judgment from the UK party commencing a case (or it is difficult to enforce judgments in that country).

Ideally, a party should consider all the topics in this chapter but the reality is that the commercial representatives of most parties will find many of the topics

of little interest, and some may not understand them (or their importance). To take the first topic (that is, who should the parties be), this normally causes no problem but if one party is dealing with another party who is part of a group of companies, if the first party does not address this issue they may find that they are entering into a contract with a party who is a member of a group of companies but who has no resources.

5.2 Who should the parties be?

> ***Key principle*:** Anyone who has rights or obligations under the contract should be made a party to the contract. If a person is named in an agreement but is not named specifically as a party, then the contract should clearly indicate their status as to whether it is a party or not and whether it has any enforceable rights or obligations under it.

Sometimes a person or a company who has no rights or obligations under it are added to the contract. This is generally a mistake; the contract should state:

- what their rights or obligations are; or
- that they are not parties to the contract.

If there is a reason why it is necessary to have the person or company mentioned in the agreement, but they are not a party to the contract, then the agreement should contain wording to make this explicit[1].

If the status of a person or company named in an agreement is not made clear, there is also a danger that a person mentioned might benefit under the provisions of the Contracts (Rights of Third Parties) Act 1999[2]. We have already mentioned the importance of stating the parties' names accurately[3].

[1] For example, if a company is providing consultancy services to another, but a particular employee is to provide the services. Because the parties have agreed that the employee should specifically perform some or all of the services, then the agreement can state their name, but it should make clear that the employee is not a party)and also, ideally, state that the rights and obligations arising under the agreement do not apply to them, and that the employee cannot enforce any rights they have and that no obligation they are under can be enforced against them).

[2] Unless the rights of third parties are explicitly excluded with wording—see Contracts (Rights of Third Parties) Act 1999 at **5.11.5** (which is usually the case in most contracts). For a third party to be able to enforce the provisions of a contract, the parties to the contract must show that one of the purposes of the contract was to benefit a third party (rather than it being an incidental effect of the contract): see *Dolphin Maritime & Aviation Services Ltd v Sveriges Angartygs Assurans Forening* [2009] EWHC 716 (Comm), [74], but this does not have to be the predominant purpose (*Prudential Assurance v Ayres* [2007] EWHC 775 (Ch), [28]. See also *Cavanagh and others v Secretary of State for Work and Pension* [2016] EWHC 1136 (QB).

[3] See **2.5**.

Where a company is part of a group of companies, it is not always clear which member of that group should perform the contractual obligations. Sometimes the parent company will be made a contracting party, either:

(1) instead of the subsidiary (with performance of the contractual obligations being delegated or sub-contracted by the parent to the subsidiary); or

(2) in addition to the subsidiary, and the parent will undertake to guarantee performance of the contract by the subsidiary[4].

5.2.1 Related material

- Information that needs including in an agreement—**1.12**
- How to specify the (legal) name, and the address, of a party—**2.5**
- Issues where the agreement has a large number of parties—**4.4**
- What to check before signing an agreement—**10.4.1**
- For further information concerning parties, drafting issues and sample precedent material see the **Parties** and **Contracts (Rights of Third Parties) Act 1999** sections in the *A–Z Guide to Boilerplate and Commercial Clauses*

5.3 Commencement, duration, extension of term

***Key principle*:** The agreement should clearly (and separately) state:

- the date the agreement is signed;
- the commencement date (when the parties are to start performing their obligations);
- the length of the contract; and/or
- when and how it terminates.

Sometimes contracts are signed:

- on a particular day, but the performance of the contractual obligations does not commence on that date; or
- after the parties have started performing the contractual obligations.

Where either of these situations occurs, it may be necessary to state a different commencement date to the date of signature of the contract. As already

[4] Or a parent company can obtain the benefit of an obligation of another party by being named as a party.

mentioned, the parties should not misstate the date of execution of the agreement[5].

Contracts are sometimes stated to be for a fixed term (eg three years), with a right for each party to terminate on notice to the other party. Where this is the case, the contract drafter should clearly state whether and when a party may give such notice:

- at any time during the fixed term of three years but specify the length of notice a party has to give (eg 90 days); or
- at any time after a particular date within the fixed term (for example, if the contract is for a fixed term of three years, it may only be possible to give notice in the last 90 days of the fixed term. That is the contract has to run two years and nine months before a party can give notice, so that the earliest termination is after three years); or
- only after the fixed term has expired (so that the minimum term is, in effect, three years and three months).

If parties enter a contract which is for a fixed term then a party cannot normally exit the contract until the stated termination date, and it is unlikely that a court will imply a term that allows a party to give reasonable notice to terminate during the fixed term[6].

If the contract also allows for termination when a party is in breach or is insolvent, the clause providing for the fixed term should state that it is subject to the clause(s) providing for earlier termination.

It is also possible for a contract:

- not to be for any fixed period of time; or
- to be for a fixed period, but to continue (or automatically renew) for another such fixed period.

[5] Eg the parties start performing the contract on 1 September 2016 but do not sign the contract until 1 October 2016. In this case they should not date the agreement as 1 September 2016, but use 1 October 2016 as the date of the agreement, and have a definition of 'commencement date' of 1 September 2016. See **2.4.1**.

[6] See *Jani-King (GB) Ltd v Pula Enterprises Ltd and others* [2007] EWHC 2433 (QBD), [60]: '[… the advocate for the claimant] was unable to identify any case in which an implied term as to termination on reasonable notice was implied into a contract with a fixed term. That is, perhaps, unsurprising: the whole point of a commercial contract which will last for a particular period (or until a specified event has happened) is that the contracting parties are committed to both the contract and each other for a known period. It seems to me that it would make a nonsense of such an arrangement if either party could give notice of termination at any time during the term, with minimal consequences, because, say, that party has received a more attractive proposal from someone else.' This assumes that the parties continue to perform their obligations during their fixed term. If a party is in breach of an obligation then the agreement party may allow a party to terminate as well as where an event occurs which means that the contract is frustrated.

In either case the contract should contain provisions stating when it is possible to give notice to terminate and the length of any notice that a party needs to give.

Sometimes contracts are stated to be terminable only at fixed times, for example, at a year-end provided a minimum period of notice has also been given. Again, the contract drafter will need to carefully draft the provisions to effect this.

If the contract does not include any provisions for termination at all, then at common law it may be terminable on reasonable notice or (less commonly) it may not be terminable at all[7]. In view of these uncertainties, it is highly desirable to include in the contract a provision stating its duration or allowing a party to terminate the contract at any time.

5.3.1 Related material

- Date of the agreement—**2.4**
- Term and determine—**8.4.73**
- For further information concerning Commencement, duration, extension of term, drafting issues and sample precedent material see the **Commencement date** section in the *A–Z Guide to Boilerplate and Commercial Clauses*

5.4 Main commercial obligations

***Key principle*:** The agreement should state the main commercial obligations clearly, including:

- who is to perform them;
- when they are to be performed;
- how they are to be performed; and

[7] For cases where termination on reasonable notice was allowed, see *Martin-Baker Aircraft Co Ltd v Canadian Flight Equipment Ltd* [1955] 2 QB 556 and *Crediton Gas Co v Crediton Urban District Council* [1928] Ch 174. However, termination on reasonable notice might not be implied in every case: see *Berker Sportcraft Ltd's Agreements, Re Hartnell v Berker Sportcraft Ltd* (1947) 91 Sol Jo 409, (1947) 177 LT 420. For a recent illustration of where an agreement was not terminable on reasonable notice see *Harbinger UK Ltd v GEI Information Services Ltd* [2000] 1 All ER (Comm) 166. In this case a clause in an agreement stated that the support and maintenance of certain computer networks and software was to be provided in perpetuity. The Court of Appeal decided that the words 'in perpetuity' meant that obligation was to continue without limit of time and would extend beyond termination of the agreement. The obligation would eventually come to an end only when the technology was superseded and the software outdated. Consequently the contract was not terminable on reasonable notice.

- the amount of payment for performing them (as well as when and how payment is to be made).

The main commercial obligations are the key of the contract and will often receive the most attention from the commercial parties. As already mentioned, the contract should make clear what the obligations are, when they are to be performed and who they are to be performed by.

Depending on the subject matter of the contract, it may be necessary to state:

- the means by which a party will perform the obligations;
- the place(s) where a party will need to perform its obligations;
- how and what is necessary to provide outcomes of the performance of the obligation to another party (such as packaging and delivery requirements);
- technical and quality standards that a party needs to meet which are inherent to the performance of its obligations; and
- performance indicators as to a party's carrying out of its obligations (such as the provision of reports, the holding of meetings by the parties or the carrying out of inspections by a party or a third party (such as a regulator)).

In addition to stating the main commercial obligations, it may also be necessary to deal with matters which arise before it is possible for the parties to commence performance of the main commercial obligations. These are often termed 'conditions precedent' and they are often placed at the beginning of the main commercial obligations. If there are conditions precedent, the consequences of what is to happen if one or more of them are not met will need consideration and to be made explicit, for example, whether:

- there is a contract at all;
- the contract comes automatically to an end; and
- any of the other obligations in the contract remain in force (such as confidentiality obligations).

5.4.1 Related material

- Conditions precedent—**2.9**
- Sequence of clauses—**2.10**

5.5 'Best endeavours', 'reasonable endeavours', 'all reasonable endeavours' (and absolute obligations)

***Key principle*:** Terms such as 'best endeavours' do not have fixed meanings. Generally, a 'best endeavours' obligation requires a higher level of endeavour than 'reasonable endeavours'. An 'all reasonable endeavours' obligations may equate to a 'best endeavours' obligation, but this is not beyond doubt. The contract drafter should avoid their use, where possible, and should either draft obligations so that they are absolute or so that the parties have to meet a defined and objective standard. If it is not possible to avoid a term such as 'best endeavours' then instead of simply using it alone, define it against a comparator or benchmark which explains the type or level of endeavour envisaged by a party.

5.5.1 Measuring the effort needed

An agreement will usually contain an obligation on a party to do something (eg sell some goods and deliver them by a certain date, provide services, etc). Often the party will have to fulfil the obligation in a particular way, such as in:

- ***absolute terms*** (eg 'the Consultant shall perform the Services in accordance with the Specification' or 'the Supplier shall deliver the Goods to the Customer on the Delivery Date'); or
- ***evaluative terms*** (eg 'the Consultant shall use reasonable endeavours to perform the Services in accordance with the Specification', or 'The Supplier shall use all reasonable endeavours to Manufacture the Goods in accordance with the Specification').

For the parties, the commercial issue is to what standard are each of them to perform their obligations under an agreement? The related commercial issue is that if one party fails to meet that standard, does the other party:

- have the right to terminate the agreement; or
- have to give the first party an opportunity to remedy its failure?

Many agreements seek to make a party perform its obligations according to some notional amount of effort but without specifying exactly what the party must do. Often terms such as 'best endeavours', 'all reasonable endeavours' and 'reasonable endeavours' are used. These terms have come under consideration from the courts on many occasions.

Typically, the court will be asked to interpret a contractual obligation where a party has agreed to 'use its reasonable or all reasonable or best endeavours' to do something (X). Inevitably, the extent of such an obligation can be uncertain and the subject of dispute if X is not achieved. One party may claim

that X was not achieved because the amount of reasonable or all reasonable or best endeavours were not used, whilst the other party may claim that X was not achieved despite using its reasonable or all reasonable or best endeavours. The use of an endeavours obligation is, in effect, inviting a third party, a judge, to make a value judgement as to the amount of effort that a party has used and whether it meets the meaning of the endeavours obligation[8].

5.5.2 Use of the 'best endeavours' obligation

The contract drafter should warn a client who wishes to, or is required to, give an undertaking to use its best endeavours that under English law such an obligation can require an onerous level of commitment.

Sometimes, if a party is asked to accept an obligation to use best endeavours, their lawyer will try to negotiate an obligation to use 'reasonable endeavours', on the understanding that this is a less onerous or stringent obligation. There is some case law which supports this view[9], although the authors' view is that most of the cases on best endeavours do not address this issue. In some contracts it will undoubtedly be preferable, and lead to greater contractual certainty, to avoid using any of these terms and to state specifically what the party in question is expected to do. A brief summary of some of the cases on the meaning of endeavours obligations follows.

The case[10] traditionally cited on the meaning of 'best endeavours' concerned two licence agreements relating to inventions and designs. The agreements contained clauses requiring the licensees to use 'all diligence' to promote sales of the inventions and designs and to use their 'best endeavours' to exploit these. The court held that the licensees' obligation was at least that of taking reasonable steps to exploit the inventions and designs, having regard to both the interests of and their contractual obligations to their shareholders. The licensees' financial and commercial position and capabilities, and the chance that the inventions would prove commercially successful, were relevant in assessing the amount of damages.

[8] *Astor Management AG v Atalaya Mining plc* [2017] EWHC 425 (Comm), [67]: 'Where the parties have adopted a test of 'reasonableness', however, it seems to me that they are deliberately inviting the court to make a value judgment which sets a limit to their freedom of action'.

[9] *UBH (Mechanical Services) Ltd v Standard Life Assurance Co* (1986) *Times*, 13 November; *Rhodia International Holdings Ltd v Huntsman International LLC* [2007] EWHC 292 (Comm); *Mactaggart & Mickel Homes Limited v Charles Andrew Moore Hunter and Sandra Elizabeth Hunter* [2010] CSOH 130, [63].

[10] *Terrell v Mabie Todd & Co Ltd* (1952) 69 RPC 234; also briefly reported in the Court of Appeal where the appeal was dismissed by consent: (1953) 70 RPC 97. In an earlier case the obligation was stated to be 'to leave no stone unturned', but this probably overstates the position. See *Sheffield District Rly v Great Central Rly* (1911) 14 Ry & Can Tr Cas 299, cited by *Melville: Forms and Agreements on Intellectual Property and International Licensing* (Sweet & Maxwell), para 9.11. See also *B Davis Ltd v Tooth & Co Ltd* [1937] 4 All ER 118, PC; and *Western Geophysical Co v Bolt Associates* 200 USPQ 1 (2d Cir 1978).

In a case concerning the sale of land, a contract of sale included an obligation on the purchaser to use its 'best endeavours' to obtain planning permission. The Court of Appeal held that a party who had an obligation to use its best endeavours involved taking 'steps which a prudent and determined man acting in his own interests and desiring to achieve that result' would take[11]. In that case, by failing to appeal against a refusal of planning permission, the purchaser was held not to have used his best endeavours (where the appeal offered a reasonable chance of success).

There is also case law on the extent of a 'best endeavours' obligation accepted by directors of a company, for example, to obtain shareholders' approval for a sale of shares. The court held (on the facts of case) that such an obligation does not override a director's duty to act in the best interests of the company[12].

Amount of effort a party has to use? An obligation to use:

- reasonable endeavours to achieve a particular goal or aim is likely to mean that where a party can use a number of reasonable but different ways of achieving the goal or aim it need only take one of them[13];

- best endeavours would require the party to use all reasonable courses to achieve the aim or goal[14]. A party under a reasonable endeavours obligation need not sacrifice its own commercial interests but must go on trying to achieve the goal or aim to which the reasonable endeavours obligations relates 'until the point is reached when all reasonable endeavours have been exhausted' and the party under the obligation is simply repeating itself in trying to reach the aim or goal if it goes on trying to achieve that goal or aim[15]. However, this is subject to what occurs during the life of the contract.

If a party is under an endeavours obligation to achieve a goal but fails to do so, will the endeavours obligation expire? A court has held that a party who was under an all reasonable endeavours obligation to obtain a loan by a certain date but failed to do so by that date remained under that obligation to do so

[11] *IBM United Kingdom Ltd v Rockware Glass Ltd* [1980] FSR 335, CA. For a case where an obligation to use best endeavours was considered in a preliminary motion before the court, see *Imasa Ltd v Technic Inc* [1981] FSR 554.

[12] See *Rackham v Peek Foods Ltd* [1990] BCLC 895; *John Crowther Group plc v Carpets International plc* [1990] BCLC 460; and *Dawson International plc v Coates aPtons plc* [1990] BCLC 560.

[13] *Rhodia International Holdings Ltd v Huntsman International LLC* [2007] EWHC 292 (Comm), [33].

[14] Ibid.

[15] *Yewbelle Ltd v London Green Developments Ltd* [2006] EWHC 3166 (Ch), [122].

'as soon as practicable thereafter' (as long as it was still practicable to obtain the loan)[16].

What does an endeavour obligation cover? If a party is under an obligation to reasonable endeavours to complete the building of a property by a specific date (or as soon as practicable after that date) should that endeavours obligation also extend that amount of endeavour to other related matters? For example, in one case, a party who had to use reasonable endeavours to complete a building project by a certain date ran into funding difficulties and that party attempted to secure further funds to complete the work[17]. The party argued that the reasonable endeavours obligation also extended to the party's efforts to obtain further finance. The judge rejected this argument and characterised whether the party had the financial resources to carry out the building works as 'antecedent or extraneous'.

[16] *Astor Management AG (formerly known as MRI Holding AG) v Atalaya Mining plc* [2017] EWHC 425 (Comm), [81] with the judge stating '… that the date should reasonably be understood as a target, not a cut-off for the obligation. When a contract imposes an obligation to do something by a particular date, this does not usually mean that the obligation expires on that date. For example, if a seller agrees to deliver goods to the buyer on or before a specified date, this would not normally be understood to mean that, if the goods are not delivered by that date, a once and for all breach of contract occurs at that time, after which the seller is no longer under any obligation to deliver the goods. Rather, the ordinary understanding would be that, once the specified date has passed, there is a breach that continues until such time as the goods are delivered (or the obligation ceases, for example because performance is waived or the contract is terminated). An undertaking to use all reasonable endeavours differs from an unqualified undertaking such as an obligation to deliver goods in that failure to achieve the relevant objective by the specified date does not by itself mean that there is a breach of contract. But it seems to me equally unreasonable (absent some special factor) to regard failure to achieve the objective by the given date as a reason for releasing the party which has given the undertaking from any further performance' (from [75]). In an earlier case, *Patel v Brent London Borough Council* [2004] All ER (D) 121 (Apr), under which the defendant was under a reasonable endeavours obligation to complete certain works by a particular date but failed to do so, the judge accepted the argument of the claimant that to give business efficacy to the agreement between the parties 'it is necessary to imply a term that the [defendant] would continue to use its reasonable endeavours after [particular date] to complete the works within a reasonable time. It is simply a nonsense to suggest that the [defendant] was under an obligation until that date but thereafter was at liberty simply to sit on the money [paid by the claimant] until either it chose to do something or the [claimant] made an application to discharge the planning obligation under s. 106A [where the claimant deposited a sum for certain works to be carried out by the defendant]. Even the most unofficious of bystanders would, it seems to me, have roused himself to protest that that cannot have been intended'.

[17] *Ampuris NU Homes Holdings Ltd v Telford Homes (Creekside) Ltd* [2012] EWHC 1820 (Ch), [100], the decision of the judge was reversed by the Court of Appeal ([2013] EWCA Civ 577), but not on this point): 'However, I do not think that a "reasonable endeavours" clause as regards the time of completion in what is, in this respect, a construction contract can extend to endeavours to have sufficient money to perform the contract. Although the language could literally bear that meaning, in my judgment, on an objective reading the qualification of "reasonable endeavours", as opposed to an absolute obligation to complete, is designed to cover matters that directly relate to the physical conduct of the works, thereby providing an excuse for delay in such circumstances as inclement weather or a shortage of materials for which the Defendant was not responsible. The clause does not, in my view, extend to matters antecedent or extraneous to the carrying out of the work, such as having the financial resources to do the work at all'.

Right to promote competing products? A court has held that an implied term in a contract that a company would use its best endeavours to promote another party's product was to be construed in the context of the circumstances of the contract. Such a term was not inconsistent with the company being at liberty to promote similar products made by competitors of the other, but required the company to treat the others at least as well as it treated the competitors[18].

The promotion of sales? A requirement in a distributorship agreement that a claimant was to 'promote sales to the best of its ability in the UK and all countries in the schedule' was found to be a best endeavours clause, as was an obligation that 'the claimant will endeavour to increase sales year on year'[19]. These best endeavours obligations were placed in the context of making a business investment:

> 'Increased sales, provided they earned or commercially could reasonably be expected in the future to earn a reasonable return, were in the interest of [the claimant and the defendant]. I agree with [counsel for the defendants] that where appropriate the obligation could require the claimant to invest and to take the risk or failure but only where there was a reasonable prospect of commercial success.'

In an Australian case[20] (not binding on an English court) a licence agreement contained an obligation on the licensee 'at all times to use his best endeavours in and towards the design fabrication installation and selling of the [licensed product] throughout the licensed territory and to energetically promote and develop the greatest possible market for the [licensed product]'. The five judges hearing the case on appeal in the High Court reached different conclusions on whether this obligation, by implication, prohibited the sale of competing products by the licensee.

Using endeavours to negotiate and agree a contract with a third party? An endeavours obligation under which a party is to enter a contract with a third party is likely to be enforceable and not be too uncertain, although:

- there may be a variety of different forms of contract that the party could enter; or
- there may be a number of possible different third parties with which the party could contract.

In one case a party undertook 'to use all reasonable endeavours to obtain the Senior Debt Facility with [the party] as borrower … on or before 31 December 2010 …'[21], with the judge finding that there was 'no problem of uncertainty of

[18] *Ault & Wiborg Paints Ltd v Sure Service Ltd* (1983) *Times*, 2 July.
[19] *Days Medical Aids Ltd v Pihsiang Machinery Manufacturing Co Ltd* [2004] EWHC 44 (Comm), [2004] 1 All ER (Comm) 991. The views expressed by the judge were obiter, as this case was concerned with the issues of restraint of trade and whether the distributorship agreement was in breach of community law.
[20] *Transfield Pty Ltd v Arlo International Ltd* [1981] RPC 141.
[21] *Astor Management AG v Atalaya Mining plc* [2017] EWHC 425 (Comm).

object' because it is possible to determine 'whether an agreement with a third party has been made'[22]. Also, the judge rejected the defendant's argument that there 'are [not] sufficient objective criteria by which to evaluate the reasonableness of the endeavours' of a party who is subject to an endeavours obligation. In the case where such an obligation lacks objective criteria then it is a task for the judge to decide whether the party under the obligation has used reasonable endeavours or 'whether there were other steps which it was reasonable to take so that it cannot be said that "all reasonable endeavours" have been used'[23].

A provision in a head of terms[24] document stated that the parties to the document would use their best endeavours to negotiate and agree a final settlement concerning the repayment of a loan (the loan being the subject matter of an earlier agreement). It was held that, based on the facts of the case, the parties had to use best endeavours to negotiate and agree an agreement, but the parties were not obliged to enter into any form of agreement[25].

Acting against one's own financial interest? There is case law as to whether a party must act against its own financial interests in fulfilling an endeavours obligations[26]. It appears that:

- a party under a best endeavours obligation may have to act against its own financial interests (or subordinate them) in performing its obligations under the contract *to an extent*[27]. However, such an obligation is not unlimited. If it becomes clear that a party under a best endeavours obligation will never be able to trade at a profit then it no longer need incur losses from that time;

[22] *Astor Management AG v Atalaya Mining plc* [2017] EWHC 425 (Comm), [67]. In coming to its decision, the court reviewed a number of cases about 'the willingness of the courts (and increasingly so in recent times) to give legal effect to contractual provisions even when they are cast in very open-ended language' [from 66]. It also drew support that such an obligation is enforceable from the earlier case of *Lambert v HTV Cymru (Wales) Ltd* [1998] FSR 874.

[23] *Astor Management AG v Atalaya Mining plc* [2017] EWHC 425 (Comm), [67].

[24] See **1.3.3** for the meaning of this type of document.

[25] *Beta Investments SA v Transmedia Europe Inc* [2003] EWHC 3066 (Ch), [2003] All ER (D) 133 (May).

[26] See *Phillips Petroleum Co (UK) Ltd v ENRON (Europe) Ltd* [1997] CLC 329, CA where it was held that a reasonable endeavours obligation was not breached where a failure to do something was financially disadvantageous and see also *Yewbelle Ltd v London Green Developments Ltd* [2006] EWHC 3166 (Ch), [122]. But in *Jet2.com Ltd v Blackpool Airport Ltd* [2012] EWCA Civ 417 it was held that a party may be required to act against its own financial interests if the nature of the deal it has entered into called for it to do so.

[27] *Jet2.com Ltd v Blackpool Airport Ltd* [2012] EWCA Civ 417, where the parties agreed to 'co-operate together and use their best endeavours to promote [the claimant's] low cost services' from the airport of the defendant. The court (by a majority) held that the best endeavours obligation was binding on the parties and did require the airport to allow the claimant to land aircraft outside of the airport's normal hours of operating even though it would cause the airport some financial loss. See eg from [70]: 'The fact that he has agreed to use his best endeavours pre-supposes that he may well be put to some financial cost, so financial cost cannot be a trump card to enable him to extricate himself from what would otherwise be his obligation', and also at [33].

- a party under a reasonable endeavours obligation is unlikely to be required to act against its own financial interests (or subordinate them) in performing its obligations under the contract[28].

The extent to which a party has to disregard its financial position will depend not only on what type of endeavour it is under, but also the precise wording of the endeavours obligation. Although, as an all reasonable endeavours obligation appears closer to the meaning of a best endeavours obligations, it appears from decided cases that it will not require a party under that type of obligation to act against its own financial interests[29]. This is likely to be even more so where some qualifying words are added to the best or all reasonable endeavours obligation, such as 'all reasonable but commercially prudent endeavours'[30]. However if the endeavours obligation requires a party to carry out a specific step within the carrying out of the endeavours obligation then the party may have to sacrifice its commercial interests[31].

[28] *Yewbelle Ltd v London Green Developments Ltd* [2006] EWHC 3166 (Ch), [122] (decision of the judge overturned on appeal ([2007] EWCA Civ 475) but not on this point). In an earlier case of *Phillips Petroleum Co (UK) Ltd v Enron (Europe) Ltd* [1997] CLC 329, [1996] Lexis Citation 5591, the parties were under a number of reasonable endeavours obligations including one where the parties were to use reasonable endeavours to agree a date when delivery of supplies of gas was to commence ('Commissioning Date'), and in the absence of an agreement a specific date was set out. A party refused to agree to a date because of a fall in the price of gas, and the argument turned on interpreting whether reasonable endeavours were used whether the party in question could take account of its own financial interests or whether it could have 'regard only to criteria of technical and operational practicality'. The wording of the contract did not 'impose on the [party] a contractual obligation to disregard the financial effect on him, and indeed everything else other than technical or operational practicality, when deciding how to discharge his obligation to use reasonable endeavours to agree to a [Commissioning Date]. If the obligation were to be strait-jacketed in that way, that is something which to my mind would have been expressly stated … this is not a situation in which it would be appropriate for the Court to imply a term, not least because it is unnecessary to do so for purposes of business efficiency. The fall-back provision expressly states what is to happen if no early Commissioning Date is agreed'.

[29] *Yewbelle Ltd v London Green Developments Ltd* [2006] EWHC 3166 (Ch), [122] (decision of the judge overturned on appeal ([2007] EWCA Civ 475) but not on this point, see [33] of the Court of Appeal's judgment); *CPC Group Ltd v Qatari Diar Real Estate Investment Co* [2010] EWHC 1535 (Ch), [253].

[30] In *CPC Group Ltd v Qatari Diar Real Estate Investment Co* [2010] EWHC 1535 (Ch) the relevant clause read: '7.1 [the Defendant] and [the Claimant] shall both act in the utmost good faith towards each other in relation to the matters set out in this Deed and in Schedule 4 and [the Defendant] shall use all reasonable but commercially prudent endeavours to enable the achievement of the various threshold events and Payment Dates set out in Schedule 4 and [the Defendant] shall procure that all relevant members of [the Defendant]'s Group comply with the provisions of this Clause 7 and Schedule 4.' The court held that such an obligation was 'not equivalent to a "best endeavours" obligation, and they do not require [the defendant] to ignore or forego its commercial interests. Instead, they allow [the defendant] to consider its own commercial interests alongside those of [the claimant], and require it to take all reasonable steps to procure the Planning Permission, provided those steps are commercially prudent. In the context of the facts of this case, this distinction is important, because when [the defendant] came to consider how to respond to the Prince of Wales's intervention, it was, in my judgment, permitted to consider its own commercial interests in deciding how to respond.' (from [255]). For the meaning of 'good faith' see **8.4.32**.

[31] *Rhodia International Holdings Ltd v Huntsman International LLC* [2007] EWHC 292 (Comm), [35].

5.5.3 All reasonable endeavours

Although there are now cases which consider the meaning of best endeavours, there are few cases which consider 'all reasonable endeavours'. The limited case law there is appears to indicate that it is closer to a best endeavours obligation[32].

5.5.4 How to deal with best and reasonable endeavours provisions?

There are a number of ways to overcome the inherent weakness of best and reasonable endeavours, including:

- ***Avoid such expressions altogether***. Define specifically the standards to be met, for example:
    - an absolute obligation to deliver goods might be expressed as 'The Seller shall deliver the Goods to the Purchaser on 30 December 2022';
    - the Seller in the above example may not wish to tie itself to a particular date and the Purchaser might not be willing to accept a reasonable endeavours or even a best endeavours obligation. Alternatively, it would be possible to set a standard:
        * by setting a date by which the delivery must be made (ie it is possible to make delivery on any day up to a specified date): 'The Seller shall deliver the Goods to the Purchaser no later than 30 December 2022'; or
        * by specifying a range of days when delivery may be made (ie it is possible to deliver from a certain date (but not earlier) and up to a certain day (but no later): 'The Seller shall deliver the Goods to Purchaser between 1 December 2022 to 30 December 2022';

      and in these cases the parties will be setting a standard the Seller has to meet; or
- ***Use a comparator or benchmark***. This enables the best or reasonable obligation to be set to the activities that a notional third party would undertake within the relevant industry or sector that the parties to the agreement operate in. For example, a sales agent might be subject to an obligation to use 'reasonable endeavours' to obtain sales of a particular product, with 'reasonable endeavours' defined as follows:

[32] See *Rhodia International Holdings Ltd v Huntsman International LLC* [2007] EWHC 292 (Comm), [33]; *Hiscox Syndicates Ltd v The Pinnacle Ltd* [2008] EWHC 145 (Ch); *Jet2.com Ltd v Blackpool Airport Ltd* [2012] EWCA Civ 417. See also the discussion in *EDI Central Limited v National Car Parks Limited* [2010] CSOH 141, [19]–[20].

'Exerting such efforts and employing such resources as would normally be exerted or employed by a reasonable third party sales agent for a product of similar market potential at a similar stage of its product life, when utilising sound and reasonable business, sales and market-specific practice, judgment and knowledge in order to develop a market for, and generate sales of, the Product in a timely manner and maximise the economic return to the Parties from such sales.'

- ***Indicate that a party can take its own interests into account.*** Where a party is under a best endeavours or all reasonable endeavours obligation, in order to avoid a situation where it might have to act against its own financial interests the endeavours obligation should indicate, in general terms, that it need not act against its own interests in fulfilling the endeavours obligation. For example:

  > 'The Seller shall use all reasonable but commercially prudent endeavours, to deliver the Goods on 30 December 2022'

  or to indicate more specifically that it need not act against its financial interests:

  > 'The Seller shall use all reasonable endeavours to deliver the Goods on 30 December 2022 so long as the Seller in fulfilling this obligation need not act in any way which will cause a financial disadvantage to it'.

However the problem will always remain that the exact meaning of such phrases will depend, in the event of a dispute going before the courts, on the view of a judge and the facts of the case[33].

In some US contracts expressions are based on the word 'efforts' rather than 'endeavours', so 'best efforts', etc. It appears that although an efforts obligations can be enforceable, it is less certain whether there is a distinction between a 'best efforts' and a 'reasonable efforts' obligation'[34].

5.5.5 Related material

- For further information concerning Best endeavours, etc, drafting issues and sample precedent material see the **Best endeavours, reasonable endeavours and all reasonable endeavours** section in the *A-Z Guide to Boilerplate and Commercial Clauses*

[33] In *Jet2.com Ltd v Blackpool Airport Ltd* [2011] EWHC 1529 (Comm) the court held that the meaning of an endeavours clause will depend on the facts of the particular case before the courts and not on the meaning(s) of endeavours clauses in other cases (and on appeal (see fn 26 above), the appeal court did not focus on this issue).

[34] In reviewing US case law Adams in *A Manual of Style for Contract Drafting* (4th edn, 2017, American Bar Association) concluded (at 8.46): 'So U.S. courts have overwhelmingly rejected—either explicitly or by adopting an alternative interpretation—the notion that best efforts represents a more onerous standard than reasonable efforts.'

5.6 Payment provisions

Key principle: A payment provision should state clearly:

- the amount(s) payable;
- the timing and frequency of payments;
- the method(s)of payment;
- whether taxes are included or excluded; and also
- what is to happen if a payment is not made.

If the payment of any amount needs calculation, then there should normally be use of a formula and it must be subject to thorough testing as to whether it expresses the intentions of the parties.

If the price is a fixed amount, the payment clause will be relatively easy to draft. If it is calculated by reference to a rate, eg:

- a rate per task; or
- for time spent; or
- as a percentage of sales revenue—as with intellectual property royalties; or
- payments of commission—such as in agency and distribution agreements,

then a payment clause using such methods will require more careful drafting. It is necessary to examine very carefully the wording of a payment clause where the calculation of the payment amount is expressed in a formula (especially where the formula is expressed in words), so that the right amounts are deducted, added and multiplied in the correct order[35]. However, where there is use of a formula it is often best to express it mathematically or algebraically rather than in words, and where possible to use some worked examples which are agreed by the parties.

A number of secondary payment issues may also need addressing, including the following:

- Does the price stated include VAT?[36]
- When are payments to be made? (If periodically, how frequently?)

[35] See **3.13** (Formulas and the like). The case referred to there, *Chartbrook Ltd v Persimmon Homes Ltd* [2009] UKHL 38, illustrates the dangers.

[36] If the supply of goods or services under the contract is a taxable supply and there is no indication in the payment clause whether VAT is included or excluded, there might be an implication that the price includes VAT: Value Added Tax Act 1994, s 19(2).

- What method(s) of payment does the payor have to use or can use (online, bank-to-bank transfer, letter of credit, by cheque, etc)?
- Is interest payable on late payments[37]?
- Is time of payment 'of the essence'? So that:
    - If a party is late in making a payment, can the other party terminate their contract?
    - Is any one late payment, regardless of how late (even if only a few minutes late), sufficient to entitle a party to terminate)?
- In what currency will a party have to make payments (in contracts with an international element)? If a party needs to make a payment in another currency:
    - What currency conversion method will the party have to use; and
    - Which party is to bear the risk of any change in the exchange rates?
- Are deductions or set-offs allowed, including withholding of taxes and avoiding double taxation (eg for royalty payments)?
- Are any payments refundable or to be treated as an advance against future payments?
- Who bears any ancillary costs (eg packing, carriage, insurance)?
- Does a party need to provide statements, receipts or other documents in support of payment claims?

5.6.1 Related material

- Formulas—suggestions—**3.13.3**
- Time of the essence—**8.4.75**
- For further information concerning Payment provisions, drafting issues and sample precedent material see the **Payment terms** section in the *A-Z Guide to Boilerplate and Commercial Clauses*

[37] If a right to charge interest is not stated in the contract, a party can rely on the provisions of the Late Payment of Commercial Debts (Interest) Act 1998. This provides for interest to be payable on qualifying debts in contracts for the supply of goods or services where the purchaser and the supplier are each acting in the course of a business (Late Payment of Commercial Debts (Interest) Act 1998, s 2(1)). A qualifying debt is a debt created by virtue of an obligation to pay the whole or any part of the contract price. A term is implied into contracts that the debtor will pay interest as specified in the 1998 Act (s 1). The statutory rate of interest under the 1998 Act is 8% over the official dealing rate per annum (Late Payment of Commercial Debts (Rate of Interest) (No 3) Order 2002, SI 2002/1675, art 4). A creditor is also entitled to a fixed sum in addition to interest, the amount of which starts currently at £40 for debts of less than £1,000 and up to £100 for debts of £10,000 and above (s 5A). If the creditor is not entitled to charge interest, then the creditor is to have some other substantial contractual remedy for late payment of a contractual debt (s 8(1)).

5.7 Warranties

Key principle: A warranty is a statement of fact. The matters stated in a warranty should only be factual in nature. A warranty is not the place for stating obligations or opinions. It is possible to limit a warranty to matters which are within the knowledge of the party giving the warranty, as well as the extent of, or circumstances by which the provider of the warranty processed that knowledge.

Commercial contracts often include warranties given by one or more parties. The content of the warranties will vary from contract to contract. Many warranties come within a number of well-defined categories, for example:

- that the parties have the necessary authority and capacity to enter into the transaction; or
- that the parties are in compliance with laws and regulations; or
- that the goods and/or services being provided meet a particular standard and what is to happen if they do not; and
- that for some types of transactions there are often a 'common' set of (sometimes very extensive) warranties, eg:
    - o if there is licensing of intellectual property, then the party licensing has the necessary right to do so; or
    - o if there is a sale of a business by shares:
        - (i) the business has not appointed a liquidator;
        - (ii) the business is not insolvent;
        - (iii) the business has not stopped paying its debts;
        - (iv) that the activities carried out or the contracts entered by the business are not unauthorised, invalid or unenforceable, etc.

Amongst the commercial issues that need consideration are the following:

- is a party willing to give the warranty at all, or does it deal with something for which that party should not be responsible, or which the other party should check for itself?
- if the party is willing to give the warranty, should it be limited to matters within the party's knowledge?

There are two main types of knowledge warranty, as demonstrated by the following examples:

Example 1

X warrants that to the best of its knowledge, information and belief it is not a party to any current legal proceedings.

Example 2

X warrants that as far as it is aware, but without having conducted any searches or investigations, it is not a party to any current legal proceedings.

With Example 1 the court may consider that it is implicit in the warranty that X has taken reasonable steps to establish the truth of the warranted statement. In Example 2 it is made explicit that this is not a part of the warranty being given. It is generally considered unwise merely to use the phrase 'as far as [a party] is aware' without an express disclaimer of investigations (or whatever kind of disclaimer is appropriate to the warranty in question), as this might be interpreted as a 'best of knowledge' type of warranty[38].

It is common to specifically exclude from the warranties matters formally disclosed to the other party. Often a separate document will set out such disclosures (often called a 'disclosure letter') which is provided by the party giving the warranties to the other party at the time of signing the agreement. The agreement will make specific reference to this letter or sometimes this document is attached as a schedule to the agreement.

Sometimes:

- time limits (eg that if there is a breach of warranty it is necessary to bring the breach to the attention of the party giving the warranty within a certain time period); or
- financial limits (eg lower or upper limit),

are agreed in relation to the bringing of claims under the warranty.

5.7.1 Related material

- Representations, warranties and undertakings—**8.4.63**

[38] For example, in *Sindall (William) plc v Cambridgeshire County Council* [1994] 3 All ER 932 in a commercial conveyancing transaction the Court of Appeal stated that where a seller states it is 'not aware' of a defect in title that statement contains an implied representation that it has taken reasonable steps to find out whether any defects exist. This initially means examining the records held (such as title deeds), carrying out an inspection of the property concerned and obtaining legal advice (at page 942). If a defect was revealed then the seller would have to carry out further investigations. Therefore, where a seller answers a query with a statement such as 'Not so far as the vendor is aware' it means 'not merely that the vendor and his solicitor had no actual knowledge of a defect, but also that they have made such investigations as could reasonably be expected to be made by or under the guidance of a prudent conveyancer.' (at page 942). However, the implied representation did not extend to the seller representing that it kept proper records but did extend to an implication 'that the vendor's records are not in such a state that a reasonable conveyancer would realise that they were inadequate for the purpose of enabling him to answer the question' (at page 946). So, if the records were destroyed then the seller should disclose that fact.

- For further information concerning Warranties, drafting issues and sample precedent material see the **Warranties** section in the *A-Z Guide to Boilerplate and Commercial Clauses*

5.8 Liability and indemnities

Exemption clauses aim to limit or exclude liability of one or more of the parties if they are in breach of the contract. An indemnity is an undertaking given by one party to another party that the first party will make good any losses suffered by the other party, where claims are made by a third party against the other party in specified situations.

All commercial contracts will include one or more exemption clauses. Their legal effectiveness, and techniques for drafting such clauses, are discussed in Chapter 6.

Liability and indemnity clauses can be viewed as attempts to apportion commercial risk between the contracting parties. The parties will often wish to consider whether:

- commercially, those risks are acceptable;
- it is possible to insure against them at all or at a reasonable price; and
- the price to be paid under the contract takes proper account of the risks being borne by each party.

These are commercial rather than legal issues, but business people often see them as rather remote issues (and not as 'exciting' as negotiating on how much a party will be paid or have to pay or what they will be providing). Typically the parties' lawyers may have spent more time considering liability and indemnity issues than their commercial colleagues or clients. Moreover, the contractual language in which liability and indemnity issues are expressed may, of necessity, be legalistic. Nowadays this is where most legal jargon is often encountered. Accordingly, this is an area where lawyers most often take the lead in contractual negotiations.

5.8.1 Related material

- General approach of the courts—**6.5.23.1**
- Indemnity clauses—**6.5.23.4**
- Drafting and negotiating issues—**6.5.23.10**
- For further information concerning Liability and Indemnities, drafting issues and sample precedent material see the **Exemption clauses** and **Indemnities** sections in the *A-Z Guide to Boilerplate and Commercial Clauses*

5.9 Confidentiality and announcements

> ***Key principle***: If the intention is that one or more of the parties is to disclose confidential information under the contract then its disclosure (and also its use) should be made under obligations of confidentiality. Such obligations of confidentiality may also need to cover a period after the contract is terminated.
>
> If the parties wish to make announcements (or are required to do so) then the contract should include a mechanism for their control and approval and, when relevant, the agreed text of announcements on the occurrence of specific events.

The parties will often wish the information that that they disclose to each other to remain confidential. They may also wish to keep the fact that have entered into a contract a secret as well. A third issue which is quite separate but also related to the first two, concerns whether any statements can be made about the fact that the parties have entered into a contract or any of the activities performed or information disclosed under it. Each of these are considered briefly in turn.

5.9.1 Keeping the information that the parties wish disclose to each other confidential

The parties may wish that information they disclose to each other (eg technical, business or marketing information) must be kept confidential and used only for the purposes of the agreement. Amongst the issues commonly covered in confidentiality undertakings are the following.

Basic:

- restrictions on disclosure and use[39] of information;
- requiring employees (and third parties) of a party to comply with the obligations of confidentiality;
- permitting common exceptions to the confidentiality obligations (such as:
  - o confidential information already in the public domain; or
  - o information known to a party (without being known by that party under obligations of confidentiality) before being disclosed by the other party; or
  - o information required to be disclosed by order of a court);
- the duration of the obligations and whether they survive termination of the agreement.

[39] Sometimes the drafter of a confidentiality undertaking fails to mention use of the information.

More detailed provisions:

- the security precautions that a party must take for information it receives from the other party;
- more detailed obligations on the extent to which disclosure to employees and consultants (and third parties) is allowed, and restrictions or conditions on such disclosure;
- rights to have information and copies returned on request;
- further exceptions to obligations of confidentiality (that a party has received another party's confidential information from a third party who is free to disclose it, or that a party has independently developed the confidential information of another party);
- provisions dealing with information developed under the agreement such as:
    - o who it belongs to;
    - o who can use it;
    - o whether it is possible for a party to use the information developed under the agreement without disclosing the information provided to that party by the other party, etc;
- non-competition covenants going beyond the ordinary confidentiality obligations.

In some situations, as with keeping the existence of the agreement out of the public domain, it is not possible always to keep secret the information disclosed by the parties under an agreement: see **5.9.2**.

A simple form of clause requiring the parties to keep the information disclosed under the agreement confidential might read as follows[40]:

---

1 Confidentiality

1.1 Each Party shall keep confidential:

(a) the terms of this agreement; and

(b) any and all confidential information that it may acquire in relation to the business or affairs of the other Party.

Neither Party shall use the other Party's confidential information for any purpose other than to perform its obligations under this agreement. Each Party shall ensure that its officers and employees comply with the provisions of this Clause 1.

1.2 The obligations on a Party set out in Clause 1.1 shall not apply to any information which:

[40] See also Appendix 1, Precedent 1, Clause 6 for a differently-worded clause.

(a) is publicly available or becomes publicly available through no act or omission of that Party; or

(b) a Party is required to disclose by order of a court of competent jurisdiction.

1.3 The provisions of this Clause 1 shall survive any termination of this agreement for a period of [5] years from termination.

5.9.2 Keeping the agreement confidential

As a separate issue, the parties sometimes wish to keep some or all aspects of their agreement out of the public domain. This may not be possible, for example, where one (or more) of the parties:

- must notify the London (or another) Stock Exchange, a regulator or another official body about the agreement; or
- is required to place the agreement on a public register (sometimes in a redacted version)[41]; or
- discloses its existence or some or all of its contents under the Freedom of Information Act 2000 (if one party to the agreement is a 'public body').

5.9.3 Announcements

If the parties do not wish their contract to become public knowledge and do wish any information they disclose to each other to remain confidential, then a consequence of both of these will be that no party should make any announcements or public statement. Confidentiality provisions concern the control of unauthorised disclosure of information while the purpose of an announcement clause is to control and regulate the authorised release of information.

The inclusion of an announcement clause allows the parties to regulate and control where they wish to disclose information or where it is not possible to prevent any disclosure of any information.

For example, if two parties are developing a product, at a certain point they may wish to reveal that they have reached a certain stage of development. They may wish to make a public statement of that fact, which may serve several purposes, such as to build demand from potential customers or to attract further investment if the parties need additional funds.

Where the parties have to make or wish to make a statement or announcement, then they can agree the text of any public statement so that only a limited

[41] For example, if notified to the Securities and Exchange Commission in the United States (subject to 'redaction'—blacking out—of confidential details).

amount of (the right type of) information is revealed. The parties may agree a form of statement or press release and attach it as a schedule or annex to the contract.

Usually the parties will not wish to make a statement or announcement, and a simple clause dealing with this point might read as follows:

No public or press announcements shall be made with regard to the subject matter of this agreement unless the text of such announcement is first approved and initialled by all the parties.

5.9.4 Related material

- meaning and scope (confidential, confidentiality)—**8.4.14**
- file security—**11.6**
- For further information concerning Confidentiality and announcements, drafting issues and sample precedent material see the **Confidentiality** and **Announcements** sections in the *A-Z Guide to Boilerplate and Commercial Clauses*

5.10 Termination and consequences of termination

Key principle: A termination clause should state clearly in what circumstances it is possible to terminate the agreement: for example:

- at the end of a fixed period;
- at any time, without cause;
- on notice (without or with cause);
- in the event of insolvency of a party; or
- in the event of a breach and for what type of breaches.

A termination clause should also state what is to happen after termination of an agreement.

5.10.1 Terminating the agreement

Commercial agreements commonly include provisions concerning their termination. The provisions usually relate to:

- the time period (ie length) of the agreement; and
- the circumstances when a party can terminate the contract if the other party is in breach or becomes insolvent.

5.10.2 Specifying the length of the agreement and termination

The contract should clearly state:

- the length of time it is to run (ie for a fixed period[42], renewable fixed periods); or
- if it is not to be for a fixed period, that it will terminate once its subject matter is completed (eg on the manufacture of a product and its delivery, or where there is the provision of services, on the delivery of a final report); or
- alternatively, if the parties do not wish the agreement to have a definite finish date or circumstance, then the agreement should indicate clearly that a party can terminate on notice (and when it is possible to do so).

If the agreement does not include such wording it may not be clear in what circumstance(s), and when, a party may terminate.

5.10.3 Termination for breach

A second issue often found in a termination provision is what is to happen if one of the parties is in breach of its obligations. Consideration turns on whether:

- a breach of *any* contractual provisions entitles a party not in breach to have the right to terminate; or
- only particular breaches (such as a failure to pay) give such a right.

Another way that a provision may deal with whether a party may terminate an agreement in the event of a breach is to assess the 'quality' of the breach, eg a party will only be able to terminate if the breach is 'material' or 'substantial'[43] and anything less does not entitle the party not in breach to terminate[44]. The parties may provide that, in the event of a breach, a party who is in breach can

[42] Unless there is additional wording in the contract, a party will not normally be able to terminate until the end of the fixed period: eg *Cutlan v Dawson* (1897) 14 RPC 249, CA, *Guyot v Thomson* [1894] 3 Ch 388, CA.

[43] See **8.4.47** for the difference in meaning of 'material' and 'substantial'.

[44] If the contract does not permit that a party can terminate for non-material or non-substantial breaches, then other provisions of the contract may impose some form of sanction.

have an opportunity to remedy the breach, if the breach is capable of being remedied, and usually within a fixed period[45].

5.10.4 Termination for insolvency or bankruptcy

A third issue, but often linked to the second issue as being an event entitling a party to terminate a contract, is where a party becomes insolvent or bankrupt (or equivalents depending on the legal status of the party). If a party is not a UK company or individual, it should be borne in mind that standard English 'boilerplate' language for termination on insolvency or bankruptcy may not be appropriate, as this will generally describe situations arising under UK insolvency or bankruptcy laws.

5.10.5 Specifying the content of a notice for termination

Linked with the second and third issues is what type of notice should a party have to give if the other party is in breach or is insolvent. The notice should of course be in writing. Where there is a second issue breach then a party in breach may be given a certain number of days to remedy the breach. This will depend on factors such as the type of breach and the effect of a breach[46].

An important practical point is making sure that a period of time is correctly calculated. This will depend partly on how a period for notice is specified (such as a party has the right to give one month's notice to terminate or remedy a breach, or a period of days, eg 30 days' notice). It will be necessary to correctly identify the days when a notice period starts and finishes. Making a mistake here could mean a notice is not valid[47].

A simple form of clause might read as follows which deals with some of the matters dealt with above:

[45] See *Artpower Ltd v Bespoke Couture Ltd* [2006] EWCA Civ 1696, [2006] All ER (D) 35 (Nov)), where the court held that if the breach was not remedied then the party not in breach still had to take a positive step to terminate the agreement. That is a party not in breach giving a notice to the other party that the other party was in breach and threatening to terminate the agreement, and allowing the other party a period to remedy the breach, and then the other party not remedying the breach was not enough to terminate the agreement.

[46] For example, a party may not wish to allow another party the right to remedy the other party's breach if there is a complete non-performance of a key obligation by the other party.

[47] For example, if an agreement permits a party to give a month's notice to terminate, and a party gives notice on 15 July 2022, then the default 'rule' (see *Dodds v Walker* [1981] 2 All ER 609) is that 15 July 2022 is excluded from the reckoning, and the notice expires on 15 August 2022. However, if the notice period is 30 days then, after excluding 15 July 2022 from the reckoning, it is necessary to count 30 days starting from 16 July 2022 with the notice expiring on 14 August 2022. The difference in wording can affect the date of termination, as a notice period of a 'month' rather than a period of days can vary from 28 or 29 (if a February) to 30 or 31 days, but will always be the corresponding date of the next month to the date when notice is given.

Without prejudice to any other right or remedy it may have, either Party may terminate this Agreement at any time by notice in writing to the other Party ('Other Party'), such notice to take effect as specified in the notice:

(1) if the Other Party is in [material][substantial]1 breach of this Agreement and, in the case of a breach capable of remedy within 90 days, the breach is not remedied within 90 days of the Other Party receiving notice specifying the breach and requiring its remedy; or

(2) if the Other Party becomes insolvent, or if an order is made or a resolution is passed for the winding up of the Other Party (other than voluntarily for the purpose of solvent amalgamation or reconstruction), or if an administrator, administrative receiver or receiver is appointed in respect of the whole or any part of the Other Party's assets or business, or if the Other Party makes any composition with its creditors or takes or suffers any similar or analogous action in consequence of debt.

5.10.6 What is to happen on termination of an agreement

Sometimes omitted from contracts is a description of what is to happen on termination. It can be very important to state that certain terms survive termination, eg confidentiality obligations. There may be a need for a 'wind-down' phase, particularly in long-term contracts. In some contracts, for example, some complex joint venture agreements, agency/distributorship agreements, or where sub-contracts are entered into or those involving the licensing of intellectual property, the clauses dealing with termination issues and post-termination issues may run to many pages.

5.10.7 Related material

- Checklist of matters which might make the contract particular provisions unenforceable – **1.2.3**
- Material and substantial—**8.4.47**
- Expressions of time—**8.3**
- Checking—Start and termination dates (and other periods of time)—**10.4.5**
- Checking—Consequences of termination—**10.4.7**
- For further information concerning Termination and consequences of termination, drafting issues and sample precedent material see the **Termination for breach**, **Consequences of termination (survival of terms)**, **Breach** and **Months and other expressions of time** sections in the *A-Z Guide to Boilerplate and Commercial Clauses*

5.11 Boilerplate clauses

The following paragraphs will briefly mention some of the more common boilerplate clauses[48].

5.11.1 Notices

Key principle: A notices clause should clearly state:

- to which address must a party send a notice to another party;
- to whom at the address must it be addressed;
- the method(s) by which a party must or can send the notice;
- when a notice is assumed to have reached the other party; and
- the matter, situation or event which calls for the notice.

Notices clauses are regarded by some lawyers as amongst the most important of the boilerplate clauses. Even in contracts which contain very few boilerplate clauses there will normally be a notices clause and (particularly in contracts with an international element) a law and jurisdiction clause.

The notices clause generally states the procedure for how one party should inform another of matters arising during the life of the contract (and sometimes afterwards).

Their importance lies in the consequences which follow if a notice is not in accordance with the requirements set out in the notice clause. For example, a party may not be able to terminate an agreement or may lose a valuable right.

5.11.1.1 Types of notices clauses

Although notices clauses essentially deal with the method of communication between the parties, they can cover, in simple terms, two different types of communication:

- *the provision of information by one party to another*: eg, whether a party has performed part or all of its obligations (such as in a manufacturing contract, that the manufacturer notifying the other party that it has completed the manufacture of the product, or a surveyor has carried out an inspection), the provision of a report, the issuing of an invoice; or

[48] 'Interpretation' clauses are discussed briefly in Chapter 6.

- *the instigating or exercise of some right in the agreement*: eg the right to terminate the contract without cause, the right to terminate on the anniversary but only if a notice is sent by a certain date, on breach, to make a claim under an indemnity, exercise an option, etc;

although there can be an overlap between the two. The distinction can be important as for the latter type of situation, the requirements to operate or call into existence the right as specified in the notices clause can amount to an option and/or a condition precedent, in which the conditions specified to bring the right into existence will need to be strictly complied with[49].

As part of the boilerplate provisions, a notices clause is not one that the parties will likely devote much attention to when negotiating their deal, but if close attention is not paid to its wording when it is necessary to issue a notice then implications or financial consequences can be just as important or as serious as a main commercial provision such as one dealing with payment for the goods or services provided under the agreement. For example, if it is under an agreement where one party develops a product where the other has funded part of the development cost and for which it has an option to obtain a licence to sell the product. However, to exercise the option, the other party has to comply with the requirements of the example wording below at clause 1.1. If the other party only sends an email but fails to also send a confirmatory letter by mail then this seemingly trivial oversight may be enough so that the option is not validly exercised and therefore the other party loses a valuable right, even though the first party would be aware that the other party has tried to exercise the option by receipt of the email. The common sense view of a business person might be that it is not possible in such a situation for a party to be deprived of a right over a formality but this may not be the case and the following stark words of a judge should be noted:

[49] See *Mannai Investment Co Ltd v Eagle Star Life Assurance Co Ltd* [1997] AC 749, [1997] 3 All ER 352. In this case the tenant had the right to terminate (break) a tenancy agreement by giving notice as specified in the notices clause, but had misstated the date of expiry. The House of Lords held that the notice was valid because the tenant had set out the required information in the notice. Stating the date of expiry was not one of the items of information needed in the notice, so the conditions were strictly fulfilled. See also *Friends Life Ltd v Siemens Hearing Instruments Ltd* [2014] EWCA Civ 382. Although the conditions specified may need strict compliance, the meaning of the notice may still need interpretation particularly if the wording used in the notice does not exactly accord with the provisions found in the contract. Also at issue is whether the wording used is obligatory or permissive. Failure to comply with obligatory wording (however trivial the failure) would mean that the condition was is fulfilled. *Siemens Hearing Instruments Ltd* provides references to three other cases which illustrate this. In one, *Yates Building Company Ltd v RJ Pulleyn (York) Ltd* [1976] 1 EGLR 157 an option clause stated: 'The option hereby granted shall be exercisable by notice in writing given by or on behalf of Yates to Pulleyns or to Pulleyns' solicitors at any time between April 6 1973 and May 6 1973 such notice to be sent by registered or recorded delivery post to the registered office of Pulleyns or the offices of their said solicitors.' The court held that the use of words such as 'shall' (or 'must') meant the fulfilment of the condition was obligatory but the wording 'to be sent by registered …' was permissive. So the sending of the notice by ordinary post did not invalidate the notice.

> 'The clear moral is: if you want to avoid expensive litigation, and the possible loss of a valuable right …, you must pay close attention to all the requirements of the [notices] clause, including the formal requirements, and follow them precisely.'[50]

A further way of distinguishing the provisions regarding notices is between:

- a 'generic' notice clause which might apply in all situations when one party wishes to communicate with another (as in the example below); and
- provisions regarding the issuing of a notice which are included in a substantive clause, obligation or matter.

5.11.1.2 Methods of communication, timing and deeming in a notices clause

Such a clause should include whether the notice must be in writing, how delivery will take place (by hand or sent by post; sometimes recorded delivery or first class post is specified) and when delivery of the notice will be assumed to take place.

Often the clause will refer to sending notices by email, etc but also require that there is confirmation by post of that form of communication. The addresses to which a party must send notices are generally specified. (In English law contracts these addresses are generally stated at the head of the agreement, although they could be stated in the notices clause, as is the practice in US agreements.)

The notices clause will often state a time period after which notices will be 'deemed' to be received. Without a deeming provision then it may not be clear as to when it becomes effective[51].

Often different periods are specified for when a notice is deemed to be received for different methods of delivery of a notice (as in the example below). Where contracts are between parties in different countries, a period specified in working days may need further consideration. For example, an email may be deemed to be received the next working day. For most European countries a notice sent by email on Friday would be deemed to be received on

[50] *Friends Life Ltd v Siemens Hearing Instruments Ltd* [2014] EWCA Civ 382, [66]. In *Mannai Investment Co Ltd v Eagle Star Life Assurance Co Ltd* [1997] AC 749, [1997] 3 All ER 352 this point was made in a more arresting way: 'If the clause had said that the notice had to be on blue paper, it would have been no good serving a notice on pink paper, however clear it might have been that the tenant wanted to terminate the lease.' See also *Stobart Group Ltd and another company v Stobart and another* [2019] EWCA Civ 1376.

[51] In *Newcastle upon Tyne Hospitals NHS Foundation Trust v Haywood* [2018] UKSC 22 the Supreme Court (by a majority) decided that a notice was only served on an employee and took effect when the employee actually received and read it. A provision in an employment contract stated 'Unless there is mutual agreement that a different period should apply, this employment may be terminated by you or NPCT by the notice period as set out in section 1' and section 1 gave the 'Minimum notice period from you or NPCT' as 12 weeks but appeared to state no more.

a Monday, but some countries which have a six working day week, meaning the next working day might be Sunday.

A typical notices clause might read as follows:

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1. Notices

1.1 Any notice to be given under this Agreement shall be in writing and shall be sent by first class mail or air mail, by email (and shall be confirmed by first class mail or air mail).

1.2 If the notice is sent by:

(a) *first class mail or air mail*, it shall be sent to the address of the relevant Party set out at the head of this Agreement, or

(b) *email*, it shall be sent to the email address set out in Clause 1.2.

1.3 A Party may from time to time notify to the other Party, in accordance with this Clause 1, such other mail, air mail or email address to which notices to it shall be sent.

1.4 The email addresses of the Parties are as follows: Party A: [email address]; Party B: [email address].

1.5 Notices sent as above shall be deemed to have been received 3 working days after the day of posting (in the case of inland first class mail), or 7 working days after the date of posting (in the case of air mail), or on the next working day after sending (in the case of email messages).

A notices clause sometimes also states that a notice is marked for the attention of a particular job title or a named person. For example, a notice seeking to terminate an agreement, sent in compliance with the above example wording, might not be specifically addressed to a person sufficiently senior and may not come to their attention quickly. Sometimes wording is added to state that notices need to be sent to a particular person[52].

5.11.1.3 Related material

- What to check—Notices clauses—**10.4.4**
- For further information concerning Notices, drafting issues and sample precedent material see the **Notices** and **Months and other expressions of time** sections in the *A-Z Guide to Boilerplate and Commercial Clauses*

[52] See *Bottin (International) Investments Ltd v Venson Group plc* [2004] EWCA Civ 1368, [2004] All ER (D) 322 (Oct), where a notice clause in a commercial agreement that stated 'Any notice … shall be in writing and delivered personally or sent by pre-paid recorded delivery post to the addresses set out in this agreement' was interpreted by the court in such a way that a notice left at the reception desk of one of the parties was held as being sufficiently served. Many businesses now work from serviced offices (such as WeWork), or lease a floor of a high-rise building, and such locations have a reception on the ground floor. Would a notice delivered to the ground floor reception count as delivery?

5.11.2 Force majeure

> ***Key principle***: Normally, there is a provision in a commercial agreement dealing with *force majeure* events so that in the event of a situation occurring outside of the control of a party, that party is not in breach of a contract.

Force majeure is a legal concept which exists in the laws of some European countries but not in English law. It allows a party to be excused from performance of its contractual obligations if it is prevented from performing them by circumstances beyond its control (such as terrorism, civil wars, floods, earthquakes, strikes, etc).

Without specific wording in a contract to address when these types of situations occur, then under English law there is no automatic 'safety valve' of this kind—the result is that if the contract cannot be performed, it may be frustrated[53] and come to an end.

To avoid this happening, English law agreements often include a provision stating that a party is not liable for delays in performance resulting from:

- expressed in general terms, circumstances beyond its reasonable control; or
- a specific set of circumstances; or
- a general statement concerning circumstances beyond its reasonable control and one or more specific circumstances.

A simple form of clause might read as follows:

Neither Party shall have any liability or be deemed to be in breach of this Agreement for any delays or failures in performance of this Agreement which result from circumstances beyond the reasonable control of that Party, including without limitation labour disputes involving that Party. The Party affected by such circumstances shall promptly notify the other Party in writing when such circumstances cause a delay or failure in performance and when they cease to do so.

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[53] A contract is 'frustrated' where, after the contract is entered into it is 'rendered impossible by eternal causes beyond the contemplation of the parties' (from Osborn's *Concise Law Dictionary* (7th edn, Sweet and Maxwell)), or it becomes illegal to perform the contract. Examples include where goods supplied under a contract have been destroyed during delivery (such as a ship on which the goods are present is destroyed) or the goods are requisitioned by a government.

5.11.3 Entire agreement

> ***Key principle***: The default position is that parties will normally wish to rely only on the written provisions of their agreement, and:
>
> - anything stated (whether during negotiations, in a previous agreement, in a document, correspondence, etc); or
> - any representations or promises made before the parties entered into the agreement
>
> are not to be relied on.

The aim of an entire agreement clause is to make clear that the only provisions of a contract are those that are found within the written agreement itself and that:

- no other document (such as previous agreements, correspondence or other documentation); or
- no statements, whether made verbally or in writing (such as statements made in pre-contract negotiations or discussions, in a previous agreement) or whether they amount to a pre-contract representation, agreement, promises etc;

are to have any force or effect[54].

Entire agreements clauses have been subject to considerable litigation, as to whether they amount to exclusion clauses or whether without specific wording, they are acknowledgments of non-reliance or whether it is possible to exclude pre-contract representations. Although the extent (as to what they cover) and what they are identified as (whether they are statements of non-reliance, which prevent liability arising or are exclusion clauses) has been subject to substantial legal debate, what is clear is that:

- they are legally effective;
- to exclude any statement from becoming part of the agreement or to prevent a party relying on it the entire agreement clause should clearly state:
    - that no representations have been made; or
    - that there has been no reliance on any representations; or
    - an express exclusion of liability for misrepresentation[55]; and

[54] See *Inntrepreneur Pub Co v East Crown Ltd* [2000] 3 EGLR 31 for explanation of the purpose of an entire agreement clause.

[55] *AXA Sun Life Services plc v Campbell Martin Ltd and others and other appeals* [2011] EWCA Civ 133, [94].

- a party cannot exclude liability for its own fraud.

A simple form of clause might read as follows:

This agreement contains the whole agreement between the Parties [in respect of *(subject matter of agreement)*] and supersedes and replaces any prior written or oral agreements, representations or understandings between them [relating to such subject matter]. The parties confirm that they have not entered into this agreement on the basis of any representation nor relied on any representation that is not expressly incorporated into this agreement.

Without limiting the generality of the foregoing, neither party shall have any remedy in respect of any untrue statement made to him upon which he may have relied in entering into this agreement, and a party's only remedy is for breach of contract. However, nothing in this agreement purports to exclude liability for any fraudulent statement or act.

5.11.3.1 Related material

- Entire agreement clauses—**6.5.23.9**[56]
- For further information concerning Entire agreement, drafting issues and sample precedent material see the **Entire and final agreement and acknowledgment of non-reliance** section in the *A-Z Guide to Boilerplate and Commercial Clauses*

5.11.4 Assignment of rights, transferring obligations and delegation

> ***Key principle***: Normally, the default position is that there is a provision in the agreement stating that neither party can assign rights or transfer obligations without the consent of the other party. Also, such a provision also usually includes a prohibition on delegating (ie sub-contracting) the performance of some or all of a party's obligations.

In general, unless there is explicit wording prohibiting assignment, a party may assign its rights under a contract (unless the contract is one with a 'personal' element[57]). But a party needs the consent of another contracting party if it wishes to transfer its obligations under the contract.

[56] For a more in-depth discussion of entire agreement clauses see Anderson and Warner, *Macdonald's Exemption Clauses and Unfair Terms* (3rd edn, 2022, Bloomsbury Professional) 2.133–2177.

[57] Such as an agreement with an agent or an employee.

If a party obtains the consent from the other party and there is the transfer of both rights and obligations, there will typically be a novation of the contract[58]. It is incorrect to refer to an 'assignment of this Agreement'[59], although the boilerplate provision dealing with such topics usually has the label of 'assignment' or 'no assignment'.

Also, without explicit wording to prohibit delegation, a party may delegate or sub-contract performance of its obligations under the contract.

A simple form of clause to prevent the assignment of rights, the transference of obligations or the delegation of obligations might read as follows:

Neither party may assign, delegate, sub-contract, mortgage, or otherwise transfer any or all of its rights and obligations under this agreement without the prior written agreement of the other party.

The parties will often wish to address the question of whether one or more of the parties are able to assign their rights, transfer and/or sub-contract their obligations under the contract. A party may wish:

- to assign its rights and/or transfer its obligations whether generally or in specific circumstances. The circumstances can include:
    - o if a party is involved in a corporate restructure and the transfer and/or assignment would be to another member of the same group of companies; or
    - o if a party wishes to sell its business (or part of its business) to a purchaser.

    If the intention is to allow both parties the right to assign a right or transfer an obligation, then it will be necessary to consider issues of whether:

    - o the consent of the other party is necessary and on what terms the party may give its consent (such as:
        - (i) the party not needing to give its consent; or
        - (ii) that the party cannot unreasonably withhold its consent; or
        - (iii) a party gives its consent once the other party fulfilling certain conditions); or
    - o particular circumstances need to occur before a party can assign or transfer (or where the other party cannot refuse consent);

[58] The novation can be of only part of the agreement: *Telewest Communications plc v Customs and Excise Commissioners* [2005] EWCA CIV 102. For example, a supplier of computer goods and technical support, each of which are paid for separately, may novate all parts of business relating to computer goods, ie transfer all its obligations (such as fulfilling orders for computer goods) and assign all its rights (such as to receive payments for those goods) to a third party.

[59] See *Linden Gardens Trust Ltd v Lenesta Sludge Disposals Ltd* [1994] 1 AC 85.

- to delegate (or sub-contract) the performance of some of its obligations to a third party. For example, such as where a party needs the specialist skills or resources of a third party so that the party can fulfil its obligations under the contract. If a party wishes to delegate some of its obligations then it is also necessary to consider on what terms and conditions it may do so (such as a party not needing the consent of the other party, or it does require the consent of the other party, or whether the other party can have some control over the sub-contractor (eg choice of sub-contractor, control over its activities etc)).

5.11.4.1 Related material

- Assignment and novation—**8.4.4**
- Sub-contract—**8.4.68**
- For further information concerning Assignment of rights, transferring obligations and delegation, drafting issues and sample precedent material see the **Assignment and novation** and **Sub-contracting** sections in the *A-Z Guide to Boilerplate and Commercial Clauses*

5.11.5 Contracts (Rights of Third Parties) Act 1999

Key principle: Normally the default position in most agreements is that no-one other than the parties has the right to enforce a benefit conferred on any of them. If so then the agreement should include a provision excluding the operation of the Contracts (Rights of Third Parties) Act 1999. Otherwise the agreement should include specific wording as to which of its provisions a third party can enforce and the circumstances in which they can do so.

The 1999 Act made a modification to the common law doctrine of 'privity of contract'. In effect, it creates a statutory exception to the doctrine. It allows persons who are not parties to a contract (a 'third party') to enforce certain provisions directly. Although the Act requires the contract to expressly identify the third party, it is possible to do so in a number of ways, including by name, as the member of a class or answering a particular description[60]. The third party need not exist at the time the parties enter the contract. For example, in a contract between an advertising agency company and its client where the agency is to produce a video, the contract could identify the director of the video in a number of ways such by their name ('Jo Sheen'), or their role ('the Director') even though at the time the parties sign the contract they may not know who will be the director. A third party can have this right if the

[60] Contracts (Rights of Third Parties) Act 1999, s 1(3).

contract explicitly stipulates it to this effect, or a term of the contract purports to confer a benefit on the third party[61]. 'Confers a benefit' will mean that one purpose of the contract is that it has to benefit the third party. The meaning of 'confers a benefit' will not include:

- that the third party's position is merely improved by the performance of the contract; or
- that the purpose is an incidental effect of the contract being performed[62].

The practical effect of this Act is that most properly drafted commercial agreements now seek to exclude the application of this Act with wording such as:

For the purposes of the Contracts (Rights of Third Parties) Act 1999 [and notwithstanding any other provisions of this Agreement] this Agreement is not intended to, and does not, give any person who is not a party to it, any right to enforce any of its provisions.

Agreements often mention third parties (such as members of staff carrying out one party's obligations, sub-contractors, or affiliates of a party), but:

- fail specifically to identify them with sufficient precision; and/or
- fail to state that where particular wording in a provision is used for their benefit it also enables them to enforce their rights under the relevant agreement[63].

5.11.5.1 Related material

- Group companies—**8.4.34**
- Checking before signing – Third parties—**10.4.8**
- For further information concerning Contracts (Rights of Third Parties) Act 1999, drafting issues and sample precedent material see the **Contracts (Rights of Third Parties) 1999** and **Affiliates, group companies and subsidiaries** sections in the *A-Z Guide to Boilerplate and Commercial Clauses*

[61] Contracts (Rights of Third Parties) Act 1999, s 1(1).

[62] See *Dolphin Maritime & Aviation Services Ltd v Sveriges Angartygs Assurans Forenig* [2009] EWHC 716 (Comm), [74]; *The Royal Bank of Scotland plc v Michael Patrick McCarthy* [2015] EWHC 3626 (QB), [137].

[63] See *Nisshin Shipping Co Ltd v Cleaves & Cleaves & Co Ltd* [2003] EWHC 2602 (Comm), [2004] 1 All ER (Comm) 481 and *Laemthong International Lines Co Ltd v Artis* [2005] EWCA Civ 519, [2005] 2 All ER (Comm) 167 which are illustrations of the dangers of not specifying whether a third party could enforce the terms of a contract.

5.12 Law and jurisdiction

Key principle: Every agreement should indicate:

- which country's laws apply to it; and
- which country's courts should have jurisdiction over any dispute; and
- whether that jurisdiction is exclusive or non-exclusive.

For example, some commercial contracts state which country's (or state's) laws are to apply, but then fail to state which courts are to have jurisdiction. The relevance of stating both is that if the contract fails to deal with one or both in the contract then various international conventions or laws may decide which is the law that governs, and which country's courts will have jurisdiction over an agreement or a dispute under it. Sometimes this is in a way one or more of the parties may not want[64].

These issues are more relevant when the contract has an international element, for example:

- where one or more parties are based outside England and Wales; or
- where offer or acceptance took place outside England and Wales; or
- where a party to the contract is to undertake work or deliver goods or perform services outside England and Wales.

If the contract concerns only English parties and obligations arise only in England, a law and jurisdiction clause will, in most cases, be unnecessary.

The jurisdiction clause should also clearly state whether the courts which have jurisdiction are to do so on an 'exclusive' or 'non-exclusive' basis. If this is not stated and the clause merely refers to 'submitting to the jurisdiction' of a particular court, then, deciding whether that country's courts have exclusive or non-exclusive jurisdiction will depend, for example, on the country's own laws and whether any international conventions apply. For countries which are EU members, if the Brussels Regulation applies, this will probably mean that the court in question has exclusive jurisdiction and therefore all claims

[64] Following the UK leaving the EU, The Law Applicable to Contractual Obligations and Non-Contractual Obligations (Amendment etc.) (EU Exit) Regulations 2019, SI 2019/834 continues to apply a modified form of Regulation (EC) No 593/2008 of the European Parliament and the Council on the law applicable to contractual obligations.

must be brought in that court[65]. If, on the other hand, the jurisdiction clause provides for non-exclusive jurisdiction, it is likely that this will mean that a party may commence proceedings in that court, but may alternatively bring proceedings in any other court which is entitled to hear the claim.

A question sometimes considered by the courts is whether the parties have 'submitted' to the jurisdiction of those courts; if they have submitted, the court is more likely to accept the case. It is therefore considered desirable in the jurisdiction clause of the contract to use this slightly arcane terminology.

A simple law and exclusive jurisdiction clause might read as follows:

The validity, construction and performance of this Agreement shall be governed by English law. Any dispute arising under or in connection with this Agreement shall be subject to the exclusive jurisdiction of the English courts to which the parties to this Agreement hereby submit.

5.12.1 Related material

- Checklist of matters which might make the contract particular provisions unenforceable— **1.2.3**
- Law and jurisdiction—**8.4.45**
- For further information concerning Law and jurisdiction, drafting issues and sample precedent material see the **Law and jurisdiction** section in the *A-Z Guide to Boilerplate and Commercial Clauses*

5.13 Who signs the contract—are they authorised to do so?

Where a senior employee signs a contract on behalf of a company, and the contract concerns matters which come within (or are likely to come within) that employee's area of responsibility, it is generally difficult for the company

[65] Following the UK leaving the EU, the Brussels Regulation (No 1215/2012) no longer applies to the UK. However, the Hague Convention on Choice of Court may apply which concerns the recognition by a country of an exclusive jurisdiction clause (states which have contracted to this Convention include the Member States of the EU, the UK, Mexico, Singapore and Montenegro but although the US and China have signed the Convention they have not yet ratified it). There is also the Lugano Convention which deals with the issue of exclusive jurisdiction. It applies between EFTA and EU countries, which is similar to the Brussels Regulation (but does not require a court of a contracting state to always allow an exclusive jurisdiction clause in an agreement to determine that another country's court would have exclusive jurisdiction over a matter). At the time material for this book was prepared, the UK had applied to accede to the Lugano Convention but all the current contracting members had not provided their consent.

to disown the contract because that employee who signed it was not authorised to do so[66]. For example, where:

- a company manufactures a product and the head of production orders a key component or raw material necessary for production or the product; or
- the head of research enters into a research and development agreement.

Where a company director signs the contract on behalf of the company it will be even more difficult for the company to disown the contract[67].

Unless the company has made clear to the other contracting party in advance of the signing of the contract that the person signing does not have authority to do so, the company is likely to be bound. These principles will apply even where there are internal rules within the company limiting the powers of its employees to enter into commitments. However, the position may be different if those rules were brought to the attention of the other contracting party.

The authority of agents is a large subject[68], but the main drafting issues are as follows:

- If a person signing does not have actual or apparent authority to sign a contract on behalf of its employer, nothing stated in the contract can affect the position. Words such as 'The undersigned is authorised to sign this contract on behalf of XYZ Limited' will not protect the other party. Such words may prompt the person to check whether they are, in fact, authorised, and might give the other contracting party a right to sue them if they do not have such authority. For these reasons such a statement may be useful.

The methods by which a company can execute a contract are discussed in Chapter 1. Examples of execution clauses and signature blocks are set out in Chapter 2.

- If the contract is of great importance, a contracting party may wish or require to know:
    - that the other contracting party has approved the entering of the agreement;
    - that the other contracting party has approved the execution of the agreement; and

[66] See, eg, *Bowstead and Reynolds on Agency* (21th edn, 2021, Sweet and Maxwell), regarding apparent (ostensible) authority of an employee to act as the agent of its employer.

[67] See the Companies Act 2006, s 40(1) (as amended). Section 40(1) provides: 'In favour of a person, dealing with a company in good faith, the power of the board of directors to bind the company, or authorise others to do so, shall be deemed to be free of any limitations under the company's constitution.'

[68] For example, *Bowstead and Reynolds on Agency* (21th edn, 2021, Sweet and Maxwell).

- who at the other contracting party is authorised to sign the agreement.

The other contracting party can do so, for example, by providing a certified copy of a board of directors' resolution stating these matters. This would avoid any doubt over whether the agreement has been validly executed by the company. However, with many contracts this will not be appropriate—a small supplier entering into an agreement with a major multinational company can hardly expect the latter to call a board of directors meeting to approve each routine or low value commercial agreement[69].

5.13.1 Related material

- Methods and formalities for signing contracts and deeds by individuals and companies (UK and non-UK)—**1.5**, **1.7**, **1.8**, **1.9**
- For further information concerning Who signs the contract—are they authorised to do so?, drafting issues and sample precedent material see the **Agency, partnership and joint venture (denials of)** section in the *A-Z Guide to Boilerplate and Commercial Clauses*

[69] Some organisations and companies have written policies as to who can sign certain types of contracts. For example, a manufacturing company may have a policy that the head of a particular department is authorised to sign any contract relating to the purchase of manufacturing equipment. Some companies also pass board resolutions which authorise one or more directors to have authority to sign specific types of documents, with such authority to continue until a further board resolution. This would deal with the issue where another party wanted to be certain that there was approval at a sufficiently senior level.

Chapter 6

Interpretation of contracts by the courts – implications for the drafter/negotiator[1]

6.1 Introduction

This chapter considers the methods the English courts use for interpreting contracts. It focuses particularly on how the contract drafter should take account of such methods. The courts have developed these methods over decades (in some cases over centuries). The reported cases indicate that the courts take these principles very seriously, and seek to apply them when interpreting contracts.

Many people (whether non-lawyers or lawyers) find it difficult to predict how a court will apply the principles or what the practical result will be. It can seem sometimes that the courts pay lip service to the principles, whilst deciding cases on the 'merits' of the situation before them. On some issues there are so many principles that it seems the court can choose which principle to apply[2].

The above still holds good, even with the near dominance of the modern approach to interpreting contracts, first outlined soon after the first edition of this book was published in 1997 in *Investors' Compensation Scheme v West Bromwich Building Society*[3], which set out five principles[4].

In the subsequent years nothing has lessened their impact or their application, and they have been re-affirmed on each occasion that a case has come before the most senior court which required their use. And subsequently to the decision in *Investors' Compensation Scheme v West Bromwich Building Society* the principles have been further developed in a trilogy of Supreme Court cases:

- *Rainy Sky SA v Kookmin Bank*[5];
- *Arnold v Britton*[6]; and
- *Wood v Capita Insurance Services Ltd*[7].

1 This chapter considers contracts other than those with a consumer. For consumer contracts, see Chapter 7.

2 For example, when considering whether to admit evidence of terms not set out in the main contract document, the courts may apply the parol evidence rule (and exceptions to that rule), or treat the terms as part of a collateral contract or prior representation. This is discussed later in this chapter. Also, which 'principle' applies may depend upon what law and case law is presented to the judge in any particular case; this is a point which is usually overlooked.

3 [1998] 1 All ER 98, HL.

4 These are set out **6.6**.

5 [2011] UKSC 50.

6 [2015] UKSC 36.

7 [2017] UKSC 24.

However, in many ways the principles are no more than a restatement of existing case law (but in more modern language)[8].

Any one of these cases (or points drawn from one or more of them) is often now the starting point to the interpretation of a contract by a court. The aim is to take an objective approach to the meaning of the words used in a contract clause in the context of the contract and taking into account the admissible background (and giving the words used their ordinary and natural meaning) but ignoring what the parties think and discussed prior to the contract. This approach has a marked preference for not departing from the words used in the contract as the basis for interpreting their meaning.

Whilst this approach simplifies matters with regard to how a court will begin to interpret a contract, it still leaves plenty of room for a judge to come to their own view of what the 'objective' meaning of a contractual provision is and does not provide an answer to all problems raised in the event of a dispute between parties[9]. The other principles are still needed in particular cases.

This chapter commences with considering the new approach; some of the other principles (which are now likely to apply in particular cases) will be considered in more detail later in this chapter.

6.2 Establishing the terms of the contract and their meaning

- ***General approach of the courts***. How to determine the intentions of the contracting parties; relevance of past decisions.
- ***Which terms comprise the contract***. Express terms; terms of other documents; parol evidence rule; representations and collateral contracts.
- ***The meaning of words used in contracts***. The 'golden rule'; ordinary words; technical terms; legal terms (in outline)[10]; special meanings given by the parties.

[8] As something acknowledged in *Investors' Compensation Scheme v West Bromwich Building Society* [1998] 1 All ER 98 and in, for example, *Arnold v Britton* [2015] UKSC 36. In the earlier case: 'I do not think that the fundamental change which has overtaken this branch of the law, particularly as a result of the speeches of Lord Wilberforce in *Prenn v Simmonds* [1971] 3 All ER 237 at 240–242, [1971] 1 WLR 1381 at 1384-1386 and *Reardon Smith Line Ltd v Hansen-Tangen, Hansen-Tangen v Sanko Steamship Co* [1976] 3 All ER 570, [1976] 1 WLR 989, is always sufficiently appreciated. The result has been, subject to one important exception, to assimilate the way in which such documents are interpreted by judges to the common sense principles by which any serious utterance would be interpreted in ordinary life.'

[9] For example, the meaning of two contractual terms may be each clear, however in the context of the contract they may simply directly conflict with each other, and the other provisions of the contract do not help in determining which has precedence.

[10] Legal terms – words whose meaning have been decided by the courts or by statute – and lawyers' jargon, are considered together in Chapter 8.

6.3 Interpreting a given set of contract terms

The general starting point for the interpretation of a contract is as follows:

(1) use the words that the parties have chosen (given their ordinary and natural meaning);

(2) determine the meaning by taking an objective approach, ie what a reasonable person would have understood the parties to mean;

(3) examine the contractual provision in its context (against other provisions in the contract, the purpose of the contract, the facts known or assumed by the parties, other admissible background facts);

(4) if the contractual provision uses clear unambiguous language, then it must be applied;

(5) ignore subjective intentions of the parties and their pre-contract negotiations;

(6) (only) if a contractual provision can have more than one meaning, the one which is more consistent with business common sense should be preferred.

If the above general starting point for the interpretation of a contract approach does not provide all the answers, other principles may assist in interpreting a contract or contractual provision, such as:

- ***Consider the contract.*** (1) Interpret the contract as a whole; (2) give effect to all parts of the document; (3) but special conditions override standard (usually printed) conditions.
- ***Express terms.*** (1) If some items are mentioned, and similar items are not mentioned, it may be assumed that the omission was deliberate; (2) if the contract includes express terms on a topic, it is unlikely that the court will imply terms on that topic; (3) the ejusdem generis ('of the same kind') rule—where the contract includes a list of items followed by words such as 'or other [items]', the 'others' will be interpreted as being limited to items which are similar to those specifically listed.
- ***Who has the benefit of the doubt?*** (1) the court is unlikely to interpret contract wording so as to allow a party to take advantage of its own wrongdoing (and only the clearest and most explicit words will allow a party to take such an advantage, where it is possible to do so); (2) if there are two possible interpretations, one of which is lawful and the other unlawful, the court will apply the lawful one; (3) if by one interpretation the contract is valid, and by the other the contract is invalid, the valid interpretation will be applied; (4) an interpretation which leads to a reasonable result may be preferred over one which leads to an unreasonable result; (5) an interpretation which requires a party to do something which is possible will be preferred over a requirement to do something which is impossible.

- ***Implied terms***. Terms implied by statute or common law or (if meeting the test of necessity) implied into the particular contract, for example, under the business efficacy rule.
- ***Special rules for exemption clauses***. How the courts interpret such clauses, and restrictions on exemption clauses under the Unfair Contract Terms Act 1977 and the Misrepresentation Act 1967.

Some of these other principles are concerned simply with interpreting obscure or ambiguous wording and the message for the drafter is simple—draft the contract as clearly as possible. General techniques for clear drafting are discussed in Chapter 3. In some cases, there may be very little the drafter can do: the court may apply the *general starting point for the interpretation of a contract* (see **6.3** above) approach, which can override even the most careful drafting. In other cases, there are specific techniques which can be used to try to ensure that the court interprets the contract in the way the drafter intended. This chapter will focus mainly on this last category—principles of interpretation which can be addressed by particular contract drafting—whilst giving an overview of the main principles of interpretation which are followed by the courts[11].

Some of these principles may contradict one another, or could apply to a particular contract or contract term. Some principles may also only apply depending on the arguments put forward by a party's lawyers in the materials that they submit to the court or state during the case.

These points gives a court some scope for selecting which principles they wish to apply to a particular case[12]:

> 'The cynical truth about interpretation in England seems to be that the Bench has been provided with some dozens of "principles" from which a judicious selection has been made to achieve substantial justice in each individual case. From time to time, all the relevant principles point in the same direction and leave the court no choice, but in most of the cases susceptible of any real dispute, the function of counsel is merely to provide sufficient material for the court to perform its task of selection.'

In fairness to the courts, they are required to be consistent with previous court decisions whilst doing justice in the individual case. Strict adherence to so-called rules or principles of interpretation does not always enable this to be achieved.

Faced with comments like these, the reader may wonder whether it is worthwhile spending much time considering the many principles of interpretation which

[11] For a fuller understanding of how the courts interpret contracts, the reader is referred to the leading contract law texts, particularly Lewison, *The Interpretation of Contracts* (7th edn, 2020, Sweet and Maxwell). This book is recommended for all serious contract drafters.

[12] Review (1945) 61 LQR 102.

have been developed by the English courts. Nonetheless, it is suggested that it is very important to do so because:

- in many situations the principles lead to a consistent, predictable interpretation. In such situations, the contract drafter must take account of the principles in order to achieve the interpretation the contract drafter intends;

- even where the courts have been accused of manipulating the principles to suit the 'merits' of the case, they have generally proceeded within the general framework of those principles. Although the contract drafter may not be able to ensure a particular interpretation by the courts, the contract drafter can at least try to make sure the drafting is as watertight as possible, so that the court is not obliged to stretch the principles to achieve the intended purpose.

These comments may sound cynical. The problem is that contractual interpretation is not an exact science, no matter how many principles of interpretation are developed. The best that can be said for such principles is that they provide a broad framework for interpreting individual contracts, and are a guide to the contract drafter (and to the courts). Past cases can only provide a general guide to how a court will interpret particular wording, not least because the facts of contract disputes will rarely coincide exactly with the facts of previous, reported cases. Applying the same legal principle may lead to a different result if the facts in each case differ.

Despite these limitations, it is important for the drafter to be aware of and understand the main principles of interpretation which the courts apply when deciding contract disputes. The authors' view is that contracts are drafted in the expectation that the court will interpret the words used strictly, particularly if any one or more of the following apply:

- the contract drafter is legally trained; or

- the parties are experienced and/or substantial business organisations or persons; or

- the contracting parties take legal advice; or

- the contract itself is detailed and takes account of, and provides for, the situations and contingencies that may arise during its operation.

Some of the principles described in this chapter may provide a 'safety valve' where drafting is unclear, ambiguous or otherwise defective. But the court's view of how those mistakes should be corrected may differ from what one or both of the parties intended; the best course is to make the drafting as clear and unambiguous as possible.

6.4 General approach of the courts to interpreting contracts

The methods used by the courts to interpret contracts can conveniently be thought of in two stages:

- stage 1 is to determine which terms form the contract, the meaning of the words used in those terms, and generally how the courts establish what the parties have agreed. This stage can be thought of as identifying the contract terms and their meaning;
- stage 2 is where the court applies detailed principles of interpretation (the 'canons of construction') to the contract terms which have been identified in stage 1.

The following sections consider stage 1.

6.4.1 How a court should interpret a contractual provision?

The starting point for interpreting contracts by the courts is nowadays based on points drawn from one or more of the trilogy of cases mentioned at **6.1**.

The interpretation of contractual provisions based will normally be based on the following points:

(1) ***The overall task of the contract.*** The task of the court is to 'ascertain the objective meaning of the language which the parties have chosen to express their agreement'[13];

(2) ***The starting point is always the words used in the contract, with a reluctance to depart from them, and the assumption is that they mean what they say.*** Before determining the meaning of the words used, the courts will start with the words actually used. There is a strong reluctance to depart from them, on the basis that in a written agreement there is a presumption that the parties 'have chosen their words with care [and] one does not readily accept that they have used the wrong words'[14]. The focus on the words used will also be based on an 'assumption that the words at issue mean what they naturally say'[15], ie they should be given their 'natural and ordinary meaning'.

[13] *Wood v Capita Insurance Services Ltd* [2017] UKSC 24, [10].

[14] *Jumbo King Ltd v Faithful Properties Ltd* (1999) H.K.C.F.A.R. 279. Although a judgment from the Hong Kong Final Court of Appeal, it was given by Lord Hoffmann where he set out the principles from *Investors' Compensation Scheme v West Bromwich Building Society* again.

[15] *Pink Floyd Music Ltd v EMI Records Ltd* [2010] EWCA Civ 1429, [18].

Comment:

(i) although the words need to be given their 'natural and ordinary meaning', the meaning will be determined in the context of the clause in which they appear and then in the context of the contract, and finally against the admissible background to the contract[16];

(ii) the reluctance to depart from the words used is likely to be on the basis that:

(a) the parties have control over the language of their contract; and

(b) the parties will have been focusing on the matter dealt with by a provision when they reached agreement on the wording of that provision[17].

(3) ***The aim in interpreting a provision in a contract.*** '… The ultimate aim of interpreting a provision in a contract, especially a commercial contract, is to determine what the parties meant by the language used…'[18].

(4) ***The meaning is found through the use of an objective standard (the reasonable person).*** '… Which involves ascertaining what a reasonable person would have understood the parties to have meant'[19].

Comment: the meaning is not what the parties consider their words to mean, but what the notional reasonable person would understand the words to mean.

(5) ***How the objective standard of the reasonable person is determined.*** '…A reasonable person having all the relevant background knowledge which would reasonably have been available to the parties in the situation in which they were at the time of the contract'[20].

[16] *Cosmos Holidays plc v Dhanjal Investments Ltd* [2009] EWCA Civ 316. In *Pink Floyd Music Ltd v EMI Records Ltd* [2010] EWCA Civ 1429, [18] the court stated 'one may proceed on the prima facie assumption that the words at issue mean what they naturally say, they cannot be interpreted in a vacuum. The words must be interpreted by reference to what a reasonable person (who is informed with business common sense, the knowledge of the parties, including of course of the other provisions of the contract, and the experience and expertise enjoyed by the parties, at the time of the contract) would have understood by the provision. So construed, the words of a provision may have a meaning which is not that which they may appear to have if read out of context, or the meaning which they may appear to have had at first sight. Indeed, it is clear that there will be circumstances where the words in question are attributed a meaning which they simply cannot have as a matter of ordinary linguistic analysis, because the notional reasonable person would be satisfied that something had gone wrong in the drafting'.

[17] *Arnold v Britton* [2015] UKSC 36, [17].

[18] *Rainy Sky SA v Kookmin Bank* [2011] UKSC 50, [14].

[19] Ibid.

[20] From the first principle in *Investors' Compensation Scheme v West Bromwich Building Society* [1998] 1 All ER 98.

Comment:

(i) 'background knowledge'[21] will include, for example, factual background[22], the state of the law[23], market practice[24], expert evidence (if the ordinary principles of construction cannot provide an answer to which meaning is correct)[25];

(ii) pre-contract negotiations will be excluded[26], but it is possible to admit evidence of pre-contract negotiations if the purpose is to establish objective background facts (including if one party communicated them to another), but not anything which goes to interpreting the meaning of the words used[27];

(iii) the only background knowledge admissible will be that which was available up to the point at which the contract was entered into.

(6) ***Not a literalist exercise***. Determining the objective meaning of the language that the parties use in a contract '…is not a literalist exercise focused solely on a parsing of the wording of the particular clause'[28]. It is necessary to look at the contract as a whole '… and, depending on the nature, formality and quality of drafting of the contract, give more or less weight to elements of the wider context in reaching its view as to that objective meaning[29].

(7) ***Looking at the contract as a whole***. It is necessary to place the contractual provision '… in the context of the contract as a whole, to examine the clause in more detail and to consider whether the wider relevant

[21] For example, in *Arnold v Britton* [2015] UKSC 36, which concerned the interpretation of a provision in a set of leases, the available background was limited to information about inflation rates at the time the leases were entered into (given that most leases had been executed between 1971 and 1999). If any correspondence remained in existence, it is unlikely to have been relevant as to the meaning of the provision under consideration by the court and 'would merely have shown what one party thought'.

[22] *Bank of Credit and Commerce International SA (in liq) v Ali* [2001] UKHL 8, [39].

[23] Ibid.

[24] *Galaxy Energy International v Assuranceforeningen Skuld* [1999] 1 Lloyd's Rep 249.

[25] *Zeus Tradition Marine v Bell* [1999] All ER (D) 525.

[26] *Mannai Investment Co Ltd v Eagle Star Life Assurance Co Ltd* [1997] 3 All ER 352; *Investors' Compensation Scheme v West Bromwich Building Society* [1998] 1 All ER 98; *Chartbrook Ltd v Persimmon Homes Ltd* [2009] UKHL 38 and the trilogy of cases mentioned at **6.1**. Although the exact boundaries of what exactly in the pre-contract negotiations is admissible are blurred, the general point is that in almost all circumstances pre-contract negotiations will not be admissible. Principally, it seems it is very hard to determine what is objective: see *Scottish Widows Fund and Life Assurance Society v BGC International* [2012] EWCA Civ 607, [35] where it was said that '… judges should exercise considerable caution before treating as admissible communications in the course of pre-contractual negotiations relied on as evidencing the parties' objective aim in completing the transaction'.

[27] *Chartbrook Ltd v Persimmon Homes Ltd* [2009] UKHL 38; *Q-Park v HX Investments Ltd* [2012] EWCA Civ 708.

[28] *Wood v Capita Insurance Services Ltd* [2017] UKSC 24, [10].

[29] *Wood v Capita Insurance Services Ltd* [2017] UKSC 24, [10].

factual matrix gives guidance as to its meaning in order to consider the implications of the rival interpretations'[30].

(8) ***Only looking at circumstances up to the time the parties enter their contract.*** A court '… can only take into account facts or circumstances which existed at the time that the contract was made, and which were known or reasonably available to both parties'[31].

(9) ***Language having more than one meaning.*** If the language used by the parties has more than one potential meaning then the 'exercise of construction is essentially one unitary exercise in which the court must consider the language used and ascertain what a reasonable person, that is a person who has all the background knowledge which would reasonably have been available to the parties in the situation in which they were at the time of the contract, would have understood the parties to have meant. In doing so, the court must have regard to all the relevant surrounding circumstance'[32]. An alternative way of putting the task is that to interpret the wording requires an iterative process, involving 'checking each of the rival meanings against other provisions of the document and investigating its commercial consequences'[33].

Comment:

(i) Where there are two possible constructions to the meaning of the wording the parties have used, a court can choose one which is 'consistent with business common sense'[34];

(ii) But commercial common sense is not to be looked at retrospectively and is 'only relevant to the extent of how matters would or could have been perceived by the parties, or by reasonable people in the position of the parties, as at the date that the contract was made'[35];

(iii) The process is a unitary exercise so that 'where there are rival meanings, the court can give weight to the implications of rival constructions by reaching a view as to which construction is more consistent with business common sense'[36];

[30] *Wood v Capita Insurance Services Ltd* [2017] UKSC 24, [26].
[31] *Arnold v Britton* [2015] UKSC 36, [21].
[32] *Rainy Sky SA v Kookmin Bank* [2011] UKSC 50, [21].
[33] *In Re Sigma Finance Corpn* [2009] UKSC 2, [10] and *Wood v Capita Insurance Services Ltd* [2017] UKSC 24, [12], which 'is not confined to textual analysis and comparison. It extends also to placing the rival interpretations within their commercial setting and investigating (or at any rate evaluating) their commercial consequences. That is not to say that in a case like this the commercial setting should be derived from considerations outside the four corners of the contractual documents' (*Napier Park European Credit Opportunities Fund Ltd v Harbourmaster Pro-Rata Clo 2 BV* [2014] EWCA Civ 984).
[34] *Rainy Sky SA v Kookmin Bank* [2011] UKSC 50, [21].
[35] *Arnold v Britton* [2015] UKSC 36, [19].
[36] *Wood v Capita Insurance Services Ltd* [2017] UKSC 24, [11].

(iv) The order in which the unitary exercise takes place does not matter, so that once a court 'has read the language in dispute and the relevant parts of the contract that provide its context, it does not matter whether the more detailed analysis commences with the factual background and the implications of rival constructions or a close examination of the relevant language in the contract, so long as the court balances the indications given by each'[37];

(v) A court in 'striking a balance between the indications given by the language and the implications of the competing constructions'[38] needs to consider the quality of the drafting of the clause in question, that one party 'may have agreed to something which with hindsight did not serve his interest'[39], that clause is a negotiated compromise, or the parties may have not been able to agree more precise terms.

(10) ***Whether a court should focus on the words used or on the context.*** Focussing on either the language of the contract or the context as being the key to contractual interpretation is not the right approach and it is necessary to consider the following[40]:

(i) they are both tools to help the court 'ascertain the objective meaning of the language which the parties have chosen to express their agreement'[41];

(ii) the extent of use of each tool will depend on the circumstances of a particular agreement;

(iii) it may be possible to rely principally on textual analysis because, for example, skilled professionals have negotiated and prepared the contract; or

(iv) it may be necessary to place greater reliance on the factual matrix or similar, for example, where a professionally prepared contract lacks clarity because 'negotiators of complex formal contracts may often not achieve a logical and coherent text because of, for example, the conflicting aims of the parties, failures of communication, differing drafting practices, or deadlines which require the parties to compromise in order to reach agreement'[42];

(11) ***Clear wording to be applied.*** 'Where the parties have used unambiguous language, the court must apply it'[43].

Comment: This will mean that:

[37] Ibid [12].
[38] Ibid [11].
[39] Ibid, [11].
[40] Ibid [13].
[41] Ibid [10].
[42] Ibid [13].
[43] *Rainy Sky SA v Kookmin Bank* [2011] UKSC 50, [23].

(i) if there is an improbable commercial outcome resulting from the meaning of the words but 'where the result, though improbable, flowed from the unambiguous language of the clause', then the court would give the clause that meaning[44];

(ii) the courts will not rewrite the parties' wording to make the contract conform to business common sense, ie the court will not change the parties' bargain for them.

(12) ***A bad deal.*** Although commercial common sense is important when interpreting a contract, a court should not reject the natural meaning of a contractual provision 'simply because it appears to be a very imprudent term for one of the parties to have agreed, even ignoring the benefit of wisdom of hindsight'[45]. The purpose of a court interpreting a contract is 'to identify what the parties have agreed, not what the court thinks that they should have agreed'[46].

(13) ***Ignoring the subjective evidence of the parties and not taking account of prior negotiations.***

6.4.1.1 What are the implications for the contract drafter?

The message from the principles on how contracts should be developed set out above is that the contract drafter has to:

- clearly understand what the commercial purpose of a contract is and what each provision is intended to convey;
- draft each clause in the clearest way possible (Chapter 3 provides suggestions);
- test each clause for different meanings or unintended meanings, and redraft it until the clause only produces a result that a party does want;
- make sure that each clause fits within the context of the rest of the agreement;
- make sure the contract is consistent throughout; and
- obtain agreement from all the parties, if there are any facts etc which bear on the meaning of a contractual provision, but which are not included in the contract itself, so that they can be part of the admissible background.

[44] Ibid.

[45] *Arnold v Britton* [2015] UKSC 36, [20].

[46] Ibid, and the court went on to state: 'Experience shows that it is by no means unknown for people to enter into arrangements which are ill-advised, even ignoring the benefit of wisdom of hindsight, and it is not the function of a court when interpreting an agreement to relieve a party from the consequences of his imprudence or poor advice. Accordingly, when interpreting a contract a judge should avoid re-writing it in an attempt to assist an unwise party or to penalise an astute party'.

6.4.2 Intentions of the parties

When interpreting contractual obligations, the courts try to ascertain the parties' intentions as expressed in the words they have used. In other words, they look objectively at the words used in the contract, and do not generally consider what one or other party privately intended or said when it agreed to those words[47]. This is the general principle, although there are exceptions, as will be discussed later. This may mean that the courts consider what reasonable people would have understood the terms to mean. If the words used are clear, they may be applied even if this contradicts the commercial purpose of the contract or one or both parties have simply made a bad deal[48].

Consequently[49]:

(1) there is in general no law against people making unreasonable contracts if they wish;

(2) whether they have done so is to be decided by ascertaining their intention (which of course has to be found in the language they used, read in the light of the surrounding circumstances); and

(3) it is a matter of degree in two respects. The more unreasonable the result, the clearer the language needed. Therefore, it would seem that if one intends to achieve a particularly illogical result, one must draft the wording of the contract so clearly that one is left in no doubt that the result was indeed intended.

6.4.2.1 Drafting and negotiating issues

The objective, rather than subjective, approach which the courts take has a number of implications for the drafter and negotiator, for example:

- ***Consider how the court might interpret the parties' intentions from the words used***. It is necessary to think beyond what you intend by particular words, or what your client or commercial colleagues intend, or even what both parties to the contract intend, and consider what the court would regard as the likely intention of the parties using those words. If the words can be interpreted in several ways, consider which way the court is likely to interpret

[47] Consider *Reardon-Smith Line v Hansen-Tangen* [1976] 1 WLR 989: 'When one speaks of the intention of the parties to the contract one speaks objectively—the parties cannot themselves give direct evidence of what their intention was—and what must be ascertained is what is to be taken as the intention which reasonable people would have had if placed in the situation of the parties.' See also the first principle in *Investors' Compensation Scheme Ltd v West Bromwich Building Society* [1998] 1 All ER 98 at **6.6**.

[48] See **6.4.1** and the heading 'A bad deal'.

[49] *Charter Reinsurance Co Ltd (in liq) v Fagan* [1996] 1 All ER 406, CA.

them. 'Clever' interpretations of the contract may be unlikely to succeed; if an unusual meaning is intended, it is better to spell it out in clear terms in the contract, so that the court will not misinterpret it. Even if both parties are in agreement as to their intentions, if these intentions are not clear from the wording of the contract, the court may reach a different conclusion (basing their view on what the notional 'reasonable person' would understand the intention to be);

- ***Make it intelligible to the non-businessperson***. Increasingly, the courts are prepared to consider the underlying commercial purpose of contractual obligations. However, this should not be assumed. Make the contract intelligible to the outsider, not just to people who are familiar with industry practice.

6.4.3 Relevance of past court decisions

The English courts have considered some types of contract on many occasions so that a body of case law has built up as to how contracts of the same type are to be interpreted. This is particularly true in the case of contracts concerned with real property (such as leases) or construction, shipping and finance. In other areas there is relatively little case law, for example, in relation to some types of intellectual property agreement (such as the licensing of patents). Where a large body of case law has built up, the courts may be inclined to follow the general approach taken in past decisions, unless they are persuaded that the parties to the contract before them intended something different. The implications for the drafter are as follows.

6.4.3.1 Drafting and negotiating issues

- Ideally, the contract drafter will be aware of how the courts have interpreted similar contracts in reported cases. Alternatively, take specialist advice. The general ways in which the courts interpret contracts are discussed in this book, but there may be specific interpretations for particular types of contract (eg rent review clauses in leases[50]) which are beyond the scope of this book. If particular words have acquired a particular meaning, and this is not the meaning you intend, use different words or specifically state the meaning intended.
- If in doubt, state obligations specifically.

[50] See further, 22(3)A *Forms and Precedents* (5th edn, LNUK).

6.5 Which terms comprise the contract

6.5.1 The terms set out in the contractual documents

Before considering how the courts will interpret particular provisions of a contract, it is first necessary to be clear as to which of them the courts will consider. Where the parties have signed a written agreement, the terms set out in that agreement may be the only, or the main, terms that the court will consider[51]. Almost certainly, those written terms will be binding on the parties who sign the agreement, even if they have not read the agreement[52].

6.5.1.1 Provisions incorporated by reference (such as schedules)

Similarly, documents incorporated into the main agreement by reference will be binding on the parties. For example, the contract might include wording such as the following to ensure that the provisions of schedules form part of the agreement:

The provisions of Schedules 1, 2 and 5 to this Agreement shall form part of this Agreement as if set out here.

If a document is attached to the main agreement (eg as a schedule to it) but it is not made clear in the agreement whether provisions of the attachment form part of the contract, the legal position will be unclear. For example, parties sometimes put details of work to be done under a contract in a schedule, and include in the agreement an obligation on one of the parties to 'perform the work set out in the schedule'. In the course of negotiations the parties include in that schedule other provisions and obligations, not concerned with the work to be done. Are those other obligations part of the contract between the parties[53]? In most cases they probably are, but the matter can be put beyond doubt with a provision in the agreement stating that provisions in the schedule form part of the agreement.

[51] Whether the court will consider other terms which are not set out in the written agreement, is considered in later sections of this chapter.

[52] *L'Estrange v Graucob* [1934] 2 KB 395, 403: 'When a document containing contractual terms is signed, then, in the absence of fraud, or, I will add, misrepresentation, the party signing it is bound, and it is wholly immaterial whether he has read the document or not'. See also more modern cases which have indicated that parties are bound by the agreement they have signed: *Peekay Intermark Ltd and another v Australia and New Zealand Banking Group Ltd* [2006] EWCA Civ 386, [43]: 'It is an important principle of English law which underpins the whole of commercial life; any erosion of it would have serious repercussions far beyond the business community' (although the court considered that might be an exception to the decision in *L'Estrange v Graucob* if a term is unusual or onerous); *Cargill International Trading Pte Ltd v Uttam Galva Steels Ltd* [2019] EWHC 476 (Comm), [80].

[53] In *Youell v Bland Welch & Co Ltd* [1990] 2 Lloyd's Rep 423, underwriters subscribed to a contract of reinsurance. In accordance with usual practice, the reinsurance was initially agreed in the form of a slip. A policy was subsequently issued. It was held by the Court of Appeal that the slip was inadmissible in construing the policy.

6.5.1.2 Agreement which is supplementary to an earlier agreement

Where an agreement is stated to be supplemental to an earlier agreement, the two documents are read as a whole, so that terms of the earlier agreement can be considered in interpreting terms of the later agreement[54]. To avoid any uncertainty, it is possible to state this in the agreement. For example, in an agreement which amends an earlier agreement, words such as the following are sometimes used:

Except as expressly varied by the terms of this Agreement, the provisions of the agreement between the Parties dated 9th February 1960 ('Prior Agreement') shall remain in full force and effect in accordance with its terms. This Agreement shall be read in conjunction with, and as an amendment to, the Prior Agreement. Words defined in the Prior Agreement shall have the same meaning in this Agreement, unless the context requires otherwise.

6.5.1.3 Where several agreements relate to the same transaction

Where several documents are executed as part of the same transaction, when interpreting one of those documents, it may be permissible to consider provisions of the other documents to assist the interpretation[55]. A court will try to interpret the several document consistently with each other[56], however:

> '[w]hile the provisions of the other contracts are important and must be considered together with the commercial context, the starting point of the analysis must be the provisions of the Binder.'[57]

The relationship between those several documents could be stated specifically in the agreements:

Example

The contractual documents for the sale of a business often include a main agreement and several ancillary documents, such as intellectual property assignments, novations

[54] See, eg *Scottish Widows Fund and Life Assurance Society v BGC International* [2012] EWCA Civ 607. There is also statutory provision on this point: Law of Property Act 1925, s 58: 'Any instrument … expressed to be supplemental to a previous instrument, shall as far as may be, be read and have effect as if the supplemental instrument contained a full recital of the previous instrument'. In *Historic Houses Ltd v Cadogan Estates* [1993] 2 EGLR 151 the previous instrument was treated as a recital and not an operative provision in the supplemental instrument. Although the previous instrument can be used in interpreting the supplemental instrument, however as it is a recital then any of its provisions may not binding. It is important that the supplemental instrument clearly indicates the status of the previous instrument, as the example wording here indicates.

[55] See eg *Smith v Chadwick* (1882) 20 Ch D 27, [62]. For more recent examples, see *Peacock v Custins* [2001] 2 All ER 827 and *Holding & Barnes plc v House Hamond Ltd (No 1)* [2002] L&TR 7, CA.

[56] *BAI (Run Off) Limited (In Scheme of Arrangement) and others v Durham and others* [2012] UKSC 14, [69].

[57] *Temple Legal Protection Ltd v QBE Insurance (Europe) Ltd* [2008] EWHC 843 (Comm), [57].

of contracts with third parties, conveyances and leases of land and buildings. The main agreement might include:

- an obligation on the parties to execute the ancillary documents;
- defined words which are then used in the ancillary documents.

In such a case these ancillary documents might include wording such as the following, perhaps in a recital.

This Assignment is made pursuant to an Agreement between the Parties dated 1 September 2016.

or

In this Assignment the following words and phrases shall have the meanings as set out in the Agreement between the Parties dated 1 September 2016.

or

In this Assignment the provisions shall be interpreted so that they are consistent with, and subject to, the provisions of the Agreement between the Parties dated 1 September 2016.

6.5.1.4 Drafting and negotiating issues

- State the relationship of one agreement to another. In appropriate cases, state clearly in the agreement:
  - o whether it is supplemental to, or to be read in conjunction with, another agreement;
  - o whether it has higher or lower priority than another agreement;
  - o the extent to which one agreement amends or varies another agreement;
  - o whether words and expressions used in one agreement have the same meaning in another agreement; and
  - o whether it comes into force or operation subject to certain obligations taking place under another agreement[58];
- Expressly incorporate ancillary documents into the contract, where appropriate. Ensure that all attachments, schedules and ancillary documents which are intended to have contractual effect are expressly incorporated into the main agreement, using wording such as that quoted above in relation to schedules.

[58] Where there is a sale of a business, the main sale and purchase agreement may require the purchaser to pay a sum by a certain date and the ancillary documents may include provisions that they will come into effect only when this payment is made. Such provisions could further state that if the purchase price is not paid by a certain date then the agreement will automatically terminate on that date.

6.5.2 Pre-contract negotiations, drafts of an agreement and deleted provisions

6.5.2.1 Pre-contract negotiations and draft versions of agreements normally ignored by a court

A court will not generally consider drafts of an agreement when interpreting the signed version of the agreement[59]. To understand why a party might wish to produce to the court evidence of what was discussed in negotiations, consider the following fictional example.

Example

A dispute is heard in the High Court, in which a breach of contract is alleged.

The contract concerns the supply of software which a private hospital is to use to calculate the standard daily charges for the use of beds. The purchaser is a national chain of private hospitals, the supplier a computer software company.

During the negotiation of the contract, the purchaser tries to include in the contract a warranty which the supplier will give that the software is fit for the purpose of calculating standard charges for use of hospital facilities. The supplier rejects this proposed term. It is not included in the signed contract.

The software proves to be defective, but this is only discovered after several months of charging patients (or their insurers) too little. As a result of the defects in the software, the hospital chain loses several million pounds in revenue. The purchaser sues the supplier for breach of contract, including breach of an implied term that the software would be fit for the purpose of calculating standard charges for use of hospital facilities. The supplier wishes to bring evidence of the fact that the hospital chain tried to negotiate such a term as an express term of the contract, but eventually agreed to sign a contract which did not include such a term. The supplier's argument is that such a term cannot be implied because it was specifically agreed in negotiations that such a term would not be included in the contract. The court decides that:

- it will not admit evidence of what was discussed in negotiations;
- the contract includes an implied term of fitness for purpose, and the supplier was in breach of that term[60].

[59] *Investors' Compensation Scheme v West Bromwich Building Society* [1998] 1 All ER 98 at 114; *Chartbrook Ltd v Persimmon Homes Ltd (Chartbrook Ltd)* [2009] UKHL 38. For example, in *Lola Cars International Ltd v Dunn* [2004] EWHC 2616 (Ch), [2004] All ER (D) 247 (Nov), the judge refused to consider various drafts of an agreement to help him interpret the meaning of the definition of a 'business': 'In my view this is not an appropriate approach to questions of construction. Just as the Court will not have regard to the subjective intentions of the parties or to evidence of the negotiations leading up to the making of a contract it should not, in my view, admit evidence of drafts which do not represent the final consensus between the parties: see *National Bank of Australasia v Falkingham & Sons* [1902] AC 585 at 591 (per Lord Lindley); […]. I have reached my conclusion on the meaning of the term "Business" without regard to this material'.

[60] If this sounds unlikely, consider *St Albans City and District Council v International Computers Ltd* [1996] 4 All ER 481, in which it was stated that there was an implied term in a contract for the supply of software that it was fit for its purpose.

The supplier (who was not properly advised when it negotiated the contract) is surprised by this decision. The supplier assumed, wrongly, that a court would take into account the parties' negotiations. Had the supplier known that the court would take this approach, the supplier would have included a term in the contract stating that it was not giving a warranty for fitness[61].

6.5.2.2 *Reasons why a court will not normally consider draft versions of an agreement (or any pre-contract negotiations)*

There are several reasons why the courts will not normally consider pre-contract negotiations or drafts of an agreement, including:

- pre-contract negotiations and drafts do not record an agreed position;
- pre-contract negotiations and drafts are not objective statements and will reflect the opinion or views of only one of the parties.

Accordingly, it is unhelpful to consider pre-contract negotiations and drafts when interpreting the final version of the agreement[62].

The principle that pre-contract negotiations are not admissible has been restated by the most senior UK court in strong terms as well as in other recent cases. That court held that to take account of pre-contract negotiations would be to step away from the purpose of the law of contract, which is:

> 'an institution designed to enforce promises with a high degree of predictability and that the more one allows conventional meanings or syntax to be displaced by inferences drawn from background, the less predictable the outcome is likely to be'[63].

[61] As to whether such a disclaimer would be upheld by a court, see the discussion of exemption clauses later in this chapter in **6.5.23**.

[62] See judgment of Lord Wilberforce in *Prenn v Simonds* [1971] 1 WLR 1381, 1384. See also *Itoh (C) & Co Ltd v Republica Federativa do Brasil, The Rio Assu (No 2)* [1999] 1 Lloyd's Rep 115 at 124, CA. But although the extent of this principle was not clear following the decision in *Investors' Compensation Scheme Ltd v West Bromwich Building Society* [1998] 1 All ER 98 and *Bank of Credit and Commerce International SA (in liq) v Ali* [2001] UKHL 8, [31] but its applicability is not in question, see *Chartbrook Ltd v Persimmon Homes Ltd* [2009] UKHL 38, [28]. The position does, however, appear different in civil law countries, see the *European Principles of Contract Law* (para 5.102(a)) where regard can be had to the parties' preliminary negotiations.

[63] *Chartbrook Ltd v Persimmon Homes Ltd* [2009] UKHL 38, [57]. This case reinforced the 'rule' that pre-contract negotiations were not admissible. Another strand from this judgment is the focus on objectivity, which is not likely to be available from statements, etc made during the course of negotiations (at [38]): 'But pre-contractual negotiations seem to be capable of raising practical questions different from those created by other forms of background. Whereas the surrounding circumstances are, by definition, objective facts, which will usually be uncontroversial, statements in the course of pre-contractual negotiations will be drenched in subjectivity and may, if oral, be very much in dispute. It is often not easy to distinguish between those statements which (if they were made at all) merely reflect the aspirations of one or other of the parties and those which embody at least a provisional consensus which may throw light on the meaning of the contract which was eventually concluded. But the imprecision of the line between negotiation and provisional agreement is the very reason why in every case of dispute over interpretation, one or other of the parties is likely to require a court or arbitrator to take the course of negotiations into account'.

While a court will not normally consider drafts of an agreement or communications between the parties (as they usually reflect the subjective intentions of the parties), it can look at the objective factual background known to both the parties at or before the date of the contract[64]. Given the restatement of the principle that pre-contract negotiations are not admissible, there still exist a number of limited 'exceptions':

- to demonstrate that the parties were aware of a fact which is relevant as background;
- to help a party who wishes to bring a claim for rectification of a contract;
- estoppel[65].

Despite the clear view of the most senior court that pre-contract negotiations are not of use in looking at the meaning of a contract, the position is slightly different where concluded agreements are concerned. Also, it is possible to look to another, prior, contract in interpreting another contract. However, the help from so doing might be limited, because it is not possible to establish clear principles as to what will happen when the two contracts are examined by the court, such as in the following situations[66]:

- if the later contract is intended to supersede a prior contract, the earlier contract may serve no use in interpreting the later contract, because:
    - the parties are likely to have intended to alter the terms of the earlier contract; or
    - if the two contracts are identical, then the interpretation of the newer one can stand on its own feet;
- if the two contracts differ, the decision to enter into the later contract is likely to be intentional—the intention being to depart from the wording in the earlier contract;

[64] See the second principle outlined by Lord Hoffmann in *Investors' Compensation Scheme Ltd v West Bromwich Building Society* [1998] 1 All ER 98 (see **6.4.1** above). See also, for example, *Globe Motors Inc v TRW Lucas Varity Electric Steering Ltd* [2016] EWCA Civ 396, [61]: 'It is now clearly established by authority that the general rule is that the pre-contractual negotiations of the parties cannot be taken into account in interpreting its terms and determining what they mean. The exceptions are where a party seeks to establish that a fact which may be relevant as background was known to the parties or to support a claim for rectification or estoppel …'. Also *Q- Park Ltd. & Ors v HX Investments Ltd* [2012] EWCA Civ 708, [25].

[65] *Chartbrook Ltd v Persimmon Homes Ltd* [2009] UKHL 38, [42]. Strictly these are not exceptions but operate outside the principle of the non-admissibility of pre-contract negotiations. A claim for rectification in essence means that one or more provisions in a contract (or other document) needs to be corrected (as the contract does not record the parties' intentions). Estoppel has a number of meanings, but can include for example, where the parties have negotiated a contract on the basis of an assumption, but if later on one of the parties wishes to assert that the assumption meant something different they will be prevented (estopped) from doing so.

[66] See *HIH Casualty and General Insurance Ltd v New Hampshire Insurance Co* [2001] All ER (D) 258 (May). Followed in *Standard Life Assurance Ltd v Oak Dedicated Ltd* [2008] EWHC 222 (Comm).

- if it is not the intention that the later contract will supersede the earlier, then a court can look at the earlier contract in order to determine the relationship between them. In such a case:
    - the court can determine that the later does supersede the earlier one (and the above bullet points apply); or
    - the two contracts are to co-exist to the extent possible but if this not possible then the later supersedes the earlier; or
    - the later contract is intended to incorporate the earlier, and the provisions of the later contract will take precedence over the earlier contract in case of a conflict.

The following are specific situations when courts have been prepared to look at other agreements[67]:

- where a contract forms part of a series of documents all in relation to one transaction[68], whether they are executed before, at the same time or subsequently to the contract which is being considered by a court[69];
- where a contract forms part of a series of linked transactions[70];
- where a contract is preceded by antecedent agreements[71].

Where words are deleted from a contract, it seems that the courts may take account of them in interpreting the contract, but there are conflicting judgments. In one recent case, it was held that where a printed form is used then the deleted words may be used to deal with ambiguity in non-deleted words and also to demonstrate 'if the fact of deletion shows what it is the parties agreed that they did not agree and there is ambiguity in the words that remain'[72]. However, case law indicates that there is considerable doubt as to the worth of such an exercise.

[67] See also the various situations set out under **6.5.1** above.

[68] See eg *Smith v Chadwick* (1882) 20 Ch D 27; *Encia Remediations Ltd v Canopius Managing Agents Ltd* [2007] SGCA 36.

[69] *Cherry Tree Investments Ltd v Landmain Ltd* [2012] EWCA Civ 736.

[70] See *Temple Legal Protection Ltd v QBE Insurance (Europe) Ltd* [2008] EWHC 843 (Comm). In this case, where there was a series of linked contracts, the provisions of the other contract had to 'be considered together with the commercial context', and an attempt was made to read them consistently with each other; however the starting point was to consider the provisions of the contract at the centre of the dispute.

[71] See eg *Ladbroke Group plc v Bristol City Council* [1988] 1 EGLR 126; *KPMG LLP v Network Rail Infrastructure Ltd* [2007] EWCA Civ 363, [2007] All ER (D) 245 (Apr). For example, an agreement may include a draft lease attached to it, but the executed lease may contain an error etc. In such a case it would be permissible to look at the draft lease to discover the intentions of the party.

[72] See *Mopani Copper Mines plc v Millennium Underwriting Ltd* [2008] EWHC 1331 (Comm), [120]. and approved in *Narandas-Girdhar and Anr v Bradstock* [2016] EWCA Civ 88, [19]. At [20] the Court of Appeal stated: '…the relevant principle is that if the fact of deletion shows what it is the parties agreed that they did not agree and there is ambiguity in the words that remain, then the deleted provision may be an aid to construction, albeit one that must be used with care'.

6.5.3 Amendments to standard form agreements in common use

Where there is a standard form (or pre-printed) agreement which also includes special terms, then the special terms will carry greater weight[73]. This is different from, but related to, the situations where certain provisions are deleted, or special and standard conditions are inconsistent. In this latter circumstance a court may be prepared to consider the deletions from commonly-used printed forms of contracts which are made prior to signing the agreement, and would be an exception to the general principle just stated[74]. Also different is where the parties choose a number of terms which are to apply to their contract which are selected from standard terms or a form, then the proposition in the first sentence of this paragraph will not apply[75].

For example, the parties might cross through a provision of a printed form of contract and initial the deletion. The deleted words are still visible when the contract comes before the court. This seems to be a very specific exception to the general rule that drafts of agreements are not considered, and it has not been universally applied. A possible reason for the exception is that when a standard contract is in general use, and has perhaps been considered by the courts on many occasions, it is unrealistic to expect the courts to ignore the fact of the deletion.

6.5.4 Post-execution deletions or amendments

If words are deleted from a contract after its execution a court may be prepared to look at the deleted words, as an aid to interpreting the contract.

The exact scope of the ability to look at the deleted words is not clear but appears to cover the following two situations:

> '(a) deleted words in a printed form may resolve the ambiguity of a neighbouring paragraph that remains; and (b) the deletion of words in a contractual document may be taken into account, for what (if anything) it is worth, if the fact of deletion shows what it is the parties agreed that they did not agree and there is ambiguity in the words that remain. This is classically the case in relation to printed forms […], or clauses derived from printed forms […], but can also apply where no printed form is involved […]'[76].

[73] *Homburg Houtimport BV v Agrosin Private Ltd* [2003] UKHL 12, [11]: '…it is common sense that greater weight should attach to terms which the particular contracting parties have chosen to include in the contract than to pre-printed terms probably devised to cover very many situations to which the particular contracting parties have never addressed their minds'. See also *Milton Furniture Ltd v Brit Insurance Ltd* [2015] EWCA Civ 671, [24].

[74] See *Bravo Maritime (Chartering) Est v Baroom, The Athinoula* [1980] 2 Lloyd's Rep 481.

[75] *Milton Furniture Ltd v Brit Insurance Ltd* [2015] EWCA Civ 671, [24].

[76] *Mopani Copper Mines plc v Millennium Underwriting Ltd* [2008] EWHC 1331 (Comm), [120]. Followed in *Narandas-Girdhar and Anr v Bradstock* [2016] EWCA Civ 88, [19]; *Ted Baker Plc and No Ordinary Designer Label Limited v Axa Insurance Uk Plc, Fusion Insurance Services Limited and Tokio Marine Europe Insurance Limited* [2012] EWHC 1406 (Comm), [84].

But a court's ability to do so is not unrestricted and may be limited to cases of where there is ambiguity in the remaining words:

> '… the relevant principle is that if the fact of deletion shows what it is the parties agreed that they did not agree and there is ambiguity in the words that remain, then the deleted provision may be an aid to construction, albeit one that must be used with care'[77].

If the parties have expressly agreed to vary an agreement the court will be able look at the contract wording both as varied and prior to the variation:

> '… if the parties to a concluded agreement subsequently agree in express terms that some words in it are to be replaced by others, one can have regard to all aspects of the subsequent agreement in construing the contract, including the deletions, even in a case which is not, or not wholly, concerned with a printed form'[78].

In the software supply example referred to above (see **6.5.2.1**), if the parties had signed a contract including an express warranty of fitness for purpose, and had subsequently agreed to delete that provision, it is possible that the court might be prepared to interpret this deletion as meaning that the parties agreed that there would be no warranty of fitness for purpose, express or implied.

6.5.4.1 Drafting and negotiating issues

- ***Consider words used in final agreement, not words used in negotiations***. Although sometimes easier said than done, the contract drafter should ensure that the words used in the final agreement state the party's intentions. Do not rely on 'understandings' between the negotiators, developed during the negotiations, as to what the words mean, as evidenced by deletions from drafts. Do not assume that because a party has agreed not to include a provision in a contract, that the same provision will not be implied into the contract by the court. If in doubt, include a specific disclaimer in the contract. Consider all provisions without reference to the negotiations which led to the final provisions being agreed.
- ***Consider the words or phrases used which have a particular meaning***. Negotiations between parties (and the agreements prepared based on the negotiations) are often replete with particular phrases or business or other jargon. Although the parties may each assume they understand the meaning of the phrase, their understanding may be different. Consider whether it is possible to derive any meaning adequately for any documentation exchanged between the parties and whether there is a common meaning. If not, then there should be a definition for the phrases in the final agreement.

[77] *Narandas-Girdhar and Anr v Bradstock* [2016] EWCA Civ 88, [20].
[78] See *Punjab National Bank v de Boinville* [1992] 1 WLR 1138.

- ***Standard form contracts in common use***. When using standard contracts which are in common use, be aware that different rules may operate. Consider the effect of a deletion upon other provisions of the contract. Consider whether the court is likely to be influenced by the fact that the term was deleted, and whether additional wording is needed to clarify the parties' intentions.

6.5.5 *The parol evidence rule, collateral contracts and misrepresentations*

Where a contract is made entirely in writing, the court will not normally consider evidence of oral or other written terms which vary the written terms. The courts assume that where parties enter into a written agreement, that agreement sets out all the terms of the agreement. This is known as the *parol evidence* rule[79] and has the aim of promoting certainty as to the terms of the contract[80]. A party may be able to prove that the parties did, in fact, intend to enter into an oral agreement in addition to the terms set out in the written agreement but he is likely to have an 'uphill struggle' in view of the parol evidence rule. There are numerous exceptions to the parol evidence rule, with perhaps the most relevant being where:

- there is evidence that the written agreement does not contain all the terms of the contract[81];
- the parties are referring to documents in a contract, but it is not clear from the documents themselves which ones they are, then it is possible to obtain extrinsic evidence to identify them[82]; or
- there is a collateral contract.

It is possible to negate these exceptions by the parties including an entire agreement clause.

The courts sometimes avoid the *parol evidence* rule by making use of other legal principles, for example:

[79] *Jacobs v Batavia and General Plantations Ltd* [1924] 1 Ch 287.

[80] *Shogun Finance Ltd v Hudson* [2004] 1 AC 919; *BMIC Ltd v Sivasankaran* [2014] EWHC 1880 (Comm), [45]: 'The purpose of a written and formally executed agreement is to avoid the disputes which commonly arise when the parties' bargain is not completely recorded in writing. In a case like this, in which the parties contemplate that their agreement will be reduced to lengthy written agreements, drafted and advised on by lawyers, and formally executed, there is a strong presumption (quite apart from any entire agreement clause) that the parties do not intend to be bound by anything not recorded in their written agreement'.

[81] *HSBC Bank Plc v 5th Avenue Partners Ltd & Ors* [2007] EWHC 2819 (Comm), [119].

[82] *Harlow v Artemis International Corporation Ltd* [2008] EWHC 1126 (QB), [17], but the use of such evidence is not 'for the purpose of interpretation of the written agreement; it is merely identifying what the written agreement is'.

- that there is, in addition to one contract, also a collateral contract which 'is capable of operating as an independent agreement, and is supported by its own consideration' (even if the first contract contains an entire agreement clause) [83]; or
- that one party is guilty of fraud or misrepresentation[84]; or
- the contract needs rectification (because of a mistake in the wording)[85].

In practice, detailed written agreements often include wording which seeks to address most, if not all, of these principles of interpretation, through the means of an 'entire agreement' clause. It is possible to break down the content of the wording into several elements, namely:

- the written agreement is the complete agreement (implicitly, there are no collateral contracts); and
- all previous agreements are cancelled; and
- the parties are not relying on any prior representations; and
- the written agreement cannot be varied orally (ie supporting the parol evidence rule).

Example clauses to reflect the above elements:

This Agreement, including its Schedules, sets out the entire agreement between the Parties [relating to its subject matter].

It supersedes all prior oral or written agreements, arrangements or understandings between them [relating to such subject matter]. The Parties acknowledge that they are not relying on any representation, agreement, term or condition which is not set out in this Agreement. However, nothing in this Agreement purports to exclude liability for any fraudulent statement or act[86].

To be legally binding, any amendment to this Agreement must be in writing signed by authorised representatives of the Parties.

Such wording is usually included in most types of agreements (often included as part of a default set of boilerplate provisions). However, the contract drafter will generally wish to discuss with colleagues or clients whether such a clause is in their commercial interests. For example, if during the negotiation of the

[83] *Rock Advertising Ltd v MWB Business Exchange Centres Ltd* [2018] UKSC 24, [14], with the judge going on to state: 'But if the clause is relied upon as modifying what would otherwise be the effect of the agreement which contains it, the courts will apply it according to its terms and decline to give effect to the collateral agreement'.

[84] A detailed discussion of the law on misrepresentation, fraud and collateral contracts is beyond the scope of this book. For further information consult the standard texts, eg *Chitty on Contracts* (33rd edn, 2018, Sweet and Maxwell), Chapters 6 and 13.

[85] See the comments in **6.3** about a court selecting the legal principle it wishes to apply. In this area of the law the courts have a number of principles of interpretation to choose from, and the outcome of a case may depend on which principle is used.

[86] Often called an 'entire agreement clause'. For recent case law see **6.5.23.9**.

contract the supplier's salesperson made over-optimistic promises about the quality of the goods being supplied, the supplier will not want such promises to be part of the contract, whilst the purchaser will. But if the promises are not specifically included in the written agreement, they may not be legally binding anyway[87]. In many cases the only certain way of ensuring that these type of promises or undertakings form part of the contract is to set them out in the written agreement.

6.5.5.1 Drafting and negotiating issues

- ***Reproduce prior representations, etc in the contract***. Check whether there are any other terms, statements, representations, or understandings which are incorporated into a contractual document. If so, consider whether these need inclusion in the written contract.
- ***Put all terms and amendments in writing***. Where the contract is made in writing (which should always be the case), make sure that the contract terms, including any variation of those terms, are recorded in the contract document or in a written amendment to it (which is agreed by all the parties). Do not assume that anything else (whether it is a written or oral statement, representation, understanding, etc) will be binding on the parties or that a court will consider it.
- ***Evaluate other agreements related to the subject matter of the contract***. If there are other agreements or other documents which relate to the subject matter of the contract, evaluate their effect on the contract. Are the other agreements or documents to continue (co-exist) or supersede the contract? If the other agreements or documents are to supersede, or be superseded by, or to have no effect on the contract, then do not rely on an 'entire agreement' clause, but introduce clear wording which explicitly states the relationship between the other agreements or documents and the contract[88].
- ***Consider including an 'entire agreement' clause, clarifying which terms have legal effect***. For example, consider including some or all of the wording quoted above is an attempt: (1) to exclude collateral contracts; (2) to exclude prior representations; and (3) to reinforce the parol evidence rule. Bear in mind that in 'deserving cases' the court may decide to ignore such wording (although this is likely to occur in only fairly extreme cases, such as the contract is drafted so badly, or has so many inconsistencies, that a judge cannot reconcile the provisions of the contract to make a consistent and understandable document).

[87] Putting aside whether there is a clause in a contract such as one illustrated here, the law distinguishes between statements which are merely enthusiastic sales talk and those which induce a person to enter into a contract. Those latter statements are called representations and where they include inaccurate or false information, they are called misrepresentations.

[88] Such as providing details of the other agreements (name of the agreement, date entered into) and also which clauses are to continue in effect, which clauses are to be disapplied compared to the contract under consideration, etc.

6.5.6 The meaning of words used in contract terms

After establishing which terms comprise the contract, the next stage is to establish the meaning a court will give (or would give) to the words used in that contract.

The courts have used different methods over the years to interpret the words used in contracts and other instruments, including the so-called golden rule of interpretation, a literal interpretation of the words used, and purposive construction[89].

6.5.6.1 The golden rule of interpretation

The current approach focuses:

- on the words that the parties have chosen to use in their contract[90]; and
- on giving the words used their ordinary or natural meaning (or another way of saying the same thing, the words need to be interpreted 'in accordance with conventional usage'[91]); but
- on not divorcing the words from their context:

> 'the court reads the terms of the contract as a whole, giving the words used their natural and ordinary meaning in the context of the agreement, the parties' relationship and all the relevant facts surrounding the transaction so far as known to the parties'[92].

Anyone reading recent case law in order to help them understand how the courts interpret contracts would rarely come across the words 'golden rule', but the emphasis on words having their natural and ordinary meaning is long-established, and the modern approach is no more than a development from the case where the words 'golden rule' derives:

> 'In construing all written instruments, the grammatical and ordinary sense of the words is to be adhered to, unless that would lead to some absurdity, or some repugnance or inconsistency with the rest of the instrument, in which case the

[89] Literal interpretation means strictly applying the words used in the contract, however absurd the outcome; the golden rule of interpretation takes a fairly strict approach, as discussed in this section, whilst the purposive approach to interpretation allows the court to consider the underlying intentions of the parties and ignore the strict language used.

[90] *L Batley Pet Products Ltd v North Lanarkshire Council* [2014] UKSC 27.

[91] *Bank of Credit and Commerce International SA (in liq) v Ali* [2002] UKHL 8. This approach is followed in many other cases, such as *Joint Administrators of Lehman Brothers International (Europe) v Lehman Brothers Finance SA; In the matter of Lehman Brothers International (Europe) (in admin)* [2013] EWCA Civ 188, [71]; *West & Anor v Ian Finlay & Associates (a firm)* [2014] EWCA Civ 316, [30]; *Osmium Shipping Corp v Cargill International SA* [2012] EWHC 571 (Comm), [16].

[92] *Bank of Credit and Commerce International SA (in liq) v Ali* [2002] UKHL 8. See also the fourth principle from *Investors' Compensation Scheme v West Bromwich Building Society* [1998] 1 All ER 98 (see **6.6** above). The formulation is often repeated, in slightly different ways, in many cases, but ultimately to the same effect, such as in *Lambeth LBC v Secretary of State for Communities and Local Government* [2019] UKSC 33, [19]: 'In summary, whatever the legal character of the document in question, the starting-point—and usually the end-point—is to find "the natural and ordinary meaning" of the words there used, viewed in their particular context (statutory or otherwise) and in the light of common sense'.

> grammatical and ordinary sense of the words may be modified, so as to avoid that absurdity and inconsistency, but no further.'[93]

Although this formulation is perhaps no longer four-square with the modern approach in interpreting the words the parties have used. Although now a provision will be interpreted in its context (against the other provisions in the contract and the available admissible background) to derive its correct meaning which might provide some sense other than its grammatical and ordinary sense, which can be well short of the provision being absurd, repugnant or inconsistent.

Whatever the formulation, only limited deviation will be made from the strict meaning of the words actually used in the contract, but not much. If the wrong words are used in the contract (perhaps because the parties have chosen the wrong word, believed a word had a different meaning, or have been deficient in their drafting) and consequently have a different meaning to the intended meaning, the golden rule (whether in its original formulation or based on more current approaches) will not normally allow the court to substitute the intended meaning, on the assumption that the parties do not make mistakes in the language they use in the written documents[94]. The extent of this approach can be seen in situations such as where:

- a court will not normally depart from the ordinary or natural meaning of the words used in a contract where there are drafting infelicities[95]; or
- a clause which has little effect if given its natural meaning but will not normally be sufficient to give the words an unnatural meaning[96].

The parties to the contract may be bound by what they agreed if the words they have used are clear and unambiguous, not what they intended to agree.

[93] *Caledonian Railway Co v North British Railway Co* (1881) 6 App. Cas. 114 at 131.

[94] The fifth principle from *Investors' Compensation Scheme v West Bromwich Building Society* [1998] 1 All ER 98 (see **6.6**).

[95] *Arnold v Britton and others* [2015] UKSC 36, [18]: '… I accept that the less clear they are, or, to put it another way, the worse their drafting, the more ready the court can properly be to depart from their natural meaning. That is simply the obverse of the sensible proposition that the clearer the natural meaning the more difficult it is to justify departing from it. However, that does not justify the court embarking on an exercise of searching for, let alone constructing, drafting infelicities in order to facilitate a departure from the natural meaning. If there is a specific error in the drafting, it may often have no relevance to the issue of interpretation which the court has to resolve.'; *Barnardo's v Buckinghamshire* [2016] EWCA Civ 1064, [34]: 'But as Lord Neuberger emphasised in *Arnold v Britto*n the starting point is the language of the instrument itself and, in particular, its ordinary and natural meaning. It is not legitimate to search for drafting infelicities in order to facilitate a departure from the natural meaning of the words …'.

[96] *LB Holdings Intermediate 2 Ltd, The Joint Administrators of v Lehman Brothers International (Europe), The Joint Administrators of & Ors* [2017] UKSC 38, [67]: 'However, the fact that an expression in a sentence, especially in a very full document, does not, on analysis, have much, if any, effect if it is given its natural meaning is not, at least on its own, a very attractive or a very convincing reason for giving it an unnatural meaning … And, if one has to choose between giving a phrase little meaning or an unnatural meaning, then, in the absence of a good reason to the contrary, the former option appears to me to be preferable.'

The 'golden rule' is generally applied by the courts, with some exceptions. One exception is if the words have another meaning, such as where the words used have a technical or scientific meaning or special meaning in an industry[97].

In particular, in recent years the courts have given increasing attention to the underlying commercial purpose of the contract, even if the words used in the contract do not reflect that commercial purpose, such as where the words carry more than one possible interpretation[98]. However, it cannot be assumed that this will be done in an individual case. In some cases, the court may apply the 'golden rule' very strictly:

> '… it has to be borne in mind that commercial contracts are drafted by parties with access to legal advice and in the context of established legal principles as reflected in the decisions of the courts. Principles of certainty and indeed justice, require that contracts be construed in accordance with the established principles. The parties are always able by the choice of appropriate language to draft their contract so as to produce a different legal effect. The choice is theirs'[99].

6.5.6.2 Drafting and negotiating issues

- ***Careful use of language***. Care should be taken to use words correctly and grammatically. If this is not done, and the intended meaning is different to that expressed in the words used, the courts are unlikely to interpret the words used in the way the contract drafter intended.

6.5.7 Ordinary, dictionary meaning of words

The court will generally interpret words according to their 'plain ordinary popular sense'[100] on the basis that the parties to a contract are unlikely to make linguistic mistakes, especially in a formal document[101].

[97] See **6.5.10**, **6.5.11**, **6.5.12** below. *Joint Administrators of Lehman Brothers International (Europe) v Lehman Brothers Finance SA; In the matter of Lehman Brothers International (Europe) (in admin)* [2013] EWCA Civ 188, [71]: 'In my judgment, it is well established that, until the contrary is shown, the court should proceed on the basis that ordinary English words are used in their ordinary meaning. I will call this the "ordinary meaning" principle. If the term is a technical one, then this precept does not of course apply'; *Amlin Corporate Member Ltd v Oriental Assurance Corpn* [2014] EWCA Civ 1135, [44]: 'In accordance with well-established principles of construction, the typhoon warranty should be construed having regard to the language actually chosen by the parties and giving those words their ordinary natural meaning, unless the background indicates that such meaning was not the intended meaning'.

[98] For example, *Rainy Sky SA v Kookmin Bank* [2011] UKSC 50.

[99] *EE Caledonia Ltd v Orbit Valve Co Europe* [1993] All ER 173. See also more recent decisions such as *Kazakhstan v The Bank of New York Mellon SA/NV, London Branch* [2018] EWCA Civ 1390, [37].

[100] *Robertson v French* (1803) 4 East 130.

[101] *Investors' Compensation Scheme Ltd v West Bromwich Building Society* [1998] 1 All ER 98; *Chartbrook Ltd v Persimmon Homes Ltd (Chartbrook Ltd)* [2009] UKHL 38. See also the cases mentioned in **6.1**.

That words should be interpreted in their ordinary and popular sense is a presumption[102] which a court can displace where it considers that a word is being used:

- as a legal term of art; or
- in accordance with a statutory definition; or
- in a scientific sense; or
- in accordance with some special meaning given to the word in the 'industry' in which the parties are engaged; or
- in accordance with a special meaning given by the parties (eg, but not only if they have included a definition of the word's meaning in the contract)[103].

Where the court applies the ordinary meaning of a word, it will sometimes refer to dictionaries to help it to ascertain that ordinary meaning[104].

Difficulties can arise if a word has several meanings. In general, the ordinary meaning is to be preferred over specialist meanings, unless it is established that the parties intended the specialist meaning[105]. If there are several ordinary meanings, the court will attempt to find the correct meaning from the context in which the word is used. If the contract has clearly been badly drafted, the

[102] *Reilly v National Insurance & Guarantee Corpn Ltd* [2008] EWCA Civ 1460.

[103] For example, *Sunport Shipping Ltd v Tryg-Baltica International (UK) Ltd* [2003] EWCA Civ 12, [29]: for a discussion of the meaning of a phrase 'customs … regulations', the phrase had to be construed in its context, having regard to its place in the contract and construed in the context of the surrounding circumstances, which in this case meant the Institute of War and Strike Clauses (Hulls-Time) of 1 October 1983 used worldwide in insurance of shipping. It was not appropriate to consider that the phrase held only a meaning limited to that found in the EU.

[104] *Mannai Investment Co Ltd v Eagle Star Life Assurance Co Ltd* [1997] AC 749. For example in *Durham Tees Valley Airport Ltd v BMI Baby Ltd* [2009] EWHC 852 (Ch), [79] [the word 'summer' needed interpretation as it was undefined in a contract and uses of the word were considered by reference to the meanings found in the *Shorter Oxford English Dictionary*. The provision is reproduced at **6.5.11**. Special meanings 'in the industry' below. See also in *Heronslea (Mill Hill) Ltd v Kwik-Fit Properties Ltd* [2009] EWHC 295 (QB), [19], where it was stated that a '… Court is entitled to have regard dictionary definitions as an aid to construction to ascertain the natural and ordinary meaning of the words in their relevant context. It is also clear that words are to be interpreted in the way in which a reasonable commercial person would construe them; and the standard of the reasonable commercial person is hostile to technical interpretations, undue emphasis on niceties of language or literalism …'. See also *ACON Equity Management, LLC v Apple Bidco Ltd* [2019] EWHC 2750 (Comm), [98]–[99]: as there is 'some significance to [dictionaries] when considering words used by professionals in a signed agreement in a situation where one is trying to ascertain [the meaning of a word]' as lawyers 'may be assumed to have a propensity to use words precisely'.

[105] *Lord Forres v Scottish Flat Co Ltd* [1943] 2 All ER 366.

court may be less inclined to adopt a strict dictionary definition than if the contract appears to have been written by a specialist drafter[106]:

> 'But the poorer the quality of the drafting, the less willing any court should be to be driven by semantic niceties to attribute to the parties an improbable and unbusinesslike intention, if the language used, whatever it may lack in precision, is reasonably capable of an interpretation which attributes to the parties an intention to make provision for contingencies inherent in the work contracted for on a sensible and businesslike basis.'

and more recently a more limited exception to depart from the ordinary meaning was put forward by a court:

> '… when it comes to considering the centrally relevant words to be interpreted, I accept that the less clear they are, or, to put it another way, the worse their drafting, the more ready the court can properly be to depart from their natural meaning. That is simply the obverse of the sensible proposition that the clearer the natural meaning the more difficult it is to justify departing from it. However, that does not justify the court embarking on an exercise of searching for, let alone constructing, drafting infelicities in order to facilitate a departure from the natural meaning. If there is a specific error in the drafting, it may often have no relevance to the issue of interpretation which the court has to resolve'[107].

6.5.8 Commercial contracts

This book is primarily concerned with commercial contracts. There are no special rules, as such, for the interpretation of commercial contracts compared to other types of documents. However, the approach of the courts in interpreting the words used in a commercial document may often give the words a commercially sensible construction, because:

> '… this approach is that a commercial construction is likely to give effect to the intention of the parties. Words ought therefore to be interpreted in the way in which a reasonable commercial person would construe them. And the reasonable commercial person can safely be assumed to be unimpressed with technical interpretations and undue emphasis on niceties of language'[108].

Although the courts may sometimes allow some latitude from the strict dictionary meaning, particularly if the dictionary meaning leads to an

[106] *Mitsui Construction Co Ltd v A-G of Hong Kong* (1986) 33 BLR 1, [14], PC. This case is not justification for using a poor-quality drafter over a skilled drafter. See also *Oxonica Energy Ltd v Neuftec Ltd* [2009] EWCA Civ 668, [2009] All ER (D) 13 (Sep) for a recent example which concerned a poorly-drafted patent and know-how licence agreement, where the extract from *Mitsui Construction* was followed, and Jacob LJ stated '… faced with such a [poorly drafted agreement] fine arguments based upon supposed consistency of language or even thought throughout the document, will carry less or no weight than with an obviously carefully and well-drafted document—one obviously drafted by someone who knew what he was about'.

[107] *Arnold v Britton and others* [2015] UKSC 36, [18].

[108] *Society of Lloyd's v Robinson* [1999] 1 All ER (Comm) 545. There are almost identical words in *Manni Investment Co Ltd v Eagle Star Life Assurance Co Ltd* [1997] AC 749.

uncommercial result, this will not allow the courts to rewrite the contract or ignore the meaning of the words used[109].

The 'latitude' in the meaning of the words is normally confined to making the clause or contract accord with 'business commercial sense':

> '… if detailed semantic and syntactical analysis of words in a commercial contract is going to lead to a conclusion that flouts business commonsense, it must yield to business commonsense'[110].

If the intention is for wording to lead to an unreasonable result, then the wording needs to be stated very clearly:

> 'The fact that a particular construction leads to a very unreasonable result must be a relevant consideration. The more unreasonable the result, the more unlikely it is that the parties can have intended it, and if they do intend it the more necessary it is that they shall make that intention abundantly clear'[111].

However, neither of the last two quoted comments should be understood as allowing the court to depart significantly from the words as used in the contract:

> '… while commercial common sense is a very important factor to take into account when interpreting a contract, a court should be very slow to reject the natural meaning of a provision as correct simply because it appears to be a very imprudent term for one of the parties to have agreed, even ignoring the benefit of wisdom of hindsight. The purpose of interpretation is to identify what the parties have agreed, not what the court thinks that they should have agreed. Experience shows that it is by no means unknown for people to enter into arrangements which are ill-advised, even ignoring the benefit of wisdom of hindsight, and it is not the function of a court when interpreting an agreement to relieve a party from the consequences of his imprudence or poor advice. Accordingly, when interpreting a contract a judge should avoid re-writing it in an attempt to assist an unwise party or to penalise an astute party'[112].

Where a clause may have more than one interpretation, then the court can choose which meets the commercial purpose of the agreement[113], or to put it another way:

[109] For example, see the words for Peter Gibson LJ in *Kazakstan Wool Processors (Europe) Ltd v Nederlandsche Credietverzekering Maatschappij NV* [2000] 1 All ER (Comm) 708, [49]: 'The court is entitled to look at [the] consequences [of taking an over literal approach to giving words their natural and ordinary meaning where the consequences can be seen to be so extravagant] because the more extreme they are, the less likely it is that commercial men will have intended an agreement with that result. But the court is not entitled to rewrite the bargain which they have made merely to accord with what the court thinks to be a more reasonable result, and the best guide to the parties' intentions remains the words which they have chosen to use in the contract.'

[110] *Antaios Cia Naviera SA v Salen Rederierna AB, The Antaios* [1985] AC 191 at 201, HL. See the fifth principle in *Investors' Compensation Scheme Ltd v West Bromwich Building Society* [1998] 1 All ER 98 (at **6.4.1**) above, where Lord Hoffmann cited this case.

[111] *Schuler (L) AG v Wickman Machine Tool Sales Ltd* [1974] AC 235.

[112] *Arnold v Britton and others* [2015] UKSC 36, [20].

[113] *Co-operative Wholesale Society Ltd v National Westminster Bank plc* [1995] 1 EGLR 97, followed in *Rainy Sky SA v Kookmin Bank* [2011] UKSC 50. [23].

> 'The language used by the parties will often have more than one potential meaning … that the exercise of construction is essentially one unitary exercise in which the court must consider the language used and ascertain what a reasonable person, that is a person who has all the background knowledge which would reasonably have been available to the parties in the situation in which they were at the time of the contract, would have understood the parties to have meant. In doing so, the court must have regard to all the relevant surrounding circumstances. If there are two possible constructions, the court is entitled to prefer the construction which is consistent with business common sense and to reject the other'[114].

Although the approach of the court may be to choose the interpretation 'which is most consistent with business common sense' this can mean that where there are two interpretations, neither of which flout business common sense, then the court can adopt the more commercial interpretation[115].

However, the courts will assume that the parties have used the words in a contract in an intended way and to achieve a sensible commercial purpose and will only introduce other wording in limited circumstances[116]:

> 'It is not for a party who relies upon the words actually used to establish that those words effect a sensible commercial purpose. It should be assumed, as a starting point, that the parties understood the purpose which was effected by the words they used; and that they used those words because, to them, that was a sensible commercial purpose. Before the court can introduce words which the parties have not used, it is necessary to be satisfied (i) that the words actually used produce a result which is so commercially nonsensical that the parties could not have intended it, and (ii) that they did intend some other commercial purpose which can be identified with confidence. If, and only if, those two conditions are satisfied, is it open to the court to introduce words which the parties have not used in order to construe the agreement. It is then permissible to do so because, if those conditions are satisfied, the additional words give to the agreement or clause the meaning which the parties must have intended.'

Although it may seem clear that the use of clear, unambiguous words must be applied even if there is an unreasonable, non-commercial result, it is not permissible for a court merely to focus on the particular words which would lead to that result. To do so would be incorrect, as it would fail to look at the wording in the context of the clause and contract and the relevant admissible background[117]. The context and the background may produce a different result.

[114] *Rainy Sky SA v Kookmin Bank* [2011] UKSC 50, [21]. This case followed the reasoning in *Antaios Cia Naviera SA v Salen Rederierna AB, The Antaios* [1985] AC 191 at 201, HL and *Schuler (L) AG v Wickman Machine Tool Sales Ltd* [1974] AC 235.

[115] *Barclays Bank plc v HHY Luxembourg SARL* [2010] EWCA Civ 1248, followed in *Rainy Sky SA v Kookmin Bank* [2011] UKSC 50, [29].

[116] *City Alliance Ltd v Oxford Forecasting Services Ltd* [2000] 1 All ER (Comm) 233, applied in *Amlin Corporate Member Ltd v Oriental Assurance Corpn* [2014] EWCA Civ 1135, [45].

[117] See fn 111 above.

6.5.8.1 Drafting and negotiating issues

- *Avoid ambiguous words*. Some words are clearly ambiguous; to take an extreme example, 'sanction' is sometimes used to mean 'allow' and sometimes used to mean 'prohibit'[118]. A subtler example is 'immediate' which can mean 'without delay' (ie immediate in time) or 'nearest; not separated by others' (ie immediate in space). Avoid, where possible, words that could be ambiguous in the context in which they are used[119].

- *'Constructive ambiguity'*. Commercial parties sometimes adopt vague or ambiguous wording in contracts as a deliberate commercial decision. The parties might adopt such wording to avoid a major disagreement over a point, to keep the momentum of the negotiations going, or in the hope that the other side will miss the true meaning of a term. It might be thought commercially preferable to resolve any ambiguity by negotiation at a later date, after they have signed the agreement. This is sometimes referred to as 'constructive ambiguity'. It places the contract drafter in a difficult position, if the drafter cannot (or does not consider it appropriate to) persuade the drafter's client or employer to adopt unambiguous wording. The drafter should also inform the client or employer that ambiguous or unclear wording is unlikely to be interpreted in the way their client or employer hopes. Given the focus of the courts nowadays, in effect, to make the wording used to work (except where it is almost impossible to do so), the resulting meaning may be the one that a judge takes[120].

- *If in doubt as to the meaning of a word, consider the dictionary meaning*. Sometimes words are used inaccurately (ie not in any of the senses given in the dictionary) and without intending any special legal or technical meaning[121]. Use of a good dictionary can help the drafter[122]. In international contracts, such as those made with US companies, bear in mind that the parties may

[118] The *Concise Oxford Dictionary* (8th edn) states the following meanings for 'sanction' when used as a transitive verb: '1. authorize, countenance or agree to; 2. ratify*; attach a penalty* or reward to; make binding' (emphasis added).

[119] Another example encountered by the authors was where the phrase 'on completion of this contract' was used by a (non-lawyer) drafter. In the context there was some ambiguity about whether the phrase referred to the coming into effect of the contract or the completion of work under the contract.

[120] Also, if the wording is truly ambiguous a court might apply the *contra proferentem* rule so that wording was drafted for a party's benefit may be interpreted against them (see **6.5.19**). But the scope and application of this rule is now quite limited.

[121] See **6.5.10** to **6.5.12** below.

[122] Some computers nowadays come with dictionary software. For example, drafters using Apple Mac computers can access the Oxford Dictionary of English and the Oxford Thesaurus of English either as an application, or by selecting a word and typing Command + Control + D.

use the same word to mean something different[123]. If a dictionary provides several possible meanings for a word, consider the following options:

- Because of the context and purpose of the clause in which the word appears it may be clear that the word has only one meaning – then it may be appropriate to do nothing.
- If the meaning is not clear or is open to doubt if a dispute between the parties arose, then consider agreeing a definition for the meaning of the word with the other party and add that to the agreement.
- If not possible to agree to add a definition of the word with the other party for inclusion in the agreement, at least try to agree a meaning for the word with the other party by an exchange of correspondence – so that in the event of a dispute, it might become part of the available factual background for a court to consider.

6.5.9 *Legal terms of art and lawyers' jargon*

There is a presumption that some words, when used in contracts, will be interpreted according to their meaning in law (so called 'legal terms of art')[124] unless a different meaning is clearly given by the parties[125] or the context requires the presumption to no longer apply[126]. A 'legal term of art' has in effect a standalone meaning which does not need interpreting against any available background knowledge or the views of the parties[127], although it

[123] For example, the word 'schedule' which is commonly used in the sense of 'timetable' in the United States, but less commonly used in this sense in the United Kingdom, although this usage is increasing. For example, the Oxford Dictionary referred to in the previous footnote provides the following definitions for 'schedule': 'a plan for carrying out a process or procedure, giving lists of intended events and times: *we have drawn up an engineering schedule*: (usu. one's schedule) one's day-to-day plans or timetable: *take a moment out of your busy schedule*; a timetable: *information on airline schedules*. 2 *chiefly Law* an appendix to a formal document or statute, especially as a list, table, or inventory. *they need a clear schedule of fixtures and fittings*; 3 (with reference to the British system of income tax) any of the forms (named 'A', 'B', etc) issued for completion and relating to the various classes into which taxable income is divided'.

[124] *Infiniteland Ltd and another v Artisan Contracting Limited and another* [2005] EWCA Civ 758, [88] where the court considered whether the use of the phrase 'actual knowledge' also included 'constructive knowledge' of relevant facts and circumstances. It was stated by one of the judges: 'In my view, it is important in the interests of legal certainty that such established distinctions should be respected, both by those drafting contracts, and by the courts in their interpretation. In the context of a professionally drawn legal document such as this, the court should start from a strong presumption that such expressions are used in their ordinary legal meanings'. Although, this will depend on a judge agreeing that a term is a legal term of art. See *Ageas (UK) Ltd v Kwik-Fit (GB) Ltd* [2013] EWHC 3261 (QB) and *T&L Sugars Ltd v Tate & Lyle Industries* [2014] EWHC 1066, where the words 'served' and 'serving' in the context of serving of a claim or legal proceedings came in for consideration. One judge held it was not sufficiently certain as a legal term of art to incorporate the meaning in the Civil Procedure Rules, while in the second case it was.

[125] For example, if the parties have not understood.

[126] *ICICI Bank UK Plc v Assam Oil Co Ltd & Ors* [2019] EWHC 750 (Comm), [41].

[127] *Bedford Police Authority v Constable* [2009] EWCA Civ 64, [18]; *Lowe v National Insurance Bank of Jamaica* [2008] UKPC 26, [9].

must be interpreted in its context[128]. The meaning of a 'legal term of art' will apply even if the contract drafter has misunderstood the law or not correctly described the 'legal term of art'[129].

These words can conveniently be divided into a number of categories.

- ***Liability and litigation terms***. Examples include: negligence, tort, arbitration, mediation, proceedings, legal action, the parties submit to the jurisdiction of the [English] courts, exclusive jurisdiction, non-exclusive jurisdiction, expert, 'without prejudice' negotiations, entire agreement.
- ***Special types of legal obligation***. Examples include: time shall be of the essence, condition/condition precedent/condition subsequent, warranties, representations, covenants, undertakings, guarantees, with full title guarantee, with limited title guarantee, beneficial owner.
- ***Transfer and termination of obligations***. Examples include: assignment and novation, conveyance, indemnity, hold harmless, breach, material breach, insolvency, liquidators, receivers.
- ***Expression of time***. Examples include: year, month, week, day, from and including, until, from time to time, for the time being, forthwith, immediately.
- ***Other terms defined by legislation***. Examples include: person, firm, subsidiary, United Kingdom, European Union.
- ***Other terms interpreted by the courts***. Examples include: best endeavours, due diligence, set-off, consent not to be unreasonably withheld, material, consult, penalty, nominal sum, subject to.

Some of the terminology used in some contracts falls into yet another category, old-fashioned lawyers' jargon, which are expressions in Latin or medieval French, and nowadays a person is most likely to encounter them in court cases or legal books[130]. On other occasions the words used are English but are very old-fashioned and are no longer used in ordinary speech. Much of this jargon has disappeared from commercial contracts[131], but is sometimes still found.

Examples include:

- mutatis mutandis;

[128] *Sunport Shipping Limited and others v Tryg-Baltica International (UK) Ltd and others* [2003] EWCA Civ 12, [24].

[129] *IRC v Williams* [1969] 1W.L.R. 1197; *Akici v LR Butlin Ltd* [2005] EWCA Civ 1296, [26].

[130] For example, many of the 'canons of constructions' originally were expressed in Latin. See **6.5.13.2** 'Interpreting the terms of the contract—the canons of construction' below.

[131] Due, probably, to the influence of business people on the terms of such contracts. There are also other influences, some deriving from the EU, such as that consumer contracts should be drafted in plain, intelligible language and also reform of the rules for court proceedings now being expressed in simpler language. By contrast, conveyancing documents which are not subject to the same commercial pressures, were (and sometimes still are) sometimes drafted in a very old-fashioned way, despite the standard models of conveyancing contract available.

- prima facie;
- aforesaid
- hereinafter;
- to the intent that;
- whatsoever;
- hereby[132];
- procure;
- provided that;
- including without limitation;
- unless the context requires otherwise;
- without prejudice to the generality of the foregoing;
- notwithstanding.

In some cases, it may be unfair to call these words jargon where they serve a specific legal purpose (and they are correctly used). For example, in the above list, 'including without limitation' has an important purpose and the words themselves are not particularly unusual, although 'limitation' could perhaps be replaced by 'limit'[133]. In other cases, although expression of the idea is important, the jargon used to express the idea could be avoided. For example, in the author's view the contract drafter should always avoid 'mutatis mutandis', and they should find another way to express the intended meaning[134].

In view of their importance in contracts, legal terms are discussed in detail, together with lawyers' jargon, in Chapter 8.

6.5.10 Scientific and technical terms

The courts can take a different approach to interpreting scientific and technical terms to that taken with ordinary English words[135]. If a court does

[132] But 'hereby' is sometimes useful. For example, in the grant clause of an intellectual property contract it may be important to establish whether the intellectual property owner grants a licence or merely undertakes to grant a licence at a future date. In some cases, the licence should be registered with, eg, the Patent Office within six months of the date of grant (eg see the Patents Act 1977, s 68). If the grant is intended to take place immediately, use of the phrase 'X hereby grants a licence' can make this clear. Of course, alternative wording is possible, for example, 'X grants a licence, with the licence commencing on and from the Commencement Date'. Special cases apart, use of 'hereby' is often redundant, as in 'X hereby undertakes to …'.

[133] See also **3.9.2**.

[134] See **8.4.49** for suggestions of alternate wordings.

[135] *Baldwin & Francis Ltd v Patents Appeal Tribunal* [1959] 1 QB 105, HL; *Lloyds TSB Bank plc v Clarke* [2002] UKPC 27.

not understand a term, then a court can use dictionaries, but if there is a dispute as to the meaning then the court will need to obtain evidence of its meaning with the use of experts experienced in the field as being part of the admissible relevant background[136], although:

> '… it is not the role or function of expert witnesses to construe an agreement or to advise the court as to what the expert considers an agreement means'[137]

with the interpretation of the agreement being the task only for the judge[138].:

With non-technical words the court is prepared to decide for itself what the ordinary meaning of the word is, assisted perhaps by the judge's dictionary, although it may not always be clear as to the distinction between an ordinary word and one which is a scientific or technical term, which can depend partly on the knowledge of the judge[139].

In complex patent infringement actions, the court sometimes even engages its own scientific adviser to assist it with the technicalities of the dispute and to 'produce a technical primer setting out the agreed basic undisputed technology relevant to the case, or an agreed statement of common general knowledge and other relevant technical matters'[140]. This is unlikely to happen in most contract disputes even if the contract concerns technical subject matter, as in the case of a patent licence. In a few situations, case law has developed as to the meaning of technical terms and the parties in any case should produce a technical primer setting out agreed 'basic undisputed technology'.

6.5.10.1 Drafting and negotiating issues

- *Define any technical or scientific expressions*. If terms are not defined, and their meaning is disputed, each party may be put to the cost of engaging an expert witness to explain the meaning of the term used, and the court may decide on a different meaning to the one intended by one or both parties. If a technical or scientific word or phrase is used, then the parties should provide an agreed definition or use (or reference) a reputable third-party definition[141].

[136] *Kellogg Brown & Root Inc v Concordia Maritime AG and others* [2006] EWHC 3358 (Comm), [47]; *David Rocker v Full Circle Asset Management* [2017] EWHC 2999 (QB), [233]. Although it appears that not in every instance will it be necessary to obtain expert evidence to explain a term. For example, if it is a fairly simple technical matter then a court can rely on an explanation from the advocates (unless there is a dispute about the meaning given): *Baldwin & Francis Ltd v Patents Appeal Tribunal* [1959] 2 All E.R. 433, HL.

[137] *Kellogg Brown & Root Inc v Concordia Maritime AG and others* [2006] EWHC 3358 (Comm), [47].

[138] *Kingscroft Insurance Co Ltd v Nissan Fire and Marine Insurance Co Ltd* [2000] 1 All E.R. (Comm) 272; *JP Morgan Chase Bank v Springwell Navigation Corp* [2007] 1 All E.R. (Comm) 549.

[139] *Sussex Investments Ltd v Secretary of State for the Environment* [1998] P.L.C.R. 172.

[140] Patents Court Guide, February 2022, para 14.6.

[141] For example, a permanent source of information published by a recognised scientific or technical body; and most probably not a source such as Wikipedia (which anyone can potentially change).

- Avoid using technical or scientific jargon. Lawyers are sometimes rightly criticised for using jargon, but at least their jargon usually has a specific meaning (if used correctly and if the lawyer understands its meaning). Some scientific or technical jargon, particularly in the computer industry, is used in a very loose way, and therefore the contract drafter should avoid its use in contracts[142]. If the intention is to use technical terms for an agreement concerning technology or software, particularly with the rapidity of change in computer industry, the use of terms without precision as to version numbers, model numbers or a specific specification should be avoided[143]. In other situations, it may be better to state the intended meaning in simple English rather than use a technical expression[144].

6.5.11 Special meanings 'in the industry'

Sometimes words acquire a special meaning in a particular trade, industry or profession[145].

A recent example concerned an agreement (regarding the use by an airline of an airport) where the following clause came in for consideration:

> 'Operation: Initial "lead-in" flying programme (to an agreed number of destinations) to commence no later than 31 October 2003 to support the establishment of a minimum x2 based aircraft operation (initially B737) operating exclusively from TIAL by Summer 2004'.

The word 'exclusively' needed interpretation, and after the calling of expert evidence, this word was found to have a meaning particular to the aviation industry, referring to an aircraft flying only from and to a particular airport (and not to an aircraft flying from an airport to a destination, then to a third destination and then returning to the airport, whether directly or indirectly)[146].

[142] For example, the term 'interface' (as in graphical user interface) is used in a variety of ways or 'kilobyte' (for example, in describing the size of a file, and assumed to mean a 1,000 when the correct definition is 1,024 bytes).

[143] For example, equipment which comes with software needed to make it run, where there is a statement in an agreement that the software runs under Microsoft Windows, would be an example of loose jargon, given the range of different versions and the number of years the operating system has been on the market.

[144] For example, in a computer software licence, there may be situations in which it would be better to use ordinary English words such as 'temporary memory' and 'permanent memory' rather than 'RAM', 'Random Access Memory', 'CDROM' or 'Compact Disc Read Only Memory'.

[145] For example in *Smith v Wilson* (1832) 3 B & Ad 728 where in relation to a lease of a rabbit warren, a provision of the lease was that 10,000 rabbits were to be left at the end of the lease. It was held that the custom of the country was that 1,000 rabbits meant 1,200. A recent example of the court considering whether words had a specific meaning in a particular industry can be found in *Confetti Records (a firm) v Warner Music UK Ltd (t/a East West Records)* [2005] EWHC 1274 (Ch), [2003] All ER (D) 61 (Jun) where the court held that the words 'subject to contract' did not have a special meaning within the music industry.

[146] *Durham Tees Valley Airport Ltd v BMI Baby Ltd* [2009] EWHC 852 (Ch), [30].

Moreover, in some circumstances trade usage has become enshrined in statute. Under the Costs of Leases Act 1958, s 1, for the purpose of this Act, the meaning of 'lease' includes an underlease or an agreement for a lease; the meaning of 'costs' includes fees, charges, disbursements, expenses and remuneration[147].

6.5.11.1 Drafting and negotiating issues

- State any special meanings in the contract. Rather than rely on the court accepting that a word was understood as having a special meaning in the trade, or being willing to look at pre-contractual documentation[148], it will generally be much safer to define any word that is to have a special meaning.

6.5.12 Special meanings given by the parties and defined terms

The clearest way in which contracting parties can give a special meaning to a word, is to include a definition of that word in the contract. The court will generally apply any definitions given by the parties and not go beyond the definitions[149] although the labels used for a definition may help in interpreting the meaning of the definitions[150].

This approach is likely to apply even where a definitions clause includes wording such as 'unless the context provides otherwise', wording sometimes included in the definitions section of agreements to allow for the possibility that a definition may carry another meaning. Where this wording appears, it will be used very sparingly and not merely simply to produce a better meaning[151].

This applies no matter how different the definition may be to the ordinary meaning of the word. However, the parties may not always use a defined word

[147] See further 12 Halsbury's Laws (4th Edn) paras 482–500.

[148] Where it is possible to do so, such as evidence 'that the parties negotiated on an agreed basis that the words used bore a particular meaning': *Rugby Group Ltd v ProForce Recruit Ltd* [2006] EWCA Civ 69, [28].

[149] *T&N Ltd (in administration) v Royal & Sun Alliance plc* [2003] EWHC 1016 (Ch), [226]. This point will extend to any evidence of negotiations, where the purpose is to show that the parties negotiated on the basis of a different meaning of the defined term and the parties were agreed on that different meaning: *Chartbrook Homes Ltd v Persimmon Homes Ltd* [2009] UKHL 38.

[150] *Chartbrook Homes Ltd v Persimmon Homes Ltd* [2009] UKHL 38, [17]: a contract '… uses labels. The words used as labels are seldom arbitrary. They are usually chosen as a distillation of the meaning or purpose of a concept intended to be more precisely stated in the definition. In such cases the language of the defined expression may help to elucidate ambiguities in the definition or other parts of the agreement'. See also *Cattles plc v Welcome Financial Services Ltd* [2011] EWCA Civ 599.

[151] See *Hammonds (a firm) v Danilunas* [2009] EWHC 216 (Ch), [44].

or phrase consistently or how a court will decide whether the defined word or phrase is used in its defined sense or another. Given the modern approach of interpreting contracts (as outlined above) it is possible that the defined word or phrase can be given a different meaning to its definition:

> 'The question becomes whether they intended to use it in its defined meaning, as in some other clauses, or as meaning something other than its defined meaning, as in different other clauses. Even where there is no inconsistency of use within the contract outside the provision being interpreted, it does not follow that effect must always be given to the defined meaning. If, as is well known, parties sometimes use defined terms inappropriately, it follows that they may have done so only once, in the provision which is being interpreted. The process of interpretation remains the iterative process in which the language used must be tested against the commercial consequences and the background facts reasonably available to the parties at the time of contracting. Such an exercise may lead to the conclusion that the parties did not intend the defined term to bear the defined meaning in the provision in question. That is no different from the Court concluding that the parties intended a word or phrase to have a different meaning from what would at first sight seem to be its ordinary or natural meaning'[152].

Even where a word is not specifically defined, the court might decide that the parties have used the word in a special sense, and not in accordance with the ordinary dictionary meaning. However, in coming to such a conclusion, the court will only look at evidence to be found in the contract itself (ie the particular context in which the words are used)[153] or against the admissible background of the contract including use of external evidence (expert or otherwise)[154]. As has already been mentioned, the court will generally not consider evidence from the parties as to what they intended a word to mean, unless such evidence clearly indicates that the meaning was one which the parties jointly agreed or the meaning of the word was common to both parties.

[152] *Europa Plus SCA SIF v Anthracite Investments (Ireland) Plc* [2016] EWHC 437 (Comm), [30]. See also *Starlight Shipping Co v Allianz Marine And Aviation Versicherungs AG* [2014] EWHC 3068 (Comm), [46]–[50]. In the previous edition reference was made to the decision in *City Inn (Jersey) Ltd v Ten Trinity Square Ltd* [2008] EWCA Civ 156 that a court could not use a definition in the situation where 'if the term is given its defined meaning the result would be absurd'. Both these later cases have not followed it and in *Europa Plus SCA SIF* the court stated 'the dictum of Jacob LJ in *City Inn Jersey Ltd v 10 Trinity Square Ltd* [2008] EWCA Civ 156 at [8], to the effect that the court will only fail to give effect to the use of a defined term if absurdity is established, is not consistent with the reasoning of the Supreme Court in [*Rainy Sky SA v Kookmin Bank* [2011] UKSC 50] (or indeed subsequent authority) and is not the law.'

[153] *Lloyd v Lloyd* (1837) 2 My. & Cr. 192; *Re Sasson* [1933] 1 Ch 858.

[154] *NHS Commissioning Board v Vasant and others* [2019] EWCA Civ 1245, [41]–[49]. In the case, it was held that even though the agreement included an entire agreement clause it did not prevent the court considering external evidence to interpret the meaning of the following phrase 'an intermediate minor oral surgery service'. The court held that although each word was an ordinary English word, it did not 'consider that it is possible to give meaning to the phrase as a whole without extrinsic evidence'.

6.5.12.1 Drafting and negotiating issues

- *Use definitions or use ordinary dictionary meanings*. The same drafting point is made here as in the discussion of technical terms and legal terms of art: if the parties intend a special meaning of a word or a phrase, they should include a definition in the contract.
- *Use of defined words other than in their defined meaning*. If the parties wish to use a word to mean something other than its defined or dictionary meaning then at a minimum include a definition of its meaning together with the phrase 'unless the context otherwise requires' or better still include clear wording that there is a definite meaning.
- *Careful checking*. The parties should check that any defined words or phrases are used in their defined sense, but also consider any other words or phrases used do not have a meaning which is known to them but does not accord with a dictionary definition or is different to what is commonly understood.

6.5.13 Interpreting express[155] contract terms

6.5.13.1 Establishing the terms of the contract

Earlier sections of this chapter have discussed how the courts establish:

- the general intentions of the parties to a contract;
- which are the terms of that contract; and
- the intended meaning of the words used in that contract.

As was mentioned at the beginning of this chapter, this can be regarded as stage 1 in the interpretation of a contract.

6.5.13.2 Interpreting the terms of the contract—the canons of construction

Once it is known what the terms of the contract are, the scene is set for detailed 'construction' (ie interpretation) of those terms, to establish their legal effect.

[155] Express terms are those which have been specifically agreed ('expressed') by the parties. In a written contract they are the terms set out in the written contract. They can be contrasted with implied terms which form part of the contract but have not been written into the contract. For example, the Sales Goods Act 1979, s 14(2): 'Where the seller sells goods in the course of a business, there is an implied term that the goods supplied under the contract are of satisfactory quality'.

The following sections consider this second stage, in which the courts apply the so-called 'canon of construction'. Although these are of long-standing they continue to remain relevant as guidelines to the interpretation of a contract[156].

The headings to the following sections summarise the main principles which are followed by the courts, or at least those which have significant drafting implications.

6.5.14 Documents should be read as whole and all parts of the document should be effective

6.5.14.1 General principle

When interpreting an agreement, a court should not consider the provisions of an agreement in isolation. Rather a court should consider the provisions in the context of the document as a whole:

> '… a deed ought to be read as whole, in order to ascertain the true meaning of its several clauses; and that the words of each clause should be so interpreted as to bring them into harmony with the other provisions of the deed, if that interpretation does no violence to the meaning of which they are naturally susceptible'[157].

More recent cases apply the same principles to contracts[158], and in more modern language, as:

> 'Agreements should be read as a whole and construed so far as possible to avoid inconsistencies between different parts on the assumption that the parties had intended to express their intentions in a coherent and consistent way. One expects provisions to complement each other. Only in the case of a clear and irreconcilable discrepancy would it be necessary to resort to the contractual order of precedence to resolve it …'[159].

6.5.14.2 Expression of an obligation in different ways in the same contract

Problems can arise if one provision of a contract is inconsistent with another, for example, if a similar obligation is expressed in a different way in two different clauses: is the difference deliberate (or merely sloppy drafting)?

[156] See *Cusack v London Borough of Harrow* [2013] UKSC 40: 'In my view, canons of construction have a valuable part to play in interpretation, provided that they are treated as guidelines rather than railway lines, as servants rather than masters. If invoked properly, they represent a very good example of the value of precedent'.

[157] *Chamber Colliery Co v Hopwood* (1886) 32 Ch D 549, CA.

[158] See *Phoenix Life Assurance Ltd v Financial Services Authority* [2013] EWHC 60 (Comm).

[159] *EE Ltd v Mundio Mobile Ltd* [2016] EWHC 531 (TCC), [30]. See also *Persimmon Homes (South Coast) Ltd v Hall Aggregates (South Coast) Ltd* [2008] EWHC 2379 (TCC), [46].

> '… the habit of a legal draftsman is to eschew[160] synonyms. He uses the same words throughout the document to express the same thing or concept and consequently if he uses different words the presumption is that he means a different thing or concept'[161].

Whilst this may be thought of as an ideal, it is not always followed in practice, even by the best contract drafter. Moreover, where a contract draft prepares a contract using a number of different templates or precedents, they may 'copy and paste' clauses together from different sources. In doing so they may have used slightly different words to express similar ideas on different subjects[162]. Unless the contract drafter is very careful, some of these inconsistencies may remain in the final contract. For example, one clause may refer to an obligation being performed 'forthwith', whilst another clause is silent as to the time of performance—do the parties intend that the time for performance of the latter obligation is less urgent than in the clause which includes the word 'forthwith'? If provisions are clearly inconsistent, then one provision may need to be read subject to another to make it consistent among all provisions of a contract[163].

A further area where there are difficulties is where there is a series of linked or related contracts. It seems that in some cases the courts will interpret terms if used in all the contracts so that they are consistent among the contracts, particularly if the same language is used[164]. Use of a word with a clear meaning in one part of an agreement will normally mean that it has the same meaning in another part if its meaning in the second part is not clear[165], based on the presumption that language is consistent throughout an agreement[166]. The requirement that a contract should be interpreted 'as a whole' concerns more than just the inconsistent use of individual words. When considering the meaning of one clause of a contract, the court may consider all the remaining provisions to enable them to understand what that one clause means. For example, one reported case concerned a contract to charter a ship for several voyages. The ship owners were stated to be entitled to substitute a ship of similar size at any time. The court was asked whether this provision entitled them to substitute only once, or more than once. The court held that the

[160] 'Eschew', meaning 'avoid', is not a good 'plain English' word to use in a contract: the *Concise Oxford Dictionary* describes it as 'literary'.

[161] *Prestcold (Central) Ltd v Minister of Labour* [1969] 1 WLR 89, CA. Although this presumption is less likely to apply where more than one person has drafted the contract: *Lindsay (WN) & Co Ltd v European Grain & Shipping Agency Ltd* [1963] 1 Lloyd's Rep 437.

[162] This is more likely to occur nowadays, not only because everyone has their own computer, but also because so many companies have their terms and conditions of business on their website. It is possible for someone to assemble a set of terms and conditions from copying the sections they like from a selection of websites. This only increases the chances that there will be inconsistent use of wording to express the same concepts and ideas. This is, of course, leaving aside the question of breach of copyright in 'drafting' in this way.

[163] *Howe v Botwood* [1913] 2 KB 387, DC.

[164] *Shell UK Ltd v Total UK Ltd* [2010] 3 All ER 793.

[165] *Re Birks* [1900] 1 Ch 417.

[166] *Interactive Investor Trading Ltd v City Index Ltd* [2011] EWCA Civ 837.

words of the clause in question were ambiguous but, in the context of the contract as a whole, it was clear that substitutions could be made more than once[167].

This principle may not sound particularly surprising; what may be more surprising is the limited extent of the principle. If the wording of the clause under consideration is clear, it seems the court will not override the words used by the contract drafter, unless other words, elsewhere in the contract, indicate a clearly different intention[168].

A further application of the principle that contracts should be interpreted as a whole, is that it is not necessary for definitions and interpretation provisions to appear at the beginning of the contract, although conventionally that is where they do appear. In this respect contracts, and the way judges interpret them, are more flexible than a computer would be in understanding a computer program.

6.5.15 Give effect to all parts of the document

The courts will generally assume that the parties have deliberately included all words and provisions of the contract, and will try to give effect to them[169] and that no part of the contract is surplus or inoperative[170]. So, if one provision appears to contradict another provision, the court will try to find an interpretation which reconciles the two provisions[171]. If a mistake has been made in the drafting, this may have adverse consequences to both the mistaken clause and the other clause which it contradicts.

This is a general approach rather than a hard rule which the courts must always follow. It is less likely to apply where there is a standard form agreement compared to:

[167] *Maritime et Commerciale of Geneva SA v Anglo-Iranian Oil Co Ltd* [1954] 1 WLR 492, CA.

[168] See *Hume v Rundell* (1824) 2 Sim & St 174.

[169] In *DWR Cymru Cyfyngedig v Corus UK Ltd* [2007] EWCA Civ 285, [13] the court commented that the inclusion of a clause in a contract means that 'One starts, therefore, from the presumption that [the clause] was intended to have some effect on the parties' rights and obligations'. See also *Bindra v Chopra* [2009] EWCA Civ 203, [2009] All ER (D) 219 (Mar) at [22]–[23].

[170] An argument based that a provision or wording is redundant, or surplus is rarely helpful in interpreting a provision: *Al-Hasawi v Nottingham Forest Football Club Ltd* [2019] EWCA Civ 2242, [38]; *Macquarie Internationale Investments Ltd v Glencore UK Ltd* [2010] EWCA Civ 697, [83]. See *Merthyr (South Wales) Ltd (FKA Blackstone (South Wales) Ltd) v Merthyr Tydfil County Borough Council* [2019] EWCA Civ 526, [39], for the rational: 'It is, however, by no means uncommon, including in professionally drafted contracts, to find provisions which are unnecessary and could, without disadvantage to either party, have been omitted. For this reason, arguments from redundancy seldom carry great weight… [T]he relevant principle, [is] that "an argument based on surplusage cannot justify the attribution of a meaning that the contract, interpreted as a whole, cannot bear."'

[171] See *Re Strand Music Hall Co Ltd* (1865) 35 Beav 153 and more recently in *Duval v 11-13 Randolph Crescent Ltd* [2020] UKSC 18.

> 'a bespoke contract carefully drafted by the parties to meet the exigencies of [a] particular and significant commercial arrangement[172].'

And although the courts recognise that modern commercial contracts are not drafted in a tidy way and contain excess wording, they will still need to find a consistent meaning[173].

6.5.16 Special conditions override standard conditions

Sometimes contracts consist of a short agreement to which are attached:

- a set of standard conditions; and
- extra clauses which are agreed by the parties (sometimes known as special conditions).

This practice is common, for example, in residential conveyancing[174], in the construction industry[175] and in the advertising industry[176], using published forms of contract. A similar practice is sometimes adopted by large companies which have standard purchase and supply contracts. It is also common in contracts between government departments and companies and organisations giving grants for research purposes. And in the age of the internet, purchasing items online invariably requires the purchaser to select items to purchase and then on a following screen to confirm the details of the items selected and the price for them, total price, delivery details and costs of delivery etc, and agree to a set of terms and conditions. It is possible to take the same view of this type of transaction for more traditional methods of entering contracts, with the set of terms and conditions equating to a set of standard conditions, and the

[172] See *Secretary of State for Defence v Turner Estate Solutions Ltd* [2015] EWHC 1150 (TCC). See also *Tea Trade Properties Ltd v CIN Properties Ltd* [1990] 1 EGLR 155 and *Beaufort Developments (NI) Ltd v Gilbert-Ash (NI) Ltd* [1999] 1 AC 266.

[173] *Ener-G Holdings plc v Hormell* [2012] EWCA Civ 1059, [59]: '… despite the desirability and importance of certainty, a good many commercial contracts are less tidy than might be desirable as a matter of strict theory. In this respect, commercial contracts reflect the realities of commercial life. It is thus no surprise to find in a commercial contract surplus language, for instance that which merely states the obvious. Likewise, it is by no means uncommon to find that whichever of two rival constructions is preferred, anomalies or apparent anomalies will remain. The present case is no exception … The task, accordingly, is to ascertain which construction best, if imperfectly, fits the language used by the parties in the context in which the Agreement is located.'

[174] Using the Law Society's Standard Conditions of Sale and the Standard Commercial Property Conditions.

[175] For example, using one of the published sets of conditions such as those produced by the JCT (Joint Contracts Tribunal Limited), ICE (Institution of Civil Engineers, Association of Consulting Engineers and Civil Engineering Contractors Association), or NEC Engineering and Construction Contract.

[176] For example, the Incorporated Society of British Advertisers, the Chartered Institute of Purchasing and Supply and the Institute of Practitioners in Advertising providing a set of precedents for use between advertising agents and their clients.

goods selected, price, delivery, etc being the extra clauses being the special conditions agreed by the parties[177].

The long-established principle followed by the courts is that, if there is any conflict between the terms set out in the standard document and the 'special' conditions, the latter will override the former[178]. The reason for this principle seems to be that the courts are prepared to regard the printed conditions as a 'general formality adapted equally to their case and that of all contracting parties upon similar occasions and subjects'[179]. Put another way, the standard terms have not been prepared specially for the contract in question and may not be entirely appropriate for that contract. By contrast, the special conditions have been specially prepared for the contract in question. Therefore, a provision in the standard conditions which contradicts a special condition can perhaps be ignored or at least interpreted more loosely than would otherwise be permissible[180]. Special conditions or tailor-made clauses will normally only override standard conditions where there is a conflict between the two types of clauses[181]:

> '… I accept that tailor-made clauses will normally prevail over typed clauses, that is in my judgment only so if there is indeed a "conflict" between the two …. The courts will, however, seek to construe a contract as a whole and if a reasonable commercial construction of the whole can reconcile two provisions (whether typed or printed) then such a construction can and in my judgment should be adopted. The "conflict" can of course be found either as a matter of language or effect.'

However, there can be a danger of a court trying to achieve a consistent whole by assuming that the special and standard provisions are equally important, when what should be obvious is that, in effect, the special provisions take

[177] Although with well-known online retailers there is unlikely to be a conflict with such provisions and the standard terms.

[178] See *Robertson v French* (1803) 4 East 130, applied in *Hombourg Houtimport BV v Agrosin Private Ltd, The Starsin* [2003] UKHL 12, [2004]. Consider the words of Lord Bingham at [13]: '… it is common sense that greater weight should attach to terms which the particular contracting parties have chosen to include in the contract than to pre-printed terms probably devised to cover very many situations to which the particular contracting parties have never addressed their minds. It is unnecessary to quote the classical statement of this rule by Lord Ellenborough in *Robertson v French* (1803) 4 East 130 at 136; 102 ER 779 at 782 …'.

[179] See *Bravo Maritime (Chartering) Est v Baroom, The Athinoula* [1980] 2 Lloyd's Rep 481.

[180] See *Hombourg Houtimport BV v Agrosin Private Ltd, The Starsin* [2003] UKHL 12, where the words on the front of a bill of lading were 'determinative and overriding' other clauses.

[181] *Bayoil SA v Seawind Tankers Corpn* [2001] 1 All ER (Comm) 392 at 397; *Alchemy Estates v Astor* [2008] EWHC 2675 (Ch), [35]. See also *Ace Capital Ltd v CMS Energy Corporation* [2008] EWHC 1843 (Comm), [70] along the same lines: 'that the contract must be read as a whole and every effort should be made to give effect to all of its clauses. The meaning of one clause may be affected by the content of other clauses in the agreement. A clause should not be rejected unless manifestly inconsistent with or repugnant to the rest of the agreement. It is only if this cannot successfully be done that the Court will treat a clause that has been specifically agreed as prevailing over an incorporated standard term'.

precedence[182]. Much will depend on the contractual terms and the commercial context.

What is less clear, though, is whether this principle allows the courts to override the wording of standard conditions which are inconsistent with the commercial purpose of the contract, but which are not clearly contradicted by any provision of the special conditions[183]. And the principle will not apply at all where both provisions are special provisions[184].

The reported cases mostly refer to the standard conditions being in 'printed' form, but it is suggested that the same principle would apply where there are two distinct sections of a contract comprising 'standard' terms and 'special' terms, each generated on a word processor, provided it could be established that the standard conditions were genuinely in standard form and applied generally, and had not been 'tailored' for the contract in question. It seems unlikely that this principle would be of assistance where all the terms of the contract, standard and special, are 'intermingled' in a single document[185].

6.5.17 Hierarchy of clauses

Where the contract consists of several parts which may have conflicting provisions, one approach is to include a clause stating which parts have priority in the event of conflict, such as:

[182] *Generali Italia SpA & Ors v Pelagic Fisheries Corporation & Anor* [2020] EWHC 1228 (Comm), [87]: 'I have suggested that what might be described as a "jigsaw" approach to construction, under which all the pieces are to be used if at all possible, can sometimes risk a false equivalence between bespoke and boilerplate contractual provisions. Whatever the merits of seeking to read provisions together as a general rule of construction, however, it is clear that the enthusiasm with which this approach should be pursued will vary between contractual terms, and contractual contexts. In *Homburg Houtimport BV v Agrosin Ltd (The Starsin)* [2003] UKHL 12, the House of Lords criticised attempts to read the clear identification of the carrier as the charterer on the front of a bill of lading, together with the elaborately drafted "identity of carrier" provision on the back. Lord Bingham warned that "to seek perfect consistency and economy of draftsmanship in a complex form of contract which has evolved over many years is to pursue a chimera" ([12]). Lord Hoffmann said that the courts below had been led into error because "they conscientiously set about trying, as lawyers naturally would, to construe the bill of lading as a whole" whereas "the reasonable reader of a bill of lading does not construe it as a whole, for some things he goes no further than what it says on the front", and if that is clear enough, "no attempt at reconciliation is required" ([82], [85])'.

[183] In such a situation a court which wished to override a standard term might have more difficulty; it might seek to apply the principle mentioned earlier, that the contract should be interpreted 'as a whole'.

[184] *Ilkerler Otomotiv & Anor v Perkins Engines Company Ltd* [2017] EWCA Civ 183, [14].

[185] See *Leonie's Travel Pty Ltd v International Air Transport Association* [2009] FCA 280, [56] (a decision of the Australian Federal Court), where the judge noted that the principle is less likely to apply where both the primary contract and incorporated terms were in standard terms. Also it appears that nowadays a court will try to arrive at a way to interpret them 'as parts of one coherent contractual document', see *Alchemy Estates Ltd v Astor* [2008] EWHC 2675 (Ch), [35] particularly if they have adopted them as one contractual document and not indicated which has primacy.

If there is any conflict in meaning between any provision of this Agreement, its Schedules and the Standard Conditions respectively, effect shall be given to the main body of this Agreement in preference to its Schedules or the Standard Conditions, and to the Schedules in preference to the Standard Conditions.

6.5.17.1 If some things are mentioned in a contract, and similar things are not mentioned, it may be assumed that the omission was deliberate

For example,

- a contract states that Party A will reimburse Party B's legal costs associated with Party B taking part in an application by a third party to overturn planning permission in a local authority hearing; but
- there is no mention of reimbursing Party B's costs where Party B is involved in a planning hearing before an inspector; and
- the court might assume that Party A is not required to reimburse the planning hearing costs[186].

Some of the reported cases on this principle suggest that it is less rigidly applied than some of the other principles mentioned in this section, because the omission may be accidental or that the drafting, or construction by different hands, of the agreement may mean that the matters addressed in the agreement are not done in a consistent way[187].

If, taking the above example:

- Party A had a more general obligation expressed in the agreement to reimburse B's legal costs; then
- the specific clause dealing with the planning hearing might include wording such as the following to try to ensure that the general obligation would not be overridden by the specific obligation:

Without prejudice to the generality of Party A's obligations to [reimburse Party B's legal costs [as set out in clause X]], Party A shall also [reimburse Party B's legal costs where Party B is involved in a planning hearing before a planning inspector] ….

[186] For example, by (loose) analogy with *Tropwood AG v Jade Enterprises Ltd, The Tropwind* [1977] 1 Lloyd's Rep 397.

[187] *Colquhoun v Brooks* (1888) 21 QBD 52; *National Grid Co plc v Mayes* [2001] UKHL 20.

6.5.17.2 If the contract includes express terms on a topic, it is unlikely that the court will imply terms on the same topic

If the parties have expressly provided for a subject matter, then the courts will not normally allow for a term to be implied which deals with the same subject matter[188], as an implied term co-existing with an express term on the same topic is unlikely[189].

For example, it seems the courts may be prepared to imply a term into a contract for the supply of computer software that it will be fit for its purpose[190]. If a contract for the supply of computer software includes an express term on the subject of fitness for purpose, it is unlikely, following this principle, that any term would be implied on the same subject. However, if an implied term is capable of co-existence with an express term without conflict, then the court may accept the implied term as well as the express term, although the express term may narrow the ambit of the implied term[191].

6.5.18 The ejusdem generis[192] ('of the same kind') rule

Where the contract includes a list of similar items followed by words such as 'or other [items]', the 'others' will be interpreted as being limited to items

[188] See eg *Aspdin v Austin* (1844) 1 QB 671; *Mills v United Counties Bank Ltd* [1912] 1 Ch 231; *Waterman v Boyle* [2009] EWCA Civ 115, [31].

[189] *Fraser Turner Ltd v Pricewaterhousecoopers LLP & Ors* [2019] EWCA Civ 1290, [33], where the court agreed with the judge at first instance that 'that there was "no absolute rule that, if there is an express term covering a particular subject, that necessarily excludes the possibility of any implied term where there is no linguistic inconsistency. Rather, the correct approach, reflecting common sense, is that the existence of such an express term makes the co-existence of a further implied term on the same subject unlikely and especially so in a lengthy and carefully drafted document on which legal professionals have been advising"'.

[190] See comments of Sir Iain Glidewell in *St Albans City and District Council v International Computers Ltd* [1996] 4 All ER 481, CA in relation to a common law implied term of fitness for purpose, in addition to the terms implied by the Sale of Goods Act 1979 and the Supply of Goods and Services Act 1982.

[191] See the judgment of Sir Nicolas Browne-Wilkinson V-C in *Johnstone v Bloomsbury Health Authority* [1992] QB 333, CA and the speech of Lord Steyn in *Equitable Life Assurance Society v Hyman* [2000] UKHL 39.

[192] Several of the principles stated in this chapter have Latin names associated with them. In most cases the Latin names have been ignored in this chapter, as they add little to one's understanding of the principles. For some reason the 'ejusdem generis' rule is still given the name by practitioners, perhaps because there is no obvious alternative snappy or catch name—the 'of the same kind rule' sounds clumsy.

which are of the same kind, or similar, to the listed items[193]. This is regarded by the courts as a guide to interpretation rather than a hard rule[194].

Rather than discuss the subtleties of the many cases in which the principle has or has not been applied, it may be useful to give practical examples. Consider the following examples:

Example 1

Neither party shall have any liability to the other party for any delay or failure in performance of this Agreement resulting from floods, fires, accidents, earthquakes, riots, explosions, war or other events beyond the control of that party.

Example 2

Neither party shall have any liability to the other party for any delay or failure in performance of this Agreement resulting from circumstances beyond the reasonable control of that party, including without limitation labour disputes involving that party.

Both examples deal with what is known as force majeure[195]. In Example 1, there is a list of events followed by the phrase 'or other events beyond the control of that party'. Although the list is quite lengthy, it is not uncommon to find much longer lists of force majeure events in some contracts. For example, there is no reference to labour disputes; many force majeure clauses make a specific reference to labour disputes, as there is authority to suggest that disputes involving one's own workforce are not beyond one's control[196]. There

[193] See *Zhoushan Jinhaiwan Shipyard Co Ltd v Golden Exquisite Inc* [2014] EWHC 4050 (Comm), [60]: there is a 'presumption that words have not been used unnecessarily; for if the general words are given an unrestricted meaning, the specifically enumerated items are surplusage'. The judge agreed that particular causes listed in a *force majeure* type clause which are 'causes beyond the control of both parties' and followed by words 'other causes beyond the control of the Builder' should be read as referring only to other causes of a like kind.

[194] See, eg, comments of Devlin J in *Chandris v Isbrandtsen-Moller Co Inc* [1951] 1 KB 240. In *BOC Group plc v Centeon LLC* [1999] 1 All ER (Comm) 970, despite the judgment in *Investors' Compensation Scheme v West Bromwich Building Society* [1998] 1 All ER 98, this principle was still relevant: 'What cannot be denied, in my view is that the considerations which underlie [the ejusdem generis rule] are ones which a reasonable man would take into account as a matter of commonsense. It is perhaps better now to refer to it as a factor which, when it is relevant, cannot properly be ignored.' More recently in *Burrows Investments Ltd v Ward Homes Ltd* [2017] EWCA Civ 1577, [48] it has been described as 'not as a rigid canon of construction, but rather as a flexible aid to construction which reflects the twin requirements of commercial common sense and the need to construe contractual provisions as a whole and in their context', and no more 'than a guide to the true meaning of the contract' (from [49], quoting the words found in Lewison, *The Interpretation of Contracts*, (7th edn, Sweet & Maxwell, 2020) 7.58.

[195] See **5.11.2** for a discussion of force majeure clauses. These examples are incomplete—a typical force majeure clause will deal with a number of other issues beyond those addressed here.

[196] For example, if the dispute is over pay, the employer can solve the dispute by paying the employees what they demand.

is a significant risk that, by omitting to mention labour disputes, they would not be covered by the wording of the first clause, despite the concluding words 'or other events beyond the control of that party'.

Example 2 does not give a list of force majeure events. Instead, it:

- sets up a general principle—'circumstances beyond the reasonable control of that party' and then
- gives the example of labour disputes in order to remove any doubt over whether these would be covered by the clause.

To ensure that this example does not inadvertently narrow the types of circumstance which would be covered by the clause (ie in light of the *ejusdem generis* rule), the example is introduced by the words 'including without limitation'.

'Including without limitation' is not the only phrase which can be used to dis-apply the rule[197]. Phrases such as:

- 'whether or not similar to the foregoing'; or
- 'without prejudice to the generality of the foregoing'; or
- 'or any other [item] whatsoever'; or
- 'whatsoever';

have been held to have the effect of dis-applying the rule[198].

Much will depend upon context and the words used though; for example 'whatsoever' in one case did not dis-apply the *ejusdem generis* principle[199].

It is suggested that words such as 'including without limitation' are better. Also relevant is whether the items in the list are of the same type. In a case involving the interpretation of an insurance contract, the following came in for consideration: 'fire or intruder alarm switch gear control panel or machinery'. It was held that 'machinery' was a distinct category to the other items in the list (in the context of the contract regarding that of fire protection equipment)[200].

[197] See the *Chandris* case, see fn 191.
[198] See eg *Earl of Jersey v Neath Poor Law Union Guardians* (1889) 22 QBD 555; *Chandris v Isbrandsten-Moller Co Inc* [1951] 1 KB 240.
[199] *BOC Group plc v Centeon LLC* [1999] 1 All ER (Comm) 970.
[200] See *Reilly v National Insurance and Guarantee Corpn Ltd* [2008] EWHC 722 (Comm), [2008] 2 All ER (Comm) 612.

6.5.19 Unclear contract wording will be construed against the interests of the grantor or the party which benefits from the wording ('contra proferentem')

Nowadays the continuing relevance of the 'contra proferentem' rule is doubtful, as in simple terms, its use is no longer necessary given the modern approach to the interpreting of contractual terms outlined in this chapter. Recent cases have indicated that it will not be of much use in interpreting a commercial contract as:

> '… such rules are rarely if ever of any assistance when it comes to construing commercial contracts. … "rules" of interpretation such as contra proferentem are rarely decisive as to the meaning of any provisions of a commercial contract. The words used, commercial sense, and the documentary and factual context, are, and should be, normally enough to determine the meaning of a contractual provision'[201].

It is likely to be of use when there is genuine ambiguity in a contractual provision, often seen as of use only as a last resort[202].

Traditionally, exemption clauses were strictly (or 'narrowly') interpreted and the contra proferentem rule applied so that any ambiguity in the clause is resolved against the 'proferens'.[203] The proferens is sometimes referred to as the person who:

- drafted the clause; or
- put the clause forward for inclusion in the contract; or[204]
- put forward the document containing the clause in question; and sometimes
- is seeking to rely on it.[205]

[201] *K/S Victoria Street v House of Fraser (Stores Management) Ltd* [2011] EWCA Civ 904, [68]; *Persimmon Homes Ltd and others v Ove Arup & Partners Ltd and another* [2017] EWCA Civ 373, [52].

[202] *Sinochem International Oil (London) Co Ltd v Mobil Sales and Supply Corpn* [2000] 1 All ER (Comm) 474 at 483. *Singer (UK) Ltd v Tees and Hartlepool Port Authority* [1988] 2 Ll Rep 164 per Steyn J at 169. See also *Hinks v Fleet* [1986] 2 EGLR 243 per Lloyd LJ at 246; *McGeown v Direct Travel Insurance* [2004] 1 All ER (Comm) 609 per Auld LJ at [13]: 'A court should be wary of starting its analysis by finding an ambiguity by reference to the words in question looked at on their own. And it should not, in any event, on such a finding move straight to the contra proferentem rule without first looking at the context and, where appropriate, permissible aids to identifying the purpose of the commercial document of which the words form part. Too early recourse to the contra proferentem rule runs the danger of creating an ambiguity where there is none'.

[203] See *The Hut Group Ltd v Nobahar-Cookson and another* [2016] EWCA Civ 128, [14], [16], [18].

[204] *Caledonia North Sea Limited v British Telecommunications Plc (Scotland) and Others* [2002] UKHL 4 per Lord Mackay at [36].

[205] It has been pointed out that the rule is sometimes stated as referring to the drafter of the clause and sometimes the person seeking to rely on it (*Youell v Bland Welch & Co Ltd* [1992] 2 Ll Rep 127 per Staughton LJ at 134).

It may not be clear who the 'proferens' is in some situations, such as with standard form contracts where parties throughout an industry or trade section may use the standard terms, with it being purely fortuitous as to which one of them introduced the terms into the particular contract[206].

Accordingly, its role is marginal because of the other tools available to the courts to give the answers to the meaning of a provision as well as the difficulty of identifying a proferens in a modern commercial contract – and as indicated its use will be limited to where there is genuine ambiguity:

> 'In my judgment, the modern approach to the contra proferentem rule, in commercial contracts at least, is something of a sceptical one. The "rule" (if rule is the correct word) requires ambiguity in a provision—for example, in an exemption clause—to be resolved against the party who put the clause forward and relies upon it. The rule has been subject to criticism, and is something of a historical remnant. The first and most difficult aspect of the rule is determining in a commercial contract which party is in fact the proferens.'[207]

6.5.20 The court is unlikely to interpret the contract so as to allow a party to take advantage of his own wrongdoing unless clear wording is used

There is a presumption that the parties do not intend that a party is entitled to rely upon its own breach of its primary obligations to bring to an end a contract, unless there are 'clear express provisions' to that effect in the contract[208].

This principle seems to be one of public policy, and is not limited to termination provisions in contracts[209]. An example which comes to mind concerns restrictive covenants in employment contracts. It has been held that an obligation on an employee not to compete with his employer after termination of the contract of employment is not enforceable if the termination arose from the employer's breach of contract[210].

There is conflicting case law as to whether a party is able to take advantage of his own wrongdoing; some of this case law suggests that there is a principle

[206] *E Scott (Plant Hire) Ltd v British Waterways Board* (20 December 1982, unreported), CA.

[207] *Bates and others v Post Office Ltd* [2019] EWHC 606 (QB), [635]. In this case the judge indicated there was no difficulty in determining the proferens as only the Post Office had drafted the terms of the contract between it and the defendants. See also *Multiplex Construction European Ltd v Dunne* [2017] EWHC 3073 (TCC); *Federal Republic of Nigeria v JP Morgan Chase Bank NA* [2019] EWHC 347 (decision appealed, but affirmed), [34]: '… In any event, the modern objective and contextual approach to the meaning of the words, with business common sense and purpose also being relevant in some cases, renders it unnecessary to regard there as being a separate contra proferentem rule.'

[208] See *Cheall v Association of Professional, Executive, Clerical and Computer Staff* [1983] 2 AC 180, HL; *Great Elephant Corpn v Trafigura Beheer BV* [2013] EWCA Civ 905.

[209] For example, see *Alghussein Establishment v Eton College* [1988] 1 WLR 587, HL.

[210] See *D v M* [1996] IRLR 192; and *Living Design (Home Improvements) Ltd v Davidson* [1994] IRLR 69.

of law (and therefore a party cannot do so) while other cases suggest that it is a matter of interpretation (and the party can if there are clear words). Irrespective of whether it is a principle or a matter of interpretation, the presumption will apply[211].

It is not entirely clear what the 'clear express provisions' referred to above are, but perhaps something along the following lines:

The Parties acknowledge and agree that this Agreement shall be interpreted so as to allow a Party to rely on, or take advantage of, his own wrongdoing (including without limitation any wilful default, negligence, breach of contract or other misconduct or failing) when exercising any rights or avoiding any obligations under this Agreement.

No doubt this wording could be improved. In order for the presumption to be overcome:

- there needs to be a clear contractual intention to overcome the presumption, which is to be established by express provisions found in a contract[212];
- the breach of duty must be a duty that a party owes to another party under the provisions of the contract[213];
- the words must be clear so that the court does not need to establish that the presumption is not to apply[214].

It would be a very rare situation where all parties to a contract would agree to include wording along these lines. In practice there may be little one can do as drafter or negotiator to address this principle of interpretation.

6.5.20.1 Contracts should be lawful and interpreted as such

The courts prefer interpretations which result in lawful, valid, reasonable contracts which are capable of performance.

[211] See *Micklefield v SAC Technology Ltd* [1991] 1 All ER 275; *Decoma UK Ltd v Haden Drysys International Ltd* [2006] EWCA Civ 723. *Petroplus Marketing AG v Shell Trading International Ltd* [2009] EWHC 1024 (Comm), [17]: Although the starting point appears to be that 'it will be presumed that the parties intended that neither should be entitled to rely on his own breach of duty to obtain a benefit under a contract, at least where the breach of duty is a breach of an obligation under that contract'.

[212] *Richco International v Alfred C. Toepfer International* [1991] 1 Lloyd's Rep 136.

[213] *Little v Courage Ltd* (1995) 70 P & CR 469, CA, that is not where there is a unilateral contract (where a party does not have an obligation to another party), or where a person is not a party to contract.

[214] See *BDW Trading Ltd (t/a Barratt North London) v JM Rowe (Investments) Ltd* [2011] EWCA Civ 548. For example: *Sainsbury's Supermarkets Ltd v Bristol Rovers (1883) Ltd* [2015] EWHC 2002 (Ch) where the presumption was not displaced where a contract allowed a party to terminate a contract 'without prejudice to the rights of any one party against the other for any antecedent breach of the terms'.

- If there are two possible interpretations, one lawful and one unlawful, the court will apply the lawful interpretation[215].
- If by one interpretation the contract is valid, and by the other the contract is invalid, and the two interpretations are equally plausible, the valid interpretation will be preferred[216] so that:
  - a court gives the contract the fullest possible effect, even if the contract is defective in part[217];
  - if a contract which can be read in two ways, one of which is compliant with a statute and one which is not, then the court should read the contract in a way that is complaint, even if that is a less natural interpretation[218]
- If there are two possible interpretations it 'is legitimate to adopt a construction which limits the clause to [the] reasonable protection of a legitimate business interest' to make the clause valid as long as the clause is not rewritten[219].
- An interpretation which leads to a reasonable result may be preferred over one which leads to an unreasonable result[220] and the more unreasonable the result the less likely the parties would have intended the words used in the contract to have that unreasonable meaning[221], however, these points need to be interpreted with the following in mind:
  - the contract provision to be given an unreasonable meaning must use clear, unambiguous, wording (even if the result is 'capricious or unreasonable')[222];
  - a court cannot rewrite or remake a contract for the parties;

[215] *Faussett v Carpenter* (1831) 2 Dow & Cl 232. For a more recent consideration of this principle see *Landlord Protect Ltd v St Anselm Development Co Ltd* [2008] EWHC 1582 (Ch), [12].

[216] *Hillas & Co v Arcos Ltd* (1932) 147 LT 503, per Lord Wright. In *Anglo Continental Educational Group (GB) Ltd v Capital Homes (Southern) Ltd* [2009] EWCA Civ 218, [13] in relation to a badly-drafted agreement it was stated: 'In that situation, a principle which has particular potency and resonance is that, if the agreement is susceptible of an interpretation which will make it enforceable and effective, the court will prefer that interpretation to any interpretation which would result in its being void. The court will also prefer an interpretation which produces a result which the parties are likely to have agreed over an improbable result'.

[217] *Ross v Bank of Commercial (Saint Kitts Nevis) Trust and Savings Association Ltd* [2012] UKPC 3.

[218] *Great Estates Group Ltd v Digby* [2011] EWCA Civ 1120.

[219] *PSG Franchising Ltd v Lydia Darby Ltd* [2012] EWHC 3707 (QB), [31]. This point was made in relation to whether post termination restrictive covenants contained in a franchise agreement would amount to a restraint of trade (and unenforceable unless it is intended to protect a legitimate business interest).

[220] *Schuler (L) AG v Wickman Machine Tool Sales Ltd* [1974] AC 235.

[221] *Hayward v Norwich Union Insurance Ltd* [2001] 1 All ER (Comm) 545.

[222] *Australian Broadcasting Commission v Australian Performing Right Association Ltd* (1973) 129 CLR 99.

- one of the roles of the court is to determine the commercial purpose of the contract and interpret the provisions of the contract in accordance with that purpose, so that:

  'if detailed semantic and syntactical analysis of words in a commercial contract is going to lead to a conclusion that flouts business common sense, it must be made to yield to business commonsense'[223];

- where a clause is capable of two meanings and neither will flout common sense, a court may prefer the meaning which makes more commercial sense[224].

- An interpretation which requires a party to do something which is possible will be preferred over a requirement to do something which is impossible[225].

It is not surprising that the courts will tend to favour a lawful interpretation over an unlawful interpretation or a result which will make sense over one which does not. In most cases it may be thought unlikely that any advantage would be gained by wording the contract so as to try to contradict the presumptions.

These presumptions may allow the court to interpret a contract a little more broadly than the 'golden rule' (see **6.5.6.1**) would normally allow. Few drafting issues would seem to arise. If the drafter intends to include a provision which requires an unlawful, invalid or unreasonable result, or requires a party do something which is impossible, then the drafter has:

- to make the wording as clear as possible; and
- to signpost the fact that such an interpretation is intended.

This would make it more difficult for the court to misinterpret the wording, although this probably only helps in borderline cases where the obligation is not too extreme. If the court was really hostile to the provision it would probably find another way to make it unenforceable, such as on public policy grounds.

6.5.20.2 Drafting and negotiating issues in relation to the interpretation of express contract terms

- *Consistent use of words*. Take care to use the same words to express the same ideas throughout the contract.

[223] *Antaios Cia Naviera SA v Salen Rederierna AB; The Antaios* [1984] 3 All ER 229.
[224] *Barclays Bank plc v HHY Luxembourg SARL* [2010] EWCA Civ 1248, [25]–[26], applied in *Rainy Sky SA v Kookmin Bank* [2011] UKSC 50, [30].
[225] *Eurico SpA v Philipp Bros, The Epaphus* [1987] 2 Lloyd's Rep 215.

- *Consistency generally*. Check the contract for consistency, for example, between the obligations of different clauses[226].
- *Avoid unnecessary or redundant words*.
- *State the hierarchy of parts of agreement*. If the contract consists of several parts (for example, a main agreement, standard conditions, special conditions, schedules, or other attachments), consider including a clause which states the order of priority (see suggested wording above).
- *Avoid partial or incomplete obligations*. If the contract is to mention issues of particular concern, consider whether similar issues need mentioning (as in the planning example given above). Sometimes clauses are included on topics of immediate concern which repeat or overlap with more general provisions. If so, consider including wording in the specific clause such as 'without prejudice to the generality of clause X'.
- *State general principles and make clear any examples which are 'without limitation' to a general principle*. Rather than just list examples, state the general principle to which the examples relate (if this benefits your client). If it is useful then to state examples of that principle, introduce them with words such as 'including without limitation'.

6.5.21 Implied terms

The default position is normally that nothing is or should be implied into a contract[227]. There is a presumption against adding provisions which the parties have not themselves stated, on the basis that what is in the agreement is all that the parties intended to include[228]. This presumption is stronger if the agreement is in writing and sets out in detail what they have agreed[229]. A term will only be implied where it would 'spell out in express words what the instrument, read against the relevant background, would reasonably be understood to mean'[230].

The expression 'implied terms' can cover a variety of different types of term, including:

[226] See also Chapter 10 for more on checking agreements before signing them.

[227] *Crema v Cenkos Securities plc* [2010] EWCA Civ 1444. *Attorney General of Belize v Belize Telecom Ltd* [2009] UKPC 10, [17]: The need to imply something is normally, in a commercial contract, only necessary where some event happens which is not provided for in the contract: 'The most usual inference in such a case is that nothing is to happen. If the parties had intended something to happen, the instrument would have said so. Otherwise, the express provisions of the instrument are to continue to operate undisturbed. If the event has caused loss to one or other of the parties, the loss lies where it falls'.

[228] *Luxor (Eastbourne) Ltd v Cooper* [1941] AC 108.

[229] *Greatship (India) Ltd v Oceanografia SA de CV* [2012] EWHC 3468 (Comm); *BP Oil International Ltd v Target Shipping Ltd* [2013] EWCA Civ 196.

[230] *Attorney General of Belize v Belize Telecom Ltd* [2009] UKPC 10, [21]; *Crema v Cenkos Securities plc* [2010] EWCA Civ 1444.

- ***Terms implied because of the general relationship of the parties.*** For example, as buyer and seller of goods or services, or as solicitor and client, or as employer and employee. Such terms may be implied:
  - under common law (eg an employee's duty of 'fidelity' to his employer); or
  - by statute (eg the various terms which are implied by the Sale of Goods Act 1979, such as that the seller, in sale of goods, has the right to sell the goods, s 12).
- ***Terms implied into the particular transaction.*** In other words, terms which the parties have not expressed in their contract but which the court decides are nevertheless a part of their particular bargain. This is likely to occur only where it is necessary to do so, either:
  - to give business efficacy to the contract[231]; or
  - when something is so obvious that it goes without saying (sometimes called the 'officious bystander test')[232].

  The leading Supreme Court case on the implication of terms has clearly indicated that only in the limited circumstance of 'necessity' will a court imply a term into a contract, and with 'necessity' itself having a restricted meaning[233]. To decide whether a term should be implied into a contract the following points are relevant and illustrate how difficult it will be for a party to argue that a term should be implied into a contract:
- a court should first interpret the provisions of the contract to determine what the parties have expressly agreed as:

  > 'it is difficult to see how one can set about deciding whether a term should be implied and if so what term. … given that it is a cardinal rule that no term can be implied into a contract if it contradicts an express term, it would seem logically to follow that, until the express terms of a contract have been construed, it is, at least normally, not sensibly possible to decide whether a further term should be implied.'

- it may not be certain whether the failure to include a term that the parties (or a party) wish to imply:
  - was a result of an oversight; or

[231] *Marks and Spencer plc v BNP Paribas Securities Services Trust Co (Jersey) Ltd* [2015] UKSC 72, [21]: 'a term can only be implied if, without the term, the contract would lack commercial or practical coherence'.

[232] *Shirlaw v Southern Foundries (1926) Ltd* [1939] 2 KB 206 at 227: This test '… is something so obvious that it goes without saying; so that if, while the parties were making their bargain, an officious bystander were to suggest some express provision for it in the agreement, they would testily suppress him with a common "oh, of course"'.

[233] *Marks and Spencer plc v BNP Paribas Securities Services Trust Co (Jersey) Ltd* [2015] UKSC 72 and followed in further decisions in the Supreme Court (*Airtours Holidays Transport Ltd v Revenue and Customs* [2016] UKSC 21, [38]) and the Privy Council (*Ali v Petroleum Company of Trinidad and Tobago* [2017] UKPC 2, [7]), as well as in many cases in the lower courts.

- resulted from a deliberate decision on their part; or
- was not addressed because they could not agree on what was to happen if a particular eventuality was to occur and hoped the eventuality would not occur

so that it was:

> '… difficult to infer with confidence what the parties must have intended when they have entered into a lengthy and carefully-drafted contract but have omitted to make provision for the matter in issue.'[234]

- as a court will be looking at the contract 'with the benefit of hindsight' it should not fashion and imply a term 'which will reflect the merits of the situation as they then appear'[235];
- for a court to imply a term it is not 'critically dependent on proof of an actual intention of the parties' when they negotiated their contract but rather on what 'notional reasonable people in the position of the parties at the time at which they were contracting' would have agreed[236];
- a court should not imply a term in a detailed commercial agreement because it is fair to do so, or that the parties would have agreed the term if it had been suggested to them[237];
- implying a term should not involve a court rewriting a contract:
  - in a way which it believes to be reasonable; or
  - in such a way it prefers the agreement to the one the parties have negotiated[238];
- necessity is not shown by adding to or improving the parties' contract[239].

The test, as set out by the Supreme Court, as to whether a term should be implied into a contract is that:

> 'a term will be implied if a reasonable reader of the contract, knowing all its provisions and the surrounding circumstances, would understand it to be implied is quite acceptable, provided that (i) the reasonable reader is treated as reading

[234] *Philips Electronique Grand Public SA v British Sky Broadcasting Ltd* [1995] EMLR 472, 481 quoted in *Marks and Spencer plc v BNP Paribas Securities Services Trust Co (Jersey) Ltd* [2015] UKSC 72, [19].

[235] *Philips Electronique Grand Public SA v British Sky Broadcasting Ltd* [1995] EMLR 472, 483 quoted in *Marks and Spencer plc v BNP Paribas Securities Services Trust Co (Jersey) Ltd* [2015] UKSC 72, [19]. The Supreme Court accepted that either obviousness or business necessity were alternatives; only one of them needs to be satisfied for a term to be implied although 'in practice it would be a rare case where only one of those two requirements would be satisfied' (from [21]).

[236] *Marks and Spencer plc v BNP Paribas Securities Services Trust Co (Jersey) Ltd* [2015] UKSC 72, [21] and the first quote is from *Equitable Life Assurance Society v Hyman* [2002] 1 AC 408, 459.

[237] *Marks and Spencer plc v BNP Paribas Securities Services Trust Co (Jersey) Ltd* [2015] UKSC 72, [21].

[238] *Ali v Petroleum Company of Trinidad and Tobago* [2017] UKPC 2, [7].

[239] [2017] UKPC 2, [7].

> the contract at the time it was made and (ii) he would consider the term to be so obvious as to go without saying or to be necessary for business efficacy.'[240]

The test is subject to two provisos:

- the question as to whether a term should be implied 'is to be judged at the date the contract is made'[241];
- the use of the word 'reasonable' in the test is to be set in the context that it does not dilute the 'test of necessity':

> 'that "[t]he legal test for the implication of … a term is … strict necessity", which [is] described as a "stringent test"'[242].

6.5.22 Terms implied by statute

A detailed discussion of the interpretation by the court of the terms which are or have been implied into a contract is beyond the scope of this book. The reader should consult standard contract law books[243].

However, we include here a summary of the main terms implied under the main legislation relevant to commercial contracts (the Sale of Goods Act 1979 and the Supply of Goods and Services Act 1982). Although terms are implied by other statutes, they are not of such general application as those in these two Acts.

6.5.22.1 Terms implied by the Sale of Goods Act 1979

6.5.22.1.1 Implied terms about title, etc[244]

In a contract for the sale of goods[245] there are implied terms that:

- the seller has the right to sell the goods[246];

[240] *Marks and Spencer plc v BNP Paribas Securities Services Trust Co (Jersey) Ltd* [2015] UKSC 72, [23]. *Equitable Life Assurance Society v Hyman* [2002] 1 AC 408, 459.

[241] *Marks and Spencer plc v BNP Paribas Securities Services Trust Co (Jersey) Ltd* [2015] UKSC 72, [23].

[242] *Marks and Spencer plc v BNP Paribas Securities Services Trust Co (Jersey) Ltd* [2015] UKSC 72, [23], quoting from the judgment of *Equitable Life Assurance Society v Hyman* [2002] 1 AC 408, 459.

[243] For example, *Chitty on Contracts* (33rd edn, 2019, Sweet and Maxwell), Chapter 13; *Treitel on The Law of Contract* (15th edn, 2020, Sweet and Maxwell).

[244] Sale of Goods Act 1979, s 12.

[245] A 'contract of sale of goods' is 'a contract by which the seller transfers or agrees to transfer the property in goods to the buyer for a money consideration, called the price': Sale of Goods Act 1979, s 2(1). And where under 'a contract of sale the property in the goods is transferred from the seller to the buyer the contract is called a sale': Sale of Goods Act 1979, s 2(4). A contract of sale of good is distinguished from an 'agreement to sell' as the latter occurs when the transfer of property in the goods takes place at a future time or is subject to some condition which is to be fulfilled later (Sale of Goods Act 1979, s 2(5)) and 'an agreement to sell becomes a sale when the time elapses or the conditions are fulfilled subject to which the property in the goods is to be transferred' (Sale of Goods Act 1979, s 2(6)).

[246] Sale of Goods Act 1979, s 12(1). In an agreement to sell, the seller will be taken to have the right to sell the goods at the time the property is to pass. This is a condition: Sale of Goods Act 1979, s 12(5A).

- the goods are free from any charge or encumbrance not disclosed or known to the buyer before the contract is made[247]; and
- the buyer will enjoy quiet possession of the goods (except for disturbance by a person holding a charge or encumbrance over the goods which was disclosed or known to the buyer before the contract was made)[248].

The right to sell may be limited in a contract of sale where there appears from the contract or is to be inferred from its circumstances an intention that the seller should transfer only such title as the seller or a third person may have[249]. If this limitation applies, there is an implied term that:

- all charges or encumbrances known to the seller and not known to the buyer have been disclosed to the buyer before the contract is made[250]; and
- that the buyer's quiet possession of the goods will not be disturbed by:
  - the seller;
  - if the parties intend that the seller will transfer only such title as a third person has, that third person;
  - any person claiming through or under the seller or that third person (unless under a charge or encumbrance disclosed or made known to the buyer before the contract is made)[251].

The implied term of quiet possession is breached if the product is subject to third-party patent rights[252] or trade mark rights[253].

Liability for breach of an obligation arising from a seller's implied undertakings as to title cannot be excluded by reference to any contract term[254].

6.5.22.1.2 Implied terms about quality[255]

Where the goods are sold in the course of a business, there is an implied term that the goods are of satisfactory quality[256]. Goods are of satisfactory quality for the purposes of the Act if:

> 'they meet the standard that a reasonable person would regard as satisfactory, taking account of any description of the goods, the price (if relevant) and all the other relevant circumstances'[257].

[247] Sale of Goods Act 1979, s 12(2)(a). This is a warranty: Sale of Goods Act 1979, s 12(5A).
[248] Sale of Goods Act 1979, s 12(2)(b). This is a warranty: Sale of Goods Act 1979, s 12(5A).
[249] Sale of Goods Act 1979, s 12(3).
[250] Sale of Goods Act 1979, s 12(4). This is a warranty: Sale of Goods Act 1979, s 12(5A).
[251] Sale of Goods Act 1979, s 12(5). This is a warranty: Sale of Goods Act 1979, s 12(5A).
[252] *Microbeads AC v Vinhurst Road Markings Ltd* [1975] 1 All ER 529, CA.
[253] *Niblett Ltd v Confectioners' Materials Co Ltd* [1921] 3 KB 387, CA.
[254] Unfair Contract Terms Act 1977, s 6(1).
[255] Sale of Goods Act 1979, s 14.
[256] Sale of Goods Act 1979, s 14(2). This is a condition: Sale of Goods Act 1979, s 14(6).
[257] Sale of Goods Act 1979, s 14(2A). There is an additional category to add to this list if the purchaser is a consumer: 'any public statements on the specific characteristics of the goods made about them by the seller, the producer or his representative (particularly in advertising or on labelling)'.

The quality of goods is further defined[258] as follows:

> '(2B) For the purposes of this Act, the quality of goods includes their state and condition and the following (among others) are in appropriate cases aspects of the quality of goods
>
> (a) fitness for all the purposes for which goods of the kind in question are commonly supplied,
>
> (b) appearance and finish,
>
> (c) freedom from minor defects,
>
> (d) safety, and
>
> (e) durability.'

However, the implied term of satisfactory quality does not apply to:

- any matter which is drawn to the buyer's attention before the contract is made; or
- where the buyer examined the goods before the contract was made, any matter which that examination ought to have revealed; or
- if there is a sale by sample, any matter which would have been apparent on a reasonable examination of the sample[259].

Other than as stated above, there is no implied term about the quality or fitness for any particular purpose of goods supplied under a contract of sale[260].

Liability for breach of an obligation arising from a seller's implied undertakings as to the quality of the goods cannot be excluded or restricted by reference to a contract term unless the contract terms satisfies the requirement of reasonableness[261].

6.5.22.1.3 Implied terms about fitness for purpose[262]

Where the goods are sold in the course of a business, and the buyer expressly or by implication makes known any particular purpose for which the goods are being bought[263], there is an implied term that the goods are reasonably fit for that purpose[264]. The previous sentence is subject to an exception, that if in the circumstances it can be shown that the buyer does not rely, or that it is unreasonable for the buyer to rely, on the skill and judgment of the seller.

[258] Sale of Goods Act 1979, s 14(2B).
[259] Sale of Goods Act 1979, s 14(2C).
[260] Sale of Goods Act 1979, s 12(1).
[261] Unfair Contract Terms Act 1977, s 6(1A).
[262] Sale of Goods Act 1979, s 14.
[263] If goods have only one purpose, it is not necessary to specify it for this implied term to be engaged: *Priest v Last* [1903] 2 KB 148, CA.
[264] Sale of Goods Act 1979, s 14(3). This is a condition: Sale of Goods Act 1979, s 14(6).

Liability for breach of an obligation arising from a seller's implied undertakings as to the fitness for purpose for the goods cannot be excluded or restricted by reference to a contract term unless the contract term satisfies the requirement of reasonableness[265].

6.5.22.1.4 Implied terms about sale by sample[266]

There are implied conditions that:

- the bulk will comply with the sample in quality; and
- the goods will be free from any defect making their quality unsatisfactory, which would not be apparent on reasonable examination of the sample.

Liability for breach of an obligation arising from a seller's implied undertakings as to the conformity of the goods with a sample cannot be excluded or restricted by reference to a contract term unless the contract terms satisfies the requirement of reasonableness[267].

6.5.22.1.5 Implied terms about sale by description[268]

Where there is a sale of goods by description, there is an implied term that the goods will correspond with the description. Where there is sale by sample and by description as well, it is not enough that the bulk of the goods match the sample but do not match the description[269].

Liability for breach of an obligation arising from a seller's implied undertakings as to the description of the goods cannot be excluded or restricted by reference to a contract term unless the contract terms satisfies the requirement of reasonableness[270].

As noted above, under the Unfair Contract Terms Act 1977:

- it is not possible to contract out of liability for breach of the terms referred to in **6.5.22.1.1** above[271];
- any exclusion or limitation of liability for breach of terms in **6.5.22.1.2–6.5.22.1.5** above must be reasonable[272].

A buyer's right to reject the goods for breach by the supplier of the Sale of Goods Act 1979, ss 13, 14 and/or 15 is to be treated as a breach of warranty

[265] Unfair Contract Terms Act 1977, s 6(1A).
[266] Sale of Goods Act 1979, s 15. This is a condition: Sale of Goods Act 1979, s 15(3).
[267] Unfair Contract Terms Act 1977, s 6(1A).
[268] Sale of Goods Act 1979, s 13. This is a condition: Sale of Goods Act 1979, s 13(1A).
[269] Sale of Goods Act 1979, s 13(2).
[270] Unfair Contract Terms Act 1977, s 6(1A).
[271] Unfair Contract Terms Act 1977, s 6(1).
[272] Unfair Contract Terms Act 1977, s 6(1A).

rather than a breach of condition if the breach is so slight that it would be unreasonable for the purchaser to reject the goods[273].

6.5.22.2 Terms implied by the Supply of Goods and Services Act 1982

The Supply of Goods and Services Act 1982 is concerned with three main types of contract:

- contracts for the transfer of property in goods;
- contracts for the hire of goods; and
- contracts for the supply of services.

As is discussed in more detail below, the Supply of Goods and Services Act 1982 implies certain terms into such contracts, including:

- in relation to goods, conditions or warranties as to title, freedom from encumbrances, quiet possession, correspondence with description or sample, quality, fitness for purpose, right to transfer possession; and
- in relation to the supply of services, that the service will be carried out with reasonable care and skill, in a reasonable time and for a reasonable charge.

6.5.22.3 Contracts for the transfer of property in goods

This category of contract is broader than a sale of goods[274], and covers, for example, a contract where the consideration is something other than money. As with contracts for the sale of goods, if property in the goods is not transferred, the relevant provisions of the Supply of Goods and Services Act 1982 will not operate. The terms implied into contracts for the transfer of property in goods are very similar to those implied into contracts for the sale of goods, as to which see above.

6.5.22.4 Contracts for the hire of goods

Such contracts are defined for the purposes of the Supply of Goods and Services Act 1982 as follows[275]:

[273] Sale of Goods Act 1979, s 15A. It is for the seller to show that a breach is so slight that it is unreasonable for the seller to reject them.

[274] See Supply of Goods and Services Act 1982, s 1: excluded from the definition are certain categories, eg hire-purchase agreements and mortgages.

[275] Supply of Goods and Services Act 1982, s 6.

> '(1) In this Act in its application to England and Wales and Northern Ireland a "relevant contract for the hire of goods" means a contract under which one person bails or agrees to bail goods to another by way of hire, other than a hire-purchase agreement…
>
> (3) For the purposes of this Act in its application to England and Wales and Northern Ireland a contract is a relevant contract for the hire of goods whether or not services are also provided or to be provided under the contract, and … whatever is the nature of the consideration for the bailment or agreement to bail by way of hire.'

Where a supply of materials is a contract for the hire of goods as defined by the Supply of Goods and Services Act 1982, a number of terms may be implied into the contract. These may be summarised as follows.

- ***Implied terms about right to transfer possession, etc***[276]. An implied condition that the bailor has the right to transfer possession of the goods; and an implied warranty that the bailee will enjoy quiet possession of the goods for the period of the bailment except for disturbance by the holder of charge or encumbrance which was disclosed or known to the bailee before the contract is made.
- ***Implied terms about quality***[277]. Where the bailor bails goods in the course of a business, an implied condition that the goods supplied are of satisfactory quality, except for defects specifically drawn to the bailee's attention before the contract is made or, if the bailee examines the goods before the contract is made, except for defects which the examination ought to reveal.
- ***Implied terms about fitness for purpose***[278]. Where the bailor bails goods in the course of a business and the bailee makes known, expressly or by implication, any particular purpose for which the goods are being bailed, there is an implied condition that the goods supplied are reasonably fit for that purpose, unless the bailee does not rely, or it is unreasonable for him to rely, on the skill and judgment of the bailor.
- ***Implied terms where hire is by sample***[279]. Where the bailor bails goods by reference to a sample, there is an implied condition: (i) that the bulk will correspond with the sample in quality; (ii) that the bailee will have a reasonable opportunity of comparing the bulk with the sample; and (iii) that the goods will be free from any defect rendering them unmerchantable, which would not be apparent on reasonable examination of the sample.

[276] Supply of Goods and Services Act 1982, s 7.
[277] Supply of Goods and Services Act 1982, s 9(2).
[278] Supply of Goods and Services Act 1982, s 9(5).
[279] Supply of Goods and Services Act 1982, s 10.

- ***Implied terms where hire is by description***[280]. Where the bailor bails the goods 'by description', there is an implied condition that the goods will correspond with the description.

These terms may be 'negatived or varied by express agreement, or by the course of dealing between the parties, or by such usage as binds both parties to the contract' (unless this is prohibited under the Unfair Contract Terms Act 1977[281]). In addition to these statutory terms, terms may also be implied[282] under the common law of bailment. If a bailee would be able to treat a contract as repudiated because there has been a breach of items 3, 4(i), 4(ii) and 5 of the above bullet point list but the breach is 'so slight that it would be unreasonable for [the bailee to repudiate the contract], then the breach is not to be treated as a condition but as a warranty'[283].

6.5.22.5 Contracts for the supply of services

Such a contract is defined[284] for the purposes of the Supply of Goods and Services Act as

> 'a contract under which a person ("the supplier") agrees to carry out a service…'.

This may or may not also involve a transfer or hire of goods. Where a contract for the supply of services exists, the Supply of Goods and Services Act provides that certain terms are implied into the contract. These may be summarised as follows.

- ***Implied term about care and skill***[285]. Where the supplier is acting in the course of a business, there is an implied term that the supplier will carry out the service with reasonable care and skill.
- ***Implied term about time for performance***[286]. Where the supplier is acting in the course of a business and the time for the service to be carried out is not:
  - (i) fixed by the contract;
  - (ii) left to be fixed in a manner agreed by the contract; or

[280] Supply of Goods and Services Act 1982, s 8.
[281] Supply of Goods and Services Act 1982, s 11.
[282] Other than in relation to quality of fitness: see Supply of Goods and Services Act 1982, ss 11(3) and 9(1).
[283] Supply of Goods and Services Act 1982, s 10A. It is for the bailor to show that any breach is so slight that it is unreasonable for the bailee to repudiate the contract: Supply of Goods and Services Act 1982, s 10A(3).
[284] Supply of Goods and Services Act 1982, s 12. However, certain contracts are excluded. A contract of service (ie employment) or apprenticeship is excluded. The Secretary of State may by statutory instrument exclude categories of service from one or more of the implied terms under the Act. A number of categories of service have been excluded by the Secretary of State in relation to the implied term of care and skill, eg the services of an advocate in court or before an arbitrator, building society directors and arbitrators.
[285] Supply of Goods and Services Act 1982, s 13.
[286] Supply of Goods and Services Act 1982, s 14.

(iii) determined by the course of dealing between the parties,

there is an implied term that the supplier will carry out the service within a reasonable time.

- ***Implied term about reasonable charges***[287]. Where the consideration for the service is not:

  (i) determined by the contract;

  (ii) left to be determined in a manner agreed by the contract; or

  (iii) determined by the course of dealing between the parties,

  there is an implied term that the party contracting with the supplier will pay a reasonable charge.

Such terms may be 'negatived or varied by express agreement, or by the course of dealing between the parties, or by such usage as binds both parties to the contract', unless this is prohibited by the Unfair Contract Terms Act 1977[288]. An express term will only negative one of the above implied terms if inconsistent with them[289].

6.5.22.6 Drafting and negotiating issues

If a court decides that a term should be implied into a contract, it will also decide what the scope of that implied term will be; in many cases this will be beyond the control of the contract drafter. However, there are some things a contract drafter can do to try to ensure that a court will interpret the contract in the way the drafter's clients or colleagues intend, particularly the following:

- ***Include general disclaimer of implied terms***. It is common to include in detailed contracts an 'entire agreement' provision, that the contract contains no terms other than those stated in the contract document. Typical wording for such a clause[290] (which also seeks to exclude prior representations) is:

  > Each of the Parties acknowledges that, in entering into this Agreement, it does not do so in reliance on any representation, warranty or other provision except as expressly provided in this Agreement, and any conditions, warranties or other terms implied by statute or common law are excluded from this Agreement to the fullest extent permitted by law. Nothing in this Agreement excludes liability for fraud.

- ***Consider what terms might be implied/include specific disclaimers***. A general disclaimer may not be legally effective, particularly if a provision needs to be implied for the contract to work. As discussed below, it may

[287] Supply of Goods and Services Act 1982, s 15.
[288] Supply of Goods and Services Act 1982, s 16.
[289] Supply of Goods and Services Act 1982, s 16(2).
[290] See discussion of entire agreement below at **6.5.23.9**.

be desirable to include express terms to ensure contractual certainty and to avoid the risk that the court will imply terms which you do not want. In addition, it may be useful to consider whether the court might imply terms for any of the following reasons, and if so whether the contract should include specific disclaimers (or whether terms should be included to avoid having the court imply terms):

- terms implied by statute[291];
- terms implied at common law[292];
- terms implied by trade usage or custom;
- terms implied from previous course of dealing of the parties;
- terms implied from recitals, which need to be stated in the operative terms of the contract[293].

- ***Include express terms***. Consider whether the contract needs the addition of express terms to the contract to ensure that it deals with all the important issues which are likely to arise in the operation of the contract. For example, do the express terms address:
  - when particular obligations are to be performed,
  - the duration of the obligations,
  - the standard or manner of their performance, and
  - the price to be paid;

  bearing in mind that failure to state these things may (depending on the facts) lead the court to imply terms which do not coincide with what you want the obligations to be, or may cause the contract to be void for uncertainty.

6.5.23 Special rules for exemption clauses

There are many cases where the courts have had to decide whether exemption clauses (clauses excluding or limiting liability) are legally effective. Over time, different principles have emerged from the cases[294], and it is likely that

[291] Particularly under the Sale of Goods Act 1979; the Supply of Goods and Services Act 1982; the Law of Property (Miscellaneous Provisions) Act 1989; the Package Travel, Package Holiday and Package Tours Regulations 1992, SI 1992/3288; the Sale and Supply of Goods to Consumers Regulations 2002, SI 2002/3045; the Consumer Protection (Distance Selling) Regulations 2000, SI 2000/2334; and under consumer credit legislation.

[292] Too numerous to mention here: see standard contract law texts such as *Chitty on Contracts* (33rd edn, 2018, Sweet and Maxwell) and Treitel *The Law of Contract* (15th edn, 2020, Sweet and Maxwell).

[293] See **2.6** in relation to the status of recitals.

[294] For example, there was a series of cases in which it was decided that exemption clauses could not apply to fundamental breaches of contract, but these are no longer considered to be good law.

aspects of the current law may change as more cases come before the courts[295] although the method by which exemption clauses are now interpreted has not changed in recent years. A discussion of the many reported cases in which the courts have considered exemption clauses is beyond the scope of this book[296]. This section will focus mainly on drafting issues.

There are two main areas that need consideration when drafting exemption clauses:

(1) the general approach of the courts when interpreting such clauses; and

(2) the effect of legislation upon such clauses, particularly the Unfair Contract Terms Act 1977.

For the purposes of considering the drafting and negotiating issues which arise in relation to exemption clauses, it is useful to highlight some of the main issues which the courts consider when interpreting exemption clauses.

6.5.23.1 *Former general hostility of the courts to exemption clauses*

Judicial fashion changes over time as to how exemption clauses are interpreted, so that in the past courts tended looked much more critically at exemption clauses than they do at other types of contract clause[297]. Much of this hostility occurred prior to the bringing into force of the Unfair Contract Terms Act 1977 (which introduced controls on some exemption clauses) with cases seeking where possible, in simple terms, to protect the weak from the strong[298]. This approach included trying to find an interpretation of exemption clauses which would provide protection for weaker parties; something which was no longer necessary after the bringing into force of the Unfair Contract Terms Act 1977[299].

Further developments, post Unfair Contract Terms Act 1977 are that the courts now recognise that:

[295] As the next heading indicates that how courts view exemption clauses has changed from hostility to interpreting them in the same way as other clauses (although more strictly than other terms of contractual provision).

[296] Readers can consult the authors' *Macdonald's Exemption Clauses and Unfair Terms* (3rd edn, 2022, Bloomsbury Professional Publishing); Lewison, *The Interpretation of Contracts* (7th edn, 2022, Sweet & Maxwell); *Chitty on Contracts* (33rd edn, 2018, Sweet & Maxwell).

[297] Formerly the courts took '… a restrictive approach to the construction of exemption clauses and clauses limiting liability for breaches of contract and other wrongful acts. However, in recent years it has been increasingly willing to recognise that parties to commercial contracts are entitled to apportion the risk of loss as they see fit and that provisions which limit or exclude liability must be construed in the same way as other terms …': *Tradigrain SA v Intertek Testing Services (ITS) Canada Ltd* [2007] EWCA Civ 154, [46].

[298] *George Mitchell (Chesterhall) Ltd v Finney Lock Seeds Ltd* [1983] QB 284, [297].

[299] *Photo Production Ltd v Securicor Transport Ltd* [1980] AC 827, [851].

- parties should be free to decide how and the extent to which they exclude or limit liability (where the Unfair Contract Terms Act 1977 does not apply)[300]; and
- clauses which exclude or limit liability should be interpreted in the same way as any other provision of a contract'[301].

It is also necessary to take account of the general trend in relation to the interpretation of contracts identified in *Investors' Compensation Scheme Ltd v West Bromwich Building Society*[302] and subsequent cases. An example of the former hostility to exemption clauses was a principle of interpretation which stated that parties could not exclude or limit liability for 'fundamental' breaches of contract. However, it is now settled law that no such principle of interpretation should be applied. It is[303]:

> '… a question of contractual intention whether a particular breach is covered or not and the courts are entitled to insist, as they do, that the more radical the breach the clearer must the language be if it is to be covered'.

And[304]:

> '… the question whether, and to what extent, an exclusion clause is to be applied to a fundamental breach, or a breach of a fundamental term, or indeed to any breach of contract, is a matter of construction of the contract.'

In practice, a court may well find that the proper construction of the contract is that the parties did not intend the exemption clause to apply to fundamental breach, or to complete non-performance by a party of its obligations. But this is a rather different matter to saying that one cannot exempt liability for such breach or non-performance.

[300] *Persimmon Homes Ltd and others v Ove Arup & Partners Ltd and another* [2017] EWCA Civ 373, [35]: 'There has been a shift in the approach of the courts to limitation and exclusion clauses since the enactment of UCTA. In commercial contracts to which UCTA does not apply there is a growing recognition that parties should be free to allocate risks as they see fit'; *Taberna Europe CDO II plc v Selskabet af 1 September 2008 A_S (formerly Roskilde Bank A_S)* [2016] EWCA Civ 1262, [26].

[301] *Tradigrain S.A. v Intertek Testing Services (ITS) Canada Limited* [2007] EWCA Civ 154, [57]: 'It is certainly true that English law has traditionally taken a restrictive approach to the construction of exemption clauses and clauses limiting liability for breaches of contract and other wrongful acts. However, in recent years it has been increasingly willing to recognise that parties to commercial contracts are entitled to apportion the risk of loss as they see fit and that provisions which limit or exclude liability must be construed in the same way as other terms' See also similar comment made in *Interactive E-Solutions JLT and another v O3B Africa Ltd* [2018] EWCA Civ 62, [14]: 'The traditional approach of the courts towards exclusion clauses has been one of hostility. A strict and narrow approach to their interpretation held sway. This began to change with the passing of the Unfair Contract Terms Act 1977. Since then the courts have become more accepting of such clauses, recognising (at least in commercial contracts made between parties of equal bargaining power) that exclusion and limitation clauses are an integral part of pricing and risk allocation …'.

[302] [1998] 1 All ER 98. See **6.1**.

[303] See judgment of Lord Wilberforce in *Suisse Atlantique Société d'Armement Maritime SA v Rotterdamsche Kolen Centrale NV* [1967] 1 AC 361, HL.

[304] See leading judgment of Lord Wilberforce in *Photo Production Ltd v Securicor Ltd* [1980] AC 827.

Although there may no longer be any hostility to exemption clauses, they will be strictly interpreted against the party who wishes to rely on a clause. The reason that the courts strictly interpret an exemption clause is that it involves a departure from the obligations implied by law which parties realise they are accepting when they enter a contract of a particular kind, with the degree of strictness depending on the extent of the departure from the implied obligations[305]. But whether the clause is effective to exclude liability is only a matter of interpreting its wording (rather than being hostile against them as a presumption)[306]. However, a clause limiting liability rather than one excluding it completely is likely to be interpreted less strictly[307]. If the words of the exemption clause are clear enough[308], any and all types of liability may be excluded however unreasonable[309] (subject to statutory constraints on exclusion clauses, discussed below). But it is necessary to use very clear words[310]. For example, in a contract for the supply of goods, if the supplier is to exclude liability for supplying completely different goods to those ordered,

[305] *Photo Production Ltd v Securicor Transport Ltd* [1980] AC 827, 851; *Whitecap Leisure Ltd v John H. Rundle Ltd* [2008] EWCA Civ 429, [20].

[306] See *Astrazeneca UK Ltd v Albemarle International Corporation and another* [2011] EWHC 1574 (Comm), [294]: 'that Lord Wilberforce [in his speech in *Photo Production Ltd v Securicor Transport Ltd* [1980] AC 827] was rejecting any artificial distinctions between different kinds or degrees of breach of contract or presumptions against the application of exclusion or limitation clauses and saying that, whilst such clauses are construed strictly against the party who seeks to rely on the clause, it is a question of construction of the clause in every case, as to whether it covers the particular breach in question'. See also, for example: *Amiri Flight Authority v BAE Systems plc* [2003] EWCA Civ 1447, [25]; *Nobahar-Cookson & Ors v The Hut Group Ltd* [2016] EWCA Civ 128, [19]: 'This approach to exclusion clauses is not now regarded as a presumption, still less as a special rule justifying the giving of a strained meaning to a provision merely because it is an exclusion clause. Commercial parties are entitled to allocate between them the risks of something going wrong in their contractual relationship in any way they choose. Nor is it simply to be mechanistically applied wherever an ambiguity is identified in an exclusion clause. The court must still use all its tools of linguistic, contextual, purposive and common-sense analysis to discern what the clause really means …'.

[307] See *Ailsa Craig Fishing Co Ltd v Malvern Fishing Co Ltd and Securicor (Scotland) Ltd* [1983] 1 All ER 101 at 102, HL; *EE Caledonia Ltd v Orbit Valve plc* [1995] 1 All ER 174, CA. See also *Frans Maas (UK) Ltd v Samsung Electronics (UK) Ltd* [2004] EWHC 1502 (Comm), [131].

[308] *First Tower Trustees Ltd and another v CDS (Superstores International) Ltd* [2018] EWCA Civ 1396, [84].

[309] *Photo Production Ltd v Securicor Transport Ltd* [1980] AC 827, 851: But a court cannot '… reject [an] exclusion clause, however unreasonable the court itself may think it is, if the words are clear and fairly susceptible of one meaning only'.

[310] It appears that the courts are more willing to set an exclusion clause in the context of the agreement, and there is a greater recognition that 'parties to commercial contracts are entitled to apportion the risk of loss as they see fit and that provisions which limit or exclude liability must be construed in the same way as other terms' (*Tradigrain SA v Intertek Testing Services (ITS) Canada Ltd* [2007] EWCA Civ 154, [46]. However, there is still a requirement that clear wording is used, see *Stocznia Gdynia SA v Gearbulk Holdings Ltd* [2009] EWCA Civ 75, [2009] 2 All ER (Comm) 1129, from para 23: '… It is important to remember that any clause in a contract must be construed in the context in which one finds it, both the immediate context of the other terms and the wider context of the transaction as a whole. The court is unlikely to be satisfied that a party to a contract has abandoned valuable rights arising by operation of law unless the terms of the contract make it sufficiently clear that that was intended. The more valuable the right, the clearer the language will need to be'.

this would need to be stated explicitly, using words which might well be commercially off-putting to any purchaser:

We may supply you with completely different goods to those you have ordered, or supply you with no goods at all, and we will have no liability to you for doing so.

Language of this kind goes well beyond the typical 'legal' language of many exclusion clauses and is rarely encountered. It may have the effect of making the contract merely a statement of intent rather than a legally binding contract.

6.5.23.2 To exclude liability for the breach of condition(s) implied by the Sales of Goods Act 1979 it is necessary to use explicit wording to that effect

If a party wishes to exclude liability for conditions implied by the Sale of Goods Act 1979 then the exclusion clause normally needs to expressly use the word 'condition'. No other word will do (such as 'warranty' or 'guarantee'). In one case on this point, the contract provided:

'Sellers give no warranty, express or implied, as to growth, description, or any other matters, and they shall not be held to guarantee or warrant the fitness for any particular purpose of any grain, seed, flour, cake, or any other article sold by them, or its freedom from injurious quality or from latent defect'[311].

In this case the distinction between the breach of condition and a breach of warranty was clearly distinguished; and the above wording was held only to exclude liability for breach of warranty. This case has been followed such that an exclusion of liability clause worded as:

> 'The foregoing guarantee is accepted, instead of and expressly excludes any other guarantee or warranty express or otherwise'

did not exclude an implied condition[312] and similarly a clause which guaranteed goods against 'defective material and workmanship' for a specified period

[311] *Wallis, Son and Wells v Pratt and Haynes* [1911] AC 394, [1911–13] All ER Rep 989, HL.

[312] *Baldry v Marshall Ltd* [1925] 1 KB 260, [1924] All ER Rep 155, CA: '… [I]n *Wallis v Pratt* and, to my mind, it is quite plain that in that case the learned Law Lords also based their decision upon the express difference drawn in the Sale of Goods Act between "condition" and "warranty" and treated the condition that goods were to be equal to description—which is a condition just as the condition of fitness in the present case is a condition—as not being excluded by a clause which excluded warranty. In my opinion, the [the judge at first instance] was right in treating the word "guarantee" or "warranty" as being different from, certainly as not including, a condition. I think another way of looking at it is this, … that if a person wishes in a contract of sale to exclude what would be the ordinary statutory rights of a purchaser, he must do so in plain and unambiguous terms. In the present case the words are very, very far from being plain.'

(but otherwise did not include any exclusion of liability) also did not exclude the statutory implied condition of fitness for purpose[313].

This position has remained unchanged in a recent case[314] even where exclusion of liability wording more closely mirrored the wording found in the Sales of Goods Act:

> 'There are no guarantees, warranties or misrepresentations, express or implied, [of] merchantability, fitness or suitability of the oil for any particular purpose or otherwise which extend beyond the description of the oil set forth in this agreement.'

Wording such as 'merchantability'[315] and 'for any particular purpose' was not enough to cover a breach of condition under a contract.

Despite the initial two sentences indicating that only the use of the word 'condition' will suffice to exclude a condition implied by the Sale of Goods Act 1979, it is possible for other formulations of words or phrases to do so. For example in a clause which did not mention conditions at all:

> '4.1 the warranty, obligations and liabilities of seller and the rights and remedies of buyer set forth in the agreement are exclusive and are in lieu of and buyer hereby waives and releases all other warranties, obligations, representations or liabilities, express or implied, arising by law, in contract, civil liability or in tort, or otherwise, including but not limited to a) any implied warranty of merchantability or of fitness for a particular purpose …'[316]

was sufficient to exclude conditions implied by the Sale of Goods Act 1979, as a condition was one of the matters implied by law[317]. However, the principle remains that words used in a clause must clearly exclude the implied terms which are conditions under the Sale of Goods Act 1979 and that the principle is strictly applied[318] (even if the word 'condition' itself may not need to appear).

[313] *Cammell Laird & Co Ltd v Manganese Bronze and Brass Co Ltd* [1934] AC 402, [1934] All ER Rep 1.

[314] See *KG Bominflot Bunkergesellschaft für Mineralole mbH & Co v Petroplus Marketing AG (The Mercini Lady)* [2010] EWCA Civ 1145, [2011] 2 All ER (Comm).

[315] The word used in predecessor Act to the Sale of Goods Act 1979, for what is now 'satisfactory quality'.

[316] *Air Transworld Ltd v Bombardier In* [2012] EWHC 243 (Comm), [8]. The clause as reproduced in the case report was all in capitals but reformatted here to ease reading.

[317] *Air Transworld Ltd v Bombardier In* [2012] EWHC 243 (Comm), [28]: 'It is right that there is no term which purports to exclude the buyer's right to reject the goods and recover the price, nor to the specific sections of the Sale of Goods Act, but the words "all other… obligations … or liabilities express or implied arising by law", which the purchaser expressly waives, necessarily include the conditions implied by the Sale of Goods Act. In my judgment these are apt and precise words which are sufficiently clear to exclude those implied conditions and the Article, by necessary inference does negative the application of those implied conditions. The parties' language is in my judgment fairly susceptible of only one meaning … There is no express reference to the word "condition" but the language must necessarily be taken to refer to the implied conditions of the Sale of Goods Act, because they are obligations and liabilities "implied, arising by law"'.

[318] *Dalmare SpA v Union Maritime Ltd* [2012] EWHC 3537 (Comm), [84].

6.5.23.3 *No exclusion of liability for negligence unless this is made clear*

It is now clearly established under English law[319] that an exemption clause will not relieve a party from liability for its own negligence (or that of that party's 'servants'), unless this is stated specifically or is clearly intended by implication. The current approach to establish whether an exemption will cover negligence is set out in the following statements in a case:

> '1. A clear intention must appear from the words used before the Court will reach the conclusion that one party has agreed to exempt the other from the consequences of his own negligence or indemnify him against losses so caused. The underlying rationale is that clear words are needed because it is inherently improbable that one party should agree to assume responsibility for the consequences of the other's negligence ….
>
> 2. The Canada Steamship principles[320] are not to be applied mechanistically and ought to be considered as no more than guidelines; the task is always to ascertain what the parties intended in their particular commercial context in accordance with the established principles of construction… They nevertheless form a useful guide to the approach where the commercial context makes it improbable that in the absence of clear words one party would have agreed to assume responsibility for the relevant negligence of the other.
>
> 3. These principles apply with even greater force to dishonest wrongdoing, because of the inherent improbability of one party assuming responsibility for the consequences of dishonest wrongdoing by the other. The law, on public policy grounds, does not permit a party to exclude liability for the consequences of his own fraud; and if the consequences of fraudulent or dishonest misrepresentation or deceit by his agent are to be excluded, such intention must be expressed in clear and unmistakeable terms on the face of the contract. General words will not serve. The language must be such as will alert a commercial party to the

[319] See judgment of Lord Morton of Henryton in *Canada Steamship Lines Ltd v R* [1952] AC 192, PC, a Canadian case, approved in *Gillespie Bros & Co Ltd v Roy Bowles Transport Ltd* [1973] QB 400, CA, per Buckley LJ, and more recently in *HIH Casualty and General Insurance Ltd v Chase Manhattan Bank* [2003] UKHL 6, [2003] 1 All ER (Comm) 349. The *Canada Steamship Lines Ltd v R* case set out 3 principles (see fn 317). Their continual relevance has been affirmed by *Geys v Societe Generale, London Branch* [2012] UKSC 63, [37] and *Lictor Anstalt v MIR Steel UK Ltd; MIR Steel UK Ltd v Morris* [2012] EWCA Civ 1397, however there is other case law which doubts its continuing applicability given the modern approach to the interpretation of contractual provisions, see *Taberna Europe CDO II plc v Selskabet af 1 September 2008 A/S (formerly Roskilde Bank A/S)* [2016] EWCA Civ 1262, [24].

[320] A reference to the following passage from *Canada Steamship Lines Ltd v R* [1952] AC 192, PC: '(1) If the clause contains language which expressly exempts the person in whose favour it is made (hereafter called the "proferens") from the consequences of the negligence of his own servants, effect must be given to that provision … (2) If there is no express reference to negligence, the court must consider whether the words used are wide enough, in their ordinary meaning, to cover negligence on the part of the servants of the proferens. If a doubt arises at this point, it must be resolved against the proferens … (3) If the words used are wide enough for the above purposes, the court must then consider whether the "head of damage may be based on some ground other than that of negligence" …. The "other ground" must not be so fanciful or remote that the proferens cannot be supposed to have desired protection against it; but subject to this qualification … [that] the existence of a possible head of damage other than that of negligence is fatal to the proferens even if the words used are prima facie wide enough to cover negligence …'.

extraordinary bargain he is invited to make because in the absence of words which expressly refer to dishonesty the common assumption is that the parties will act honestly …'[321].

From older case law it is possible to establish the following more practical points as whether negligence is covered by an exemption clause:

- if the exemption clause does not refer to negligence, it may nevertheless be interpreted as exempting liability for negligence if the clause uses words which imply that negligence is covered or are wide enough to cover negligence, such as:
  - o 'all losses however caused'[322]; or
  - o 'from any cause whatsoever'[323];
- if the only possible basis of liability is negligence, it may not be necessary to refer to negligence specifically[324], unless there are a 'number of far from fanciful examples not involving negligence'[325].

The reported cases suggest that where the word 'negligence' is not used the courts can interpret the exemption clause as covering negligent liability. However, to avoid, to the extent possible, a court coming to a different view the contract drafter should mention negligence specifically. It may also be desirable to mention liability for breach of statutory duty, if it is the parties' intention to exclude liability for it[326].

[321] *Capita (Banstead 2011) Ltd and others v RFIB Group Ltd* [2014] EWHC 2197 (Comm), [15]. The case was appealed but the appeal was dismissed, and the Court of Appeal repeated the quote reproduced here and noted that the quote: '…to be in dispute and have in any event now received the imprimatur of Sir Kim Lewison in The Interpretation of Contracts, (2nd supplement 12.06)'.

[322] See the comments of Scrutton LJ in *Gibaud v Great Eastern Rly Co* [1921] 2 KB 426, CA.

[323] *A E Farr Ltd v Admiralty* [1953] 1 WLR 965.

[324] *Lamport and Holt Lines Ltd v Coubro and Scrutton (M and I) Ltd, The Raphael* [1982] 2 Lloyd's Rep 42, CA.

[325] See *Casson v Ostley PJ Ltd* [2001] EWCA Civ 1013, [2001] All ER (D) 340 (Jun), where the following clause 'works covered by this estimate, existing structures in which we shall be working, and unfixed materials shall be at the sole risk of the client as regards loss or damage by fire and the client shall maintain a proper policy of insurance against that risk in an adequate sum. If any loss or damage affecting the works is so occasioned by fire, the client shall pay to us the full value of all work and materials then executed and delivered' was interpreted by the court as being wide enough to cover the consequences of the builder's negligence, but there were a number 'far from fanciful examples in which, without negligence, a builder might be held liable for a fire resulting from goods supplied and work done by him'. In such a case, applying wording from *Canada Steamship Lines v R* [1952] 1 AC 192 at 208, the wording used in the clause was able to support a head of damage based on some ground other than that of negligence and that other ground was not so fanciful or remote so that the builder cannot be supposed to have desired protection against it.

[326] *EE Caledonia Ltd v Orbit Valve plc* [1994] 1 WLR 1515, CA.

6.5.23.4 *Indemnity clauses, time limits on making claims, and clauses defining obligations very narrowly*

These are interpreted in a similar way to exemption clauses. These principles are explicitly stated in the Unfair Contract Terms Act 1977, but they apply also under common law. A clause which:

- requires party A to indemnify party B against losses caused by party B's wrongdoing is in effect a type of exclusion clause, if it covers losses suffered by party A;
- merely requires party A to indemnify against third-party losses, may require different considerations.

An indemnity clause will need interpreting in the context of the agreement as a whole, and will not cover matters for which the indemnified party is being paid, such as the ordinary risks and costs associated for performing its primary obligations (such as the performances of services in a services contract)[327].

A clause which sets a strict time limit on a party's remedies (eg a clause in a contract for the sale of goods which requires the purchaser to notify the supplier of any damaged goods within seven days of delivery) will be interpreted in a similar way to an exemption clause[328].

Similarly, a clause which purports to define a party's obligations in a narrow way or which states that one party will bear the risk of liability[329] will also be interpreted as a type of exclusion clause. A clause which defines what a party is responsible (or not responsible) for doing under the contract may have the same effect as an exemption clause.

6.5.23.5 *A party cannot exclude liability for its own fraud*

On public policy grounds, a contracting party cannot exclude liability for its own fraud in inducing the other party to enter into a contract[330].

It may be possible to exclude the fraud or deceit of a party's agent in inducing a contract, but general wording will not be sufficient. Where there is such an intention then:

> 'such intention must be expressed in clear and unmistakable terms on the face of the contract'[331].

[327] *ENE Kos 1 Ltd v Petroleo Brasileiro SA (No 2)* [2012] UKSC 17.
[328] See judgment of Lord Wilberforce in *Suisse Atlantique*, cited above.
[329] *Dorset County Council v Southern Felt Roofing Co Ltd* (1989) 48 BLR 96, CA.
[330] *HIH Casualty and General Insurance Ltd v Chase Manhattan Bank* [2003] UKHL 6, [16].
[331] *HIH Casualty and General Insurance Ltd v Chase Manhattan Bank* [2003] UKHL 6, [2003] 1 All ER (Comm) 349, at [16], although the House of Lords did not come to a final view on this point.

It is possible to exclude liability for the deliberate wrongdoing of a party's agent arising from the performance of the agreement[332].

6.5.23.6 *Whether it is possible for a party to exclude liability for its own repudiation*

If a party deliberately decides not to perform its obligations (whether before or at the time the party is due to perform the obligations) then it causes a repudiatory breach of the contract. For a repudiatory breach to occur, the effect of the breach must in effect stop or destroy the purpose of the contract[333]. The effect of the breach allows the party not in breach either to treat the contract as ended, or to have a claim in damages.

It is possible for a party to exclude liability for its own deliberate (repudiatory) breach of a contract and an exemption clause which permits this will be interpreted by the courts in the same way as other clauses:

> 'Exemption clauses including those purporting to exclude or limit liability for deliberate and repudiatory breaches are to be construed by reference to the normal principles of contractual construction without the imposition of a presumption and without requiring any particular form of words or level of language to achieve the effect of excluding liability.'[334]

The court in the case from which this quote is drawn came to the conclusion via the following reasoning[335]:

- the purpose of the court is to establish the parties' intentions 'as disclosed by the language read in context';
- an exclusion of a liability (which would otherwise and ordinarily arise) is a departure from the norm;

[332] *Frans Maas (UK) Ltd v Samsung Electronics (UK) Ltd* [2004] EWHC 1502 (Comm), [135]. In this case it was held that the following wording, as a matter of construction rather than law, was capable of covering deliberate wrongdoing: 'the Company's liability howsoever arising and notwithstanding that the cause of the damage be unexplained shall not exceed …'.

[333] A mere failure to perform an obligation at a stated time is not enough normally for a repudiatory breach. The details and conditions for fulfilling, and consequences of, a repudiatory breach are beyond the scope of this book. Users should consult a contract textbook such as *Chitty on Contracts*. Each case will turn on its own facts, but as an example, if a party fails to pay a deposit, this can amount to a repudiation (*Damon Cia Naviera SA v Hapag-Lloyd International SA, The Blankenstein, The Bartenstein, The Birkenstein* [1985] 1 All ER 475, [1985] 1 WLR 435, CA).

[334] *Mott MacDonald Ltd v Trant Engineering Ltd* [2021] EWHC 754 (TCC), [64]. The judge in this case was faced with two conflicting earlier decisions at the same level in the court system (*Internet Broadcasting Corpn Ltd (t/a NETTV) v MAR LLC (t/a MARHedge)* [2009] EWHC 844 (Ch) and *Astrazeneca UK Ltd v Albemarle International Corpn* [2011] EWHC 1574 (Comm)). The judge in *Mott MacDonald Ltd* decided to follow the more recent case as the judge believed, partly, it more correctly analysed previous decisions of the court, but also because the earlier of the two cases was re-introducing, in effect the doctrine of fundamental breach (see **6.5.23.1**). Also, in *Astrazeneca UK Ltd* the court stated (at [301]) that the decision in *Internet Broadcasting Corpn Ltd (t/a NETTV)*: 'is heterodox and regressive and does not properly represent the current state of English law. If necessary, I would decline to follow it'.

[335] Ibid, [65].

- accordingly it is 'inherently less likely' that there is an intention that a clause will exclude liability unless clear wording is used—which is why there are references in cases to the need to use clear words;
- where there are no clear words it is unlikely a court will conclude, in interpreting a clause, that it excludes liability 'because in those circumstances a departure of this kind from the norm is unlikely to have been intended';
- also relevant is the nature of the term in determining what are the parties' intentions;
- a limitation of liability will reflect an agreed allocation of risk and a lesser departure from the norm than a total exclusion of liability 'with the consequence that the court is more likely to conclude that a limitation of liability was intended than it would a total exclusion';
- there is no presumption against the parties excluding liability and no requirement for the parties to use any particular form of words and this applies 'regardless of the nature of the breach for which liability is being excluded and regardless of whether it is deliberate or repudiatory';
- there is a proviso: a court will not interpret an exclusion or limitation of liability clause so that a party's obligations are reduced to the level of being no more than a 'mere declaration of intent'. Accordingly, if the parties use clear wording in their contract, it will be possible for a party to exclude liability for its own repudiatory breach.

6.5.23.7 Statutory control of exemption clauses

In addition to case law, exemption clauses are controlled by statute. An understanding of the provisions of the most relevant statutes to commercial contracts will help the contract drafter. This section deals with the Unfair Contract Terms Act 1977 and the Misrepresentation Act 1967[336].

6.5.23.8 Unfair Contract Terms Act 1977

The Unfair Contract Terms Act 1977 is described in its preamble as:

> 'an Act to impose further[337] limits on the extent to which under the law of England and Wales and Northern Ireland civil liability for breach of contract,

[336] **6.5.23.8** and **6.5.23.9** contain no more than a brief outline of the Acts mentioned. For a more detailed review see the authors' *Macdonald's Exemption Clauses and Unfair Terms* (3rd edn, 2022, Bloomsbury Professional Publishing), ch 3.

[337] The impact of the common law: see *Boomsam v Clark and Rose Ltd* (1983) SLT 67. Other legislation on exclusion clauses should not be overlooked, including for consumers Consumer Rights Act 2015, Consumer Protection from Unfair Trading Regulations 2008 and the Consumer Protection Act 1987.

or for negligence or other breach of duty, can be avoided by means of contract terms and otherwise, and under the law of Scotland civil liability can be avoided by means of contract terms'.

In very brief summary, the Act imposes limits on the extent to which one can exclude or limit liability, including certain limits in the following situations.

- ***Negligence***. Under the Unfair Contract Terms Act 1977, s 2 a person is not permitted to exclude or restrict liability, by a contract term or notice, for death or personal injury caused by the person's negligence[338]. In the case of other loss or damage caused by negligence, any exclusion or restriction of liability will not be effective unless it 'satisfies the requirement of reasonableness'.
- ***Standard terms of business***. Under the Unfair Contract Terms Act 1977, s 3 where a contract is made on a party's written standard terms of business[339], that party may not:
  - o exclude or restrict liability for breach of contract;
  - o 'claim to be entitled:
    - (i) to render a contractual performance substantially different from that which was reasonably expected of him; or
    - (ii) in respect of the whole or any part of his contractual obligation, to render no performance at all',

  unless the contract term satisfies the requirement of reasonableness.

[338] 'Negligence' means for the purposes of the Unfair Contract Terms Act 1977 'the breach— (a) of any obligation, arising from the express or implied terms of a contract, to take reasonable care or exercise reasonable skill in the performance of the contract; (b) of any common law duty to take reasonable care or exercise reasonable skill (but not any stricter duty); (c) of the common duty of care imposed by the Occupiers' Liability Act 1957 or the Occupiers' Liability Act (Northern Ireland) 1957'.

[339] For the Unfair Contract Terms Act 1977 to apply it is not necessary that the whole of the contract is 'on the other's written standard terms of business', see *Pegler Ltd v Wang (UK) Ltd* [2000] All ER (D) 260. For case law as to the meaning of 'written standard terms of business' (which is not otherwise defined in the Unfair Contract Terms Act 1977), see, eg, *Salvage Association v CAP Financial Services Ltd* [1995] FSR 654; *Fillite (Runcorn) Ltd v APV Pasilac Ltd* (1995) The Buyer, July, and *St Albans City and District Council v International Computers Ltd* [1996] 4 All ER 481, CA. *Salvage Association v CAP Financial Services Ltd* [1995] FSR 654 provides a useful non-exhaustive list for deciding whether the provisions of a contract are on 'written standard terms of business'. In *British Fermentation Products Ltd v Compair Reavell Ltd* [1999] 2 All ER (Comm) 389 the court held that the burden of proof was on the party who wished to argue that a contract was on written standard terms of business and for a trade association's terms and conditions to be considered written standard terms of business depended on the frequency with which they were used by a party. There will be use of standard terms where a party: (i) habitually uses them (*African Export-Import Bank and others v Shebah Exploration and Production Co Ltd and others* [2017], [20]: 'It is not enough that he sometimes does and sometimes does not. Nor is it enough to show that a model form has, on the particular occasion, been used; the party relying on the [Unfair Contract Terms Act 1977] has to show that such model form is habitually used by the other party'), or (ii) where a party invariably uses them (*Bates and others v Post Office Ltd* [2019] EWHC 606 (QB), [1071], [1075]).

- ***Terms implied by the Sale of Goods Act 1979 and the Supply of Goods and Services Act 1982***. Under the Unfair Contract Terms Act 1977, ss 6 and 7 it is not possible to exclude liability for breach of the implied terms as to title. Any exclusion or restriction of the other implied terms must satisfy the requirement of reasonableness in order to be effective[340].

- ***Contracts excluded from certain provisions of the Unfair Contract Terms Act 1977***. Certain types of contract concerning:

  - any contract so far as it relates to the creation and transfers of an interest in land;
  - any contract so far as it relates to the creation or transfer of a right or interest in intellectual property (which includes technical or commercial information);
  - any contract so far as it relates to the creation or transfer of securities; and
  - contracts of insurance;

  are excluded from certain provisions of the Act. The provisions discussed in the three bullet points above do not apply to these type of contracts[341].

- ***Application to part of the United Kingdom***. The Unfair Contract Terms Act 1977 does not apply to certain contracts which are agreed to be made under the law of a part of the United Kingdom[342] if, in the absence of such agreement, the contract would not be subject to the law of any part of the United Kingdom[343]. However, it is not possible to evade the operation of the Act by agreeing to apply another country's laws[344].

- ***International supply contracts***. Certain contracts for the international supply of goods are exempted from some of the provisions of Unfair Contract Terms Act 1977[345]. This exclusion can have greater application than the specific ones mentioned in the previous paragraph.

  Where this exclusion applies, the limits that Unfair Contract Terms Act 1977 places on a person as to the extent to which the person can exclude or restrict liability by reference to a contract term does not apply to liability arising under a contract. Also, any requirement of reasonableness under the Unfair Contract Terms Act 1977, ss 3 and 4 do not apply.

[340] See **6.5.22** above for further details as what terms are implied by the Sale of Goods Act 1979 and Supply of Goods and Services Act 1982.
[341] Unfair Contract Terms Act 1977, s 1(2), Sch 1. Note: the disapplication of these sections for some of the areas mentioned here does not extend to the whole contract but only to provisions which deal with that particular area.
[342] Under the law of (a) England and Wales, or (b) Northern Ireland, or (c) Scotland.
[343] Unfair Contract Terms Act 1977, s 27(1).
[344] Unfair Contract Terms Act 1977, s 27(2).
[345] Unfair Contract Terms Act 1977, s 26.

An international supply of goods contract is one where:

- there is a contract of sale of goods or it is a contract where the possession or ownership of goods passes; and
- the contract is made by parties based in territories of different states[346].

A contract comes within the above definition when one of the following conditions is applied:

- the goods involved at the time of the conclusion of the contract, are in the course of carriage, or will be carried, from the territory of one state to that of another[347]; or
- the acts of making the offer and acceptance to create the contract have to be done in different states[348]; or
- the goods need to be delivered to a third state[349].

6.5.23.8.1 Reasonableness

As indicated above, the ability of a party to a contract to exclude or restrict liability is made subject to a 'requirement of reasonableness'. The Unfair Contract Terms Act 1977 provides an explanation of what this is.

- ***Standard terms of business*** (s 3). The requirement for reasonableness is satisfied where a contract term is a fair and reasonable one to include in a contract in the circumstances known to (or in the contemplation of) the parties at the time the contract was to be made). This meaning of reasonableness also applies to Misrepresentation Act 1967, s 3[350].

[346] Unfair Contract Terms Act 1977, s 26(3). Concerning the requirement that the contract is made by parties based in territories of different states, this is a reference to the parties themselves not their agents, see *Ocean Chemical Transport Inc v Exnor Craggs Ltd* [2000] 1 All ER (Comm) 519.

[347] *Trident Turboprop (Dublin) Ltd v First Flight Couriers Ltd* [2009] EWCA Civ 290, [28], where this was interpreted as being 'directed to any case in which the parties contemplate at the time of entering into the contract that the goods in question will be transported across national boundaries, not necessarily in order to fulfil the terms of the contract, but in order to achieve its commercial object. In my view if a person who carries on business abroad hires equipment from a supplier in this country in circumstances where both know that the intention is for it to be used abroad, the lease is one pursuant to which the goods will be carried from the territory of one state to the territory of another within the meaning of s 26(4)(a) and can sensibly be described as an international supply contract'.

[348] *Air Transworld Ltd v Bombardier In* [2012] EWHC 243 (Comm), where 'acts' was interpreted as meaning one of the acts of making an offer or an acceptance, if done in a different state, was sufficient to make the contract an international sales contract, ie not all of the acts that make up an offer or an acceptance.

[349] See *Amiri Flight Authority v BAE Systems plc* [2003] EWCA Civ 1447, despite the wording in the Unfair Contract Terms Act 1977 (which is not ideally clear), it was held that for delivery to take place there needed to be an international movement of the goods. In this case one party was based in Abu Dhabi and the other in another country; they signed a contract in Abu Dhabi for goods to be manufactured and delivered in England, and consequently there was an international supply contract.

[350] For which see **6.5.23.9** below.

- ***Terms implied by the Sale of Goods Act 1979 and the Supply of Goods and Services Act 1982*** (Unfair Contract Terms Act 1977, ss 6, 7). To decide whether a contract term which excludes or restricts liability for one of the implied terms under these Acts in relation to goods satisfies the requirement of reasonableness, regard is to be had to the matters set out in the Unfair Contract Terms Act 1977, Sch 2 (see below)[351].
- ***Non-contractual notices***. For a non-contractual notice, the requirement of reasonableness is satisfied if it is a fair and reasonable one for a person to rely on:
  - o when the liability arose; or
  - o for the liability that would have arisen but for the notice[352].
- ***Restricting liability to a specified sum of money***. To determine whether a contractual term or notice which restricts liability[353] to a specified sum of money satisfies the requirement of reasonableness, the following need consideration in particular:
  - o the resources of the person putting forward the contractual term or notice could expect to have available to meet the liability, if it arises; and
  - o to the extent to which that person can obtain insurance to cover the liability[354].
- ***Who has the responsibility for showing a clause satisfies the requirement of reasonableness***. The party who wishes to claim that contractual term or a notice satisfies the requirement of reasonableness has to show that the term or notice does so[355].
- ***Schedule 2—'Guidelines' for Application of Reasonableness Test.***[356]

  > 'The matters to which regard is to be had in particular for the purposes of sections 6(1A) and 7(1A)[of the Unfair Contract Terms Act 1977] are any of the following which appear to be relevant—

[351] Unfair Contract Terms Act 1977, s 11(2). Although a court may hold that a term which purports to exclude or restrict liability is not a term of a contract, in accordance with any rule of law.

[352] Unfair Contract Terms Act 1977, s 11(3).

[353] Note the wording here, only a restriction of liability will be subject to the factors which follow to determine whether the contract satisfies the requirement of reasonableness. A contractual term which excluded liability for a specified sum would not be covered.

[354] Unfair Contract Terms Act 1977, s 11(4).

[355] Unfair Contract Terms Act 1977, s 11(5).

[356] Unfair Contract Terms Act 1977, Sch 2. These guidelines in the Schedule are stated in the Unfair Contract Terms Act 1977, s 11(2) to apply to the Unfair Contract Terms Act 1977, ss 6 and 7 but cases have held they are of more general application to the question of reasonableness: *Stewart Gill Ltd v Horatio Myer & Co Ltd* [1992] 2 All ER 257; *SAM Business Systems Ltd v Hedley & Co* [2002] EWHC 2733 (TCC), [68]; *Bates and others v Post Office Ltd* [2019] EWHC 606 (QB), [1089]; *Trustees of Ampleforth Abbey Trust v Turner & Townsend Project Management Ltd* [2012] EWHC 2137 (TCC), [199]; *Overseas Medical Supplies Ltd v Orient Transport Services Ltd* [1999] CLC 1243 at 1248.

(a) the strength of the bargaining positions of the parties relative to each other, taking into account (among other things) alternative means by which the customer's requirements could have been met;

(b) whether the customer received an inducement to agree to the term, or in accepting it had an opportunity of entering into a similar contract with other persons, but without having to accept a similar term;

(c) whether the customer knew or ought reasonably to have known of the existence and extent of the term (having regard, among other things, to any custom of the trade and any previous course of dealing between the parties);

(d) where the term excludes or restricts any relevant liability if some condition is not complied with, whether it was reasonable at the time of the contract to expect that compliance with that condition would be practicable;

(e) whether the goods were manufactured, processed or adapted to the special order of the customer.'

6.5.23.8.2 General point about when the Unfair Contract Terms Act 1977 applies

More generally, it is perhaps worth stating that the Unfair Contract Terms Act 1977 applies only where a contract or its provisions attempt to exclude or limit liability. This is not the same as where the parties in a contract seek to define what is being provided (and the conditions on which they will provide it). A clause in a contract where:

> 'There is a clear distinction between clauses which exclude liability and clauses which define the terms upon which the parties are conducting their business; in other words, clauses which prevent an obligation from arising in the first place …. Thus terms which simply define the basis upon which services will be rendered and confirm the basis upon which parties are transacting business are not subject to section 2 of UCTA. Otherwise, every contract which contains contractual terms defining the extent of each party's obligations would have to satisfy the requirement of reasonableness'[357].

For example, in a contract for the sale of goods, rather than attempting to exclude the implied term as to satisfactory quality (which would be subject to the requirement of reasonableness) or using an exemption clause (again subject to the requirement of reasonableness), the party supplying the goods can use contract wording to define the meaning of satisfactory quality. If the goods need careful handling or cannot be exposed to certain environmental conditions (cold, heat, rain), all of these could be set out in the contract. Or if the goods can have a number of normal purposes but because of some particular factor (such as their intended use) then the supplier may wish to indicate the purposes for which it is not suitable.

[357] *JP Morgan Chase Bank v Springwell Navigation Corpn* [2008] EWHC 1186 (Comm), [602]–[603], following *IFE Fund SA v Goldman Sachs International* [2006] EWHC 2887 (Comm).

6.5.23.9 *Misrepresentation Act 1967*

The Misrepresentation Act 1967, s 3 limits the ability of a person to contract out of liability for misrepresentation. The section reads as follows:

> '(1) If a contract contains a term which would exclude or restrict
>
> (a) any liability to which a party to a contract may be subject by reason of any misrepresentation made by him before the contract was made; or
>
> (b) any remedy available to another party to the contract by reason of such a misrepresentation,
>
> that term shall be of no effect except in so far as it satisfies the requirement of reasonableness as stated in section 11(1) of the Unfair Contract Terms Act 1977; and it is for those claiming that the term satisfies that requirement to show that it does.'

This provision significantly restricts a party's ability to contract out of liability. The test for reasonableness is the same one that is applied under the Unfair Contract Terms Act 1977, in the case of exclusion clauses in standard terms of business[358].

Case law has highlighted the difficulties of enforcing exclusion clauses in this area[359], particularly in relation to entire agreement clauses. It seems that clauses which exclude liability for fraudulent representations are unlikely to satisfy the test for reasonableness under Unfair Contract Terms Act 1977, s 3[360]. For the exclusion of liability for pre-contractual misrepresentations the position is less clear (as reflected in the considerable amount of case law generated). Although in recent case law there has been a recognition that the parties to a contract should be able to negotiate and decide the terms of a contract, and that the language used in the final agreement fulfils those intentions[361], parties who wish to exclude pre-contract representation or misrepresentation

[358] See summary above.

[359] See *St Albans City and District Council v International Computers Ltd* [1995] FSR 686.

[360] See *Thomas Witter Ltd v TBP Industries* [1996] 2 All ER 573 at 598, where wording in an entire agreement clause did not explicitly exclude fraudulent misrepresentation—the width of the clause was too great, and therefore unreasonable and unenforceable. It also held that the clause did not specifically exclude remedies for pre-contractual misrepresentation. A separate line of legal reasoning is that in *HIH Casualty and General Insurance Ltd v Chase Manhattan Bank* [2001] EWCA Civ 735 that a party cannot exclude liability for its own fraud (see **6.5.23.5**).

[361] See, eg, National *Westminster Bank v Utrecht-America Finance Co* [2001] EWCA Civ 658, [2001] 2 All ER (Comm) 7. In *Watford Electronics v Sanderson CFL Ltd* [2001] EWCA Civ 317, [2001] 2 All ER (Comm) 596, which involved similar wording coming under consideration to that of the *Thomas Witter* case, such wording was sufficient to exclude liability for pre-contract misrepresentation: 'Liability in damages under the Misrepresentation Act 1967 can arise only where the party who has suffered the damage has relied upon the representation. Where both parties to the contract have acknowledged, in the document itself, that they have not relied upon any pre-contract representation, it would be bizarre (unless compelled to do so by the words which they have used) to attribute to them an intention to exclude a liability which they must have thought could never arise', from the judgment of Chadwick, LJ in the *Watford* case.

will have to use clear wording[362]. To exclude liability for misrepresentation the following need to be present:

- the exclusion of liability for misrepresentation needs to be stated clearly;
- this can be achieved by clauses which:
    - state that no representations have been made; or
    - state that the parties have not relied on any representations; or
    - expressly exclude liability for misrepresentation[363].

Where the words 'supersedes' and 'representations' appear in an entire agreement clause they are:

> 'the language of defining contractual obligations rather than the language of excluding liability in misrepresentation. There was […]no language to the effect that the parties were agreed that no representations had been made or relied upon'[364].

Another area of difficulty with entire agreement clauses is whether the provisions of other agreements will be effectively excluded by such clauses. There are cases, despite the presence of an entire agreement clause where:

- a judge was able to find after looking at the background that another collateral agreement was not superseded, as the parties had proceeded on the basis that it would be honoured[365];

[362] See *BSkyB Ltd v HP Enterprise Services UK Ltd* [2010] EWHC 86 (TCC), [359] where the entire agreement clause read: '…this Agreement and the Schedules shall together represent the entire understanding and constitute the whole agreement between the parties in relation to its subject matter and supersede any previous discussions, correspondence, representations or agreement between the parties with respect thereto…'. Such a clause indicates '… representations are superseded and do not become terms of the Agreement unless they are included in the Agreement. If it had intended to withdraw representations for all purposes then the language would, in my judgment, have had to go further …In this case the statement that the Agreement superseded any previous discussions, correspondence, representations, or agreement between the parties with respect to the subject matter of the agreement between the parties with respect to the subject matter of the agreement prevented other terms of the agreement or collateral contracts from having contractual effect. It did not supersede those matters so far as there might be any liability for misrepresentation based on them…' from [382]. This case was followed in *AXA Sun Life Services plc v Campbell Martin Ltd* [2011] EWCA Civ 133.

[363] *AXA Sun Life Services plc v Campbell Martin Ltd* [2011] EWCA Civ 133, [94]: and '... save in such contexts [stated in the bullet points], and particularly where the word "representations" takes its place alongside other words expressive of contractual obligation, talk of the parties' contract superseding such prior agreement will not by itself absolve a party of misrepresentation where its ingredients can be proved'.

[364] *AXA Sun Life Services plc v Campbell Martin Ltd* [2011] EWCA Civ 133, [92].

[365] *Ryanair Ltd v SR Technics Ireland Ltd* [2007] EWHC 3089 (QB), [2007] All ER (D) 345 (Dec), where the judge held that the collateral agreement was not a 'previous … agreement' for the purposes of the entire agreement clause which read: 'This Contract represents the entire agreement of the parties hereto and supersedes all previous negotiations, statements or agreements whether written or oral'.

- judges have taken account of other agreements by construing the other agreements as being part of a package of agreements[366], or deciding that the other agreements were not covered by the specific wording of the entire agreement clause. For example, in one case the entire agreement clause read:

  > 'Entire Agreement: This Agreement together with its Annexures set forth and shall constitute the entire Agreement between [the parties] with respect to the subject hereof, and shall supersede any and all agreements, understandings, promises and representations made by one party to the other concerning this subject matter herein and the terms and conditions applicable hereto. Also, in case of any inconsistency between the documents constituting the Entire Agreement, this Agreement together with its Annexures would supersede all other documents',

  but another agreement was found to be inconsistent with the above entire agreement clause and therefore not to be 'concerning this subject matter herein'[367].

Faced with these issues the contract drafter might consider it impossible to draft an entire agreement clause which will work so that its primary purpose is achieved[368]. It is suggested that the problem falls into two categories:

(1) where there are other agreements; and

(2) where there are statements/representations.

In the first category, the contract drafter has an easier task, as these agreements are more likely to be known and, except in a more complex deal, if it is not possible to use general wording in the entire agreement clause then the contract can set out the specific agreements or the contract drafter can at least examine them to determine the effect on the entire agreement clause[369]. Concerning the second category (about statements and representations) the contract drafter has a bigger problem. They may not be aware of what has been said, by whom and when it was said. Although it is possible to exclude representations and statements with an entire agreement clause (as long as there is explicit wording in such a clause)[370], a blanket

[366] *Cheverney Consulting v Whitehead Mann* [2007] All ER (D) 103 (Dec), [103].

[367] *Satyam Computer Services Ltd v Upaid Systems Ltd* [2008] EWCA Civ 487, [54]–[58].

[368] Particularly when the contract drafter is faced with judicial comment about entire agreement clauses such as 'the court should not approach [the entire agreement clause] with the pre-conceived idea that its sole intention is to ensure that the parties cannot subsequently contradict the wording of the agreement by reference to agreements or understandings supposedly arrived at in the course of negotiations (which is undoubtedly normally the main object of such clauses)' from para 55 in *Satyam Computer Services Ltd v Upaid Systems Ltd* [2008] EWCA Civ 487, [2008] 2 All ER (Comm) 465.

[369] Or at least that the parties are asked specifically to consider, negotiate and agree on the status of other agreements in relation to the one they are dealing with at the moment.

[370] See above for the type of wording that would be necessary to include, as set out in *AXA Sun Life Services plc v Campbell Martin Ltd* [2011] EWCA Civ 133 (and fns 360 and 361).

exclusion may also then exclude a representation that the contract drafter wants to remain.

6.5.23.10 Drafting and negotiating issues

The following comments assume that the drafter's objective is to limit or exclude liability to the maximum extent possible.

- ***Decide whether the statutory controls on limitation and exclusion of liability apply***. For example, the Unfair Contract Terms Act 1977 does not apply to:
  - o specific provisions in specific types of contracts (Unfair Contract Terms Act 1977, s 1(2), Sch 1); or
  - o some specific types of contract (Unfair Contract Terms Act 1977, s 1(2), Sch 1); or
  - o international sales contracts (Unfair Contract Terms Act 1977, s 26).

  See **6.5.23.7** above for details.
- ***Draft explicitly and precisely***. Exemption clauses are not the place to engage in 'constructive ambiguity' (see **6.5.8.1**). It is very important that the language a contract drafter uses is clear and unambiguous. Liability clauses deal with technical legal subjects and some legal language (eg references to negligence and breach of statutory duty—see below) may be inevitable. If there is an intention to exempt liability for what were once called 'fundamental' breaches of contract or misrepresentation then these should be stated as explicitly as possible[371]. Generalised wording typically found in precedents is unlikely to be specific or detailed enough to cover such matters.
- ***Mention liability for negligence***. For example, include in the exemption clause words such as:

  > A's liability under or in connection with this Agreement, whether in contract, tort, negligence, breach of statutory duty or otherwise shall be limited to …

- ***Mention that there is no liability for misrepresentation***. Include explicit wording to indicate that liability for misrepresentation is excluded:

  > Neither Party shall be liable to the other Party in contract, tort, negligence, misrepresentation, breach of statutory duty or otherwise for any loss, damage, costs or expense.

- ***Correlate level of liability and insurance***. If the party limits liability to a set sum, consider whether this sum is sufficient in light of:

[371] See *Mott MacDonald Ltd v Trant Engineering Ltd* [2021] EWHC 754 (TCC) and **6.5.23.6**.

- the amount of insurance; and
- the resources available to that party[372].

It may be difficult to justify a lower level of liability than the limit of a party's insurance, although offering this level of liability may not be commercially attractive, particularly in small value contracts[373].

- ***Separate treatment in exemption clauses if different things/services to be provided***. If the agreement is to cover the provision of different things and/or services, consider whether one exemption clause is suitable for all the things/services being provided. For example, the wording of an exemption clause may cover the provision of one type of service, but the agreement may cover other services, for which the clause is not appropriate or suitable[374].
- ***Sufficient time to notify a breach***. Are any of the stated time limits in an agreement within which a party is to act or notify in regard to a breach by another party too short?[375].
- ***Consider limitations of liability rather than complete exclusions***. Although the traditional hostility to exemption clauses which provide for the total exclusion of liability is no longer present[376], court cases still suggest that limitations of liability are interpreted less strictly. It is generally easier to satisfy the test of 'reasonableness' under the Unfair Contract Terms Act 1977 if an exemption clause is not a total exclusion of liability or is limited to a reasonable amount[377]. What is a reasonable amount will be considered by

[372] Unfair Contract Terms Act 1977, s 11(4).

[373] In *St Albans City and District Council v International Computers Ltd* [1996] 4 All ER 481, CA, the level of liability was capped at £100,000 by ICL, but their insurance policy was £50 million. Whether insurance is available will not by itself be a determining factor as to the reasonableness of the exclusion clause and the guidelines found in the Unfair Contract Terms Act 1977, Sch 2. See, eg, *Overseas Medical Supplies Ltd v Orient Transport Services Ltd* [1999] 2 Lloyd's Rep 273, [1999] 1 All ER (Comm) 981, CA, and *Watford Electronics Ltd v Sanderson CFL Ltd* [2001] EWCA Civ 317, [2001] 1 All ER (Comm) 696. If a manufacturer limits liability for defects in its product which it could have insured against, it is unlikely to be reasonable if the cost of insurance would not substantially increase its price and the insurance is not easily available to the customer: *Salvage Association v CAP Services* [1995] FSR 654. If a person is contracted to store goods, but is not aware of their value, and the customer can more easily or cheaply obtain insurance, then a clause limiting liability is more likely to be reasonable: *Singer (UK) Ltd v Tees & Hartlepool Port Authority* [1988] 2 Lloyd's Rep 164. See also *Goodlife Foods Ltd v Hall Fire Protection Ltd* [2018] EWCA Civ 1371.

[374] *Overseas Medical Supplies Ltd v Orient Transport Services Ltd* [1999] 2 Lloyd's Rep 273, [1999] 1 All ER (Comm) 981, CA, where it was held that a limitation of liability clause which limited liability for the delivery of items was reasonable for a courier to include, but that those same limitations of liability terms were not appropriate, and therefore unreasonable, where the courier was also to effect insurance.

[375] See *Granville Oil and Chemicals Ltd v Davies Turner and Co Ltd* [2003] EWCA Civ 570, [2003] 1 All ER (Comm) 819.

[376] See *Goodlife Foods Ltd v Hall Fire Protection Ltd* [2018] EWCA Civ 1371.

[377] Unfair Contract Terms Act 1977, ss 2(3), 3.

the court on a case-by-case basis taking into account the relevant provisions of the Unfair Contract Terms Act 1977[378].

- ***Separate treatment of direct and consequential losses***. It is fairly common in contracts to deal separately with so-called 'direct' losses and 'indirect' or 'consequential' losses, and to seek to exclude all liability for the latter types of loss. Whether such an exclusion would normally be regarded as 'reasonable' under the Unfair Contract Terms Act 1977 is not clear. It is also not entirely clear from reported cases where the boundary lies between these different categories of loss, although it seems reasonably clear that a loss of profits is a direct loss and not a consequential loss[379]. However, it is usual to include wording to clarify what is meant by indirect and consequential losses and to separately state that liability of loss of profits is excluded[380], as in the following example:

  > 'Neither party shall be liable to the other party in contract, tort, negligence, breach of statutory duty or otherwise for any loss, damage, costs or expenses of any nature whatsoever incurred or suffered by that other party (a) of an indirect or consequential nature or (b) which consists of any economic loss or other loss of turnover, profits, business or goodwill'[381].

  Best practice might suggest that to ensure that a total exclusion of liability for consequential or indirect loss is not considered unreasonable, a sum should be set for which liability for direct losses will be met.

- ***Be very explicit about the loss that is to be excluded or limited***. If there are particular or specific types of loss that a party should not be liable for,

[378] Unfair Contract Terms Act 1977, s 11, Sch 2. These provisions may give other opportunities to the party seeking to limit liability, eg if the party offers to contract without the exemption clause but at a higher contract price (see Unfair Contract Terms Act 1977, Sch 2, para (b)). Please refer to the specialist texts for a discussion of this and other aspects of limitation of liability, such as the author's *MacDonald's Exemption Clauses and Unfair Terms* (3rd edn, 2022, Bloomsbury Professional). The authors' personal view is that a limit to the amount of one's insurance cover (assuming that limit is a reasonable one) is the most likely to succeed, although a lower level may be justifiable in the case of some contracts. The drafter should bear in mind that professional liability, eg consultancy advice or the supply of software, may be excluded from public and products liability policies, and will instead by covered under a professional indemnity policy. Not all companies have professional indemnity insurance.

[379] *Deepak Fertilisers Ltd v ICI Chemicals and Polymers Ltd* [1994] Lloyd's Rep 387; *British Sugar plc v NEI Projects Ltd* (1997) 87 BLR 52.

[380] For example, in *Saint Line v Richardsons Westgarth & Co Ltd* [1940] 2 KB 49 the words 'indirect or consequential' did not 'exclude liability for damages which are the natural result of the breaches complained of … If one takes loss of profit, it is quite clear that such a claim may very well arise directly and naturally from the breach based on delay'.

[381] See *Fujitsu Services Ltd v IBM United Kingdom Ltd* [2014] EWHC 752 (TCC); *Transocean Drilling UK Ltd v Providence Resources plc; The GSF Arctic III* [2016] EWCA Civ 372, [15]: 'The expression 'consequential loss' has caused a certain amount of difficulty for English lawyers, mainly as a result of attempts to define its meaning in the interests of commercial certainty'. The courts, in recent cases, in deciding whether a loss of profits is or is not a consequential loss have turned, in effect, on the drafting of the clause which deals with such matters, see *Transocean Drilling UK Ltd v Providence Resources plc; The GSF Arctic III* [2016] EWCA Civ 372; *Star Polaris LLC v HHIC-Phil Inc* [2016] EWHC 2941 (Comm); *2 Entertain Video Ltd and other companies v Sony DADC Europe Ltd* [2020] EWHC 972 (TCC).

the contract should explicitly mention them, rather than relying on general exclusions or limitations of liability (such as the example in the previous bullet point).

- ***Do not attempt to exclude liability for fraud***. In any wording which seeks to exclude some or all liability include wording which states specifically that liability for fraud is not excluded, such as:

  'Nothing in this agreement excludes liability for a Party's fraud.'

- ***Offer something positive and exclude implied terms***. A clause which offers some redress for failure to perform the contract may be more likely to be found reasonable by the court than one which merely excludes all liability. A clause which offers a reasonable but limited 'warranty' and seeks to exclude all other liability may provide the best solution for a party seeking a legally enforceable exemption clause. For example, the following clause appears in the Conditions of Sale for machinery equipment (exclusive of erection): United Kingdom, published by BEAMA[382]:

  'DEFECTS AFTER DELIVERY—We will make good, by repair or the supply of a replacement, defects which, under proper use, appear in the goods within a period of twelve calendar months after the goods have been delivered and arise solely from faulty design (other than a design made, furnished or specified by you for which we have disclaimed responsibility in writing), materials or workmanship: provided always that defective parts have been returned to us if we shall have so required. We shall refund the cost of carriage on such returned parts and the repaired or new parts will be delivered by us free of charge as provided in clause 11 (Delivery).

  Our liability under this clause shall be in lieu of any warranty or condition implied by law as to the quality or fitness for any particular purpose of the goods, and save as provided in this clause we shall not be under any liability, whether in contract, tort or otherwise, in respect of defects in goods delivered or for any injury (other than personal injury caused by our negligence as defined in section 1 of the Unfair Contract Terms Act 1977) damage or loss resulting from such defects or from any work done in connection therewith.'

A further example is the following exemption clause (together with separate limited (12 month) warranty) which was described in a recent case as 'not a blanket exclusion clause … [but] was at the far-reaching end of the spectrum, [but] not beyond it', as the warranty and the ability to obtain insurance were things of real value[383]:

[382] The Federation of British Electrotechnical and Allied Manufacturers' Associations. The authors are grateful to Dan Graham, who was involved in drafting the Conditions and for his guidance in contract drafting in past years, when he and one of the authors were at the same firm.

[383] *Goodlife Foods Ltd v Hall Fire Protection Ltd* [2018] EWCA Civ 1371, [13], [16], [74], [79], [80]. The value of the contract was £7,500 approximately but the loss that the claimants claimed was £6.6 million.

> '11) We exclude all liability, loss, damages or expense consequential or otherwise caused to your property, goods, persons or the like, directly or indirectly resulting from our negligence or delay or failure or malfunction of the systems or components provided by HFS for whatever reason.
>
> In the case of faulty components, we include only for the replacement, free of charge, of those defected parts.
>
> As an alternative to our basic tender, we can provide insurance to cover the above risks. Please ask for the extra cost of the provision of this cover if required.'

- ***Include 'safety valve' wording***. Obvious examples include (in appropriate cases) the clause should state:
  - o that the exemption of liability does not apply to death or personal injury caused by negligence[384];
  - o that the exemption does not apply where liability may not be excluded or limited under applicable law.

  For example, consider adding wording to the exclusion clause to read:

  > 'Except to the extent that liability may not be so excluded under applicable law …'

- ***Third party indemnities***. Indemnity clauses are sometimes drafted very broadly, and it is not always clearly stated that they apply only to third-party losses, and not losses suffered by the other party to the contract. It may improve the chances of such a clause being upheld if this is made clear. In some cases, it may be appropriate to state that the limits of liability set out in other clauses do not apply to the indemnity clauses.
- ***Do not contract on 'standard' terms***. The Unfair Contract Terms Act 1977 restricts the ability of a party who contracts on its 'standard terms of business' from excluding or restricting liability for that party's own breach unless it satisfies the requirements[385]. If it is possible to establish that the wording of the exemption clause was specifically negotiated, then the restriction will not apply[386]. However, there does not seem to be clear authority on this point, and the Unfair Contract Terms Act 1977 appears to make no such requirement.

[384] See Unfair Contract Terms Act 1977, s 2. **See 6.5.23.8** above.

[385] Unfair Contract Terms Act 1977, s 3. For a review of cases which have considered the meaning of 'standard terms' under the 1977 Act see the authors' *Macdonald's Exemption Clauses and Unfair Terms* (3rd edn, 2022, Bloomsbury Professional Publishing). The section of Unfair Contract Terms Act 1977 contains other limitations too. See **6.5.23.8** above.

[386] *Fillite (Runcorn) Ltd v APV Pasilac Ltd* (1995) CA, unreported.

However, the meaning of 'written standard terms of business' is not defined or explained in the Act[387], and it has been held that even though some terms may have been negotiated and agreed in an agreement, a contract may still be regarded as on written standard terms[388].

It appears that it will be a matter of fact and degree as to whether the terms agreed were standard terms of the party putting them forward[389], although it may be that if the exclusion or limitation of liability clause is not amended, then the agreement may be considered to be standard. Whether or not the use of standard terms is important or relevant to whether a term is reasonable is not always a deciding fact in whether the exclusion and limitation of liability clauses were held to be unreasonable[390].

From another case[391], some guidelines were laid down as to whether terms provided by one party are to be considered as standard terms:

- the degree to which the 'standard terms' are considered by the other party as part of the process of agreeing the terms of the contract;

[387] Ibid: The meaning of standard terms in the context of the case was explained (the Court of Appeal quoting from the judgment of first instance): '*[The terms and conditions] were not in the category of negotiable boilerplate, they were, in the words of Lord Dunpark, "a set of fixed terms or conditions which the proponer applies without material variation to contracts of the kind in question". Although the defendants were willing to negotiate terms as to price, specification, and delivery, they were unwilling to negotiate important standard terms, such as the term including liability for consequential loss. [The claimant] tried what [it] called a "float" to have that clause removed but was refused: [it] did not really expect to be successful in its "float". Moreover, as I have already indicated, … the defendants gave evidence that variations between various versions of the typed conditions were the result of clerical errors, and the clear implication of their evidence was that the typed conditions were standard terms which were not negotiable. I find that both the typed "Contract Terms" and the printed terms were "written standard terms of business" within the meaning of section 3 of the Unfair Contract Terms Act 1977.*'

[388] *St Albans City and District Council v International Computers Ltd* [1996] 4 All ER 481, CA, both at first instance and at appeal. Consider also the definition provided in *McCrone v Boots Farm Sales Ltd* 1981 SLT 103: 'A "standard form contract" cannot be confined to written contracts in which both parties use standard forms. It is wide enough to include any contract, whether wholly written or partly oral, which includes a set of fixed terms or conditions which the proponer applies, without material variation, to contracts of the kind in question.' This definition was adopted in *Salvage Association v CAP Financial Services Ltd* [1995] FSR 654. The Unfair Contract Terms Act 1977, s 3, however, only applies to written contracts and not oral contracts.

[389] *Salvage Association v CAP Financial Services Ltd* [1995] FSR 654 at 674.

[390] *Watford Electronics Ltd v Sanderson CFL Ltd* [2001] EWCA Civ 317, [2001] 1 All ER (Comm) 696. This case marks a step back from the approach found in *St Albans City and District Council v International Computers Ltd* (see above), and in particular *South West Water Services Ltd v International Computers Ltd* [1999] BLR 420. In the *Watford Electronics* case the court, in effect, appears to be stating that parties, which are equal, should be allowed to decide the terms for themselves. In the *South West Water* case, the fact that the concluded contract contained terms from each party's standard contracts, and that there had been extensive negotiations on terms and some changes to the limitations clauses (from an ICL contract and including South West Water, it appears, putting its own terms forward for exclusion and limitation of liability clauses), did not save ICL from the finding that they had used standard terms.

[391] Laid down by the Official Referee in *Overseas Medical Supplies Ltd v Orient Transport Services Ltd* [1999] 2 Lloyd's Rep 273, [1999] 1 All ER (Comm) 981, CA.

- the degree to which the 'standard terms' are imposed on the other party by the party putting them forward;
- the relative bargaining power of the parties;
- the degree to which the party putting forward the 'standard terms' is prepared to entertain negotiations with regard to the terms of the contract generally and the 'standard terms' in particular;
- the extent and nature of any agreed alterations to the 'standard terms' made as a result of the negotiations between the parties; and
- the extent and duration of the negotiations.

- ***Be aware that the exemption clause may be held to be invalid despite the most careful of drafting***. The most the drafter can do is make an educated guess as to the limits in amount and types of liability the court will find acceptable and try to draft clear language to reflect these limits.

6.6 The five principles from *Investors' Compensation Scheme v West Bromwich Building Society*[392]

'… some general remarks about the principles by which contractual documents are nowadays construed. I do not think that the fundamental change which has overtaken this branch of the law, particularly as a result of the speeches of Lord Wilberforce in *Prenn v Simmonds* [1971] 3 All ER 237 at 240–242, [1971] 1 WLR 1381 at 1384–1386 and *Reardon Smith Line Ltd v Hansen-Tangen, Hansen-Tangen v Sanko Steamship Co* [1976] 3 All ER 570, [1976] 1 WLR 989, is always sufficiently appreciated. The result has been, subject to one important exception, to assimilate the way in which such documents are interpreted by judges to the common sense principles by which any serious utterance would be interpreted in ordinary life. Almost all the old intellectual baggage of "legal" interpretation has been discarded. The principles may be summarised as follows.

(1) Interpretation is the ascertainment of the meaning which the document would convey to a reasonable person having all the background knowledge which would reasonably have been available to the parties in the situation in which they were at the time of the contract.

(2) The background was famously referred to by Lord Wilberforce as the "matrix of fact", but this phrase is, if anything, an understated description of what the background may include. Subject to the requirement that it should have been reasonably available to the parties and to the exception to be mentioned next, it includes absolutely anything which would have affected

[392] *Investors' Compensation Scheme v West Bromwich Building Society* [1998] 1 All ER 98, [114]–[115].

the way in which the language of the document would have been understood by a reasonable man[393].

(3) The law excludes from the admissible background the previous negotiations of the parties and their declarations of subjective intent. They are admissible only in an action for rectification. The law makes this distinction for reasons of practical policy and, in this respect only, legal interpretation differs from the way we would interpret utterances in ordinary life. The boundaries of this exception are in some respects unclear. But this is not the occasion on which to explore them.

(4) The meaning which a document (or any other utterance) would convey to a reasonable man is not the same thing as the meaning of its words. The meaning of words is a matter of dictionaries and grammar; the meaning of the document is what the parties using those words against the relevant background would reasonably have been understood to mean. The background may not merely enable the reasonable man to choose between the possible meanings of words which are ambiguous but even (as occasionally happens in ordinary life) to conclude that the parties must, for whatever reason, have used the wrong words or syntax (see *Mannai Investment Co Ltd v Eagle Star Life Assurance Co Ltd* [1997] 3 All ER 352, [1997] 2 WLR 945).

(5) The "rule" that words should be given their "natural and ordinary meaning" reflects the common sense proposition that we do not easily accept that people have made linguistic mistakes, particularly in formal documents. On the other hand, if one would nevertheless conclude from the background that something must have gone wrong with the language, the law does not require judges to attribute to the parties an intention which they plainly could not have had. Lord Diplock made this point more vigorously when he said in *Antaios Cia Naviera SA v Salen Rederierna AB, The Antaios* [1984] 3 All ER 229 at 233, [1985] AC 191 at 201:

"… if detailed semantic and syntactical analysis of words in a commercial contract is going to lead to a conclusion that flouts business common sense, it must be made to yield to business common sense.'"

[393] In *Bank of Credit and Commerce International SA (in liq) v Ali* [2001] UKHL 8, this principle was qualified: 'I said that the admissible background included "absolutely anything which would have affected the way in which the language of the document would have been understood by a reasonable man", I did not think it necessary to emphasise that I meant anything which a reasonable man would have regarded as relevant. I was merely saying that there is no conceptual limit to what can be regarded as background. It is not, for example, confined to the factual background but can include the state of the law (as in cases in which one takes into account that the parties are unlikely to have intended to agree to something unlawful or legally ineffective) or proved common assumptions which were in fact quite mistaken. But the primary source for understanding what the parties meant is their language interpreted in accordance with conventional usage: "… we do not easily accept that people have made linguistic mistakes, particularly in formal documents". I was certainly not encouraging a trawl through "background" which could not have made a reasonable person think that the parties must have departed from conventional usage.'

Chapter 7[1]

Drafting consumer contracts

Key points

The main topics covered in this chapter are:

- an introduction to the unfair terms provisions of the Consumer Rights Act 2015;
- a checklist of when the provisions of the Consumer Rights Act 2015 do not apply to a contractual provision or the whole of a consumer contract;
- a checklist of basic factors to consider when preparing terms and conditions for use in a consumer contract;
- a checklist of other legislative provisions relevant when drafting consumer contracts;
- general points about the applicability of the unfair term provisions;
- key issues in the unfair term provisions, including:
  - o who is a trader;
  - o who is a consumer;
  - o assessing fairness;
  - o exception from assessment for fairness of 'core' terms;
  - o the requirement that contractual terms are transparent (in plain and intelligible language and legible (if written)), and prominent (for core terms); and
- words that should not appear in a consumer contract.

[1] This chapter makes references to the predecessor legislation and reports and guidance, which are referred to as follows: '1993 Directive' which is a reference to Council Directive 93/13/EEC of 5 April 1993 on unfair terms in consumer contracts; '1999 Regulation' is a reference to the Unfair Terms in Consumer Contracts Regulations 1999; 'CMA37' (or references to CMA or its guidance) is a reference to Competition and Markets Authority, *Unfair contract terms guidance – Guidance on the unfair terms provisions in the Consumer Rights Act 2015*, CMA37, July 2015 (at October 2022 available from https://www.gov.uk/government/publications/unfair-contract-terms-cma37); and 'Explanatory Notes' is a reference to the Explanatory Notes to the Consumer Rights Act 2015 published by the UK Government (at October 2022 available from https://www.legislation.gov.uk/ukpga/2015/15/notes/contents).

7.1 Introduction and key developments

This chapter concentrates on issues which are particular to contracts between a business and a consumer and which are distinct from the general run of commercial contracts.

The principal developments since the last edition of this book was published in 2015 have been:

- the UK leaving the EU and the likely future impact on interpreting provisions of the Consumer Rights Act 2015. To date it appears that there is has not been any substantive change in the law or in the way it is interpreted, as founded on ECJ case law[2]; and
- several cases both in the UK courts and the ECJ:
    - which have interpreted the 'core' exemption in different ways. In essence the distinction between UK Supreme Court and later ECJ decisions is the closeness of the link between the price paid in exchange for a specific good, service, or digital product supplied. The latter favoured a close, direct link while the former did not. The CMA in its guidance has generally favoured the interpretation of the ECJ;
    - the extent to which a contract term which reflects a mandatory or regulatory provision:
        * has to be in the form where its content is prescribed (if not exactly word-for-word); or
        * expresses a requirement without specifying the content of the contractual term

      to be exempt from assessment for fairness. The ECJ (and the CMA guidance) has favoured, in effect, the approach of the first bullet point. One UK Court of Appeal decision was split on which was the correct approach (but without having to make a decision which is the correct one).

7.1.1 The purpose of this chapter

This chapter does not set out to be a guide to all the provisions in consumer legislation. It covers those provisions which affect the drafting of contract provisions in a consumer contract and in particular those concerning unfair terms[3]. Specifically, the chapter does not consider the provisions concerning the rights and remedies available to consumers (other than mentioning them briefly)[4].

[2] But see the case of *Casehub Limited v Wolf Cola Limited* [2017] EWHC 1169 (Ch), considered at fn 146.

[3] Found in Consumer Rights Act 2015, Part 2.

[4] For the most part this chapter does not consider Consumer Rights Act 2015, Parts 1 and 3. Part 1 of the Act deals with the rights and remedies available to consumers for goods, digital goods and services, while Part 3 concerns a number of different matters, including enforcement powers, duty of letting agents to publicise fees, the student complaints scheme and secondary ticketing.

Most legislation governing commercial transactions does not specify, or control, the content of a contract[5]. However, the provisions in the Consumer Rights Act 2015 concerning unfair terms, do so, although the Act does not specify the exact wording or content that it is necessary to use in a contract with a consumer. The purpose of this chapter is to examine, in outline, how the provisions of the Consumer Rights Act 2015 do so.

The unfair term provisions:

- specify the type of language a contract drafter should use, as follows:
    - o all contractual language (whether in writing or oral) needs to be 'transparent', that is:
        - * be expressed in plain and intelligible language; and
        - * if the contractual language is in writing it needs, in addition, to be legible (ie readable in a practical sense); and
    - o if there is a contractual provision which is a 'core' term and it is to benefit from exemption from the assessment of fairness, then it, in addition to the above two points, needs to be prominent;
- require that a contract term must not create a significant imbalance in the rights and obligations between the parties (ie it should be fair in the context of the contract as a whole).

Consequently, a contract drafter needs to use a different approach for the drafting of consumer contracts compared to one used for contracts between commercial parties. This difference goes beyond the mere choice of words used. Although consumer contracts need to use plain and intelligible language, this requirement in itself is not enough to distinguish it from agreements made between commercial parties, as the latter are nowadays often expressed in plain and simple language. The key distinguishing factor is perhaps the requirement on the trader to use good faith towards a consumer, so that:

- the consumer knows the terms and conditions on which they are contracting before they enter into the contract (or at least has a reasonable opportunity to become acquainted with them);
- if terms and conditions are particularly onerous or one-sided they need to be made prominent and be brought to the attention of the consumer (and the trader has to use the appropriate amount of effort to bring such provisions to the consumer's notice, depending on how onerous or one-sided they are);

[5] For example, the Consumer Contracts (Information, Cancellation and Additional Charges) Regulations 2013, the Electronic Commerce (EC Directive) Regulations 2002 or the Provision of Services Regulations 2009. The 2009 Regulations do not require contractual wording to deal with the issues they raise but some of the pre-contract information that the 2013 Regulations require a trader to provide are now included as contract terms of the contract.

- the consumer understands the significance and consequence of the terms and conditions before entering into the contract[6]; and
- there is not a significant imbalance in the rights of, and obligations on, the consumer compared to the trader.

This is perhaps best summed up as follows:

> 'The requirement of good faith … is one of fair and open dealing. Openness requires that the terms should be expressed fully, clearly and legibly, containing no concealed pitfalls or traps. Appropriate prominence should be given to terms which might operate disadvantageously to the customer. Fair dealing requires that a supplier should not, whether deliberately or unconsciously, take advantage of the consumer's necessity, indigence, lack of experience, unfamiliarity with the subject matter of the contract, weak bargaining position or any other factor listed in or analogous to those listed in [Consumer Rights Act 2015, Schedule 2]. Good faith in this context is not an artificial or technical concept … It looks to good standards of commercial morality and practice'[7].

Since the first edition of this book, many suppliers of goods and services to consumers have simplified their terms and conditions, not only in the wording they use but also in how they often do not seek to finesse or interpret (or restrict) the law providing rights to consumers, as well as the extent (in term of length) of the terms and conditions[8].

Creating a 'fair' contract does not mean that the contract has to treat the parties equally. It is still possible to create a one-sided contract in favour of the supplier. However, such a contract should not create a significant imbalance between the rights and obligations of the parties[9].

[6] Or at least have a real opportunity to do so.

[7] *Director General of Fair Trading v First National Bank plc* [2001] UKHL 52, [2002] 1 AC 481.

[8] While this is generally true, there are notable exceptions. Although many traders' terms and conditions may be in plain intelligible language, the length of many of them is a different matter. For example, the terms and conditions for bank services (including saving and other types of accounts) may, on the whole, be now written in much plainer language, but they are lengthy. For example, the general terms and conditions for current accounts for National Westminster Bank plc run to 9,100 words approximately plus additional provisions for specific accounts (see https://www.natwest.com/current-accounts/terms-and-conditions.html). It is possible to state that they are written in clear language, and clearly explain how an account operates, but they contain a lot of information for a consumer to digest and to remember. The same is true for purchasers of a mobile phone, which comes with lengthy sets of different software licence terms and conditions for the different applications (whether the software is made by the mobile phone, or licensed from third parties), as well as terms and conditions for the use of specific social media services.

[9] For example, most traders on the internet selling standard goods control (at their discretion) the moment the contract comes into existence and also do not commit themselves to any firm delivery date or time. Many traders 'balance' these provisions with the consumer not needing to pay until the trader is ready to make a binding contract, and if there is no delivery within a reasonable period then the consumer can cancel the contract and get their money back.

7.2 The unfair term provisions: an introduction

It is possible briefly to summarise the unfair term provisions as follows.

- ***Apply to all contractual terms in consumer contracts***: The unfair term provisions apply to all contractual terms:
  - o whether they:
    - * are standard terms; or
    - * have been 'individually negotiated; or
  - o whether they are:
    - * in writing; or
    - * whether they are oral; or
    - * any combination of the above two points[10].
- ***Meaning of unfair terms and good faith:*** A contractual term is unfair if, contrary to the requirement of good faith[11], it 'causes a significant imbalance in the parties' rights and obligations arising under the contract to the detriment of the consumer'[12]. Whether a contractual term is unfair is determined by taking into account:
  - o the nature and subject matter of the contract; and
  - o all the circumstances existing when the contract term was agreed; and
  - o all the other terms of the contract; and
  - o all the terms of any other contract on which the contract in question depends[13].
- ***Contractual terms that are not assessed for fairness ('core terms')***[14]***:*** A contractual term is not assessed for fairness to the extent that:
  - o 'it specifies the main subject matter of the contract'; or

[10] Consumer Rights Act 2015, s 62(1). This is the first significant change in the unfair term provisions compared to the 1999 Regulations. The 1999 Regulations only applied to standard terms which were not individually negotiated.

[11] For the meaning of 'good faith' see *Director General of Fair Trading v First National Bank plc* [2001] UKHL 52, [2002] 1 AC 481. See **7.1.1**.

[12] Consumer Rights Act 2015, s 62(1).

[13] Consumer Rights Act 2015, s 62(5). This provision is likely to focus on factors such as: (i) whether the consumer was put under a pressure by the trader to enter into the contract; (ii) whether the trader wished the consumer to enter into the contract in a rush so that the consumer did not have an opportunity to consider the significance of entering into the contract; and (iii) whether the consumer had a real opportunity to consider and decide on the terms and conditions of the contract. See *Financial Services Authority v Asset L I Inc (t/a Land Investment Inc)* [2013] EWHC 178 (Ch) and *Chitty on Contracts* (33rd edn, 2020) 38-259.

[14] Consumer Rights Act 2015, s 64(1).

- ‘the assessment is of the appropriateness of the price payable under the contract by comparison with the goods, digital content or services supplied under it’.

A contractual term is not assessed for fairness where the above two matters are applicable only if the term is:

- *transparent* (ie is in plain and intelligible language *and* legible); and
- *prominent* (ie it is brought to the attention of the consumer so that the average consumer would be aware of it)[15].

The converse of this is that if a contractual term does deal with the main subject of the contract and/or involves an assessment of the appropriateness of the price payable etc, but it is worded in plain language and is not brought to the attention of the consumer, then it can be assessed for fairness.

- ***Contractual terms to be ‘transparent’***: Written contractual terms need to be expressed in plain and intelligible language *and* be legible[16].
- ***A list of terms which are assumed to be unfair***: Consumer Rights Act 2015, Sch 2, Part 1 provides an ‘indicative and non-exhaustive’ list of terms[17] which ‘may be regarded as unfair’:
  - they are presumed to be unfair and therefore fall within the statutory meaning of an unfair term[18];
  - they are presumed to be unfair. This does not mean that they *are in fact* unfair;
  - a term which does not appear in the list in Sch 2 Part 1 can nevertheless be unfair[19].

  The Consumer Rights Act 2015 does not explicitly state who has the burden of indicating that a term is unfair. It is assumed that if a consumer wishes to argue that a provision is unfair then they will have the burden of showing that it is[20].

[15] Consumer Rights Act 2015, s 64(2). See **7.4.7.2** below for consideration of this.
[16] Consumer Rights Act 2015, s 68.
[17] Consumer Rights Act 2015, s 63(1). Schedule 2 is set out at the end of this chapter at **7.7**. The Consumer Rights Act 2015 added three further terms to the indicative list to those found in the 1999 Regulations, these are indicated by an asterisk.
[18] Within Consumer Rights Act 2015, s 62(4), that is creating a significant imbalance in the rights and obligations of the parties under the contract to the detriment of the consumer.
[19] *European Commission v Sweden* Case C-478/99 [2002] All ER (D) 73 (May): ‘It is not disputed that a term appearing in the list need not necessarily be considered unfair and, conversely, a term that does not appear in the list may none the less be regarded as unfair’.
[20] The Consumer Rights Act 2015, s 62(1) states that a term which is unfair is not binding on a consumer, and Consumer Rights Act 2015, s 71 requires a court to assess whether a contract term is unfair on its own initiative; but neither states who has the burden of proving that a contractual term is unfair.

- ***How a court is to interpret contract terms***: The interpretation of a term in a consumer contract which is most favourable to a consumer is to prevail if the contract term can have different meanings[21].
- ***Self-standing duty of a court to consider fairness of contractual term***: Where there are proceedings relating to a contract term a court has an obligation to consider whether the term is fair (even if the parties have no intention to do so)[22].
- ***Notices also subject to assessment for fairness***: A consumer notice[23] is also subject to assessment for fairness in the same way as a contractual term[24].
- ***An unfair contractual term or notice is not binding a consumer***: A contractual term or notice which is not fair is not binding on a consumer[25]. For a contractual notice, the rest of contract is to continue, if it is possible to do so[26]. The consumer can rely on the unfair contractual term or notice if it chooses to do so[27].

The unfair term provisions apply even if the contract is made under the law of a country which is other than the UK (or any part of the UK) but the contract has 'a close connection with the United Kingdom'[28]. The Competition and Markets Authority has the power to bring enforcement proceedings against any person using or recommending unfair terms in contracts with consumers[29]. The unfair term provisions do not apply to contracts or consumer notices concerned with employment or apprenticeship[30].

[21] The Consumer Rights Act 2015, s 69(1). This appears to be one of the few occasions in legislation which indicates how a court is to interpret a contractual provision (as argued by Lewison *Interpretation of Contracts* (7th edn, 2021, Sweet and Maxwell) at 7.105). Of course, this will only become an issue if a court first comes to the view that a contractual provision is capable of more than one meaning. In other words, the *contra proferentem* rule applies.

[22] Consumer Rights Act 2015, s 71. However, this obligation will only apply if the court has sufficient materials (whether they are legal or factual) to enable it to look at the fairness of the contractual term.

[23] A 'consumer notice' concerns the 'rights or obligations as between a trader and consumer', or 'purports to exclude or restrict a trader's liability to a consumer', and includes an oral or written announcement or any other communication: Consumer Rights Act 2015, s 61(4), (8).

[24] Consumer Rights Act 2015, s 62(2). This was not present in the 1999 Regulations. However, the core term provisions do not apply to notices (Consumer Rights Act 2015, s 64).

[25] Consumer Rights Act 2015, s 62(1).

[26] Consumer Rights Act 2015, s 67.

[27] Consumer Rights Act 2015, s 62(3).

[28] Consumer Rights Act 2015, s 74(1).

[29] And certain other organisations (known as 'qualifying bodies') which are specified in Consumer Rights Act 2015, Sch 1.

[30] Consumer Rights Act 2015, s 61(2). The unfair term provisions also do not apply to consumer notices, where the notice relates to the 'rights, obligations or liabilities as between employer and an employee': Consumer Rights Act 2015, s 61(5).

7.2.1 Checklist: when the unfair term provisions do not apply

7.2.1.1 When the provisions do not apply at all

The unfair term provisions will not apply at all, if:

- a trader enters into a contract other than with an individual[31];
- the contract is between businesses (ie because neither is an individual)[32];
- the contract is between a trader and an individual, but an individual is entering the contract mainly or wholly for the purpose of their trade, business, craft or profession[33];
- the contract is between individuals, both of whom are entering into a contract for a purpose relating to their trade, business, craft or profession;
- the contract deals with employment or an apprenticeship[34];
- there is a public auction of second-hand goods and the person has the opportunity of attending the auction in person[35];
- where the goods, digital content or services fall outside of the Consumer Rights Act 2015[36].

7.2.1.2 When the provisions do not apply in relation to a specific contract term

The unfair term provisions will not apply to an individual provision in a contract with a consumer, if:

- one or more provisions deal with 'core' provisions of the contract:

[31] A consumer can only be a natural person: Consumer Rights Act 2015, s 2(3).

[32] If this is the case, then the business(es) need to rely on the Sale of Goods Act 1979, Supply of Goods and Services Act 1982, and Unfair Contract Terms Act 1977, just as they did before 1 October 2015.

[33] Consumer Rights Act 2015, s 2(3). See **7.4.2**.

[34] Consumer Rights Act 2015, s 61(2).

[35] The person would not be a consumer in this situation: Consumer Rights Act 2015, s 2(5). Non-public auctions (such as internet-only auctions) or other types of public auctions (such as for the auction or services or digital content) would all make a person a consumer.

[36] Consumer Rights Act 2015, s 2(8), (9) provide brief definitions of goods and digital content. The Consumer Rights Act 2015 applies to goods which are 'tangible moveable items', which includes water, gas and electricity but only if they are supplied in a limited volume or in a set quantity. 'Digital content' means data which is produced or supplied in a digital form. The method of supply (ie whether on a tangible medium such as a DVD or electronically) is immaterial, see Explanatory Notes, para 39. Digital content is likely to mean most types content supplied electronically such as 'software, games, apps, ringtones, e-books, online journals and digital media such as music, film and television' (from *Consumer Rights Act: Digital Content Guidance for Business*, September 2015, page 4). There is no definition of what type of services are within or without the Consumer Rights Act 2015, and consequently it is likely to apply to most services that a consumer is likely to have need of.

- one that specifies the main subject matter of the contract[37]; or
- where the assessment is of the appropriateness of the price payable under the contract by comparison with the goods, digital content or services supplied under it[38];

- one or more provisions reflect mandatory statutory or regulatory provisions or the principles of an international treaty to which the UK is a party[39].

7.2.2 Checklist: basic factors to consider when preparing terms and conditions

7.2.2.1 Before beginning to draft the terms and conditions

- The contract drafter should consider the guidance available from the CMA, such as:
  - the unfair contract terms guidance (and its appendix)[40];
  - on 'how to write fair contracts: information for businesses'[41];
  - for particular industries and trades[42].
- ***Process and procedure to permit the consumer to become acquainted with the terms and conditions***:
  - Will the consumer have a real chance to learn and understand the nature and consequences of the obligations before the consumer and trader enter their contract?

[37] Consumer Rights Act 2015, s 64(1)(a).
[38] Consumer Rights Act 2015, s 64(1)(b).
[39] Consumer Rights Act 2015, s 73(1). Included within the meaning of 'mandatory statutory or regulatory provisions' are 'rules which, according to law, apply between the parties on the basis that no other arrangements have been established': Consumer Rights Act 2015, s 73(2). See **7.4.5**.
[40] CMA37. This guidance was issued in 2015 but the CMA has not updated it since, particularly post-Brexit. Much of the guidance, particularly in relation to the list of potentially unfair terms in the Consumer Rights Act 2015, Sch 2 and Annex A were simply taken over from earlier guidance issued by the OFT in relation to the 1999 Regulations (unchanged since 2008). See CMA37 at paras 5.1.5–5.1.9. The authors' view is that this CMA Guidance and Annex A should always be to hand when drafting a consumer contract. They provide detailed guidance as to the practical scope of the unfair term provisions, as well as containing wording which was considered as unacceptable, and their redrafted replacements.
[41] Available from https://www.gov.uk/guidance/how-to-write-fair-contracts.
[42] Until 2017 there was a large range of industry-specific guidance on unfair terms, all of which is now withdrawn. As of October 2022 it is still possible to find it on the CMA website. What is now available on the CMA website is more general information about entering contracts with consumers, rather than focussing on unfair terms, although there is the guidance found in CMA37. Although superseded, the old guidance is still of relevance as it tailors the law and guidance specifically to the issues within a particular industry. The guidance available was in the following industries: tenancy agreements, health and fitness club agreements, care home contracts, consumer entertainment, package holiday contracts, holiday caravan agreements, home improvements and consumer problems in ongoing contracts.

- Are there any provisions which will have a significant or adverse impact on the consumer? If so:
  - are those specific terms made prominent?
  - are the obligations set out clearly and the circumstances in which they arise?

- ***Legibility and presentation***:
  - If printed onto paper, are the provisions printed[43]:
    - clearly;
    - using a sensible type size;
    - without use of distracting background colours;
    - without using a distracting, faint or too strong colour;
    - onto paper of acceptable quality.
  - If for display on a mobile device (or on a smaller screen)[44]:
    - using a sensible (ie not too small) type size;
    - without the use of distracting background colours or flashing graphics appearing to the sides of the text;
    - not displaying the text in a format which only permits the display of a fixed width[45];
    - using a format which allows for increasing the size of the text (and which permits reformatting to fit the width of the text);

[43] See CMA37, para 2.53. The CMA guidance about 'legibility' is very brief in its detail and does not speak about terms and conditions appearing on websites or displayed on mobile devices. In the latter case, the wording is sometimes displayed in very small type. If the terms and conditions are displayed on a website there is normally an easy technical solution within the reach of the consumer: it is easy to increase the size of text and graphics using the feature built into most modern web browsers (pressing the Control key and the '+' key).

[44] None of these points are mentioned in the CMA's various guidance as such or elsewhere. With the increasing dominance of mobile devices as consumers' primary means of accessing the internet, how it is possible to present terms and conditions is likely to be an important factor in deciding on whether the terms and conditions were presented legibly. The technical means of doing so will need to be considered. Some of the methods of presenting information will be governed by the underlying technology used in the mobile device (or rather that made available by the operating system). For example, items purchased on an iOS device will be done through the Apple's App Store, but an in-app purchase may have additional screens controlled by an app's developer. But for items bought via a website, the display of terms and conditions will be controlled by the website (or displayed on the website) or a third party viewer (if the terms and conditions are in, eg, a pdf). If the text size is small on a normal computer monitor it will be smaller on a mobile phone screen, particularly if it is not possible to zoom in to a larger size, or it may be harder to read if the text does not format to the width of the screen, or there is not an option to save the terms and conditions to a file (or be sent by email), etc.

[45] So that the consumer has to scroll left and right to read each line of text.

    * allowing a consumer the opportunity to save the terms and conditions to the mobile device or to be sent by email in a text format before the contract is entered into;

- ***Words and sentences***:
    - o use ordinary words, as far as it is possible to do so;
    - o use words in their normal sense and with their normal meaning;
    - o use short sentences;
    - o do not express a right or obligation in vague language, as the effect may be unclear or misleading to the average consumer (even if the words used are plain and intelligible)[46];
    - o do not draft so that a right or obligation, while clear and precise for legal purposes, will result in the average consumer not being properly informed[47];
    - o avoid double negatives;
    - o use 'you' and 'we' when referring to the consumer and the trader.
- ***Clauses***:
    - o are clauses clearly organised?
    - o is there use of short paragraphs?
    - o is there extensive use of meaningful sub-headings?
    - o are similar subjects and issues grouped together under one relevant (sub-)heading?
- ***Legal language and legal-type drafting***:
    - o avoid statutory references[48];
    - o avoid elaborate definitions;
    - o avoid extensive cross-referencing;
    - o if aiming for legal precision, avoid legal terminology[49].
    - o avoid using legal jargon or legal words[50].

[46] CMA37, 2.51.

[47] CMA37, 2.54 and see fn 49 below.

[48] If it is necessary to refer to a statutory provision, then just a reference to the statutory provision is not sufficient; the content of the statutory provision as well as the effect of the provision will need to be set out. See CMA37, para 2.55.

[49] CMA37, para 2.54: while it is 'desirable that terms are clear and precise for legal purposes, legal precision alone will not suffice to meet the transparency test. This is because the purpose of transparency is to ensure that the average consumer is properly informed. Consumers do not normally act on legal advice, so precise legal terminology does not generally assist them in their decision-making. An example of unhelpful legal drafting is the inclusion of references to statute in exclusion clauses'.

[50] See the list at **7.6** below.

- For provisions where the consequences are not clear or the meaning may not be obvious to the consumer, has the contract drafter explained the consequences or provided a meaning[51]?

7.2.2.2 Type of provisions which should never be included in a consumer contract

The following should not be included:

- contractual terms which seek to exclude or restrict a trader's liability relating to statutory rights and remedies in the Consumer Rights Act 2015 in relation to goods, digital content and services[52];
- terms and notices which seek to exclude or restrict liability for death or personal injury resulting from negligence[53].

7.2.2.3 Basic commercial issues in preparing contract terms

- ***Does the contract term meet the conditions to be assessed as 'unfair'?*** Has the contract drafter considered each of the elements of the unfair term provisions that make up the definition of an unfair contract term?
    - o is it contrary to good faith?[54]; and
    - o does the contract term create a significant imbalance in the parties' rights and obligations arising under the contract?[55]; and

[51] This calls for judgment, as it is possible for any provision in a contract to require further explanation. However, clauses that limit liability or relate to damage caused by a consumer may need particular attention. For example, a trader may hire out equipment and wish to indicate that the consumer is responsible for damage caused due to the fault of the consumer. Rather than a bald statement to that effect, the limits or consequences of which may be unclear to the consumer, wording could approach this point in one of two ways such as: 'You shall be responsible for any loss or damage to the equipment if you: (a) fail to operate the equipment in accordance with the instruction manual; (b) do not take reasonable care of the equipment while in your possession; or (c) deliberately damage the equipment etc', or 'You shall be responsible for any loss or damage to the equipment except for any loss or damage which: (i) we (or our employees) have caused; (ii) is due to a manufacturing design or design fault; or (iii) results from fair wear and tear'.

[52] Consumer Rights Act 2015, ss 31 (for goods), 47 (for digital content), and 57 (services). See **7.3** below for a list of which provisions it is not possible to exclude.

[53] Consumer Rights Act 2015, ss 65, 66.

[54] As set out in *Director General of Fair Trading v First National Bank plc* [2001] UKHL 52. There is an extract at the beginning of this chapter.

[55] For the meaning of 'significant imbalance' see *Director General of Fair Trading v First National Bank plc* [2001] UKHL 52: 'The requirement of significant imbalance is met if a term is so weighted in favour of the supplier as to tilt the parties' rights and obligations under the contract significantly in his favour. This may be by the granting to the supplier of a beneficial option or discretion or power, or by the imposing on the consumer of a disadvantageous burden or risk or duty. The illustrative terms set out in [Consumer Rights Act 2015, Sch 2] to the regulations provide very good examples of terms which may be regarded as unfair; whether a given term is or is not to be so regarded depends on whether it causes a significant imbalance in the parties' rights and obligations under the contract. This involves looking at the contract as a whole. But the imbalance must be to the detriment of the consumer; a significant imbalance to the detriment of the supplier, assumed to be the stronger party, is not a mischief which the [Consumer Rights Act 2015] seek to address'.

- does the contract term cause a detriment to the consumer?[56]

In determining whether these factors are present it is necessary to look at the purpose of consumer legislation: that the consumer is in a weaker position compared to the trader (in terms of their bargaining power and their level of knowledge);

- Has the contract drafter consulted the list of potentially unfair terms set out in Consumer Rights Act 2015, Sch 2?[57];
- ***Will the contract contain any terms which match those set out in Consumer Rights Act 2015, Sch 2?*** If there are provisions in a contract which match those set out in Sch 2, they are likely to be unfair[58].
- ***For core terms, has the contract drafter made them transparent and prominent to avoid assessment for fairness?*** If these core terms are not:
  - expressed in plain and intelligible language;
  - legible; and
  - prominent (such as printing the term in bold, or placing it nearer the beginning of the contractual terms, or repeating the term (or the substance of the term) other than in the terms and conditions)[59];

[56] Consumer Rights Act 2015, s 62(4). In *Director General of Fair Trading v First National Bank plc* [2001] UKHL 52 the court discussed some of the facts to consider when deciding whether a contract is unfair: 'It is obviously useful to assess the impact of an impugned term on the parties' rights and obligations by comparing the effect of the contract with the term and the effect it would have without it. But the inquiry cannot stop there. It may also be necessary to consider the effect of the inclusion of the term on the substance or core of the transaction; whether if it were drawn to his attention the consumer would be likely to be surprised by it; whether the term is a standard term, not merely in similar non-negotiable consumer contracts, but in commercial contracts freely negotiated between parties acting on level terms and at arm's length; and whether, in such cases, the party adversely affected by the inclusion of the term or his lawyer might reasonably be expected to object to its inclusion and press for its deletion. The list is not necessarily exhaustive; other approaches may sometimes be more appropriate' (at [57]). However, the court in this case found that 'to the detriment of the consumer' 'does not add much' merely serving 'to make clear that the [1993] Directive is aimed at significant imbalance against the consumer rather than the seller or supplier' (from [36]).

[57] Because of its importance, Sch 2 is set out at the end of this chapter. Also for each term the contract drafter should consider the *Unfair contract terms guidance* and its annexes.

[58] The wording of Consumer Rights Act 2015, s 63(1) states that such provisions 'may be regarded as unfair for the purposes of this Part', not that the provisions are automatically unfair.

[59] CMA37, at paras 3.25–3.27 indicates that different levels of prominence will be needed for terms which have different levels of risk or detriment. A one-size-fits-all approach to making terms prominent will not suffice. Terms which have unusual effects, are particularly onerous or are not easy to understand will need particular prominence. CMA37 gives some examples of what these terms might be: 'Terms of this kind may include price-setting terms that are tied into complex pricing, and terms that require the consumer to pay charges on the occurrence of a future event that the consumer may, at the date of the contract, not be expecting to occur. When considering the level of prominence needed for such a term, account needs to be taken of the likely reasonable expectations of the average consumer when entering the contract, and whether the charge is, by reference to those expectations, disproportionately high compared to the charges imposed by other terms of a similar type in the contract. Another aspect is where a (core) term is placed in a contract. If it is a core term but placed within small print or in the middle of standard wording then not only may it fail to be a core term (and hence assessable as to whether it is a fair term) but also be unfair'.

then they will be subject to assessment as to whether they are fair.

- ***Has the contract drafter considered the factors for assessing the fairness of a contract term which is subject to such assessment?*** If the contract drafter wishes to write a contract term which may be potentially unfair, they should consider the factors for assessing fairness in the unfair term provisions:
  - the nature of the goods and services for which the contract was entered;
  - to all the circumstances existing at the conclusion of the contract;
  - to all the other circumstances of the contract (or another contract) on which a contract term is dependent[60]. This appears to permit a term which is unfair to lose its 'unfairness' if other parts of the contract (or another contract) give rights or alleviate the unfairness of the unfair term[61].
- ***Does the contract attempt to exclude or limit liability for specific provisions which cannot be excluded or limited?*** See **7.3**. Although it may seem an obvious statement, traditional methods of limiting or excluding of liability will not work. For example, adding wording to limit the liability of a trader for its breach of the term of satisfactory quality would be counterproductive, as would stating that the goods are satisfactory but then limiting the business's liability for a breach of this term or limiting the liability to a sum of money, or excluding any warranties or liability (ie that the business/trader is not liable for damage which is its own fault), because of the 'anti-avoidance' measures found in the Consumer Rights Act 2015. For example, a trader cannot exclude or limit a right or remedy in relation to the term of satisfactory quality[62]. This is different to defining the meaning of satisfactory quality (see *Drafting points*, below).
- ***Drafting points***. A trader must not:
  - exclude or restrict liability for breaching the terms set out in the Consumer Rights Act 2015 (or use other roundabout methods in regards to them)[63]; or

[60] Consumer Rights Act 2015, s 62(5). This provision is likely to focus on factors such as: (i) whether the consumer was put under a pressure by the trader to enter into the contract; (ii) whether the trader wished the consumer to enter into the contract in a rush so that the consumer did not have an opportunity to consider the significance of entering into the contract and (iii) whether the consumer had a real opportunity to consider and decide on the terms and conditions of the contract. See *Financial Services Authority v Asset L I Inc (t/a Land Investment Inc)* [2013] EWHC 178 (Ch) and *Chitty on Contracts* (3rd edn, 2020) 38-261.

[61] For example, a consumer joins a club, and is required to pay a membership fee in advance. A term which states that the fee is non-refundable in any circumstances is likely to be unfair in all circumstances. However, if the contract contains other provisions which state that membership entitles a member to a certain number of hours of use of the club, or if where the particular services the club offers are withdrawn, the member would be entitled to the use of the same type of services of another club, this might be enough to prevent the offending term from being unfair.

[62] Consumer Rights Act 2015, s 31(2)(a).

[63] See **7.3** below for what it is not possible to exclude.

- include unfair terms;

although it is possible to control aspects of the contract which do not offend these two points.

For example:

- *controlling the point at which the contract comes into being*: A trader can state, via a notice, when the contract comes into being, such as only when the trader notifies the consumer of that fact[64]. This will prevent much of the Consumer Rights Act 2015 operating. However, any notices, even though they are not contractual, still need to be fair.

  For example, if a trader operates through a website, offering goods, and the notice containing the terms and conditions:

  * requires payment at the point the goods are ordered;
  * states that a contract only comes into being when the trader notifies the consumer;
  * does not explicitly indicate when a payment will be refunded, or set too long a date for a refund if the trader does not accept the contract;
  * does not state how long the trader will have to state when the contract comes into being,

  then it is possible the notice[65] could be unfair by allowing the trader to hold onto the consumer's payment for an unreasonable period, while providing nothing or not committing to providing anything[66].

- *Delivery*: it is possible to contract out of the default provisions for delivery or define what they mean, for example, that:

  * the trader must deliver the goods to the consumer, or
  * the trader must do so without due delay or within 30 days after the date the contract is entered into (as long as an agreed time or period is set).

  For example, if the trader, in order to fulfil a consumer's order, has to obtain goods from a third party, then the trader could state that it will

[64] Contracts made on the internet with traders invariably include such a provision.

[65] That is the terms and conditions and other statement made on the trader's website are likely to be notices.

[66] A 'notice' includes 'an announcement, whether or not in writing, and any other communication or purported communication'; Consumer Rights Act 2015, s 61(8), and the unfair term provisions apply where a notice relates to rights and obligations between a trader and consumer (or where the notice purports to exclude or restrict a trader's liability to a consumer): Consumer Rights Act 2015, s 61(4). It does not matter 'whether the notice is expressed to apply to a consumer, as long as it is reasonable to assume it is intended to be seen or heard by a consumer': Consumer Rights Act 2015, s 61(6).

deliver the goods as soon as it has received them from the third party supplier (ie 'without due delay' in effect meaning when it has stock from its third party supplier)[67]. However, to avoid such an open-ended provision being deemed unfair or being interpreted as attempting to exclude or restrict liability for a term, then such a provision should clearly indicate why it is necessary to have such wording (or why it is not possible to specify a delivery date). Furthermore, the provision should set a 'long-stop' date when the consumer will have the right to cancel the contract and obtain refund for any payment the consumer has made.

- *satisfactory quality*: A trader can define the meaning 'satisfactory quality' in relation to particular goods it is selling. For example, by defining the meaning of one or more of the factors that determines what is satisfactory quality[68]:
  - description;
  - price;
  - other relevant circumstances (including any public statement about the specific characteristics of the goods made by the trader or producer).

  The trader could also state it will not be liable for any damage, etc caused by the consumer (such as not following any instructions that come with the goods).

  The Consumer Rights Act 2015 states that satisfactory quality is a standard that a reasonable person would consider satisfactory, which takes account of the above factors. Such statutory provision clearly

[67] Consumer Rights Act 2015, s 28 provides that unless the parties agree otherwise then goods are to be delivered without undue delay (although this is not defined further). Such a provision as suggested here would allow the trader to never fulfil the order, because it could always argue that it was waiting on its supplier. The consumer could always argue that the trader, if the trader never manages to state when delivery will take place, is refusing to deliver (under Consumer Rights Act 2015, s 28(6)) which would allow the consumer to cancel the contract. This will, of course, be dependent on the consumer being aware of the detail of the provisions of the Consumer Rights Act 2015. Without additional wording such a clause: (i) might be attempting to exclude or restrict liability arising under the Consumer Rights Act 2015, s 28 (by attempting to prevent an obligation or duty arising at all (under Consumer Rights Act 2015, s 31(3)), that is preventing liability arising under Consumer Rights Act 2015, s 28; or (ii) might amount to an unfair term if the consumer has paid in advance, and the term causes a significant imbalance in the parties' rights and obligations, if there is no other term that permits the consumer to cancel the contract or obtain a refund whether at all or if the supplier to the trader fails to deliver the goods to the consumer after a certain period of time.

[68] Consumer Rights Act 2015, s 9(1), (2). 'Quality' includes the state and condition of the goods, and the following aspects of the quality of goods in appropriate cases: fitness for all the purposes of which goods of the kind in question are commonly supplied; freedom from minor defects; safety and durability.

allows a trader to define the standard that a reasonable person should expect by using a detailed description, for example[69].

7.3 Checklist of other legislation relevant to drafting consumer contracts

The following are additional points, which specifically apply to consumers and will generally form the background to any contract terms in a consumer contract.

7.3.1 Contracts

A contract term is not binding on a consumer if it attempts to exclude or restrict liability arising under any of the following provisions of the Consumer Rights Act 2015:

- ***goods***[70]:
  - goods to be of satisfactory quality[71];
  - goods to be fit for particular purpose[72];
  - goods to be as described[73];
  - pre-contract information that is included in contract as a term of the contract[74];
  - goods to match a sample[75];

[69] For example, where a supplier is selling a computer monitor they could add wording such as: 'We shall supply to you the goods that you have ordered. You should note that certain types of monitors occasionally suffer from minor errors in the manufacturing process. In particular LCD monitors have one or two pixels which incorrectly appear ("pixel errors"). Such pixel errors are in accordance with industry standards for the manufacture of LCD monitors, which you can find at www.aaabbb.com.
Monitors must be set up correctly using the instructions provided. In particular, setting up a monitor with the wrong display resolution is likely to damage the monitor. Monitors must be cleaned only as described in the instructions provided with the monitor and also available online at www.cccddd.com. A monitor, because it contains electric and electronic parts, should never be cleaned with water or other liquids. Also, the use of abrasive cleaners or rough cloths will damage the monitor's casing or display.
Also our website contains further information concerning the monitors which you should read (www.xxxxyyyy.co.uk).
We will not take responsibility for damage to the goods you have ordered where you do not set up or use the goods in accordance with the instructions manuals provided or statements or information which is provided with the monitor.'

[70] Consumer Rights Act 2015, s 31.

[71] Consumer Rights Act 2015, s 9.

[72] Consumer Rights Act 2015, s 10.

[73] Consumer Rights Act 2015, s 11.

[74] Consumer Rights Act 2015, s 12.

[75] Consumer Rights Act 2015, s 13.

- goods to match a model which is seen or examined[76];
- where the contract includes installation of goods, then if the installation is not carried out correctly, then the goods will not conform with the contract[77];
- if goods include a supply of digital content, and the digital content does not conform to the contract to supply that digital content then the goods also do not conform to the contract[78];
- trader to have right to supply the goods[79];
- delivery of goods[80];
- passing of risk[81].

- ***digital content***[82]:
  - digital content to be of satisfactory quality[83];
  - digital content to be fit for particular purpose[84];
  - digital content to be as described[85];
  - pre-contract information that is included in contract as a term of the contract[86];
  - trader's right to supply digital content[87].

- ***services***[88]:
  - service to be performed with reasonable care and skill[89];
  - the information a trader provides regarding its service or itself is to be binding[90];
  - that a reasonable price is payable[91];

[76] Consumer Rights Act 2015, s 14.
[77] Consumer Rights Act 2015, s 15.
[78] Consumer Rights Act 2015, s 16.
[79] Consumer Rights Act 2015, s 17.
[80] Consumer Rights Act 2015, s 28.
[81] Consumer Rights Act 2015, s 29.
[82] Consumer Rights Act 2015, s 47.
[83] Consumer Rights Act 2015, s 34.
[84] Consumer Rights Act 2015, s 35.
[85] Consumer Rights Act 2015, s 36.
[86] Consumer Rights Act 2015, s 37.
[87] Consumer Rights Act 2015, s 41.
[88] Consumer Rights Act 2015, s 57.
[89] Consumer Rights Act 2015, s 49.
[90] Consumer Rights Act 2015, s 50.
[91] Consumer Rights Act 2015, s 51.

- that there is reasonable time for performance of the service[92];

The above prohibition on excluding or restricting liability also means that a term of a contract is not binding to the extent that the term would[93]:

- exclude or restrict a right or remedy concerning liability under one of the matters listed under the above bullet point;
- subject a right or remedy (or its enforcement) to a restrictive or an onerous condition;
- permit a trader to put a person at a disadvantage if the person pursues a right of remedy;
- exclude or restrict rules of evidence or procedure.

The above rights and remedies are automatically treated as terms of the contract between a consumer and a trader[94].

7.3.2 Notices

- A notice (whether contractual or non-contractual) cannot exclude or restrict liability for death or personal injury[95] resulting from negligence[96].
- A person agreeing to or knowing about a notice (whether contractual or non-contractual) is not to be taken that the person has voluntarily accepted a risk, if the notice purports to exclude or restrict liability for a trader's negligence[97].

[92] Consumer Rights Act 2015, s 52.

[93] Consumer Rights Act 2015, ss 31(2), 47(2), 57(4). References to restricting or excluding liability also 'includes preventing an obligation or duty arising or limiting its extent': Consumer Rights Act 2015, ss 31(3), 57(5).

[94] A 'term' is not defined in the Consumer Rights Act 2015.

[95] 'Personal injury' includes 'any disease and any impairment of physical or mental condition': Consumer Rights Act 2015, s 65(3).

[96] Consumer Rights Act 2015, s 65(1). This provision replaces the Unfair Contract Terms Act 1977, s 2(1). However, the Consumer Rights Act 2015 does not subject exclusion or restricting of liability for other types of loss or damage to a reasonableness test, as does the Unfair Contract Terms Act 1977. Under the Consumer Rights Act 2015, exclusion or restriction of liability for other loss or damage would be assessed as to whether it is fair. Negligence under the Consumer Rights Act 2015, s 65 means the breach of '(a) any obligation to take reasonable care or exercise reasonable skill in the performance of a contract where the obligation arises from an express or implied term of the contract; (b) a common law duty to take reasonable care or exercise reasonable skill, (c) the common duty of care imposed by the Occupiers' Liability Act 1957 […]': Consumer Rights Act 2015, s 65(4). For the purposes of s 65(4) it does not matter 'whether breach of duty is whether a breach of duty or obligation was inadvertent or intentional', or 'whether liability for it arises directly or vicariously': Consumer Rights Act 2015, s 65(5).

[97] Consumer Rights Act 2015, s 65(2).

7.3.3 Other

- Where there is a contract for the supply of goods and a guarantee is offered for the goods, then the guarantee will be a contractual obligation[98].
- A trader must provide certain information to the consumer irrespective of whether the contract is made in a shop ('on-premises'), in a person's home or some other place other than a shop ('off-premises'), or through distance communications (email, internet, facsimiles, etc) ('distance contracts')[99] before the contract is entered into.
    - the amount of information that the trader must make available to the consumer and the rights the consumer will have will depend on whether there is an on-premises, off-premises or distance contract:
    - much of the pre-contract information is treated as a term of the contract (whether for goods, services or digital content)[100];
    - the information that the trader must provide includes details of the main characteristics of the goods, services or digital content, details about the trader, the total price for the goods, services or digital content, delivery charges, arrangements for payment, delivery, performance, etc.
    - where the right to cancel exists, the consumer has the right to cancel within 14 days without liability, but must normally pay for the return of goods, and has a right to receive a refund within 14 days. The consumer loses the right to cancel where the supply of digital content commences, and if there is a supply of services, then the consumer must pay for any services performed during the 14-day cancellation period (and the consumer must give specific permission for the supply of services to commence during the 14-day period)[101].
- A trader must clearly state the price of goods[102].

[98] Consumer Rights Act 2015, s 30. The guarantee must state the contents of the guarantee and the essential particulars for making a claim in plain and intelligible language, and also state that the consumer has the statutory rights in relation to the goods and that the guarantee does not affect them: Consumer Rights Act 2015, s 30(2)–(4). The guarantee can specify what it will cover. There are other requirements that need to be met, including specifying the contact details of the guarantor, the territorial scope of the guarantee and its duration.

[99] Consumer Contracts (Information, Cancellation and Additional Charges) Regulations 2013, SI 2013/3134. Unfortunately, these Regulations are very detailed, and have many exceptions, such as situations when the Regulations do not apply at all, a different list of situations when the right to cancel does not apply, different requirements as to the information to be provided prior to when an immediate repair is needed and so on. The detail is beyond the scope of this book.

[100] Consumer Rights Act 2015, ss 11(4), 36(3), 50(3).

[101] The 2013 Regulations provide model cancellation wording.

[102] Price Marking Order 2004, SI 2004/102 and unfair term provisions in the Consumer Rights Act 2015. The Price Marking Order does not apply to goods supplied in the course of a service, see reg 3(1)(a).

- A trader cannot trade unfairly or engage in certain misleading and aggressive practices[103].

7.4 General points about the applicability of the unfair term provisions

The following are some general points about the application of the unfair terms provisions (or which affect them).

7.4.1 Who is a trader?

- The supplier of goods or services needs to be acting for purposes relating to the supplier's trade, business, craft or profession[104] with the wording indicating that there is a broad approach to the meaning of a 'trader'[105]. The wording 'relating to' appears to indicate that there does not need to be a strong connection with a business, nor that the trader has to be providing goods or services for a profit or has to use any particular legal structure to do so[106].
- The supplier can be a natural or a legal person[107].
- The supplier can act personally 'or through another person acting in the trader's name or on the trader's behalf'[108], which will mean that the trader is liable for the performance of the contract with the consumer where:

  > 'acting through another person acting in the trader's name or on the trader's behalf, for example a trader which subcontracts part of a building contract or a company for which the employees make contracts with customers …'[109]

- A 'business' includes a government department, a local or a public authority[110] and could also include not-for-profit organisations (such as charities, mutuals, co-operatives) who engage in selling goods[111].

[103] Consumer Protection from Unfair Trading Regulations 2008, SI 2008/1277.
[104] Consumer Rights Act 2015, s 2(2).
[105] For example, in Case C-537/13 *Siba v Devėna* [2015] Bus LR 291 and Case C-59/12 *BKK Mobil Oil Körperschaft des öffentlichen Rechts v Zentrale zur Bekämpfung unlauteren Wettbewerbs eV* [2014] 2 CMLR 1.
[106] Case C-59/12 *BKK Mobil Oil* (fn 105) para 26.
[107] A legal person will include companies and charities, mutual, and co-operatives and other not-for-profit organisations where they engage in trading activities: see Explanatory notes, para 35.
[108] Consumer Rights Act 2015, s 2(2).
[109] Explanatory Notes, para 35.
[110] Consumer Rights Act 2015, s 2(7). For example, a local authority was fulfilling a (public, statutory) duty to house the homeless under the Housing Act 2006 and in doing so granted tenancies. In *Khatun v London Borough of Newham* [2004] EWCA Civ 55 the court decided that such activity (that is the granting of the tenancy) would come within the definition of a 'trader'.
[111] Explanatory Notes, para 35.

7.4.2 Who is a consumer?

- A consumer can only be an individual[112].
- It is not possible for any type of business (whether incorporated or unincorporated) to be a 'consumer'[113].
- the individual has to be 'acting for purposes that are wholly or mainly outside that individual's trade, business, craft or profession'[114].

This meaning of a consumer will therefore exclude any type of organisation or company. The meaning of:

> 'acting for purposes that are wholly or mainly outside that individual's trade, business, craft or profession'

appears to be whether the consumer has the intention or purpose of furthering their business, craft, trade or profession. If the consumer has another intention, which incidentally furthers the consumer's business, this will not take the consumer outside the protection of the Consumer Rights Act 2015[115].

In most situations it should be clear whether a consumer is purchasing goods, digital content or services for a purpose wholly or mainly outside of their trade, business, craft or profession. In some situations, it may not be clear as to whether the individual is acting for a business or non-business purpose or even whether the individual is acting as an individual. In the following situations, both the ECJ and the UK courts have considered whether an individual was a 'consumer'. Much of the case law turns on the underlying purpose or intention of the individual entering the contract. If there a business purpose it is likely to mean that the individual will not be a consumer[116].

[112] Consumer Rights Act 2015, s 2(3).

[113] However, an individual may be able to contract on behalf of other consumers without taking that individual outside of the protection of the Consumer Rights Act 2015. For example, if one consumer is buying goods or services for themselves and others, such as one neighbour buys a quantity of seeds which will be their use and for also for their neighbour, each of whom will plant them in their garden. By making one order there may be a discount. Whether the consumer who buys the goods or service or each of the individual consumers can enforce their rights will depend on the circumstances. See CMA37, para 36.

[114] Consumer Rights Act 2015, s 2(3). For example, an individual who buys a computer and works from home one day a week and uses the computer for work purposes on that one day is likely to be covered by the Consumer Rights Act 2015. However, if an individual buys the computer for her/his work and occasionally uses it for non-work purposes, it is unlikely to be covered by the Consumer Rights Act 2015. See CMA37, para 36.

[115] See *Heifer International Inc v Christiansen* [2007] EWHC 3015 (TCC), where 'purpose' was held to connote 'intention'. This case was decided before the Consumer Rights Act 2015. Under the 1999 Regulations (and the Consumer Rights Directive) the definition of 'consumer' was different. The main difference between the 1999 Regulations and the Consumer Rights Act 2015 is that the latter introduced the words 'wholly or mainly', which appears to allow for some use for a business purpose, and which would be in line with the view of the case.

[116] Whether or not the individual is currently involved in the running of the business. The involvement can include preparations to enter into or set up a business, or making preparations to wide-up a business, or make use of something needed for the running of a business (such as a bank account). See the authors' *Macdonald's Exemption Clauses and Unfair Terms*, 3rd edn, 2022, Bloomsbury Professional, 4.43 to 4.52 for a review of cases before the ECJ and the UK courts.

What is clear from the approach of the ECJ is that what matters is whether the contract:

- is to satisfy 'requirements other than the family or personal requirements of a trader'[117]; or
- is 'for the purpose of satisfying an individual's own needs in terms of private consumption'[118];

so that it is necessary to have 'regard to the nature and aim of that contract, and not to the subjective situation of the person concerned'[119].

The ECJ has taken a strict view for the activity which is for a non-consumer purpose. So that an individual, who enters a contract which is partly in connection with their trade or profession and partly outside it, could only rely on the consumer law provisions:

> '… if the link between the contract and the trade or profession of the person concerned was so slight as to be marginal and, therefore, had only a negligible role in the context of the supply in respect of which the contract was concluded, considered in its entirety.'[120]

The Law Commission had considered that the view of the ECJ was 'too narrow' as, in effect, it did not reflect the reality that individuals who have obtained a good or services mainly for non-business use occasionally have to, or choose to, use them for business.[121]

The Law Commission 2013 Report also expressed a similar concern that:

> 'many consumers occasionally use products such as mobile phone or home computers for work purposes. We thought that a consumer buying a mobile phone mainly for recreational purposes should not be stripped of protection simply because they intended to use the phone for some occasional work calls.'[122]

The use of the new definition in the Consumer Rights Act 2015 with the phrase 'wholly or mainly' reflects the view of the Law Commission and has also been followed in other consumer legislation, including the Consumer Contracts (Information, Cancellation and Additional Charges) Regulations 2013.

In most cases, other than where the purpose of the contract is that the individual is connected to a business, it will be obvious that the individual is a consumer. However, here are a few examples where the type of contract the individual entered into nevertheless meant they were held to be a consumer:

[117] Case C-361/89 *Patrice di Pinto* [1993] 1 CMLR 399.
[118] Case C-269/95 *Benincasa v Dentalkit* [1998] All ER (EC) 135, [16].
[119] Case C-269/95 *Benincasa v Dentalkit* [1998] All ER (EC) 135, [17].
[120] Case C-498/16 *Schrems v Facebook Ireland Limited* [2018] 1 WLR 4343, [29] and Case C-464/01 *Gruber v Bay Wa AG* [2006] 2 WLR 205, [39].
[121] Law Commission, *Consumer Redress for Misleading and Aggressive Practices, 2013*, 6.11.
[122] Law Commission Report 2013, para 7.100. The Explanatory Notes (at para 36) provides some practical examples: 'This means, for example, that a person who buys a kettle for their home, works from home one day a week and uses it on the days when working from home would still be a consumer. Conversely a sole trader that operates from a private dwelling who buys a printer of which 95% of the use is for the purposes of the business, is not likely to be held to be a consumer …'.

- a company purchasing a house for a family to live in was a consumer. The company hired an architect. A dispute arose between the company and architect, and the dispute was referred to arbitration. The Arbitration Act 1996, s 90 expressly provides that a consumer does not need to be an individual;
- an individual purchasing a number of houses as an investment (to fund their pension plan) and granting tenancies to the houses in order to fund the mortgages taken out to purchase the properties would count as a consumer when the individual entered into a contract with a letting agent to let the houses;
- an individual who owns property partly used for a business and partly as a domestic residence and obtained a loan to fund a divorce settlement and pay off a mortgage;
- two individuals (who were wealthy) each of whom had a trade or profession (a civil engineer and a lawyer) entered into a series of foreign exchange transactions with a bank under an umbrella agreement. But the transactions were not related to their work. The case concerned primarily the interpretation of an exclusive jurisdiction clause (in favour of the English courts) and an application by the bank for an injunction to restrain proceedings in Greece. The issue was whether the individuals for the purpose of the Brussels Convention and the 1999 Regulations were consumers. The court held that the trades were outside the professions of either of the individuals, as they '… were using money in a way which they hoped would be profitable, but merely to use money in a way one hopes would be profitable, is not enough … to be engaging in trade'[123].

[123] *Standard Bank London Ltd v Apostolakis (No 1)* [2002] CLC 933. In the latter case of *Maple Leaf Macro Volatility Master Fund and another v Rouvroy and another* [2009] EWHC 257 (Comm), [207] the judge questioned the conclusion reached by the court and noted that the Greek courts had disagreed with the English court and viewed the activities of the defendants as entrepreneurial. However, in *Romana Ang v Reliantco Investments Limited* [2019] EWHC 879 (Comm) the court considered that the decision reached by the Greek courts was incorrect and that of *Standard Bank London Ltd v Apostolakis (No 1)* was correct, noting that the issue 'turns upon and is constituted by a difference of view as to whether investing private wealth for gain, if it takes the form of buying and selling foreign currency, is by nature a business activity so that an individual investing their wealth in that way cannot when doing so be a "consumer" under Brussels (Recast). [The court in *Standard Bank London Ltd v Apostolakis (No 1)*] thought there was no such proposition of law; the Greek court took the contrary view' (at [44]). What was important for the court in in *Romana Ang v Reliantco Investments Limited* was 'that there are "end user" and "private individual" elements inherent in the notion of "consumer", so that the investment by a private individual of her personal surplus wealth (i.e. surplus to her immediate needs), in the hope of generating good returns (whether in the form of income on capital, capital growth, or a mix of the two), is not a business activity, generally speaking. It is a private consumption need, in the sense …, to invest such wealth with such an aim, i.e. that is an "end user" purpose for a private individual and is not exclusively a business activity. That means, … that it will be a fact-specific issue in any given case whether a particular individual was indeed contracting as a private individual to satisfy that need, i.e. as a consumer, or was doing so for the purpose of an investment business of hers (existing or planned)' (from [60] and [63]).

7.4.3 Does the CRA only apply to where a trader provides goods, digital content or services to a consumer?

It is obvious that a consumer contract should only be one where a trader provides goods, digital content or services to a consumer. This is certainly true for CRA, Part 1 (which concerns matters such as goods being of satisfactory quality, that services be provided with reasonable care and skill, delivery and remedies):

> 'This Part applies where there is an agreement between a trader and a consumer for the trader to supply goods, digital content or services, if the agreement is a contract'[124].

However, concerning the provisions in CRA, Part 2 concerning unfair terms) there is no such requirement:

> 'This Part applies to a contract between a trader and a consumer'[125].

Case law (both from the ECJ and the UK courts) and the 1993 Directive can apply to a consumer who supplies goods, service or digital content *to* a business. The ECJ has decided that the 1993 Directive applied to all contracts, not just those which involve goods and services *to* consumers by a trader[126] and that the purpose of the contract is 'irrelevant in determining the scope of the [1993 Directive]'. What is relevant is the capacity in which the parties to the contract are acting:

> 'It is therefore by reference to the capacity of the contracting parties, according to whether or not they are acting for purposes relating to their trade, business or profession, that the directive defines the contracts to which it applies …'[127].

In a case before the UK courts the court assumed (without having to decide) that the provisions of what is now CRA, Part 2 would:

> '… apply to a case where an individual guarantees the debt of a company, provided that the individual is not connected to the company and has been acting for purposes outside his business, trade or profession'[128].

7.4.4 Who has the burden of proving a person is not a consumer

A trader has the burden of proving that an individual is acting for purposes wholly or mainly outside of the individual's trade, business, craft or profession[129].

[124] Consumer Rights Act 2015, s 1(1).
[125] Consumer Rights Act 2015, s 61(1).
[126] Case C-74/15 *Dumitru Tarcău, Ileana Tarcău v Banca Comercială Intesa Sanpaolo România SA and Others* EU:**C**:2015:772.
[127] Ibid, at [23]. In this case a bank and a company (with a sole director/shareholder) entered a credit agreement. To increase the line of credit, the parents of the sole director/shareholder granted a form of security to secure the grant of credit to the company.
[128] *Harvey v Dunbar Assets plc* [2017] EWCA Civ 60, [69]. This case was decided when the 1999 Regulations were in force.
[129] Consumer Rights Act 2015, s 2(4).

7.4.5 Contract terms which reflect mandatory statutory or regulatory provisions

Provisions relating to unfair terms do not apply to a contract term or notice which reflects mandatory, statutory or regulatory provisions ('legislative provisions')[130]. The principal issue is whether the exclusion provided by this section of the Consumer Rights Act 2015:

- only '…applies only to terms whose actual content is prescribed (albeit not necessarily word-for-word) by the legislation or regulations…'; or
- applies to a situation such as where legislation requires, for example, a new lease is to be granted on the same terms as the previous lease but the legislation '… says nothing about the substance of the terms to be incorporated in the new lease: all that it mandates is that they should be the same as before'[131].

In one case before the English courts two Court of Appeal judges came to different views on this issue. One judge took a stricter view of the application of the exclusion (following the point made in the first bullet point immediately above), while another judge took the view that:

> 'although, the primary focus of [what is now Consumer Rights Act 2015, s 73(1)] may be upon specific terms in consumer contracts for which the source of the text is directly drawn from legislation'

but it is necessary to interpret domestic legislation:

> 'more widely as including rules which, according to the law, must apply between contracting parties provided no other arrangements have been established'[132].

For the latter judge, in effect, although the legislation under consideration did not require or mandate specific wording for inclusion in the contract but simply required that a new lease be on the same terms as the previous lease, this was enough to bring within the exclusion from protection of the unfair terms provisions of what is now Consumer Rights Act 2015[133]. The CMA favours a restrictive interpretation of this provision, focussing on the purpose of the 1993 Directive which is to protect consumers, as the weaker party, from one-sided contracts. So that:

[130] Consumer Rights Act 2015, s 73.

[131] *Roundlistic Limited v Jones and another* [2018] EWCA Civ 2284, [39], [40], with the case concerning the interpretation of provisions in Leasehold Reform, Housing, and Urban Development Act 1993, ss 42, 56 and 57.

[132] *Roundlistic Limited v Jones and another* [2018] EWCA Civ 2284, [32], [33]. In this case, as the lessee had not asked for a variation of the lease, then the 1993 Act provided mandatory requirements on the lessor to extend the lease on the same terms as the existing lease (subject to the tenant complying with the detailed notice procedure).

[133] However, the court did not need to make a decision on which was the correct view, as they made the decision on an unrelated issue.

> 'It is not enough, for instance, for a term or notice merely to resemble what is provided for by law in a different context, or for wording merely to include some elements that reflect legal requirements'[134].

The CMA, relying on a presumption in the 1993 Directive[135] that a term which reflects a mandatory or regulation provision is not unfair, can still be open for scrutiny if it causes a 'significant imbalance to the detriment of the consumer'[136]. The CMA also notes that reference only to a legislative or regulatory measure will also not benefit from the exemption as it is unlikely to inform the consumer of the content of the provision.

The above applies to express contractual provisions. However, a provision which is implied by a statute or regulation (and common) could also be exempt from scrutiny for fairness[137].

7.4.6 Core terms

A contractual term will only be subject to assessment for fairness if:

- it is an 'incidental' or 'subsidiary' term of the contract[138]; or
- it is a core term if not transparent and prominent.

A term is not assessed for fairness if it is transparent and prominent[139] *and* to the extent that:

[134] CMA37, 3.36..

[135] 1993 Directive, recital 13: 'Whereas the statutory or regulatory provisions of the Member States which directly or indirectly determine the terms of consumer contracts *are presumed not to contain unfair terms* …' (emphasis added).

[136] CMA37, 3.37.

[137] See *Baybut v Eccle Riggts Country Park Ltd* [2006] All ER (D) 161 (Nov), [22]: 'However, it seems to me that before it can be concluded that the Regulations [now Consumer Rights Act 2015] apply to implied terms as opposed to express terms (whether expressed orally or in writing), it is necessary to remember the basis on which terms are implied. Terms can be implied first by operation of law. It would be surprising if a term implied on this basis could nevertheless be ruled unfair as being "..… contrary to the requirements of good faith …" or causing "… a significant imbalance in the parties rights and obligations arising under the contract, to the detriment of the consumer". Clause 4(2) [now Consumer Rights Act 2015, s 64] excludes from the scope of the Regulations terms which reflect mandatory statutory provisions. Thus, it could be said that only terms implied by operation of statute or regulation or international convention are excluded from consideration but not terms implied by the common law. Aside from implication as a matter of law, such terms are implied first in order to make contracts work by filling a technical lacuna in the contract. It is difficult to see how such a term supplied by implication could ever satisfy the test of unfairness established by Regulation 5 [now Consumer Rights Act 2015 s 62(4)]. Secondly, terms are implied at common law in order to give effect to the obvious common but unspoken intention of the parties. Again, it is difficult to see how such a term could ever be unfair within the definition of that term in Regulation 5.'

[138] *Director General of Fair Trading v First National Bank* [2002] 1 All ER 97, [12], accepting the distinction between terms 'which express the substance of the bargain and "incidental" (if important) terms which surround them'.

[139] Consumer Rights Act 2015, s 64(2). See **7.4.7** for the meaning of these terms.

- 'it specifies the main subject matter of the contract'[140]; or
- 'the assessment is of the appropriateness of the price payable under the contract by comparison with the goods, digital content or services supplied under it'[141].

The aim, in effect, is only to exclude from evaluation from assessment of fairness the 'bargain' that is made between the parties, ie the exchange of goods, digital content or services for a payment (whatever the goods, digital content and services are or the amount that the consumer will pay). Only a narrow interpretation of the meaning of the price payable and a description of the subject matter are likely to come within the core exemption under the Consumer Rights Act 2015[142], that they are two sides of a bargain made by a trader and a consumer (in terms of what the trader is offering and that the consumer is willing to pay for what is offered). Also the meaning of price is limited by certain items found in Consumer Rights Act 2015, Sch 2 which concern or affect the price payable[143]. In effect on the latter point, if the

[140] Consumer Rights Act 2015, s 64(1)(a). According to the CMA (CMA37, para 3.11) this provision is likely only to cover, for example, the description of the nature of the goods and would not cover such matters as arrangements for their delivery.

[141] Consumer Rights Act 2015, s 64(1)(b). The second bullet point here is a significant change from the 1999 Regulations, particularly the wording 'the assessment is of the appropriateness of the price payable…', whereas under the 1999 Regulations the equivalent wording is 'to the adequacy of the price or remuneration…'. According to the CMA (CMA 37, para 3.8) this part of the exemption is not to attack payments provisions as such, but to deal with whether the price the consumer pays under the contract is adequate in comparison to what the trader provides in return, in terms of focusing on whether there is an exchange and not the amount the consumer has paid: 'A price-setting term which falls within the second limb of the exemption can be assessed for fairness except to the extent that the assessment relates to the appropriateness of the price as against the services, goods or digital content supplied in exchange. This means that the level of the price cannot be assessed against the value of the product' (CMA37, para 3.12). The purpose of the provision is to determine what was provided in return for the price paid by the consumer. An example of a type of clause that is unlikely to benefit from the core exemption is a provision which was considered in *Office of Fair Trading v Foxtons Ltd* [2009] EWHC 1681 (Ch). A provision in a letting agreement between the defendant and a person provided that if the person sold their property to a tenant, the person would have to pay a commission to the defendant. The defendant provided no service, nor did it offer to provide a service, for this commission.

[142] Because the wording used in Consumer Rights Act 2015, s 64(1) is drafted in a more restrictive form than under the 1999 Regulations, and also the contractual wording now has to be prominent in plain and intelligible language. Additionally, the Explanatory Notes, para 315 draws on two key points from *Office of Fair Trading v Abbey National plc* [2009] UKSC 6 to support this view. The first is that the price and the subject matter of the contract are to be narrowly interpreted as two sides of a bargain made by a trader and a consumer (in terms of what the trader is offering and that the consumer is willing to pay for what is offered). The second is what is now Consumer Rights Act 2015, Sch 2.

[143] See Consumer Rights Act 2015, Sch 2, paras 4, 5, 6, 7 and 15. See **7.7**. The ECJ has indicated that certain aspects relating to price cannot be excluded from consideration for fairness such as 'a term relating to a mechanism for amending the prices of the services provided to the consumer.' (Case C-472/10 *Nemzeti Fogyasztóvédelmi Hatóság v Invitel Távközlési Zrt* [2012] 3 CMLR 1, [23]) as well as the Court of Appeal (*Office of Fair Trading v Abbey National plc* [2009] EWCA Civ 116, [87]): 'The scope of 'price or remuneration' cannot be interpreted so broadly so as to include all payments which do not fall within [what is now Consumer Rights Act 2015, Sch 2]. It cannot be said that all payments for the package of all services supplied pursuant to a contract will automatically fall within [what is now Consumer Rights Act 2015, s (64(1)).'

meaning of a price in the core exemption was to be wide, then it would clash with some of the provisions of Sch 2, which are provisions which are or may be unfair.

In the drafting of a contract with a consumer the contract drafter should note there is a difference between decisions of the UK Supreme Court and the ECJ over the interpretation of the core exemption[144]:

- The central difference is that for the ECJ for the second part of the core exemption (the second bullet point immediately above) held that for a contract term to be excluded from assessment for fairness it is necessary to establish a clear link between the price paid in exchange for a specific service or good. For the Supreme Court, a case involving banking services provided to consumers, it characterised the contract as 'package' if different elements were payable by a consumer (both monetary and non-monetary including foregone interest that a customer could earn on the deposit of their money and charges for being overdrawn) against a package of services (although a customer may not pay any amount (if in credit) or use all of the services). In effect there was no specific

[144] The relevant ECJ cases were decided after that of the Supreme Court but before the UK left the ECJ, so they remain binding until the Supreme Court again has a case to consider. The relevant cases are *Office of Fair Trading v Abbey National plc* [2009] UKSC 6; Case C26/13 *Árpád Kásler and Hajnalka Káslerné Rábai v OTP Jelzálogbank Zrt* [2014] 2 All ER (Comm) 443; Case C-143/13 *Bogdan Matei, Ioana Ofelia Matei v SC Volksbank România SA* [2015] 1 WLR 2385. However, in a subsequent case in the UK courts, decided under the Consumer Rights Act 2015, the court declined to follow the ECJ cases and held that it was bound by the decision of the Supreme Court in *Office of Fair Trading v Abbey National plc* [2009] UKSC 6. In *Casehub Limited v Wolf Cola Limited* [2017] EWHC 1169 (Ch) under a contract between the defendant and consumers, the defendant charged £20 per a month so a consumer could store data on the defendant's server space. There was a minimum fixed term of 12 months and if the consumer terminated the contract early, they had to pay all of the remaining monthly charges less 10%, as a discount reflecting that the customer was paying early. Because of problems in providing the service customers cancelled their contracts with the defendant in the first month and the defendant charged a cancellation fee of £196.00 (calculated as set out in the terms and conditions). The court followed, in effect, the decision of *Office of Fair Trading v Abbey National plc,* that is rejecting the distinction between 'ancillary or incidental price or remuneration' and essential terms and that it was possible to have a package of services provided against a package of consideration (some monetary and some non-monetary). The court in *Casehub Limited v Wolf Cola Limited* held that '[t]he cancellation fee payable under the contract clearly does not comprise the price payable under the contract but it is a monetary obligation on the customer which forms part of it' (at [53]) and that that the cancellation provision was exempt from challenge for fairness under Consumer Rights Act 2015, s 64(1)(b) (as to its adequacy), but it could be challenged for fairness on other grounds. The reason for the judge's rejection of the later ECJ case law is cursory and is limited to statement that 'it is far from clear that the CJEU cases relied on by the claimant have the effect for which it contends' (from [54]). Also of note is that neither party had professional representation and there was no consideration by the court that the cancellation charge could amount to one of the potentially unfair terms in Consumer Rights Act 2015, Sch 2 (that is para 5, see **7.7**). Consumer Rights Act 2015, s 64(6) now specifically provides that terms in Sch 2 are no longer exempt from assessment under Consumer Rights Act 2015, s 64. If the judge had followed the subsequent ECJ case law, it is not clear, what, if anything, the customers were receiving in return when they cancelled the contract.

link between a customer being overdrawn and the payment of a specific charge for doing so.

- For the Supreme Court, the amount generated by the charges it made was an important part of the bank's income and was part of the reasoning why the charges were not accessible for fairness. For the ECJ, the amount generated by a charge was, in principle, irrelevant as to whether a term providing for that charge comes within the meaning of the definition of the 'main subject-matter' of the contract[145].
- For the ECJ it distinguished between terms which 'lay down the essential obligations of the contract' and those which are ancillary, a distinction that the Supreme Court rejected in overturning the Court of Appeal decision[146].

The CMA in its guidance has largely followed the approach taken by the ECJ focussing on the economic rationale for the core exemption (that is to promote competition) as well as the overall aim of the 1993 Directive, that is to protect consumers. So that no interpretation of the correct exemption provision:

> 'is likely to be correct that would allow it to serve as a means of escaping the requirements of fairness through the use of mere drafting techniques.'[147]

The following are some matters which will need consideration when determining the scope and application of these core exemptions:

- whether any goods, services or digital are provided in return for the particular price. If an amount in the contract cannot be clearly linked in return for a specific good, item of digital or service, then it may be liable to be assessed for fairness;
- the amount of the price cannot be assessed for fairness against the value of the product (although it is possible to assess a price term for fairness according to other criterial)[148];
- although the amount of the price cannot be assessed for fairness, other matters relating to the price can be assessed for fairness and are unlikely to be covered by the core exemptions, such as:
  - the timing of the payment;
  - the method of payment;
  - any variation of the payment;

[145] Contrast Case C-143/13 *Bogdan Matei, Ioana Ofelia Matei* (fn 146), [36].
[146] Contrast Case C26/13 *Árpád Kásler and Hajnalka Káslerné Rábai* (fn 146), [50] and *Office of Fair Trading v Abbey National plc* [2009] UKSC 6, [38]–[42].
[147] CMA Guidance, 3.4.
[148] *Office of Fair Trading v Abbey National plc* [2009] UKSC 6, [60], [95].

- drafting techniques to include within the meaning of the core exemptions provisions which create an unfair balance between the consumer and trader are unlikely to succeed, including wording concerning:
    - o exclusion clauses;
    - o cancellation provisions;
    - o disproportionate terms;
    - o provisions found in the Consumer Rights Act 2015, Sch 2[149].

Accordingly, the aim of the unfair term provisions is not to control the price the consumer pays (ie, there is no obligation or requirement that the consumer has to pay a 'fair' price), but rather to ensure that all the provisions of the contract concerning price are brought sufficiently to the attention of the consumer in such a way that a reasonable consumer can understand them and so that a contract term does not cause a significant imbalance in the rights and obligations between the trader and the consumer. If the consumer pays too much for goods, digital content, or services but, before entering into the contract, is fully aware of the amount they are paying and the terms and conditions on which they are contracting, then the unfair term provisions will not protect the consumer from making a bad bargain.

The core terms can be assessed as to whether they are fair if they are not transparent (expressed in plain and intelligible language) and as well as being prominent[150]. The requirement for a contract term to be brought to the attention of the consumer is a new requirement under Consumer Rights Act 2015.

Under the 1999 Regulations what amounted to a core exemption came under scrutiny by the courts, and the redrafting of the core exemptions in the Consumer Rights Act 2015 is an attempt to restrict a trader's attempts to come within their ambit. The above illustrate some of the ways it is not possible for a trader to do so. Under the 1999 Regulations there was some limited guidance as what could amount to a core term, and even though the 1999 Regulations and the Consumer Rights Act 2015 are set out in different ways, they are not fundamentally different ways of addressing the meaning of a core term. These are some examples of core terms:

[149] The view of the CMA (CMA 37) is that if a trader attempts to use the core exemptions as a method of escaping the requirement to create a fair contract by using drafting techniques then such an approach is unlikely to be correct: 'It cannot be used to remove from an assessment of fairness terms which have as their object or effect the creation of an unfair imbalance – such as, for example, exclusion clauses, cancellation provisions, disproportionate financial sanctions or other terms included in the Grey List'. This would allow 'the main purpose of the scheme to be frustrated'.

[150] See **7.4.7** for explanation of these terms.

- for an insurance contract, the provisions which set out what is and what is not covered by the insurer and the insurer's liability (as they will form the basis of what exactly the consumer will pay for)[151];
- the 'normal' rate of interest chargeable on a bank loan (but an interest rate (and other charges) payable in the event of a default by the borrower are not core provisions)[152];
- the commission payable on a house sale within a certain period of time (but a higher specific rate payable after that period, and a provision that another rate of interest was payable were held not to be core terms)[153];
- various charges made by a bank for unpaid items, charges for exceeding an agreed overdraft limit, etc are core terms (as well as the interest the bank earned on having access to the customer's money)[154];
- a specific extra cost if a customer decided to not pay a telephone bill using direct debit[155].

7.4.7 Use of language which is plain, intelligible and legible in written contracts and, where relevant, prominent

All contractual terms in a consumer need to be 'transparent' and the terms which concern the 'core exemptions' need to be 'prominent' as well.

7.4.7.1 Transparent

Regardless of the type of contractual term, it must be 'transparent'[156], which consists of two tests. A contractual term must be:

- in 'plain and intelligible language' (whether the contractual term is oral or in writing); and
- if the contractual term is in writing, legible as well[157].

[151] Directive 93/13/EEC, recital 19.

[152] *Director General of Fair Trading v First National Bank plc* [2002] 1 All ER 97. In relation to the provision held not to be a core term, the court found that it did not define the main subject matter of the contract, as it did not in a realistic way concern the adequacy of the remuneration because it only dealt with the situation when the borrower was in default.

[153] *Bairstow Eves London Central Ltd v Smith* [2004] EWHC 263 (QB).

[154] *Office of Fair Trading v Abbey National plc* [2009] UKSC 6, [2010] 2 All ER (Comm) 945. It was held that all the charges were the price the customer of the bank agreed to pay for the package of services received, rather than those charges for when the customer was in breach of an obligation.

[155] *Bond v British Telecommunications plc*, a decision of the Walsall County Court, 28 March 2008, quoted in Lawson, *Exclusion Clauses and Unfair Contract Terms* (10th edn, 2011, Sweet and Maxwell), p 272.

[156] Consumer Rights Act 2015, s 64(3).

[157] Consumer Rights Act 2015, s 68(2).

These requirements are found in the Consumer Rights Act 2015, s 64 but it does not state who has the burden to ensure a contract meets these requirements. Another provision in the Consumer Rights Act 2015 requires a trader to make a written term transparent[158], but there is no penalty imposed on a trader who fails to make the contractual provisions transparent, as such. However, a failure by a trader to make a contractual provision 'transparent' could mean that the provision is 'contrary to the requirement of good faith' and unfair (as long as the term causes a significant imbalance in the parties' rights and obligations under the contract to the detriment of the consumer)[159] or might lead a court making an interpretation most favourable to a consumer (see next paragraph).

If a contractual term is not transparent then, in the event of a dispute, where a contractual term is capable of having more than one meaning, the interpretation which is most favourable to the consumer will prevail[160], ie a provision which is not transparent will not make the provision by itself unfair[161], but if challenged a court will use the meaning most favourable to the consumer. This provision can appear to have a wide reach, being in effect a statutory version of the common law *contra proferentem* rule, but court decisions have indicated that it should be applied in the same way as the common law version[162]. Accordingly, it will:

- only apply where there is an ambiguity in the meaning of the contract term or consumer notice under consideration[163]; or

[158] Consumer Rights Act 2015, s 68(1). For this purpose of this sub-section 'transparent' if it is 'if it is expressed in plain and intelligible language and it is legible' (Consumer Rights Act 2015, s 68(2)).

[159] Consumer Rights Act 2015, s 62(4).

[160] Consumer Rights Act 2015 s 69(1). This is a modern example of the *contra proferentem* rule (see **6.5.19** for details). However s 69(1) 'does not apply to the construction of a term or a notice in proceedings on an application for an injunction … under paragraph 3 of Schedule 3' (Consumer Rights Act 2015, s 69(2)) with paragraph 3 of Schedule 3 setting out the circumstances when a regulator can obtain an injunction.

[161] CMA37, para 2.6: 'Failing this specific transparency test alone, independently of the fairness test, does not make a term unenforceable against an individual consumer in the same way as a finding of unfairness. But there is a requirement that, if a term or notice has more than one possible meaning, and so is ambiguous, it should be given the meaning that is most favourable to the consumer. This is designed particularly to assist consumers in their own disputes with traders'.

[162] *AJ Building and Plastering Ltd v Turner* [2013] EWHC 484 (QB), [53]; applied in *Khurana and another v Webster Construction Ltd* [2015] EWHC 758 (TCC). The latter case (at [55], [56]), in effect, accepted the following on how to apply Consumer Rights Act 2015, s 69(1): '(a) [CRA, s 69(1)] only applies in circumstances where the common law "contra proferentum" rule would also apply, namely in cases of genuine interpretative doubt or ambiguity; (b) in deciding whether or not there is genuine interpretative doubt or ambiguity the usual common law principles of construction should be applied; (c) thus it is only in cases where the application of those usual common law principles of construction produce genuine doubt or ambiguity as to which interpretation should apply that the court should adopt the interpretation most favourable to the consumer.'

[163] *Du Plessis v Fontgary Leisure Parks Ltd* [2012] EWCA Civ 409.

- not apply where there is 'a single and obvious construction' as to its meaning[164].

More generally, transparency means more than the use of plain, straightforward English which makes grammatical sense[165]. Transparency is likely to require also that rights and obligations in contractual terms are set out clearly and fully, not only so that a consumer can understand them, but so the consumer can:

- understand the words used;
- understand their practical significance[166];
- predict and assess the consequences that the contractual term may have in the future;
- understand the reasons for the term;
- determine how the term relates to other terms;
- if there are any 'unavoidably difficult terms' spell out their practical implications together with 'their relationship with [the consumers'] other rights and obligations';
- make an informed choice as to whether to enter a contract[167]; and
- have the opportunity to access all the terms[168].

That a written term is legible is not further explained in the Consumer Rights Act 2015, however the CMA has in its guidance made suggestions (as well as other aspects of the implications of a contractual term being 'transparent'), a summary of which are set out above at **7.2.2**, which translate into the methods that a contract drafter should use in drafting a contract.

[164] *Higgins & Co Lawyers Ltd v Evans* [2019] EWHC 2809 (QB).

[165] That the requirement for a contractual provision is in 'plain and intelligible language' means more than focussing on the words used and that they are grammatically intelligible is highlighted also in a number of ECJ cases including Case C-92/11 *RWE Vertrieb AG v Verbraucherzentrale Nordrhein-Westfalen e.V.* [2013] 3 CMLR 10; Case C-26/13 *Árpád Kásler, Hajnalka Káslerné Rábai* (fn 146); Case C-143/13 *Bogdan Matei, Ioana Ofelia Matei* (fn 146).

[166] See CMA37, paras 2.4: Transparency '… means that written terms and notices need to be expressed in plain and intelligible language and be legible. This specific transparency requirement sits alongside and reinforces, the more general obligation, embodied in the requirement of good faith, of fair and open dealing in the use of contract terms…. To meet the section 68 requirement of transparency, …, obligations and rights should be set out fully, and in a way that is not only comprehensible but puts the consumer into a position where he or she can understand their practical significance.'

[167] See CMA37, paras 2.46–2.48.

[168] See CMA, para 2.44: 'Clarity and legibility in contractual language is widely recognised as desirable in its own right but the Act goes beyond promoting that objective as an end in itself, or as a means to ensure legal certainty. Consistently with the Act's (and Directive's) purpose of protecting consumers from one-sided agreements, and the requirement of the Directive that 'the consumer should actually be given an opportunity to examine all the terms' (Recital 20), the transparency provisions in the Act have to be understood as demanding 'transparency' in the full sense.'

7.4.7.2 Prominent

A precondition for a core term[169] not to be assessed for fairness is that it is transparent *and* prominent[170]. 'Prominent' means:

- that the contractual term is brought to the attention of the consumer; and
- the contract term is brought to the attention of the consumer 'in such a way that an average consumer would be aware' of the contractual term[171].

A contractual term which is 'brought to the attention' of the consumer is one which the consumer is made aware of prior to the conclusion of the contract and in which the average consumer can understand and recognise the main features of the bargain. The Law Commission had examined what a term being prominent might mean including:

- that a core term concerning price would not be sufficiently brought to the attention of a consumer if contained in terms and conditions available only via a link (even though written in plain intelligible language and laid out in a legible way[172]);
- that the core term:

  > '… is presented during the sales process in such a way that a reasonable consumer would be aware of the term even if they did not read the full contractual document. Our intention is that the consumer should be aware of the "essential bargain". In other words they should know what they have to pay and what they will receive in return.'

- that the more onerous the term the more prominent it should be[173];
- that a core term concerning price would not be prominent where it was a headline price but other terms were hidden concerning charges and costs in the terms and conditions[174].

These specific points are not found in the Consumer Rights Act 2015. For the Law Commission the Consumer Rights Act 2015 should use a general test for determining whether a term is a prominent is one that and should apply in

[169] See **7.4.6** above.
[170] Consumer Rights Act 2015, s 64(2).
[171] Consumer Rights Act 2015, s 64(4).
[172] Law Commission, *Unfair Terms in Consumer Contracts: a new approach?* Issues Paper, 2012, para 8.26
[173] Law Commission, *Unfair Terms in Consumer Contracts: a new approach?* Issues Paper, 2012, para 8.27 and relying on cases such as *Interfoto Picture Library Ltd v Stiletto Visual Programmes Ltd* [1989] 1 QB 433.
[174] Law Commission, *Unfair Terms in Consumer Contracts: Advice to the Department for Business, Innovation and Skills, 2013*, 2.39: 'There are particular problems where traders use hidden price terms, which undermine the competitiveness of the market. It is too easy for traders to gain market share by offering low headline prices, and then adding hidden extras. This causes detriment to consumers and disadvantages honest traders who are upfront about their charges'.

all sectors where consumer contracts are entered into (and with detail being set out in guidance)[175]. The test of whether a term is prominent is objective, using the concept of an 'average consumer'[176]. An 'average consumer' is a consumer who is 'reasonably well-informed, observant and circumspect'[177]. Rather than focusing on the particular consumer, a trader who wishes to enter into a contract will need to consider how the generality of consumers will enter into a contract of the type that the trader offers, depending on the nature and importance of the particular contract. In this context the level of attention of the average consumer will vary depending on the nature and importance of a particular contract[178]. Also, the effort that the trader will need to exert will depend on how onerous a particular contractual term is. The general approach required is that consumers need to be made aware in a practical way of the contractual terms prior to entering into a contract, so that they can make an informed decision. However, contractual terms which are particularly onerous, difficult to understand or unusual will need special effort by the trader to make them prominent.

7.5 Checklist of types of contract terms which are likely to be unfair

The following checklist provides some practical examples of the types of terms which are likely to be unfair[179], unless there are specific circumstances which call for them. If a trader requires one that appears in the list, then the contract drafter should examine in detail the circumstances that call for such terms. The contract drafter should then set out the circumstances in the contract wording, as well as adding some additional wording to protect the interests of the consumer in the context of the whole contract, in order to minimise the chances that it will be held unfair in the event of a dispute.

- ***Advance payments and deposits***:
    - o stating that no refunds are payable in any circumstances;

[175] Law Commission, *Unfair Terms in Consumer Contracts: Advice to the Department for Business, Innovation and Skills, 2013*, 4.42.

[176] Consumer Rights Act 2015, s 64(4), (5). An average consumer is 'a consumer who is reasonably well-informed, observant and circumspect'.

[177] Consumer Rights Act 2015, s 64(5).

[178] CMA 37, para 3.21, where *Office of Fair Trading v Ashbourne Management Services Ltd* [2011] EWHC 1237 (Ch) is cited as containing a definition of an average consumer in the context of a particular type of consumer contract. The case considered the terms and conditions of a company offering gym membership and the court characterised an average consumer as 'a member of the public interested in using a gym which is not a high end facility and who may be attracted to the low monthly subscriptions'. Also, according to the CMA, 'consumers, whether or not they can be considered to meet the average consumer criteria, cannot generally be expected to read thoroughly terms in the small print of standard contracts'.

[179] The points in this checklist are drawn from the various materials available at https://www.gov.uk/topic/competition/consumer-protection.

- stating that no refunds are payable if the consumer is at fault;
- stating that no refunds are payable if the consumer cancels contract;
- stating that no refunds are payable if the consumer cancels regardless of reason or whenever the consumer cancels[180];
- stating that no refunds are payable, although the trader can reasonably reduce its losses (such as reselling goods, services etc which the consumer ordered and for which the consumer has paid).

Some suggestions to make terms fairer: If the contract is cancelled because of the consumer's fault or decision, etc:

- state that trader will only retain an amount equal to the actual loss incurred;
- set non-refundable payments or cancellation charges to an amount which genuinely estimates the loss that trader will suffer if the consumer cancels;
- set out the reasons why an advance payment or deposit is needed, what the cancellation charges are and the circumstances in which cancellation charges are payable;

- ***Charges***:
  - permitting the trader to charge a consumer a disproportionate amount for a breach of contract by the consumer;
  - permitting the trader to charge a consumer a disproportionate amount if the consumer cancels the contract early;
  - stating that the amount the trader can charge if consumer breaches the contract is to be decided by the trader (ie at the discretion of the trader);
  - stating that the trader can charge the whole contract price if the consumer cancels the contract or requiring the consumer to pay all the sums due under the agreement;
  - stating that the trader has the right to reprocess goods or to enter premises to reprocess goods.

  Some suggestions to make terms fairer: If the consumer is at fault:

  - explain clearly the circumstances in which the consumer will need to pay a sum to the trader if the consumer is at fault or in breach of

[180] Such as not discriminating between the different points at which a consumer could cancel a contract: for example, a consumer cancelling a contract immediately after the contract is entered into, and a consumer cancelling immediately before the trader is to perform its obligations.

the contract, as well as when particular circumstances occur (early cancellation by the consumer, consumer at fault etc);

- set out the amounts that the consumer will have to pay if they are at fault or in breach of the contract (but limit the amounts to the actual losses that the trader will suffer).

- ***Cancelling the contract***:
  - permitting the trader to cancel the contract (at its discretion) but without the trader providing a refund;
  - not permitting the consumer to cancel the contract;
  - requiring the consumer to be tied to a contract for a certain period of time but allowing the trader to cancel the contract at any time;
  - allowing the trader to cancel the contract for any reason without taking account of the losses that the consumer may suffer (even if any advance payments or deposits are refunded);
  - allowing the trader to cancel the contract, but not permitting the consumer to do so at all or in similar circumstances.

  Some suggestions to make terms fairer: If trader wishes to have the right to cancel the contract:
  - set out that the trader has the right to cancel and in what circumstances they can do so;
  - if the trader wishes to cancel but the consumer is not at fault, refund all the amounts paid in advance;
  - if the trader wishes to cancel and is aware that the cancellation would cause particular difficulty or expense then permit the trader only to be able to cancel in circumstances which are beyond the control of the trader;
  - if the trader wishes to be able to cancel the contract, then it has to do so with a specified period of notice or alternatively on reasonable notice, unless there are specific, serious, circumstances which require the trader to cancel immediately.

- ***Excluding liability***. If the trader wishes to restrict or exclude liability:
  - when at fault, the trader wishing to exclude or restrict liability for causing death, personal injury or other damage to the consumer;
  - stating that the use of equipment etc is at the risk of the consumer;
  - permitting the trader to suspend performance of the contract without liability;

- permitting the trader to exclude or restrict the legal remedies available to a consumer, or to limit the amount the trader has to pay to a specific sum (such as to no more than the value of the goods, digital content or services);
- stating that the consumer is not allowed to withhold any payment the consumer needs to make to the trader if the trader is in breach of the contract (that is forbidding set-off);
- stating that statutory rights do not apply if goods, digital content or services are sold at a reduced price (for example, if there is a defect in the goods or they are on sale);
- permitting the trader to have no liability if the trader fails to perform its obligations in accordance within any stated dates;
- stating that any rights or remedies are less than what is provided by statute (for example, limiting a right to repair to a lesser period than the Consumer Rights Act 2015 permits);
- stating that a consumer can only exercise their statutory and other legal remedies within a particular time period or has to comply with particular formalities (such as requiring a consumer to notify a trader of a problem within a shorter period than set out in the Consumer Rights Act 2015 or the consumer can only use the telephone, online chat function or a text message);

Some suggestions to make terms fairer:

- stating that a trader can exclude or restrict liability for where it is not at fault;

- ***Changing the terms of the contract***:
  - permitting the trader to change the terms of the contract or the prices it charges at the discretion of the trader;
  - permitting the trader to increase prices or permitting the trader to change the basis on which charges are made without obtaining the consent of the consumer;
  - permitting the trader to increase prices without requiring the trader to explain what prices it can increase, the circumstances in which they can rise or when they increase;
  - allowing the trader to change the specification, nature or content of the goods, digital content or services at the trader's discretion or without notice to, or agreement of, the consumer;
  - allowing the trader to change when and/or how a service will be provided at the trader's discretion or without notice to, or agreement of, the consumer;

Some suggestions to make terms fairer: if the trader wishes to have the right to change terms in the contract:

- o requiring trader to set out when, and the circumstances in which, the terms can change, so that the consumer can have prior notice of them;
- o requiring that the trader has to give reasonable notice to the consumer before any term is changed and in a way that the change will be brought to the attention of the consumer;
- o permitting the consumer to cancel the contract if the consumer does not accept the change;

- ***Subscriptions and automatically renewing contracts***:
  - o permitting the trader to renew a contract automatically;
  - o permitting the trader to renew the contract automatically without requiring the trader to inform the consumer that it is doing so;
  - o requiring the consumer to give notice a long time before the renewal date, otherwise the contract will renew automatically; and the consumer cannot cancel or prevent renewal and the consumer will become liable for the subscription/advance payment for the whole next period[181];
  - o permitting the trader to charge a financial penalty if notice given after a certain date[182];
  - o if the contract is for an indefinite period but requiring the consumer to give a lengthy period of notice.

  Some suggestions to make terms fairer:
  - o stating the circumstances when the subscription or contract will renew;
  - o requiring the trader to provide a reminder, and which the trader needs to send a reasonable period before the renewal date (which should include details about the terms of the renewal as well as how the consumer can cancel the renewal);

[181] For example, with a yearly subscription to a gym or some other membership and the trader requiring the consumer to give four months' notice before the renewal date if they wish to cancel. If less than four months' notice is given the consumer cannot cancel the renewal. Without a reminder the average consumer may not remember or otherwise record the date when it has to give notice.

[182] For example, if the trader requires four months' notice to cancel renewal of a subscription, but the consumer gives less than four months' notice, then the consumer can cancel but has to pay 50% of the next year's subscription.

- once a contract is renewed, permitting the consumer to cancel without paying a cancellation fee, and any requirement for the consumer to give notice is limited to a reasonable period;

- ***Other terms which might be unfair***:
  - the trader requiring the consumer to sign declarations which are not to the consumer's advantage (such as a declaration that the consumer has read and understood the terms and conditions);
  - permitting the trader to transfer its rights and obligations to a third party;
  - permitting the trader to transfer its rights and obligations to a third party without obtaining the consent of the consumer or permitting the consumer to cancel the contract.

7.6 Words which should not appear in a consumer contract

The following 'legal' wording is unlikely to be acceptable in a contract with a consumer[183]:

Word or phrase to avoid	*Suggested replacement word or phrase*
assignment (or variations such as 'sold, assigned and transferred')	transfer
consideration	price, charge
consequential	loss
E&OE	avoid altogether
force majeure	the business/trader will do whatever is the subject matter of the contract within a reasonable time
(not) sell or offer for sale, assign, mortgage or pledge … or otherwise deal with	must not sell, rent or dispose of … not give anyone any legal rights over …
determination (or determine)	end the agreement
distress or execution is levied against any of [the consumer's] goods	the consumer's belongings are taken away

[183] These are largely drawn from CMA37, Annex A. This annex was taken over from previous guidance issued by the now defunct OFT and was last updated in 2008. The annex provides examples of clauses (and words) which were in the view of the OFT unacceptable under one of the items in the list of indicative terms which were unfair under the 1999 Regulations (now Consumer Rights Act 2015, Sch 2). Since the indicative list is largely the same under the Consumer Rights Act 2015, the CMA consider that it remains relevant, although not dealing with developments since 2008.

Word or phrase to avoid	*Suggested replacement word or phrase*
indemnify	will pay for any damage
joint and several	that each consumer to the contract is liable for the whole amount due for payment by the consumers, and not just a proportionate part
jurisdiction	if you wish to take legal action you must do so within [specify country]
lien	business/trader can hold some or all of the goods until the consumer has paid the business/trader's charges (even if they do not relate to the goods)
liquidated damages	compensation
merchantable quality	satisfactory quality
risk	the consumer will be responsible for the goods on delivery
pro-rata	adjusted in proportion
time of the essence	specify a period of notice when something will happen or not happen and state what will occur
statutory reference (a mere reference to the statutory legislation)	explain briefly what the legislation does, provides, takes away etc
tender	offer to pay
title (property)	retain or have ownership

7.7 Appendix: Consumer Rights Act 2015, Sch 2

Schedule 2 Consumer contract terms which may be regarded as unfair[184]

Section 63

Part 1 List of Terms

1 A term which has the object or effect of excluding or limiting the trader's liability in the event of the death of or personal injury to the consumer resulting from an act or omission of the trader.

2 A term which has the object or effect of inappropriately excluding or limiting the legal rights of the consumer in relation to the trader or another party

[184] Items marked with an asterisk were not present in the 1999 Regulations.

in the event of total or partial non-performance or inadequate performance by the trader of any of the contractual obligations, including the option of offsetting a debt owed to the trader against any claim which the consumer may have against the trader.

3 A term which has the object or effect of making an agreement binding on the consumer in a case where the provision of services by the trader is subject to a condition whose realisation depends on the trader's will alone.

4 A term which has the object or effect of permitting the trader to retain sums paid by the consumer where the consumer decides not to conclude or perform the contract, without providing for the consumer to receive compensation of an equivalent amount from the trader where the trader is the party cancelling the contract.

*5 A term which has the object or effect of requiring that, where the consumer decides not to conclude or perform the contract, the consumer must pay the trader a disproportionately high sum in compensation or for services which have not been supplied.

6 A term which has the object or effect of requiring a consumer who fails to fulfil his obligations under the contract to pay a disproportionately high sum in compensation.

7 A term which has the object or effect of authorising the trader to dissolve the contract on a discretionary basis where the same facility is not granted to the consumer, or permitting the trader to retain the sums paid for services not yet supplied by the trader where it is the trader who dissolves the contract.

8 A term which has the object or effect of enabling the trader to terminate a contract of indeterminate duration without reasonable notice except where there are serious grounds for doing so.

9 A term which has the object or effect of automatically extending a contract of fixed duration where the consumer does not indicate otherwise, when the deadline fixed for the consumer to express a desire not to extend the contract is unreasonably early.

10 A term which has the object or effect of irrevocably binding the consumer to terms with which the consumer has had no real opportunity of becoming acquainted before the conclusion of the contract.

11 A term which has the object or effect of enabling the trader to alter the terms of the contract unilaterally without a valid reason which is specified in the contract.

*12 A term which has the object or effect of permitting the trader to determine the characteristics of the subject matter of the contract after the consumer has become bound by it.

*13 A term which has the object or effect of enabling the trader to alter unilaterally without a valid reason any characteristics of the goods, digital content or services to be provided.

14 A term which has the object or effect of giving the trader the discretion to decide the price payable under the contract after the consumer has become bound by it, where no price or method of determining the price is agreed when the consumer becomes bound.

15 A term which has the object or effect of permitting a trader to increase the price of goods, digital content or services without giving the consumer the right to cancel the contract if the final price is too high in relation to the price agreed when the contract was concluded.

16 A term which has the object or effect of giving the trader the right to determine whether the goods, digital content or services supplied are in conformity with the contract, or giving the trader the exclusive right to interpret any term of the contract.

17 A term which has the object or effect of limiting the trader's obligation to respect commitments undertaken by the trader's agents or making the trader's commitments subject to compliance with a particular formality.

18 A term which has the object or effect of obliging the consumer to fulfil all of the consumer's obligations where the trader does not perform the trader's obligations.

19 A term which has the object or effect of allowing the trader to transfer the trader's rights and obligations under the contract, where this may reduce the guarantees for the consumer, without the consumer's agreement.

20 A term which has the object or effect of excluding or hindering the consumer's right to take legal action or exercise any other legal remedy, in particular by—

(a) requiring the consumer to take disputes exclusively to arbitration not covered by legal provisions,

(b) unduly restricting the evidence available to the consumer, or

(c) imposing on the consumer a burden of proof which, according to the applicable law, should lie with another party to the contract.

Part 2 Scope of Part 1

Financial services

21 Paragraph 8 (cancellation without reasonable notice) does not include a term by which a supplier of financial services reserves the right to terminate unilaterally a contract of indeterminate duration without notice where there

is a valid reason, if the supplier is required to inform the consumer of the cancellation immediately.

22 Paragraph 11 (variation of contract without valid reason) does not include a term by which a supplier of financial services reserves the right to alter the rate of interest payable by or due to the consumer, or the amount of other charges for financial services without notice where there is a valid reason, if—

(a) the supplier is required to inform the consumer of the alteration at the earliest opportunity, and

(b) the consumer is free to dissolve the contract immediately.

Contracts which last indefinitely

23 Paragraphs 11 (variation of contract without valid reason), 12 (determination of characteristics of goods etc after consumer bound) and 14 (determination of price after consumer bound) do not include a term under which a trader reserves the right to alter unilaterally the conditions of a contract of indeterminate duration if—

(a) the trader is required to inform the consumer with reasonable notice, and

(b) the consumer is free to dissolve the contract.

Sale of securities, foreign currency etc

24 Paragraphs 8 (cancellation without reasonable notice), 11 (variation of contract without valid reason), 14 (determination of price after consumer bound) and 15 (increase in price) do not apply to—

(a) transactions in transferable securities, financial instruments and other products or services where the price is linked to fluctuations in a stock exchange quotation or index or a financial market rate that the trader does not control, and

(b) contracts for the purchase or sale of foreign currency, traveller's cheques or international money orders denominated in foreign currency.

Price index clauses

25 Paragraphs 14 (determination of price after consumer bound) and 15 (increase in price) do not include a term which is a price-indexation clause (where otherwise lawful), if the method by which prices vary is explicitly described.

Chapter 8

Legal terms and lawyers' jargon

8.1 Introduction

This chapter considers a selection of words and phrases which:

- contract drafters commonly use, including useful 'legal terms of art' as well as unnecessary legal jargon; or
- are defined by statute as having a particular meaning when used in contracts and other situations; or
- the courts have considered in cases involving the interpretation of contracts.

The material in this chapter focuses on practical issues which the drafter or negotiator will wish to consider in relation to the use of these 'legal' terms. As already mentioned, it is possible to divide legal terms into the following categories.

- ***Liability and litigation terms***. For example:
  - negligence;
  - tort; Contracts (Rights of Third Parties) Act 1999;
  - arbitration; proceedings; legal action;
  - the parties submit to the jurisdiction of the [English] courts;
  - exclusive jurisdiction; non-exclusive jurisdiction; expert.

  Terms of this kind are commonly found in the 'boilerplate' language towards the end of the contract.
- ***Terms relating to the transfer or termination of obligations***. For example:
  - assignment and novation;
  - indemnity; hold harmless;
  - breach; material breach;
  - insolvency;
  - liquidators;
  - receivers.

Again, these terms are commonly found in boilerplate clauses.

- ***Obligations with a particular legal meaning***. For example:
  - time shall be of the essence;
  - condition/condition precedent/condition subsequent;
  - warranties;
  - representations;
  - covenants;
  - undertakings;
  - guarantees;
  - with full title guarantee; with limited title guarantee;
  - beneficial owner;
  - subject to contract;
  - without prejudice; delivery.

  It is important for the drafter to be aware of the meaning of such terms and, where needed, to use them in an appropriate way.

- ***Expression of time***. For example:
  - year;
  - month;
  - week;
  - day;
  - from and including;
  - until;
  - from time to time;
  - for the time being;
  - forthwith;
  - immediately;
  - at the end of.

  These expressions are often to be found in the main commercial provisions of the contract, for example, in clauses which state when a party is required to perform obligations.

- ***Other terms defined by statute***. For example:
  - person;

- firm;
- subsidiary;
- United Kingdom;
- European Union;
- power of attorney;
- month;
- delivery,
- intellectual property,
- exclusive licence.

It is important to be aware of the statutory meaning of such words, particularly in those relatively few cases where the statute provides that the statutory definition applies when the word is used in a contract.

- ***Other terms interpreted by the courts***. For example:
  - best, all reasonable and reasonable endeavours;
  - entire agreement
  - due diligence;
  - set-off;
  - consent not to be unreasonably withheld;
  - material;
  - consult;
  - penalty;
  - nominal sum;
  - subject to.

  It is important to be aware of the case law on the meaning of some of these words, which are commonly used in contracts.

- ***Unnecessary legal jargon***. Such as words which are commonly encountered in contracts but which add little if anything to the contract or which could be replaced by simpler or more modern language, for example, 'hereinafter'.

It is convenient to discuss terms defined by statute, and expressions of time separately before discussing various other terms in alphabetical order.

8.2 Terms defined by statute

In a few cases, statute law provides that certain words will have a particular meaning when used in contracts and other types of documents (usually called 'instruments'). These include, in particular, the following:

- ***Month, person, singular, masculine.*** Section 61 of the Law of Property Act 1925[1] provides:

  > 'In all deeds, wills, orders and other instruments executed, made or coming into operation after the commencement of this Act [ie 1 January 1926], unless the context otherwise requires:
  >
  > (a) "Month" means calendar month; …
  >
  > (b) "Person" includes a corporation; …
  >
  > (c) The singular includes the plural and vice versa; …
  >
  > (d) The masculine includes the feminine and vice versa.'

- ***Full title guarantee, limited title guarantee.*** Under the Law of Property (Miscellaneous Provisions) Act 1994, certain terms are implied into 'dispositions of property' which are expressed to be made 'with full title guarantee' or 'with limited title guarantee'[2].

- ***Infants and minors.*** Under the Family Law Reform Act 1969[3], the age of majority was reduced from 21 years to 18 years, and 'infant', 'infancy', 'minor', 'minority' and similar expressions are to be understood as meaning someone of less than 18 years of age. This applies to contracts as well as other 'instruments', unless the context requires otherwise.

8.3 Expressions of time

8.3.1 Actions to be taken within a specified time period

Consider the following example of a clause in a commercial contract:

> X shall within 3 months of 23 September 2022 pay to Y the sum of Z.

The last date on which X must pay this sum without being in breach of contract would normally be 23 December 2022. To arrive at the date of 23 December 2022 the counting of the three-month period starts from and including

[1] See also the equivalent provisions in the Interpretation Act 1978, ss 5 and 6, and Sch 1. Section 17(2)(a) of this Act is discussed at **8.4.3**.

[2] These provisions replace the former law, under the Law of Property Act 1925, s 76, by which certain terms are implied into a 'conveyance' of property if the seller expressly conveys the property 'as beneficial owner'. They are likely now to be seen in pre-1994 documents relating to property transactions. As to the effect of the Law of Property (Miscellaneous Provisions) Act 1994 on assignment of intellectual property, see Anderson *Technology Transfer* (2010, Bloomsbury Professional), at 9.03 to 9.10.

[3] Section 1(2).

24 September 2022 (not from and including 23 September 2022). To fulfil the obligation X can usually make payment at any time up to midnight on 23 December 2022.

This seems simple enough. In reaching this conclusion it is necessary to consider an extensive amount of confusing case law, which is briefly summarised as follows:

- ***Statutory meaning***. The Law of Property Act 1925, s 61 (quoted above) provides that month means 'calendar month' in agreements governed by English law. Section 61 does not limit such a meaning to agreements concerned with real property (ie land and buildings)[4].
- ***What is a calendar month?*** In the leading case the court held the following points as being well established under English law[5]:
    - o in calculating the period that has elapsed after the occurrence of the specified event, such as the giving of a notice, the day on which the event (ie the giving of notice) occurred is excluded from the reckoning;
    - o when the relevant period is a month or a specified number of months after the giving of a notice, the general rule is that the period ends on the corresponding date in the appropriate subsequent month (ie the day of that month that bears the same number as the day of the earlier month on which the notice was given). Except in a small minority of cases (see next point), all that a person has to do is to mark in their diary the corresponding date in the appropriate subsequent month.

  The corresponding date rule does not apply where the period is calculated by using weeks as the calculating factor, as the period it covers (ie seven days) is certain[6].
- ***Ends of months***. In the few instances when there is no corresponding date in the subsequent month (a date at the end of the month), the corresponding day will be the last day of the subsequent month. This is illustrated by the example from the case: a party gave four months' notice on

[4] At common (non-statute) law, 'month' meant calendar month only in bills of exchange and other commercial documents. Otherwise it meant 'lunar month', see *Hart v Middleton* (1845) 2 Car & Kir 9 at 10.

[5] *Dodds v Walker* [1981] 2 All ER 609, HL. *Register of Companies v Radio-Tech Engineering Ltd* [2004] BCC 277 is a recent illustration of the application of the principles set out in *Dodds v Walker*. In this case, a company had to file accounts within ten months of the end of its accounting period (30 September) in accordance with (now repealed) Companies Act 1985, s 244(1)(a) (see now Companies Act 2006, s 442(2)). The company filed its accounts on 31 July. The Registrar of Companies applied the corresponding date rule, so that the last day for the company to file its accounts was 30 July 2006. The court agreed with the Registrar of Companies. See also *Migotti v Colvill* (1879) 4 CPD 233: 'A "calendar month" is a legal and technical term; and in computing time by calendar months the time must be reckoned by looking at the calendar and not by counting days.'

[6] *Okolo v Secretary of State for the Environment* [1997] 4 All ER 242.

30 October 2022. Time would begin to run at midnight on 30/31 October and the notice would expire at midnight on 28 February/1 March (or 29 February/1 March on a leap year).

- ***At what time does the period expire?*** Normally, the period expires at midnight at the end of the last day of the period in question. Fractions of a day are usually excluded[7]. A person under an obligation to do a particular act on or before a particular date has the whole of that date to perform it[8]. But there is nothing to stop the parties to an agreement specifying the particular time for when an obligation has to be completed (eg the 'Supplier shall deliver the Goods on the Date but no later than 5pm').

- ***Dates calculated 'from' and 'until', etc.*** The same principles apply to time periods calculated 'from' or 'after' a date or event. Normally that date is excluded[9]. 'Beginning from' is treated in the same way as 'from'[10].

  If the intention is that a period of time starts on the date rather than the day after, and to reduce doubt as to when the period starts, consider using special words such as 'commencing on' or 'beginning with', or beginning with and including'. The example given at the beginning of this section would need rewording as:

  > X shall within 3 months of and beginning with and including 23 September 2022 pay to Y the sum of Z

  If the period is 'X months from the date of this Agreement', it seems that the date set out at the head of the agreement will be used as the reference point, even if the parties have misstated the date of execution of the agreement[11]. Words such as 'by', 'from', 'until' and 'between' may be ambiguous and lead to uncertainty as to which dates are included[12]. It may be better to use phrases such as 'on or before', 'from and excluding', 'from and including', 'to and including', etc, which specify which dates are to apply[13].

- ***Days.*** To avoid any uncertainty over the duration of months (including whether calendar or lunar months are intended), it may be better to state the time periods in days rather than months.

7 *Re Figgis, Roberts v MacLaren* [1969] 1 Ch 123.

8 *Alfovos Shipping Co SA v Pagnan and Lli, The Afovos* [1983] 1 All ER 449, HL.

9 *Hammond v Haigh Castle & Co Ltd* [1973] 2 All ER 289 and *Trow v Ind Coope (West Midlands) Ltd* [1967] 2 All ER 990, CA, considered in *RJB Mining (UK) Ltd v NUM* [1995] IRLR 556, CA.

10 See *Hammond v Haigh Castle & Co Ltd* [1973] 2 All ER 289 and *Trow v Ind Coope (West Midlands) Ltd* [1967] 2 All ER 900, CA.

11 *Styles v Wardle* (1825) 4 B & C 908.

12 In *Ladybird v Wirral Estates* [1968] 2 All ER 197, a lease which was to run from a particular date was interpreted as meaning as including that particular date, as in the context of the lease, the parties had that intention because that was the date when the first rent payment would be paid.

13 In some agreements drafted by US lawyers, the interpretation clause defines what is meant by expressions such as 'until'. Americans also use the term 'through' as in 'through March 1st', which means 'up to and including March 1st'.

Instead of an agreement stating

> 'Party A shall perform the Services within 3 months of the date of this Agreement'

the following could be used instead:

> 'Party A shall perform the Services within 90 days of the date of this Agreement'.

Generally, to avoid arguments over whether the start or end date of a period is taken into account[14], it may be better to give a couple of extra days' notice. The word 'day' may mean either

- a calendar day (midnight to midnight); or
- a period of 24 consecutive hours, depending on the context[15].

A 'working day' is normally understood as a (complete) calendar day which is not a holiday, and not just the working hours of a day, while a 'conventional day' begins at a defined time and ends 24 hours later[16].

- ***Years***. Similar problems may arise with expressions such as 'year of this Agreement'—is this a year from a specified date (eg 24 September 2022 to 23 September 2022) or the period 1 January to 31 December in any year (ie a calendar year)? To avoid any uncertainty, the expression 'year of this Agreement' is sometimes defined in the contract. A year may not even mean a period of 12 months but some lesser period, depending on the circumstances[17].
- ***Quarters***. Sometimes contracts refer to quarters of a year, for example, if royalty payments are to be paid quarterly. The contract should state which quarterly periods are to be applied (eg 1 January to 31 March, 1 April to 30 June, etc, as required). If the periods are not stated, the court may construe the contract as referring to the traditional quarterly periods used in landlord and tenant law, which ended on a 'quarter day' or some other period[18]. The usual quarter days are 25 March (Lady Day), 24 June (Midsummer), 29 September (Michaelmas) and 25 December (Christmas).

[14] For example, see *Re Hector Whaling Ltd* [1936] Ch 208.

[15] See eg *Cornfoot v Royal Exchange Assurance Corpn* [1904] 1 KB 40, CA, distinguished in *Cartwright v MacCormack* [1963] 1 WLR 18, CA.

[16] *Reardon Smith Line Ltd v Ministry of Agriculture, Fisheries and Food* [1963] AC 691, HL. Where an agreement is with a financial institution (such as a bank), a 'day' (unless otherwise defined) will run until the end of working hours (*Momm (t/a Delbrueck & Co) v Barclays Bank International Ltd* [1977] QB 790).

[17] *Boufoy-Bastick v The University of the West Indies* [2015] UKPC. A year in the case was interpreted as an academic year, which ran from September in one year to June in the next.

[18] For example, 'two quarters of a year' was construed in one case as meaning six calendar months: see *East v Pantiles (Plant Hire) Ltd* [1982] 2 EGLR 111, CA; *Samuel Properties (Developments) Ltd v Hayek* [1972] 1 WLR 1296, CA.

8.3.2 Actions to be taken 'forthwith' or 'immediately' or 'as soon as possible'

'Forthwith' does not have a precise meaning. An obligation to do something forthwith does not usually mean it must be done instantly, without any delay. The word usually denotes an obligation to do something 'as soon as practicable'[19], 'as soon as possible'[20] or 'in the soonest practicable time'[21], depending on the circumstances of the case or the surrounding provisions of the contract[22].

Accordingly sometimes the courts are prepared to interpret 'forthwith' less strictly, as meaning 'within a reasonable time' if no harm can result from this interpretation[23] or 'as soon as reasonably possible'[24].

The courts have also interpreted similar words such as 'immediately'[25], 'as soon as possible'[26], 'directly'[27], 'promptly'[28], or 'with all possible speed'[29]. However, not all of these cases were concerned with the interpretation of contracts.

To provide some illustrations

[19] *Sameen v Abeyewickrema* [1963] AC 597, PC.

[20] Halsbury's Laws of England (4th Edn Reissue) Vol 45, para 251 considers that 'forthwith' will usually have the same meaning as 'immediately': 'There appears to be no material difference between the terms "immediately" and "forthwith". A provision to the effect that a thing must be done forthwith or immediately means that it must be done as soon as possible in the circumstances, the nature of the act to be done taken into account'.

[21] *Trafigura Maritime Logistics Pte Ltd v Clearlake Shipping Pte Ltd; Clearlake Chartering USA Inc. and another company v Petroleo Brasileiro SA* [2020] EWHC 995 (Comm), [16].

[22] Ibid, at [14] where the judge noted that in interpreting the word 'forthwith' it will not have the same meaning as in a dictionary: 'Although a dictionary definition of forthwith is "immediately, at once, without delay or interval" it would be unrealistic to construe "forthwith" as meaning instantaneously'. The judge was referred to a passage in *Halsbury's Laws*, Contract, Vol 22, 2019, para 292: 'Where the contract provides that it is to be performed "as soon as possible" or "forthwith" or uses similar expressions, the particular stipulation will be construed by reference to what is reasonable in the circumstances. What is a reasonable time in a particular case is a question of fact. Words such as "immediately" or "directly" import a more stringent requisition than is ordinarily implied by "reasonable time".'

[23] *Hillingdon London Borough Council v Cutler* [1968] 1 QB 124, CA.

[24] *R v Secretary of State for Social Services, ex p Child Poverty Action Group* [1990] 2 QB 540, CA.

[25] As meaning 'with all reasonable speed' considering the circumstances of the case: see *R v Inspector of Taxes, ex p Clarke* [1974] QB 220, CA; and *Hughes (Inspector of Taxes) v Viner* [1985] 3 All ER 40.

[26] As being stricter than 'as soon as reasonably practicable': see *R v Board of Visitors of Dartmoor Prison, ex p Smith* [1986] 2 All ER 651 at 662, CA.

[27] As meaning speedily or at least as soon as practicable, and not just within a reasonable time. But directly does not mean 'instantaneously': see *Duncan v Topham* (1849) 8 CB 225.

[28] See *R v Stratford-on-Avon District Council, ex p Jackson* [1986] 1 WLR 1319, CA; *Bank of Nova Scotia v Hellenic Mutual War Risks Association (Bermuda) Ltd, The Good Luck* [1992] 1 AC 233, HL; and see the comments of Lord Wilberforce in *Bremer Handelsgesellschaft mbH v Vanden Avenne-Izegum PVBA* [1978] 2 Lloyd's Rep 109 at 113, HL; and the words of Lord Hope in *R (on the application of Burket) v Hammersmith London Borough Council* [2002] 3 All ER 97, HL, where 'promptly' meant the 'avoidance of undue delay' in the bringing an application for judicial review.

[29] *Re Coleman's Depositories* [1907] 2 KB 798. Followed in *Aspen Insurance UK Ltd v Pectel Ltd* [2008] EWHC 2804 (Comm).

- a party had an obligation to make part of a gun 'as soon as possible'. The party delayed because it did not have a suitably qualified member of staff to make the part. The court held the party was in breach of the obligation. The meaning of '"as soon as possible" meant do it within a reasonable time, with an undertaking to do it in the shortest practicable time', but did not mean that the party had to put aside an order on which it was already working[30];
- a party was an under obligation to deliver cable bars 'forthwith', with the payment of them within 14 days, and 'forthwith' was interpreted as meaning that the delivery was to be no later than the date payment was due[31].

Therefore (with all of these expressions) it comes down to a matter of interpretation of the contract and the circumstances. To avoid uncertainty it is preferable to state the required time for performance specifically, rather than hope that the party under the obligation and then a court will interpret an obligation to perform the obligation 'forthwith', 'immediately' or 'as soon as possible' in the way that one intended[32].

8.3.3 'From time to time'; 'for the time being'

Contracts sometimes include these expressions, as in the following examples:

Example 1

The Project Director shall be such person as Party A nominates from time to time.

Example 2

If the parties are unable to agree upon an arbitrator, the arbitrator shall be appointed by the President for the time being of the Law Society of England and Wales.

In Example 1, the phrase 'from time to time' is intended to clarify that Party A can nominate a person to be Project Director more than once during the life of the contract. In other words, there is an ongoing right to nominate. In Example 2, the phrase 'for the time being' means, in effect, 'at the relevant time', so that if the parties are unable to agree on an arbitrator in five years' time, they will refer to the President of the Law Society at that time, not the person who was President when the agreement was signed.

[30] *Hydraulic Engineering Co Ltd v McHaffie Goslett & Co* (1878) 4 QBD 670 at 3, per Bramwell LJ, CA.

[31] *Staunton v Woods* (1851) 16 QB 638.

[32] In *Tarkin AG v Thames Steel UK Ltd* [2010] EWHC 207 (Comm) it was held that the use of the word 'immediately' in a clause in a contract to deliver steel scrap made time of the essence. The clause read: 'The schedule for arrival of material in the port to be as required by the Buyer. Material is to be delivered in the port immediately upon the Buyer's request. The Seller will guarantee to deliver the material in the port at a minimum rate of 800MT per day'.

8.3.4 Other 'time' expressions that parties sometimes use

The following expressions are sometimes encountered in commercial agreements. They may not be defined and sometimes their meaning may not be clear without further investigation:

- ***Bank holiday***. In England and Wales the following are defined as bank holidays: Easter Monday, the last Monday in May, the last Monday in August, 26 December (if it is not a Sunday) and 27 December (in a year where 25 or 26 December are on a Sunday)[33]. Note (at least for England and Wales): Christmas Day, Good Friday and New Year's Day are not bank holidays, they are usually treated as (bank) holidays, even though they are included as bank holidays in statute. A definition which only uses the words 'Bank Holiday' would not capture other dates which are commonly not worked[34].
- ***Business day***. This is likely to mean Mondays to Fridays (but excluding bank holidays at least) are business days[35].
- ***Business hours***. The times different organisations are open will obviously vary. If under an agreement, a task needs completing by the end of a business day then the agreement should clearly spell out what the business hours are for the purposes of the agreement. For example,
    - a computer supplier is installing a computer system into a retailer's shops. The shops are open for customers to buy and pay for computer equipment until 8pm but the head office of the retailer business hours closes at 5pm. Is the end of the business day at 5pm or 8pm?;
    - where parties are based in different time zones, an obligation on a party to do something within business hours or by the end of a business day may need to be defined to indicate whether it has to be

[33] Bank and Financial Dealings Act 1971, s 1(1) and Sch 1. Note that New Year's Eve in England and Wales is not a bank holiday. The bank holidays for Scotland and Northern Ireland are different. In Scotland the following are bank holidays: New Year's Day (if not a Sunday, but if it falls on a Sunday then 3 January), 2 January (if not a Sunday, but if it falls on a Sunday then 3 January), Good Friday, first Monday in May, first Monday in August and Christmas Day (if it is not a Sunday, but if it falls on a Sunday, then 26 December will be the bank holiday).

[34] Also in Scotland different days are bank holidays (Bank and Financial Dealings Act 1971, s 1(1) and Sch 1, para 2). For example, 1 and 2 January (or 3 January if either fall on a Sunday) are bank holidays in Scotland but not in England and Wales.

[35] For the purposes of the National Debt (Stockholders Relief) Act 1892 a business day is any day other than Saturday, Sunday, Good Friday, Christmas Day and any day which is a bank holiday in the United Kingdom under the Banking and Financial Dealings Act 1971 (plus any other days that may be specified under the 1892 Act). A normal working week from and including Monday to Friday is the conventional view, but will not apply to certain businesses which normally operate on the other days of the week (eg the retail sector where many shops are open seven days a week). Also, many services now operate on the internet. Some or all of the services may be available on every day of the week (eg an insurance company may be open for people making a claim seven days a week, but not be open in relation to some 'back office operations'). Also the start of a conventional working week in England may be Monday, but in other countries, it may be a Sunday or Saturday.

done within the business hours of the party who has the obligation or within those of the other party.

Unless specified clearly there can be doubt as to what are the business hours of the retailer. Completion of the work at 8pm might be outside the retailer's 'business hours'[36].

- ***Public holiday***. These words, although often appearing in statutes and contracts, do not have a consistent meaning. One common meaning is the days which are holidays (such as Christmas Day and Good Friday), including bank holidays[37].

8.4 Other legal terms used in contracts

8.4.1 Agreement and contract

The words 'agreement' and 'contract' are often used interchangeably. The word 'agreement' can have three meanings relevant in a commercial context:

- the name of a document (for example 'consultancy agreement');
- the fact that parties have reached an understanding, which may or not be legally binding (for example, during negotiations or correspondence, one party states to the other 'we have reached agreement on the price you will pay for our product');
- the fact that parties have entered into a legally-binding contract.

Where the word is used to refer to a type of document or arrangement between two or more parties, the meaning of the word 'agreement' normally means 'contract'[38].

Where the parties are involved in a transaction, event or situation which needs to be referred to or is subject to a legislative provision, they should check the exact meaning[39].

Similarly with EU competition law, an agreement can have a meaning where the parties have reached an understanding of a non-binding nature[40].

[36] See *Re Kent Coalfields Syndicate* (1898) 67 LJQB 503.
[37] See Arbitration Act 1996, s 78, one of the few statutes to give a meaning to the words.
[38] *Re Symon, Public Trustees v Symon* [1944] SASR 102, 110; *Goldsack v Shore* [1950] 1 KB 708 at 713, CA, per Eversheds MR.
[39] Eg, Enterprise Act 2002, s 129, where agreement 'means any agreement or arrangement, in whatever way and whatever form it is made, and whether it is, or is intended to be, legally enforceable or not'.
[40] See Electrical and Mechanical Carbon & Graphite Products (Comp/E-2/38. 359).

8.4.2 And/or

An agreement may require a party to fulfil an obligation in one of several ways, or a party to come within one or more situations. For example, a party providing a service may have to produce a report at the end of the agreement and the agreement specifies various ways the party can provide the report to the other party, ie:

The Consultant shall supply a final Report within 30 days of the termination of this agreement to the Client by post and/or email and/or facsimile and/or in person.

In this example, the clause could mean that the Consultant can provide the report either:

- in one of four ways: by post or email or facsimile or in person; or
- in all four ways: by post and email and facsimile and in person.

That is, to fulfil the obligation, it is possible for the consultant to provide the report either conjunctively or disjunctively[41]. It is unlikely that the Consultant would have to use all four methods to provide their report (but if it was the intention then the word 'or' is superfluous). The alternative is that the intention of the drafter was that the Consultant could use any of the four methods (in which case 'and' is superfluous). A third possibility is that the contract drafter intended that, for example, the Consultant could use one of the first two methods (post or email) and then provide a second copy by either facsimile or in person. In which case the clause should be redrafted to make this clear.

Having 'and/or' in a clause may have unintended consequences, particularly where a party is to do or provide something, as the 'and' part of 'and/or' may entitle that party to fulfil the obligation in multiple instances or in ways that the other party does not wish to occur. Generally, a contract drafter should avoid the use of and/or as:

> '… the use of the expression "and/or" in any legal document is in any case open to numerous […] fundamental objections of inaccuracy, obscurity, uncertainty or even as being just plain meaningless …'[42].

For example, if a contractor needs to purchase equipment to carry out its obligations under an agreement, but there is a choice of two different types of equipment, then a clause using the phrase 'and/or' might state:

> 'The Contractor in carrying out the Project shall have the option to purchase Equipment A and/or Equipment B'

could lead to the following results:

[41] This appears to be the default meaning as held by courts: see *Stanton v Richardson* 45 LJCP 82; *Gurney v Grimmer* (1932) 38 Com Cas 7.

[42] *Situ Ventures Ltd v Bonham-Carter* [2013] EWCA Civ 47, para 26, where the court held that as evidence of a poorly drafted clause which included the use of 'and/or', and in the circumstances, the use of 'and/or' was unnecessary and confusing . The court had to interpret its use, in order to make sense of the clause in which it was found, as meaning 'or'.

- it can buy Equipment A; or
- it can buy Equipment B; or
- it can buy Equipment A *and* B.

8.4.3 As amended

If the contract includes any references to legislation, it may be appropriate to refer to the legislation 'as amended from time to time', to take account of changes to the legislation during the life of the contract. Alternatively the parties may want to avoid having their contract changed as a result of changes in legislation (eg if they use a definition of 'subsidiary' set out in the Companies Act 2006)[43].

Under s 17(2)(a) of the Interpretation Act 1978, a reference to an enactment in a contract is to be understood as referring to an enactment which repeals and re-enacts the earlier enactment. Rather than rely on this section (which may be too narrow in some cases, and unacceptable in others), it is common to include wording along the following lines:

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1. In this Agreement, subject to clause 2 below, any reference to any enactment includes a reference to it as amended (whether before or after the date of this Agreement) and to any other enactment which may, after the date of this Agreement, directly or indirectly replace it, with or without amendment.

2. The reference to section 1159 of the Companies Act 2006 in clause 3 of this Agreement shall be interpreted as meaning section 1159 in the form in which it is enacted as at the date of this Agreement, and without any subsequent amendments or re-enactment.

8.4.4 Assignment and novation

The term 'assignment' is used in several senses, including:

- *the transfer of title in property (ie ownership) from one person to another.* For example, of intellectual property or land;
- *the transfer of rights.* For example, rights under an agreement (such as a right to be paid the price stated in the agreement).

[43] However, there are dangers in not referring to statute where a defined word or clause is based on the statute, particularly if the statute is amended (perhaps adding further or different categories of some situation or event). An example of this would be where an agreement allows a party to terminate if another party becomes insolvent, and the wording in the clause uses the meanings of insolvency as defined in a statute (but makes no reference to the statute). If the statute changes and includes newer forms of insolvency, but the agreement is not explicitly amended, then if the other party becomes insolvent in one of the newer ways the first party will not be able to terminate for that new form of insolvency. See *William Hare Ltd v Shepherd Construction Ltd* [2010] EWCA Civ 283, [2010] All ER (D) 168 (Mar) for an illustration of this point.

Properly the term 'assignment' should not refer to the transfer of obligations under an agreement. However, in practice this is sometimes done and a clause dealing with the assignment of rights, the transfer of obligations and other matters is commonly called just the 'assignment clause'. It is bad practice to refer to 'assigning an agreement' since this phrase does not make clear whether there is a transfer of obligations, as well as rights[44].

Generally, it is possible for one party to assign rights under a contract with the consent of the other party[45] unless:

- the contract is one involving a personal relationship (eg agent or employee); or
- there is an express or implied term preventing assignment.

Transferring obligations under an agreement requires the consent of the other contracting party.

If there is a transfer of rights and obligations there is in effect a 'novation' of the contract, whereby the contract is, in effect, cancelled (with the agreement of the original parties) and replaced by a new contract with different parties[46] so that any pre-existing rights and obligations in the original contract are extinguished and new rights and obligations are created in a new contract[47], as long as:

- there is the consent of all the parties[48], although it is not necessary to have explicit consent (such as all the parties signing an agreement) as it is possible to infer consent by the conduct of the parties[49]; and

[44] See Clause 8.3 in Precedent 1 in Appendix 1 for example wording. Although the heading of the clause is called 'Assignment', the actual wording of the clause, among other things, deals with assignment and transfer.

[45] Unless there is express or implied prohibition, an assignment can be without the consent of the other party: *Caledonia North Sea Ltd v London Bridge Engineering Ltd* [2000] Lloyd's Rep IR 249.

[46] See also *Linden Gardens Trust Ltd v Lenesta Sludge Disposals Ltd* [1994] 1 AC 85 at 103, per Lord Browne-Wilkinson.

[47] *Seakom Limited v Knowledgepool Group Limited* [2013] EWHC 4007 (Ch), [145].

[48] For example, *Damon Cia Naviera SA v Hapag-Lloyd International SA, The Blankenstein, The Bartenstein, The Birkenstein* [1985] 1 All ER 475. Consent can be express or implied, eg, *Walker Crips Stockbrokers Ltd v Savill* [2007] EWHC 2598 (QB), [117]; *Seakom Limited v Knowledgepool Group Limited* [2013] EWHC 4007 (Ch), [146].

[49] See eg *Credico Marketing Ltd and another v Lambert and others* [2021] EWHC 1504 (QB), [215], [216]: "'The parties" consent to a novation need not be set out in writing. Indeed, the parties do not need to give their consent expressly, whether orally or in writing. A novation may be inferred from the circumstances … In particular, a novation may be inferred from the way that the parties behave towards each other, in that, with the consent of all concerned, the third party assumes the obligations of the original contracting party towards the other contracting party'; *P14 Medical Ltd v Edward Mahon* [2020] EWHC 1823 (QB), [48]; *Seakom Limited v Knowledgepool Group Limited* [2013] EWHC 4007 (Ch), [147]. If consent is to be inferred by conduct then there has to be sufficient evidence (see *Rolls-Royce Holdings plc v Goodrich Corp* [2022] EWHC 745 (Comm), [82], [83]).

- the novation is supported by consideration[50].

It is possible to 'novate' only some of the rights and obligations of an agreement[51]. For example, in an agreement where a supplier provides a range of services to a customer, the parties may decide that a third party will provide one of the services, and also that the third party will receive any payments for that service from the customer. In this situation, it is possible to novate just that one service.

Where parties do novate a contract, it may not be enough simply to change the names of the parties and leave the provisions of the underlying agreement unchanged. It may be necessary to consider whether any provisions need revision. For example, in a contract between two parties, A and B, where there are time limits for B to make payments to A, on novation (so the contract is now between C and B) do those time limits continue as before or are they reset[52]? Other issues which may need addressing include any third party rights (such as whether one of the original parties has granted licences to a third party or a third party has granted a licence to an original party which may contain restrictions on a novation and/or assignments of rights or transfers of obligations), as well as whether any warranties given under the original contract should continue after novation, etc.

Contracts generally include a provision which does not permit the assignment of rights or the transfer of obligations (often called 'assignment' clauses). However, if a party does try to assign its rights and/or transfer its obligations despite clear wording in a contract, such action may still be effective[53].

8.4.5 Best endeavours, all reasonable endeavours, and reasonable endeavours (as well as absolute obligations)

These phrases indicate the level of obligation (whether absolute or qualified) and the amount of effort that a party is required to put into fulfilling a specified obligation. See the discussion on these points at **5.5**.

[50] In which case by the parties agreeing to mutually discharge the old contract: *Benjamin Scarf v Alfred George Jardine* (1882) 7 App. Cas. 345, 351: '… "novation," which as I understand it means this – the term being derived from the Civil Law – that there being a contract in existence, some new contract is substituted for it, either between the same parties (for that might be) or between different parties; the consideration mutually being the discharge of the old contract'.

[51] *Telewest Communications plc v Customs and Excise Commissioners* [2005] EWCA Civ 102, [2005] All ER (D) 143 (Feb).

[52] See eg *Chatsworth Investments Ltd v Cussins (Contractors) Ltd* [1969] 1 All ER 143.

[53] See eg *Don King Productions v Warren* [1999] 2 All ER 218; *Swift v Diarywise Forms Ltd* [2001] EWCA Civ 145, [2003] 2 All ER 304n. Such an assignment may take effect as an equitable assignment. However, the principles of law permitting this are complex and specialist advice should always be sought.

8.4.6 Boilerplate

'Boilerplate clauses' are a set of clauses which are often found in commercial agreements almost irrespective of the subject matter of the agreements. They are often placed at the end of an agreement. Some 'boilerplate' clauses are concerned with the operation of the agreement itself (such as notices, law and jurisdiction and interpretation clauses), while some deal with the rights and obligations of the parties (clauses such as assignment and sub-contracting, entire agreement, waiver, force majeure, etc).

There is no fixed list of what constitutes 'boilerplate', and the classification of certain clauses as 'boilerplate' does not turn on their importance[54]. As a general proposition, the longer the agreement, the greater the amount of boilerplate is found—there are more clauses covering a greater amount of detail.

The authors classify boilerplate as the following—depending on the complexity or importance of the agreement:

- ***very simple/very unimportant agreement***: Clauses dealing with
  - o notices,
  - o law and jurisdiction, and
  - o Contracts (Rights of Third Parties) Act 1999.
- ***simple and short***: Clauses dealing with
  - o notices,
  - o law and jurisdiction,
  - o Contracts (Rights of Third Parties) Act 1999,
  - o (brief) interpretation provisions, and
  - o (separate) definitions.
- ***medium length/medium importance***: Clauses dealing with
  - o notices,
  - o law and jurisdiction and Contracts (Rights of Third Parties) Act 1999,
  - o (more extensive) interpretation provisions,
  - o (separate) definitions; entire agreement,

[54] For example, the boilerplate section of an agreement usually contains an 'entire agreement' clause (see **6.5.5** and **6.5.23.9**). Such clauses have received considerable scrutiny by the courts in recent years as it is one of the clauses which attempts to restrict or limit liability. A law and jurisdiction clause can assume importance if the parties are based in different countries and the cost of litigation or the difficulty in litigating in a foreign jurisdiction is of concern to one party, although the interpretation of such clauses does not normally cause the same difficulty as an entire agreement clause.

- amendment,
- assignment,
- waiver,
- (no) agency or partnership (particularly where the parties are working together on a project),
- further assurance (if there is a transfer of property), and
- severance (if any provisions are thought to be problematic and not pass judicial scrutiny) and announcements.

- ***full-scale boilerplate: medium length/medium importance***: Clauses dealing with:
  - notices,
  - law and jurisdiction and Contracts (Rights of Third Parties) Act 1999,
  - (more extensive) interpretation provisions,
  - (separate) definitions,
  - entire agreement,
  - amendment,
  - assignment,
  - waiver,
  - (no) agency or partnership (particularly where the parties are working together on a project),
  - further assurance (if there is a transfer of property),
  - severance (if any provisions are thought to be problematic and not pass judicial scrutiny),
  - announcements,
  - costs and expenses (of negotiating and entering to the agreement),
  - counterparts and duplicates,
  - joint and several liability,
  - priority of terms,
  - retention of title (if not dealt with in a payments clause),
  - set-off (if not dealt with in a payments clause),
  - cumulative remedies,
  - capacity (to enter into the contract), and
  - arbitration and mediation/ADR (if not in law and jurisdiction clause).

8.4.7 Breach and non-performance

It is possible to describe the word 'breach' as a technical term—it is not a word people use in everyday speech. A few contracts use the more modern word 'break', as in 'if X breaks this contract', but this has not become a common practice.

Technically, there is (or some lawyers consider there to be) a difference between breach of a contract's terms and failure to perform obligations under the contract. However, it seems unlikely that a court would interpret a clause dealing with breach of contract as not covering non-performance, unless the contract refers elsewhere to non-performance and breach as being two separate things.

8.4.8 Cash

It is unlikely that many commercial agreements will require payment in actual notes or coins. The words 'notes' and 'coins' are perhaps a common understanding of the meaning of 'cash' but it does not necessarily have the same meaning as 'money'. If immediate payment is required (ie that the payor has immediately available funds to make payment), then the agreement should use clear wording as to the type of funds available, rather than use a term such as 'cash'[55] (eg that a supplier will consider that payment is made when it has received cleared funds in a specific bank account).

8.4.9 Change of control

A 'change of control' clause concerns what is to happen where there is a change in:

- the ownership of shareholding of a corporate party; or
- the directors (or others) who manage that party.

For example, where such a change occurs then the affected party may have to notify the other party. The clause may then provide that certain actions can or will occur in consequence, such as the second party being able to terminate an agreement.

A change of control clause is commonly used where the issue of who owns and/or manages one party is of particular interest or importance to the other party. For example, a software developer (the licensor) makes specialised software for accountancy work for use in law firms. The software is licensed to small law

[55] For example, in *Re Stonham, Lloyds Bank Ltd v Maynard* [1963] 1 WLR 238 the phrase 'cash … in bank' was held to mean, in the circumstances of the case, money both in deposit and current accounts. Also, the meaning of cash in various statutes varies (eg in the Proceeds of Crime Act 2002, s 289(6), including bearer bonds and bearer shares).

firms. Subsequently the software developer is sold to a large law firm who is buying up smaller law firms and also expanding beyond the provision of legal advice but into related fields (finance, estate agents, providing technological solutions for the running of law firms). The large law firm also competes for legal work with the small law firms. A law firm which is a licensee of the software may not wish one of its competitors to own or control the software developer. This could, for a number of reasons, include the competitor:

- acquiring access to confidential information of the licensee;
- refusing to license the software (or new or improved versions) to the licensee;
- increasing licence or support fees to a non-economic amount.

Such a clause is often used in addition to a no assignment clause[56]. The latter is concerned with the transfer of rights and obligations (including assets), but does not deal with the situation where there is no transfer of rights or obligations but the nature of the other party (whether through ownership or management) has fundamentally changed (such as a sale of large part or all of the shareholding in the party).

8.4.10 Comfort letter

A 'comfort letter' is a letter which contains statements by:

- a party; or
- someone connected with that party (such as a holding company of the party).

The statements have the intention to reassure another party, but they are usually not legally binding[57]. See the discussion of comfort letters and letters of intent at **1.3.3**.

For example, in a contract to supply goods a supplier may have doubts as to whether the buyer can meet its obligations to pay for the goods. In such a case the supplier may require, if the buyer is a subsidiary of another company (ie a holding company), that the holding company provide a 'comfort letter' which indicates that the holding company normally meets the liabilities of its

[56] See **8.4.4**.

[57] As long the wording in the 'comfort letter' is no more 'than statement of present fact and not a promise as to future conduct' then it will not have contractual force. In *Kleinwort Benson Ltd v Malaysia Mining Corpn Bhd* [1989] 1 All ER 785 at 793 and 794, CA the wording in a comfort letter stated 'It is our policy to ensure that the business of [M] is at all times in a position to meet its liabilities to you under the [loan facility] arrangements' with the court holding 'That question is whether the words of [the comfort letter], considered in their context, are to be treated as a warranty or contractual promise. [The comfort letters] contains no express words of promise and in its terms is a statement of present fact and not a promise as to future conduct' and contains 'no more than the assumption of moral responsibility by the [parent company] in respect of the debts of [the subsidiary company]'.

subsidiaries (even though not legally liable to do so). However, an alternative is that if the supplier's concerns are strong that the buyer may not pay, the supplier may require a legally binding method of ensuring the holding company pays in the event of a default by the holding company, such as:

- a guarantee from the holding company; or
- making the holding company be a party to the contract.

8.4.11 Competition and anti-trust

The main competition laws affecting English law agreements are domestic UK competition laws, including the Competition Act 1998, other UK statutes and the common law on restraint of trade. Now that the UK is no longer a Member State in the EU, it is no longer subject to EU competition law[58]. For agreements with parties who are located in Member States there are EU competition laws, particularly Articles 101 and 102 of the EU Treaty as well as various block exemptions to these Articles.

In the United States, competition laws are known as anti-trust laws. This name derives from the late nineteenth century, when laws were introduced to deal with the anti-competitive activities of major commercial trusts in the steel industry. At that time, prior to the development (or widespread use) of limited liability companies, the trust was a common vehicle for commercial activities.

8.4.12 Completion and closing

'Completion' is a stage in a contract when the main purpose of the contract takes effect: for example, in:

- *a sale of a business*: it will include when the seller hands over records and assets and any documents that transfer title (ownership) of property to the buyer; or
- *a house sale:* it will include the formal conveyance (transfer of ownership) of property[59].

The term 'closing' is an equivalent expression used in the United States.

With some commercial contracts it may not be clear what is the exact meaning of completion, ie the extent to which the contract obligations are fulfilled by one or both parties[60]. For example, for some types of building contract,

[58] From 1 January 2021 (end of the transition period for Brexit). However, there are some transitional measures in place (a description of which is beyond the scope of this book).

[59] If the word is specifically defined in an agreement, then it will mean the actual completion and not the date named for completion: *Richards v Pryse* [1927] 2 KB 76.

[60] Where the contract does not involve a house sale.

there can be completion of the building work of a new building which is then handed over to the buyer or customer, although there may still be some minor items that need doing or attention ('snagging')[61].

In appropriate cases not involving specialist areas such as conveyancing or building contracts, it will be necessary to specify in detail what constitutes 'completion' to avoid (as far as possible) any disputes. For example, a contract may provide that an agreement terminates automatically on 'completion of the Project'. Unless the meaning is set out in the agreement:

- the supplier of the goods or services may consider it has completed the project when it has delivered the goods and installed them, and considers the agreement terminated; but
- the customer/client may not, because it considers completion to mean that a period of time has to pass in order to allow the goods to operate after installation, to be in accordance with the specification, or to see if they are correctly installed.

If 'completion' is not defined as meaning a set of steps, then there is greater scope for a dispute between the parties.

8.4.13 Conditions precedent and conditions subsequent

See the discussion at **2.9**.

8.4.14 Confidential, confidentiality

Parties often need to provide information to each other. If the information is not in the public domain then they will wish to make sure that it remains out of the public domain. The parties may need to provide the information either before they enter into a substantive contract or during the performance of the substantive contract.

Without explicit wording then a party will need to rely on:

- an equitable obligation of confidentiality arising when it provides its confidential information to the other party[62]; or

[61] *Emson Eastern Ltd (in receivership) v E M E Developments* (1991) 55 BLR 114.

[62] Under the circumstances set out in *Coco v AN Clark (Engineers) Ltd* [1969] RPC 41. This position is not fundamentally changed despite the implementation into UK law of Directive (EU) 2016/943 of the European Parliament and of the Council of 8 June 2016 on the protection of undisclosed know-how and business information (trade secrets) against their unlawful acquisition, use and disclosure by The Trade Secrets (Enforcement, etc.) Regulations 2018, as the explanatory notes to the Regulations recognises where the protection introduced for trade secret by the EU Directive has been '… implemented in the United Kingdom by the principles of common law and equity relating to breach of confidence in confidential information'.

- a court implying a contractual term that the information the party provided was provided under an obligation of confidentiality.

The parties should normally address the issue of confidentiality, preferably in writing, before any one of them discloses any information to the other.

When this is done will depend on whether:

- *during a pre-contract stage or during negotiations*: by various methods including that any communications by email indicate that any information that a party will disclose is confidential or by requiring a party to sign a confidentiality agreement (also often called a 'non-disclosure agreement');
- *when the parties have entered a contract*: the substantive agreement between the parties should include provisions concerning confidentiality where if the parties need to provide confidential information then there are provisions stating that the parties are under obligations of confidentiality to each other.

Key provisions in the agreement should include:

- restrictions on disclosure of the information provided by one party on the party that receives it;
- restrictions on the use of that information, so that it is used only for a specific purpose; and
- obligations to keep the information confidential after the agreement is terminated.

See further **5.9**.

8.4.15 Consent

A party sometimes has to obtain the consent of the other party or from a third party before carrying out an obligation under an agreement. For example:

- under a software development agreement the developer of the software may have to obtain consent of the customer before carrying out a 'live' test on the customer's data (so that the customer can make appropriate back-ups and take safety measures);
- Under a consultancy agreement, the consultant may need to prepare a detailed specification of the services they will provide. Before carrying out the consultancy services the consultant has to first obtain the consent of the client/customer that the specification describes what work the consultant intends to provide.

A person will not normally give consent by remaining silent or being silently acquiescent[63].

[63] *Macher v Foundling Hospital* (1813) 1 Ves & B 188.

The contract drafter should use unambiguous wording in such circumstances so that it is clear what is to happen if the consent is not forthcoming. In the above examples:

- in some software development agreements where it is necessary to test the software on live data, the customer is given a set number of days to respond and if it does not, then either:
    - the test is deemed accepted and the developer moves on to the next stage in the development of the software; or
    - the developer has the right to terminate the agreement; or
    - the developer has the right to charge extra for any delay,
- in service contracts a service provider may provide a specification to the client/customer outlining what services it will provide. The client/customer will have a number of days to respond. If the client/customer does not, then the specification might be deemed accepted and the service provider can proceed with performing the services, or the service provider has the right to terminate the agreement or charge extra for any delays.

8.4.16 Consideration

See the discussion in Chapter 1.

8.4.17 Consult

An obligation to consult with someone is generally considered less onerous than an obligation to obtain that person's consent. There is case law on the meaning of this term in public law[64].

In contracts, it seems likely that an obligation on party A to consult with party B is not met until party A has properly considered party B's views on the matter

[64] For example, see *R v Secretary of State for Social Services, ex p Association of Metropolitan Authorities* [1986] 1 All ER 164, 167; *R v Secretary of State for the Environment, ex p Brent London Borough Council* [1983] 3 All ER 321 at 352 onwards; *Slough Estates plc v Welwyn Hatfield District Council* [1996] 2 PLR 50; *R v North and East Devon Health Authority, ex p Coughlan* [2001] QB 213 at 258, CA;*R (on the application of Capenhurst) v Leicester City Council* [2004] EWHC 2124, [2004] All ER (D) 93 (Sep). More recently in *R (on the application of Plantagenet Alliance Ltd) v Secretary of State for Justice and others* [2014] EWHC 1662 (Admin), [98] where in reviewing other cases the judge noted there is no general duty to consult but there are '… four main circumstances where a duty to consult may arise. First, where there is a statutory duty to consult. Second, where there has been a promise to consult. Third, where there has been an established practice of consultation. Fourth, where, in exceptional cases, a failure to consult would lead to conspicuous unfairness. Absent these factors, there will be no obligation on a public body to consult'.

on which party B was consulted[65]. And where the duty exists, Party A must consider Party B's views with a receptive mind[66], although Party A will not be bound by those views[67] or be required to have discussions with Party B[68].

8.4.18 Covenants

Traditionally, covenants were promises by deed[69]. A secondary meaning is that it is possible to apply the word 'covenant' to any promise or stipulation, whether under a seal or not[70]. In some types of agreement the word 'covenant' is routinely used (eg 'restrictive covenants' in employment contracts). Generally, only in transactions relating to real property (land) will 'covenant' have a special meaning going beyond a mere contractual obligation.

Sometimes, this term is used indiscriminately for any undertaking, perhaps to make the undertaking sound more solemn and important, but adds nothing to the legal meaning.

8.4.19 Deemed

Contracts sometimes include a provision that an event is 'deemed' to take place if certain conditions are met, or if certain circumstances arise. For example,

- a party to a contract who needs to provide consent to some event or request but fails to do so within a specified time period, might then be 'deemed' to have given consent. Thus, the event (giving of consent) has not actually taken place but for the purposes of the contract it is considered to have taken place; or
- in many contracts there is a provision where if a notice is sent by one party to another it is stated to be received so many days after it has been sent[71]. The notice is 'deemed' delivered after the number of days have passed, whether or not the notice was actually received by the other party or whether or not it was received before or after the 'deemed' date.

Non-lawyers sometimes find this concept puzzling (and the concept may need to be explained to a client), but it is commonly encountered in contracts.

[65] By analogy with tender procedures: see *Blackpool and Fylde Aero Club v Blackpool Borough Council* [1990] 3 All ER 25, CA.

[66] *Agricultural, Horticultural and Forestry Industry Training Board v Aylesbury Mushrooms Ltd* [1972] 1 All ER 280, 284.

[67] See eg *Harvey v Strathclyde Regional Council* 1989 SLT 612, HL

[68] See *Port Louis Corpn v A-G of Mauritius* [1965] AC 1111; *Elphick v Church Comrs* [1974] AC 562; *R v Islington London Borough Council, ex p East* [1996] ELR 74.

[69] *Rank Xerox Ltd v Lane (Inspector of Taxes)* [1979] 3 All ER 657, 663; *Hagee (London) Ltd v Co-operative Insurance Society Ltd* (1991) 63 P & CR 362.

[70] *Rank Xerox Ltd v Lane (Inspector of Taxes)* [1979] 3 All ER 657, 663.

[71] See Appendix 1, Precedent 1, Clause 8.8 for an example.

8.4.20 Delivery

'Delivery' has a technical meaning to lawyers which is very different to how most non-lawyers would understand the word. A non-lawyer who is not familiar with the detail of English contract law or not experienced in negotiating commercial agreements under English law might believe that delivery means the physical transportation of goods to the buyer. Such an assumption is wrong[72]. Delivery (unless the parties to a contract agree otherwise) takes place at the seller's place of business[73].

Accordingly where the parties intend that there will be physical delivery to a particular place they will need to make such an obligation explicit in the wording of the agreement.

8.4.21 Due diligence

This term has two related meanings:

- as a shorthand for the investigations which (typically) the purchaser of a business makes into the state of the business (such as looking at the company's records, carrying out enquiries with third parties, etc). This usage has come from the United States; and

- in a more general sense in contracts, as where a party undertakes to 'use due diligence' or 'use all due diligence' to perform some obligation. Another way of saying this might be to say:

Party X shall perform its obligations diligently.

For example, such an obligation is sometimes found in senior employees' service agreements. As with obligations such as to use 'reasonable endeavours' or 'best endeavours', without further elaboration or without definition against some standard, the meaning of 'due diligence' is not

[72] For example, see *Kwei Tek Chao (t/a Zung Fu Co) v British Traders and Shippers Ltd* [1954] 2 QB 459.

[73] Sale of Goods Act 1979, s 29(2). The 1979 Act provides a definition for 'delivery' as meaning the 'voluntary transfer of possession from one person to another'. Part IV of the Sale of Goods Act 1979 has a number of assumptions which are implied into contracts concerning delivery in different circumstances. A description of these is beyond the scope of this book, but for a summary of them see 'Commercial Contracts and Other Documents' in *Encyclopaedia of Forms and Precedents* (LNUK), Vol 7(2), 101, [210]–[216]. Different assumptions are made where there is a contract with a consumer, under the Consumer Rights Act 2015, where a contract for the sale of goods is assumed to include a provision that the supplier will deliver the goods to the consumer (unless the parties agree otherwise): s 28(2).

certain and in the event of a dispute will depend on the views of a third party (a judge)[74].

8.4.22 Disclosure letter

A 'disclosure letter' is often seen where there is merger and acquisition activity or the sale of a business, although it is possible to use it (or the purpose for its use) in many other situations.

Typically, for example, on the sale of a business, the seller will need to provide a lengthy set of standard warranties. The warranties are then referenced, and subject, to a 'disclosure letter' which is attached to the agreement. The 'disclosure letter' provides exceptions to the warranties set out in an agreement, so that the party giving the warranty is not in breach of the warranty. For example, one of the standard warranties might be that the seller of the business is not involved in any litigation. The disclosure letter would, in relation to that warranty, state any ongoing litigation.

Without a disclosure letter the provisions in the agreement concerning warranties would need drafting to specifically refer to the exceptions and limitations. For example, during negotiations for the sale of business the parties may discover matters which affect the warranties that the seller will be providing. As the negotiations proceed and for each new fact or situation revealed the section in the agreement concerning warranties will need redrafting to accommodate them. The use of a 'disclosure letter' avoids this by putting all the exceptions and limitations to the warranties in one place.

The term 'disclosure letter' is no more than a label, as by convention the document containing the exceptions and limitations is formatted as a letter.

8.4.23 Engrossments

Originally an engrossment was a fair copy of a document (usually a deed) ready for signing. Now it usually means the final version of a document which is ready for signature. The word is (English) lawyers' jargon, but in the

[74] The phrase due diligence is also disadvantaged in another way compared to obligations requiring the use of 'best endeavours' or 'reasonable endeavours': there is little case law as to its meaning. In one case concerning a building contract where the phrase came under consideration, the court held that the use of the phrase in building contracts usually means 'due care' and 'due assiduity/expedition' (particularly as the parties were keen to proceed with the development of commercial accommodation) (*Ampuris NU Homes Holdings Ltd v Telford Homes (Creekside) Ltd* [2012] EWHC 1820 (Ch), [97], the decision of the judge was reversed by the Court of Appeal ([2013] EWCA Civ 577), but not on this point). A deliberate cessation of work on some of the development because of funding difficulties was held not to be 'consonant with due diligence. The fact that the Defendant may have been led to that decision because of an unexpected lack of funding may explain, but cannot eliminate, the breach of its contractual obligation which … was to procure that its works were conducted with due diligence' (from [98]).

absence of a better term ('final versions for signature' is more accurate but to some sounds clumsy), it is still sometimes used[75], although commercial parties (and lawyers who specialise in dealing with commercial parties only) are less likely to encounter or use the term[76].

8.4.24 Escrow

There are two common usages of this term,

- ***Deeds.*** Deeds do not take effect until delivery. Where a party executes a deed but it is only delivered on the fulfilment of a condition, it is held 'in escrow'. Delivery will only take place on the fulfilment of the condition (eg receipt of agreed payments into that party's bank account). The deed is often held by a party's solicitor or the other party's solicitors (or even the other party). Whoever holds the deed will do so on the condition that they can use the deed only when the condition is fulfilled. This is also sometimes done with agreements which are not deeds, although the legal effect may be less certain, as ordinary agreements do not need to be formally delivered[77].
- ***Computer software source code.*** There is a different use of the term in relation to some computer software agreements between a software owner and a user (eg a licensee). If the software owner is not willing to provide the source code of the software to the licensee (providing only an object code version), then the software owner may agree instead to deposit the source code with a third party (such as the National Computing Centre in Manchester). The third party agrees to hold the source code in confidence and to release it to the user only if certain conditions are met (eg the software owner becomes insolvent or fails to maintain the software). The terms on which the third party agrees to act are set out in an 'escrow agreement'.

8.4.25 Exclusive, sole and non-exclusive licences

There are no definitions of these words which automatically apply to contracts. These words are usually encountered with regard to:

[75] Equally, now that many documents are drafted, and exchanged electronically, such expressions as 'print-out' or 'hard-copy' are of limited assistance in determining the status or version of the document. Hard copy has had a statutory meaning, see the now repealed Finance Act 1995, Sch 28, para 9: 'In relation to information held electronically means a printed out version of that information.'

[76] See also **2.15**.

[77] The concepts of 'delivery' and 'escrow' have specific, technical meanings in relation to deeds quite different to normal everybody language and usage. 'Delivery' meaning that a party intends to be bound by the provisions of the deed (rather than transferring, sending or giving away the physical document which is the deed). Users should consult a specialist book for the issues involved in the delivery of a deed such as Anderson and Warner *The Execution of Documents* (3rd edn, 2015, Law Society), 16.8.

- the appointment of agents and distributors; and
- the licensing of intellectual property rights.

The meaning of 'exclusive licence' is defined in the principal UK intellectual property legislation[78], but those definitions are only for the purposes of those specific pieces of legislation. It is generally understood that the words have the following meanings:

- ***Exclusive licence.*** Under an exclusive licence the licensor grants to one licensee a licence and agrees not to grant a licence to anyone else within the scope of the licensee's licence[79]. Also the licensor agrees not to exploit the licensed right itself.
- ***Sole licence.*** Under a sole licence, the licensor grants to one licensee a licence and agrees not to grant a licence to anyone else within the scope of the licensee's licence. But the licensor may exploit the licensed rights itself.
- ***Non-exclusive licence.*** Under a non-exclusive licence, the licensor can grant similar rights to more than one licensee, and the licensor is also able to exercise those rights itself.

Some lawyers hold that there is no clear distinction between the meanings of 'exclusive' and 'sole'. Also, sometimes agreements refer to the grant of 'sole and exclusive' rights which is confusing, but generally means 'exclusive' (as described above). To avoid any doubt, if a contract is to use any of the terms 'exclusive', 'sole' or 'non-exclusive', the contract should define their meanings or be included in an interpretation provision. For example, along the following lines:

For the purposes of this Agreement, references to the grant of 'exclusive' rights shall mean that the person granting the rights shall neither grant the same rights to any other person, nor exercise those rights directly in the Field and in the Territory [to the extent that and for as long as the Licensed Products are within subsisting claims of unexpired Patents, or the Know-how is not public knowledge in the relevant country].

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[78] Patents Act 1977, s 130(1); Copyright, Designs and Patents Act 1998, s 92(1) and Trade Marks Act 1994, s 29. There is also a definition of 'exclusive licence' in the Capital Allowances Act 2001, s 466.

[79] Although it is only possible to grant one exclusive licence as such, it is possible to grant several exclusive licences under the same property where there is a different scope to each grant of licence. For example, if a person owns a patent which concerns a technology for thinning blood, the person could grant one exclusive licence to one licensee to use the patented technology to manufacture a blood product for use in humans and a second exclusive licence to another licensee to use the patented technology to manufacture the blood product for use in animals.

8.4.26 Exclusive and non-exclusive jurisdiction

See the discussion at **5.12**.

8.4.27 Execution and executed

These are lawyers' terms which cover a number of things[80] but will normally mean, for an ordinary contract, that one or more of the parties signed the contract. For example:

This is to let you know Party A executed the contract on 5 January 2007[81].

8.4.28 Expiry

If a contract provides for a fixed duration, it may (depending on the wording of the contract) automatically expire at the end of that period. To avoid any doubt over whether this would be a form of 'termination' of the contract (eg for the purposes of the clause dealing with consequences of termination), the contract should include a clause stating that termination includes termination by expiry.

8.4.29 FOB, ex works, CIF, etc

These expressions are used mainly in contracts for the supply of goods[82], to describe the allocation of responsibilities between the parties for delivery, insurance, risk, etc. It is best to use these terms in accordance with the definitions set out in the International Chamber of Commerce's 'Incoterms', which are updated periodically[83].

If the contract does not specify Incoterms definitions, the terms may be interpreted in accordance with local laws which may be significantly different to the position under Incoterms.

With an ex-works contract, for example, the purchaser is responsible for collecting the goods from the supplier's premises and bears the risk of loss or damage in transit to the purchaser's premises.

[80] Although where the word 'execution' is used in relation to a contract, its meaning can be ambiguous. In one case (relating to an arbitration award) the phrase 'execution of the contract' was interpreted as meaning 'the performance of the contract' and not the making of the contract: *Christopher Brown Ltd v Genossenschaft Oesterreichischer Waldbesitzer Holzwirtschaftsbertriebe Registrierte Genossenschaft Mit Beschrankter Haftung* [1953] 2 All ER 1039.

[81] See also **2.12**.

[82] The Incoterms, for example, do not extend to 'intangibles' such as computer software.

[83] The current version is known as 'Incoterms 220'. Consult https://iccwbo.org/resources-for-business/incoterms-rules/incoterms-2020/.

8.4.30 Force majeure

See the discussion at **5.11.2**.

8.4.31 Further assurance

When a transaction is completed, there are sometimes further actions that one or more parties need to undertake. For example, an agreement may concern the sale of a business (including all its assets, including land and buildings). One further action may be formal registration with the Land Registry to ensure that ownership of the land has passed from one party to another (although the parties may have already passed over physical possession and use of the land and buildings).

A further assurance clause will specify what additional steps the parties are obliged to undertake. Such further action is usually confined to the formal steps needed to complete a transaction, in particular signing necessary documents, delivering such documents to their intended recipients, co-operating with the other party to make applications to regulatory bodies and so on. Some further assurance clauses sometimes go on to indicate more generally that a party will carry out or do things which are necessary to give effect to the agreement (or similar wording). This type of general 'sweep up' provision can have a wide effect, but it will not extend to allow a party to create new obligations on the other party[84]. In effect a further assurance clause is a supporting provision to the main commercial provisions that contain obligations, allowing them to be carried out.

Such a provision is sometimes extended so that if one party refuses, or is not available, to undertake the necessary steps, the other party can sign documents in the name of the first party[85].

8.4.32 Good faith/agreements to negotiate

Under the laws of some countries, the parties to a contract are required to act in good faith. In England, it has traditionally been thought that there is no general requirement of good faith in contracts, except in certain special cases, for example:

- the requirement for 'utmost good faith' in insurance contracts; and

[84] See *Takeda Pharmaceutical Company Limited v Fougera Sweden Holding 2 AB* [2017] EWHC 1995 (Ch).

[85] Where there is this type of provision, it is sometimes in the form of an irrevocable power of attorney. See power of attorney at **8.4.58** and Chapter 1, concerning the formalities for creating a deed.

- that a contractual provision in a contract with a consumer will be unfair if contrary to the requirement of good faith it 'causes a significant imbalance in the parties' rights and obligations arising under the contract to the detriment of the consumer'[86].

However, in recent years for some commercial agreements there are now sometimes provisions indicating that the parties need to perform their obligations using good faith or to work together in good faith. Also, the courts are sometimes prepared to imply an obligation of good faith into a contract. However, the meaning has varied from case to case and context to context, but recent definitions (particularly concerning 'relational contacts'[87]) include:

> 'An implied duty of good faith does not mean solely that the parties must be honest … This means that both the parties must refrain from conduct which in the relevant context would be regarded as commercially unacceptable by reasonable and honest people. Transparency, co-operation, and trust and confidence are, in my judgment, implicit within the implied obligation of good faith.'[88]

And a party has to comply with the following minimum standards (which are not distinct concepts but overlap):

> 'i) they must act honestly;
>
> ii) they must be faithful to the parties' agreed common purpose as derived from their agreement;
>
> iii) they must not use their powers for an ulterior purpose;
>
> iv) when acting they must deal fairly and openly with the claimant;
>
> v) they can consider and take into account their own interests but they must also have regard to the claimant's interest.'[89]

These propositions are unlikely to help in understanding a clause where there is an obligation to use 'good faith', if the meaning of 'good faith' is not further defined. If the parties wish to use the phrase 'good faith' or impose an obligation on one or more of the parties to use 'good faith', then they should set out its meaning so that in the event of a dispute it may be clear whether a party has used good faith.

[86] Consumer Rights Act 2015, s 62(1). See **7.2**. The meaning of 'good faith' is set out in *Director General of Fair Trading v First National Bank plc* [2001] UKHL 52, [2002] 1 AC 481. See **7.1.1**.

[87] There is no settled meaning of a 'relational contract' and it varies from case to case, but one can include that the parties are in a long-term contract which requires their active working together and also has the implication of a requirement of good faith.

[88] *Bates and Others v Post Office Limited (No. 3)* [2019] EWHC 606 (QB), [711], [738].

[89] *Unwin v Bond* [2020] EWHC 1768 (Comm), [230] with the court going to state (at [231]): 'Fair and open dealing is a broad concept and what it means in practice in any case will again depend on context. It is likely that, in many cases, the claimant is entitled to have fair warning of what the defendant proposes. In those cases where the defendant is contemplating taking a decision which will affect the claimant, fair and open dealing is likely to require that the claimant is given an opportunity to put their case before the defendant makes the decision and the defendant is likely to be required to consider the claimant's case with an open mind.'

The above concerns the use of 'good faith' where the parties are in a contractual relationship. But distinct from that situation, contracting parties sometimes include in their contract an obligation to negotiate the terms of a further agreement in good faith. The general position under English law[90] is that:

- an agreement to negotiate in good faith is not legally binding[91]; and
- an obligation to use best endeavours to agree something is not legally enforceable[92].

However an obligation not to negotiate with any other person for a specified period can be legally binding[93].

The above points are different from what often occurs in modern commercial dealings: the parties may reach an agreement on the main points of a contract but leave some points for further discussion. However, they never get to discuss those points or agree a final position regarding them, but the parties start work and make payments operating on the basis of what is agreed. In

[90] Unlike the position in some other countries. For example, in Italy, the Civil Code (Codice Civile) at Article 1337 contains a requirement for parties to use good faith in precontractual negotiations: '**Trattative e responsabilità precontrattuale**. Le parti, nello svolgimento delle trattative e nella formazione del contratto, devono comportarsi secondo buona fede' at https://www.codice-civile-online.it/codice-civile/articolo-1337-del-codice-civile (which according to the built-in translator with Apple's Safari web browser means: '**Pre-contractual contracts and liabilities**. The parties, in the conduct of the negotiations and in the formation of the contract, must behave in good faith'.) It appears that the rationale of this Article is to protect parties from engaging in useless negotiations which end up wasting time, resources and losing other opportunities for a party. For example, a party would be in breach of the good faith requirement if there was no good reason for them terminate negotiations. But this is subject to certain provisos: (i) the party terminating negotiations would have had to induce the other party to believe that the parties would enter a contract, and (ii) the other party would have to show that it has suffered loss or damage as a result of the unjustified termination of negotiations.

[91] See *Walford v Miles* [1992] 2 AC 128, HL. In this case on this subject one of the judges referred to an obligation to negotiate in good faith as follows: 'how is the vendor ever to know that he is entitled to withdraw from further negotiations? How is the Court to police such an agreement? A duty to negotiate in good faith is as unworkable in practice as it is inherently inconsistent with the position of a negotiating party; it is here that the uncertainty lies. In my judgment, while negotiations are in existence either party is entitled to withdraw from those negotiations, at any time and for any reason. There can be thus no obligation to continue to negotiate until there is a "proper reason" to withdraw. Accordingly a bare agreement to negotiate has no legal content.'

[92] See comments of Millett LJ in *Little v Courage* (1994) 70 P & CR 469, CA: 'An undertaking to use one's best endeavours to obtain planning permission or an export licence is sufficiently certain and is capable of being enforced: an undertaking to use one's best endeavours to try to agree, however, is no different from an undertaking to agree, to try to agree, or to negotiate with a view to reaching agreement; all are equally uncertain and incapable of giving rise to an enforceable legal obligation.' This case was applied in *London and Regional Investments Ltd v TBI plc* [2002] EWCA Civ 355, [2002] All ER (D) 360 (Mar).

[93] For example, undertakings not to enter into an agreement with a third party during the period of the negotiations can be enforced under English law: see *Walford v Miles* [1992] 2 AC 128 and *Pitt v PHH Asset Management Ltd* [1993] 4 All ER 961, CA. Even if this type of agreement contains no express duration provisions it may be enforceable as a contract terminable on reasonable notice: see *Global Container Lines Ltd v Black Sea Shipping Co* [1997] CLY 4535.

such cases and similar situations the courts may find that there is sufficient evidence to show that the parties intended to create legal relations, or the court may be prepared to fill in any gaps in a contract[94].

8.4.33 Gross negligence

The expression 'gross negligence' has a specific legal meaning under the laws of some countries, but not under English law[95]. International contracts sometimes include references to gross negligence (eg in liability or indemnity clauses), which are probably not appropriate to English law agreements.

8.4.34 Group companies

It is sometimes useful to include a definition of group companies or affiliates in a contract. This is commonly done by using the definitions of 'subsidiary' and 'holding company' set out in the Companies Act 2006, s 1159. If a very broad definition is required, an alternative is to make use of the definition of 'group undertaking' set out in the Companies Act 2006, s 1161.

8.4.35 Guarantees (and full title guarantee)

See **8.2**.

8.4.36 Hereby

See the comments at **6.5.9**.

8.4.37 Hereinafter and similar words

See the comments on archaic language at **3.6**.

[94] See the comments of Rix LJ in *Mamidoil-Jetoil Greek Petroleum Co SA v Okta Crude Oil Refinery AD* [2001] EWCA Civ 406, [2001] 2 All ER (Comm) 193 at [70], at **1.2.4**.

[95] There is apparently conflicting case law on this topic, see *Martin v London County Council* [1947] KB 628 and *Pentecost v London District Auditors* [1951] 2 KB 759 where the expression was held not to have a definite meaning. In the latter case the use of the phrase was discouraged: 'The use of the expression "gross negligence" is always misleading. Except in the one case of when the law relating to manslaughter is being considered, the words "gross negligence" should never be used in connection with any matter to which the common law relates because negligence is a breach of duty, and, if there is a duty and there has been a breach of it which causes loss, it matters not whether it is a venial breach or a serious breach' (per Lord Goddard, CJ). In an earlier case a meaning was assigned to 'gross negligence' as 'any negligence is gross, in one who undertakes a duty and fails to perform it' (*Lord v Midland Rly Co* (1867) LR 2 CP 339, which appears to be of little assistance in distinguishing between 'ordinary' negligence and a more serious type).

8.4.38 Including, including without limitation

See the discussion at **3.9.2**.

8.4.39 Indemnity

See the discussion at **5.8**.

8.4.40 Injunctions

There are two types of injunction:

- interim (previously known in English law as interlocutory); and
- final (or permanent).

Injunctions normally require a person to do something or (more commonly) prohibit a person from doing something[96]. Contracts sometimes mention injunctions; for example, a confidentiality clause may state that a party will be entitled to an injunction if the other party discloses confidential information. This is probably not appropriate in an English law contract, as injunctions are a discretionary remedy.

8.4.41 Instrument

It is possible for virtually any type of document (including a contract) to be an 'instrument' in writing which is to have a legal effect. The term is old-fashioned but it is still in use (but is unnecessary in many situations). It is defined in many Acts and its precise meaning varies from Act to Act. For example, an instrument can be a more formal type of document (such as a deed, a court order, etc)[97] or can be every type of written document[98].

8.4.42 Intellectual property

There is no universally accepted meaning for the term 'intellectual property'. It is generally understood to refer to a number of different types of property:

- patents (including supplementary protection certificates);
- registered designs;
- the separate protection known as design rights;
- copyright;

[96] See the glossary for the Civil Procedure Rules, available (at September 2022) at https://www.justice.gov.uk/courts/procedure-rules/civil/glossary.
[97] See, eg, **8.2** and the Law of Property Act 1925, s 61.
[98] See the Stamp Act 1891, s 122.

- database right;
- registered and unregistered trade marks[99];
- unitary patent;
- community registered and unregistered design;
- community trade marks;
- applications for registered intellectual property (principally patents and trade marks).

Know-how and trade secrets are sometimes treated as a type of intellectual property. They are commonly licensed and sold in the same way as the above types of intellectual property, and for the purposes of certain legislation they are included as types of intellectual property[100]. However, they are not, strictly speaking, a form of property[101]; it may be more accurate to describe know-how as information (particularly technical information) protectable under the law of confidence.

'Intellectual property' is defined for specific purposes in certain statutes[102]. However, none of the definitions are comprehensive or entirely consistent among themselves; also most do not deal with the considerable EU-wide intellectual property rights. For example, the Companies Act 2006[103] defines intellectual property as:

> 'any patent, trade mark, registered design, copyright or design right … any licence under or in respect of such right'.

This definition seems to confuse types of intellectual property (patents, trade marks, etc) with licences under intellectual property[104]. This 'lumping together' of intellectual property and rights in or under intellectual property is not uncommon in legislation which is not primarily concerned with intellectual property—reflecting perhaps the lack of specialist intellectual

[99] This form of intellectual property and the following 3 in the list are now only available in the EU.

[100] See Senior Courts Act 1981, s 72(5): "'intellectual property" means any patent, trade mark, copyright[, design right], registered design, technical or commercial information or other intellectual property'.

[101] *Boardman v Phipps* [1966] 3 All ER 721. Although it is capable of being treated as an asset: see *Moriarty v Evans Medical Supplies* [1958] 1 WLR 66; *Rolls-Royce v Jeffrey; Rolls-Royce v IRC* [1962] 1 All ER 801, HL.

[102] For example, Corporation Tax Act 2009, s 712(3): where an 'intangible asset' includes intellectual property, which is defined as: 'For this purpose "intellectual property" means—(a) any patent, trade mark, registered design, copyright or design right, plant breeders' rights or rights under section 7 of the Plant Varieties Act 1997 (c. 66), (b) any right under the law of a country or territory outside the United Kingdom corresponding or similar to a right within paragraph (a), (c) any information or technique not protected by a right within paragraph (a) or (b) but having industrial, commercial or other economic value, or (d) any licence or other right in respect of anything within paragraph (a), (b) or (c).

[103] See s 861(4A).

[104] As does the Corporation Tax Act 2009, s 712(3) referred to above.

property knowledge on the part of the drafters and the absence of a generally-recognised definition.

None of the principal pieces of UK intellectual property legislation provides a definition of intellectual property[105]. The term industrial property is sometimes used, (although now largely superseded by the term intellectual property). Industrial property is sometimes understood to mean patents and industrial designs, but not copyright (or at least not copyright for non-industrial items, eg literary works)[106].

Note: there is no general category of intellectual property law protection; instead it is necessary to consider the specific protection given for each type of property, and then on a country-by-country basis. Although UK intellectual property for different types of property was drafted at different times, the rules governing transactions in each type are not entirely uniform. Because of the UK's membership of the EU the differences were reduced with the implementation of EU directives and regulations which had the intention of harmonising intellectual property within the EU[107]. The position may change now that the UK has left the EU.

As noted above, there are also a number of EU-wide intellectual property rights (such as the community trade mark and the Unitary Patent[108]); these have further reduced the differences between transactions in various types of intellectual property.

8.4.43 Interpretation

It is conventional to include interpretation provisions in contracts in the boilerplate section of an agreement. In the absence of such provisions, the provisions of s 61 of the Law of Property Act 1925 (see **8.2**) may apply. An example, of a clause is as follows:

Example

In this Agreement:

(a) the headings are used for convenience only and shall not affect its interpretation[109]; and

[105] For example, Patents Act 1977, Copyright, Designs and Patents Act 1988 and the Trade Marks Act 1994.

[106] For example, on the European Commission internal market website, industrial property consists of inventions (ie patents), industrial designs (design right, registered designs) and trade marks. See https://www.europarl.europa.eu/factsheets/en/sheet/36/intellectual-industrial-and-commercial-property.

[107] Such as the Registered Designs Act 1949 (heavily amended by the Regulatory Reform (Registered Designs) Order 2006, SI 2006/1974).

[108] Regulation (EU) No 1257/2012 of the European Parliament and of the Council of 17 December 2012 implementing enhanced cooperation in the area of the creation of unitary patent protection.

[109] For judicial commentary on the effect of headings in legislation see *DPP v Schildkamp* [1971] AC 1, HL per Lords Reid and Upjohn. See also **2.14**.

(b) references to persons shall include incorporated and unincorporated persons[110]; references to the singular include the plural[111] and vice versa; and references to the masculine include the feminine; and

(c) references to clauses shall mean clauses of this Agreement.

8.4.44 Joint venture

The expression 'joint venture' has no specific legal meaning under English law (unlike the position in some countries). A joint venture normally concerns organisations, businesses and persons joining together to carry out some economic activity. That activity can be, for example, in relation:

- to a specific project (such as different specialist building contractors making a bid for a construction project);
- to an ongoing relationship (such as a manufacturer of a product and a distributor launching, promoting and distributing the product).

It is possible for the parties to the joint venture to fund it in a number of ways including each party paying their own costs, the parties agreeing how much each will pay, or (if the joint venture is a company) by each party subscribing to shares.

There is no English statute on joint ventures, comparable to the Companies Acts for companies[112]. In practice, joint ventures can take a number of different forms including:

- set up as partnerships (a traditional partnership under the Partnership Act 1891, without a separate legal entity); or
- set up as a company (or a limited liability partnership) in which each of the joint venturers is a shareholder. Sometimes each joint venturer will own 50% of the issued share capital of the company, although the precise shares of ownership (as well as other aspects of their relationship) are subject to the agreement of the joint venturers; or
- established by two separate parties collaborating on a project by providing resources (human, financial etc), without there being a separate legal entity.

[110] See discussion of 'persons' at **8.4.57**

[111] However, wording of this kind should not be relied on if changing to the plural would alter the 'character' of the provision. Instead specific wording should be used in the relevant clause. See *Blue Metal Industries Ltd v Dilley* [1970] AC 827, PC; *Floor v Davis (Inspector of Taxes)* [1980] AC 695, HL (both cases concerned the interpretation of legislation).

[112] Although the term does appear in tax legislation, eg Corporation Tax Act 2010, s 584, where the definition is in relation to certain property transactions.

8.4.45 Law and jurisdiction

This covers two issues:

- ***Law***: which country's law should deal with the interpretation of the provisions of an agreement and/or the disputes which arise from the agreement or its performance; and
- ***Jurisdiction***: which country's courts should resolve issues arising from the agreement.

It is entirely possible for one country's courts to resolve a dispute between parties to an agreement but use another country's law. See the discussion at **5.12**. International conflict of laws is a complex subject on which specialist advice should be obtained.

8.4.46 Licence

A licence is a permission to do something[113]. In intellectual property agreements it is a right to do the things specified in the licence which would otherwise be an infringement of the intellectual property. In real property law (land, houses, flats), a licence is different to a lease or a tenancy, with:

- a lease giving a person the right to exclusive possession of property;
- a licence giving the right which does not amount to exclusive possession[114].

8.4.47 Material and substantial

These terms are sometimes used in contracts where, for example, a termination provision permits a party to terminate for 'material breaches' or 'substantial breaches' by the other party, or a clause prohibiting a party from disposing of a 'substantial part' of its assets. These terms are often designed to exclude minor or trivial breaches[115] or matters and to prevent the parties arguing over

[113] For example, a licence 'is an authority to do something which would otherwise be wrongful or illegal or inoperative': per Latham CJ, *Federal Commissioner of Taxation v United Aircraft Corpn* (1943) 68 CLR 525.

[114] For example, *Street v Mountford* [1985] AC 809.

[115] For example, in one case it was held that the word 'material' could be derived from 'the normal dictionary definition of material as 'of serious or substantial import, of such consequence, important': see *DB Rare Books Ltd v Antiqbooks (a limited partnership)* [1995] 2 BCLC 306, CA; and in another case 'substantial' in the phrase 'substantial economic hardship' meant more than ordinary, everyday variations and difficulties arising in economic circumstances; it meant something weighty or serious': see *Superior Overseas Development Corpn and Phillips Petroleum (UK) Co v British Gas Corpn* [1982] 1 Lloyd's Rep 262.

minor or trivial breaches or matters[116]. However, their precise meaning will often be unclear[117], and will be a matter for interpretation[118] by the court in each case[119].

There is a body of case law on the meaning of 'substantial' in cases involving payment of rent under leases. In the particular circumstances of those cases it has been held that £14 was not a substantial proportion of £175 (ie 8%), nor £23 a substantial portion of £280[120] (ie 8.2%), £15 was not a substantial portion of £185[121] (ie 8.1%), £70 was not a substantial portion of £520 (ie 13.5%), although it was 'very near the borderline'[122] (this may suggest that a figure of around 15% is substantial). In another case, 9.12% of the rent was not considered to be a substantial part of the whole rent[123]. However, as one judge put it[124]:

> '… arithmetic can help a lot; but even so it is not capable of answering the question—what is "substantial"? In applying the subsection, arithmetic is a handy tool, a useful check, but not, in my judgment, a determining factor.'

Rather than relying on words such as 'material' or 'substantial' the contract drafter may wish to specify what is to happen when a particular type of breach occurs.

[116] *Bains v Arunvill Capital Ltd and another* [2020] EWCA Civ 545, [36]: '… one of the principal advantages of a material breach clause is that it avoids the need for parties to become embroiled in fine arguments, or as [the advocate for the appellant] put it "to squabble", about whether what has happened is or is not sufficient to amount to a repudiatory breach'.

[117] See *Terry's Motors Ltd v Rinder* [1948] SASR 167.

[118] See *Dalkia Utilities Services plc v Celltech International Ltd* [2006] EWHC 63 (Comm), [2006] All ER (D) 203 (Jan) for an analysis of recent case law on the meaning of 'material breach'. In this case some factors which were taken into consideration included the seriousness of the breach (such as the party missing three payments out of 174, and each missed payment was not trivial or minimal). Other factors to be taken into account included: (i) the circumstances surrounding the breach, including the provisions of the agreement as well as the nature and consequence of the breach; (ii) explanations as to why the breach had occurred (but the facts of the case indicated that non-payment was not due to mistake or administrative error). A determining fact as to the seriousness was that if a payment was three days late, the party not in breach had the right to require payment of the entire outstanding sum, and this indicated the importance placed on prompt payment.

[119] Even where there are no words such as 'material' or 'substantial' in use a court may still find that any breach would not entitle a party to terminate. For example, in *Rice v Great Yarmouth Borough Council* [2000] All ER (D) 902 a clause such as 'If the contractor: … commits a breach of any of its obligations under the Contract; … the Council may, without prejudice to any accrued rights or remedies under the Contract, terminate the Contractor's employment under the Contract by notice in writing having immediate effect' did not entitle the defendant to terminate for a non-material breach. To allow the defendant to do so would flout commercial common sense, although with a series of minor breaches, the position would be different. See also *Dominion Corporate Trustees Ltd v Debenhams Properties Ltd* [2010] EWHC 1193 (Ch).

[120] *Palser v Grinling* [1948] 1 All ER 1 at 11, HL.

[121] *Artillery Mansions Ltd v Macartney* [1949] 1 KB 164, CA.

[122] *Woodward v Docherty* [1974] 1 All ER 844, CA.

[123] *Mann v Cornella* (1980) 254 Estates Gazette 403, CA.

[124] See *Woodward v Docherty* [1974] 2 All ER 844, CA per Lord Scarman, cited in *Nelson Developments Ltd v Taboada* (1994) 24 HLR 462, CA.

Termination provisions which allow for termination where there is a material or substantial breach often provide that the party in breach can remedy the breach within a specified period after that party receives notice that they are in breach[125].

8.4.48 Merchantable quality

This is no longer the correct phrase to use for goods bought or sold in England and Wales (although it is still used for goods bought and sold in the US). See the discussion of satisfactory quality at **6.5.22.1.2** and **8.4.64**.

8.4.49 Mutatis mutandis

This is a horrible Latin expression, which when it is used in contracts usually means something like 'making such changes as are necessary' or 'the necessary changes being made'.

For example, under a contract, in one clause party A gives a detailed undertaking to indemnify party B against losses arising from party A's negligence. At the end of the clause which sets out A's undertaking, there may be a sentence which reads:

> Party B shall indemnify party A in equivalent terms to the indemnity given by party A above, mutatis mutandis.

In most cases it will be preferable to state the obligation specifically rather than rely on this kind of lawyers' shorthand. In the above example, rather than the quoted wording ending in *mutatis mutandis*, the same wording should be repeated for the indemnity that Party A gave, but making the necessary changes.

8.4.50 Negligence

In relation to exemption clauses, see the discussion at **6.5.23**.

[125] However, if the party in breach wishes to remedy their breach within the period specified in the termination clause they must not merely signal their intention to do so within that period but actually must remedy the breach: *Bains v Arunvill Capital Ltd and another* [2020] EWCA Civ 545, [40]. For example, if a supplier of a service has stopped providing the service and has received a notice that it is in breach, and the termination clause provides that they have 21 days to remedy the breach, a letter from the supplier stating that they intend to perform their contractual obligations will not suffice. The supplier will actually have to recommence performing the services within the 21-day period.

8.4.51 Negotiate

Where a person or organisation has an obligation to negotiate the terms and conditions of a (further) agreement it might be unclear, unless expressly stated, what they are entitled to do. For example;

- a sales agent may be required to obtain sales and then negotiate the terms and conditions of that sale; or
- professional advisers (such as lawyers or accountants) will sometimes be instructed to settle some or all of the terms and conditions of a contract between their client and another party in a proposed deal.

The issue is the extent of the power to negotiate (that is what activities the person with the authority to negotiate can carry out) and when that power to negotiate will terminate in the absence of clear instructions. In one case a power to negotiate was held to mean to settle all the terms and conditions, including the price, with the power ending when the consenting party gave its consent[126].

8.4.52 Nominal sum

Contracts sometimes provide for the payment by one party to the other of a nominal sum (eg £1), to ensure that consideration passes under the contract (as to which, see **1.2.1** and **1.5**)[127].

8.4.53 Notarisation

Notarisation usually covers one of the following situations:

- a person signing a document in the presence of a notary[128]; or
- the notary certifying a copy of an original document (and stating whether what was provided to the notary is genuine); or

[126] *Re Macgowan* [1891] 1 Ch 105.

[127] In *Midland Bank Trust Co Ltd v Green* [1981] AC 513, HL, Lord Wilberforce commented: '"Nominal consideration" and a "nominal sum" in the law appear to me, as terms of art, to refer to a sum or consideration which can be mentioned as consideration but is not necessarily paid.'

[128] Or notary public or public notary. They mean the same thing. Scrivener notaries are also encountered, but their role is the same as 'ordinary' notaries in England and Wales. Notaries are qualified and authorised to practise in each part of the United Kingdom: England and Wales (counting as one part), Scotland and Northern Ireland. For example, a notary qualified and authorised to practice in England and Wales can only do so within England and Wales, but not in Scotland.

- a notary making statements about facts or law[129].

Notaries do not have a role in England and Wales[130] but do have an important role in most other countries. For commercial matters a notary is often needed where a party is based in England and:

- is entering into a transaction with a party based in another country (an agreement is being signed)[131]; or
- is giving authority to someone to act on its behalf in another country (such as the giving of a power of attorney); or
- is required to establish certain facts (eg an English company opening a foreign bank account may need to provide a notarised copy of its certificate of incorporation and memorandum and articles of association which the notary would obtain directly from the Registrar of Companies and then notarise); or
- is registering a transaction, a person or company, etc with a government department or regulatory body in another country (such as filing an assignment of a patent).

Practically, a person will only know that they need a notary when they are involved in a transaction or matter in another country (or with a party in another country) and the English party is informed by the other party to a transaction or by their agent or adviser, that the use of a notary is necessary.

The formalities of using a notary are high, including checking the identities of persons signing the document and also, separately and in addition, checking the 'identities' of the organisations the persons signing work for or represent[132].

For most documents which need to go abroad there is a further step: legalisation (the validation of the signature and seal of a notary). For many

[129] For example, that the directors are entitled to sign a document on behalf of a company (implying that the notary has determined that the company exists and is validly constituted), the company has the power to enter into such a transaction, that the directors are in fact directors, and have the power to sign such documents on behalf of the company (implying that the company's records have been checked such as minute book); and/or that a document has been signed in accordance with English law.

[130] Except two or three very minor instances which are unlikely to arise in commercial transactions. For more on notaries (including finding one) see http://www.thenotariessociety.org.uk/.

[131] The signing of contracts before a notary is not a requirement of English law. Sometimes contracts entered into with parties based in other countries (or contracts made under the law of a country other than England) are required to be signed in the presence of a notary.

[132] Such as making checks with the Registrar of Companies (and often obtaining a 'certificate of good standing' from the Registrar) and examining the minutes book of a company registered or regulated by the Companies Act 2006. The level of formality required to get documents notarised is sometimes very unfamiliar to business people in England and Wales.

countries this is done by the Foreign and Commonwealth Office[133]. Some countries do not require legalisation (mainly commonwealth countries and many states in the United States)[134].

8.4.54 Notices

See discussion at **5.11.1**.

8.4.55 Notwithstanding

This means 'despite', as in:

Notwithstanding clause 4 above, X shall …

A client may find the word confusing, particularly one whose first language is not English, and in the authors' experience it has been misunderstood by clients as meaning 'subject to' (ie the exact opposite of the true meaning). If possible, it is suggested that this word be avoided—consider saying 'this clause overrides all other clauses'.

If 'notwithstanding' is used, it should be used sparingly; if several clauses begin 'notwithstanding any other provision of this Agreement', there may be a conflict between those clauses, which is not resolved by use of these words.

8.4.56 Penalties and liquidated damages

Under English law a contractual clause which provides for a penalty if a contractual obligation is not met, will generally be void on public policy grounds. By contrast, a 'liquidated damages' clause is normally valid, as long as the amount to be paid by the party who breaches the contract represents a

[133] For countries which have signed the Hague Convention of 5 October 1961 abolishing the requirements of legalisation for foreign public documents. Most commercially significant countries are members of the convention (such as all EU countries, many countries in Latin America, India, New York and California (and a few other states) in the USA, but not China). Most Asian and Arab countries are not members (although this is changing, during the course of 2022 Indonesia and Saudi Arabia will implement the Convention).

[134] Such as most Commonwealth countries, including Australia, Canada and New Zealand. Nearly all Arab countries are not part of the Convention, therefore legalisation will take place directly with the country's embassy or consulate. New York and California are the two principal states in the United States which do require legalisation (through the FCO).

genuine pre-estimate of the other party's likely loss arising from that breach. There is a considerable amount of case law in this area[135].

8.4.57 Person

In law, a person may be:

- a human being (known in law as an 'individual'[136]), or
- a legal person, for example, a limited company, a corporation incorporated by Royal Charter, a limited liability partnership, etc.

It is common in contracts to clarify (generally in an interpretation clause—see **8.4.43** above) that the word 'person' is being used in a broad sense, as including organisations such as partnerships (known in English law as 'firms'), companies and limited liability partnerships.

Sometimes such a clause includes very lengthy wording. For example, stating that bodies such as joint ventures are included.

There are also definitions in:

- the Interpretation Act 1978, which provides a broad meaning to 'person', but uses rather archaic language, but is limited in its application to Acts of Parliament and subordinate legislation[137]:

  > '"Person" includes a body of persons corporate or unincorporate.'; and

- the Law of Property Act 1925 which provides a similarly broad meaning (but without mentioning 'unincorporate' persons), but applies to 'all deeds … and other instruments'[138]:

  > '"Persons" includes a corporation'.

An equivalent definition in slightly more modern language might be as follows:

[135] See *Dunlop Pneumatic Tyre Co Ltd v New Garage & Motor Co Ltd* [1915] AC 79. Most recently in *Cavendish Square Holding BV v Talal El Makdessi; ParkingEye Ltd v Beavis* [2015] UKSC 67 where the Supreme Court re-examined the law regarding penalties, but unfortunately they did not provide clear guidance, although it appears that the distinction between a penalty and there being a genuine pre-estimate of the other party's likely loss arising from a breach are not polar opposites. The court indicated, at least for some of the judges, that the 'true test is whether the impugned provision [ie the clause containing the alleged penalty provisions] is a secondary obligation which imposes a detriment on the contract-breaker out of all proportion to any legitimate interest of the innocent party in the enforcement of the primary obligation.' [at 32]. In essence, the court will need to look at the true purpose of the clause in the context of the case, rather than any labels the parties attach to it or the amount that a party is expected to pay.

[136] Although even the use of the word 'individual' might, exceptionally, also be interpreted as including a company: see *Société United Docks v Government of Mauritius* [1985] AC 585 at 601C, PC.

[137] Interpretation Act 1978, ss 22, 23.

[138] Law of Property Act 1925, s 61. See also **8.2** above.

'Person' includes both an incorporated and an unincorporated body of persons.

If there is an intention that a provision in an agreement should only apply to an individual, then the contract drafter should avoid the use of the word 'person' as a court is likely to interpret the word as also applying to a legal person such as a company. This will depend on the provisions of the agreement, but where, for example, a right under the agreement can only be exercised by an individual the use of the word 'person' will not be sufficient to indicate only an individual can do so[139]. Either the contract should use specific words to clearly indicate the name(s) of the person(s), or that the only type of person who can exercise the right is an individual and not a corporate person.

8.4.58 Power of attorney

A power of attorney is a type of agency document, where one person (formally known as the 'donor') gives authority to another person (formally known as the 'attorney') so that the attorney can act on behalf of the donor (and also act in the name of the donor).

In most circumstances in the UK there is no legal requirement that this type of permission must be in the form of a power of attorney. What distinguishes a power of attorney from another type of agency document is that it must comply with the formalities for the creation of a deed[140].

A power of attorney is often used for the same reason that deeds are generally used[141], but also it is conventional in some transactions for a power of attorney to be included.

For example, in an assignment of intellectual property a power of attorney is commonly coupled with a 'further assurance' clause which enables the assignee to sign documents and carry out certain other acts in the name of the assignor (if the assignor refuses or is unable to carry out those acts, such as sign a document which needs to be registered with a government office).

[139] In *Cosmetic Warriors Ltd and another v Gerrie and another* [2015] EWHC 3718 (Ch) in the articles of association for a company one article provided that a seller could transfer to 'any person' some shares. Another article permitted a company to sell shares to 'any person or [c]ompany'. The Court of Appeal, given the difference in wording between the two articles, considered whether the use of the word 'person' in the first article was sufficient to indicate that the first article only applied to natural persons. Relying on the Law of Property Act 1925, s 60 quoted above in the text, but noting that the latter article clearly had an intention to differentiate between a natural and corporate person, it nevertheless rejected the use of person in the first article as being restricted to only natural persons, and that '[m]uch clearer language would … have been needed to restrict the legal meaning of "any person" in the [first article]' (from [53]).

[140] And which must also comply with and be subject to the Powers of Attorney Act 1971. For deeds see **1.5** and following.

[141] See **1.5** and following.

Where a person needs to authorise a person in another country, the usual method of doing so is that the authority does so by means of a 'power of attorney'.

8.4.59 Procure

This is typically used in contracts to mean 'ensure', as in:

Party A shall procure that its employees comply with the provisions of this Agreement.

In everyday English it is rarely used, except in relation to certain unlawful activities. In contracts, the word 'ensure' will often be preferable.

8.4.60 Provisos ('provided that …')

Provisos are old-fashioned, but are sometimes useful. If used properly, a contractual obligation is followed by words such as 'provided that' and these words are followed by a qualification, condition or exception to the contractual obligation just stated[142].

Sometimes provisos are used more loosely to tack on an additional provision (such as a separate obligation) to the same clause or sentence; the contract drafter should avoid doing so. Nor should the proviso be broader in scope than the first part of the clause as a court may interpret the proviso as being limited to the same subject area as the first part of the clause[143]. It will sometimes be preferable to state the proviso in a separate clause and make the first clause subject to it.

8.4.61 Real property

Real property is land and buildings. Everything else is personal property. Intellectual property (see above) is a type of personal property[144].

[142] See *Jennings v Kelly* [1940] AC 206.
[143] See *Thompson v Dibdin* [1912] AC 533, HL, and for a case in which this was not done see *Stamp Duties Comr v Atwill* [1973] AC 558, PC.
[144] Patents Act 1977, s 30; Copyright, Designs and Patents Act 1988, s 90; and Trade Marks Act 1994, s 22.

8.4.62 Reasonableness

The concept of reasonableness is a familiar one in English law, less so under some other countries' laws (where concepts such as good faith (see above) may be more common). The concept of 'reasonableness' is an objective one, as to what some notional person in the circumstances of a particular situation would have reasonably done. Ultimately it is for the court to decide what is reasonable or unreasonable conduct. In effect, where a provision uses the word 'reasonable', the parties are handing over the meaning of that provision to a judge to decide, if they cannot agree.

In contracts, common examples include:

- A clause which requires a party not to do something without the other party's consent 'such consent not to be unreasonably withheld'. If the parties wish to avoid the uncertainty of letting a judge decide on what is reasonable, they may prefer to be more specific. For example, in a contract where a party has to give consent which must not be very unreasonably withheld, the circumstances in which it would be unreasonable to withhold consent could be set out.

- A clause which requires a party to use reasonable endeavours to perform an obligation under the contract. For example, a party must use reasonable endeavours to manufacture a product by a certain date. If the other party wished to have greater certainty as to what constitutes 'reasonable endeavours', it can do so by using a comparator.

8.4.63 Representations, warranties and undertakings

These terms have different meanings in different contexts. It is common to include a clause in which a party 'represents, warrants and undertakes' in relation to a list of matters. In this sense:

- a representation is a statement which predates the contract and induced the other party to enter into it;

- a warranty is a statement of a fact, forming part of the contract, which the party giving the warranty asserts to be true;

- an undertaking is an obligation to do something.

Thus one does not warrant that one will do something, nor does one undertake that something is true. However, the term 'warranty' is used in other senses, for example: (i) a manufacturer's guarantee; or (ii) a contractual promise that is less important than a 'condition'.

8.4.64 Satisfactory quality

This statutory implied term[145] replaced that of 'merchantable quality' in contracts for the sale of goods[146]. See further at **6.5.22.1.2**.

8.4.65 Set-off and retention of title

Set-off means, in effect, 'deduction' as where a party deducts part of a sum it is due to pay to another party, in satisfaction of a debt owed by the other party to him[147].

Retention is sometimes used to mean 'holding back', as where a contract provides that a party is not to pay a sum under a contract until the contract work is successfully completed, or that title to goods is retained by the seller until the price for those goods has been paid. Retention of title clauses are notoriously difficult to enforce[148].

The defence of set-off is available under English law[149]. Where a defendant contends that it is entitled to money from the claimant, and relies on this as a defence to the whole or part of the claim, the contention may be included in the defence and set-off against the claim, whether or not it is also a counterclaim[150].

A discussion of the detailed circumstances in which set-off (and a related defence of 'abatement') is available under English law is beyond the scope of this book. Generally, the claim for set-off must in some way relate to the claim made by the claimant. Thus, if the two claims concern unrelated contracts, set-off may not be available.

Rather than rely on the general law of set-off, parties may prefer to agree specific terms in their contract, either:

[145] Sale of Goods Act 1979, s 14.

[146] 'Merchantable quality' is still encountered in US contracts.

[147] While there are obvious advantages for a party to a contract prohibiting set-off, such as where a seller of goods wishes to prohibit set-off by a buyer of those goods, there is case law which indicates that the requirement of reasonableness under the Unfair Contracts Terms Act 1977 is relevant to clauses which prohibit 'demand, deduction or set-off': see *Stewart Gill Ltd v Horatio Myer & Co Ltd* [1992] QB 600; *Fastframe Ltd v Lohinski* (3 March 1993, unreported), CA. The contract drafter should avoid agreements which produce provisions which are too one-sided.

[148] Complete books have been written on this subject. For a brief summary see Anderson and Warner, *A–Z Guide to Boilerplate and Commercial Clauses* (4th edn, 2017, Bloomsbury Professional).

[149] However, if a party is trading on its standard terms and conditions and there is a provision which stops the other party setting-off any payment it is due to pay, such a clause may amount to an exclusion of liability, and be subject to a test of reasonableness under Unfair Contract Terms Act 1977, s 3. Later cases have held that such clauses are subject to assessment for reasonableness under the Act: eg *AXA Sun Life Services plc v Campbell Martin Ltd* [2011] EWCA Civ 133; *SKNL (UK) Ltd v Toll Global Forwarding* [2012] EWHC 4252 (Comm).

[150] See Civil Procedure Rules 1998, r 16.6.

(1) to exclude any right of set-off, for example, an undertaking to make payments under the contract without any discount, deduction, off-set or counterclaim whatsoever[151]; or

(2) to extend the right of set-off to include all claims that one party may have against another (eg arising under an unrelated contract)[152].

If the right is to be extended, the clause will need careful drafting, for example, to address whether interest on a debt can be deducted, and whether contingent or unascertained debts are to be included, and if so how they are to be calculated. There is also a danger that if it is too broad, the clause may be construed as a penalty, in which case it will be unenforceable[153].

8.4.66 Severance

Parties sometimes provide that if their contract includes unlawful or unenforceable provisions, the unlawful part will be deleted from the contract, and the remaining provisions will remain in force. This may be useful, for example, in relation to anti-competitive provisions such as post-termination restrictions in employment contracts. The deletion of the offending provision is known as severance.

8.4.67 Signed and use of signatures

As indicated at **1.4** for most types of contract, there is no specific requirement that an agreement needs:

- to be in writing;
- to be signed by a party to it.

[151] In *Hongkong and Shanghai Banking Corpn v Kloeckner & Co AG* [1990] 2 QB 514, Hirst J held that such a clause was valid. This case was applied in *Coca-Cola Financial Corpn v Finsat International Ltd* [1996] 3 WLR 849, CA, but distinguished in *National Bank of Saudi Arabia v Skab* (23 November 1995, unreported) at first instance, per Longmore J. See also *Venson Automotive Solutions Ltd v Morrison's Facilities Services Ltd and Others* [2019] EWHC 3089 (Comm) which concerned a summary application for payment of invoices. In this case, the claimant leased cars to the defendant, and used the payments from the defendant to pay the capital costs of the cars to a third party. The court indicated in effect that set-off clauses are effective, and that the purpose of a no set-off clause is '… to ensure that there is no interruption to the claimant's cashflow but that these clauses do not affect the underlying obligations of the parties'. This commercial purpose of a no set-off clause does not affect the parties' rights and was 'effectively a procedural mechanism which creates an entitlement to provisional payment pending ultimate and final determination of the rights of the parties'. An important factor for the judge in this case for finding the no set-off provision effective was that a related agreement provided a mechanism for the defendant to query disputed invoices.

[152] Such a provision has been held to be valid: see, eg, *Watson v Mid Wales Rly Co* (1867) LR 2 CP 593 at 600; and *Newfoundland Government v Newfoundland Rly Co* (1888) 13 App Cas 199 at 210.

[153] See eg *Gilbert-Ash (Northern Ltd) v Modern Engineering (Bristol) Ltd* [1974] AC 689, HL, considered in *Linden Gardens Trust Ltd v Lenesta Sludge Disposals Ltd* [1994] 1 AC 85, HL.

A different issue which non-lawyers frequently raise is what constitutes a signature when a party is intending to sign a contract. The following points are derived from case law over the centuries[154]:

- generally where a signature is used it can consist of the person's name, some variation or abbreviation of it or simply a mark (such as 'X' if a party so wishes);
- a valid signature can also be the name of a party but signed by another person (with the authority or on behalf of the person, eg Jane Smith asks John Adams to sign a contract that Jane Smith is entering into, John Adams could validly sign the contract with the words 'Jane Smith')[155].

Generally a signature does not require physically writing onto a piece of paper. For example[156]:

- the use of a facsimile (a document sent through a facsimile machine with the signature of a party);
- a stamp;
- a name typed in an email or in a letter typed in word-processing program;
- the click of a button on a website;
- a scanned image of a signature placed on or in a document;
- digital signatures which includes clicking a button on a website as well as ones which come within the meaning of an advanced electronic signature, or a qualified electronic signature[157] (through the use of technologies such as Adobe Sign or DocuSign).

can all amount to (and be acceptable as) a signature, as long as the intention is to authenticate the contents of the (electronic or non-electronic) document to which the signature is applied, ie that the signatory is approving and agreeing to the contents of the document.

However, a third, but distinct, issue is whether a document not signed in a conventional manner is acceptable to another party. A common example

[154] See, eg, *R v Kent Justices* (1873) LR 8 QB 305.

[155] See, eg, *Re Horne (a bankrupt)* [2000] 4 All ER 550, CA.

[156] See Law Commission *Electronic execution of documents*, Law Com No 386 and the cases cited in support that various electronic forms of signature are acceptable: *Golden Ocean Group Ltd v Salgaocar Mining Industries PVT Ltd* [2012] EWCA Civ 265, [32]; *Mehta v J Pereira Fernandes SA* [2006] EWHC 813 (Ch), [30]; *Orton v Collins and others* [2007] 1 WLR 2953, [21], *Lindsay v O'Loughnane* [2010] EWHC 529 (QB), [95]; *Green (Liquidator of Stealth Construction Ltd) v Ireland* [2011] EWHC 1205 (Ch), [44]; *Kathryn Bassano v Alfred Toft and others* [2014] EWHC 37 (QB), [43]–[44]; and *WS Tankship II BV v Kwangju Bank Ltd and another* [2011] EWHC 3103 (Comm), [155].

[157] See Regulation (EU) No 910/2014 of the European Parliament and of the Council of 23 July 2014 on electronic identification and trust services for electronic transactions in the internal market and repealing Directive 1999/93/EC and Electronic Communications Act 2000, s 7 as to the admissibility of electronic signatures.

is the opening of a bank account. If not signed with a 'real' signature (but with a stamp or the application form is signed and then sent to the bank by facsimile) it may not be acceptable to the bank.

8.4.68 Sub-contract

A sub-contract occurs where:

- there is an agreement between two parties (Customer and Supplier); and
- one party (eg the Supplier) wishes a third party (Sub-Contractor) to perform some or all of its obligations under the agreement; but
- the Supplier remains liable to the Customer for those obligations; and
- if the Sub-Contractor fails to perform those obligations properly or at all, the Supplier remains liable:
    - to the Customer for their performance; or
    - for any damages or costs that the Customer suffers.

Sometimes the word 'delegate' is also used to described the situation, and in this context the words remain interchangeable.

In many commercial agreements there is a clause prohibiting the assignment of rights and the transfer of obligations and such a provision usually is extended to also prohibit the party sub-contracting any of its obligations[158]. In the absence of such a clause it will depend on the circumstances whether a party can sub-contract any of its obligations. If a party can sub-contract, then there should be explicit wording to cover this.

8.4.69 Subject to

One clause may be 'subject to' the provisions of another clause. For example, it is possible for a clause to state that the duration of the contract to be subject to another clause which provides for early termination (eg in the event of breach or insolvency). In this sense, the first clause will not apply if it contradicts the other clause. Or, to put it in the words of one judge:

> 'In my judgment, the phrase "subject to" is a simple provision which merely subjects the provisions of the subject subsections to the provisions of the master subsections. When there is no clash the phrase does nothing: if there is a collision, the phrase shows what is to prevail. The phrase provides no warranty of universal collision.'[159]

[158] See **5.11.4**.
[159] *C & J Clark Ltd v Inland Revenue Comrs* [1973] 2 All ER 513, 518.

8.4.70 Subject to contract[160]

This phrase is often used in correspondence or draft agreements to mean:

- that the intention of the parties is that wording in the correspondence or draft agreements are not to be legally binding;
- that none of the parties are bound to engage in, or continue, any negotiations or discussions (and any party is free to withdraw from them at any time); and
- that legally-binding obligations will arise only when a formal, written contract is signed by the parties or at some specific point agreed between the parties[161].

Conventionally, documents relating to transactions relating to land are marked with this phrase[162].

If there is any doubt about the status of negotiations or concerning the wording in any documents exchanged between parties[163] (such as a document labelled 'heads of terms', etc), then at a minimum documents should be labelled 'subject to contract'[164]. In addition, the status of the document should be separately spelled out, for example, using the following wording:

This [specify type of document] is not intended to be legally binding, nor to create, evidence or imply any contract, obligation to enter into a contract or obligation to negotiate. Either party may withdraw from negotiations without incurring any liability to the other party, at any time prior to the execution by both parties of a[n] [formal] [written] agreement.

However, what is most important is that the parties do nothing which might lead to the 'protection' offered by the words 'subject to contract' (or any additional wording such as in the above example) being lifted. For example,

[160] See also **1.3.3.4**.

[161] This phrase will usually prevent the creation of a binding agreement: see *Munton v Greater London Council* [1976] 1 WLR 649; *Cohen v Nessdale* [1982] 2 All ER 97; *Confetti Records (a firm) v Warner Music UK Ltd (t/a East West Records)* [2003] EWHC 1274 (Ch) (2003) Times, 12 June. Also see **1.12**. For a modern judicial statement as to its meaning see *Generator Developments Ltd v Lidl UK GmbH* [2018] EWCA Civ 396, [79]: 'The meaning of that phrase is well-known. What it means is that (a) neither party intends to be bound either in law or in equity unless and until a formal contract is made; and (b) that each party reserves the right to withdraw until such time as a binding contract is made. It follows, therefore, that in negotiating on that basis [the parties] took the commercial risk that one or other of them might back out of the proposed transaction … the use of the "subject to contract" formula means that the parties are not committed either in law or in equity … In short, a "subject to contract" agreement is no agreement at all.'

[162] No longer necessary following the implementation of the Law of Property (Miscellaneous Provisions) Act 1989, s 2.

[163] See *DMA Financial Solutions Ltd v BaaN UK Ltd* [2000] All ER (D) 411.

[164] Labelling a document 'heads of terms', 'heads of agreement' is unlikely to be determinative as whether it is to be binding or not: see *Beta Investment SA v Transmedia Europe Inc* [2003] EWHC 3066 (Ch), [2003] All ER (D) 133 (May). See also **1.3.3**.

there must be nothing in their conduct (such as starting or carrying out any work envisaged during the parties' negotiations) which might mean that the parties have entered into a contract, although they have had not explicitly entered into the contract or agreed all the terms[165].

8.4.71 Such

The word 'such' often appears in commercial agreements. It is often combined with a noun or phrase and its role is to refer to something already mentioned elsewhere in the agreement. If used carefully and with precision as to what is being referred, it can play a useful role as a shortcut by eliminating the need to repeat wording already used elsewhere in an agreement.

For example, in the following clause from a patent and know-how licence concerning the supply of know-how by the Licensor to the Licensee, the word 'such' (in conjunction with 'supply', 'such supply') appears twice. 'Such supply' will be precise as long as:

- the agreement does not refer to the supply of anything else; and
- the phrase 'such supply' appears only within the clause relating to the supply of know-how.

The use of 'such' here avoids having to repeat what is being supplied by who to whom etc:

> '… the Licensee shall arrange for the Principal Investigator to supply the Licensee with all Know-how in the Principal Investigator's possession that the Licensee is at liberty to disclose and has not previously been disclosed and which is reasonable necessary or desirable to enable the Licensee to undertake the further development of the [inventions claimed in the Patents OR Licensed Products]. The Know-how shall be subject to the confidentiality provisions of Clause [ ]. The method of such supply shall be agreed between the [Licensee OR Principal Investigator] and the Licensee but shall not require the [Licensee OR Principal Investigator] to undertake more than [2] man-days of work, unless otherwise agreed in writing between the Parties. If it is agreed that the Principal Investigator shall travel to the Licensee's premises in connection with such supply, the Licensee shall reimburse all travel (at business class rates), accommodation and subsistence costs incurred.'

As noted above the use of the word 'such' needs to be clear and precise as to what is referred. However, if elsewhere in the agreement there are references to similar things, then it may not be clear whether the expression is meant to refer to all of them or to just some of them.

For example:

- a reference in one clause to 'such sum' being repayable when there is a reference to a particular circumstance and amount in that clause, but

[165] See *RTS Flexible Systems Ltd v Molkerei Alois Müller GmbH & Co KG* [2010] UKSC 14, where negotiations took place subject to contract, but the parties began work before all the terms and conditions were agreed.

- there are also other circumstances and sums mentioned in other clauses; and
- the reference to 'such sum' alone may mean it is difficult to establish whether the reference to 'such sum' means only the sum mentioned in the clause where 'such sum' appears, or other clauses.

This would be imprecise drafting and in such a circumstance the use of 'such' should be avoided, and a specific reference to which sum is repayable would be the correct drafting choice, even at the expense of an increased word count[166].

8.4.72 Such consent not to be unreasonably withheld

Sometimes the contract provides that an action may only be taken with the consent of the other party (eg where a party is not allowed to sub-contract some of its obligations, and if it wishes to do so it needs to obtain the consent from the other party).

In leases and other real property transactions which include a provision requiring the consent of another party, it is sometimes implied that the consent will not be unreasonably withheld. Ordinarily such a term is not implied into ordinary commercial contracts[167]. If there is an intention that a party cannot unreasonably withhold their consent then there should be explicit wording to that effect. Similarly, there should be explicit wording if a party is to be under an obligation to give reasons for withholding their consent.

[166] See *Rainy Sky SA v Kookmin Bank* [2011] UKSC 50. This case concerned the construction of six boats, each to be built under a separate contract (the Contract) between one of the purchasers and the ship builder. The Contract required each purchaser to pay by instalments, before delivery of their boat. The contract allowed a purchaser to cancel the Contract in the event of certain situations occurring, including if the ship builder took steps to becoming insolvent. A condition precedent of the contracts was that the ship-builder would provide refund guarantees relating to the instalment payments. A bank provided the guarantees which the buyers could enforce. The ship builder suffered financial difficulties and used insolvency procedures and the purchasers sought repayment of the instalments, including making claim under the guarantees. The dispute centred around the phrase 'such sums' which appeared in the guarantee and to which sums it referred. The phrase appeared in a clause (Clause 3) of the guarantee stating: 'In consideration of your agreement to make the pre-delivery instalments under the Contract… we hereby …, as primary obligor, irrevocably and unconditionally undertake to pay to you … all such sums due to you under the Contract…' The dispute turned on whether 'such sums' referred to the 'pre-delivery instalments' stated in Clause 3 or to a list of circumstances when the purchaser could terminate the Contract, which were stated in Clause 2 of the guarantee (but Clause 2 did not mention if the ship builder took steps to become insolvent). If 'such sums' referred only to 'pre-delivery instalments' then the purchaser could have their payments returned, but if referred to Clause 2, then the purchaser could not have the payments returned. The court decided that either option was a permissible conclusion for the court to come to. The court preferred the option that allowed the purchasers to recover their payments, as in the context of the contract and the guarantee and the purpose of the deal, it was the interpretation that made most business common sense.

[167] In *Price v Bouch* (1986) 53 P&CR 254, Millett J commented: 'There is no principle of law that, whenever a contract requires the consent of one party to be obtained by the other, there is an implied term that such consent is not to be unreasonably refused. It all depends on the circumstances.'

It seems the courts may make a distinction between a matter requiring 'a general and unrestricted consent' and consents to very specific matters, for example, approving 'a title or plans which are free from any tenable objection'; in the latter case it seems the court may more readily imply a term that the consent will not be unreasonably withheld, if necessary to give business efficacy to the contract[168]. These principles were stated in cases involving real property transactions, and it is not clear whether the principles would extend to ordinary commercial contracts.

Where there is a provision where a party has to give consent but that 'such consent not to be unreasonably withheld' the factors that the party will have to take into account, and the constraints under which it will be subject, include (in a case concerning a commercial contract):

- reasonableness has to be given a broad, common sense meaning;
- that the party whose consent is sought uses both a reasonable process and provides a rational outcome;
- that a 'reasonable process means one which takes into account considerations which have a legitimate purpose and disregard irrelevant considerations';
- that 'a party's refusal to consent must serve a purpose sufficiently connected with the subject matter of the party's conduct. They are not entitled to refuse consent on extraneous or disassociated matters or to achieve a collateral purpose';
- that a party whose consent is sought but decides to refuse its consent 'can only rely upon reasons which actually influenced the refusal at the time of the assignment, not afterthoughts'.
- but where a party 'does unreasonably withhold its consent, the party seeking consent is entitled to carry out the assignment as if consent had been given'[169].

Two further factors which can be added to this list are that a party who is required to give consent[170]:

[168] This distinction was made by in *Clerical Medical and General Life Assurance Society v Fanfare Properties Ltd* (1981, unreported) and approved by the Court of Appeal in *Cryer v Scott Bros (Sudbury) Ltd* (1986) 55 P & CR 183.

[169] *Gama Aviation (UK) Ltd and Another v MWWMMWM Ltd* [2022] EWHC 1191 (Comm), [40]–[44]. The points are drawn from the judge's review of other cases concerning real property. The case concerned, among other things, a 'no assignment' clause ('An assignment requires the consent of the defendant, but such consent is not to be unreasonably withheld').

[170] *Sequent Nominees Ltd (formerly Rotrust Nominees Ltd) v Hautford Ltd* [2019] UKSC 47, [21], [23] which was a commercial landlord and tenant case, but also illustrates the point that the landlord was entitled to take into account the economic consequences in refusing consent. If the landlord provided consent there was a risk that it would be disenfranchised (the tenant could use statutory rights to acquire the freehold of the property) so causing 'consequential damage to the reversion, [and is not] something extraneous to or dissociated with the landlord and tenant relationship created by the Lease. On the contrary, damage to the reversion is the quintessential type of consideration rendering reasonable the refusal of consent …' (from [41]).

- cannot refuse consent on a ground which has nothing to do with the relationship between the parties concerning the subject matter of their agreement; and
- has to show its 'conduct was reasonable, not that it is right or justifiable'.

Other recent cases concerned with commercial agreement have provided different formulations (although often still relying on decisions of cases concerning landlord and tenant) but are not at such a high abstract level as the above list. For example, in another case the court held where there is a party seeking consent (Party A) from another party (Party B):

- Party A has the burden to show that Party B's refusal to provide consent was unreasonable;
- Party B does not need to show that its refusal to consent 'was right or justified, simply that it was reasonable in the circumstances';
- Party B can have regard to its own interest in determining what was reasonable;
- Party B does not have to balance its own interests against those of Party A (or depending on the circumstances, the financial costs that Party B is incurring).[171]

This formulation provides a useful context in which a commercial party can operate in considering whether it needs to give consent. However, one situation when it will be unreasonable to refuse consent is where the party who has to give consent refuses to do so unless the other party has to comply with some condition which is not present in the agreement between the parties[172], although each case will turn on its own facts[173].

8.4.73 Term and determine

Sometimes the word 'term' is used to mean the duration of the contract, while 'determine' is used to mean 'terminate'. These are likely to be confusing to many non-lawyers. It is best not to use them in agreements (particularly as there are good, understandable alternatives, as noted here).

8.4.74 Territory

- ***Within the United Kingdom.*** A contract can apply to only part of a country (eg a sales agent being responsible for obtaining sales only in Wales). The

[171] *Porton Capital Technology Funds v 3M UK Holdings Ltd* [2011] EWHC 2895 (Comm), [228].
[172] *Crowther v Arbuthnot Latham & Co Ltd* [2018] EWHC 504 (Comm). In which case the parties should specify the conditions in their agreement.
[173] *Sequent Nominees Ltd (formerly Rotrust Nominees Ltd) v Hautford Ltd* [2019] UKSC 47, [22].

precise meaning of terms such as England, Great Britain or the United Kingdom might not be immediately obvious to an average business person who has not come across the issue before. The Interpretation Act 1978 defines various parts of the United Kingdom (although such meanings are not intended for use in contractual documents but does not define 'Great Britain')[174]. If they are used without further definition, it is likely a court will apply the statutory meanings[175]. The principal definitions are:

- United Kingdom: Great Britain and Northern Ireland[176];
- Great Britain: England, Wales and Scotland[177];
- England, consisting of a specific set of counties plus Greater London and the Isles of Scilly;
- Wales, consisting of a specific set of counties.

- ***Outside of the United Kingdom***. The issue of defining (and understanding the extent of) territory can also apply overseas. For example, the European Union is continually expanding and since the first edition of this book, the number of countries which are members has risen from 12 to 15, to 25, then 28 and is now back to 27 following the UK leaving the EU.

  Loose or imprecise definitions used in contracts may mean difficulties in interpreting the extent of any rights or obligations[178].

  For example, an agreement entered into in 1999 permitting a person to sell a product in a defined territory of the 'European Union' could in 2016 easily lead to arguments as to whether the person can now sell to only the 15 countries who were members in 1999 or the current number (27) in 2016[179]. Now that the UK has left the EU would an agreement entered into in 1999 allowing the sale of product in the EU still apply to

[174] The meanings noted here are intended to be used in other Acts, see the Interpretation Act 1978, s 22(1).

[175] See *Navigators and General Insurance Co v Ringrose* [1962] 1 All ER 97, CA, a case where 'United Kingdom' was interpreted in a commercial contract. The judge in this case indicated that assigning 'a meaning to a word in Acts of Parliament does not necessarily mean that it has that meaning in commercial documents. Nevertheless, it is of some guidance in ascertaining their true construction'. In this case it was found that there was no evidence that there was a special meaning by custom to be given to the words 'United Kingdom' in commercial documents relating to insurance or of any other nature other than that found in an earlier version of the Interpretation Act 1978 (or a passage in Halsbury's Laws based on the Act).

[176] Therefore the Channel Islands and the Isle of Man are not part of the United Kingdom, although both are part of the definition of British Isles in the Interpretation Act 1978.

[177] See Union with Scotland Act 1706, art 1 and Interpretation Act 1978, Sch 2, para 5(a).

[178] Some countries and regions are subject to political change and having their borders redefined. The former Yugoslavia and Czechoslovakia are just a couple of examples in recent times.

[179] Clear words in the agreement are desirable. Therefore a territory definition which is for the European Union might include wording to indicate whether it will be amended to allow for new members who join the EU after the date of the agreement.

the UK when the UK is no longer a member? It is possible to argue that the party would no longer be able to sell in the UK.

Even worse is to use vague words like 'Europe', 'America', etc where it is not possible to derive a commercially sound meaning, except by explicit definition in the agreement. While some territory definitions are unlikely to change (eg the 'United States of America' has had a settled meaning for over 60 years), there are other states (or particularly groupings of states) other than the EU whose membership changes from time to time, such as the European Economic Area, or the European Free Trade Association. If the agreement is to define territory based on such groups, the relevant membership needs to be checked. In addition, a prudent contract drafter should include wording as to what is to happen if there is a change in membership after the date of the agreement.

8.4.75 Time of the essence

An obligation which is of the essence means that where there is a breach of such a term this will give the party not in breach the right to terminate the agreement.

This right to terminate when a provision is of the essence will apply even if the breach is trivial or technical. Obligations such as making a payment or delivering something by a certain date are often made 'of the essence', particularly where one party has a stronger bargaining position.

For example, a party is under an obligation to pay a sum by 5pm on a Monday and it is expressed to be of the essence. That party would be in breach of the obligation if it made payment at 5:01:01pm and the party not in breach would have a right to terminate, even if the difference in timing of the payment of one second made no difference to the party not in breach[180].

Generally under English law a 'time of the essence' requirement is not implied into obligations[181]. However, time of the essence will be more readily implied in a mercantile contract[182] in appropriate circumstances, such as where there is a fixed date for undertaking an obligation or task and meeting

[180] It appears that a very trivial failure might not constitute a breach of a 'time of the essence' term but such a 'de minimis' exception is likely to be applicable in very narrow and limited circumstances. See also *Lombard North Central plc v European Skyjets Ltd (in liquidation) and another* [2020] EWHC 679 (QB), [44].

[181] For example, stipulation as to time of payment (Sales of Goods Act 1979, s 10(1)), other stipulations of time (s 10(2)), providing services within a reasonable time (Supply of Goods and Services Act 1982, s 14) and land (Law of Property Act 1925, s 41).

[182] A contract for the sale of goods, the sale of shares or a charterparty.

that date is essential[183]. For non-mercantile contracts time will generally not be of the essence unless the parties expressly stipulate that a condition must be strictly adhered to or the subject matter of the contract or its surrounding circumstances indicate that time is of the essence[184]. Often key commercial terms in contracts state:

- *time limits by when a party is to perform an obligation.* Whether such a time limit is of the essence will be a matter of interpretation in the event of a dispute, unless the parties to a contract state otherwise[185];
- *the time for a party to make a payment.* Such an obligation is deemed not to be of the essence, unless the parties agree otherwise[186].

Best practice is to specify in the contract what is to happen if a party fails to meet a time limit or make a payment on time.

Although a contract obligation may not be of the essence when the contract is made, it is possible for time to be made of the essence subsequently, if a party is subject to unreasonable delay, and that party then gives notice to the party in breach with the notice making time of the essence[187].

8.4.76 To the intent that

This is a very old-fashioned phrase, and is often confused with 'to the extent that'. It is sometimes used to introduce an explanation of the purpose of a provision. Its use in modern contracts is not recommended.

[183] See, eg, *Msas Global Logistics v Power Packaging Inc* [2003] EWHC 1393 (Ch), [2003] All ER (D) 211 (Jun), where a clause in an agreement concerning the time for completion of the sale of the entire share capital of a business was found to be of the essence. The key issues are the subject matter of the contract and/or the surrounding circumstances. If a product deteriorates almost immediately then it will be easier to work out whether time is of the essence. But if the goods are not of this type, then it will be difficult without clear wording in the agreement to make time of the essence. If it is not clear from the wording in the agreement then it will be for a court to work out the solution. The best course is clear wording, such as 'Time is to be of the essence in clause (no) of this agreement' and also separate wording to deal with the consequence of a failure of party under such an obligation (termination, and also outlining the financial consequences for the party not in default).

[184] See *United Scientific Holdings v Burnley Borough Council* [1978] AC 904. For recent examples where time was not held to be of the essence in non-mercantile cases: *Lancecrest Ltd v Asiwaju* [2005] EWCA Civ 117, [2005] 1 EGLR 40; *Allardyce v Roebuck* [2004] EWHC 1538 (Ch), [2004] 3 All ER 754.

[185] *Bunge Corp v Tradax Export SA* [1981] 1 WLR 711, 719; *Samarenko v Dawn Hill House Ltd* [2011] EWCA Civ 1445, [2013] Ch. 36, [9]. But '… it is essential that both buyer and seller … should know precisely what their obligations are, most especially because the ability of the seller to fulfil his obligation may well be totally dependent on punctual performance by the buyer': *Bunge Corpn v Tradax SA* [1981] 2 All ER 513, 542.

[186] Because of Sale of Goods Act 1979, s 10(1).

[187] *Hartley v Hyvmans* [1920] 3 KB 475; *Charles Rickards Ltd v Oppenheim* [1950] 1 KB 616, [1950] 1 All ER 420. Generally, the notice making time of the essence must allow the party in breach reasonable time to complete: *Green v Sevin* (1879) 13 ChD 589; *Crawford v Toogood* (1879) 13 ChD 153.

8.4.77 Unless the context requires otherwise

In definitions sections it is sometimes provided that the definitions set out below will apply 'unless the context requires otherwise'[188]. This reflects the practice in the definitions sections of some Acts of Parliament. These words provide a 'safety valve' in case the definition is inappropriate to the usage of a term in a particular clause. Even if not stated, this may be implied[189]. The courts have considered the effect of 'unless the context requires otherwise' type language in legislation[190] and in a company's articles of association[191].

8.4.78 Waiver

If one party is in breach of contract, the other party may choose to ignore the breach or take a long time to react to it. As a matter of general law, if a party who is not in breach wishes to terminate on account of the other party's breach, the party not in breach should do so without undue delay and certainly within a reasonable period of time. A failure to terminate an agreement or use one of the other remedies specified in an agreement in event of a breach can amount to a waiver. That is a party not in breach can no longer use those remedies in relation to the breach.

The purpose of waiver clauses generally is to state that failure to take action in respect of a current breach does not amount to a waiver of a party's rights to take action in respect of that current breach or subsequent breaches[192]. However, even with a waiver clause, a party which permits a contract to continue without terminating it may be taken to affirm it and may lose the right to terminate[193].

8.4.79 Whatsoever

See the comments on this word at **6.5.9**.

8.4.80 Without prejudice to the generality of the foregoing

This phrase generally introduces a specific obligation which may be thought unnecessary in the light of a more general obligation stated earlier. To avoid

[188] Although such wording need not be confined to the definitions clause.

[189] See *Meux v Jacobs* (1875) LR 7 HL 481 at 493, *Oxonica Energy Ltd v Neuftec Ltd* [2009] EWCA Civ 668, [101].

[190] *Beswick v Beswick* [1968] AC 58, HL. This case concerned the interpretation of the Law of Property Act 1925.

[191] *Guinness plc v Saunders* [1990] 2 AC 663, HL.

[192] It is possible, it appears, to distinguish between waiving a particular breach of a term and waiving the term, so in the latter case it is not possible to enforce any rights if there is a future breach of that term, see *Strategic Value Master Fund Ltd v Ideal Standard International Acquisition S.A.R.L* [2011] EWHC 171 (Ch), [2011]. It important, therefore, that any provision in an agreement (or any notice sent to the party in breach) does not indicate that there is a waiver of a term.

[193] See *Tele2 International Card Co SA v Post Office Ltd* [2009] EWCA Civ 9; *Force India Formula One Team Ltd v Etihad Airways PJSC* [2010] EWCA Civ 1051.

the general obligation being interpreted in a narrow sense in the light of the specific obligation (ie under the *ejusdem generis* rule at **6.5.18**) words such as 'without prejudice to the generality of the foregoing' are used. The meaning is similar to, but not quite the same as 'including without limitation'.

8.4.81 Without prejudice

The words 'without prejudice' when used in communications between parties has a different meaning to that given immediately above. Where there are negotiations to settle a dispute between parties and the phrase 'without prejudice' is used, then the contents of those negotiations will not normally be revealed to a court[194]. The 'without prejudice' privilege will cover both oral and written communications . An initial communication stated or marked to be 'without prejudice' will normally cover any subsequent oral or written communications, even if they are made or stated without the phrase 'without prejudice'[195].

[194] See Civil Procedure Rules 1998, r 2.2 and glossary. See *Cutts v Head* [1984] Ch 290 at 306: 'The rule applies to exclude all negotiations genuinely aimed at settlement whether oral or in writing from being given in evidence. A competent solicitor will always head any negotiating correspondence "without prejudice" to make clear beyond doubt that in the event of negotiations being unsuccessful they are not to be referred to at the subsequent trial. However, the application of the rule is not dependent upon the use of the phrase "without prejudice" and if it is clear from the surrounding circumstances that the parties were seeking to compromise the action, evidence of the content of those negotiations will, as a general rule, not be admissible at the trial and cannot be used to establish an admission or partial admission … the question has to be looked at more broadly and resolved by balancing two different public interests namely the public interest in promoting settlements and the public interest in full discovery between parties to litigation.' Approved in *Rush & Tompkins Ltd v Greater London Council* [1989] 1 AC 1280 at 1299. There are similar statements in *Unilever plc v Procter & Gamble Co* [2001] 1 All ER 783, [2000] 1 WLR 2436; *Bradford & Bingley v Rashid* [2006] UKHL 37, [24]; *Ofulue v Bossert* [2009] UKHL 16, [2009] AC 990 and most recently in *Oceanbulk Shipping and Trading SA v TMT Asia Ltd* [2010] UKSC 44, [2011] 1 All ER (Comm) 1.

[195] Although it is usual for correspondence to have the words 'without prejudice', the privilege may still apply if it is clear that the correspondence or other communication was made with the intention of settling a dispute. If it was held that where one letter is written with the words 'without prejudice', the 'without prejudice' privilege will cover all subsequent communications even though they do not have those words (until there is a clear break in the communications): see, eg, *India Rubber, Gutta Percha and Telegraph Works Ltd v Chapman* (1926) 20 BWCC 184, CA. On the later point see also *Unilever plc v Proctor & Gamble Co* [2000] FSR 344, CA, where it was held that a court should not 'dissect out identifiable admissions and withhold protection from the rest of without prejudice communications (except for a special reason), as this would not only create huge practical difficulties but would be contrary to the underlying objective of giving protection to the parties, in the words of Lord Griffiths in *Rush & Tompkins Ltd v Greater London Council* [1988] 3 All ER 737 at 740, [1989] AC 1280 at 1300: "to speak freely about all issues in the litigation both factual and legal when seeking compromise and, for the purpose of establishing a basis of compromise, admitting certain facts". Parties cannot speak freely at a without prejudice meeting if they must constantly monitor every sentence, with lawyers or patent agents sitting at their shoulders as minders.'

Communications which are not made for the purpose of settling a dispute will not have the 'without prejudice' privilege[196]. However, to engage the 'without prejudice' privilege there must be a real dispute and an attempt to resolve or compromise it[197].

For example:

- Party A agrees to sell some goods to Party B;
- Party B agrees to pay £100 for those goods;
- Party B does not pay for the goods;
- Party A writes a letter to Party B which states that Party A will accept £90 to settle the matter;
- If later Party B still does not pay and then Party A sues Party B for the price of the goods, £100, Party B could introduce the letter as evidence that Party A has gone back on its rights to claim £100.

However, if the letter is marked 'without prejudice' then the letter will not normally be admissible in any litigation and Party B will not be able to rely on its contents.

It is best to mark any correspondence (in whatever form) to negotiate the settlement of a dispute with the words 'without prejudice'.

One party may wish to write to another in the same document, about settling a dispute as well as about other matters (which that party does not mind being shown to a court if the dispute does result in litigation). Best practice is that these matters are separated out, so that the latter matters are put in a separate document (often called 'open' communication).

[196] *Standrin v Yenton Minster Homes Ltd* (1991) *Times*, 22 July, CA. There are some exceptions to the 'without prejudice' privilege: see *Unilever plc v Proctor & Gamble Co* [2000] FSR 344 at 353–354, CA for a list of some of them. The exceptions to the rule develop from case to case. Although most are fairly limited, new categories are added from time to time.

[197] *Bradford & Bingley v Rashid* [2006] UKHL 37, [86]: 'The existence of a dispute and of an attempt to compromise it are at the heart of the rule… The rules does not of course depend upon disputants already being engaged in litigation. But there must as a matter of law be a real dispute capable of settlement in the sense of compromise (rather than in the sense of simple payment or satisfaction).' There are exceptions to the 'without prejudice' privilege, which have been developed on a case-by-case basis. For example, if a party acknowledges a debt then the correspondence concerning the debt (such as discussions about repayment) will not be subject to it (see *Bradford & Bingley* ibid). However, other than specific exceptions or situations where it does not apply, it is only possible to reveal anything said or written during 'without prejudice' negotiations where a party can establish that there has been unambiguous impropriety by a party. It is not enough to establish that there is a good arguable case that impropriety has occurred.

Chapter 9

Termination[1]

9.1 Introduction

This book concerns the *negotiating* and *drafting* of contracts—with the focus on parties entering contracts (and the wording they will use)—rather than *terminating* them. But exiting a contract can involve negotiations and the drafting of legally binding documents between the parties, if one or all parties wish to terminate the agreement[2]. Where a party wishes to terminate an agreement[3] the parties will turn to the provisions in the agreement which concern or allow for termination. Rather than focusing on drafting or negotiation their attention will be on interpreting, understanding and implementing those provisions.

Some of the points that follow may seem obvious. But there are many reported cases where a party has failed to follow a termination procedure that is set out in the agreement exactly as specified. Perhaps the party considers the procedure a bureaucratic legalistic formality, and failure to follow the procedure causes neither party any prejudice. But that is not how the courts often see the issue. The classic instance is a failure to follow, precisely, the method specified in an agreement for sending a notice, so that even though the other party may have received, and be aware of the contents of, the notice, it is still not validly provided or effective[4].

The purpose of this chapter is to consider some of the practical issues which arise. Not only in considering and implementing the provisions of the agreement—but taking into account some of the other matters which a party should also consider, whether they relate to financial resources or availability of human and other resources or the amount of effort a party will need to devote to terminating an agreement (or after termination if litigation results or is contemplated).

This chapter can operate as a checklist of matters that a party should consider before terminating an agreement.

1 This chapter use clauses from Precedent 1 in the Appendix to this book.
2 For example, most formally, in a settlement agreement or less formally, by an exchange of emails or a letter which is signed by all the parties.
3 Or is threatened with termination or is having their agreement terminated by the other party.
4 See **5.11.1.1** and the cases cited there for how strictly the courts interpret notices clauses.

9.2 The first step

9.2.1 Looking at the agreement the parties signed

A first step will invariably be to look at the agreement between the parties, to see what it says about termination. Representatives of a party may not have looked at it since it was signed or for an extended period.

9.2.2 The provisions a party will need to examine

In most properly drafted agreements there will be three sets of provisions relating to termination which are particularly relevant[5]:

- A duration and termination clause.
- A notices clause.
- A law and jurisdiction clause.

Other terms may be relevant, and the entire agreement will need to be checked. Examples of other relevant terms may include:

- any provision which has a date by which a party has to carry out an obligation;
- any provision which specifies a consequence if an obligation is not carried out, such as:
    - o if it is 'of the essence' or that 'time is of the essence'[6];
    - o if there is a force majeure clause that allows termination if the force majeure event continues for a lengthy period;
    - o if there are statements that a failure to carry out the obligation (either on one occasion or more than once) will entitle the party to terminate.
- any provision which does not permit a party to terminate an agreement when the party wishes to do so or believes it has to.

For example, a payment provision such as Clause 4.1 in Precedent 1 requires payment of the sums within 30 days, but does not specify the consequences of a failure to do so. However, if the provisions stated that a payment was to be made in 30 days and the obligation was of the essence or that time was of the essence then any failure (even one second after the end of the 30-day period) would be sufficient to entitle a party to terminate on a failure to pay[7].

[5] See Precedent 1 in the Appendix for examples of these clauses.
[6] See **8.4.75** for the meaning of 'time of the essence' obligations
[7] Given the wording in Clause 7(2)(b) of Precedent 1, the party would then need to go on to consider whether the failure to pay was so serious that it was not capable of remedy (ie whether it could terminate the agreement giving a short notice or no notice period at all).

If the payment provision is as worded as in Clause 4.1, and there is a failure to pay within 30 days but the due amount is paid shortly afterwards (or within a week or two), this may not be enough to count as a material or substantial breach, depending on the context and other provisions of the agreement[8].

There may be other provisions which do not allow a party to terminate—such as provisions first requiring:

- the parties (or senior representatives of each party) engaging in negotiations or mediation; as well as
- certain or all disputes to be referred to arbitration.

9.3 What is to come

Where there is an issue or problem with performing an agreement and either party wishes to terminate the agreement, it is necessary to look beyond the practicalities of termination, and to look at what might happen subsequently. That is, either party might wish to commence litigation.

9.3.1 Disclosure and inspection of documents

Once a party has taken the formal steps to commence litigation, each party will become subject to court rules about disclosing[9] documents they have and allowing for their inspection[10]. A party has a duty to make a reasonable search[11] for documents (which has an extended and wide encompassing meaning)[12] under its control[13]. A party needs to disclose:

> '(a) the documents on which he relies; and

[8] Particularly, for example, if the amount of the payment is small, or any previous payments have been made by the other party on time or some or most of the payment has in fact been paid.

[9] Civil Procedure Rules, Pt 31, r 31.2: 'A party discloses a document by stating that the document exists or has existed'.

[10] Civil Procedure Rules, Pt 31, r 31.3.

[11] Civil Procedure Rules, Pt 31, r 31.7.

[12] Civil Procedure Rules, Pt 31, r 31.4, with document meaning: 'anything in which information of any description is recorded'. See also Practice Direction 31A, para 2A: 'Rule 31.4 contains a broad definition of a document. This extends to electronic documents, including e-mail and other electronic communications, word processed documents and databases. In addition to documents that are readily accessible from computer systems and other electronic devices and media, the definition covers those documents that are stored on servers and back-up systems and electronic documents that have been "deleted". It also extends to additional information stored and associated with electronic documents known as metadata.' There are further requirements set out in Practice Direction 31B which has the purpose of encouraging and assisting 'parties to reach agreement in relation to the disclosure of Electronic Documents in a proportionate and cost-effective manner'.

[13] Civil Procedure Rules, Pt 31, r 31.8. Control means: '(2) For this purpose a party has or has had a document in his control if –(a) it is or was in his physical possession; (b) he has or has had a right to possession of it; or (c) he has or has had a right to inspect or take copies of it.'

(b) the documents which–

(i) adversely affect his own case;

(ii) adversely affect another party's case; or

(iii) support another party's case; and

(c) the documents which he is required to disclose by a relevant practice direction'[14].

9.3.2 Preservation of documents

In addition, if a party is contemplating litigation, it has a duty to preserve disclosable documents[15]. The keyword here is 'contemplating', which could cover a period well before a party decides to terminate an agreement if it foresees, based on the facts of the case, that litigation is likely to result. Given that much documentation is now held in an electronic format, a party will have to consider how the applications and third party services it uses retain or delete documents. For example, any versions of documents or routine emails that have been deleted, but which may exist on backups, may after a period be automatically deleted by a backup application the party uses.

Obtaining and considering all the available documentation and evidence which arise during the life of an agreement is likely to involve many hours of work—whether by a party who wishes to terminate an agreement or a party who is facing a threat of termination.

[14] Civil Procedure Rules, Pt 31, r 31.6.

[15] Practice Direction 31B, para 7: 'As soon as litigation is contemplated, the parties' legal representatives must notify their clients of the need to preserve disclosable documents. The documents to be preserved include Electronic Documents which would otherwise be deleted in accordance with a document retention policy or otherwise deleted in the ordinary course of business.' For cases which are to be tried in the Business and Property Courts (the courts more likely hear cases which are the focus of this book, that is Chancery Division of the High Court, the Commercial Court, the Technology and Construction Court, etc) there is also specific obligation to preserve evidence, see Practice Direction 57AD, para 3.1: 'A person who knows that it is or may become a party to proceedings that have been commenced or who knows that it may become a party to proceedings that may be commenced is under the following duties ("the Disclosure Duties") to the court—(1) to take reasonable steps to preserve documents in its control that may be relevant to any issue in the proceedings'. For such cases there are also obligations on the legal representative of a party (at Practice Direction 57AD, para 3.2) well as further requirements concerning the preservation of evidence including (at Practice Direction 57AD, paras 4.1 and 4.2): '4.1 Documents to be preserved in accordance with the duties under paragraphs 3.1(1) and 3.2(1) above include documents which might otherwise be deleted or destroyed in accordance with a document retention policy or in the ordinary course of business. Preservation includes, in suitable cases, making copies of sources and documents and storing them. 4.2(1) The duty under paragraph 3.1(1) and 3.2(1) includes—(1) an obligation to suspend relevant document deletion or destruction processes for the duration of the proceedings … (3) an obligation to take reasonable steps so that agents or third parties who may hold documents on the party's behalf do not delete or destroy documents that may be relevant to an issue in the proceedings.'

9.3.3 *Effort and timescale*

As well as preserving documents, a party litigating in the UK courts is likely to have to devote substantial resources to:

- internal meetings;
- meetings with its lawyers;
- preparing documents for use in the litigation;
- reviewing documents prepared by its lawyers;
- reviewing and commenting on documents prepared by the other party's lawyers, etc.

This will take place over many months, if not years. Such effort will be a major drain on the resources of a party and is likely to distract representatives (at many levels) of a party from running their company or organisation.

Related to these factors is the fact that litigation is not a quick way to resolve matters. In the UK at least, it is taking over a year before the parties' case will be tried by a court for larger claims and a year for smaller claims[16].

The practical issue a party will need to consider is: are they prepared for (and can they afford) the consequences that may arise from terminating an agreement?

9.4 Issues from the provisions of the agreement

Consider the termination provision (Clause 7) and notice provision (Clause 8.8) in Precedent 1. In summary they provide:

(1) the agreement continues until the parties have fulfilled all their obligations[17];

(2) early termination can occur in the following circumstances:

(i) at any time, on 90 days' notice in writing[18];

[16] At the time this chapter was prepared (December 2022), the UK Ministry of Justice published these figures in its statistics report for the County Court (https://www.gov.uk/government/statistics/civil-justice-statistics-quarterly-july-to-september-2022). This does not provide figures for the more senior courts in the UK (the High Court, etc) which would try more important, complex cases or those where even larger amounts are claimed or are at stake than in the County Court. Getting a case to court is only part of the picture. If a party is successful in litigation, it may need to devote further substantial time and resources if the other party fails to comply with an order, or if it faces an appeal against a judge's decision.

[17] There are many different possibilities for such a provision—including that the agreement is for a fixed period, for a specific period of time, or when certain targets or milestones are achieved by one or more of the parties.

[18] Ibid.

(ii) if there is a material or substantial breach:

(a) on such period of notice as specified in the notice if the breach is not capable of being remedied (that is the party giving the notice specifies the length of notice); or

(b) on 30 days' notice if the breach is capable of remedy and is not remedied within the 30 days period; or

(iii) on such period of notice as specified in the notice if a party is insolvent, etc;

(3) a notice has to be given in writing and sent by:

(i) first class mail or air mail; or

(ii) by email (confirmed by mail);

(4) a notice sent is deemed to be received:

(i) in three working days (mail) or seven working days (air mail);

(ii) by the next working day (email).

Some specific points from the provisions are considered below.

9.4.1 Communication

The typical modern notices clause will typically provide that any notice must be in writing, and:

- that a party can send the notice either by email or the use of the post; and
- using an email address and physical address[19] of the party.

Although not onerous obligations in themselves, a party who wishes to send a notice normally has to comply precisely with them for the notice to be effective[20]. For example, if the notices clause states that a notice:

- must be sent by first class mail or recorded delivery mail, but a party uses second class mail or just the ordinary postal service; or
- must be sent for the attention of the chief finance officer but a party sends the notice for the attention of the chief executive officer; or
- if sent by post it must be sent to the address stated or referred to in the notices clause but is sent to another address; or

[19] The physical address can be set out in the notice clause or by reference to the parties clause at the beginning of the agreement.

[20] Assuming that the contents of the notice contains the correct information as specified in the provisions of the agreement.

- if sent by email it must be confirmed by post but is not confirmed by that method,

then a failure to comply with any of these requirements *may* make the notice not effective, even though the party receiving the notice is aware of the contents[21].

9.4.2 Time periods

9.4.2.1 Calculating time periods in termination provisions

This chapter principally concerns the termination of an agreement. But it may be necessary to state time periods in situations other than when a party wishes to terminate an agreement. For example[22]:

- how long a party has to fulfil or carry out an obligation;
- by when a party has to pay one or more sums under an agreement;
- by when a party has to give notice to exercise a right or obtain a benefit under an agreement (such as a right to extend the length of an agreement or obtain a licence).

The same method of calculating time periods will apply in all of these situations.

The clause concerning termination will usually state a time period when a party can terminate the agreement in particular circumstances (as Clause 7.2 in Precedent 1 indicates).

If a party calculates a time period incorrectly, there is a risk that it will terminate the agreement wrongly, or give the wrong period of notice, and that such action will be judged ineffective by a court.

It is possible to give a few general pointers[23]:

- the date of the notice is normally excluded in calculating the time period. For example, if a party has to give 30 days' notice to terminate and it issues a notice on 1 February 2023, then the 30 day period starts from and including 2 February 2023, and the party would need to count 30 days from and including 2 February 2023; that is 3 March 2023;
- if the notice period is expressed in months then there is the 'corresponding date rule', which normally means the notice period ends on the corresponding date in the appropriate subsequent month. For example:

[21] See **5.11.1** and **9.1**.

[22] A failure to meet the dates in the first two bullet points may not give a right to terminate an agreement (unless there is other wording in an agreement making these time periods of the essence). For the third bullet point, it will depend on the precise wording of the obligation. See **2.9** and **8.4.75**.

[23] See **8.3.1** for further details.

if the notice is dated 1 February 2023 and with a notice period of three months, the notice would expire on 1 May 2023 (with 1 February 2023 not counting in the calculation)[24].

These will depend, obviously, on the precise wording of the provision in the termination clause.

9.4.2.2 Where the party can decide on the period of time when an agreement will terminate

Clause 7 in Precedent 1 allows the party sending the notice to decide on the period of the notice where the other party is in material or substantial breach but the breach is not capable of remedy or is insolvent. The same points about calculating time as in **9.4.2.1** and **9.4.2.3** equally apply to such party-specified time periods.

9.4.2.3 Time periods in notice clauses

Notices clauses also typically indicate when the notice is deemed to be received. There can be several purposes for including such a 'deeming' provision, such as:

- preventing the receiving party arguing it has never received the notice, when in fact it has;
- allowing the sending party to know with certainty when its notice takes effect; and
- not having to rely on the vagaries of:
    - electronic communication (such as a notice sent by email being put into the recipient's junk folder or the addressee of the communication leaving and their email address being deleted); or
    - postal mail being lost by the postal service or the recipient working from a serviced office block and the company operating the office block not dealing with physical mail in a timely fashion[25].

For example, a notices clause might say:

- a notice sent by email is typically assumed delivered either:
    - the same day (if sent before a certain time on a working day); or
    - the next working day (regardless of the time it is sent)[26];

[24] There are a few variations for notices which are expressed in months where, for example, a notice is dated on the last day of a month (30 or 31). See **8.3** for further details.

[25] Or more prosaically, if there is a postal strike, the delivery of the notice being subject to delay in delivery as the postal service has a backlog of post to deliver.

[26] In Precedent 1 a notice by email also needs to be confirmed by a letter sent through the postal mail.

- a notice sent by mail is assumed delivered:
  - three working days after posting if sent by ordinary mail; or
  - by the next working day if sent by Royal Mail Special Delivery (if posted in the UK to an UK address); and
  - seven working days after posting if sent overseas.

Given the predominance of email, it is likely most notices will be sent by that method, so a notice deemed received the next working day is unlikely to impose any substantial delay. However, if a party wishes to terminate immediately an agreement[27] and purports to do so without consulting the notices provision, it could find that the termination was not considered effective by a court.

Some agreements permit the delivery of notices by hand—and the notice typically becomes effective as soon as it is handed over. For such a method there are different considerations than timing. For example, unless the notices agreement spells out the meaning of personal delivery in detail, will delivery require handing over the notice to a specific person or is it sufficient to leave it at the other party's reception[28]? If the agreement permits or requires this method of delivery, then before using the method the sending party may need to carry out some investigations on how and when it can deliver the notice.

9.4.3 The contents of the notice

A typical provision concerning termination for breach in an agreement will often require a party to specify the breach. A party wishing to terminate should state clearly that it wishes to terminate the agreement and the reason(s) for terminating. The contents of a notice to terminate should contain the following matters, where relevant:

- that there is an agreement between the parties;
- that the party wishes to terminate the agreement;
- the obligation the other party is under;
- the clause number which contains the obligation[29];

[27] Assuming there is a provision which permits immediate termination of an agreement.

[28] Some organisations work out of serviced or leased offices (such as WeWork) and the person delivering the notice may not get past the main reception serving all the user/tenants of a building. Would leaving the notice at that reception count as good delivery?

[29] In more complex or extensive agreements, a party can be subject to several sets of obligations, all detailed over several clauses. For example, a client may require a consultant to provide a set of services which are closely linked but different. Each might come with their own requirements as to timings, outcomes, etc. If the consultant has breached one of them but the notice of termination does not identify which obligation and the clause (number) in which it appears then it is possible a judge might find the notice to terminate not effective, as the consultant might not know specifically how they have allegedly breached the agreement.

- how, at least in summary, the other party has failed to meet that obligation;
- if necessary, setting specific details of the breach(es);
- stating the other party is in material or substantial breach;
- stating the notice period being provided and under which provision of the termination clause the notice is provided;
- if the breach is capable of remedy, stating that the other party is required to remedy the breach and when; and
- stating what is to happen at the end of the notice period (whether the agreement is to terminate automatically).

Concerning Clauses 7.2(b) and 7.2(b)(1) in Precedent 1 it is necessary to pay close attention to the wording. It is possible to interpret the wording in Clause 7.2(b)(1) that where a material or substantial breach is committed which is not capable of remedy it is not necessary for the party sending the notice to specify the breach. Only where the breach is capable of remedy will the party sending the notice need to specify the breach (and require it to be remedied). However, it is suggested that specific details of the breach should be set out in the notice in all cases, to avoid a court holding that the notice sent by a party was not specific or detailed enough for the other party to be able to fully understand the nature of the first party's decision to terminate.

9.4.4 The quality of the breach

The wording in the example precedent indicates that a party can only terminate early if the other party commits a material or substantial breach of the agreement[30]. The converse will be that if the breach is non-substantial or non-material, then a party cannot terminate for that breach. The purpose of such wording is to prevent a party terminating an agreement for a minor breach by the other party. The use of the words such as 'material' or 'substantial' calls for the party who wishes to terminate to use their judgement, or make a value judgement about what the other party has, or has not, done. They then will have to try to distinguish between what is material or substantial and what is not material or substantial. There is a substantial body of case law on the meaning of 'material' and 'substantial'[31]. A party who is uncertain as to whether the facts of the situation they face falls within such a category should obtain legal advice, particularly if the other provisions of the agreement fail to specify whether the exact circumstance(s) turn a failure to meet an

[30] Aside from the provision in the precedent which permits a party to terminate for any reason on 90 days' notice—not all agreements will permit this.

[31] See **8.4.47** for consideration of some of the cases on the meaning of these words in a contractual provision (including what can amount to 'substantial' where figures are involved). There is also a more detailed discussion of the meaning of these words in a practical context in the authors' *A-Z Guides to Boilerplate and Commercial Clauses* (Bloomsbury Professional Publishing, 4th edn, 2017) in the section on Termination for Breach.

obligation from a non-material or non-substantial breach into a material or substantial one.

9.4.5 What happens at the end of a notice period?

The example wording in Clause 7 in Precedent 1 in the Appendix provides three different situations when a party can terminate the agreement:

(1) In the first, where a party terminates on 90 days' notice—does the agreement automatically terminate or does the party who issued the notice have to send a further notice indicating that the agreement is terminated?

(2) In the second, that the party terminates because the other is in material or substantial breach but the breach is not capable of remedy—again there is the same question that needs consideration.

(3) In the third the provision clearly indicates that 'the agreement shall terminate automatically without further notice to the Other Party'.

In situations (1) and (2) the party sending the notice may wish:

- to add wording in its notice clearly indicating that the agreement is terminated at the end of the notice period without further notice to the other party; or alternatively
- at the end of the notice period send a further notice stating that the agreement is now terminated.

9.4.6 Law and jurisdiction

This provision is perhaps less likely to cause issues where the parties are both in the UK and the law is that of England and Wales and the courts of England and Wales have exclusive jurisdiction over any dispute. However, a party will almost certainly need to obtain legal advice where[32]:

- the other party is located outside of the UK. It will be necessary for the party to consider the detailed requirements to serve court documents in such a case;
- the law and jurisdiction clause provides:
    - o for a law other than that of England and Wales; or
    - o that the courts of another country can have jurisdiction over any dispute.

For example, if the other party is not located in the UK, and it is necessary to make a claim in another country or to try to enforce a court order in that

[32] See **5.12** and **8.4.45**.

country, this can add substantially to the time it takes to resolve a dispute and the costs involved.

Some or all of the above issues can be addressed if the defendants' solicitors state that they are willing to accept service on their client's behalf. Whether they are willing may depend on the attitude of their client; many organisations will not want to waste time in attempts to avoid valid service.

9.5 Gathering the evidence

9.5.1 Finding out what's been going on …

If a party wishes to terminate an agreement because the other party is in breach (or it is threatened with termination) besides looking at the provisions of the agreement it should also gather together records, documents and correspondence relating to the agreement. There are a number of reasons why a party should carry out such an exercise:

- (obviously) to see what has occurred during the duration of the agreement;
- (obviously) to determine:
    - *if the other party is in breach*: whether there are in fact sufficient reasons to terminate an agreement:
    - *If the party is alleged by other the party to be in breach*: to determine whether it is in breach at all, or if the breach is sufficient to allow the other party to terminate; but also
- to gather the necessary information and documents which a party may need to disclose and preserve if the party is involved in litigation[33].

In some situations it may appear to be obvious that a party is in breach of its obligations—for example, in a software development agreement if the software developer fails to produce software which is in accordance with a specification by a deadline for delivery set out the agreement—then, depending on the provisions of the agreement, this may be a sufficiently serious breach to allow the customer to terminate. This may be the view of the directors or senior management when the matter comes to their attention. In coming to this view, they may not feel they need to examine all the records, documents and correspondence generated during the life of the agreement.

But a different picture may emerge once they do so. If the software development takes place over several months there may be an extensive set of communications between the person responsible at the client (the Project Leader) for liaising or working on the development of the software with the

[33] See **9.3** above.

software developer. The Project Leader may have communicated through text messages or WhatsApp chats. Such documentation may reveal:

- that the Project Leader was made aware by the software developer that the software developer was having difficulty in meeting the agreed specification; and
- the software developer requested, on several occasions, more time to do so; and
- the Project Leader, also on several occasions, extended the deadline for delivery.

Where the Project Leader agrees to several extensions of time through text messages or WhatsApp chats, if such information is only recorded on their mobile phone it may not come to the attention of the directors or senior management immediately. The Project Leader may think that it is just normal to extend deadlines informally and that there are no consequences for doing so and choose not to inform the directors or senior management (particularly if they have never seen the agreement[34]). A decision by the directors or senior managers to terminate without reviewing the documentation could mean that what was agreed by the Project Leader has undermined the basis of termination or the client's chances of success if litigation is commenced but the communications only come to light as part of the discovery process or during a trial.

9.5.2 Records, documents and correspondence in control of a party

Besides the agreement a party should seek out relevant documents. The party's lawyers will advise on what is required in any particular case, but it is likely to include the following:

- any schedules, annexes, etc to the agreement;
- any subsequent agreements or written understandings which vary the provisions of the agreement;
- the record showing the payments made or received including copies of any invoices, statements or receipts[35];

[34] The agreement in Precedent 1 (at Clause 8.4) aims to prevent the party from losing the right to terminate the agreement because of the actions of the person agreeing to the extensions. But such a clause may not always be effective, see **8.4.78**. More practically, Clause 8.4 is a classic piece of 'boilerplate' which may not be drawn to their attention even if they saw the agreement. And even if they had they may have only read the provisions relating to the obligations directly concerning them.

[35] This may be useful even if the reason for termination is not related to whether a party has made a payment at all or on time. It helps to build up a picture of the history of the agreement and its operation and avoids any future arguments by the other party that a payment has not been made or received or paid late.

- documents generated by a party in performing its obligations under the agreement[36];
- copies of any reports or notes:
  - prepared by or for the party; or
  - which the party has received from the other party;
- a list of all the persons (whether employees or contractors) involved in carrying out the main obligations of the agreement[37];
- board minutes or decisions of the director which concern the agreement;
- all correspondence such as:
  - emails and letters to and from the other party;
  - emails and letters to and from relevant third parties;
  - text messages and WhatsApp chats which employees of a party have had with the other party;
  - recordings of any Zoom or Teams meetings;
- lists of meetings and calls recorded in a calendar app.

In addition, a party may wish to consider a chronology or diary detailing all the events, meetings and conversations (occurring from initial contact through to signing the agreement) and the performance of the obligations until the grounds calling for termination occurred. This can help all representatives of a party (and their lawyers and other professionals) more easily understand what are the key facts and documents[38].

[36] It is hard to be specific regarding the types of document that will fall into this category, as this will depend on the type of agreement. For example, if a party is an engineering consultancy and is asked to test some equipment belonging to the other party and whether it conforms to some criteria, the consultant may need to (in running tests, etc) enter data into a spreadsheet. Or if a human resource consultant is asked to evaluate a number of employees for another party, the consultant may have a checklist of questions, etc and spaces for the answers. These may be the type of operational documents covered by this category.

[37] Who this might include will depend, obviously, on the agreement between the parties. But to take the example of the development of software, for the customer this might involve the employees involved in testing the new software and the project lead person responsible for managing the relationship with the software developer. The list could also extend to third parties, such as another supplier of software to the customer which the customer needs to operate or integrate with the new software or a supplier of computer equipment.

[38] It is possible to use software to help with the task of documenting and visualising the life of an agreement, such as timeline or mind mapping applications. Two cross-platform examples are Aeon Timeline (https://timeline.app) and iThoughts (https://www.toketaware.com), although there are plenty more available. Whatever method is used, with modern software it is possible to create hyperlinks to the documentation listed in this section.

9.5.3 Records, documents and correspondence in the control of the other party

With the use of modern digital and electronic methods of communication and storage some records, documents and correspondence generated during the life of an agreement may be in the hands or control of the other party. For example, a party:

- may be granted access to a shared DropBox (or similar services) folder on the other party's account;
- may communicate over a Slack channel under the control of the other party[39];
- may have access to a GitHub account (or similar service) of the other party if the other party is a software developer and stores code and other related documents there[40].

If one party issues a notice to terminate, once it is received by the other party the other party might simply turn off access to these accounts. The first party will then lose access to records, documents and correspondence which might support its case or which it otherwise does not have in its records[41]. In the case of software development, if the software developer turns off access to their GitHub account, the customer will not be able to access the code to which it would be entitled under the provisions of the agreement (even though the agreement may provide that the customer is to own the copyright and other intellectual property rights in the code). If the customer has decided to terminate, a substantial period of time could pass before the software developer is required to allow access to the code or to hand it over.

9.6 Contacting the insurers

If a party believes the other party to be in breach (or is itself accused of being in breach) it should also consider whether it needs to inform its insurer. A party can have a number of types of insurance policy, covering such matters as providing legal expenses cover and indemnity cover, etc. Such policies typically require the insured party to notify the insurer either within a specified amount of time or as soon as possible after an event occurs. A failure to do so could mean a claim, that would otherwise be covered by an insurance policy, being denied.

[39] A popular communication and messaging application, especially with newer technology companies. See https://slack.com/intl/en-gb/

[40] A web-based service to allow software developers to keep and manage their code as well as tracking changes and bugs. See https://github.com. There are other companies which provide such services.

[41] If it has chosen not to make copies or does not have up to date copies.

Chapter 10

Techniques for checking contracts before signing them[1]

10.1 Introduction

This chapter concerns the period from the end of drafting and negotiating an agreement to the point when the parties sign it. It covers the practical steps that the contract drafter can take:

- to minimise or remove any mistakes, inconsistencies and errors left in the agreement; and
- to identify any omissions.

As with any important document, a contract should be checked before the parties sign it. A common problem is having the time and the people to do so.

For those involved in the production of large numbers of routine contracts, having a checking procedure built in can be part of the process of dealing with such documents. Sometimes only a few provisions may change (eg where there is a schedule of variations to a form agreement), and consequently, the amount to be checked is reduced[2].

For larger, bespoke contracts, or where negotiations carry on right up to the deadline for signing, the time necessary to check an agreement thoroughly may simply not be available. A related issue is that with more complex transactions, there may be a main agreement or several agreements, together with schedules and other documents. Different people may be working on

[1] This chapter is intended to be entirely practical. Some of the ways of checking, cleaning up or changing documents involve steps to follow in a word processing program. Microsoft Word is chosen, primarily because it is the most widely-used word processing software. In October 2022 the most current versions were versions 16.69 (Apple Mac) and Version 2211 Build 15831.20208 (for Windows) and are used as the basis for the examples (although earlier versions have most of the capabilities described). The steps involved for some of the examples are illustrated via the use of keystrokes. Where there is the instruction for: *Windows*: 'Alt', press down that key and release it; *Apple Mac:* 'Command' press down the key usually together with another key. All other major word processing programs can carry out most (if not all) of the functions described, including (Windows only) WordPerfect, (Apple Mac and Windows) LibreOffice and (Apple Mac only), Pages, Nisus Writer Pro.

[2] In such cases, often the terms and conditions of an agreement are fixed and only deal-specific information, such as the name of the other party, stated quantities of specific products, etc, is required.

each document. In such a situation perhaps no one, in the time pressure of getting a deal done, goes through all of the documentation to check that all of it accurately reflects the deal the parties or one of the parties wishes to enter or that there is consistency among the documentation.

There is no easy answer, and sometimes there is no answer, to the types of problems described above. Part of the purpose of this chapter is to provide not only suggestions as to the checking that needs to take place, but also to make readers aware of potential issues to enable them to decide where to focus their efforts.

It is possible to divide the checks required in an agreement into three broad categories:

- ***factual information***—correct:
    - o parties named;
    - o pricing;
    - o details of what a party is supplying under a contract (such as accurate description of products, correct reference or serial numbers, etc);
    - o start and end dates;
    - o periods for performing obligations; and
    - o address and contact details for notices.
- ***proofing and formatting***—including:
    - o cross-references pointing to the right places;
    - o definitions correctly applied (ie use of capitals);
    - o removal of metadata;
    - o removal of version/draft data;
    - o making sure the right changes/amendments are applied;
    - o checking for typos.
- ***commercial issues***—that the agreement as a whole correctly expresses the commercial intentions of the parties rather than being a series of individually negotiated and drafted clauses.

This chapter covers these three areas, as well as dealing with:

- a 'top-ten' list of priorities that a contract drafter should always check, even if pushed for time;
- some common sense suggestions for helping with the process of checking agreements;
- some issues with using Microsoft Word's revision marks function (track changes).

10.1.1 Obviousness and a step back in time

Some of what follows may seem obvious or lead to the response 'Of course I know I have to do this'. However, in a pressured environment, sometimes obvious things are missed. Perhaps revisions were just assumed to be right all along, or they were correct the last time they were checked.

Readers may wish to consider having a 'standard operating procedure' or policy, part of which includes a list of items that need to be checked before a contract is signed. Checklists can be useful in eliminating obvious mistakes and reducing the likelihood that items are overlooked[3].

The use of computer technology to write, amend and exchange agreements has resulted in a reduction in the number of people involved in the drafting, checking and preparation of an agreement. Before everyone had personal computers (and virtually instant communications with others), the method of preparing an agreement was much more time (and people) consuming:

- the contract drafter would prepare a draft (whether in writing or by dictation);
- the secretarial staff would type the draft;
- after typing the draft agreement the secretarial staff would return it to the contract drafter for the contract drafter to check;
- the contract drafter would then send the draft agreement to their manager for approval;
- there might possibly be several iterations of the above procedures before the other party to the transaction even received the draft agreement.

Now, with the exception of the first step (obviously with the contract drafter typing the agreement, or amending an existing agreement), these steps are often omitted.

10.2 The top ten essential things to do (when you are right up against a deadline)

If negotiations have run right up to a deadline, there may not be the time, or the (human) resources, to carry out a full review of an agreement. Even with limited time available it is still possible to check essential parts of an

[3] For example, the World Health Organization developed a checklist for use in medical surgery, part of which includes getting the patient to confirm their identity and consent prior to commencing the surgery. This might be rather an obvious thing to do but the introduction of a checklist in operating theatres has reduced the number of errors (eg basic errors, such as not checking the identity of the patient, and therefore avoiding operating on the wrong person). See https://www.who.int/teams/integrated-health-services/patient-safety/research/safe-surgery.

agreement; ie those parts of an agreement where errors most often occur or remain or where matters are overlooked[4]:

(1) Are the right companies/persons made parties to the agreement?

(2) Are the start and end dates correct for the agreement and for any rights and obligations in the agreement?

(3) Are the price and other payment provisions (timing and method of payment) correctly stated?

(4) Does the notices clause contain the right contact details and persons for each party?

(5) Does there remain any reference in the agreement to it being a draft, subject to contract or having a version number?[5]

(6) Do all cross-references to other clauses, schedules, documents, etc point to their correct destinations?

(7) Does there remain any metadata?[6]

(8) Are all documents referred to in the agreement (such as schedules, other agreements due for execution at the same time, etc) available?

(9) Has each party obtained any approvals or made any decisions necessary to sign the agreement (such as a board resolution approving the entering into a transaction or to approve the signing of the agreement or other agreements)?[7]

(10) Will the person for each party who is to sign the agreement be available to sign at the right time[8] and if a party is using any particular form of

[4] These ten points are the authors' selection as to what is most important to check. It is possible to create a very (hopefully not completely) different selection depending on what is important to a client or the particular deal.

[5] This information is often included in a header or footer.

[6] Most agreements which go through one or more rounds often use a word processing feature (either built in or as an add-on) to indicate what changes are made.

[7] In some companies approval by the directors is not sufficient. It may be necessary to obtain the approval or consent of others, such as shareholders or organisations which have lent money to the company. For example, a company which is a subsidiary of another, may need to obtain approval from the parent. Or because of a shareholders' agreement, a shareholder may need to provide approval before particular or significant transactions are entered into. A further possibility, if the company has received funds, loans or investment from a bank, finance house or venture capitalist, is that their approval may be necessary for any significant transactions.

[8] In some organisations, agreements of particular types can only be signed by certain persons. Beyond mere authority to sign, some organisations also require a particular procedure to be followed before the right person will/can sign. For example, when an agreement is ready for signature, there may be a requirement that a 'signing note' is prepared, outlining the main commercial points, how the draft agreement accords (or not) with the standard template the organisation has, and so on.

technology to sign, is it set up, available and tested for that person to use it?[9]

10.3 Things to do when there is time

If there are no significant time restrictions on checking an agreement, then the contract drafter (and the parties to a transaction) should consider carrying out a fuller review of an agreement.

To check an agreement 'properly', particularly in the case of longer agreements, can take many hours and may involve many people. What follows are suggestions (with explanatory comments) of what it is possible to check in an agreement; of course, not all points will be relevant for every agreement.

10.3.1 Process steps

Here are some practical steps to help with the process of checking an agreement:

- **Preparation:** Before starting to read draw up a list of key issues which need checking. Gather together (either on paper or in a computer folder) all the relevant documents relating to the negotiations and preparations for entering into the agreement (including saving emails to file)[10].
- **Improve screen viewing experience:** Do you want to read the agreement on screen? If so:

[9] For example, if using signing technology such as DocuSign or Abode Sign, does the party have an account, or more basically, does the person signing know how to use such technology or have access to it? For example, after a long series of negotiations, an agreement is ready to sign late in an evening, and the person to sign finds that they cannot access or use the signing technology (such as not being installed on the person's computer). The company's computer support personnel or external computer support company may only work during normal office hours.

[10] Nowadays, such information is also found in text messages, WhatsApp messages and voicemail messages left on mobile phones, which it is possible to extract. Such messages sometimes contain key commercial information or points of agreement. For example, if the parties were discussing the price that one party should pay for the goods of another, the senior executives might negotiate over the phone, with one executive agreeing to communicate their decision on the other party's proposal at a later stage. That executive might communicate their decision via a text or WhatsApp message in the minute or two available between meetings, as the quickest way of doing so. It might be the only permanent record of what was agreed as to the price. Having a more tangible record of that decision may be important in the event of a dispute later on. It will be necessary to use extra software to save the messages as files (such as text files or pdfs). For example, iMazing (https://imazing.com, running on both Apple Mac and Windows machines) is one app that can do this. Otherwise, it will be necessary to create a series of screenshots for each page of a message.

  - use the zoom function to make the text bigger or use other reading aids available in modern word processors[11];
  - do you work in a room/office with poor overhead lighting/fluorescent lighting, or does the screen you are using face a window? All of these will tire your eyes and reduce your concentration.

- **Use another medium:** Print the agreement out on paper (old-fashioned nowadays, but looking at an agreement in another medium can sometimes help when checking it)[12].
- **Break the task up into small parts:** Whether you read onscreen or on paper, do not read the agreement (or have it read aloud) from the start to finish, but either:
  - read it in small sections (with intervals in between); or
  - select a logical section of provisions and read only those at any one time (eg payment provisions, termination provisions, etc); or
  - start reading from the end of agreement to the beginning (ie based on the premise that if conventionally you always start at the beginning, by the time you get to the end, your concentration may be less, and the end of the agreement may not receive your full powers of concentration); or
  - For longer clauses (or clauses which contain several parts or sub-clauses) break the clause down into its parts. Does each part make sense? Does each part logically flow on from the previous one?
- **Get someone else to help:** Have someone else look at the agreement. If you can do this:
  - brief them on wording or issues which have changed the most (to concentrate their efforts on what is important);
  - where a clause has undergone most revision, read it aloud to them[13].
- **Read it out loud:** For wording which is difficult to understand either read it aloud (to yourself, or if someone is available and willing to participate, to them). Does it make sense? Are commas in the right place? Do you

[11] For example in Microsoft Word consider the full-screen reading function (Alt, W (view), F (Full Screen Reading)) (this is available only in the Windows version). Other methods: increase the type size. For a quick way in Microsoft Word, *Windows*: (after making a copy of the file): Control+A (select the whole document), then Alt, H (Home ribbon), FS (select type size on that ribbon), enter new type size, press enter or return key); *Apple Mac*: (after making a copy of the file): Command+A (select the whole document), then File Menu and select Font … (or Command+D), then enter new type size in Size box, and click OK.

[12] If the agreement is formatted so that the text is in a small typeface, make a copy of the file, in the copy select all the text and make the text size larger (at least 12pt) and then print that version onto paper.

[13] At first sight this may sound a bizarre suggestion, but in the authors' experience reading a clause aloud can often reveal things which reading silently cannot (or which appear fine).

run out of breath midway or towards the end of a sentence (a sign that a sentence is too long)?

- **Computer reading out loud:** Have your computer or mobile device read some (or maybe all) of the agreement out aloud to you. Most modern computers and mobile phones (whatever operating system they run) have speakers[14]. It is also possible to use this method for emails and other documents containing text[15].

10.4 Factual information

This section deals with common factual issues that need to be checked to ensure they are correct (or need to be present when the signing of the agreement takes place).

10.4.1 Parties[16]

- Is each party correctly identified?[17]
- Are their names spelt accurately?
- Is the correct legal status of each party stated (Limited, PLC, LLP, etc)?
- If a party is an individual, is there use of their 'proper' name (eg if the person's name is 'Robert Allan Smith' does this appear in the agreement

[14] In Microsoft Word 16 the Review Ribbon has a Read Aloud button (both Windows and Apple Mac). Select the text you wish the computer to read aloud and then click the Read Aloud button (found on the Review ribbon). Oddly, it is not possible to read footnotes aloud. This is perhaps of less concern for agreements which are less likely to have footnotes. For documents using footnotes it will be necessary to use other methods of reading aloud text that macOS and Windows provide. The Read Aloud function is also available for mobile devices in Microsoft Word.

[15] It can be particularly revealing to hear what you have written and can result in catching errors or phrases or sentences which simply do not sound or read right. A long sentence, or a long clause which deals with complex technical or legal issues may result in the eye gliding over the text, or the attention wandering by the time the reader gets to the end of it. In such a situation, reading a long sentence aloud (whether done by you or the computer) can reveal that its meaning is not clear.

[16] For more on the status of, and information about, parties see **2.5**. For obtaining 'official' information about companies registered in the UK visit https://www.gov.uk/get-information-about-a-company. For non-UK companies, see the list of links maintained by the Registrar of Companies (see https://www.gov.uk/government/publications/overseas-registries/overseas-registries).

[17] A party may be part of a large group of companies. Which company in the group may be obvious if the group normally routes all its trading contracts through one company in one particular country. However, in particular instances it may not be clear which company in the group will be the contracting party, and can depend on the country or countries to which the agreement relates, tax issues, etc. The representative of the party negotiating the agreement or responsible for drafting it may not be the person making the decision on this point.

rather than variations such 'RA Smith', 'Bob Smith', 'R Allan Smith' or 'Al Smith')?[18]

- Does the agreement state the parties' official (registered) address (and where relevant, the principal business address)?
- Does the agreement correctly state any official number for each party (such as company registration number)?

10.4.2 Pricing and payment terms

- Does the agreement correctly state the amounts payable?
- If several payments are envisaged, are the periods and amounts of each correct?[19]
- Are the timings of the payments accurate?
- Are the amounts exclusive or inclusive of VAT (or any other tax) and is this clear?[20]
- Does the agreement set out the method of payment?
- Does the agreement include the correct banking details (including the right account number, sort code, BIC and IBAN numbers)?[21]
- If the agreement is to include any payment reference numbers, does the agreement correctly state them?
- Where there is a supply of goods, does the agreement correctly state the point when the risk and the property pass?[22]
- If there were (extensive) negotiations on key commercial issues, such as timings, what a party or the parties will do and pricing and/or payment terms, is there a (permanent and file) record of what the parties agreed?
- Are there any internal financial or accounting controls or approvals that need arranging concerning payments and receipts, so that it is possible for a party to make payment at the right date(s) and time(s)? Also, for the receipt of payments, does a party who is receiving a payment have

[18] Generally, the agreement should state a name as it appears in the person's passport.

[19] For example, a party may make a payment on signing the agreement, and then various staged payments dependent on when certain activities under the agreement occur. When they occur, any attendant payments are often the subject of intense commercial negotiations and subject to change.

[20] For business-to-business transactions, prices are normally always stated as exclusive of VAT; for consumer transactions as inclusive. Also is the party's VAT number shown? This may be not strictly necessary in the agreement itself, as it is likely to be shown in any invoice or demand for payment.

[21] Where payments are made between countries, many banks nowadays will not deal with payments unless the BIC and IBAN numbers are provided.

[22] Or will the default rules found in the Sale of Goods Act 1979 apply?

their accounting system correctly set up/configured so that it can allocate incoming payments? Do any payments need to be accompanied by reference numbers or other information?

- If a payment needs to be made on signature of the agreement, are the funds available to do so?

10.4.3 References to official bodies, regulations, etc

- Are there references to International Chamber of Commerce terms such as CIF, EXW, FOB etc? If so, are the correct terms used? Is the correct version of the Incoterms used (eg Incoterms 2020, Incoterms 2010)?[23]
- Is there reference to an official body, association or regulatory body? Is its full (ie spelt-out) official name used?
- Is there reference to a particular statute, regulation or legislative measure? Is there use of its proper name?[24]
- Where there is a reference to a statute, etc, will the particular clause in which the reference to the statute is located also apply where the statute etc is amended or replaced? If so, is there appropriate wording to deal with this?[25]

10.4.4 Notices clauses

- Does the agreement name a specific person in the notices clause? Are they the correct person for inclusion in the agreement (and is it likely they will remain so for the length of the agreement)?[26]

[23] It is possible to check the basic meaning of each term at http://www.iccwbo.org/incoterms/.

[24] Where there is a reference to English law, it is possible to find electronic copies of most recent Acts of Parliament and statutory instruments at http://www.legislation.gov.uk/. This site normally only provides updated versions for Acts, not statutory instruments (and sometimes there is a significant gap between the enactment of a change and an updated version of the Act being made available).

[25] The wording for this is often contained in an 'interpretation' clause. Wording which addresses the point specifically is usually along the lines of: 'Any reference in this agreement to any statute or statutory provision shall be construed as referring to that statute or statutory provision as the same may from time to time be amended, modified, extended, re-enacted or replaced (whether before or after the date of this agreement) and including all subordinate legislation made under it from time to time'.

[26] It is not always appropriate to name a particular individual. In some roles, there may be a high turnover of staff, or the industry may be subject to re-organisation. If it is possible to send a notice by email and the email address is that of a particular person and they leave, then the email may not be forwarded to the right person (eg if no-one instructs IT support to set up forwarding of emails for those that leave).

- Does the agreement use a job or role title for the notices clause (such as managing director, CEO, project director)? Is the job or role title the correct one (and is the role likely to remain so for the length of the agreement)?
- Does the agreement correctly state the address and other contact details?[27]
- Are the dates when a party is deemed to receive a notice correctly stated?

10.4.5 Start and termination dates (and other periods of time)

- Does the agreement state the correct start date (such as in a definition of 'Commencement Date')?
- If the agreement has a fixed termination date, is this the correct date (such as in a clause dealing with termination of an agreement or a clause dealing with main contractual obligations of a party)?
- If a party has to make payments on certain dates or by certain times, are these accurate?
- If a party has to make a payment or carry out a certain activity within a specific period, does the agreement set all of them out and correctly?
- If the agreement includes any post-termination time periods, does the agreement set them all out and correctly?[28]

[27] If the registered address is used, does mail get forwarded to its intended destination in a timely manner? Some companies may frequently undergo restructuring and other organisational changes with a particular division or department changing from one location to another. In larger organisations those at the registered office may not have all the latest information as to where persons, departments, etc are located. For smaller or newer (technology) type of companies, the registered address may be that of their lawyer, accountant or company formation agent, etc, and the company may not have any fixed location. In any of these cases, a notice sent to the registered office may take time to reach the right person; it is dependent on the actual recipient forwarding the notice and doing so in a way so that it reaches someone at the company. There is a similar issue with the use of emails. If an email address is given which is the name of a specific person, and that person moves on, then any emails (after a time or at all) may not be forwarded appropriately. These points are likely to be relevant only where the party sending a notice does no more than is formally required by the notices clause (and does not contact the other party in any other way to indicate that a formal notice is on its way). This is likely to be so, where a notices clause requires a notice sent by email to be confirmed by a letter sent in the mail, if the letter is sent to a registered office address.

[28] For example, a licensee may have a trade mark or other intellectual property licence from a licensor. There may be post-termination provisions in the agreement, which may include time periods in which the licensee can sell off any remaining stock, pay any royalties on stock sold prior to the date of termination, or dispose of any stock or (confidential) documents.

- Where the agreement includes a provision for how long information in the agreement is to remain confidential, is the period set out in the agreement the correct length of time for the type of information?[29]

- Has a party or the contract drafter carried out checks that if any of the above dates are calculated by reference to another date, the calculations are correct?[30]

10.4.6 Timing

- During the negotiations has there been a change in the start, end and other dates? Does the agreement incorporate these changes?

- Are there changes in the contract which will have a knock-on effect on other clauses concerning timing of activities or termination of some or all of the contract? For example:

    - in a contract which provides for defined stages each with a specific period of time for completion, if there is a change in one or more of the stages then any dates or periods of time or termination date may no longer be achievable or accurate;

    - if there is a change in specification for the goods or services, any change may affect when parts of the contract take place, such as when certain tasks are carried out, the timing of payments (as well as the amount of payments), etc.

[29] The length will depend very much on the type of information as well as the nature of the agreement. For example, an agreement might be for the design of a new product and one of the parties may be providing technical specifications of the new product to a designer. Before launch of the product the technical specification may need protection by obligations of confidentiality as it is confidential information. But after launch it would not make any sense to bind the designer to confidentiality obligations if the technical specification becomes public knowledge on launch of the product by anyone purchasing the product.

[30] For example, if a party needs to make a payment within 30 days of the Commencement Date, then should the calculation of the 30 days start on the day of the Commencement Date or the day after? If the calculation is made incorrectly then the party who has the obligation to pay may make the payment one day late. This could result in the other party having the right to terminate the contract or impose a sanction, as specified in the contract. This is separate to the issue that a party records all such dates in a calendar (electronic or otherwise). See **8.3** as to the issues involved in dealing with calculating time periods.

10.4.7 Consequences of termination

- Are any cross-references to other clauses which are to survive termination correct?[31]
- Are any specific provisions which are to survive termination checked for accuracy?
- Is there a clause which states that other than those clauses which survive termination, the parties are under no further obligation to each other?

10.4.8 Third parties

- Will the agreement allow any third party directly to enforce one or more provisions? If so, is there a clause(s) which sets out which provisions a third party can directly enforce?[32]
- Where there is a clause to allow a third party to directly enforce provisions, is the wording used sufficiently clear to identify the party and to indicate that the parties intend the third party to benefit under the agreement?[33]

10.4.9 Law and jurisdiction

- Does the agreement involve parties from more than one country? If so:
  - Does the agreement state the correct law?
  - Does the jurisdiction of the courts follow that of the chosen law?
  - Is the jurisdiction of the courts to be exclusive or non-exclusive?

10.5 Proofing and formatting

This section concentrates on the elements which concern the formatting of an agreement.

[31] Often the clause that indicates which clauses survive termination does not receive sufficient attention; particularly, if clauses are added and removed during negotiations and any cross-referencing is not updated to take account of such changes. As a practical point, in many agreements clauses which typically survive termination deal with issues of confidentiality, payment provisions, maintenance of records (if relevant), continuation or expiry of (intellectual property) licences, and issues concerning warranties and indemnity. What will need to be included will depend on the nature of the agreement, as well as the drafting technique of the party preparing the agreement.

[32] This assumes that there is the 'standard' type of clause found in most agreements nowadays which expressly disclaims the provisions of the Contracts (Rights of Third Parties) Act 1999 Act (such as found in clause 8.13 of Precedent 1 in the Appendix).

[33] There is recent case law which indicates that the parties have to intend to benefit a third party as one of the purposes of the agreement. Obviously, the clearer the wording the less likely there will be any doubt on this point.

10.5.1 Removal of version draft data

If an agreement goes through multiple stages of drafting and exchange between the parties, a party (or its lawyers) may have a policy to mark all agreements with:

- the fact that it is a draft,
- the number of the draft;
- the date of the draft;
- a file reference number[34]; and
- sometimes other information.

The party who is responsible for producing the final version for signature should normally remove this information.

Typically such information is stored in a header[35] or in the properties section[36] of word processing software.

10.5.2 Figures and words

If a party wants to use both words and figures, such as:

Fixed amounts: In consideration for the Services, the Company shall pay to the Consultant the following amounts on the following dates:

(a) £123,750 (one hundred and twenty three thousand and seven hundred and fifty pounds sterling) within 30 days of the date of this Agreement; and

(b) £100,000 (one hundred thousand pounds sterling) within 30 days of the first anniversary of the Commencement Date'

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it is necessary to check the words against the figures. Although there is no legal requirement to state both (at least under English law) some parties like this style of drafting (perhaps as a safety check)[37].

[34] Many law firms use case management systems and every matter has a file or other reference number and all emails, correspondence and documents state that number.

[35] To completely remove a header in Microsoft Word: *Windows*: Alt, N (Insert Tab), H (Header), R (Remove Header); *Apple Mac*: Click on Insert Tab, then Header & Footer icon, and when the window appears, at bottom click on Remove Header (window only appears if there is already a header).

[36] To display the properties section of a Microsoft Word document: *Windows*: Alt-F, I; *Apple Mac*: File menu, Properties.

[37] There is a presumption that where there is a difference between the amounts stated in words and figures, then the former is used (see **3.12**).

10.5.3 Cross referencing

Agreements often include provisions which:

- make reference to other provisions (what is to happen to them, or how they are to operate in a particular circumstance); or
- are subject to a provision in another part of the agreement (such as the other clause coming into force or expiring or operating on the occurrence of a particular event); or
- need to be read together with another provision or some wording within the same provision.

There is nothing remarkable in cross-referring to other provisions. The problem is that during the negotiations for entering an agreement the parties produce successive drafts. They add, amend or delete provisions so that any cross-referencing is no longer accurate, especially if a contract drafter manually adds cross-references.

Many modern word processing apps include a cross-referencing feature. This will generate an automatic cross reference to either a clause number or page, together with an optional hyperlink. However, on the addition, amendment or deletion of a provision, the word processor can adjust the cross reference number (*but* usually only after user intervention).

Danger: While using the cross-referencing feature of modern word processing software can make it easy to add a cross-reference, it is necessary at each revision of the agreement to remember to update the cross-references[38].

10.5.4 Definitions

The use of definitions can cause a number of problems, including:

- If the definition contains a reference to a clause or schedule, are the references correct?[39]
- Is the styling of a definition applied consistently in the agreement? For example, in England, the usual way to indicate that there is use of a definition in an agreement is by capitalising the defined words (eg Intellectual Property, Net Sales Value).

[38] For example, in Microsoft Word, the way to make all cross-references up to date (assuming that they are in use) is to select the whole document (*Windows*: Control+A; *Apple Mac*: Command+A) then press the F9 key. Although some third-party software can, as part of a range of checks, update cross-references (such as PerfectIt, see Chapter 11, fn 56).

[39] As the negotiating and drafting progresses, schedules are sometimes added, moved in the order in which they appear, or broken down into separate schedules, all of which might lead to the number assigned to a particular definition no longer being accurate.

- Is there is an intention to use words which are defined other than in their defined sense?[40] If there is such an intention, are they not capitalised?
- Does the definitions clause include 'unless the context provides otherwise' or similar wording? If the agreement contains such wording is it relevant to the agreement?[41]

Other points about definitions:

- Order of definitions: If they are to appear in alphabetical order, but during the drafting process the parties add some definitions, has the responsible contract drafter sorted the definitions clause into alphabetical order?[42]
- Definitions appearing other than in the definitions clause: Does the agreement contain definitions within clauses of the agreement other than the definitions clause (typically clause 1)? If this is the case, should the definitions clause contain a cross reference to these definitions?

10.5.5 Schedules

Where an agreement contains schedules[43], the following are some of the issues that may occur:

- Where there is reference to a schedule in the agreement, is the reference correct? For example, if a clause refers to 'schedule 2' is there a schedule 2

[40] See *Hopkinson and others v Towergate Financial (Group) Ltd and other companies* [2018] EWCA Civ 2744 for where there was discussion of whether the word 'Claims' should be capitalised in a commercial agreement. Practically, with modern word processors it is possible to do case-sensitive searches. An ordinary search for 'intellectual property' will find all instances of these words, including 'intellectual property', 'Intellectual property', 'intellectual Property' and 'Intellectual Property'. While a case-sensitive search of 'Intellectual Property' will find only those words with initial capitals, it is possible to search for any instances where the words are not capitalised (if the definition appears frequently in a longer document or series of documents), but ignoring those words which are capitalised. For example, to search for lower case 'intellectual property' and ignore any capitalised 'Intellectual Property', undertake a search for 'intellectual property' and check the 'match case' in Microsoft Word: *Windows*: (Alt, H (Home Tab), FD (Find), A (Advanced)) to open the find and replace window; *Apple Mac*: Edit menu, Find, Advance Find and Replace, enter what to be found in box next to 'Find what:', click on down arrow icon to left of 'Cancel' button. Some third-party software can, as part of a range of checks, check for all definitions and whether they are applied properly (such as PerfectIt, see Chapter 11, fn 56).

[41] There is recent case law on how a court will look at a definition which does not make sense when used in a clause. Although a court will be reluctant to depart from the meaning as stated in the definition, it appears that the use of 'unless the context requires otherwise' may provide some room for departing from the stated definition, but this is not always the case (see ch 2 fn 21).

[42] Modern word processors can automatically sort paragraphs or rows of tables. Often definitions are set out in two column tables (the first column containing the defined word, the second containing its meaning). However, it is not necessary to use a table in Microsoft Word to sort words or paragraphs (each separated by the enter/return key). To sort lists in Microsoft Word: First select the text/list for sorting, then Alt, H (Home Tab), SO (Sort Text) and choose 'paragraph' under Sort By (if not sorting within a table).

[43] Or annex, annexure, appendix.

in the agreement? For some agreements schedules are added or removed and the number in the agreement may have to change.

- Is there a boilerplate clause which states that the schedules are part of the agreement? ie 'The schedules to this Agreement are and shall be construed as being part of this Agreement'.
- Does the agreement use the same term to refer to a schedule (ie is it a 'schedule', an 'annex' or an 'appendix')? If there are to be different types of documents or attachments, with some known as 'schedules', some as 'annexes' etc, is their status explained within the agreement? For example, if documents are labelled 'schedules' and are part of the binding provisions of the agreement but the 'annexes' are not; is there a clause in the main part of the agreement which clearly states this?
- Is the schedule placed before or after the signature block? This is a matter of convention, but the practice in US agreements is for the signature block to appear after the schedule, while in UK agreements they usually appear before.

10.5.6 Spell checking

This is so obvious, so why mention it? Most modern word processing software can indicate under each word whether it is not spelt correctly if the contract drafter or party enables the spell checking feature[44]. What is not often checked is whether the correct document language is used or 'spelling check as you type' is turned off altogether. In either case, mistyped words will not show, and unless a spell check is run then the misspelt words may remain in the agreement.

The authors recommend that any use of spell-checking should *not* be delegated to persons other than the contract drafter/lawyer dealing with the agreement. Also *not recommended* is a feature by which some word processing software automatically checks spelling and also makes replacements. In such a case it is possible that mistakes are introduced into an agreement through incorrect acceptance of alternatives suggested by the spell-check, eg 'inure' being changed to 'insure' or capitalised words being turned into lower case.

10.5.7 Clearing the document of metadata

See Chapter 11 for the meaning of metadata. The issue under this heading is how to remove it in such a way that if the agreement is then circulated amongst the parties (or third parties) there is no, or very little, chance for

[44] For Microsoft Word it is necessary to disable automatic spell checking: Apple Mac: Tools Menu, Language …, then click on the 'Do not check spelling or grammar' option, and then click on 'OK'.

the recovery or sight of metadata at some subsequent point. A party may have added comments or used revision marks:

- which are only for use by that party and its lawyers and other advisers; or
- containing different commercial information (such as pricing information or discussing commercial negotiation positions) which is for internal review or discussion by a party.

This information may amount to confidential information or provide valuable insight into how a party operates or may indicate what it may accept on key commercial issues which are different to what it publicly states or will accept.

Frequently, particularly in larger organisations, a draft agreement may be sent from person to person for internal review, all of whom might add comments etc. But there is no one person who has the responsibility for checking whether metadata is present or for removing it before the draft agreement is sent out to the other party[45].

Accordingly, the removal of metadata is an issue which occurs not only when preparing the final version of an agreement, but at any stage when any version of an electronic document will be sent to another party (or their representative).

Consider the following common example: a company enters into an agreement for the supply of a product. The parties negotiate terms and conditions over a period and changes are made and incorporated using Microsoft Word revision marks. The final version of the agreement is prepared but rather than accepting or rejecting all revision marks and the removal of any comments they are simply turned off (ie hidden from view on the screen or when printed out). The company then wishes to enter into another agreement on the same terms and conditions. The contract negotiator for the company may simply make a copy of the document containing the terms and conditions, but not otherwise change the document (such as the removal of the metadata, that is the revision marks or comments which are 'hidden' from view). In such a case, the company may inadvertently provide details about a previous deal to a new party it is hoping to enter into contract with.

If Microsoft Word is used, then the most likely metadata which needs to be removed from a document are:

- revision marks (track changes);
- comments;
- annotations;

[45] In the authors' experience, the level of training that many users receive in the advanced features of Microsoft Word is minimal. Consequently there is little awareness of the consequences of using some of these features.

- headers and footers; and
- (file) properties.

In recent versions of the Windows version of Microsoft Word, it is possible to remove all of this information using the Document Inspector function[46]. This will search for and optionally remove this metadata. However, there are limitations (ie it only permits the removal of all revision marks, comments and annotations together; you cannot select which of these you wish to keep or remove).

Even with the removal of metadata, some parties are still unhappy about sending documents to other parties and will either wish to password protect a Microsoft Word file against editing, send the file in PDF or text format or print onto paper. Such an approach, in terms of making sure that a recipient sees only what the sender of the document wishes the recipient to see, is attractive, but is unlikely to be conducive to good relations as it imposes extra burdens on the recipient of an agreement presented in this way to comment on it. Some of the recipients of documents strongly resist having documents only provided in a non-editable format. Consequently, most parties nowadays expect to receive documents in a format which permits editing and the use of Microsoft Word's set of tools to do so.

10.6 Catching the cheats, the use of revision marks and lesser crimes

Occasionally when an agreement is sent from one party to a second party for review the second party does not mention, show or otherwise note any changes it makes. A party in reviewing an agreement will usually nowadays use Microsoft Word's Track Changes function (and also the Comments function). However, there is nothing to stop a party receiving a document:

- turning off the Track Changes function at any particular point;
- making a change;
- turning the Track Changes function back on; and
- returning the document back to the first party but not notifying that party of the change made.

[46] In Microsoft Word: Alt, F, I (Info), click on Check for Issues, then Document Inspector to check for (in the Document Inspector window that appears), then I (Inspect). Then choose the metadata that needs removing. The Mac version of Microsoft Word does not offer this option.

The second party doing this will hope that the first party will not notice the change and rely on an assumption that the first party will only be looking for changes marked with track changes. The second party may rely also on a further assumption that the first party will not have the time or the resources (let alone the inclination) to do a manual line-by-line comparison or create a version of the revised version returned by the second party so that it can be compared to the version sent to the second party.

Such 'cheating' shows the utmost bad faith, particularly if the second party knows that the first will not check or not have time to check. Whether a party can avoid a contract (or one of the other contractual remedies to 'get out' of a contract) is not the subject matter of this chapter. However, where commercial parties enter an agreement, it is unlikely that a party who has signed an agreement will be able to avoid it because another party has made a change which the first party did not spot[47].

10.6.1 How to deal with a 'cheat'

There is no simple remedy where a party 'cheats'; the response will in part depend on whether a party is sufficiently aware of the risk and also the extent to which they trust the other side[48]. Here are some suggested solutions:

- ***Short-term fix***: Most at risk are the following provisions: key commercial obligations, payments and timing, meaning of definitions as well as provisions which deal with the allocation of risk and liability among the parties (such as warranties and indemnities).

- ***Medium-term fix***: Carry out a file comparison using the feature available in modern word processors between the version of the agreement sent for

[47] This is likely to be particularly the case in the foreseeable future following the decision in *Arnold v Britton* [2015] UKSC 36, where the importance of the wording used by the parties to an agreement was stressed, and also the reluctance of the court to depart from that wording (even if the clause does not make commercial common sense for one party). If the wording used in a clause is clear although it contains an error, that may not be enough to allow a court to correct it (see [18] from the judgment, where it is stated that if the meaning of the words used in a clause are clear, the court should not undertake an exercise to find 'drafting infelicities in order to facilitate a departure from the natural meaning' of the clause. That a clause may contain an error 'may often have no relevance to the issue of interpretation which the court has to resolve'. To take a simple example, the parties agree that Party 1 will sell a product for £900 to Party 2, and Party 1 provides a draft agreement to Party 2 reflecting that point, Party 2 changes the price to £800 without using track changes and Party 1 fails to spot the change and the parties subsequently sign the agreement. It will be difficult for Party 1 to argue that there is any doubt as to the meaning of the clause if the wording clearly states that Party 2 is to pay Party 1 £800. The case is considered in Chapter 6 at **6.5.6.1** and also **6.4.1**.

[48] If a party has suspicions that another party engages in this type of 'cheating' then, other than pulling out of the deal, the only realistic option is to make available the resources to handle the extra checking which is necessary.

review and the version returned[49]. The aim is to show all the changes made by the second party, not only those which they have selected to show.

- ***Heavy-duty fix***: In the worst cases, the agreement will require a word-by-word comparison between versions. This is obviously the most time consuming and laborious method.

10.6.2 Not all 'mis-use' of revision marks is cheating

An acceptable, one-style-in-all-circumstances, use of revision marks is not possible. Consider the following example. A party receives an agreement marked with revision marks. Its policy is to go through the agreement, and to mark changes it accepts and delete those changes it does not accept. It then returns the agreement to the other side, but otherwise does not indicate what it has accepted. The onus is on the other side going through the agreement to determine what is agreed, as simply looking at the document will not indicate this. The other side will have to carry out a comparison (whether electronically or manually) to work this out. In this example, the party adopting the practice indicated does not have the intention to mislead the other side; it just has a particular method of using the tool available in Microsoft Word. Ultimately, the practice of using the Track Changes function is a matter of etiquette, and a party may wish to indicate to the other party how it uses this Microsoft Word function or provide a summary of the changes made. This will relieve the party who made the initial changes from going through a document to check how each change it made has been handled by the other side.

10.6.3 The settings

Irrespective of what a party may do (or how it uses the revision marks function), either party may set up Microsoft Word in different ways as to what is shown on their screen and therefore changes, deletions or additions might be hidden.

[49] For example, in Microsoft Word (after making copies of the files involved): (1) open each file and accept the track changes (optional) and save the changes; (2) *Windows*: Alt, R (Review Tab), M (Compare), C (Compare), *Apple Mac*: Tools menu, Track Changes, then Compare Documents, (3) then in the Compare Documents window, for 'Original document' type in the file name of the file sent for review, for the 'Revised Document' type in the file name of the file returned, (4) Microsoft Word will state that all the tracked changes will be accepted. If you choose to see a separate window you will see a window with the document in a compared form (showing changes over the one you sent) together with separate windows showing the file as sent and the file as returned (but neither showing track changes).
The Microsoft Word file compare is adequate for relatively simple documents without extensive changes. Note, if there are several rounds of revisions, or revisions from more than one source, use Word's combine function.

10.6.4 Stopping the cheating – the American way

Among some commercial organisations and lawyers in the US the way they exchange drafts is very different, they provide a draft agreement only as a PDF. The party/lawyer who receives the PDF version of the agreement can highlight or add comments electronically[50], but cannot edit the source text directly. This relieves the party who provides the draft agreement (or any later drafts) from the checking that might be necessary as described under **10.6.1**, as it will be (almost) physically impossible for the recipient of the draft to cheat[51].

10.7 Commercial issues

The commercial issues which need checking will depend, to an extent, on the deal. It is also possible to describe some of the points above as commercial points. For example, the details of the amounts a party is to pay or receive and when they are to pay or receive them are *both*:

- a commercial issue (as to whether they are in the interests of the party at all); and also
- a factual issue (as to whether the information entered in the agreement is correct).

Under this heading, the issue addressed is the 'bigger picture'—to look at the agreement overall, rather than as a series of negotiations and drafting changes on individual points (which junior staff may carry out after senior management have discussed and agreed the main points of the deal).

For routine agreements or agreements where a party will only accept minor changes (because it can impose its terms and conditions unchanged) this type of consideration may not be a factor. In other agreements, a party carrying out a 'bigger picture' review may help focus on whether the deal is worth doing at all on the terms and conditions offered by another party or whether these are the only ones the other party will accept.

[50] Almost all modern PDF software nowadays allows use of these functions and to have any highlighting and comments saved. The same is true also with many versions on mobile devices.

[51] For the sake of completeness, it is possible to edit the source text (ie as change/add words) in a PDF file with some PDF software, such as with Adobe Acrobat Pro (Windows and Apple Mac), Tracker Software's PDF-Change Editor (Windows only) or Nitro software PDFPen Pro (Apple Mac only) as well as some other PDF software. For example, if a Microsoft Word document is printed/saved to PDF then the text can normally be edited in these PDF apps, unless some of the security features are used, such as turning on password protection and selecting the options which stop users of the PDF file making changes.

In carrying out a review the following points can help:

Generally

- Gather together material used during the course of negotiations (such as heads of terms, agendas for meetings, notes of meetings, exchanges of emails (sometimes even text messages)). These can provide a useful checkpoint against which the current version of an agreement (or a clause) might be checked[52].

Specific issues

- Have any discussions taken place with the relevant departments of a party about whether what is being provided is achievable at all or within the timescales negotiated?
- Have the discussions about when payments are to be made (or the amounts to be paid) been checked with a party's finance/accounts department as to whether the funds are available at all or at the times required? In more complex cases, a party may need to raise funds (short term or long term) and this may involve agreements with the provider of such funds.
- If a party is being asked to provide warranties in an agreement which are outside of the 'normal' types of warranties it provides, has that party carried out any internal due diligence to see whether it can give the warranty at all or subject to limits on its knowledge?[53]
- If a party is asked to reduce its exclusion or limitation of liability provisions (including its liability for direct and consequential loss, or the amount payable in the event of a breach) has the party considered such changes against the provisions of any insurance it carries (or checked with its insurer broker)?[54]
- If a party has a default policy on the law of the agreement and the country in which disputes are litigated, and the other party asks for a change in

[52] In simpler situations, a party can simply save all of these documents in a folder on a computer system. For more complex types of deals, a party may use specialised case/project management systems where all activity, including drafts of the agreement, and any emails to and from a party are saved under case/projects. There are also other software solutions (such as (Windows/Mac) Microsoft OneNote, Evernote, or Mac only (DevonThink) which are often used for the same purpose (and can all synchronise with, and be used with, mobile devices). But whatever system/method is used is dependent on all documents (and notes of any discussion) being systematically recorded/saved.

[53] When negotiating a contract, a party may need to provide extra or more detailed warranties in order to negotiate a better price or better specification for the goods or services. For example, a licensor of software may need to provide the potential licensee with more detailed and specific warranties as to the rights it has to the intellectual property it owns and uses in order to achieve a better royalty rate. This in turn, ideally, should prompt the licensor to examine its records as to whether it has documentation to prove it has rights to the intellectual property, such as licence agreements granting those rights.

[54] Any insurance a party may hold to cover its business liability may be provided on the premise that it trades on the basis that it will only accept certain liabilities and then only up to a certain extent.

either of these, has the party considered the changes against the provisions of any insurance policy?[55]

10.7.1 Other methods of considering commercial points

First suggestion: Another method of handling commercial issues is for a party to develop a series of policies on key commercial issues or contractual wording and, for each area, provide:

- a default position that the party will normally expect to see in a contract;
- acceptable variations from the default position;
- unacceptable variations from the default position (with example wording); and
- action required where wording comes within one of the above categories (ie an acceptable variation, if proposed, may need approval at a lower level of management, but an unacceptable variation would need consideration at senior management level).

For each of the items in the above bullet list, the party can set out wording and examples.

These points are likely to be most relevant where a party is entering into a number of contracts relating to its normal activities. For example, if it is selling a particular product or licensing a standard item of intellectual property then it would normally expect to trade on standard terms and conditions (or at least have a default position on certain issues)[56].

Second suggestion: At important stages, prepare a note that summarises the key points of the deal which includes the changes that have occurred from the initial draft. This document may be for internal circulation only, or may be sent to the other parties depending on the stage negotiations have reached.

[55] For example, if a party (who is a company incorporated in England and Wales) wishes to sell medical devices to a company in Spain, and is a subsidiary of a US corporation, the party may require that the law of any agreement is that of a state in the US, and that the courts of that state have exclusive jurisdiction over any dispute. However, the English party's insurance may not cover agreements which are made under US law or which enable the US courts to have jurisdiction over a dispute, as the amount of damages payable are often much higher in the US than in England or Spain (as well as the potential exposure to liability being greater in the US).

[56] For example, if a party licenses specialist software, it might have a default position on key commercial matters such as the type of licences it is prepared to grant. A 'deal breaker' might be that it will never grant an exclusive licence in any circumstances, even if restricted to a particular defined field or territory, but may be prepared to consider that a licensee can enter into sub-licences subject to certain defined conditions.

10.8 What to do if the agreement is signed and someone spots an error?

If all the parties to an agreement agree:

- that there is an error; *and also*
- as to what needs changing,

then there is not normally a problem.[57]

How should they fix the error? There are various options (the options moving from not being binding to being binding on the parties):

- the parties ignore the error (ie make no reference to it in any documentation)[58];
- the parties' representatives have an exchange of emails/letters which note both the error and what is the correct position;
- the parties enter into an amending agreement which sets out what is incorrect in the original agreement, and replaces that with wording reflecting the correct position;
- the underlying agreement is cancelled and a new, error-free version is signed by the parties.

The option the parties choose will, obviously, depend partly on the nature of the error and the importance of the agreement to the parties, as well as more practical concerns.

For example, entering into a short amendment agreement, which just deals with the error may be procedurally easier and raise less queries from senior management than where the proposal is to replace the whole agreement. But, more practically, each party will have to keep the amending agreement with the original agreement it amends.

[57] If the parties disagree on either of these points, it may be necessary to consider legal action. Depending on the circumstances, it may be appropriate to commence legal proceedings in which one or more of the following is claimed: (a) the words of the contract mean X; (b) there is an implied term of X; (c) the parties are estopped from denying that the contract means X; or (d) the contract terms should be rectified to say X.

[58] This option is likely to be acceptable only if the error is a minor clerical error (such as a typo in a clause which is not a main commercial clause, and the sense of the clause is not affected by the typo). Perhaps where a non-critical word is misspelt (perhaps words such as 'the' or 'clause' are mis-spelled as 'teh' or 'caluse').

Chapter 11

Drafting, exchanging and protecting documents electronically

11.1 Introduction

The default method now for lawyers and their clients to draft, review, edit and exchange drafts of agreements is almost entirely via the use of electronic means[1]. The use of word processing and email can involve a number of legal, technical and practical issues. This chapter considers some of them, including:

- whether drafters and users of agreements should send agreements electronically;
- the dangers of leaving metadata in a document;
- what constitutes an electronic signature and whether they are used in signing commercial agreements; and
- policies for sending email communications.

This chapter does not aim to describe in substantial or technical detail the various methods by which documents can be edited and reviewed. It concentrates on setting out some of the more practical points in the use of these methods[2].

11.2 Exchanging documents electronically

One of the great benefits of using word processing software and email is the ease with which it is possible to prepare, revise and exchange drafts of agreements between parties (and/or their legal advisers).

[1] The position was somewhat different when the first edition was published (in 1997).

[2] Technically sophisticated users of this book will be familiar with many of the features and issues described in this chapter. However, in the authors' experience, many lawyers and non-lawyers are unfamiliar with many of the issues contained in this chapter, often because they lack training in the use of Microsoft Word, which is the primary tool used nowadays in the creation and amendment of documents.

11.2.1 The problem

The potential issues where the parties exchange a draft of an agreement, and either party is able to alter the draft, include:

- when one party makes changes to a draft of an agreement but does not inform the other party, whether in the document or otherwise, about the changes made; and
- whether the party receiving a document changed by another party has the time, and sufficient resources, to check the document in case there are any non-identified changes.

Examples of how (and why) this might occur are found in Chapter 10 – Techniques for checking contracts before signing them at **10.6**.

11.2.2 What to do about the problem

Whether the parties to an agreement trust each other (both in terms of integrity and in accuracy) in the use of revision marks[3] is key to whether each party will allow the other to make changes to drafts of an agreement provided electronically.

Where one party does not allow the other party to make changes directly to an agreement, the other party may perceive this as an indication that it is not trusted in some way. Such an approach may not assist ongoing negotiations or foster a spirit of give and take. Perhaps even more importantly, given the reduced timescales within which people now operate, such an approach may simply be unrealistic (irrespective of any views one or more of the parties may have as to whether other parties are trustworthy).

In former times documents were typed on manual typewriters and changes were usually made by only one party—by convention, the party putting forward the draft. The other party or parties would provide all the amendments, additions, deletions, etc to that party on a paper copy of the draft. In the authors' experience within the UK and the rest of Europe it is rare for one commercial party to insist that only it will make any changes to a document. However, dealings with some US companies and lawyers reflects a different practice, where only versions of agreements are made available as PDFs[4]. A party faced with this approach from a US company or lawyer may have the same concerns as identified in the previous paragraph. Requesting an editable version of the agreement may not foster ongoing negotiations or relations (or may be met with a blank refusal). This approach has its own issues, in that once the changes are made by the party who has control of the agreement,

[3] In the use of track changes and the other tools available in modern word processing software.
[4] Although it is possible to add highlighting and comments next to the text which needs to be amended in the PDF itself.

the other party who proposed them will need to make (or have) the time and resources to carry out a thorough check as to what has changed (if what has changed is not shown through revision marks).

If it is possible for each party to amend drafts of their agreement, then it is suggested that each party should do the following on receipt of each new draft from the other party:

- run file-comparison software or utilities that will show any changes between a version of the document previously provided to the other party, and the version returned by the other party[5]; and/or
- read through the whole document comparing it with the previous version sent to the other party.

Although these suggestions appear to be a counsel of perfection and are time-consuming there is no other way of guaranteeing the integrity of the text.

11.2.3 Should parties exchange drafts of agreements electronically at all—and how should they do so?

In 2023 it can be a strange (or antiquated) suggestion that the parties to an agreement would work other than with electronic versions of an agreement (whether as word processing documents or as PDFs). Ultimately the issue turns on how risk-adverse a party is that untoward or unknown changes could be made to an agreement. The decision for a party is a choice on a sliding scale between security and usability from:

- ***maximum security***: not exchanging documents electronically at all; to
- ***medium* security**: exchanging documents electronically but allowing only one party to make changes; to
- ***maximum usability***: allowing each party to change a document.

There are a number of possible ways to handle the exchange of documents nowadays, for example:

- ***Providing the document only as a printed document***. While possible (and the most secure) this method is unlikely to be acceptable to most commercial clients or their lawyers (or between lawyers for that matter)[6];

[5] Users of Microsoft Word can use the built-in file comparison function, see **10.6** (Catching the cheats, the use of revision marks and lesser crimes). However, there are more robust and sophisticated third-party programs, including Workshare (https://www.litera.com/litera-and-workshare/), Change-Pro (https://www.litera.com/products/legal/litera-compare/), DiffDoc (http://www.softinterface.com/index.htm), plus several others.

[6] It is also likely to be unrealistic given the timescales used in conducting negotiations, reviewing documents etc nowadays.

- ***Providing the document in a portable document format (PDF)***[7]. As noted above, in the US some law firms and companies will only provide their documents in PDF. Although it is not impossible to 'edit' a PDF in the same way as in a word-processing program[8], such editing is only suitable for small changes;
- ***Password protection***. Most word processing software and programs which allow for the creation or use of PDFs allow for the saving of documents with a password. For example, the latest versions of Microsoft Word permit the protection of documents in a number of ways. The main advantage of this method is to restrict who can actually see the contents of the document;
- ***Restricting what can be changed***. This method means setting up the electronic document so that it is only possible to change certain parts[9], through the use of fields. Other parts of the document cannot be edited. This method is only suitable for standard-form agreements where virtually all the terms and conditions will not change, so that it is only possible to add or amend information concerning the deal (such as the price, quantity, dates, etc);
- ***Using external methods to restrict access***. There are a number of methods available, including:
    - o copying one or more files into a zip file (which reduces the space that they occupy) and adding a password to the zip file and then providing the zip file to another party[10];

[7] There are also now many software publishers who provide software to print to PDF files. Most modern word processors provide this functionality as standard or it is built into the operating system, such as with Apple Mac. Third-party suppliers also provide programs to create PDF files, such as PDF Factory (http://www.fineprint.com), BullZip PDFPrinter and PDF-Xchange (all for Windows only). Such specific programs are generally unnecessary on an Apple Mac, given that the functionality is built into the operating system.

[8] Particularly with a full version of the Adobe Acrobat (Windows and Apple Mac), or with PDF-XChange Editor (Windows only), or with PDFPen Pro (Apple Mac only). These do permit the user to change individual lines. This functionality is, however, far from allowing the editing of text in the same way as word processing software. Such functionality is ideal for changing the odd word or short phrase.

[9] For example, Microsoft Word and LibreOffice allow for the addition of fields. Some PDF apps (such as those mentioned in fn 8 have this functionality too. Only within the defined fields is it possible to add information or to choose items from a pre-defined list.

[10] For example, *Windows*: there are various file-copying utilities which contain zip features (which are much more powerful replacements for Windows Explorer, the program which allows a user to manage files (copy, delete, view files) and which is built into Microsoft Windows). These include: Directory Opus (https://www.gpsoft.com.au/), Total Commander (https://www.ghisler.com/) plus many others. Standalone zip programs include: WinZip (https://www.winzip.com) and PKZIP (https://www.pkware.com/). Some of these programs can password protect the zip file while others also allow for the encryption of files (with the use of a digital signature). Recent versions of Windows Explorer (such as Windows 7 or 10) can open zip files, including password protected (but not encrypted) zip files. *Apple Mac*: the ability to zip files is built into the Apple Mac operating system via Finder, but to password protect the zip file it will be necessary to use other software. For a replacement to Finder there is, among others, Path Finder (https://www.cocoatech.io) which can create password protected zip files.

- copying one or more files into an encrypted container and providing the encrypted container[11];
- sending the file(s) by encrypted email so that the file(s) are protected in their transit from the sender to the recipient[12].

- ***Not placing any restrictions on the document at all.*** Of course a drafter of an agreement can send it electronically without any of the restrictions identified immediately above (eg just as a normal Microsoft Word document). In this case the receiving party will be free to amend the document as it wishes even if the sending party says it will not accept changed documents back.

Whatever method is used, the recipient of the document can (with the right tools) create a version of the document and return a revised version to the sender[13]. This will still leave the sender with the problem of which version of the document to use.

11.3 Metadata

There is no precise definition as to the meaning of 'metadata', other than it is 'data about data'[14]. Such a definition is of no real help in understanding what it is and why it raises important issues concerning electronic documents. For the purpose of this section it means data whose content is normally not seen by the person working on a document.

[11] There are a number of possible ways of doing this. The principal way considered here is to create a disk within a file (with encryption software), which is then loaded using the encryption software and becomes another disk drive available in Windows or Apple Mac. It is then possible to copy files to and from it. Once it is unloaded the disk appears to be just another file in Windows or Apple Mac and it is possible to copy it. There are other ways of encrypting data, including encrypting the whole of a computer disk/partition prior to or after the booting of Microsoft Windows or Apple Mac OS X. The former methods will not allow for the copying of word-processing files in a secure fashion. The latter methods are designed to protect the whole of the data stored on a computer if the computer is lost or stolen.

[12] This is principally through obtaining a digital signature, installing it in an email program and then choosing (at the time an email is sent) whether the email (and any attachments) is encrypted. It is also possible digitally to sign an email (with its attachment) so that the email is not encrypted; but if the contents are changed then the fact that the email or any attachment is changed will become apparent. Microsoft Outlook provides for the installation of a digital signature at the following place: Alt, F (file), T (options), scroll down to Trust Center, Alt-T (Trust Center Settings, scroll down to Email Security, Alt-G (Get a Digital ID), which will direct you to a Microsoft web page with providers of digital signatures.

[13] For example, a document provided in hard copy can be scanned and then turned into text with optical character recognition software. Or text in a document provided as a PDF can be copied and then reformatted (unless copying of text from a PDF is disabled through password protection). There is also software available which will extract the text and the formatting from a PDF. This recreation process can be time-consuming, however.

[14] For readers who are interested in such technical matters, see https://en.wikipedia.org/wiki/Metadata. For Microsoft documents see https://support.microsoft.com/en-us/office/view-or-change-the-properties-for-an-office-file-21d604c2-481e-4379-8e54-1dd4622c6b75.

11.3.1 What kind of information does metadata consist of?

A modern word-processing document, created or edited in a word processor such as Microsoft Word may contain[15]:

- personal details (name of the user of the computer, initials of that user, company or organisation name, contact details)[16];
- details about the computer (the computer's name, name of network server the computer is using or hard disk where document saved);
- file properties for the file (eg name of the author of the document, the name of the manager, company name, and any other added in the available fields found in the property window)[17];
- document revision marks ('track changes', eg indicating who made specific revisions to the document, when they were made and the contents of text which is amended or deleted)[18];
- comments (indicating who made the comment and of course the text of the comment itself)[19];
- ink annotations[20];
- hidden text (ie text that is formatted as 'hidden' and is not shown as such in a document)[21];

[15] Some metadata is generated automatically on creating or editing a document. Metadata is also obtained from the computer system on which the document and word processer are located, in addition to that created by the users of the computer and the word-processing software.

[16] Such detail is dependent on its being entered in the first place.

[17] Available at *Windows*: Alt, F (File), I (Info) and then on the right-hand part of the Info window click on the option needing changing. To look at more options (and display as a separate window): Alt, F (File), I (Info), QS (Properties button), then scroll down to Advanced Properties; *Apple Mac*: File menu, Properties, and then choose the relevant tab for different sets of information about the document.

[18] Revision marks (track changes) which are accepted are generally not recoverable, if the file which contains/contained them is then saved.

[19] Available at *Windows*: Alt, R (Review), C (Comment); *Apple Mac*: Review Tab, and then choose the relevant Comment feature (or Insert menu, Insert comment). Like revision marks, it is possible to delete them, and then if the file which contains/contained them is saved they are not generally recoverable. However, it is also possible to hide them from view. This cannot be controlled by the sender of a file but by the recipient.

[20] These are made with persons using, for example, a tablet PC or an iPad (able to write on the screen of a computer).

[21] Hidden text, as the name indicates, hides the text on screen and when the document is printed. This option needs to be understood. If the word 'continuing' in the following phrase 'the continuing failure of the law to protect' is hidden, then the phrase will appear as 'the failure of the law to protect'. (How to hide text: *Windows*: select text then Alt, H (Home tab), FN (Font dialog box), then under Effects choose Hidden; *Apple Mac*: select text then File Menu, then Font … (or Command + D), then under Effects, choose Hidden). Unless the following option is chosen then it will not normally be apparent that there is hidden text in a document. The Show/Hide button (Alt, H (Home tab), Show/Hide button) will show all the material which does not display. The other way is to repeat the process used to hide the text.

- details of the last person who worked on the document;
- macros;
- hyperlinks;
- routing information (ie information which is embedded in a document if it is sent via email, showing in simple terms the path the document has taken).

11.3.2 Why is metadata important?

There are several potential consequences of not removing metadata from a document, including revealing:

- personal data or information about the organisation or party who created or edited the document;
- information which might be in breach of client confidentiality (if the document is created or edited by lawyers or others working under professional rules);
- data or information which is commercially sensitive, confidential or simply embarrassing if revealed to the other side or a third party.

Not all metadata is damaging to a party or should not be revealed to other parties. For example, a law firm, in creating an agreement for a client, would normally record in the file properties window details concerning the firm (such as its name, contact details of the lawyer, reference numbers and so forth, etc). There is normally no issue with revealing such information (whether to the client, or to a third party if the client wishes the document to be sent on to the third party). But the same document might also contain revision marks, comments or hidden text which were made by the lawyer and the client, and the client may not have explicitly considered whether such information:

- is sensitive; or
- should only be seen by lawyer and client; or
- should be deleted before sending the document to the third party.

To take a couple of examples:

- The client's representative inserts a comment in the draft agreement as a memo that they should check whether the pricing information in the draft agreement should be the stated figure or be a different amount which a customer of the client will have to pay. The draft agreement is returned to the lawyer who is normally diligent in checking for all changes. However by accident the 'display comments' functionality is turned off[22]. As only track changes are displayed, it is assumed that there are no comments in

[22] For example, by typing Alt, R (Review Tab), TM (Show Markup); *Apple Mac*: Tools menu, Track Changes, Highlight Changes to turn on/off features.

the document[23]. The draft agreement is sent to the other party. The other party will be able to see the comment and potentially gain a negotiating advantage through knowing that the client is prepared to accept a different price.

- The client wishes the lawyer to prepare a draft agreement for a new contract. The lawyer's firm does not have a precedent library (or someone responsible for preparing previously used agreements for re-use). However, a colleague has provided to the lawyer an agreement used in another transaction which contains a number of observations using the comments feature of the word processing software, but these have not been removed before sending the document to the other side. If they are of a personal nature, then they might be embarrassing if revealed.

Equally serious issues concern:

- the breaching of client confidentiality (for lawyers if metadata which identifies another client remains in a document); or
- the breaching of obligations under the Data Protection Act 2018 (clients or lawyers, where details are in a document which reveals personal information about individuals unconnected with a transaction).

These will commonly arise where an existing document is reused for a new deal but any relevant metadata is not deleted. If any litigation results from an agreement, the discovery process in litigation may nowadays involve electronic searching and production of data held on computers by a party involved in the litigation, which can include mining metadata[24].

The authors' law firm regularly receives agreements from clients or the other side in a transaction that contain clear references to parties and matters relating to another transaction. There is no single method which will avoid this occurring other than a clear policy in every organisation on the creation, amending and exchange of documents. This could involve, as a relatively low-cost starting point, training all users (including repeat training) in the issues involved in using electronic documents, some of which are set out in this chapter[25]. A further step would be for agreement drafters to have clear rules on the creation of new agreements, including:

[23] In this example, the lawyer also fails to run a file comparison, which if run would reveal any comments as well as any hidden text.

[24] The implication being that if metadata is removed it would not normally be available for recovery during the discovery process in litigation. However, this is subject to the metadata not being removed at a time when litigation is threatened or actually taking place. Balanced against the desire to remove metadata are reasons why a party would wish to retain some of it. For example, notes made in a document (via the use, eg, of the Comments function in Microsoft Word) of the pre-contract negotiations are unlikely ever to be useable as evidence in a court case, but a note which indicates an assumption or a fact that was known to both the parties (and even better if both parties were in agreement on) before they entered into the contract might.

[25] Which is likely to involve some understanding of what is metadata in a word-processing program, and the key features of the word-processing program which generate, store or constitute metadata.

- forbidding the creation of new agreements from previously used ones (unless they are cleansed of all transaction-specific metadata first);
- creating agreements only from a documented precedent/template database (preferably with usage notes)[26];
- making a specific person responsible for implementing, adding to and maintaining the precedent database and for cleansing documents of metadata which are for use as templates[27].

The use of a precedent bank of standard agreements is a method commonly used by firms of lawyers as the starting point for new agreements[28].

11.3.3 How to remove metadata

There are a number of methods which are possible:

- *Copy content of an existing document to a new document.* This will remove some but not all of the metadata—principally it will remove revision marks (track changes) but not any comments[29].
- *Print the document to PDF.* This process removes most but not all metadata (potentially that which could be most damaging), but does not allow the other party to edit the document[30].
- *Follow the instructions of the supplier of the word processor on removing metadata.* The main suppliers of word-processing software all provide a function

[26] There are many ways of accomplishing this, from a full-blown document management system (integrating email, file management and time recording), to document/agreement automation software, to a simple list of templates/precedents available via an intranet web page or in a word-processed document. There are many document-management system software programs available, often tailored to particular industries and professions, including the legal profession (see https://www.venables.co.uk/lawyers/systems/ for a starting point as to UK suppliers of such software). For automation of document creation, again there are many systems to help with this. For an overview see https://legalsolutions.thomsonreuters.co.uk/en/explore/definitive-guides/document-automation-law-firms.html.

[27] This will in turn depend on the contract drafters being systematic in providing the changes they have made or new versions of existing wording to the person responsible for maintaining the precedent database.

[28] Which is likely to involve some understanding of what is metadata in word processing software, and the key features of the word processing software that generate, store or constitute metadata.

[29] For example (in Microsoft Word), *Windows*: Ctrl + A (to select all), Ctrl + C (to copy), Ctrl + N (to create a new document), Ctrl + V (to paste the contents of the new document); *Apple Mac:* Command + A (to select all), Command + C (to copy), Command + N (to create a new document), Command + V (to paste the contents of the new document). Note: that if the text contains any comments these are retained when pasting into a new document (even into some other word processors such as LibreOffice). However, track changes are not retained, only the text as amended.

[30] Although it appears some track changes and comments information may be retained where a document is printed to PDF.

to remove most forms of metadata. The steps involved in doing this in Microsoft Word are detailed in Chapter 10[31].

- *Use third-party software to remove metadata.* There are several providers of software which aim to remove metadata in a more automated and thorough way than is available with word processors themselves[32].

11.3.4 Should a lawyer look at the metadata in a document received from another party?

Surprisingly there appears to be no guidance (let alone a professional rule) concerning this issue for lawyers operating in England and Wales. In the US, the right of a lawyer to look at the metadata in a document appears to vary from state to state, with some allowing it, others not allowing it and the remainder not taking a stance at all[33]. The national American Bar Association does not forbid this at present[34].

11.4 Electronic signatures

An electronic signature performs essentially the same function as a 'traditional' signature[35]. It is a method for a person or organisation to identify itself and:

- to authenticate the electronic data; or
- to agree to or approve the contents of electronic data,

to which the electronic signature is attached. Electronic signatures (and electronic communications) are now recognised in law[36].

Every day millions of electronic signatures are used when entering into contracts to order goods or services online or where information is requested or a social network is joined. The following are some examples:

[31] At **10.5.7** 'Clearing the document of metadata'.

[32] Such as Metadata Assistant from the Payne Consulting Group (https://www.payneconsulting.com now part of https://www.bighand.com); Metadact (https://www.litera.com).

[33] For New York it appears to be 'an impermissible intrusion on the attorney-client relationship in violation of the Code', see https://nysba.org/ethics-opinion-782/.

[34] See rule 4.4 of the Model Rules of Professional Conduct and the comment to the rule (https://www.americanbar.org/groups/professional_responsibility/publications/model_rules_of_professional_conduct/rule_4_4_respect_for_rights_of_third_persons/).

[35] ie one written by hand (or with the use of a stamp). See **1.11**. Readers interested in knowing about the functions of signatures generally should consult Anderson and Warner, *Execution of Documents—A Practical Guide* (3rd edn, 2015, Law Society). 4th edition forthcoming in 2023.

[36] Following the implementation of Electronic Signatures Directive (Directive 1999/93/EEC) and Electronic Commerce Directive (Directive 2000/31/EC), into English law by the Electronic Communications Act 2000 and the Electronic Signatures Regulations 2002, SI 2002/318. The book mentioned in fn 35 above includes an outline of this law at Chapter 31 (and the forthcoming edition will include practical information on using electronic signatures).

- a person typing their name in an email;
- a signature written by hand, scanned into a computer, saved as a graphic, and that graphic being inserted into word-processing documents and emails;
- a person 'clicking' on various buttons on an internet site, such as when placing an order; or
- a digital signature.

Since 2020 it appears, from the author's experience, a large percentage of commercial agreements now use digital signing technology such as DocuSign or Adobe Sign. The use of such methods has a number of advantages including:

- providing a record of when each party signs a document;
- being able to control the sequence in which a document is signed; as well as
- not having to rely on a signatory not correctly signing or returning the right part of an agreement (if physically printing off a page, signing it, and scanning it and returning it), etc.

Although the use of traditional 'real' signatures has reduced, there is still a practical advantage to using a traditional handwritten signature which is that in the event of a dispute as to whether, for example, the managing director of a particular company has signed an agreement[37], it is much easier to show that a physical signature on a paper version of an agreement is that of an individual. It is much more difficult to prove that an electronic or digital signature on an electronic document is that of an individual and to demonstrate that the electronic document, in its travels through various computer systems around the world, has not been altered or that the data has not been tampered with by a third party. Even in the case of the most secure kinds of digital signature, their use depends on use of a password (to which others might be given or unlawfully obtain access) and it may be more difficult to establish a forgery than in the case of an idiosyncratic physical signature[38].

[37] By comparing the signed document against other documents signed by the individual whose signatures it purports to be. Although, nowadays, it will be almost unique for a case to turn on whether a document has been signed by the right person (ie that the signature showing the name Jane Smith has been signed by Jane Smith).

[38] Although this may become less of an issue, where for online services and accounts it is now possible (or sometimes required) to use two-factor authentication. However, how this would apply to a traditional commercial agreement is not clear at present.

11.5 Email (and other forms of communications) policies

Consider the following example of a junior lawyer in a law firm who is responsible for preparing a draft agreement. The client of the law firm is a multi-national and is entering into a commercial agreement with another multi-national. The junior lawyer is in contact with a board director of the client over some provisions (as authorised by the line manager of the junior lawyer). The board director prefers to communicate by WhatsApp, and as the board director has the junior lawyer's mobile phone number the board director starts communicating with the junior lawyer. The junior lawyer, not wanting to displease an important client, 'goes with the flow' and responds to the message and continues to communicate with the board director via WhatsApp, despite the policy of the law firm being that any written communications regarding legal work be by use of email only. The board director communicates important information or asks for changes to the agreement. Because of time pressures the junior fails to communicate the information or make the changes. Similar to email, messages sent through WhatsApp cannot be controlled before sending, however, a file note or email can at least be viewed by others in the law firm after they are sent. WhatsApp messages will remain on the junior lawyer's device and will not be integrated into the law firm's systems. The failure to communicate the information or make the change may be too embarrassing for the junior lawyer to reveal.

As the above simple example suggests, the use of email and other forms of communications makes it easier for persons in an organisation to be 'cut out of the loop' in the process from negotiation through to final agreement, whether deliberately or by chance. Accordingly, it is entirely possible for a junior member of staff of one party to engage in negotiations via the use of email, text message or WhatsApp with another party and not inform their manager, and then purport to enter into an agreement.

Since the last edition in 2017 this is an issue which has only become worse in that any person in an organisation can communicate through non-work devices and in more ways. Also, many people now prefer to communicate through text messages or WhatsApp chats.

Even if a junior employee does not enter into an agreement, the result of their efforts could be that they might make a representation or make a 'collateral' agreement which is not reflected in the main agreement. Although many commercial agreements include clauses designed to avoid such eventualities[39],

[39] Normally called 'entire agreement' clauses. See **6.5.23.9** for a brief outline of the problems involved with entire agreement clauses.

the courts have held that the wording used in such clauses is not always effective in making such representations ineffectual[40].

The problem is a technical one, in that it is difficult to prevent a person who can send an email, text message or WhatsApp message from doing so, and to do so without obtaining the prior knowledge or the approval of another. Consequently, if these forms of communications are part of the process of negotiations and the main form of communications used by organisations, there is a need to have clear policies regarding their use, including:

- generally that employees receive training on how their organisation carries out negotiations, information on reporting structures, as well as the practicalities of dealing with the types of issues that need the approval or consideration by more senior staff and those that do not;
- more specifically:
    - that communications in whatever form sent or received by a particular individual are copied to relevant other persons in the organisation[41];
    - that communications and any attachments (particularly drafts of agreements) are filed on the organisation's computer systems so that others can access them (and so that they do not get deleted by the email's archiving or deletion feature)[42].

11.6 Security of files[43]

Exchanging documents is easy, but their contents are also easy to view without additional protection. There are two particular issues here:

- whether an individual document needs protection; and

[40] Particularly so where there is a complex sequence of negotiations or where the deal is complex. For more information see the authors' *Macdonald's Exemption Clauses and Unfair Terms* (3rd edn, 2022, Bloomsbury Professional). The *A–Z Guide to Boilerplate and Commercial Clauses* (4th edn, 2017, Bloomsbury Professional) contains examples of entire agreement clauses.

[41] The other side of the coin is that more people than necessary are copied in on emails. A person who is tangentially linked to a negotiation or whose involvement should be limited only to serious matters may be copied in on every email—even the most mundane and routine ones. In such situations, a person may receive a deluge of emails and, due to the number received, may overlook the very email that requires their immediate attention. A further problem is that when a serious issue is raised, instead of a contract negotiator alerting someone at a senior level about the issue and explaining what the issue is, the senior person may be simply copied into an exchange of emails, and the issue may be buried in an email trail.

[42] Document-management system software can deal with this issue by automatically filing all emails sent and received (or by creating a record in the software) with other related items (subject always to the user setting up the software correctly and using it as it is intended on a systematic basis). However, the cost involved in purchasing such software and the time needed to tailor it to the needs of the particular organisation and implementing it (as well as training employees in using it) is substantial.

[43] This chapter does not deal with the merits of the different technologies in terms of their strength in stopping someone from overcoming that particular technology's protection.

- whether where the document is (electronically) located and from where it is sent also need protection.

11.6.1 Protection of individual documents

Whether it is worth protecting the contents of documents depends on whether the contents contain sensitive, commercial, confidential or technical data which is valuable. In the authors' experience, across a wide range of commercial and non-commercial organisations and among many law firms (from specialist, niche law firms to large law firms in the UK and abroad, particularly the US) the protection of documents themselves usually does not take place[44]. This could be because:

- the exchange of documents is normally between those who are intended to use them[45]; and
- the users of documents expect to be able to comment on and amend them.

Imposing restrictions, by adding password protection to a file makes this process more difficult and raises the irritation level of those who encounter such restrictions[46]. Although there are technical solutions to this issue, such as password management software which can operate on a network basis (with the database of passwords being stored (in an encrypted form) on Dropbox or iCloud)[47]. For example, a client and lawyer could have access to the password management software, and if the lawyer password protects a file, and adds the password to the password program, the client could, by accessing its copy of the password program, then access the password for the file. Such an approach would require the parties to install and set up the software in advance and set a password so that both can access the passwords stored in the password software.

The following are some suggestions where a user does wish to protect a document.

Preventing unauthorised changes in Microsoft Word

Microsoft Word provides a number of options to prevent unauthorised changes:

[44] This is separate to the issue of whether the computer on which a document is stored is secure. Some issues on this point are dealt with below.

[45] And the risk they will fall into the hands of a third party is, or is considered to be, low.

[46] For example, if a password is added to a word-processing file then the sender of the document has to let the recipient know the password. If the password is enclosed within an email, then if the email is seen by someone other than the intended recipient, the document is no more secure than without a password. If the password is disclosed orally, then the recipient will either need to remember it (not feasible if other than a non-secure password), or write it down. If the recipient needs to pass the document on to others, s/he will hardly wish to tell each recipient the password verbally. This is the part of 'irritation' factor mentioned earlier in this chapter.

[47] For example, 1Password for Teams (https://1password.com/teams/).

- *opening otherwise unprotected documents, in 'read-only' mode.* This offers the option to the user opening a document to do so in read-only mode or in 'normal' editing mode. This is no more than a warning signal;
- *requiring a password to make changes to a document.* The user can open the document without entering a password. But to make changes which the recipient wishes to keep, the user will need to save the document under a different file name (the document under the new file name will lose the protection). This is only useful where the sender wishes to be sure that the file they have sent when returned is not changed[48];
- *preventing 'hidden' changes to the text of a document but allowing comments or revision marks.* Microsoft Word also can restrict, via a password, changes to a document so that it is only possible to add comments to the document or (separately) any changes made are marked as revision marks (whether displayed on screen or not). Allowing only the making of comments will not permit the changing of the text in a document. Only permitting revision marks will allow changes to the text but they are always marked as revisions. Neither will stop the copying of the text into a new document[49].

Other methods:

- *Printing the document to PDF.* This method, while stopping direct changes to the text contained in the PDF will not stop the contents being copied and the copied version being used outside the PDF as the basis of the version sent back by the recipient[50].

[48] There appears to be a flaw, as opening a Microsoft Word file with this type of protection directly from Outlook does enable the recipient to add text and save the document under its existing file name. However, a subsequent opening of the file, outside of Microsoft Outlook, will indicate that the file is read only.

[49] Via the Restrict Editing function which, once implemented, is controlled by a password (ie the function cannot be turned off by the recipient if s/he does not have the password). There are various levels of restriction that it is possible to add from making a file read only, to allowing track changes only, comments only or allowing only any form fields to be filled. Where the restriction relates to track changes, it allows the recipient of the document only to make track changes or only to make comments (ie it is not possible to add text to the document without track changes being switched on). If the restriction relates to comments, it is not possible to alter the existing text at all, but only to add comments. To locate this function: *Windows*: Alt, R (Review Tab), PE (Restrict Editing), choose the type of editing restriction required in the window/side bar that appears and click on 'Yes, Start Enforcing Protection' and enter password; *Apple Mac*: Tools menu, Protect Document, in Password Protect window click next to 'Protect document for' to enable, then click on 'Tracked changes' and enter password in box for 'Password (optional)', then click on 'OK' button.

[50] It is also possible at least with some programs which create PDFs to configure the software so that the contents of the resulting PDF cannot be copied (other than taking screenshots, ie where the text will be images). Some PDF software enables a PDF to be converted into other formats (eg Microsoft Word format), such as the full version of Adobe Acrobat (both Windows and Apple Mac) or PDFPen Pro (Apple Mac only), which retain (or attempt to retain) all the formatting and layout of the original PDF. There are a number of websites which offer this conversion too (at no charge). However, sending a document with confidential information to one of them will first need careful consideration and investigation of the website.

- *Controlling access to the document with a password.* If the sender of a document wishes to control access to the contents of the document then use of a password is the only realistic option[51]. Microsoft Word does provide this feature, and in so doing encrypts the file[52].
- *Restricting access to the document with third-party encryption and other software*[53]. This is most probably suitable where there are a number of documents and the sender does not wish to set a password (or other restricting means) for each document.

11.6.2 Protection of computer on which documents reside

The above methods are aimed at controlling access to a document after it leaves the sender's computer. It is also necessary to consider controlling or restricting access to the document on the sender's computer. This latter issue is of greater importance as many users of computers now use laptops and other mobile devices to work away from any specific location. Also the amount of information stored on such devices can only increase[54]. A storer/sender of a document might have confidential, commercial or technical information from their own organisation stored on a mobile device, as well as that of the other party in a transaction, and from third parties. If all that is stored are documents, the amount of space on a device is not normally an issue, so there is little incentive for many users to remove documents and other information.

For users concerned about this there are several methods of securing a device; such as:

- the encryption of the whole, or parts of, the device[55];
- strong login passwords (and which are changed frequently);
- automatically locking the screen after a short interval; and

[51] In Microsoft Word: *Windows*: Alt, F (File), A (Save As), Choose location (ie OneDrive, This PC, etc, then specify the exact location, add filename), click on 'Tools' icon (or Alt+L then down arrow), G (General Options), then type password for 'Password to open', etc. Alternative for *Windows*: Alt, R (Review Tab), PE (Restrict Editing), under '2. Editing Restrictions' choose 'No changes (Read only)' and click on 'Yes, Start Enforcing Protection' and enter password; *Apple Mac*: Tools menu, Protect Document, in Password Protect window click next to 'Protect document for' to enable, then click on 'Read only' and enter password in box for 'Password (optional)', then click on 'OK' button.

[52] Encryption prevents anyone using other programs from seeing the text of the document. It is possible to open a normal Microsoft Word document in a text editor (such as on Windows, Notepad, NotePad++ and many others, and on Apple Mac, TextEdit) and extract the text. Encryption prevents this.

[53] See Using external methods to restrict access under **11.2.3** above.

[54] Even with the growth of users storing more and more information and data on a variety of cloud services such as DropBox, iCloud or OneDrive.

[55] In Windows 10, using Bitlocker (Settings/System/About/Bitlocker (apparently available only in Windows 10 Enterprise and Professional). For Apple OS X, FileVault. Apple provides its software with tools which can remotely erase the device's data if it is stolen. There are also third-party suppliers which offer such protection.

- use of software so that little data is stored on the device itself, with applications and data being accessed only through a cloud service.

However, whichever means are used, they are only as good as the weakest point—which is normally the point where a user leaves the machine on but not locked (so that anyone coming by can just start typing), or the use of simple, easy to guess passwords.

11.7 And finally …

This chapter primarily involves the use of electronic methods of dealing with documents, so the following are two electronic methods to help the drafter draft a better agreement:

- ***Checking for consistency in an agreement.*** It is possible to carry out a comparison of a version of an agreement with a different version. But none of the features in any word processor (or third-party file comparison software) will proof read the document (ie to check such things as whether:
  - o there is any missing punctuation;
  - o an opening bracket—'('—is followed by a closing bracket—')';
  - o a defined term is used properly in an agreement; or
  - o a word which is shown as being a defined term actually has an accompanying definition).

  This is the traditional task of a proofreader. In reality such a task requires careful (and laborious) reading of the document. There is now software which can check for such matters and remove some of the drudgery of the basic checking for these types of things[56]. No software, however good, will deal with whether the words make commercial sense, reflect what the parties agreed or deal with such matters as whether a comma is placed in the correct place (which although grammatically correct, changes the meaning or intended outcomes of a contractual provision).

[56] One of these software programs, after checking through a document, can present a list of the words which appear both with an initial capital and without. For example, if there is a definition of 'Commencement Date', the software can show a list of all the times the words appear as 'Commencement Date' and all the times it appears as 'commencement date'. It is possible to see just the versions in lower case ('commencement date') at the places they appear in the document. This can speed up checking for such discrepancies and whether they need fixing. The PerfectIt app provides the functionality (see https://www.intelligentediting.com, Windows and cloud versions only). A more corporate version is available from Thomson Reuters (Drafting Assistant, https://legal.thomsonreuters.com/en/solutions/fast-track-drafting. An alternative for some of this functionality is at http://www.archivepub.co.uk/index.html, which is a collection of Word macros (for both Windows and Apple Mac), but depends on the user running a series of individual macros and which they need to know how to install.

- ***Writing simpler, clearer English***. In Chapter 3 there is a description of several techniques on how it is possible to draft agreements more clearly and simply. These depend at least in part on an understanding of the rules of grammar. Nothing can replace learning these and learning how to use them over time[57] and no electronic tools can realistically replace such knowledge. Microsoft Word does come with a grammar checker but the quality of its checking (let alone understanding its results) is open to debate[58]. For best use it needs to be configured and the user needs to understand in detail what it can do and what it cannot pick up in a document. It is not designed to assist drafting, although such programs do exist[59].

[57] By studying guides such as Gowers and Gowers *The Complete Plain Words* (2015, Penguin); Cutts *Oxford Guide to Plain English* (5th edn, 2020, Oxford University Press), plus many others.

[58] In the authors' view, the quality of Microsoft Word's grammar checker is best expressed in the following way: 'As a result of my testing, I am convinced that this feature works well for good writers and not for bad ones. Good writers follow most of the rules and this feature can help them on the margins. If you are a bad writer with a poor understanding of the rules, this feature will not help you at all' (see the website of Professor Sandeep Krishnamurthy, http://faculty.washington.edu/sandeep/check/). These views were expressed some years ago. It is likely Microsoft has worked on the grammar checker, but some of the examples referred to by Professor Krishnamurthy are still present. There are also third-party programs which carry out grammar checking independent of Microsoft Word.

[59] For example, StyleWriter (https://www.editorsoftware.com/) plus several others.

Appendix

Sample agreements

The purpose of these sample agreements is to illustrate:

- the main commercial and legal issues that typically appear in basic and simple commercial agreements;
- the types of clauses that most often appear; and
- the layout, spacing, headings and numbering schemes, etc of modern commercial agreements.

They are not for use in 'real life'.

In Precedent 1 individual clauses or words have footnotes with references to further information available in this book.

For more detailed explanations and examples of further or alternative wording, users should consult the companion book to *Drafting and Negotiating Commercial Clauses, A–Z Guide to Boilerplate and Commercial Clauses*[1].

Precedent 1: Specimen contract, in the form of an agreement

CONSULTANCY AGREEMENT[2]

THIS AGREEMENT dated_____202[ ] is made by and between[3]*:*

1) **ABC LIMITED**, a private limited company incorporated in England and Wales under company number 0123456789, and whose registered office [and principal place of business] is at Townhouse, 1 Status Street, Rightshire OP99 1LD (the 'Company'); and

2) **ANDERSON CONSULTANTS PLC**, a public limited company, incorporated in England and Wales under company number 987654321, and whose registered office [and principal place of business] is at The Garden Shed, Little Acre Lane, Stoney, Littleshire OX23 5PD (the 'Consultant')[4].

[1] Bloomsbury Professional Publishing, 4th edn, 2017.
[2] For information on titles of agreements, see **2.3**.
[3] For more information on the date of an agreement see **2.4**.
[4] For more information on the parties see **2.5**.

RECITALS[5]**:**

A The Company is considering making an investment in a new business venture, more fully described in the Business Plan (which is attached to this Agreement as Schedule 1).

B The Consultant is experienced in the provision of business consultancy services.

C The Company wishes to commission the Consultant to investigate the potential market for the products described in the Business Plan and to prepare a report and recommendations, as are more fully described in the Specification, and the Consultant is willing to provide such services subject to the provisions of this Agreement.

THE PARTIES AGREE AS FOLLOWS[6]**:**

1 Definitions[7]

In this Agreement, the following words have the following meanings:

Business Plan	The document attached to this Agreement as Schedule 1, as amended from time to time by agreement between the Parties.
Commencement Date	1 March 2023.
Compliance Date	1 June 2023.
Compliance Letter	The letter set out in Schedule 3 to this Agreement.
Net Sales Value	The invoiced price of Products sold by the Company in arm's length transactions exclusively for money or, where the sale is not at arm's length exclusively for money, the price that would have been so invoiced if it had been at arm's length exclusively for money, after deduction of normal trade discounts actually granted and any credits actually given, any costs of packaging, insurance, carriage and freight, any value added tax or other sales tax, and any import duties or similar applicable government levies.
Parties	The Consultant and the Company, and 'Party' shall mean either of them.
Products	Any and all of the products described in the Business Plan.

[5] For more information on recitals see **2.6**.
[6] For information on introductory wording to the operative provisions of the agreement see **2.7**.
[7] For more information on definitions see **2.8**. See also **3.9**.

Services	The services and other obligations to be performed by the Consultant as described in the Specification.
Specification	The document attached to this Agreement as Schedule 2, as amended from time to time by agreement between the Parties.

2 Condition precedent[8]

It is a condition precedent to the coming into effect of this Agreement that the Consultant shall have signed and delivered the Compliance Letter to the Company no later than the Compliance Date. If the Compliance Letter is not signed and delivered by the Compliance Date, this Agreement shall not come into effect.

3 Services

3.1 The Consultant shall provide the Services to the Company from the Commencement Date.

3.2 The Consultant shall use its best endeavours[9] to complete the Services, including delivery of a final report to the Company, by 1 June 2023.

3.3 The Consultant shall provide the Services in such places as the Company may reasonably specify. Whenever the Consultant or the Consultant's staff work on Company's premises, the Consultant shall ensure their compliance with the Company's security, fire, health and safety rules and procedures.

4 Payments[10]

4.1 *Fixed amounts*: In consideration[11] for the Services, the Company shall pay to the Consultant the following amounts on the following dates:

(a) £100,000 (one hundred thousand pounds sterling) within 30 days of the date of this Agreement; and

(b) £100,000 (one hundred thousand pounds sterling) within 30 days of the first anniversary of the Commencement Date,

[8] For information on conditions precedent (and conditions subsequent) see **2.9**. Note this sample agreement does not spell out the consequences if the condition precedent is not fulfilled.

[9] For information on best endeavours, reasonable endeavours and all reasonable endeavours see **5.5**.

[10] For information on payments see **5.6**. See also **8.4.8**, **8.4.53**, **8.4.65**, **8.4.71**. For information on the use of amounts (as numbers or written out) and formulas see **3.12**, **3.13**.

[11] For information on consideration see **1.5**.

4.2 *Royalty*: In further consideration for the Services, the Consultant shall pay to the Company a royalty of 5% (five per cent) of the Net Sales Value of all Products sold by the Company during the period of 10 years from the Commencement Date.

4.3 *Payment terms*

(a) Royalties due under this Agreement shall be paid within 60 days of the end of each quarter ending on 31 March, 30 June, 30 September and 31 December, in respect of sales of Products made during such quarter, and within 60 days of the termination of this Agreement.

(b) All sums due under this Agreement:

(1) are exclusive of Value Added Tax which where applicable will be paid by the Company to the Consultant in addition;

(2) shall be paid in pounds sterling by cheque made payable to 'AZLC Offshore Account', and in the case of sales income received by the Company in a currency other than pounds sterling, the royalty shall be calculated in the other currency and then converted into equivalent pounds sterling at the buying rate of such other currency as quoted by National Westminster Bank plc as at the close of business on the last business day of the quarterly period with respect to which the payment is made; and

(3) shall be made without deduction of income tax or other taxes charges or duties that may be imposed, except insofar as the Company is required to deduct the same to comply with applicable laws.

4.4 *Royalty statements*: The Company shall send to the Consultant at the same time as each royalty payment is made in accordance with Clause 4.3(a) a statement setting out, in respect of each territory or region in which Products are sold, the types of Product sold, the quantity of each type sold, and the total Net Sales Value in respect of each type, expressed both in local currency and pounds sterling and showing the conversion rates used, during the period to which the royalty payment relates.

4.5 *Records*

(a) The Company shall keep at its normal place of business detailed and up to date records and accounts showing the quantity, description and value of Products sold by it on a country by country basis, and being sufficient to ascertain the royalties due under this Agreement.

(b) The Company shall make such records and accounts available, on reasonable notice, for inspection during business hours by an independent chartered accountant nominated by the Consultant for the purpose of verifying the accuracy of any statement or report given by the Company to the Consultant under this Clause 4. The

accountant shall be required to keep confidential all information learnt during any such inspection, and to disclose to the Consultant only such details as may be necessary to report on the accuracy of the Company's statement or report. The Consultant shall be responsible for the accountant's charges unless the accountant certifies that there is an inaccuracy of more than 5% in any royalty statement, in which case the Company shall pay his charges in respect of that inspection.

5 Warranties, liability and indemnities[12]

5.1 Each of the Parties warrants that it has power to enter into this Agreement [and has obtained all necessary approvals to do so].

5.2 Each of the Parties acknowledges that, in entering into this Agreement, it does not do so in reliance on any representation, warranty or other provision except as expressly provided in this Agreement, and any conditions, warranties or other terms implied by statute or common law are excluded from this Agreement to the fullest extent permitted by law[13].

5.3 Except in the case of death or personal injury caused by the Consultant's negligence, the Consultant's liability under or in connection with this Agreement, whether arising in contract, tort, negligence, breach of statutory duty or otherwise howsoever, shall not exceed the sum of £1,000,000 (one million pounds sterling) in aggregate[14].

5.4 Neither Party shall be liable to the other Party in contract, tort, negligence, breach of statutory duty or otherwise for any loss, damage, costs or expenses of any nature whatsoever incurred or suffered by that other Party that (a) are of an indirect or consequential nature or (b) consist of any economic loss or loss of turnover, profits, business or goodwill.

6 Confidentiality[15]

6.1 Each Party shall:

(a) maintain in confidence any information provided to it directly or indirectly by the other Party under, or in anticipation of, this Agreement, taking such reasonable security measures as it takes to protect its own confidential information and trade secrets;

(b) use such information only for the purposes of performing its obligations under this Agreement; and

[12] For information on warranties see **5.7** and concerning liability and indemnities see **5.8**. See also **8.4.63**.
[13] For information on entire agreement clauses and misrepresentation see **6.5.23.9**.
[14] For information on exemption clauses, including clauses which exclude or limit liability see **6.5.23** and following pages.
[15] For information on confidentiality see **5.9**.

(c) not disclose such information to any other person, other than to employees and consultants who (in each case) have accepted obligations of confidentiality and non-use equivalent to the provisions of this Clause 6 and who need to have access to such information in connection with the performance of this Agreement.

6.2 The obligations set out in Clause 6.1 shall not apply to any information which the Party receiving the information ('Receiving Party') can prove by written records:

(a) was already lawfully in its possession prior to receiving it from the other Party;

(b) was already in the public domain when it was provided by the other Party;

(c) subsequently enters the public domain through no fault of the Receiving Party;

(d) is received from a third party who has the lawful right to provide it to the Receiving Party without imposing obligations of confidentiality; or

(e) is required to be disclosed by an order of any court of competent jurisdiction or governmental authority, or by the requirements of any stock exchange on which the shares of the Receiving Party are listed or are to be listed, provided that reasonable efforts shall be used by the Receiving Party to secure a protective order or equivalent over such information and provided further that the other Party shall be informed as soon as possible and be given an opportunity, if time permits, to make appropriate representations to such court, authority or stock exchange to attempt to secure that the information is kept confidential.

7 Duration and termination[16]

7.1 *Commencement and termination by expiry*: Subject to Clause 2, this Agreement shall come into effect on the Commencement Date and, unless terminated earlier in accordance with this Clause 7, shall continue in force until all obligations on either Party under this Agreement have been fulfilled.

7.2 *Early termination*

(a) The Company may terminate this Agreement at any time on 90 days' notice in writing to the Consultant.

[16] For information on commencement and duration see **5.3**. For information on termination and consequences of termination see **5.10**.

(b) Without prejudice to any other right or remedy it may have, either Party may terminate this Agreement at any time by notice in writing to the other Party ('Other Party'), such notice to take effect as specified in the notice:

(1) if the Other Party is in [material][substantial][17] breach of this Agreement and, in the case of a breach capable of remedy within 30 days, the breach is not remedied within 30 days of the Other Party receiving notice specifying the breach and requiring it to be remedied then this agreement shall terminate automatically without further notice to the Other Party; or

(2) if the Other Party becomes insolvent, or if an order is made or a resolution is passed for the winding up of the Other Party (other than voluntarily for the purpose of solvent amalgamation or reconstruction), or if an administrator, administrative receiver or receiver is appointed in respect of the whole or any part of the Other Party's assets or business, or if the Other Party makes any composition with its creditors or takes or suffers any similar or analogous action in consequence of debt.

7.3 *Consequences of termination*: Upon termination of this Agreement for any reason:

(a) the provisions of Clauses 4 and 6 shall continue in force;

(b) each Party shall return to the other Party any documents in its possession or control which contain or record any of the confidential information of the other Party; and

(c) subject as provided in this Clause 7.3, and except in respect of any accrued rights, neither Party shall be under any further obligation to the other.

8 General[18]

8.1 *Force majeure*: Neither Party shall have any liability or be deemed to be in breach of this Agreement for any delays or failures in performance of this Agreement which result from circumstances beyond the reasonable control of that Party, including without limitation labour disputes involving that Party. The Party affected by such circumstances shall promptly notify the other Party in writing when such circumstances cause a delay or failure in performance and when they cease to do so[19].

8.2 *Amendment*: This Agreement may only be amended in writing signed by duly authorised representatives of the Company and the Consultant[20].

[17] For information on the meaning of 'material' and 'substantial' see **8.4.47**.
[18] For information on 'boilerplate' see **5.11**, **8.4.6**.
[19] For information on force majeure clauses see **5.11.2**.
[20] For information on how the courts interpret amendments see **6.5.3**.

8.3 *Assignment*: Neither Party shall assign, mortgage, charge or otherwise transfer any rights or obligations under this Agreement without the prior written consent of the other Party. However, either Party may assign and transfer all its rights and obligations under this Agreement to any company to which it transfers all or [substantially all] [any part] of its assets or business, provided that the assignee undertakes to the other Party to be bound by and perform the obligations of the assignor under this Agreement[21].

8.4 *Waiver*: No failure or delay on the part of either Party to exercise any right or remedy under this Agreement shall be construed or operate as a waiver thereof, nor shall any single or partial exercise of any right or remedy preclude the further exercise of such right or remedy[22].

8.5 *Invalid clauses*: If any provision or part of this Agreement is held to be invalid, amendments to this Agreement may be made by the addition or deletion of wording as appropriate to remove the invalid part or provision but otherwise retain the provision and the other provisions of this Agreement to the maximum extent permissible under applicable law.

8.6 *No agency*: Neither Party shall act or describe itself as the agent of the other, nor shall it make or represent that it has authority to make any commitments on the other's behalf.

8.7 *Interpretation*: In this Agreement:

(a) the headings are used for convenience only and shall not affect its interpretation; and

(b) references to persons shall include incorporated and unincorporated persons; references to the singular include the plural and vice versa; and references to the masculine include the feminine; and

(c) the Schedules to this Agreement shall form part of this Agreement as if set out here[23].

8.8 *Notices*:

(a) Any notice to be given under this Agreement shall be in writing and shall be sent by first class mail or air mail, or by e-mail (confirmed by first class mail or air mail) to the address of the relevant Party set out at the head of this Agreement, or to the relevant e-mail address set out below, or such other address or email address as that Party may from time to time notify to the other Party in accordance with

[21] For information on (non) assignment clauses see **5.11.4**.
[22] For information on waiver clauses see **8.4.78**.
[23] For information on interpretation clauses see **8.4.43**.

this Clause 8.8. The e-mail addresses of the Parties are as follows: Company—company@abclimited.eu; Consultant—consultant@nousecon.co.uk.

(b) Notices sent as above shall be deemed to have been received three working days after the day of posting (in the case of inland first class mail), or seven working days after the date of posting (in the case of air mail) or on the next working day after sending (in the case of electronic mail) but only if received in the electronic mailbox of the person to whom the electronic mail is addressed)[24].

8.9 *Further action*: Each Party agrees to execute, acknowledge and deliver such further instruments, and do all further similar acts, as may be necessary or appropriate to carry out the purposes and intent of this Agreement.

8.10 *Announcements*: Neither Party shall make any press or other public announcement concerning any aspect of this Agreement, or make any use of the name of the other Party in connection with or in consequence of this Agreement, without the prior written consent of the other Party[25].

8.11 *Entire agreement*: This Agreement, including its Schedules, sets out the entire agreement between the Parties and supersedes all prior oral or written agreements, arrangements or understandings between them. The Parties acknowledge that they are not relying on any representation, agreement, term or condition which is not set out in this Agreement. Without limiting the generality of the foregoing, neither party shall have any remedy in respect of any untrue statement made to it upon which it may have relied in entering into this Agreement, and a Party's only remedy is for breach of contract. However, nothing in this Agreement purports to exclude liability for any fraudulent statement or act[26].

8.12 *Law and jurisdiction*: The validity, construction and performance of this Agreement shall be governed by English law and shall be subject to the exclusive jurisdiction of the English courts to which the parties hereby submit, except that a Party may seek an interim injunction in any court of competent jurisdiction[27].

[24] For information on notices clauses see **5.11.1**.
[25] For information on assignment clauses see **5.11.4**.
[26] For information on entire agreement clauses see **6.5.5**, **6.5.23.9**.
[27] For information on law and jurisdiction clauses see **5.12**.

8.13 *Third parties*: This Agreement does not create any right enforceable by any person who is not a party to it under the Contracts (Rights of Third Parties) Act 1999[28].

AGREED by the Parties through their authorised signatories[29]:

For, and on behalf of **ABC LIMITED**	For, and on behalf of **ANDERSON CONSULTANTS ZLC**
Signature:	Signature:
print name:	print name:
job title:	job title:
date:	date:

[28] For information on Contracts (Rights of Third Parties) Act 1999 clauses see **5.2**, **5.11.5**.
[29] For information on execution clauses see **2.12.1**. See also **8.4.67**.

Schedule 1[30]

Business Plan

Schedule 2

The Specification

Schedule 3

The Compliance Letter

Precedent 2: Specimen contract, in the form of a letter[31]

[name of company, its contact details or printed letterhead][32]

[name of consultant]

[contact details of consultant]

Dear [ ]

Consultancy Agreement

I have pleasure in confirming the following terms and conditions under which you will provide consultancy services as described below and in the attached Schedule 1 (the 'Services') to [*name of company*] (the 'Company').

1 This Agreement will commence as of [*date*] and you will complete the Services by [*date*] or such later date as we may agree in writing.

2 During the consultancy you will give the Company advice and information, carry out studies and make reports as specified in Schedule 1 and in accordance with any reasonable instructions of the Company. The Company's representative(s) for the purpose of giving any instructions and approvals under this Agreement shall be me and such other persons as I may nominate in writing.

3 In consideration of the Services the Company will pay you the fees described in Schedule 1.

[30] For information on schedules see **2.11**.
[31] For information on alternative agreement formats see **2.16**.
[32] If the sender is a company incorporated or regulated by Companies Act 2006 then when a business letter is sent there is certain information about the company that needs to be included. See **2.5** under heading 'Requirement to include name and address of a party'.

4 The Company will reimburse all reasonable expenses properly and necessarily incurred by you in the proper performance of the Services provided that all travel will be undertaken at [the most economic rates reasonably available] and in any event you will agree with the Company in advance any item of expense which is to exceed £[ ].

5 You will raise invoices on the Company (and send them to the above address marked for my attention) showing the fees due and expenses claimed with documentary evidence of such expenses.

6 You will be responsible for the payment of any income tax, insurance contributions or other taxes, revenues or duties arising as a result of the performance of the Services or otherwise under this Agreement. For the avoidance of doubt neither you nor any person engaged by you in the performance of the Services will be an employee of the Company in performing the Services.

7 You will promptly communicate in confidence to the Company all ideas generated, work done, results produced and inventions made in the performance of the Services ('Results'). You will not, without the written consent of the Company, use or disclose to any other person or organisation either during or after termination of this Agreement any confidential information of the Company which may come into your possession. For this purpose, all Results shall be treated as the confidential information of the Company.

8 On any termination of this Agreement you will return to the Company all documents, records (on any media) and other property belonging to the Company which are in your possession and are capable of delivery and you will retain no copies thereof in any form.

9 You undertake that all copyright, design right, rights to apply for patents, patents and other intellectual property in the Results shall belong to the Company. In consideration of the fees payable under this Agreement, you agree on demand to assign forthwith to the Company all intellectual property in the Results at any time after their coming into existence. At the Company's request and expense (but without further payment to you) you will use all reasonable endeavours to enable the Company at its discretion to make formal application anywhere in the world to obtain and maintain intellectual property in the Results.

10 Without prejudice to any other right or remedy, if you commit any serious breach of, or fail to comply with, any of your obligations under this Agreement, become bankrupt or any judgment is made against you and remains unsatisfied for seven days, the Company shall be entitled to terminate this Agreement forthwith on written notice to you.

11 This Agreement is personal to you and may not be assigned by you. This Agreement does not give you any authority to act as agent of the Company.

12 For the purpose of ensuring compliance with your obligations under this Agreement the Company shall have access to and the right to inspect any work being carried out by you under this Agreement.

13 This Agreement is made under English law and the parties submit to the non-exclusive jurisdiction of the English courts.

14 This Agreement does not create any right enforceable by any person who is not a party to it ('Third Party') under the Contracts (Rights of Third Parties) Act 1999, but this Clause does not affect any right or remedy of a Third Party which exists or is available apart from that Act.

Please indicate your agreement to the provisions of this Agreement by signing and returning to me the enclosed copy of this letter.

Yours [faithfully][sincerely],

For, and on behalf of, [*insert name of company offering consultancy work*]

_____

[*Name of signer*]

_____

[*Position*]

Acknowledged and agreed to by [*insert name of the consultant*]

_____

signed

_____

print name

_____

job title

_____

date

SCHEDULE 1

Services

[ ]

Fees

[ ]

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